Monte dei Paschi di Siena Group
Annual Report 2018

MONTE DEI PASCHI DI SIENA
BANK SINCE 1472

Consolidated Annual Report as at 31 December 2018

Banca Monte dei Paschi di Siena S.p.a.

Share Capital: € 10,328,618,260.14 fully paid in

Registered with the Arezzo - Siena Company Register – registration no. and tax code 00884060526
MPS VAT Group - VAT no. 01483500524

Member of the Italian Interbank Deposit Protection Fund. Registered with the Register of Banks under no. 5274

Monte dei Paschi di Siena Banking Group, registered with the Register of Banking Groups.

CONSOLIDATED ANNUAL REPORT

GOVERNING AND CONTROL BODIES

BOARD OF DIRECTORS

Stefania BARIATTI	Chairman
Antonino TURICCHI	Deputy Chairman
Marco MORELLI	Chief Executive Officer
Maria Elena CAPPELLO	Director
Roberta CASALI	Director
Marco GIORGINO	Director
Fiorella KOSTORIS	Director
Roberto LANCELLOTTI	Director
Nicola MAIONE	Director
Stefania PETRUCCIOLI	Director
Salvatore Fernando PIAZZOLLA	Director
Angelo RICCABONI	Director
Michele SANTORO	Director
Giorgio VALERIO	Director

BOARD OF STATUTORY AUDITORS

Elena CENDERELLI	Chairman
Raffaella FANTINI	Standing Auditor
Paolo SALVADORI	Standing Auditor
Daniele Federico MONARCA	Alternative Auditor

SENIOR MANAGEMENT

Marco MORELLI	General Manager

INDEPENDENT AUDITORS

EY S.p.A.

CONSOLIDATED REPORT ON OPERATIONS

General accounting standards

The Consolidated Report on Operations as at 31 December 2018 provides a snapshot of the activities and results which largely characterised the Group's operations during the year, both as a whole and in the various business sectors.

In particular, economic and financial indicators, based on accounting data, are those used in internal performance management and management reporting systems, and are consistent with the most commonly used metrics within the banking industry, thereby ensuring the comparability of presented figures.

The income statement and balance sheet have been reclassified based on presentation criteria that are more suitable for representing the contents of the items according to consistent operational criteria.

In addition, the Report incorporates non-financial company information providing the details on the activities, capital, risks and relations that are significant to the Group's current and future performance. This information is also more thoroughly analysed in the corporate communications found on the Banca MPS website www.mps.it., such as: the "Consolidated Non-Financial Statement", "Report on Corporate Governance and Ownership Structure", the "Remuneration Report" and the "Pillar 3 Disclosure".

Results in brief

Economic and financial indicators, based on accounting data, are those used in internal performance management and management reporting systems, and are consistent with the most commonly used metrics within the banking industry, thereby ensuring the comparability of presented figures.

Pursuant to the requirements set forth in the "Guidelines on Alternative Performance Measures" published by the European Securities and Markets Authority (ESMA) in June 2016, this section contains the definitions and calculation methods of alternative performance measures.

In order to allow continued disclosure and understanding of the performance results, the subsidiary BBMP Belgio S.A., even if subject to transfer, is included in the individual income statement and balance sheet items.

CONSOLIDATED REPORT ON OPERATIONS
Highlights at 31/12/2018

INCOME STATEMENT AND BALANCE SHEET FIGURES

MONTEPASCHI GROUP

INCOME STATEMENT FIGURES	31/12/18	31/12/17*	Chg.
Net interest income	1,742.8	1,788.3	-2.5%
Net fee and commission income	1,523.3	1,576.5	-3.4%
Other operating income	21.4	660.8	-96.8%
Total Revenues	3,287.5	4,025.6	-18.3%
Net impairment losses (reversals) on financial assets mesured at amortised cost and finanaicl assets measured at fair value through other comprehensive income	(624.6)	(5,416.8)	-88.5%
Net operating income	312.2	(3,934.2)	n.s.
Net profit (loss) for the period	278.6	(3,502.3)	n.s.
EARNING PER SHARE (EUR)	**31/12/18**	**31/12/17***	**Var.**
Basic earnings per share	0.252	(7.299)	n.s.
Diluted earnings per share	0.252	(7.299)	n.s.
BALANCE SHEET FIGURES AND INDICATORS	**31/12/18**	**31/12/17 ***	**Var.**
Total assets	130,481.0	139,154.2	-6.2%
Loans to customers	86,855.5	86,456.3	0.5%
Direct funding	90,471.7	97,801.8	-7.5%
Indirect funding	96,488.6	95,845.7	0.7%
of which: assets under management	55,887.7	58,599.4	-4.6%
of which: assets under custody	40,600.8	37,246.3	9.0%
Group net equity	8,992.0	10,429.1	-13.8%
OPERATING STRUCTURE	**31/12/18**	**31/12/17**	**Var.**
Total head count - end of period	23,129	23,463	-334
Number of branches in Italy	1,529	1,745	-216

N.B.: The number of employees refers to the actual workforce and therefore does not include the staff seconded outside the scope of the Group

* *The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 9.*

CONSOLIDATED REPORT ON OPERATIONS
Highlights at 31/12/2018

ALTERNATIVE PERFORMANCE MEASURES

MONTEPASCHI GROUP

PROFITABILITY RATIOS (%)	31/12/18	31/12/17 *	Chg.
Cost/Income ratio	71.5	63.2	8.3
R.O.E.	2.9	-41.6	44.5
Return on Assets (RoA) ratio	0.2	-2.5	2.7
ROTE (Return on tangible equity)	2.9	-41.6	44.5

* *The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 9.*

KEY CREDIT QUALITY RATIOS (%)	31/12/18	31/12/17 *	Chg.
Net non-performing loans / Loans to Customers	9.0	16.3	-7.3
Gross NPL ratio	17.3	35.8	-18.5
Growth rate of gross NPL	-0.6	-1.5	0.9
Coverage non-performing loans	53.1	65.5	-12.4
Bad loans / Loans to Customers	3.7	8.3	-4.6
Loans to Customers measured at amortised cost - Stage 2/Performing exposures measured at amortised cost	15.9	n.d.	
Coverage bad loans	62.4	75.7	-13.3
Net impairment losses on loans measured at amortised cost/ Loans to Customers measured at amortised cost (Provisioning)	0.7	5.8	-5.1
Texas Ratio	95.0	112.2	-17.2

* *The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 9.*

As at 31 December 2017, the following credit quality ratios include the share of portfolio (both in Non-performing loans and in Loans to customers), relating to the transfer, by means of securitisation, of a set of credit exposures classified as bad loans, whose derecognition was completed on 22 June 2018.

Cost/Income ratio: ratio between Operating Expenses (Administrative Expenses and Net value adjustments to property, plant and equipment and intangible assets) and Total revenues (for the composition of the aggregate, see reclassified Income Statement)

Return On Equity (ROE): ratio between the Net profit (loss) for the year and the average between the shareholders' equity (including Profit and Valuation Reserves) at the end of year and the shareholders' equity at the end of the previous year.

Return On Assets (ROA): ratio between the Net profit (loss) for the year and Total assets at the end of the year.

Return On Tangible Equity (ROTE): ratio between the Net profit (loss) for the year and the average between the shareholders' equity (including Profit and Valuation Reserves, cleared of Goodwill) at the end of the previous year and for the current year.

Gross NPL ratio: ratio between gross non-performing exposures to customers and gross exposures to customers.

Growth rate of gross NPL: represents the annual growth rate of gross non-performing exposures based on the difference between annual balances.

Coverage of non-performing loans and coverage of bad loans: the coverage ratio on non-performing credit exposures and credit exposures classified in bad loans is calculated as the ratio between the relative loss provisions and the corresponding gross exposures.

Texas Ratio: ratio between gross non-performing credit exposures and the sum of tangible shareholders' equity and loan loss provisions.

CONSOLIDATED REPORT ON OPERATIONS
Highlights at 31/12/2018

REGULATORY MEASURES

MONTEPASCHI GROUP

CAPITAL RATIOS (%)	31/12/18	31/12/17 *	Chg.
Common Equity Tier 1 (CET1) ratio	13.7	14.8	-1.1
Total Capital ratio	15.2	15.0	0.2
FINANCIAL LEVERAGE INDEX (5)	31/12/18	31/12/17 *	Chg.
Leverage ratio - Transitional Phase	5.5	6.0	-0.5
LIQUIDITY RATIO (%)	31/12/18	31/12/17 *	Chg.
LCR	231.7	199.5	32.2
NSFR	112.3	110.0	2.3
Encumbered asset ratio	35.5	33.5	2.0
Loan to deposit ratio	96.0	88.4	7.6
Counterbalancing capacity	21.2	21.1	0.1

** The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 9.*

Encumbered asset ratio: ratio between carrying amount of encumbered assets and collateral and total assets and collateral (XVII, section 1.6, point 9, of Regulation (EU) 2015/79).

Loan to deposit ratio: ratio between loans to customers and the sum of customer deposits including bonds issued (deposits from customers and debt securities issued).

Executive summary

A summary of the trend in key items of the main aggregates of the Group as at 31 December 2018 is provided below:

- The Group recorded **Total revenues** of **EUR 3,288 mln**, down by 18.3% compared to the previous year, due to the downturn in Net profit (loss) from trading and financial assets/liabilities measured at amortised cost and fair value through profit and loss, which had benefitted in 2017 from the effects of burden-sharing. **Net interest income**, which amounted to **EUR 1,743 mln** (-2.5% Y/Y), suffered above all from the negative performance of interest-bearing assets, particularly commercial lending (decrease in average volumes and decline in the relative returns), the trend of which was only partially attenuated by the lower interest expense resulting from the decreased cost of commercial funding and the reimbursement of more expensive bonds (some of which subject to burden-sharing measures). **Net fees and commissions**, totalling **EUR 1,523 mln** as at 31 December 2018, recorded a 3.4% decline compared to the previous year, mainly impacted by lower income on traditional services, particularly from payment services, following the disposal of the merchant acquiring business on 30 June 2017, and income connected with asset management. Within other revenues, the **Net profit (loss) from trading and financial assets/liabilities measured at amortised cost and at fair value through profit and loss** totalled around EUR -13 mln, down from the previous year (EUR 575 mln), which included the effects relating to the burden-sharing operation.

- **Operating Expenses** amounted to **EUR 2,351 mln** (-7.6% Y/Y). **Personnel Expenses**, which totalled **EUR 1,463 mln**, declined year on year by 7.1%, in particular as a result of the headcount reduction brought about, firstly, by the Solidarity Fund exits of 600 individuals on 1 May 2017 and of 1,200 individuals on 1 November 2017. **Other Administrative Expenses** as at 31 December 2018 amounted to **EUR 638 mln**, down by 9.4% compared to the previous year, thanks to continuous structural cost control measures. **Net value adjustments to property, plant and equipment and intangible assets** amounted to **EUR 250 mln**, lower than the values in the previous year, which was impacted by higher impairment.

- **Net impairment (losses)/reversals on financial assets measured at amortised cost and at fair value through other comprehensive income** amounted to **EUR 625 mln**, down EUR 4.8 bn from the previous year, which included adjustments to loans recorded on the perimeter of bad loans transferred following the adjustment to their recovery value. The ratio of net impairment losses on loans to total Loans to Customers as at 31 December 2018 shows a **Provisioning Rate of 72 bps**. With regard to **Net provisions for risks and charges relating to commitments and guarantees given**, a recovery of **EUR 15 mln** was recorded, against EUR -43 mln recorded in 2017, mainly due to the revaluation of the commitment made to cover the hedging costs met by the SPV for the disposal of bad loans in accordance with the binding agreement signed on 26 June 2017 with Quaestio, to be borne by the transferor.

- As a result of the trend of the above-mentioned economic aggregates and also considering i) **restructuring costs** (**EUR -202 mln**, of which EUR -150 mln set aside for early retirement incentives/personnel solidarity fund for 2019), ii) the **profit from the sale** of the Juliet platform (**EUR 50 mln**), iii) the costs connected to the **SRF, National Resolution Fund (NRF) and Deposit Guarantee Schemes (DGS)**, amounting to **EUR -131 mln** and iv) the **partial reassessment of DTAs** from tax losses, accrued but not recognised in previous years, the Group recorded a **profit of EUR 279 mln** as at 31 December 2018, against a loss of EUR 3,502 mln recorded in December 2017.

- At the end of December 2018, **Total Funding** amounted to approximately **EUR 187.0 bn**, down EUR 6.7 bn from 31 December 2017, primarily due to the decline in Direct Funding (especially in Bonds). Both Direct Funding (EUR -3.4 bn) and Indirect Funding (EUR -2.9 bn) were down compared to 30 September 2018.

- **Loans to customers** stood at around **EUR 86.9 bn** as at 31 December 2018, basically stable (EUR +0.4 bn) compared to 31 December 2017, within which an increase was registered by securities lending as a result of the recognition of senior notes deriving from the securitisation transaction and the acquisition of government bonds in 4Q18, partially offset by the decrease in non-performing loans (EUR -3.1 bn, mainly due to FTA/IFRS9), repurchase agreements (EUR -1.1 bn) and Other loans (EUR -2.3 bn). The decrease in the aggregate (EUR -0.6 bn) compared to 30 September 2018 is concentrated in the mortgages (EUR -0.7 bn), current accounts (EUR -0.3 bn), non-performing loans (EUR -0.7 bn) and other loans (EUR -1.7 bn) components, only partially offset by growth in securities lending due to the purchase of government bonds in 4Q18 (EUR +2.8 bn).
- **The net exposure to non-performing loans**, which includes all cash exposures regardless of which accounting portfolio they belong to, with the exception of equity securities, UCITS, financial assets held for trading and hedging derivatives, stood at **EUR 7.9 bn** at the end of December 2018, a reduction of EUR 6.9 bn since the beginning of the year, due mainly to the deconsolidation of bad loans transferred in 2018 and the impacts connected with FTA/IFRS9, with a decrease in the incidence of net bad loans (from 8.3% in December 2017 to 3.7% as at 31 December 2018) and unlikely to pay (from 7.6% in December 2017 to 5.2% as at 31 December 2018) and substantial stability of Non-performing past-due exposures. The percentage of coverage of non-performing loans stood at 53.1%, a decrease compared to 31 December 2017 (65.5%) due to the above-mentioned deconsolidation. The coverage of bad loans fell from 75.7% in December 2017 to 62.4% in December 2018.
- With regard to capital ratios, as at 31 December 2018 the **Common Equity Tier 1 Ratio** stood at **13.7%** (14.8% at the end of 2017) and the **Total Capital Ratio** at **15.2%**, compared to 15.0% recorded at the end of December 2017.
- As at 31 December 2018, the operating liquidity position had an **unencumbered Counterbalancing Capacity of approximately EUR 21.2. bn**, in line with the value recorded as at 31 December 2017 and up by EUR 2.7 bn compared to 30 September 2018 due to sales trends in the last quarter and structured financing transactions.

Group overview

The Montepaschi Group is the banking hub led by Banca Monte dei Paschi di Siena, which does business primarily in Italy, mainly providing traditional retail & commercial banking services.

The Group is also active through its specialised product companies in business areas such as leasing, factoring, corporate finance and investment banking. The insurance-pension sector is covered by a strategic partnership with AXA while asset management activities are based on the offer of investment products of independent third parties.

The Group combines traditional services offered through the network of branches and specialised centres with an innovative self-service and digital services system enhanced by the skills of the Banca Widiba financial advisor network.

Foreign banking operations[1] are focused on supporting the internationalisation processes of corporate clients in all major foreign financial markets.

[1] *For Monte Paschi Belgio S.A., negotiations have concluded for its disposal. On 5 October 2018, the Parent Company reached an agreement with an investee of the funds managed by Warburg Pincus for the sale of Banca Monte Paschi Belgio, as set forth in the Commitments of the Restructuring Plan. The sale is subject to the approval of the supervisory authorities.*

For Monte Paschi Banque S.A., the Parent Company has decided to launch the orderly winding-down process by drafting a plan in compliance with what is specified in Commitment no. 14 "Disposal of participations and businesses", i.e., (i) progressive deleveraging of the current loan portfolio, (ii) acceptance of deposits only from existing customers, (iii) interruption of business development activities, (iv) no new initiative in new segments or markets, as well as other regulatory restrictions in place.

COMPANY	ACTIVITIES
MONTE DEI PASCHI DI SIENA BANCA DAL 1472	Banca Monte dei Paschi di Siena and its subsidiaries operate in the different segments of the banking and financial industry, with activities ranging from traditional banking to special purpose loans, assets under management, bancassurance and investment banking. The Bank performs functions of direction, coordination and control over the Group's companies, as part of the more general guidelines set out by the Board of Directors in compliance with the instructions provided by the Bank of Italy in the interest of the Banking Group's stability.
MPS FIDUCIARIA	Monte Paschi Fiduciaria aims to satisfy the needs of individuals and legal entities wishing to have their assets managed with the utmost confidentiality. Monte Paschi Fiduciaria may take on the custody of assets in its capacity as a trustee and act as a protector in trusts.
MPS CAPITAL SERVICES	MPS Capital Services Banca per le Imprese provides customers with solutions to financial and credit issues, focusing its business on medium-long term credit facilities, special-purpose loans, corporate finance, capital markets and structured finance.
MPS LEASING & FACTORING	MPS Leasing & Factoring is the Group bank specialised in developing an offer of integrated leasing and factoring packages for businesses, artisans and professionals.
widiba	Widiba (WIse-DIalog-Banking) is the Group's direct bank that integrates a self-service offer with the competencies of MPS's financial advisor network.
MPS CONSORZIO OPERATIVO	Consorzio Operativo is the centre for the development and management of ICT and telecommunication systems.
MONTE PASCHI BANQUE BANCA MONTE PASCHI BELGIO	Monte Paschi Banque SA and Banca Monte Paschi Belgio SA are the Group's banks that support commercial trade and investments of Italian companies abroad.

Shareholders

As at 31 December 2018, the Parent Company Banca Monte dei Paschi di Siena's share capital amounted to EUR 10,328,618,260.14, broken down into 1,140,290,072 ordinary shares, of which 36,280,748 treasury shares.

According to the communications received pursuant to the applicable legislation and based on other information available, the entities that, as at 31 December 2018, directly and/or indirectly hold ordinary shares representing a shareholding exceeding 3% of the share capital of the Issuer and which do not fall under the cases of exemption set forth in art. 119-bis of the Issuers' Regulations, as well as on the basis of what is set forth on the Consob institutional website, are as follows:

BMPS main shareholders as at 31 December 2018

Shareholder	% of outstanding ordinary shares
Ministry of Economy and Finance	68.247%
Assicurazioni Generali S.p.A.*	4.319%
BMPS S.p.A.**	3.181%

* Share held directly and through subsidiary companies.

** Own shares held by MPS Group following the capital strengthening transaction pursuant to Italian Law Decree no. 237/2016 (as subsequently amended and converted into law) and Ministerial Decrees of 27 July 2017.

Information on the BMPS share

Share price and trends

In the financial markets, 2018 was a two-speed year. In the first part of the year, the markets were particularly positive thanks to growth in manufacturing and trade, but starting in early summer investor confidence with respect to global economic outlooks was on the decline, partly due to the US-China trade war.

In 2018, the US economy grew at a sustained rate, with the Fed continuing to raise the cost of money to avoid an excessive overheating of the economy and inflation; the dollar appreciated against the main currencies, placing the economies of many emerging countries under pressure. In any event, the year closed with the S&P 500 down -6.2% (-14.0% in the fourth quarter), while the Nikkei recorded an annual decline of -12.1% (-17.0% in the final quarter).

The European markets had negative performance due to the domestic political situation of the individual countries as well as economic growth which, although sustained, was less dynamic than in the prior year. All of the main stock markets closed the year in negative territory: Frankfurt posted a decline of -18.3% (-13.8% in the fourth quarter), Madrid -15.0% (-9.0% in the fourth quarter), London -12.5% (-10.4% in the fourth quarter) and Paris -11.0% (-13.9% in the final quarter of the year).

The performance of the FTSE MIB was particularly impacted by the political situation: turbulence began with the March elections and the difficult formation of the government in May until the month of December with the approval of the Budget Law and negotiations with the European Commission. The Milan stock exchange recorded -16.1% during the year (-11.5% in the fourth quarter), while the FTSE IT Banks closed 2018 with a decline of -30.3% (-17.8% in the fourth quarter) due primarily to the increase in the BTP-Bund spread registered starting in May, which significantly impacted the stock prices of Italian banks.

The BMPS share closed the day at EUR 1.495 on 28 December 2018, while it opened trading on 2 January 2018 at EUR 3.89, a decline of 61.8% (in the fourth quarter alone, it fell by 33.3%). During the 2018 trading period, the security posted an average daily trading volume of approximately 2.2 million shares.

SHARE PRICE SUMMARY STATISTICS (from 31/12/2017 to 31/12/18)	
Average	2,53
Minimum	1,34
Maximum	4,02

Ratings

The ratings assigned by the rating agencies as at 31 December 2018 are provided below:

Rating Agencies	Short-term debt	Outlook	Long-term debt	Outlook	Latest update
DBRS	R-4	Stable	B (High)	Stable	19/06/18
Fitch Ratings	B	-	B	Stable	24/07/18
Moody's Investors Service	NP	-	Caa1	Negative	03/12/18

- On 19 June 2018, the rating agency DBRS confirmed the long-term rating of "B (high)" and the short-term rating of "R-4", "Stable" outlook.
  On 14 December 2018, DBRS increased the rating on the Bank's long-term deposits by one notch from "B (high)" to "BB (low)".

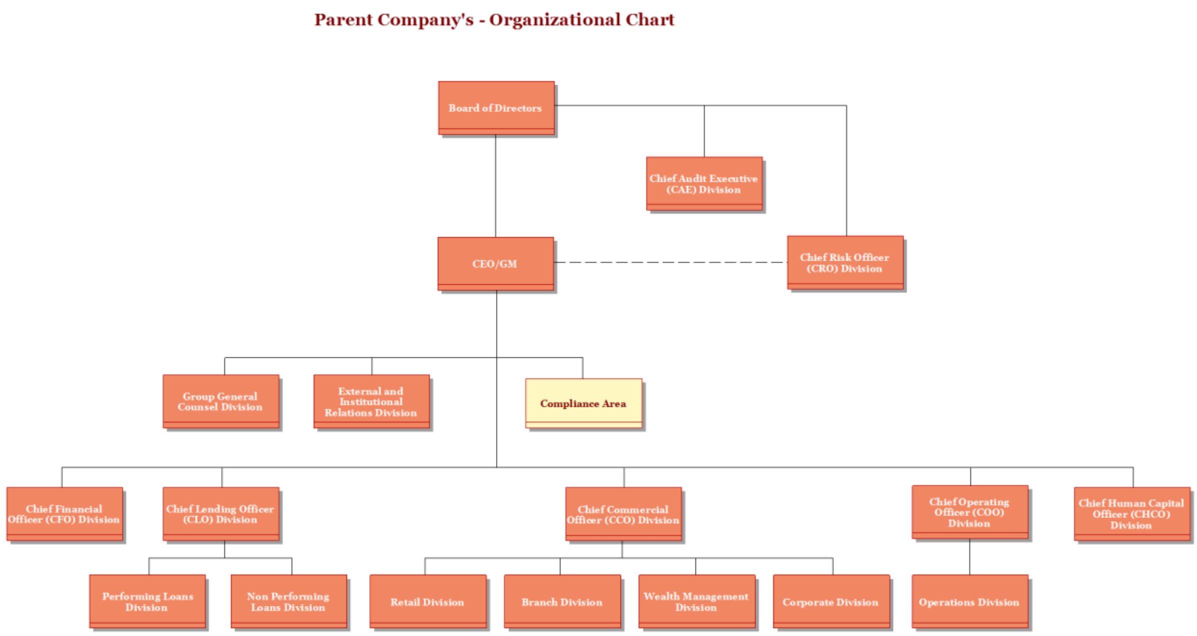
- On 24 July 2018, the Fitch rating agency confirmed the long-term rating of "B" with a "Stable" outlook and the short-term rating of "B".

- On 3 December 2018, the rating agency Moody's Investors Service lowered the long-term rating to "Caa1" from "B3". The long-term rating outlook was confirmed as "Negative".

Organisational structure

Through its Head Office, Banca Monte dei Paschi di Siena performs functions of direction, coordination and control over the Group's companies, as part of the more general guidelines set out by the Board of Directors and in the interest of the Group's stability.

Organisational chart of the Bank's Head Offices as at 31 December 2018



by the Board of Directors in the 4th quarter of 2017 and several revision and streamlining activities intended to facilitate the implementation of the Bank's Restructuring Plan agreed upon with the competent Authorities.

An overview of the most significant actions taken is presented below, broken down by area.

- In the **Compliance Area**, the Compliance functions of the Group Companies (MPS Capital Services, MPS Leasing & Factoring, Widiba and MPS Group Operational Consortium) and of the Foreign Network were centralised.

- In the **Chief Commercial Officer (CCO)** area, in February 2018 the Regional Areas were reduced from 6 to 5 and the organisational model was revised to orient the structures and processes towards sales objectives with a market-based specialisation. Furthermore, one organisational level was eliminated (the Regional Area sales & distribution structures), so product specialists and pricing processes and autonomies are now directly associated with the Regional Departments. The Network Department was also established, reporting directly to the Regional Areas and with operational pricing management. Furthermore, non-sales functions were transferred from the Regional Areas:
    - Control and Network Compliance Functions reporting directly to the CCO
    - Ancillary and Logistics Products and Services Middle Office Functions reporting to the COO

  Lastly, the line of reporting was changed from the CCO to the Chief Executive Officer.

- In the **Chief Operating Officer (COO)** area, the restructuring guidelines called for strengthening the operating machine by establishing the Operations Department, which includes all activities and resources from the centralisation of the Ancillary and Logistics Products and Services Middle Office Functions. In addition, the Project Governance function, previously reporting to the Chief Executive Officer, now reports directly to the COO and has been reinforced with Cost and Service Quality Governance, while the Demand function was transferred to the MPS Group Operational Consortium, which at the same time changed lines of reporting from the COO to the Chief Executive Officer.
  Lastly, to ensure a greater focus of Network activities on sales processes, the Branch Operating Support functions have been centralised within a specialised structure.

- Within the **Group General Counsel (GGC) Department**, revision of the internal structure of the Legal and Corporate Area through the integration of the legal debt collection functions with the legal advisory functions.

- For the **Chief Financial Officer (CFO)**, the reorganisation guidelines entailed defining a single governance of responsibilities relating to the Management Planning and Control areas, in order to maximise synergies, with a view to ensuring explicit directives and assessing the integration of the specialist areas that are managed.

- For the **Chief Lending Officer (CLO)**, the reorganisation guidelines entailed revising the Debt Collection Area (Workout Area) due to the disposal of the NPL Portfolio to Juliet S.p.A. through the establishment of structures and processes intended to oversee outsourced activities.

With respect to Network processes, actions continued to improve the quality of work, free up more time to be dedicated to sales activities and increase customer service quality, while reducing service response/provision times by streamlining/centralising residual "administrative" activities and document management costs, heavily oriented toward increasing digitalisation of processes.

Governance & control systems

Corporate governance

The Bank's corporate governance takes into account the objective of creating a system of coordinated rules and structures capable of guaranteeing transparent and accurate management of relations with shareholders as well as between them and the directors and top management.

The Bank's bodies work so as to pursue the overall proper functioning of the business.

The Bank's fair and transparent corporate governance system and shared Code of Ethics provide it with rules to ensure that the legitimate expectations of all stakeholders are incorporated within corporate objectives.

The overall corporate governance system makes reference to banking and financial supervision regulations in force and the Corporate Governance Code of listed companies issued by the Italian Stock Exchange to ensure a clear delineation of roles and responsibilities, the appropriate separation of powers, balanced composition of the corporate bodies, effective controls, monitoring of business risks, adequacy of information flows and the company's social responsibility.

In particular, the administration and control system includes the following: the Board of Directors, the Board of Statutory Auditors and the Shareholders' Meeting. In addition, there are the CEO, who is also General Manager, and four Board committees, specifically, the Risk Committee, Appointments Committee, Remuneration Committee and Related-Party Transactions Committee.

In compliance with the provisions of Italian Legislative Decree no. 231/2001, the Bank has also established a 231 Supervisory Body entrusted with the task of supervising the functioning and observance of the 231 Model, as well as managing its updating.

The Bank decided to assign the role of the 231 Supervisory Body to an ad hoc collegial structure separate from the Board of Statutory Auditors, which is "mixed" in nature and consists of three members, including two outside professionals and a director qualified as independent based on the requirements set forth in the Corporate Governance Code of listed companies.

The Bank's internal control system is meant to ensure that risks are identified, measured, managed and monitored in such a way so as to enable sound, proper business management in line with pre-established objectives.

Further information about governance, including as regards the concept of diversity in the corporate bodies, is provided in the "Report on Corporate Governance and Ownership Structure", available on the Bank's website (https://www.gruppomps.it/corporate-governance/relazioni-corporate-governance.html).

Risk governance

Risk governance strategies are defined in line with the Group business model, medium-term Restructuring Plan objectives and external regulatory and legal requirements.

Policies relating to the assumption, management, coverage, monitoring and control of risks are defined by the Board of Directors of the Parent Company. Specifically, the Board of Directors periodically defines and approves strategic risk management guidelines and quantitatively expresses the Group's overall risk appetite, in line with the annual budget and multi-year projections.

The Parent Company's Board of Directors defines the overall Risk Appetite Framework (RAF) for the Group and approves the "Group Risk Appetite Statement" (RAS) at least once per year. The Risk Control Function is specifically assigned the task of conducting the monitoring of indicators, drawing up a periodic report for the Board of Directors and implementing the escalation/authorisation processes in the event of overdrawn amounts.

The RAS represents an essential element in defining the Group's risk strategy. The risk objectives/restrictions are identified and the indicators are broken down by Business Unit/Legal Entity (known as "cascading down" of the Risk Appetite). The objective is to increase the Group's Risk Culture and fully instil accountability in all relevant Business Units with regard to respect and pursuit of the risk appetite objectives, as required by the regulations and recommended by best practices.

The overall RAF system is broken down in terms of the Group's main Business Units and Legal Entities, also in terms of operating limits for the various business areas, and formalised in governance policies and processes for the management of the various corporate risks.

The Risk Appetite Process is structured so as to ensure consistency with the ICAAP and ILAAP as well as with Planning and Budget and Recovery processes, in terms of governance, roles, responsibilities, metrics, stress testing methods and monitoring of key risk indicators.

Group Risk governance is provided centrally by the Parent Company's Board of Directors, which also supervises and is responsible for the updating and issue of internal policies and the main internal regulations in order to promote and guarantee a continuously greater and more widespread risk culture at all levels of the organisation. Awareness of risks and the correct knowledge and application of the internal processes and models governing those risks - first and foremost for those validated for regulatory purposes - are fundamental requirements for effective, sound and prudent business management.

The incorporation of macro risk and risk-adjusted performance indicators, consistent with the RAF, within staff remuneration and incentive policies represents an additional tool to promote awareness of the conduct of all resources and the cultivation of a healthy risk culture.

Furthermore, during 2018 internal initiatives proceeded to ensure continued compliance with national and international regulatory provisions. With regard to risk management, the Group has prepared a Directive on Model Risk Management and updated internal regulations on Product Oversight and Governance, Credit Risk Management, RAS processes and Recovery.

In addition, the ICAAP and ILAAP packages were sent to the Regulator in accordance with the ECB's regulatory prescriptions regarding the "Technical implementation of the EBA Guidelines on ICAAP/ILAAP information for SREP Purposes".

In addition, initiatives continued in order to strengthen Group governance over risk reporting, in light of the instructions of the Basel Committee on Banking Supervision (BCBS Paper no. 239).

In reference to the Group's Risk Culture, in addition to pursuing initiatives regarding corporate bodies (board induction cycles on specific issues) as well as general training programmes (on-line courses) for all personnel in the areas of risk management and mitigation and other classroom training sessions, in 2018 a "pilot" induction programme was carried out for the main business functions supporting the understanding of risk appetite objectives specified by the Board of Directors in the RAS and the relative monitoring reporting.

The Montepaschi Group is one of the Italian banks subject to the ECB's Single Supervisory Mechanism.

Compliance systems

Within the broader internal control system, the Compliance Function of the Parent Company autonomously and independently governs non-compliance risk at Group level, periodically reporting to business top management and supervisory authorities on the overall status of compliance of systems, processes, and operations.

In 2018, activities were completed to lay the groundwork for the "Compliance Function Reinforcement Plan", aimed at satisfying the concerns identified by the European Central Bank. Specifically, the following activities were completed:

- review of the taxonomy of the regulatory areas overseen by the Function, with a redefinition of the areas for oversight at Group level;
- adoption of a Group regulatory map, outlining the scope of the regulatory areas identified and unambiguously identifying oversight responsibilities for all applicable regulatory areas;
- standardisation of compliance risk assessment and reporting processes for the Italian subsidiaries subject to supervision, followed by the outsourcing to the Parent Company of the compliance functions of the Italian subsidiaries;
- the strengthening of oversight over the two remaining specialised structures (Tax Compliance and Prevention, Protection and Environment), with a review of methodologies and the reinforcement of direct control activities by the Compliance Function over such regulatory areas;
- the extension to the Italian subsidiaries of IT tools already used by the Parent Company.

Additional initiatives were carried out in 2018, particularly in matters related to:

- adaptation to the measures set forth in the new regulatory provisions on personal data protection (GDPR);
- investment services, with the definition of preparatory activities to respect deadlines regarding measures planned and implemented to come into line with the new MiFID II regulation;
- Related-Party Transactions, with the issue of the new Group Directive, also necessary due to the changes made in the Bank's shareholding structure and the increased interest held by the Ministry of Economy and Finance, which has become the controlling shareholder of BMPS;
- usury, with the consolidation of IT procedures checking compliance with threshold rates and with the revision of internal regulations so as to render level I and II controls more efficient;
- the transparency of banking and loan products and services, adapting to the new supervisory guidelines on credit facilities and overdrafts;
- the distribution of insurance products, adapting to the provisions pursuant to the European IDD Directive;
- the new methods for recognising contractual offsetting agreements pursuant to update XX of Bank of Italy Circular 285/13.

Executive Remuneration Policy

The Group's remuneration and incentive policies are described every year in the "Remuneration Report", prepared under Article 123-ter of the Consolidated Law on Finance and subject to approval by the Shareholders' Meeting.

(https://www.gruppomps.it/corporate-governance/remunerazione.html)

The enhancement of professional skills and taking management decisions aimed at long-term value creation reflect a corporate culture based on the ethics of responsibility, a strong sense of belonging and continuous focus on human capital growth, in compliance with prudent risk management policies. Thus, the Group approved a specific structured management plan so that the passage from business strategies to results is guaranteed, including through initiatives launched to ensure a continuous process of employee engagement, merit recognition, opportunities for professional growth, and a distinct and distributed leadership based on measurement of performance and responsibilities fulfilled. In particular, the distinctive element for managerial levels is the weighting of the business position (grade) based on its true effect on the business.

Distribution channels

The Group operates with a view to developing and rationalising its distribution network, by combining regional coverage with the strengthening of innovative channels.

Traditional domestic branches are supported by specialist sales centres, which oversee relations with and the specific management of particular customer segments (e.g. SMEs, Private individuals, Institutions, etc.) and by 567 Financial Advisors (606 as at 31 December 2017) that carry out their activities by making use of the offices open to the public that are distributed nationwide (up by 2 compared to 31 December 2017).

MONTEPASCHI GROUP - DISTRIBUTION NETWORK AS AT 31/12/2018

Regione	Domestic branches(*)	Inc.	Client Centres(**)								Financial Advisory Offices	Inc.
			SME	Corporate	Private Top	Private	Istitutions	Corporate Top	Tot.	Inc.		
Emilia Romagna	100	6.5%	7			6	5		18	9.0%	9	7.7%
Friuli Venezia Giulia	40	2.6%	3			2	2		7	3.5%	3	2.6%
Liguria	19	1.2%	2			1	1		4	2.0%	4	3.4%
Lombardia	217	14.2%	7	3	1	7	5		23	11.5%	10	8.5%
Piemonte	36	2.4%	3			1	2		6	3.0%	2	1.7%
Trentino Alto Adige	3	0.2%										
Valle d'Aosta	2	0.1%										
Veneto	198	12.9%	14	1	1	6	5		27	13.5%	5	4.3%
Northern Italy	**615**	**40.2%**	**36**	**4**	**2**	**23**	**20**		**85**	**42.5%**	**33**	**28.2%**
Abruzzo	31	2.0%	3			1	2		6	3.0%	3	2.6%
Lazio	131	8.6%	8		1	3	5		17	8.5%	13	11.1%
Marche	40	2.6%	4			1	2		7	3.5%	4	3.4%
Molise	4	0.3%	1						1	0.5%	1	0.9%
Toscana	325	21.3%	13	1	1	8	9		32	16.0%	8	6.8%
Umbria	38	2.5%		2		2			4	2.0%	5	4.3%
Central Italy	**569**	**37.2%**	**29**	**3**	**2**	**15**	**18**		**67**	**33.5%**	**34**	**29.1%**
Basilicata	10	0.7%					1		1	0.5%	2	1.7%
Calabria	42	2.7%	2				2		4	2.0%	3	2.6%
Campania	84	5.5%	5	1	1	3	3		13	6.5%	20	17.1%
Puglia	93	6.1%	6			4	4		14	7.0%	16	13.7%
Sardegna	11	0.7%	1			1	1		3	1.5%	2	1.7%
Sicilia	105	6.9%	4	1		3	5		13	6.5%	7	6.0%
Southern Italy and island	**345**	**22.6%**	**18**	**2**	**1**	**11**	**16**		**48**	**24.0%**	**50**	**42.7%**
Total	**1,529**	**100.0%**	**83**	**9**	**5**	**49**	**54**		**200**	**100.0%**	**117**	**100.0%**

(*) as reported to the Bank of Italy

(**) of which n. 20 reported to the Bank of Italy as Office not having the same location of the branch.

The **Italy Network** has **1,529 branches** registered by the Supervisory Body at the end of 2018, a reduction of 216 operating units compared to 31 December 2017, in implementation of the initiatives laid out in the Restructuring Plan (-68 operating units in the last quarter).

The Group also relies on **200 Specialised Centres** (-33 compared to 31 December 2017), of which 146 dedicated to Corporate and Institutions and 54 to Private customers.

The Group's **ATM** network comprises a total of **2,794 machines** (-160 compared to 31 December 2017), of which 2,238 coinciding with traditional branches (1,769 of these are located in premises with an independent entrance also accessible outside of branch hours) and 556 installed in public places with high operational potential, of which 93 in institutions/companies. There are 1,246 ATMs with the "cash in" function (of which 792 located in self-service areas and 454 inside branches), up by 273 compared to 31 December 2017, in line with the provisions of the project to revise the Retail business model, aimed at reinforcing the use of remote channels and optimising service lines.

The Group has an international presence with a **Foreign Network** distributed, geographically speaking, in some of the major financial and economic markets and in several emerging countries with the highest rates of growth and/or key relations with Italy, currently structured as follows:

- **1 operational branch** in Shanghai. In line with the provisions of the Commitments of the Restructuring Plan, final activities are under way to close the branches in London, New York and Hong Kong, which discontinued all banking activities on 31 December 2018;
- **10 representative offices** (in target areas of the EU, Central-Eastern Europe, North Africa, India and China);
- **2 banks under foreign law**, i.e., Monte Paschi Belgio S.A. and Monte Paschi Banque S.A. With respect to Monte Paschi Belgio S.A., on 5 October 2018 the Parent Company reached an agreement with an investee of the funds managed by Warburg Pincus for the sale of the entire investment in Banca Monte Paschi Belgio, as set forth in the Commitments of the Restructuring Plan. The sale is subject to the approval of the supervisory authorities. With respect to Monte Paschi Banque S.A., the Parent Company has decided to launch the orderly winding-down process by drafting a plan in compliance with what is specified in Commitment no. 14 “Disposal of participations and businesses”, i.e., (i) progressive deleveraging of the current loan portfolio, (ii) acceptance of deposits only from existing customers, (iii) interruption of business development activities, (iv) no new initiative in new segments or markets, as well as other regulatory restrictions in place.

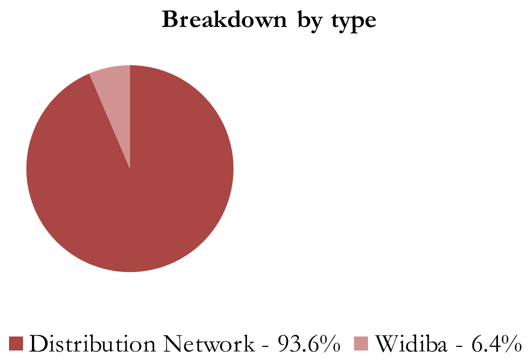
In addition to its presence across the country, the Parent Company offers banking services to customers through electronic channels, through internet banking products for Retail and Corporate customers. As at 31 December 2018, there were 998,499 active users (-60,914 compared to 31 December 2017, including roughly 40,000 active users transferred to Widiba). Internet banking services for retail customers have 903,564 active users and those for corporate customers have 94,935.

Customer base

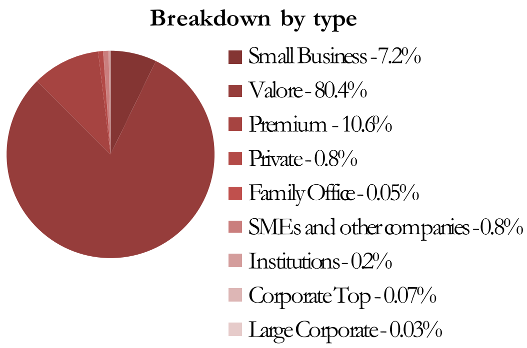
As at 31 December 2018, the Group had around 4.8 million customers (compared to 4.9 million as at 31 December 2017) broken down as follows:

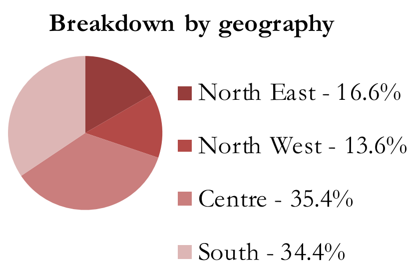
- roughly 4.5 million (down with respect to 31 December 2017) are managed by the Sales Network of the Parent Company Banca Monte dei Paschi;
- approximately 0.3 million (up compared to 31 December 2017) managed exclusively by Widiba, the Group's online bank.

Ripartizione Clienti



Clientela Commerciale





At the end of 2018[2], the Retention indicator stood at 93.0%, up compared to 2017 (92.5%), while the Acquisition indicator was also up to 4.0% (3.4% in the previous year).

[2] *The indicators refer to the Parent Company only and were cleared of the effect of the migration of customers to Widiba.*

Reference context

The expansionary cycle that has been ongoing since the middle of 2016 is continuing, with expected global growth of 3.7% in the 2018-2019 two-year period, the same level as 2017[3]. At the same time, the expansion is quite uneven across the various areas and characterised by increasing risks of a downturn.

US economic growth remained robust in the first nine months of 2018 (third quarter annualised GDP +3.4% QoQ - decelerating compared to +4.2% in the previous quarter), still supported by the expansionary fiscal policy, but growth forecasts for 2019 have been revised downward, also in light of weaker global growth. Trade tensions between the US and China, and in general the development of the US trade policy, continue to represent one of the major risks in the international scenario, fuelling uncertainty. In addition, the speed of the withdrawal of monetary stimulus measures in the US could represent a risk; the response of the Monetary Authority to an unexpected acceleration in US inflation (core inflation at 2.2% YoY - net of the most volatile components - in November) could cause extreme portfolio adjustments, limit investment flows and impact exchange rates.

The cooling of global trade and the slowdown in industrial production in the first part of 2018 impacted the economic prospects of the United Kingdom and the Euro Area (+1.2% YoY for industrial production of the Eurozone in October). Some emerging economies (Argentina, Brazil, Iran and Turkey) have seen their growth prospects slashed, reflecting growing macroeconomic imbalances and heightened geopolitical tensions with subsequent capital outflows, also suffering from the effects of the rise in oil prices on their imports.

In this global context, Italian growth marked a quarterly decline of 0.1% in the second and third quarters, interrupting the cycle of growth initiated in 2015. The Economy and Finance Document approved at the end of 2018 still represents a potential risk factor; the compromise reached concerning a reduction of the deficit to 2% did not completely ease the concerns of the European Commission with respect to Italy's public finances.

2018 was a negative year for the markets, with Europe recording its worst performance since 2008 (roughly -15% for the Euro Stoxx). The Italian stock index was impacted by clashes with the EU on the approval of the new financial manoeuvre (the FTSE MIB lost more than 16% during the year), while the US stock indexes saw the end of a series of consecutive rises that had lasted eight years (-6.2% for the S&P 500). The Nikkei was also down considerably (approx. -12%). In mid-May, Italian government bond yields started rising, to a significant extent on shorter maturities, reaching a maximum of 3.68% on 18 October and closing 2018 at 2.80% on ten-year maturities. The spread against the Bund, which had increased over the year with broad fluctuations due to political tensions between the Italian government and the European Commission, reaching a high of 325 basis points on 20 November, dropped back below 300 basis points only after the manoeuvre correction, closing 2018 at around 250 basis points. After reaching nearly 3.25%% in November, the US ten-year yield closed 2018 at 2.7%, while the ten-year Bund, having reached 0.57% in October, closed 2018 down at 0.25%.

On the monetary policy front, the Fed continued with its restrictive phase, implementing the planned fourth 25 basis point interest rate hike in December. Consequently, the rates on Fed Funds rose to 2.25% - 2.50%. However, the Federal Reserve announced a slowdown in future hikes, indicating that it may implement two in 2019 (no longer three, as expected in September) and revising growth estimates downward for both 2018 and 2019. At its meeting in mid-December, the ECB confirmed the end of the bond-buying programme in December 2018 (without prejudice to repurchases of maturing bonds, which will continue) and its intention to leave its monetary policy unchanged at least until the summer of 2019.

[3] *source: International Monetary Fund - October 2018*

Significant events in 2018

On **11 January 2018**, the Parent Company successfully concluded the issue of a fixed-rate Tier 2 subordinated bond with 10-year maturity (redeemable in advance starting from the fifth year at the issuer's option, subject to regulatory approval), for EUR 750 mln. The bond, issued at par, envisages a coupon payment at a fixed rate of 5.375%, equivalent to a spread of 500.5 basis points above the 5-year swap rate. As confirmation of the return of market interest in Montepaschi Group with this subordinated issue, the transaction saw demand for more than EUR 2.7 bn - 3.6 times higher than the offer - from approximately 250 institutional investors. The geographic distribution of the bond allocation was as follows: United Kingdom (52%), Italy (25%), Germany, Austria and Switzerland (9%), Nordic countries (3%), France (2%), BeneLux (2%), Spain and Portugal (1%), Asia (1%), and others (5%). The allocation by investor type was instead as follows: fund managers (52%), hedge funds (29%), banks and private banks (15%), insurance companies (3%), and others (1%). The bond, which is reserved for institutional investors, is listed on the Luxembourg stock exchange. The ratings of the bond are CCC+ (Fitch) and Caa2 (Moody's). Goldman Sachs International and Mediobanca acted as Global coordinator and Joint bookrunner; Bank of America Merrill Lynch, Barclays, JP Morgan, MPS Capital Services and UBS as Joint bookrunners.

On **17 April 2018**, the Parent Company launched a new organisational structure, making some changes to the management team with a view to a gradual generational renewal and the enhancement of internal resources. The aim of new structure is to support the overall relaunch of the Bank, which will have a strong focus on the local areas and on innovation, seeking to enhance management and boost business development. More specifically, a new Network Department has been created to directly support the CCO, which will oversee the sales network of MPS through 5 regional areas, concentrating on sales coordination with a strong focus on customer needs. Adopting an approach that seeks to focus increasingly on the technological innovation and the digitalisation of the Group's product range, Widiba, the Group's online network bank, and the Consorzio Operativo di Gruppo (Group Operational Consortium) now report directly to the Chief Executive Officer of Banca MPS, focusing on the Bank's digitalisation process, to bring it to the highest market standards.

On **10 May 2018**, the Parent Company completed the securitisation process for the disposal of a portfolio of EUR 24.1 bn of bad loans (data relating to the end of December 2017) and obtained an investment grade rating for the senior tranche.

This transaction highlights progress towards achieving the objectives of the Parent Company's Restructuring Plan.

On **14 May 2018**, the Parent Company, Cerved Group SpA ("Cerved") and Quaestio Holding SA ("Quaestio") announced the conclusion of the purchase of the bad loans recovery platform ("Juliet") of Banca Monte Paschi di Siena by Quaestio Cerved Credit Management SpA, a company established ad hoc by Cerved and Quaestio. The Juliet platform will carry out special servicing activities on portfolios of bad loans, and will manage at least 80% of bad loans generated by BMPS for a ten-year period (with an initial value of around EUR 4.5 bn), plus other bad loans deriving from the securitisation transaction of Banca Monte Paschi di Siena and from other securitisations promoted by Quaestio (amounting to around EUR 17.6 bn as of today).

The consideration for the transfer was EUR 52.6 mln, in line with the consideration of EUR 52.5 mln communicated on 2 August 2017 and corrected for some adjustments relating to working capital items, which could be augmented by an earn-out for a maximum total amount of EUR 33.8 mln, payable in two possible tranches, upon the occurrence of given economic results, following the approval of Juliet's financial statements as at 31 December 2020 and as at 31 December 2025.

On **22 June 2018**, the transfer of 95% of the junior notes for a nominal EUR 565 mln was completed with Quaestio Capital SGR S.p.A., on behalf of the Italian Recovery Fund (former Atlante II Fund), relating to the securitisation of the MPS Group bad loan portfolio. This transaction, following the transfer of 95% of the mezzanine notes for a nominal EUR 847.6 mln, which took place on 9 January 2018, again to the Italian Recovery Fund, marked the full achievement of the objectives set out in the agreements signed with Quaestio Capital SGR S.p.A. on 26 June 2017, which made provision for the acquisition, by the latter, of the mezzanine and junior tranches of the securitisation of the MPS Group bad loan portfolio by 30 June 2018. The remaining 5% of the junior and mezzanine notes was retained by the MPS Group for the purposes of observance of the “retention rule”. The overall transaction represents the biggest securitisation ever completed at European level and marks an important step in the process, envisaged in the 2017-2021 Restructuring Plan, approved on 4 July 2017 by the European Commission, of disposal of the prevailing portion of its bad loans by the MPS Group. The transfer of the junior notes, in addition to the transfer of the mezzanine notes and the full outsourcing of portfolio recovery activities, actually involved, on the same date, the deconsolidation of the securitised portfolio at the end of December 2017 for a gross value of around Euro 24.1 bn (net value of Euro 4.3 bn). With regard to the economic impacts related to the valuation of the portfolio sold through the securitisation transaction, it should be noted that these were already accounted for in 2017, based on the realizable values deriving from the agreements signed.

On **12 July 2018**, the Board of Directors deemed that, at the current state of play, the conditions were not in place for joining the proceedings 955/2016 as a civil party claiming damages, in whose context the former Chairman of the Board of Directors Alessandro Profumo and the former Chief Executive Officer Fabrizio Viola were charged with alleged market manipulation and false corporate communications, while the then Chairman of the Board of Statutory Auditors and current Standing Auditor Paolo Salvadori was charged with alleged false corporate communications. In formulating its judgments, the Board of Directors considered all the available decision-related elements as a whole, with exclusive regard to the pursuit of the Bank’s interests and protection of the integrity of its assets.

On **16 July 2018**, the Parent Company received communication from the Ministry of Economy and Finance (MEF), of the granting - by means of its decree of 28 June 2018, registered by the Court of Auditors on 10 July 2018 and the Central Budget Office of the MEF on 13 July 2018 - of the Government guarantee (GACS) on the senior tranche of the securitisation of NPLs, whose nominal amount is Euro 2,918 mln (the bonds were initially issued in December 2017 for a higher amount, equal to Euro 3,095.6 mln, reduced after the first payment date of 30 April 2018).

On **27 September 2018**, the Parent Company announced that it had taken the decision to promote an all-inclusive voluntary public tender offer, regarding all classes of asset-backed securities indicated hereunder, issued on 22 December 2010 by Casaforte and outstanding as at 27 September 2018, net of the securities already held by the Bidder and announced that it had filed, on **28 September 2018**, at CONSOB, the offer document relating to the all-inclusive voluntary public tender offer, regarding class A asset-backed securities (“Class A Securities” validly tendered to the offer for which participants will be paid an amount of EUR 622.06 for every EUR 608.70 of current nominal value, corresponding to an original nominal value of EUR 1,000.00) and Class B asset-backed securities (“Class B Securities” validly tendered to the offer for which participants will be paid an amount of EUR 1,525.14 for every EUR 1,245.60 of current nominal value, corresponding to an original nominal value of EUR 1,000.00) issued by Casaforte S.r.l.. The offer document, published on **26 October 2018**, envisages an offer subscription period from 29 October 2018 to 16 November 2018, except in the case of extensions. (For more details, please refer to the full versions of the press releases on www.mps.it).

On **5 October 2018**, the Parent Company reached an agreement with an investee of the funds managed by Warburg Pincus for the sale of Banca Monte Paschi Belgio (BMPB), the Belgian subsidiary with total assets of EUR 1.5 bn, customer loans of EUR 0.8 bn, direct funding of EUR 1 bn and shareholders’ equity of EUR 110 mln as at 31 December 2017. The agreement falls under the commitments undertaken with the European Commission as part of the 2017/2021 Restructuring Plan and marks another important step in the relaunch process of the Monte Paschi Group. The sale price was set at EUR 42 mln, subject to a price adjustment mechanism. The impact on the MPS CET1 is insignificant and has already been included in the projections of the Restructuring Plan.

On **9 November 2018**, on the basis of discussions with the various counterparties and in relation to assessments concerning the Bank’s IT platform and its management, the Parent Company decided to select WRM, with Oracle and TAS as technological partners, as the only current candidate in order to look into the fulfilment of requirements that may result in the parties continuing with negotiations and possibly formalising a binding offer. The Parent Company notes that in relation to the foregoing, no strategic decision has yet been made.

On **20 November 2018**, pursuant to article 41, paragraph 6 of the regulation adopted by Consob resolution no. 11971 of 14 May 1999, as amended, the Parent Company announced the final results at the end of the relative acceptance period of the all-inclusive voluntary public tender offer on Class A asset-backed securities and Class B asset-backed securities issued by Casaforte S.r.l.:

(i) with respect to the Class A securities, taking into account the Class A securities with an Original Nominal Value of EUR 89,768,000.00 purchased as part of the Offer during the Acceptance Period (equal to roughly 5.842% of the total Class A securities issued by the Issuer) and the Class A securities with an Original Nominal Value of EUR 1,409,900,000.00 already held by the Offering Party before the Acceptance Period (equal to around 91.752% of the total Class A securities issued by the Issuer), after the Acceptance Period the Bank holds, at the Payment Date (i.e., 21 November 2018), total Class A securities with an Original Nominal Value of EUR 1,499,668,000.00, equal to roughly 97.594% of the total Class A securities issued by the Issuer;

(ii) with respect to the Class B securities, taking into account the Class B securities with an Original Nominal Value of EUR 10,700,000.00 purchased as part of the Offer during the Acceptance Period (equal to roughly 8.231% of the total Class B securities issued by the Issuer) and the Class B securities with an Original Nominal Value of EUR 119,050,000.00 already held by the Offering Party before the Acceptance Period (equal to around 91.577% of the total Class B securities issued by the Issuer), after the Acceptance Period the Bank holds, at the Payment Date (i.e., 21 November 2018), total Class B securities with an Original Nominal Value of EUR 129,750,000, equal to roughly 99.808% of the total Class B securities issued by the Issuer.

(For more details, please refer to the full versions of the press releases on www.mps.it)

On **3 December 2018**, the rating agency Moody's Investors Service changed its long-term rating on the Parent Company's senior unsecured debt from "B3" to "Caa1", confirming the long-term rating on deposits of "B1" and the standalone baseline credit assessment (BCA) of "Caa1". The long-term outlook on deposits was changed from "stable" to "negative", in line with the negative outlook on senior unsecured debt. In June and July 2018, DBRS Ratings Limited and Fitch Ratings instead confirmed their ratings of the Parent Company: DBRS: long-term rating of "B (high)", short-term rating of "R-4" and "stable" outlook; Fitch: long- and short-term rating of "B", "stable" outlook.

On **14 December 2018**, DBRS Ratings Limited increased the rating on the Parent Company's long-term deposits by one notch from "B (high)" to "BB (low)". Therefore, the ratings currently assigned to the Parent Company by DBRS are: Long-Term Issuer Rating: B (high), Short-Term Issuer Rating: R-4, Long-Term Senior Debt: B (high), Long-Term Deposits: BB (low) with a 'stable' trend on all ratings. This rating action anticipates the introduction in Italy, as of 1 January 2019, of the full depositor preference in the case of bank insolvency and resolution procedures, following the implementation of European Directive no. 2014/59/EU (BRRD). The full text of the DBRS press release is available on the rating agency's website www.dbrs.com.

In the **final days of 2018**, the Parent Company entered into binding agreements for the sale of: i) a portfolio of a total of EUR 2.2 bn[4] in non-performing unsecured loans for small amounts and consumer credit (the "Merlino Project"). The portfolio purchasers, broken down into 4 different clusters on the basis of type of credit and/or the amounts of the individual exposures are: IFIS NPL S.p.A. (Small and Consumer Clusters), Credito Fondiario S.p.A. and Fire S.p.A. (Mid Cluster) and Balbec Capital LP (Large Cluster); ii) a portfolio of EUR 0.9 bn in bad leases (the "Morgana Project"),

[4] *The scope subject to disposal was revised with respect to the value of EUR 2.4 bn, following the exclusion of several positions that were found to be non-transferable or were reclassified to lower risk categories.*

sold to Bain Capital Credit; iii) a portfolio of EUR 0.4 bn in unlikely to pay positions (the "Alfa 2 Project").

On **31 December 2018** important agreements were entered into with the trade unions concerning the management of surplus Group staff in line with the 2017-2021 Restructuring Plan, measures for limiting the cost of labour for 2019 and second level bargaining agreements. With regard in particular to the objective of recovering efficiency in terms of staff, the agreement of 31 December 2018 permitted, in line with Plan targets, the departure of 650 resources at 1 April 2019, to be managed by making recourse to the extraordinary benefits of the "Solidarity Fund for professional retraining and requalification, for the support of employment and the income of credit personnel" pursuant to art. 5, paragraph 1, letter b) of Interministerial Decree no. 83486 of 28 July 2014, on a voluntary basis. After verifying its sustainability, during the request acceptance phase this scope was expanded by a further 100 resources, with a view to reaching the number of employees set forth in the Restructuring Plan within the cost limits already accounted for in the 2018 financial statements (agreement amended on 15 February 2019).

Significant events after 2018

On **23 January 2019**, the Parent Company completed a new 5-year EUR 1 bn covered bond issue (bonds secured by Italian residential mortgages), intended for institutional investors. The expected rating is A1/A+/AAL (Moody's/Fitch/DBRS), it matures in January 2024 and the annual coupon is 2%. Taking into account the "below par" reoffer price, at 99.61%, the yield to maturity is 2.08% per annum. The transaction was settled on 29 January 2019.

On **19 February 2019**, a preventive attachment decree was carried out against the Bank for a total of EUR 35.7 million in relation to the investigations under way by the Public Prosecutor of Milan on the reporting to DPI of the customer involved in the purchase of diamonds.

Human Resources

KPI as at 31.12.18

Indicators	31/12/2018	31/12/2017	31/12/2016	31/12/2015	31/12/2014	31/12/2013	31/12/2012
Headcount	23,129	23,463	25,566	25,731	25,961	28,417	30,303
Operational location (%)							
Head Offices*	25.8	22.3	22.5	22.6	21.6	24.0	26.2
Italy Network**	72.5	75.8	75.5	75.3	76.3	74.1	72.0
Foreign Network	1.7	1.9	2.0	2.1	2.0	1.9	1.8
Professional/occupational level							
Executives	1.2	1.2	1.2	1.4	1.3	1.3	1.5
Middle Managers	39.1	38.9	39.6	39.2	38.8	38.3	38.8
Professionals	59.7	59.9	59.2	59.4	59.9	60.4	59.7
Other indicators							
Training per capita (hours)	45.9	41.9	46	37	36	35	36
Female staff (%)	50.0	49.7	48.0	47.8	47.6	46.2	45.1
Female executives (%)	10.3	8.2	7.8	7.1	6.1	5.6	5.2

** Bank Parent Company (net of the Contact Centre and Large Groups Services) including the Departments net of the Unit; Specialised Services Area for the Business and the Group Companies net of the sales areas (trends in the aggregate figure were impacted by the organisational changes made in the regional lending chain - quality and debt collection - now reporting directly to the head office units)*

*** Regional Areas, DTMs (local unit offices), Branches, Unit, Specialised Centres and sales & distribution structures of the Group Companies*

Headcount changes

As at 31 December 2018, the Group had a total of 23,129 employees, down 334 compared to 31 December 2017. In the course of 2018, there were 108 people hired (of which 46 pursuant to contractual, legislative and regulatory provisions on mandatory placement) and 361 terminations and a negative balance of 81 due to other changes in the Group's scope of consolidation[5]. Staff hiring involved 2 Executives, 11 Middle Managers and 95 Professionals, while the terminations concerned 45 Executives, 135 Middle Managers and 181 Professionals. Distribution of the workforce in favour of customer interface units stands at 72.5% (figure does not include the international banking division which represents 1.7% of the total staff) and 25.8% as regards the Head Office units.

[5] Net of changes in the scope of consolidation, the staff on the payroll was 23,234 resources

Personnel management initiatives

The personnel management policies support the reorganisation projects, in line with the restructuring plan objectives, through mobility plans (geographical and professional) with a view to development opportunities for employees according to approaches based on transparency and participation. Thus, operational initiatives were supported by: the Performance Management system; professional and managerial plans which, based on a business continuity approach, ensure adequate quality-quantity staff coverage levels; training programmes to enhance skills, provide managerial career guidance and support requalification processes; as well as engagement and human resource motivation leverage (incentive policies, BMPS welfare system, and internal communication plans). In particular, the Group approved a series of personnel engagement and development initiatives through three specific programmes:

- MPS Development, based on Performance Management results and similar to the process for external customers, for which the population is segmented then coherent and specific HR development initiatives are activated for each segment, which become engagement levers in terms of a merit-based approach.
- MPS Academy, the Group's permanent training institute based on three pillars: People, Business, and Compliance & Safety;
- Welfare, which plays a central role in second-level bargaining agreements and is broken down into a set of contractual benefits differentiated based on traditional and new employee needs, with respect to: supplementary pensions, income support (hiring family members of deceased employees, new hire indemnity, meal vouchers, subsidised loan conditions), health (illness and accident insurance coverage) and work-life balance, with the introduction of innovative initiatives (agile work), also in terms of internal solidarity (MPSolidale).

Furthermore, mechanisms were activated to ensure the enhancement of internal skills, job rotation and continual turnover, with limited recourse to hiring from the external market. With this in mind, internal job postings were published, making it possible to fill more than 150 open positions.

The pilot phase has concluded for the "Sinergicamente" project, which will become a method for continuously exchanging experiences between central and peripheral structures, with the intent of enabling resources to acquire greater awareness of reciprocal characteristics and develop synergies.

In relation to enhancing diversity, the LeaderShe Project is continuing for the entire Group, designed to enhance the feminine expression of leadership, identifying and eliminating any obstacles (organisational and cultural) that prevent the expression of women's managerial skills.

The initiatives of "MPS Orienta", the programme encompassing all activities that Banca MPS dedicates to work orientation, have also been consolidated and expanded, in the areas of the Sales Network, Corporate Social Responsibility and Employer Branding.

In 2018, operational plans were key to achieving operational efficiency objectives and strengthening the core business in accordance with the project activities set forth in the Restructuring Plan. In this context, activities were carried out to refine the Parent Company's organisational model, such as the reorganisation of the Chief Operating Officer Department in October 2018 and the transfer of the Demand function from the COO Department to the Group Operational Consortium, which began reporting to the Chief Executive Officer.

Mobility plans concerned roughly 1,330 resources in the course of the year, based on an approach meant to ensure professional continuity and the best allocation of people with respect to the new organisational roles.

In May 2018, when the non-performing loan recovery platform was sold and during the simultaneous reconfiguration of the management and collection activities of the Non-Performing Loan Department, 90 resources were seconded to the company Juliet S.p.A. for 24 months, in line with the provisions of the union agreement entered into following the relative discussion procedure.

In relation to the Sales & Distribution Network, on one hand activities to streamline the branches (closure of roughly 150 branches in January and 63 in November) continued in line with Plan forecasts - supported by the activation of operational plans for the reallocation of resources primarily at the merging branches and in any event according to an approach which seeks to leverage the professional skills gained and takes into consideration individual needs and aspirations - and on the other hand the process of reducing the number of Regional Areas from 6 to 5 continued, by merging the Lombardy South, Emilia Romagna and Marche Area due to its geographical positioning, regional breakdown and commercial dimensions with the North West, Central and Sardinia and Antonveneta Regional Areas, renamed the North East Regional Area. In order to simplify and optimise regional governance decision-making processes, specialise responsibilities in the individual markets and make specialised support figures (execution and product) more local, in February 2018 the Network organisational model was updated so that Regional Departments are now broken down into the Retail, Corporate and Private markets.

The scope of activities has also been changed in Controls and Compliance (allocated in the RA Compliance and Controls Coordination Office), which were migrated under the responsibility of the Compliance Controls and Complaints Area in the CCO Department. Under the responsibility of the COO, the Operational Services component in the Network Operations Area, Products Middle Office activities and several Branch Operating Support processes have been migrated to the Purchasing, Cost Management and Logistics Area.

To optimise commercial governance and strengthen oversight over relationships and operational risks, also in line with the new Regional Area structure, in March 2018 the Private and Family Office Centres were streamlined to optimise their geographical coverage, with the possibility of secondments ("Private Corner"). In medium/large-sized Centres (at least 8 resources), the account managers were organised into teams, with the operational coordination of a team manager, in turn assigned a portfolio. Within the Family Office Centres, the "Wealth Management Specialist" has also been introduced, who reports directly to the Branch Manager to guarantee prompt and exclusive advisory services to the reference Family Office Centre.

In 2018, total Network mobility came to roughly 6,670 employees, accompanied by a training offer appropriately set up to favour the continuing education and professional strengthening process in light of the new service models.

In line with the operational efficiency objectives laid out in the 2017-2021 Restructuring Plan, on 31 December 2018 the trade union agreement for the activation of the banking industry's Solidarity Fund was signed for the exit of 650 resources (as at 1 April 2019), favouring voluntary participation and closer proximity to retirement benefits as priority selection criteria. These exits join the 1,800 that already took place in 2017 (also through the use of the Solidarity Fund).

With respect to training, in its three main areas - People, Business, Compliance & Safety - MPSAcademy provided more than 1,053,097 training hours in 2018, equal to 45.9 hours per capita; roughly 98% of personnel participated in training activities.

In 2018, the main training projects were carried out with a view to:

- boosting the level of personnel instruction and professionalism, also in line with European and national requirements (e.g., MiFID 2, IDD, Bank of Italy Directive on Real Estate Credit);
- spreading a fair and effective risk culture;
- guaranteeing the effective coverage of roles within the company.

Business training accounted for 57% of the courses, with a particular impact on the Network in terms of financial and insurance topics (involving more than 12,000 resources), as well as credit, through the completion of the Credit Standard project.

Particular attention was also dedicated to risk training, through multi-media training on risk culture and governance provided to all personnel (90% of those enrolled completed the course) and professional training courses (with a final certification) for auditors, CRO department specialists and anti-money laundering topics. The anti-money laundering training structure was also redesigned, with a risk assessment carried out to identify the main relevant risks to which the various roles are exposed and a subsequent assessment of training gaps for more than 2,500 people, with ensuing classroom and online training provided based on the needs identified (classroom training for roughly 800 individuals and 3 multi-media courses made available to the Network as well as the Parent Company).

For branch managers, dedicated training (5 days) with the issue of a final EQF certificate was provided for those newly entering this role as well as those who have been in this position for 3-5 years, to strengthen their skills.

Strategy

For further details of the Restructuring Plan approved on 4 July 2017 by the European Commission, please refer to the "Strategy" section of the 2017 Consolidated Financial Statements.

The Restructuring Plan is subject to formal monitoring by the European Commission, through a Monitoring Trustee (the Bank confirmed Degroof Petercam Finance, with the favourable opinion of the European Commission Directorate General for Competition - hereinafter "DG Comp"). It should be noted that the monitoring based on 31 december 2018 figures, is in progress, specifying that, as regards to the verification of compliance with commitments, this assumes formal relevance only when specific deadlines are agreed upon with the European Commission.

With reference to the Restructuring Plan, the Parent Company has continued with the process of relaunching its commercial business and implementing the various operational policies.

In the Retail area, the distribution, sales and operating models continue to evolve to consolidate and reinforce a new business model confirming the Parent Company as the reference partner for private and small business customers, setting up customer relations with an increasing focus on "solutions for needs" throughout the lifecycle. The maximisation of the value proposition is oriented towards satisfying and understanding customer investment, protection and credit needs, with simple offerings to meet ordinary needs and personalised responses to more complex requirements. In parallel, the evolution of the digital platforms continues, with a multi-channel approach in which the model 'hinging' on the manager is enhanced by the opportunities offered by new technologies, to render a physical relationship digital through remote collaboration tools that offer continuously updated solutions to meet customer needs, in the consumer and small business markets.

An increasing focus is being directed towards Private customers, where we expect new relationships to be formed and existing ones to be recovered by:

- focusing on an advisory approach, by setting up dedicated advisory centres, to identify high value investment solutions, by virtue of a wide and diversified range of solutions and services in an open architecture;
- developing synergies with other segments (i.e. Private-Corporate cross selling) to extend the customer base and increase assets;
- developing the service model by means of a plan to revise the regional footprint (which took place in the first quarter), seeking to attract customers to recover the Parent Company's multitouch relationship with the Customer and to technologically update sales processes.

The process to leverage the contribution of Widiba as a vehicle for digitalisation and innovation continues, through the extension to the Group of technological and automation solutions for certain processes, which, when fully implemented, will enable the Group to benefit from an overall reduction in the cost-to-serve; incorporated in this context is both the transfer, in 2017, of around 46 thousand retail customers from BMPS, characterised by a behavioural profile marked by a strong liking for self-banking and compatibility of the scope of products already held with the Bank's current and future offering, and the additional transfer of around 106 thousand customers in October. This second tranche, aside from being an order of magnitude greater than the first, is also characterised by a more detailed structure, in terms of products and accounts held by the customers, with particular reference to the credit and investments segments.

In the Corporate segment, activities continue to streamline the network, simplify service models to optimise the cost to serve, maximise the profitability that can be extracted from the relationship through the convergence of a coverage team of specialists from the product factories around the manager/customer, extend the value proposition with tools and services that also reduce capital absorption and increase the level of digitalisation of manager instruments and front-end and internet banking platforms.

With regard to the new operating model and the greater efficiency expected:

- the migration of cash transactions to cash-in ATMs is underway, which resulted in 49.5% of deposits made in self-service mode (calculated on all branches with cash-in at 31 december 018) and at the same time increasing the number of cash-light branches (cash desks closed in the afternoon), which enables to «recover time for commercial activies». Currently there are 234 cash-light branches and the programme envisages extending this to additional branches through the «Banca Più» programme. The Parent Company has 2,794 ATMs, of which 1,246 feature the advanced cash-in function; these enable customers to operate autonomously not just for inquiry and withdrawal transactions, but also for paying in and order transactions (paying bills, bank transfers, topping up mobile phones and prepaid cards etc.). In 2018, more than 320 new advanced ATMs were installed and roughly 180 obsolete advanced ATMs were replaced, to improve the efficiency of the machines and expand the presence of the cash-in function within the ATM network;
- the new Network Governance model was implemented at the end of February 2018. This manoeuvre led to the reduction of the sales governance structures (Regional Areas) from 6 to 5, centralising the products middle office to General Management, eliminating an intermediate organisational level with a view to simplification, and creating specialist Regional Departments for individual markets. The process of streamlining the distribution network led to the closure of 216 domestic branches during the year, of which 148 in the first quarter and 68 in the last quarter (these include 3 specialised centres with the Bank of Italy licence);
- with respect to digitalisation, the Parent Company has roughly 900 thousand active customers on internet banking channels for retail customers, of which more than 800 thousand on the upgraded digital banking platform which can be used for the main online transactions as well as to open a current account and request an estimate for a mortgage. Furthermore, digital banking is now usable by and accessible to the blind, guaranteeing the full inclusion of all of our customers;
- with respect to streamlining the number of resources, the Parent Company has confirmed the planned departure of 650 resources by making recourse to the Solidarity Fund, to be completed by the end of the first half of 2019; after verifying its sustainability, during the request acceptance phase this scope was expanded by a further 100 resources, with a view to reaching the number of employees set forth in the Restructuring Plan within the cost limits already accounted for in the 2018 financial statements.

In accordance with the provisions of the Restructuring Plan, initiatives that seek to improve the performing and non-performing credit portfolio risk profile, processes, methodologies and company instruments have continued, including:

- the monitoring of credit policy guidelines;
- advanced maintenance of the “credit algorithms” (so-called Score Engines) to support decision-making mechanisms for the disbursement of small scale loans to the Private and Small Business customers, in line with the best practices of the system and the new credit standards of Banca MPS;

- the monitoring and review of default detection mechanisms, in order to ensure their development with regards to regulatory and business compliance; special attention has been focused, in this regard, on the management of overdrafts, positions registered as high risk and those intended for large-scale recovery;
- the design and implementation of an NPE portfolio document processing monitoring system;
- the roll-out of the outsourcing of management of the flow of bad loans (activation of "Juliet" platform) and launch of ordinary interaction operations according to defined and shared processes.

Lastly, with reference to some of the main commitments of the Restructuring Plan, pursuant to art. 114, paragraph 5 of Italian Legislative Decree 58/1998, the implementation status of the Restructuring Plan as at 31 December 2018 is described below:

- Risk containment:
  - transfer of the portfolio of NPLs concluded successfully on 22 June 2018, with the relevant deconsolidation for a value of roughly EUR 24 bn of gross exposure[6]. On 9 January 2018 and on 22 June, the transfer of 95% of the mezzanine notes for a nominal EUR 847.6 mln and 95% of the junior notes for a nominal EUR 565 mln was completed with Quaestio Capital SGR S.p.A., on behalf of the Italian Recovery Fund. The economic impacts related to the valuation of the portfolio sold through the securitisation transaction were already accounted for in 2017. With reference to the prudential aspects, it should be noted that the ECB authorised the recognition of the Significant Risk Transfer to the Parent Company and in this context, the Parent Company also received the LGD waiver, which forms the basis of the projections of capital adequacy of the Restructuring Plan and which makes it possible not to include in the LGD estimate process the effects of the derecognition of the securitised portfolio;
  - continuation of programmes involving the sale/reduction of the portfolio of unlikely to pay positions, with a reduction of around EUR 2.3 bn[7] (including EUR 0.2 bn of exposures classified pursuant IFRS 5) in 2018;
  - continuation of the divestment and deconsolidation transactions, with a specific bad loan disposal plan, represented by receivables resulting from lease agreements for EUR 0.9 bn, with deferred implementation in the course of 2019, and by receivables for limited single amounts for EUR 2.2 bn, for a total of approximately EUR 3.1 bn[8];
- Exposure to sovereign debt: financial assets measured at fair value are lower than 2017 by approximately EUR 4 bn, due primarily to Italian government bonds.
- Transfer of foreign banks:
  - for BMP Belgio S.A., the Parent Company reached a sale agreement with an investee of funds managed by Warburg Pincus, at a price of EUR 42 mln, subject to a price adjustment mechanism. The sale is subject to approval by the National Bank of Belgium and the European Central Bank;
  - for Monte Paschi Banque S.A., given the unsuccessful attempts at the transfer, the Parent Company, as set out in the Plan, resolved the run-off of the subsidiary, which consists of limiting the bank's activities strictly to those targeted at the deleveraging of loans, excluding the development of new business; during said period, the Monte Paschi Banque will retain the banking licence.

---

[6] Corresponding originally, in the Restructuring Plan, to EUR 26.1 bn as at 31 December 2016, restated as at 31 December 2017 to EUR 24.6 bn due to the exclusions subsequently effected on the reference perimeter as at 31 December 2016 and, finally, certified at a value of approximately EUR 24 bn, which also includes recoveries made in the meantime on the reference perimeter as at 31 December 2017.

[7] Referring to gross exposures inclusive of interest on arrears

[8] The scope of EUR 2.2 bn subject to disposal was revised with respect to the value of EUR 2.4 bn, following the exclusion of several positions that were found to be non-transferable or were reclassified to lower risk categories. The total value refers to gross exposures inclusive of interest on arrears

- Closure of foreign branches: as of 31 December 2018, all assets and liabilities of the foreign branches in New York, London and Hong Kong were closed or transferred to Italy and all customer relationships were terminated; however, activities for the return of the banking licence and the preparation of regulatory reporting are still under way.
- Cost reduction measures:
  - 2018 annual operating expenses lower than planned objectives;
  - reduction of approximately 1,800 resources by activating the Solidarity Fund. Planned departure of 650 resources by making recourse to the same fund, to be completed by the end of the first half of 2019; after verifying its sustainability, during the request acceptance phase this scope was expanded by a further 100 resources, with a view to reaching the number of employees set forth in the Restructuring Plan within the cost limits already accounted for in the 2018 financial statements;
  - around 500 branches closed (of which 216 in 2018), equal to 83% of the total objective to be met by 31 December 2021;
  - in relation to the results for 2018, it is not necessary to activate further cost reduction measures.
- Sale of property assets: for the purposes of compliance with said commitment, which ultimately makes provision for the disposal, over the term of the Plan, of owned properties with a total value of around EUR 500 mln (EUR 80 mln of which already involved in sales agreements), the Parent Company launched the restructuring of the Chianti Classico transaction, which includes the Casaforte securitisation and the transfer of property assets relating to it to the Consorzio Perimetro. On 11 January 2019, the Parent Company announced that, based on the authorisation issued by the European Central Bank on 27 December 2018, it had filed the draft terms of the merger by absorption of Perimetro S.C.p.A. into Banca Monte dei Paschi di Siena S.p.A. Through the consolidation of the processes and activities on specific Parent Company functions and the reduction of the number of companies involved, property assets relating to the securitisation (currently held by Perimetro) may be managed with greater flexibility and the administrative and decision-making processes may be governed more effectively.
- Strengthening of the capital position: after the issuing of the first tranche of the subordinated Tier 2 loan in January 2018 for an amount of EUR 750 mln, the Parent Company constantly monitors the market conditions with the objective of performing a second issue of the same type. For 2018, the level of capitalisation is higher than the Restructuring Plan objectives, thanks to the implementation of alternative capital strengthening measures.

Income statement and balance sheet reclassification principles

Reclassified income statement

It should be noted that, in order to allow continued disclosure and understanding of the performance results, the subsidiary BBMP Belgio S.A., even if subject to transfer, is included in the individual income statement items.

- Item "**Net interest income**" was cleared of the negative contribution (equal to EUR -9 mln) of the Purchase Price Allocation (PPA), which was reclassified to a specific item, and supplemented by the amount relating to the subsidiary BMP Belgio S.A. for EUR +15 mln.
- Item "**Net fee and commission income**" was supplemented by the amount relating to the subsidiary BMP Belgio S.A. for EUR +2 mln.
- Item "**Dividends, similar income and profit/loss on equity investments**" incorporates item 70 "Dividends and similar income" and a portion of item 250 "Gains/loss on investments" (EUR 65 mln, corresponding to the contribution to the income statement of profits from investments in the associate AXA, consolidated at equity). The aggregate was also cleared of dividends earned on equity securities other than equity investments (EUR 1 mln), reclassified to item "Net profit (loss) from trading and financial assets/liabilities".
- The item "**Net profit (loss) from trading and financial assets/liabilities measured at amortised cost and at fair value through profit and loss**" includes item 80 "Net profit (loss) from trading", item 100 "Gains (losses) on disposal/repurchase of: a) financial assets measured at amortised cost; b) at fair value through other comprehensive income and c) financial liabilities" and 110b "Net profit (loss) from financial assets and liabilities measured at fair value through profit and loss". The item also incorporates dividends earned on equity securities other than equity investments (EUR 1 mln), and the amount relating to the subsidiary BMP Belgio S.A. for EUR +5 mln.
- The item "**Other operating income (expenses)**" includes the balance of income statement item 230 "Other operating expenses/income" net of the recovery of stamp duties and client expenses, which are stated under the reclassified item "Other administrative expenses" (EUR 287 mln) and the amount relating to the subsidiary BMP Belgio S.A. for EUR +0.5 mln.
- The item "**Personnel expenses**" decreased by a net amount of EUR 118 mln (EUR -150 mln relating to provisions for early retirement incentives/solidarity fund pursuant to the agreement with the trade unions of 31 December 2018, EUR +35 mln for recoveries obtained from Inps on the amounts allocated due to early retirement/solidarity fund initiatives in 2017 and EUR -4 mln for extraordinary expenses relating to the closure of foreign branches), due to the reclassification of these amounts to the item "Restructuring costs/One-off charges". The item also includes the amount of the cost relating to BMP Belgio S.A. for EUR 9 mln.
- The item "**Other administrative expenses**" includes the balance of income statement item 190b "Other administrative expenses", reduced by the following cost items:
  - expenses, amounting to EUR 131 mln, resulting from the EU Deposit Guarantee Schemes Directive (hereinafter "DGSD") and Bank Recovery Resolution Directive (hereinafter "BRRD") for the resolution of bank crises (posted under the reclassified item "Risks and charges associated with the SRF, DGS and similar schemes");
  - DTA fee, convertible into tax credit, for an amount of EUR 71 mln (posted to the reclassified item "DTA fee");
  - extraordinary charges, relating to project initiatives also aimed at complying with the commitments undertaken with DG Comp (also including the closure of domestic and foreign branches), for EUR 24 mln (stated under reclassified item "Restructuring costs/One-off charges").

This item also incorporates the recovery of stamp duty and client expenses recoveries (EUR 287 mln) posted in the income statement under item 230 "Other operating expenses/income" and the amount of the cost relating to subsidiary BMP Belgio S.A. for EUR 10 mln.

- Item "**Net adjustments to (recoveries on) property, plant and equipment/Net adjustments to (recoveries on) intangible assets**" was cleared of the negative contribution (equal to EUR -25 mln) of the Purchase Price Allocation (PPA), which was reclassified to a specific item. The item also includes the amount relating to the subsidiary BMP Belgio S.A. for EUR 1 mln.
- Item "**Net impairment (losses)/reversals on financial assets measured at amortised cost**" includes income statemet items 130a "Net impairment (losses)/reversal on financial assets measured at amortised cost" and 140 "Modification gains/(losses)". The item was supplemented by the amount relating to the subsidiary BMP Belgio S.A. for EUR -8 mln.
- The item "**Net impairment (losses)/reversals on financial assets measured at fair value through other comprehensive income**" includes the item 130b "Net impairment losses/reversals on financial assets measured at fair value through other comprehensive income" and was supplemented for the portion related to the subsidiary BMP Belgio S.A. for EUR 0.3 mln.
- The item "**Net provisions for risks and charges**" was cleared of the allocation for expenses relating to commitment initiatives for EUR 1 mln, re-allocated to the reclassified item "Restructuring costs/One-off costs". The item was supplemented by the amount relating to the subsidiary BMP Belgio S.A. for EUR -0.5 mln.
- Item "**Gains (losses) on investments**" includes the balance of item 250 "Gains/loss on investments", cleared of the amount contributed to the income statement by investments in AXA, consolidated at equity and posted under the reclassified item "Dividends, similar income and profit/loss on equity investments" (EUR 65 mln).
- "**Restructuring costs/One-off costs**" mainly encompass the restructuring costs set aside for early retirement incentives/solidarity fund signed on 31 December 2018 for EUR 150 mln, partially offset by recoveries recognised by INPS for previous early retirement/solidarity fund manoeuvres (EUR +35 mln) and the charges relating to projects, also seeking to implement the commitments made with DGComp (for a total of EUR -87 mln, including the expected loss from the sale of the subsidiary BMP Belgio S.A. of EUR -59 mln).
- Item "**Risks and charges associated with SRF, DGS and similar schemes**" includes expenses deriving from the EU Deposit Guarantee Schemes Directive (DGSD) and the Bank Recovery and Resolution Directive (BRRD), posted in the financial statements under item 190b "Other administrative expenses". As at 31 December 2018, total contributions of EUR 131 mln were recorded, of which EUR 69 mln to the Single Resolution Fund (SRF), EUR 26 mln to the National Resolution Fund (NRF) and EUR 36 mln to DGS.
- Item "**DTA fee**" includes the expenses related to the fees paid on DTAs that can be converted into tax credit as set forth in art. 11 of Law Decree no. 59 of 3 May 2016, converted into Law no. 119 of 30 June 2016, recognised in the Financial Statements under item 190b "Other administrative expenses", for EUR 71 mln.
- The item "**Tax expense (recovery) on income from continuing operations**" was cleared of the theoretical tax component relating to the Purchase Price Allocation (PPA), included in a specific item in the amount of EUR 11 mln.
- The item "**Gains (losses) from assets held for sale**" was cleared of the effects of the expected loss from the sale of the subsidiary BMP Belgio S.A. (EUR -59 mln), reclassified to "Restructuring costs/One-off costs", as well as the net profit (loss) for the year of the subsidiary.
- The overall negative effects of the Purchase Price Allocation (PPA) were reclassified to a specific item, excluding them from affected income statement items (in particular "**Net interest income**" for EUR -9 mln and "**Net adjustments to (recoveries on) property, plant and equipment/Net**

adjustments to (recoveries on) intangible assets" for EUR -25 mln, net of a theoretical tax burden of EUR +11 mln which was added to the item).

A conventional and simplified reclassification was carried out, exclusively for income statement figures referring to FY 2017, based on the first application of IFRS 9; whit comparative data reclassified according new accounting format envisaged by the 5th update fo Circular 262 of the Bank of Italy. In particular, amounts relating to former item 130d "**Net impairment losses (reversals) on other financial transactions**" were reclassified to item 200a "**Net provisions for risks and charges: commitments and guarantees issued**" (see annexes).

Reclassified balance sheet

In order to allow continued disclosure and understanding of the performance results, the subsidiary BMP Belgio S.A., even if subject to transfer, is included in the individual balance sheet items.

a) The asset item "**Cash and cash equivalents**" includes the amount relating to the subsidiary BMP Belgio S.A. for EUR 5 mln.

b) Asset item "**Financial assets measured at fair value**" includes balance sheet items 20 "Financial assets measured at fair value through profit and loss" and 30 "Financial assets measured at fair value through other comprehensive income". The portion relating to the subsidiary BMP Belgio S.A. amounts to EUR 351 mln.

c) The asset item "**Loans to banks**" was increased by the amount relating to the subsidiary BMP Belgio S.A. for EUR 174 mln.

d) The asset item "**Loans to customers**" was increased by the amount relating to the subsidiary BMP Belgio S.A. for EUR 689 mln.

e) The asset item "**Property, plant and equipment/intangible assets**" was increased by the amount relating to the subsidiary BMP Belgio S.A. for EUR 7 mln.

f) Asset item "**Other assets**", includes balance sheet items 50 "Hedging derivatives", 60 "Change in value of macro-hedged financial assets (+/-)", 110 "Tax assets", 120 "Non-current assets and groups of assets held for sale and discontinued operations" (excluding an amount of EUR 1,234 mln relating to the total assets of the subsidiary BMP Belgio S.A., net of the intercompany amount) and 130 "Other assets". The item also includes the portion relating to subsidiary BMP Belgio S.A. for EUR 9 mln.

g) Liability item "**Deposits from customers and debt securities issued**", includes balance sheet items 10b "Financial liabilities measured at amortised cost – deposits from customers", 10c "Financial liabilities measured at amortised cost - Debt securities issued" and 30 "Financial liabilities designated at fair value". The portion relating to the subsidiary BMP Belgio S.A. amounts to EUR 964 mln.

h) The liability item "**Deposits from banks**" was increased by the amount relating to the subsidiary BMP Belgio S.A. for EUR 148 mln.

i) The liability item "**Financial liabilities held for trading**" was increased by the amount relating to the subsidiary BMP Belgio S.A. for EUR 2 mln.

j) The item "**Pensions and other post retirement benefit obligations**" was increased by the amount relating to the subsidiary BMP Belgio S.A. for EUR 0.4 mln and "**Other provisions for risks and charges**" was increased by the amount relating to the subsidiary BMP Belgio S.A. for EUR 1 mln.

k) Liability item "**Other liabilities**" includes balance sheet items 40 "Hedging derivatives", 50 "Fair value change of financial liabilities in hedged portfolio (+/-)", 60 "Tax liabilities", 70 "Liabilities associated with non-current assets held for sale and discontinued operations" (excluding an amount of EUR 1,123 mln relating to the total liabilities of the subsidiary BMP Belgio S.A., net of the intercompany amount) and 80 “Other liabilities” (including the amount relating to the subsidiary BMP Belgio S.A. for EUR 8 mln).

A conventional and simplified reclassification was carried out, exclusively for 2017 balance sheet figures whit comparative data reclassified according new accounting format envisaged by the 5th update fo Circular 262 of the Bank of Italy. In particular, balances in the item “**Other assets**”, as the portion of the real estate warehouse, were reclassified in item 90 “**Property, plant and equipment**”, and the balances in the item “**Other liabilities**” as the portion of commitments and guarantees, were reclassified to item 100a “**Provisions for risks and charges: financial guarantees and other commitments**”.

******

The reconciliation between the statutory accounts and the reclassified income statement and balance sheet is included in the “Annexes” section.

Reclassified income statement

Reclassified Consolidated Income Statement				
MONTEPASCHI GROUP	31/12/18	31 12 2017*	Change	
			Abs.	%
Net interest income	1,742.8	1,788.3	(45.5)	-2.5%
Net fee and commission income	1,523.3	1,576.5	(53.2)	-3.4%
Income from banking activities	**3,266.1**	**3,364.8**	**(98.7)**	**-2.9%**
Dividends, similar income and profit (losses) on equity investments	74.5	101.0	(26.5)	-26.2%
Net profit (loss) from trading and financial assets/liabilities measured at amortised cost and at fair value through profit and loss	(13.0)	574.8	(587.8)	n.s.
Net profit (loss) from hedging	(0.2)	(3.7)	3.5	-94.6%
Other operating income (expenses)	(39.9)	(11.3)	(28.6)	n.s.
Total Revenues	**3,287.5**	**4,025.6**	**(738.1)**	**-18.3%**
Administrative expenses:	(2,100.6)	(2,279.6)	179.1	-7.9%
a) personnel expenses	(1,462.9)	(1,575.4)	112.5	-7.1%
b) other administrative expenses	(637.7)	(704.3)	66.5	-9.4%
Net adjustments to (recoveries on) property, plant and equipment / Net adjustments to (recoveries on) intangible assets	(250.1)	(263.4)	13.3	-5.0%
Operating expenses	**(2,350.7)**	**(2,543.0)**	**192.3**	**-7.6%**
Pre Provision Profit	**936.8**	**1,482.6**	**(545.8)**	**-36.8%**
Net impairment (losses)/reversals on:	**(624.6)**	**(5,416.8)**	**4,792.2**	**-88.5%**
a) financial assets measured at amortised cost	(628.1)	(5,323.7)	4,695.6	-88.2%
b) Financial assets measured at fair value through other comprehensive income	3.5	(93.1)	96.6	n.s.
Net operating income	**312.2**	**(3,934.2)**	**4,246.4**	**n.s.**
Net provisions for risks and charges	(69.0)	(276.1)	207.1	-75.0%
*of which commitments and guarantees issued***	*14.9*	*(43.2)*	*58.1*	*n.s.*
Gains (losses) on investments	1.3	(14.0)	15.3	n.s.
Restructuring costs / One-off costs	(201.7)	(330.2)	128.5	-38.9%
Risks and charges associated to the SRF, DGS and similar schemes	(131.1)	(91.9)	(39.2)	42.7%
DTA Fee	(70.9)	(70.9)	0.0	-0.1%
Gains (losses) on disposal of investments	50.0	531.2	(481.2)	-90.6%
Profit (loss) before tax from continuing operations	**(109.2)**	**(4,186.2)**	**4,077.0**	**-97.4%**
Tax expense (recovery) on income from continuing operations	410.1	709.6	(299.4)	-42.2%
Net profit (loss) for the year including non-controlling interests	**300.9**	**(3,476.6)**	**3,777.5**	**n.s.**
Net profit (loss) attributable to non-controlling interests	0.1	0.1	-	n.s.
Profit (loss) for the year before PPA	**300.8**	**(3,476.7)**	**3,777.5**	**n.s.**
PPA (Purchase Price Allocation)	(22.2)	(25.6)	3.4	-13.1%
Net profit (loss) for the year	**278.6**	**(3,502.3)**	**3,780.9**	**n.s.**

** The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 9.*

*** The item "Net provisions for risks and charges" encompasses, for the comparative figures, what was previously booked under "Net impairment (losses)/reversals: other transactions".*

Quarterly trend in reclassified consolidated income statement								
	2018				2017			
MONTEPASCHI GROUP	4°Q 2018	3°Q 2018	2°Q 2018	1°Q 2018	4°Q 2017*	3°Q 2017*	2°Q 2017*	1°Q 2017*
Net interest income	430.8	442.1	448.5	421.5	414.6	470.4	445.9	457.4
Net fee and commission income	360.4	353.4	403.0	406.5	363.3	355.7	431.2	426.3
Income from banking activities	**791.2**	**795.5**	**851.5**	**828.0**	**777.9**	**826.1**	**877.1**	**883.7**
Dividends, similar income and profit (losses) on equity investments	19.5	20.7	16.2	18.1	32.3	22.4	25.7	20.5
Net profit (loss) from trading and financial assets/liabilities measured at amortised cost and at fair value through profit and loss	(18.8)	(2.0)	(29.5)	37.4	3.4	528.5	18.3	24.5
Net profit (loss) from hedging	0.8	(1.2)	(0.9)	1.1	0.8	(2.7)	(2.0)	0.2
Other operating income (expenses)	(23.6)	(3.4)	(5.1)	(7.8)	(12.0)	(3.9)	0.3	4.3
Total Revenues	**769.1**	**809.5**	**832.2**	**876.8**	**802.4**	**1,370.5**	**919.5**	**933.2**
Administrative expenses:	(554.3)	(504.2)	(526.4)	(515.7)	(579.4)	(561.1)	(568.2)	(570.9)
a) personnel expenses	(364.9)	(364.0)	(366.2)	(367.8)	(387.1)	(388.8)	(395.1)	(404.4)
b) other administrative expenses	(189.5)	(140.2)	(160.1)	(147.9)	(192.3)	(172.3)	(173.1)	(166.5)
Net adjustments to (recoveries on) property, plant and equipment / Net adjustments to (recoveries on) intangible assets	(81.0)	(56.9)	(55.1)	(57.1)	(71.1)	(64.7)	(70.9)	(56.6)
Operating expenses	**(635.4)**	**(561.1)**	**(581.4)**	**(572.8)**	**(650.5)**	**(625.8)**	**(639.1)**	**(627.5)**
Pre Provision Profit	**133.7**	**248.3**	**250.8**	**304.0**	**151.9**	**744.7**	**280.4**	**305.6**
Net impairment (losses)/reversals on:	**(256.5)**	**(121.4)**	**(108.8)**	**(137.9)**	**(581.6)**	**(204.7)**	**(4,321.4)**	**(309.1)**
a) financial assets measured at amortised cost	*(267.0)*	*(115.9)*	*(108.1)*	*(137.1)*	*(551.7)*	*(175.0)*	*(4,288.8)*	*(308.2)*
b) Financial assets measured at fair value through other comprehensive income	*10.5*	*(5.5)*	*(0.7)*	*(0.8)*	*(29.9)*	*(29.7)*	*(32.6)*	*(0.9)*
Net operating income	**(122.8)**	**126.9**	**142.0**	**166.1**	**(429.7)**	**540.0**	**(4,041.0)**	**(3.5)**
Net provisions for risks and charges	(53.7)	(16.6)	(51.3)	52.6	(142.1)	(27.6)	(66.8)	(39.6)
*of which commitments and guarantees issued***			*1.8*	*44.9*	*24.0*	*(19.8)*	*(53.4)*	*6.0*
Gains (losses) on investments	0.3	5.0	0.0	(4.0)	8.9	(19.1)	0.2	(4.0)
Restructuring costs / One-off costs	(140.6)	(27.8)	(16.3)	(17.0)	(34.5)	(278.0)	(17.7)	-
Risks and charges associated to the SRF, DGS and similar schemes	(7.6)	(28.6)	(25.9)	(69.0)	2.3	(31.2)	0.4	(63.4)
DTA Fee	(17.7)	(17.7)	(17.7)	(17.7)	(17.7)	(17.7)	(17.5)	(18.0)
Gains (losses) on disposal of investments	(0.1)	0.2	49.6	0.3	(2.3)	1.8	532.0	(0.3)
Profit (loss) before tax from continuing operations	**(342.2)**	**41.4**	**80.4**	**111.3**	**(615.2)**	**168.2**	**(3,610.6)**	**(128.6)**
Tax expense (recovery) on income from continuing operations	245.7	55.0	26.1	83.3	119.7	79.9	543.5	(33.5)
Net profit (loss) for the year including non-controlling interests	**(96.6)**	**96.4**	**106.5**	**194.6**	**(495.5)**	**248.1**	**(3,067.1)**	**(162.1)**
Net profit (loss) attributable to non-controlling interests	-	0.1	-	-	(0.1)	0.1	(0.1)	-
Profit (loss) for the year before PPA	**(96.6)**	**96.3**	**106.5**	**194.6**	**(495.6)**	**248.0**	**(3,067.0)**	**(162.1)**
PPA (Purchase Price Allocation)	(4.1)	(5.5)	(5.6)	(7.0)	(6.0)	(6.1)	(6.4)	(7.1)
Net profit (loss) for the year	**(100.7)**	**90.8**	**100.9**	**187.6**	**(501.6)**	**241.9**	**(3,073.4)**	**(169.2)**

** The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 9.*

*** The item "Net provisions for risks and charges" encompasses, for the comparative figures, what was previously booked under "Net impairment (losses)/reversals: other transactions".*

Revenue trends

In 2018, the Group recorded total **Revenues** of **EUR 3,288 mln**, down by 18.3% compared to the previous year, due to the downturn in Net profit (loss) from trading and financial assets/liabilities measured at amortised cost and fair value through profit and loss, which had benefitted in 2017 from the effects of burden-sharing. In 4Q18, Revenues fell by EUR 40 mln against the previous quarter. More specifically, Net interest income (EUR -11 mln), Other operating expenses and income (EUR -20 mln) and Net profit (loss) from trading and financial assets/liabilities (EUR -17 mln) decreased, while Net fee and commission income registered a recovery (EUR +7 mln).

Revenues deriving from contracts with customers were disaggregated according to customer type. The table below shows these revenues from customers reconciled with segment reporting.

SEGMENT REPORTING	Business Segments								Corporate Center		Total Montepaschi Group	
Primary Segment	Retail banking		Wealth Management		Corporate banking		Widiba					
(EUR mln)	31/12/18	Chg.. % Y/Y	31/12/18	Chg. % Y/Y	31/12/18	Chg. % Y/Y	31/12/18	Var. % Y/Y	31/12/18	Chg. % Y/Y	31/12/18	Chg. % Y/Y
PROFIT AND LOSS AGGREGATES												
Net interest income	989.2	-15.4%	7.5	-70.9%	565.2	-12.6%	51.5	65.6%	129.5	n.s.	1,742.8	-2.5%
Net fee and commission income, of which	1,240.1	-3.5%	115.1	-11.3%	310.5	-8.8%	17.1	24.4%	(159.4)	-17.2%	1,523.3	-3.4%
Fee and commission income	*1,261.6*	*n.d.*	*118.1*	*n.d.*	*361.5*	*n.d.*	*67.4*	*n.d.*	*(27.0)*	*n.d.*	*1,781.7*	*-6.6%*
Fee and commision expense	*(21.6)*	*n.d.*	*(3.1)*	*n.d.*	*(51.0)*	*n.d.*	*(50.3)*	*n.d.*	*(132.5)*	*n.d.*	*(258.4)*	*-21.9%*
Other income	5.9	-85.5%	0.4	-54.6%	(18.5)	n.s.	(0.1)	n.s.	73.6	-87.3%	61.3	-90.9%
Other operating expenses/income	13.3	n.s.	0.4	n.s.	(17.1)	90.4%	(0.4)	-64.0%	(36.1)	n.s.	(39.9)	n.s.
Total Income	2,248.5	-10.0%	123.3	-21.1%	840.2	-18.4%	68.0	56.1%	7.5	-97.5%	3,287.5	-18.3%

Net interest income in 2018 amounted to **EUR 1,743 mln**, down by 2.5% compared to 2017, mainly related to the negative trend of interest-bearing assets, in particular commercial loans (reduction in average volumes and decline in the related returns). This trend was partially mitigated by the decrease in interest expenses following the reduction in the cost of commercial funding and the maturity of bonds with more costly conditions (including those relating to burden sharing). The 4Q18 result decreased compared to the previous quarter (-2.5%).

Items	31 12 2018	31 12 2017*	Chg. Y/Y		4°Q 2018	3°Q 2018	Chg. Q/Q	
			Abs.	%			Abs.	%
Loans to customers measured at amortised cost	1,809.7	2,083.9	(274.2)	-13.2%	454.7	444.6	10.1	2.3%
Securities issued	(272.8)	(396.3)	123.5	-31.2%	(62.4)	(61.8)	(0.6)	1.0%
Net Differentials on hedging derivatives	(13.2)	(6.2)	(7.0)	n.s.	(9.8)	(2.8)	(7.0)	n.s.
Loans to Banks measured at amortised cost	3.9	(33.6)	37.5	n.s.	1.9	0.6	1.3	n.s.
Trading portfolios	35.3	45.3	(10.0)	-22.1%	8.4	10.3	(1.9)	-18.4%
Portfolios measured at fair value	46.0	(56.6)	102.6	n.s.	12.0	16.5	(4.5)	-27.3%
Financial assets measured at fair value through other comprehensive income	134.8	152.9	(18.1)	-11.8%	29.3	35.1	(5.8)	-16.5%
Other net interest income	(0.9)	(1.1)	0.2	-18.2%	(3.3)	(0.4)	(2.9)	n.s.
Net interest income	**1,742.8**	**1,788.3**	**(45.5)**	**-2.5%**	**430.8**	**442.1**	**(11.3)**	**-2.5%**
*of which: interest income on impaired financial assets***	267.5	447.8	(180.3)	-40.3%	57.2	63.3	(6.1)	-9.6%

** The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 9.*

*** Interest income on impaired financial assets is shown on a gross basis for 2017.*

Net fees and commissions, totalling **EUR 1,523 mln** as at 31 December 2018, recorded a 3.4% decline compared to the previous year, mainly on commissions from services due to lower income from payment services (Bancomat and cards), following the disposal of the merchant acquiring business on 30 June 2017, and on services connected with asset management, due primarily to lower income from product placement, only in part offset by growth in continuing business. The trend is up by 2.0% from the previous quarter, due in particular to the higher fees and commissions from asset management and from services (payment systems).

Services/value	31 12 2018	31 12 2017	Change Y/Y		4°Q 2018	3°Q 2018	Change Q/Q	
			abs.	%			abs.	%
Assets under management fee	**663.2**	**725.8**	**(62.7)**	**-8.6%**	**153.7**	**150.7**	**3.0**	**2.0%**
Product placement	224.8	315.9	(91.2)	-28.9%	43.9	42.9	1.1	2.5%
Continuing fees	354.0	331.1	22.9	6.9%	87.6	89.2	(1.6)	-1.8%
Placement of securities	39.2	41.6	(2.3)	-5.6%	9.5	8.2	1.4	16.8%
Sales of Protection	45.1	37.2	7.9	21.3%	12.7	10.5	2.2	21.1%
Fee and commisions from traditional activities	**1,049.1**	**1,084.5**	**(35.4)**	**-3.3%**	**256.0**	**246.5**	**9.5**	**3.8%**
Credit fees	519.5	488.2	31.4	6.4%	120.4	117.4	3.0	2.6%
fees from foreign service	53.5	59.0	(5.5)	-9.4%	11.9	13.5	(1.6)	-11.9%
Other services	476.1	537.4	(61.3)	-11.4%	123.7	115.6	8.1	7.0%
Other fee and commission income	**(189.0)**	**(233.8)**	**44.9**	**-19.2%**	**(49.3)**	**(43.9)**	**(5.5)**	**12.4%**
Net fees and commission income	**1,523.3**	**1,576.5**	**(53.2)**	**-3.4%**	**360.4**	**353.4**	**7.0**	**2.0%**

Dividends, similar income and gains (losses) on equity investments, lower than those at 31 December 2017, totalled **EUR 75 mln**, mainly due to the AXA-MPS contribution[9]. In 4Q18, this component recorded a decline compared to the previous quarter (EUR -1 mln).

Net profit (loss) from trading and financial assets/liabilities measured at amortised cost and at fair value through profit and loss in 2018 totalled **EUR -13 mln** (detailed below), down from the previous year (EUR 575 mln), which included the effects relating to the burden-sharing operation. An analysis of the main aggregates shows the following:

- **Net profit (loss) from trading amounting to EUR +34 mln**, marking growth over 31 December 2017 as well as compared to the previous quarter;
- **Net profit (loss) from financial assets/liabilities measured at fair value through profit and loss was a negative EUR 85 mln** (as at 31 December 2017, the loss was EUR -3 mln), attributable to the negative net results of assets/liabilities measured at fair value as per mandatory requirements;
- **Gains on disposals/repurchases for a positive EUR 38 mln**, down against last year (EUR 578 mln in 2017), which had been impacted by the effects of the burden-sharing operation. Down compared to 3Q18 due to losses from disposals of receivables and securities.

[9] *AXA-MPS was consolidated in the Group's financial statements using the equity method.*

Items	31 12 2018	31 12 2017*	Chg. Y/Y		4°Q 2018	3°Q 2018	Chg. Q/Q	
			Abs.	%			Abs.	%
Financial assets held for trading	(81.8)	(51.2)	(30.6)	59.9%	65.6	(57.7)	123.3	n.s.
Financial trading liabilities	103.7	33.9	69.8	n.s.	(50.6)	54.4	(105.0)	n.s.
Exchange rate effects	22.4	10.5	11.9	n.s.	3.6	4.4	(0.8)	-18.2%
Derivatives	(10.1)	7.0	(17.1)	n.s.	5.4	5.3	0.1	1.9%
Trading results	**34.2**	**0.2**	**34.0**	**n.s.**	**24.0**	**6.4**	**17.6**	**n.s.**
Net profit (loss) from financial assets and liabilities measured at fair value through profit and loss	(85.4)	(3.4)	(82.0)	n.s.	(21.1)	(15.5)	(5.6)	36.1%
Disposal / repurchase	38.2	578.0	(539.8)	-93.4%	(21.7)	7.1	(28.8)	n.s.
Net profit (loss) from trading and financial assets and liabilities measured amortised cost and measuerd at fair value through profit and loss	**(13.0)**	**574.8**	**(587.8)**	**n.s.**	**(18.8)**	**(2.0)**	**(16.8)**	**n.s.**

* *The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 9.*

The following items also make up Revenues:

- **Net profit (loss) from hedging amounting to EUR -0.2 mln**, an improvement compared to 31 December 2017 and 3Q18;
- **Other operating income/expense was negative for EUR 40 mln, a decrease with respect to the end of 2017** (EUR -11 mln in 2017) and also down compared to the previous quarter (EUR -20 mln), primarily due to higher expenses for rulings, settlement agreements and contingent liabilities.

Operating expenses

Operating expenses totalled **EUR 2,351 mln** as at 31 December 2018, down 7.6% on the previous year. 4Q18 recorded an increase of 13.2% over 3Q18 (EUR +74 mln), due mainly to the trend in Other administrative expenses and Net adjustments to/recoveries on property, plant and equipment. A closer look at the individual aggregates reveals the following:

- **Administrative expenses** were **EUR 2,101 mln**, down by EUR 179 mln over the previous year (-7.9 Y/Y) and up by EUR 50 mln over 3Q18. A breakdown of the aggregate shows:
  - **Personnel Expenses**, which totalled **EUR 1,463 mln**, declined year on year by 7.1% (EUR -113 mln) mainly as a result of workforce downsizing, also due to the Solidarity Fund initiatives of 1 May and 1 November 2017. This trend is substantially in line with the previous quarter;
  - **Other Administrative Expenses** stood at **EUR 638 mln**, down by 9.4% against 2017, attributable to structural cost control measures which involved, in particular, the management of the real estate segment, and of legal expenses connected to the debt collection, as well as the ICT segment (also following the disposal of the acquiring division in June 2017). The expenses posted in 4Q18 were higher than those of the previous quarter.
- **Net value adjustments to property, plant and equipment and intangible assets** as at 31 December 2018 amounted to **EUR 250 mln**, lower than the values in the previous year (-5.0%), which was impacted in particular by higher write-downs. Growth compared to the previous quarter (+42.3% Q/Q) due to higher impairment on property, plant and equipment.

Type of transaction	31 12 2018	31 12 2017	Chg Y/Y		4°Q 2018	3°Q 2018	Chg Q/Q	
			Abs.	%			Abs.	%
Wages and salaries	(1,058.3)	(1,137.5)	79.2	-7.0%	(265.6)	(263.7)	(1.9)	0.7%
Social-welfare charges	(287.3)	(308.2)	20.9	-6.8%	(71.1)	(71.6)	0.5	-0.7%
Other personnel expenses	(117.3)	(129.7)	12.4	-9.6%	(28.2)	(28.7)	0.5	-1.7%
Personnel expenses	**(1,462.9)**	**(1,575.4)**	**112.5**	**-7.1%**	**(364.9)**	**(364.0)**	**(0.9)**	**0.2%**
Taxes	(236.0)	(263.5)	27.5	-10.4%	(49.0)	(53.0)	4.0	-7.5%
Furnishing, real estate and security expenses	(154.3)	(171.4)	17.1	-10.0%	(37.9)	(38.3)	0.4	-1.0%
General operating expenses	(193.0)	(201.5)	8.5	-4.2%	(50.1)	(45.0)	(5.1)	11.3%
Information technology expenses	(153.0)	(166.7)	13.7	-8.2%	(41.7)	(37.3)	(4.4)	11.8%
Legal and professional expenses	(136.2)	(172.8)	36.6	-21.2%	(60.6)	(30.0)	(30.6)	n.s.
Indirect personnel costs	(10.2)	(11.4)	1.2	-10.5%	(5.9)	(1.1)	(4.8)	n.s.
Insurance	(42.0)	(29.2)	(12.8)	43.8%	(10.0)	(12.5)	2.5	-20.0%
Advertising, sponsorship and promotions	(5.9)	(12.5)	6.6	-52.8%	(1.4)	(1.0)	(0.4)	40.0%
Other	6.1	1.5	4.5	n.s.	4.3	1.5	2.9	n.s.
Expenses recovery	286.8	323.2	(36.4)	-11.3%	62.8	76.5	(13.7)	-17.9%
Other administrative expenses	**(637.7)**	**(704.3)**	**66.5**	**-9.4%**	**(189.5)**	**(140.2)**	**(49.2)**	**35.1%**
Tangible assets	(150.7)	(133.1)	(17.6)	13.2%	(54.8)	(31.2)	(23.6)	75.6%
Intangible assets	(99.4)	(130.3)	30.9	-23.7%	(26.2)	(25.7)	(0.5)	1.9%
Amortization and impairment losses	**(250.1)**	**(263.4)**	**13.3**	**-5.0%**	**(81.0)**	**(56.9)**	**(24.1)**	**42.3%**
Operating costs	**(2,350.7)**	**(2,543.0)**	**192.3**	**-7.6%**	**(635.4)**	**(561.1)**	**(74.2)**	**13.2%**

As a result of these trends, the Group's **Gross Operating Income** totalled **EUR 937 mln** (EUR 1,483 mln as at 31 December 2017), with a contribution of EUR 134 mln of 4Q18, down compared to the previous quarter.

Net impairment (losses)/reversals on financial assets measured at amortised cost and financial assets measured at fair value through other comprehensive income

As at 31 December 2018, the Group accounted **Net impairment (losses)/reversals on financial assets measured at amortised cost and at fair value through other comprehensive income** for **EUR 625 mln**, down EUR 4.8 bn from the previous year, which mainly included adjustments to loans recorded on the perimeter of bad loans transferred following the adjustment to their realisable value. Growth compared to 3Q18 primarily due to the increase in defaults and increases in coverage on already non-performing positions.

The ratio of net impairment losses on loans to total Loans to Customers as at 31 December 2018 shows a **Provisioning Rate of 72 bps**.

	31 12 2018	31 12 2017*	Chg. Y/Y		4°Q 2018	3°Q 2018	Chg. Q/Q	
			Abs.	%			Abs.	%
Loans to banks measured at amortised cost	1.1	(1.7)	2.8	n.s.	0.3	3.0	(2.7)	-90.0%
- Loans	0.6	(2.2)	2.8	n.s.	(0.2)	1.7	(1.9)	n.s.
- Debt securities	0.5	0.5	-	0.0%	0.5	1.3	(0.8)	-61.5%
Loans to customers measured at amortised cost	(616.5)	(5,322.0)	4,705.5	-88.4%	(261.4)	(117.3)	(144.1)	n.s.
- Loans	(612.7)	(5,322.2)	4,709.5	-88.5%	(259.5)	(115.7)	(143.8)	n.s.
- Debt securities	(3.8)	0.2	(4.0)	n.s.	(1.9)	(1.6)	(0.3)	18.8%
Gains (losses) due to modifications in contractual cash flows without derecognition	(12.7)	-	(12.7)	n.s.	(5.9)	(1.5)	(4.4)	n.s.
Impairmet loss on loans measured at amortised cost	**(628.1)**	**(5,323.7)**	**4,695.6**	**-88.2%**	**(267.0)**	**(115.8)**	**(151.2)**	**n.s.**
Financial assets measured at fair value through comprehensive income	3.5	(93.1)	96.6	n.s.	10.5	(5.5)	16.0	n.s.
Total adjustments due to credit risk	**(624.6)**	**(5,416.8)**	**4,792.2**	**-88.5%**	**(256.5)**	**(121.3)**	**(135.2)**	**n.s.**

** The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 9.*

The Group's **Net Operating Income** in 2018 was **approximately EUR +312 mln**, compared to EUR -3,934 mln in the previous year. Negative result for the quarter of EUR 123 mln, down by EUR 250 mln compared to the previous quarter primarily as a result of growth in net impairment losses on financial assets and operating expenses.

Non-operating income, tax and net profit for the year

The **Result for the year** included the following items:

- **Net provisions for risks and charges** of **EUR -69 mln**, net negative impact attributable primarily to the provisions for legal actions and commitments assumed by the bank in relation to transactions with customers, partly offset by the revaluation of the commitment assumed to cover the hedging costs of the vehicle with regard to the disposal of bad loans as per the binding agreement signed on 26 June 2017 with Quaestio, charged to the transferor. As at 31 December 2017, a negative balance of EUR 276 mln was registered, adversely impacted by the higher provisions for legal actions and the negative valuation of the commitment undertaken vis-à-vis the above vehicle.
- **Gains on investments** of around **EUR 1 mln** compared to a loss of EUR 14 mln registered on 31 December 2017, mainly due to impairment losses on the associates Trixia, Interporto Toscano and Fidi Toscana. The 4Q18 result decreased compared to the previous quarter, which had benefitted from the increase in the value of the equity investment in Fondo Etrusco.
- **Restructuring costs/One-off costs**, totalling **EUR -202 mln**, mainly encompass the costs set aside for early retirement incentives/solidarity fund for EUR 150 mln, partially offset by recoveries recognised by INPS for previous early retirement/solidarity fund manoeuvres (EUR +35 mln) and the charges relating to projects, also seeking to implement the commitments made with DGComp

(for a total of EUR -87 mln, including the expected loss from the sale of the subsidiary BMP Belgio S.A. of EUR -59 mln).

- **Risks and charges associated with SRF, DGS and similar schemes**, amounting to **EUR -131 mln**, comprised of i) the ordinary contribution of EUR 69 mln to the Single Resolution Fund (SRF) accounted for in the first quarter of 2018, ii) the additional amount of EUR 26 mln paid to the National Resolution Fund (NRF) accounted for in the second quarter of 2018 and iii) the total contribution of EUR 36 mln recognised to the DGS in the second half of the year.
- **DTA Fee**, amounting to **EUR -71 mln**. This amount, determined according to the criteria set forth in Law Decree 59/2016, converted into Law no. 119 of 30 June 2016, represents the fee as at 31 December 2018 on DTAs (Deferred Tax Assets) that can be converted into a tax credit.
- **Gains on disposal of investments**, for an amount of **EUR 50 mln**, attributable essentially to income on the sale of Juliet, completed in 2Q18. As at 31 December 2017, the aggregate was a positive EUR 531 mln, attributable primarily to the gain from the disposal of the merchant acquiring business unit.

Due to the trends discussed above, the Group's **Loss before tax from continuing operations** stood at **EUR -109 mln**, up compared to the levels as at 31 December 2017, which had recorded a loss of EUR -4,186 mln.

Tax expense (recovery) on income amounted to income of **EUR +410 mln**. This result can essentially be attributed to the new tax regulations introduced by the Financial Measure for 2019, the assessment of DTAs from tax losses accrued but not recognised in previous years and the ACE deduction attributable to the year.

Considering the net effects of the PPA (EUR -22 mln), **the Group consolidated profit as at 31 December 2018 amounted to EUR 279 mln**, compared to a loss of EUR 3,502 mln in 2017.

*****

In compliance with Consob instructions, following is a statement of the reconciliation of the Shareholders' equity and Net profit and loss for the year of the Parent Company with the consolidated items:

Reconciliation between Parent Company and Consolidated Net Equity and Profit (Loss) for the period

	Shareholders' equity	Net profit (loss)
Parent Company's net equity	8,312.1	(111.9)
of which Parent Company's valuation reserves	*(276.9)*	-
Impact of line-by-line consolidation of subsidiaries	(2,003.7)	498.4
Impact of associates	*230.3*	70.5
Reversal of dividends from subsidiaries	-	(89.2)
Effect of write-off of depreciation/revaluation of equity investments	*2,916.1*	377.1
Other adjustments	(563.0)	(466.1)
Subsidiaries' valuation reserves	*100.2*	-
Consolidated balance	**8,992.0**	**278.6**
of which valuation reserves	*(176.7)*	

Reclassified balance sheet

Reclassified Balance Sheet				
ASSETS	31 12 2018	31 12 2017*	Chg	
			abs.	%
Cash and cash equivalents	950.6	4,092.3	(3,141.7)	-76.8%
Financial assets measured at amortised cost :				
a) Loans to customers	86,855.5	86,456.3	399.2	0.5%
b) Loans to banks	12,504.2	9,966.2	2,538.0	25.5%
Financial assets measured at fair value	20,296.2	24,168.4	(3,872.2)	-16.0%
Equity investments	922.8	1,034.6	(111.8)	-10.8%
Property, plant and equipment / Intangible assets	2,727.3	2,897.4	(170.1)	-5.9%
of which:				
a) goodwill	*7.9*	*7.9*	-	
Other assets	6,224.4	10,539.0	(4,314.6)	-40.9%
Total assets	**130,481.0**	**139,154.2**	**(8,673.2)**	**-6.2%**

LIABILITIES	31 12 2018	31 12 2017*	Chg	
			abs.	%
Payables				
a) Deposits from customers and securities issued	90,471.7	97,801.8	(7,330.1)	-7.5%
b) Deposits from banks	21,986.3	21,084.9	901.4	4.3%
Financial liabilities held for trading	3,175.7	4,476.9	(1,301.2)	-29.1%
Provisions for specific use	-	-	-	
a) Provisions for staff severance indemnities	192.1	199.5	(7.4)	-3.7%
b) Provisione related to guarantees and other commitments given	242.4	226.4	16.0	7.1%
c) Pensions and other post retirement benefit obligations	37.9	50.1	(12.2)	-24.4%
d) Other provisions	1,199.9	1,088.4	111.5	10.2%
Other liabilities	4,180.8	3,794.8	386.0	10.2%
Group net equity	8,992.0	10,429.1	(1,437.1)	-13.8%
a) Valuation reserves	(176.7)	51.7	(228.4)	n.s.
c) Equity instruments carried at equity	-	-	-	
d) Reserves	(1,124.8)	3,864.8	(4,989.6)	n.s.
e) Share premium	-	-	-	-
f) Share capital	10,328.6	10,328.6	-	-
g) Treasury shares (-)	(313.7)	(313.7)	-	-
h) Net profit (loss) for the year	278.6	(3,502.3)	3,780.9	n.s.
Non-controlling interests	2.2	2.3	(0.1)	-4.3%
Total Liabilities and Shareholders' Equity	**130,481.0**	**139,154.2**	**(8,673.2)**	**-6.2%**

** The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 9.*

Reclassified Balance Sheet - Quarterly Trend								
ASSETS	31/12/18	30/09/18	30/06/18	31/03/18	31/12/17*	30/09/17*	30/06/17*	31/03/17*
Cash and cash equivalents	950.6	714.1	721.2	896.9	4,092.3	821.9	843.1	879.1
Financial assets measured at amortised cost :	-							
a) Loans to customers	86,855.5	87,464.9	87,010.1	89,320.4	86,456.3	91,041.1	89,713.1	102,406.9
b) Loans to banks	12,504.2	8,724.2	8,636.3	6,374.5	9,966.2	12,897.0	13,116.4	8,451.4
Financial assets measured at fair value	20,296.2	25,430.0	29,257.2	25,652.3	24,168.4	25,403.0	24,089.8	26,511.8
Equity investments	922.8	905.1	896.8	1,075.8	1,034.6	1,001.2	1,023.6	1,013.0
Property, plant and equipment / Intangible assets	2,727.3	2,746.9	2,789.9	2,831.2	2,897.4	2,878.6	2,889.6	2,940.0
of which:	-							
a) goodwill	*7.9*	*7.9*	*7.9*	7.9	*7.9*	*7.9*	*7.9*	*7.9*
Other assets	6,224.4	6,199.8	6,411.4	10,620.6	*10,539.0*	11,056.3	11,913.9	6,602.4
Total assets	**130,481.0**	**132,185.0**	**135,722.8**	**136,771.8**	**139,154.2**	**145,099.1**	**143,589.5**	**148,804.6**

LIABILITIES	31/12/18	30/09/18	30/06/18	31/03/18	31/12/17*	30/09/17*	30/06/17*	31/03/17*
Payables								
a) Deposits from customers and securities issued	90,471.7	93,906.0	96,833.9	97,856.8	97,801.8	102,968.4	106,543.9	109,390.0
b) Deposits from banks	21,986.3	20,838.9	20,794.8	20,483.1	21,084.9	21,566.1	22,802.8	22,837.5
Financial liabilities held for trading	3,175.7	3,000.6	3,173.6	3,625.4	4,476.9	4,201.1	4,449.9	4,412.4
Provisions for specific use								
a) Provisions for staff severance indemnities	192.1	194.6	196.3	197.3	199.5	234.7	233.7	252.5
b) Provisione related to guarantees and other commitments given	242.4	219.2	209.7	223.4	226.4	249.3	230.6	177.2
c) Pensions and other post retirement benefit obligations	37.9	40.5	43.8	49.4	50.1	45.9	47.3	52.5
d) Other provisions	1,199.9	1,067.4	1,112.5	1,086.6	1,088.4	959.8	958.8	954.2
Other liabilities	4,180.8	3,946.7	4,361.5	3,949.2	3,794.8	3,927.1	5,272.6	4,684.0
Group net equity	8,992.0	8,968.9	8,994.5	9,298.3	10,429.1	10,944.5	3,047.7	6,041.9
a) Valuation reserves	(176.7)	(305.0)	(194.0)	196.7	51.7	60.5	102.0	7.4
c) Equity instruments carried at equity	-	-	-	-	-	-	-	-
d) Reserves	(1,124.8)	(1,120.3)	(1,114.9)	(1,100.8)	3,864.8	(1,494.4)	(1,177.4)	(1,162.0)
e) Share premium	-	-	-	-	-	-	-	-
f) Share capital	10,328.6	10,328.6	10,328.6	10,328.6	10,328.6	15,692.8	7,365.7	7,365.7
g) Treasury shares (-)	(313.7)	(313.7)	(313.7)	(313.7)	(313.7)	(313.7)	-	-
h) Net profit (loss) for the year	278.6	379.3	288.5	187.5	(3,502.3)	(3,000.7)	(3,242.6)	(169.2)
Non-controlling interests	2.2	2.2	2.2	2.3	2.3	2.2	2.2	2.4
Total Liabilities and Shareholders' Equity	**130,481.0**	**132,185.0**	**135,722.8**	**136,771.8**	**139,154.2**	**145,099.1**	**143,589.5**	**148,804.6**

** The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 9.*

Customer funding

The Group's **total funding** as at 31 December 2018 amounted to **EUR 187.0 bn**, down by EUR 6.7 bn with respect to 31 December 2017 and by EUR 6.3 bn compared to 30 September 2018 mainly on the direct funding component.

Background

In the first ten months of 2018, direct funding remained basically unchanged with respect to the same period of the previous year. An analysis of the various components shows the net gap between short-term and medium/long-term sources. Deposits from resident consumer clients (net of repurchase agreements with central counterparties and deposits connected with the assignment of receivables) recorded a year-on-year change of +2.5% in October 2018, while the annual change in bonds was -15.6% (EUR 36 bn). It is appropriate to recall that in the next two years, bank bonds of roughly EUR 100 bn will reach their maturity and that the imminent revision of European regulations on the MREL requirement, binding for the majority of significant Italian banking groups, could make further new issues necessary, particularly of subordinated securities. The recent difficulties in accessing international wholesale markets, which rose following tensions in the government bond market, could amplify negative effects on the availability of credit for the economy, in and of themselves possible due to the introduction of the MREL requirement.

With reference to interest rates, the average rate on deposits of non-financial companies and households remained unchanged compared to 2017 in the first ten months of the year, standing at 0.39% in October, while the average rate on bonds, standing at 2.42% in October, continued to decline (-18 basis points below the level in December 2017). The average weighted cost of direct funding for the ABI sample, which includes larger banks, in any event continued to decline, reaching 0.53% in October (0.66% in December 2017).

In terms of assets under management, after an extremely positive 2017, with net funding from mutual funds which more than doubled compared to the figure recorded in 2016 (around EUR 77,300 mln against EUR 34,400 mln), the first eleven months of 2018 recorded a sudden and significant downturn (only EUR 1,600 mln in net funding), due essentially to redemptions from bond funds. Funding on individual retail portfolio management, after a positive 2017 with flows of EUR 4,093 mln, recorded a considerable inversion of the trend in 2018, with negative net flows in November 2018 for EUR 3,796 mln. In November 2018, assets under management from open-ended funds were 4.2% lower than the levels of December 2017, with the stock relating to individual portfolio management down by 7.3%.

Customer Funding				Chg Q/Q		Chg Y/Y	
	31/12/18	30/09/18	31/12/17	Abs.	%	Abs.	%
Direct funding	90,471.7	93,906.0	97,801.8	(3,434.3)	-3.7%	(7,330.1)	-7.5%
Indirect funding	96,488.6	99,352.3	95,845.7	-2,863.8	-2.9%	642.9	0.7%
Total funding	**186,960.3**	**193,258.3**	**193,647.5**	**-6,298.1**	**-3.3%**	**(6,687.2)**	**-3.5%**

Volumes of **Direct Funding**, which stood at **EUR 90.5 bn**, recorded a decrease of EUR 7.3 bn compared to the end of December 2017 (primarily due to the bond component), and a drop of EUR 3.4 bn compared to the end of September 2018, due mainly to the decrease in current accounts (EUR -2.6 bn) and Bonds (EUR -0.6 bn).

The Group's market share[10] on Direct funding was 3.66% (figure updated in November 2018), down slightly compared to the end of 2017.

[10] Deposits and repurchase agreements (excluding repurchase agreements with central counterparties) from resident consumer clients and bonds net of repurchases placed with ordinary resident customers as first-instance borrowers.

Direct funding							
				Change Q/Q		Change Y/Y	
Type of transaction	31/12/18	30/09/18	31/12/17	Abs.	%	Abs.	%
Current accounts	53,156.0	55,738.7	51,465.5	(2,582.7)	-4.6%	1,690.5	3.3%
Time deposits	8,871.4	8,528.0	10,469.0	343.4	4.0%	(1,597.6)	-15.3%
Reverse repurchase agreements	10,137.0	10,595.4	8,572.3	(458.4)	-4.3%	1,564.7	18.3%
Bonds	11,052.4	11,615.8	18,521.7	(563.4)	-4.9%	(7,469.3)	-40.3%
Other types of direct funding	7,254.9	7,428.1	8,773.3	(173.2)	-2.3%	(1,518.4)	-17.3%
Total	**90,471.7**	**93,906.0**	**97,801.8**	**(3,434.3)**	**-3.7%**	**(7,330.1)**	**-7.5%**

Indirect funding came to **EUR 96.5 bn**, a slight increase from 31 December 2017 (EUR +0.6 bn), due mainly to assets under custody, which was influenced by the movement in a large corporate position. The comparison with 30 September 2018 shows indirect funding down by EUR -2.9 bn, in particular the assets under management component.

As regards **Assets under management**, which amounted to **EUR 55.9 bn**, this aggregate was down compared to the end of December 2017 and September 2018, mainly due to the market effect.

Indirect Funding							
				Change Q/Q		Change Y/Y	
	31/12/18	30/09/18	31/12/17	Abs.	%	Abs.	%
Assets under management	55,887.7	58,454.5	58,599.4	(2,566.8)	-4.4%	(2,711.6)	-4.6%
Mutual Funds/Sicav	*26,308.4*	*28,175.8*	*28,477.9*	(1,867.4)	*-6.6%*	(2,169.5)	*-7.6%*
Individual Portfolio under Management	*5,015.9*	*5,415.6*	*5,933.0*	(399.7)	*-7.4%*	(917.0)	*-15.5%*
Insurance Products	*24,563.4*	*24,863.1*	*24,188.5*	-299.7	*-1.2%*	374.9	*1.5%*
Assets under custody	40,600.8	40,897.8	37,246.3	-297.0	-0.7%	3,354.5	9.0%
Total funding	**96,488.6**	**99,352.3**	**95,845.7**	-2,863.8	**-2.9%**	642.9	**0.7%**

Loans to customers

The book value of Loans to Customers in 2018 was impacted by both:

- the effects of the reclassification attributable to the introduction of IFRS 9, which led to a total net reduction of EUR 0.1 bn, due to decreases following reclassifications to other financial assets measured at fair value as per mandatory requirements (EUR -1.1 bn) offset by increases following reclassifications of bond securities from financial assets available for sale, formerly AFS (EUR +1 bn);
- and the negative impact stemming from the transition from IAS 39 to IFRS 9, connected to the new provisions regarding impairment (higher Expected Credit Losses – ECL) of cash exposures (in addition to endorsement credit exposures), amounting to EUR 1.5 bn, before the tax effect, booked to equity.

Background

The first ten months of 2018 recorded modest growth in private sector bank loans, nonetheless more sustained than 2017, due to an increase in demand and persistently relaxed supply conditions, despite a slight deterioration witnessed in the summer of 2018. In October, the annual increase of the aggregate was 2.6%, compared to the growth rate in 2017 of 1.1%. The gap remains wide between the trend in lending to households (up 2.8% during the period) and to non-financial companies, which in any event showed a recovery of 1.4% in October, after a substantially stagnant 2017. The former were impacted by increasingly more encouraging signs of recovery of disposable income and the favourable prospects of the real estate market, while the increase in the demand for loans from companies was sustained primarily by the still contained cost of credit and the requirements for loans for stocks and working capital.

With regard to interest rates, in October 2018 the interest rate on the total stock of loans to households and non-financial companies was 2.58%, 11 basis points lower than that recorded in December 2017 and 17 basis points down on the figures for October 2017. Interest rates on new disbursements were up slightly starting in August, impacted by the widening yield spread on sovereign bonds, but their average in 2018 remains lower than that of 2017; the rate referring to loans to households for home purchases in 2018 was 1.85% on average (-21 basis points compared to an average of 2.06% in 2017) and that for non-financial companies was on average 1.49%, compared to 1.55% in 2017. The rate on new loans of less than EUR 1 mln to non-financial companies in the first ten months of 2018 was on average 1.96%, down 16 basis points compared to the average of 2.12% in 2017.

The considerable decline in stocks and flows of bad loans continued throughout the first ten months of 2018, similar to what took place in 2017. The stock levels in October were 30.6% lower than October 2017. After EUR 38,705 mln was eliminated from banks' financial statements in 2017, the first ten months of 2018 registered further disposals of EUR 45,490 mln, in line with the reduction plans presented by them. Net of the disposal transactions, the change in the stock of bad loans Y/Y as at October 2018 was positive in any event, and stood at 5.99% (it was 8.40% in October 2017). Net of allowances for impairment, bad loans represented approximately 2.15% of bank loans, down compared to the average of 3.8% in 2017.

As at 31 December 2018, the Group's **Loans to customers** stood at **EUR 86.9 bn**, up EUR +0.4 bn compared to the end of December 2017, within which an increase was registered by securities (following the recognition of senior notes deriving from the securitisation transaction and the purchase of government bonds in 4Q18) and mortgages, partially offset by the decrease in non-performing loans (EUR -3.1 bn), repurchase agreements, current accounts and other loans. Down compared to 30 September 2018, in particular on mortgages, current accounts, non-performing loans and other loans, offset only in part by the growth in securities lending (following the acquisition of government bonds during the quarter). This item was also affected by the negative impact stemming from the transition from IAS 39 to IFRS 9, connected to the new provisions regarding impairment, amounting to EUR 1.5 bn.

The Group's market share[11] stood at 5.30% (last available figure from November 2018), a decrease, due to transfers, of 120 basis points compared to the end of 2017.

[11] Loans to ordinary resident customers, including bad loans and net of repo transactions with central counterparties.

Loans to customers								
				Change Q/Q		Change Y/Y		
Type of transaction	31/12/18	30/09/18	31/12/17*	Abs.	%	Abs.	%
Current accounts	4,941.0	5,239.0	5,757.5	(298.0)	-5.7%	(816.5)	-14.2%
Mortgages	48,217.0	48,880.7	46,868.4	(663.7)	-1.4%	1,348.6	2.9%
Other forms of lending	15,614.7	17,341.4	17,903.5	(1,726.7)	-10.0%	(2,288.8)	-12.8%
Repurchase agreements	3,394.9	3,380.8	4,524.8	14.1	0.4%	(1,129.9)	-25.0%
Securities lending	7,386.0	4,636.0	1,050.1	2,750.0	59.3%	6,335.9	n.s.
Non performing loans	7,301.9	7,987.0	10,352.0	(685.1)	-8.6%	(3,050.1)	-29.5%
Total	**86,855.5**	**87,464.9**	**86,456.3**	**(609.4)**	**-0.7%**	**399.2**	**0.5%**
Stage 1	*66,899.8*	*63,417.2*		*3,482.6*	*5.5%*		
Stage 2	*12,653.8*	*16,060.7*		*(3,406.9)*	*-21.2%*		
Stage 3	*7,301.9*	*7,987.0*		*(685.1)*	*-8.6%*		

**The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 9.*

In 4Q18, the medium/long-term component recorded new disbursements of EUR 2.1 bn, down compared to 3Q18 (EUR -0.7 bn) and up Y/Y (EUR +3.7 bn).

Non-performing loans

As at 31 December 2018, the Group's **exposure to gross non-performing loans** totalled **EUR 16.8 bn**, down compared to both the end of December 2017 (EUR -26.1 bn, essentially due to the deconsolidation of bad loans subject to disposal) and 30 September 2018 (EUR -2.7 bn). The gross exposure of the bad loans component fell by EUR 22.5 bn compared to 31 December 2017, mainly due to the deconsolidation cited above, and 30 September 2018 (EUR -1.1 bn). The exposure of unlikely to pay also fell by EUR 3.3 bn over December 2017 and EUR 1.4 bn over September 2018, which was also impacted by the transfers performed in the quarter. Non-performing past-due exposures declined by EUR 0.3 bn compared to the end of 2017 and by EUR 0.2 bn compared to 30 September 2018.

As at 31 December 2018, the Group's **net exposure in terms of non-performing loans** totalled **EUR 7.9 bn**, down compared to 31 December 2017 (EUR -6.9 bn), primarily due to the above-mentioned deconsolidation, as well as 30 September 2018 (EUR -0.6 bn). The net exposure of the bad loans component fell by roughly EUR 4.3 bn compared to 31 December 2017, and was up slightly compared to 30 September 2018 (EUR +0.2 bn). The net exposure of unlikely to pay also fell by EUR 2.4 bn over December 2017 and EUR 0.7 bn over 30 September 2018. Non-performing past-due exposures were down EUR 0.2 bn over 31 December 2017 and essentially stable with respect to September 2018 (EUR -0.1 bn).

An improvement in the ratio of net non-performing loans to net loans to customers was recorded in the quarter, which dropped from 9.6% in September 2018 to 9.0% in December 2018. Within the aggregate, the incidence of Past due exposures remained essentially stable in the quarter with respect to September 2018, while the incidence of Unlikely to pay fell from 5.9% in September 2018 to 5.2% in December 2018. By contrast, the incidence of net bad loans rose from 3.4% in September 2018 to 3.7% in December 2018.

In the tables below, non-performing financial assets include all cash exposures regardless of the accounting portfolio they belong to, with the exception of equity securities, UCITS, assets held for trading and hedging derivatives. Moreover, the gross value and the adjusting provisions of non-performing financial assets are shown net of arrears interest and of the relative adjustments. Performing customer loan exposures are represented by loans at amortised cost and loans measured at fair value as per mandatory requirements.

Loans to customers		Bad loans	Unlikely to pay	Non-performing Past due	**Non-performing exposures**	Perfoming exposures	**Total**	*- of which forbone impaired*	*- of which forborne not impaired*
31 12 18	Gross exposure	8,584.1	8,065.7	177.5	**16,827.3**	80,423.2	**97,250.5**	*6,522.1*	*2,195.3*
	Provisions	5,360.0	3,550.5	32.5	**8,943.0**	658.8	**9,601.8**	*2,887.7*	*174.0*
	Net exposure	3,224.1	4,515.2	145.0	**7,884.3**	79,764.4	**87,648.7**	*3,634.4*	*2,021.3*
	Coverage ratio	*62.4%*	*44.0%*	*18.3%*	***53.1%***	*0.8%*	***9.9%***	*44.3%*	*7.9%*
	% on Loans to custome	*3.7%*	*5.2%*	*0.2%*	***9.0%***	*91.0%*	***100.0%***		
30 09 18	Gross exposure	9,686.0	9,458.6	372.4	**19,517.0**	80,832.4	**100,349.4**	*7,197.6*	*2,323.0*
	Provisions	6,645.9	4,247.2	112.7	**11,005.8**	780.5	**11,786.3**	*3,179.0*	*164.5*
	Net exposure	3,040.1	5,211.4	259.7	**8,511.2**	80,051.9	**88,563.1**	*4,018.6*	*2,158.5*
	Coverage ratio	*68.6%*	*44.9%*	*30.3%*	***56.4%***	*1.0%*	***11.7%***	*44.2%*	*7.1%*
	% on Loans to custome	*3.4%*	*5.9%*	*0.3%*	***9.6%***	*90.4%*	***100.0%***		
31 12 17*	Gross exposure	31,045.3	11,374.2	488.8	**42,908.3**	76,794.6	**119,702.8**	*9,465.1*	*2,465.8*
	Provisions	23,513.7	4,494.4	102.1	**28,110.2**	551.2	**28,661.3**	*4,328.6*	*95.3*
	Net exposure	7,531.6	6,879.8	386.7	**14,798.1**	76,243.4	**91,041.5**	*5,136.5*	*2,370.5*
	Coverage ratio	*75.7%*	*39.5%*	*20.9%*	***65.5%***	*0.7%*	***23.9%***	*45.7%*	*3.9%*
	% on Loans to custome	*8.3%*	*7.6%*	*0.4%*	***16.3%***	*83.7%*	***100.0%***		

** The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 9.*

As at 31 December 2018, the **percentage coverage** of non-performing loans stood at 53.1%, a reduction compared to 31 December 2017 (65.5%), mainly as a result of the deconsolidation of the loans transferred, as mentioned above, and a decline when compared to 30 September 2018 (56.4%).

Changes in gross exposures *

		Bad loans	Unlikely to pay	Non performing past due	**Non performing exposures**	Performing exposures	**Total**	*- of which forbone impaired*	*- of which forborne not impaired*
Q/Q	abs.	(1,101.9)	(1,392.9)	(194.9)	**(2,689.7)**	(409.2)	**(3,098.9)**	*(675.5)*	*(127.7)*
	%	-11.4%	-14.7%	-52.3%	**-13.8%**	-0.5%	**-3.1%**	*-9.4%*	*-5.5%*
Y/Y	abs.	(22,461.2)	(3,308.5)	(311.3)	**(26,081.0)**	3,628.6	**(22,452.3)**	*(2,943.0)*	*(270.5)*
	%	-72.3%	-29.1%	-63.7%	**-60.8%**	4.7%	**-18.8%**	*-31.1%*	*-11.0%*

** The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 9.*

Changes in coverage ratio *

	Bad loans	Ulikely to pay	Non performing past due	**Non performing exposures**	Performing exposures	**Total**
Q/Q	*-6.17%*	*-0.88%*	*-11.95%*	***-3.25%***	*-0.15%*	***-1.87%***
Y/Y	*-13.30%*	*4.51%*	*-2.58%*	***-12.37%***	*0.10%*	***-14.07%***

** The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 9.*

Financial assets/liabilities

As at 31 December 2018, the Group's **financial assets measured at fair value** totalled **EUR 20.3 bn**, a decline of EUR 3.9 bn compared to 31 December 2017 and down EUR 5.1 bn from 30 September 2018, principally in relation to financial assets measured at fair value through other comprehensive income as well as the trading component relating to the subsidiary MPS Capital Services (which decreased, in particular, for Italian government debt securities, for which the company acts as primary dealer). Financial liabilities held for trading declined compared to the end of December 2017 by EUR 1.3 bn but posted an increase of EUR 0.2 bn compared to 30 September 2018.

Items	31 12 2018	30 09 2018	31 12 2017*	Chg. Q/Q		Chg. Y/Y	
				Abs.	%	Abs.	%
Tradable financial assets	20,296.2	25,430.0	24,168.4	(5,133.8)	-20.2%	(3,872.2)	-16.0%
Financial assets held for trading	*8,560.0*	*10,427.0*	*8,718.0*	*(1,867.0)*	*-17.9%*	*(158.0)*	*-1.8%*
Financial assets measured at fair value mandatory	*705.8*	*1,108.3*	*0.0*	*(402.5)*	*-36.3%*	*705.8*	*n.s.*
Financial assets measured at fair value through other comprehensive income	*11,030.4*	*13,894.7*	*15,450.4*	*(2,864.3)*	*-20.6%*	*(4,420.0)*	*-28.6%*
Financial liabilities held for trading	3,175.7	3,000.6	4,476.9	175.1	5.8%	(1,301.2)	-29.1%

** The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 9.*

Items	31 12 2018		30 09 2018		31 12 2017*	
	Tradable financial assets	Financial liabilities held for tradig	Tradable financial assets	Financial liabilities held for tradig	Tradable financial assets	Financial liabilities held for tradig
Debt securities	16,299.6	-	21,292.1	-	20,331.5	-
Equity instruments and Units of UCITS	454.7	-	507.6	-	505.1	-
Loans	413.5	1,873.9	465.7	1,696.9	-	2,903.3
Derivatives	3,128.4	1,301.8	3,164.6	1,303.7	3,331.8	1,573.6
Total	20,296.2	3,175.7	25,430.0	3,000.6	24,168.4	4,476.9

** The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 9.*

Interbank position

At the end of December 2018, the **net interbank position** of the Group stood at **EUR 9.5 bn** in funding, up by EUR 1.6 bn compared to the balance as at 31 December 2017 and EUR 2.6 bn compared to September 2018.

Interbank balances				Change Q/Q		Change Y/Y	
	31/12/18	30/09/18	31 12 2017*	Abs.	%	Abs.	%
Loans to banks measured at amortised cost	12,504.2	8,724.2	9,966.2	3,780.0	43.3%	2,538.0	25.5%
Deposits from banks measured at amortised cost	21,986.3	20,838.9	21,084.9	1,147.4	5.5%	901.4	4.3%
Net position	**(9,482.1)**	**(12,114.7)**	**(11,118.7)**	**2,632.6**	**-21.7%**	**1,636.6**	**-14.7%**

* *The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 9.*

As at 31 December 2018, the operating liquidity position had an **unencumbered Counterbalancing Capacity of approximately EUR 21.2. bn**, in line with the value recorded as at 31 December 2017 and up by EUR 2.7 bn compared to 30 September 2018 due to sales trends and structured financing transactions.

Shareholders' equity

As at 31 December 2018, the **Group Shareholders' equity and non-controlling interests** amounted to around **EUR 9.0 bn**, down by approx. EUR 1.4 bn compared to the end of December 2017, due to the negative impacts recorded for first-time application of IFRS 9 in the item "Reserves" and the negative variations in value of the financial assets measured at fair value through other comprehensive income, partially offset by the result for the year. Stable with respect to 30 September 2018, with an increase in valuation reserves, essentially offset by the loss for the quarter.

Reclassified Consolidated Balance Sheet

Equity	31/12/18	30/09/18	31/12/17	Chg Q/Q		Chg Y/Y	
				Abs.	%	Abs.	%
Group net equity	8,992.0	8,968.9	10,429.1	23.1	0.3%	(1,437.1)	-13.8%
a) Valuation reserves	(176.7)	(305.0)	51.7	128.3	-42.1%	(228.4)	n.s.
d) Reserves	(1,124.8)	(1,120.3)	3,864.8	(4.5)	0.4%	(4,989.6)	n.s.
f) Share capital	10,328.6	10,328.6	10,328.6	-		-	
g) Treasury shares (-)	(313.7)	(313.7)	(313.7)	-		-	n.s.
h) Net profit (loss) for the year	278.6	379.3	(3,502.3)	(100.7)	-26.5%	3,780.9	n.s.
Non-controlling interests	2.2	2.2	2.3	-		(0.1)	-4.3%
Total Group Shareholder's Equity and Non-controlling interests	**8,994.2**	**8,971.1**	**10,431.4**	**23.1**	**0.3%**	**(1,437.2)**	**-13.8%**

Capital adequacy

Regulatory capital and statutory requirements

On **19 June 2017** the ECB informed the Parent Company of the results of the Supervisory Review and Evaluation Process (SREP). In this document, the ECB ordered the Bank to maintain a Total SREP Capital Requirement ratio of 11% at consolidated level as of **1 January 2018**, which includes:

- a minimum CET1 (**Pillar I**) requirement of 8% and
- an additional requirement of 3% ("Pillar 2" or P2R), entirely in terms of Common Equity Tier 1 capital.

As a result, at the reporting date, BMPS must meet the following requirements at consolidated level:

- CET1 Ratio of 9.44% on a transitional basis,
- Total Capital Ratio of 12.94% on a transitional basis including, aside from the P2R, 1.875% for the Capital Conservation Buffer and 0.06% for the O-SII Buffer (Other Systemically Important Institutions Buffer).

Furthermore, on **14 June 2018**, the ECB communicated the additional requirements to be applied to non-performing loans to obtain the authorisation from the same ECB for the implementation of the specific models for the calculation of the LGD and ELBE with reference to the non-performing exposures.

With reference to the impacts of the IFRS 9 impairment model, the Group has chosen to apply this transitional regime both to the impact of the first application (with reference to exposures classified in stages 1, 2 and 3), as well as the effect resulting from the comparison between the value adjustments at 1 January 2018 and the subsequent reporting periods up to 31 December 2022 (limited to any increases in value adjustments on exposures classified in stages 1 and 2). Indeed, this transitional regime calls for the possibility to mitigate such impacts within a 5-year period (from March 2018 to December 2022), neutralising them in CET1 through the application of percentages which decrease over time.

As at **31 December 2018**, the Group's level of capital on a transitional basis was as shown in the following table:

Categories / Values	31 12 2018	31 12 2017	Chg. 31 12 2017	
			Abs.	%
OWN FUNDS				
Common Equity Tier 1 (CET1)	8,020.5	8,951.2	(930.7)	-10.40%
Tier 1 (T1)	8,020.5	8,951.2	(930.7)	-10.40%
Tier 2 (T2)	857.5	112.5	745.0	662.21%
Total capital (TC)	**8,878.0**	**9,063.7**	**(185.7)**	**-2.05%**
RISK ASSETS				
Credit and Counterparty Risk	45,925.4	47,712.7	(1,787.3)	-3.75%
Credit valuation adjustment risk	457.7	345.6	112.1	32.43%
Settlement risk	-	-	-	
Market risks	2,426.0	2,492.6	(66.6)	-2.67%
Operational risk	9,562.5	10,011.5	(449.0)	-4.49%
Other prudential requirements	-	-	-	
Other calculation elements	-	-	-	
Risk-weighted assets	**58,371.6**	**60,562.4**	**(2,190.8)**	**-3.62%**
CAPITAL RATIOS				
CET1 capital ratio	**13.74%**	**14.78%**	**-1.04%**	
Tier1 capital ratio	**13.74%**	**14.78%**	**-1.04%**	
Total capital ratio	**15.21%**	**14.97%**	**0.24%**	

Compared to 31 December 2017, CET1 recorded an overall reduction of EUR 931 mln, essentially due to the deterioration of the OCI Reserve for EUR 228 mln, higher deductions for DTAs and significant investments, (totalling EUR 258 mln) and the decline in Reserves due to the IFRS 9 FTA effect, partially offset by the profit for the year.

Tier 2 showed a rise of EUR 744 mln, mainly due to the issue of a subordinated Tier 2 bond, finalised in January 2018, for the amount of EUR 750 mln.

The Total Capital Ratio therefore shows an overall decrease in own funds of EUR 186 mln.

RWAs recorded an overall decline of EUR 2,191 mln, primarily associated with the decrease in RWAs relating to "credit and counterparty risk" (EUR 1,787 mln) and "operational risk" (EUR 449 mln). Within credit risk, the increase due to the application of specific requirements on non-performing exposures (EUR 3,674 mln) is more than offset by the reduction in capital absorption linked to the decrease in lending volumes, loans assignments carried out during the year and the reduction in RWAs from capital.

It should be noted that the ECB authorised the recognition of the Significant Risk Transfer for the bad loan securitisation transaction. This recognition allowed the Group to also deconsolidate the portfolio of securitised bad loans for prudential purposes.

Within this context, the LGD waiver was also received, whereby on an exceptional basis the ECB authorised the Bank to exclude the effects of several large-scale transfers from the estimate of LGD used to calculate credit risk. In particular, the waiver is limited to securitised bad loans and assignments relating to bad leases and small ticket loans already in that status at the end of 2016. This waiver confirms one of the assumptions used in the capital adequacy projections in the Restructuring Plan, which makes it possible to exclude the majority of the effects of the securitisation and assignments of bad loans transferred in 2018 or in the course of disposal (leases) from the estimated LGD.

Furthermore, the Parent Company received the new SREP decision from the Supervisory Authority on **8 February 2019**. As regards own funds, the ECB asked BMPS to maintain a total SREP capital requirement of 11% at consolidated level starting from 1 March 2019, which includes a minimum Pillar 1 requirement (P1R) of 8% and an additional Pillar 2 requirement (P2R) of 3%. The P2R is therefore the same as in 2018. As regards its guidance, the ECB expects BMPS to adjust on a consolidated basis to a P2G of 1.3%, compared to 1.5% in 2018.

Specifically with respect to the coverage of non-performing loans (NPLs), BMPS received several recommendations based on the ECB's objective of ensuring constant progress in the reduction of pre-existing risks in the Eurozone and reaching the same level of coverage for NPL balances and flows over a medium-term time horizon. In a press release issued last year (11 July 2018), the ECB announced that it would interact with each bank to define supervisory expectations on an individual basis, on the basis of benchmarking with similar banks and taking into account the current NPL ratio and other financial indicators of each bank. Within this context, Banca MPS is notified that in the coming years (until the end of 2026) it would need to gradually increase levels of coverage on the stock of non-performing loans existing at the end of March 2018, according to an approach complementary to the indications provided in the Addendum to the ECB Guidelines for banks on non-performing loans (NPLs) generated starting from April 2018.
The ECB also highlighted points of weakness/attention that BMPS should address. The main ones are linked to the capacity to achieve the restructuring plan objectives: improving profitability, which is below Plan objectives, and the capital position, weakened by the fact that it was not possible to issue the second tranche of T2 bonds by the end of 2018 and the direct and indirect impacts of the BTP-Bund spread, especially considering the significant exposure of BMPS to Italian sovereign debt. Furthermore, BMPS is dealing with the significant challenges set forth in the restructuring plan in terms of funding and its capacity to successfully carry out its funding strategy, given the turbulence taking place in the Italian markets.

Moreover, as of **1 January 2019**, the Group will no longer be required to comply with the O-SII Buffer as, for 2019, it was not identified by the Bank of Italy as a systemically important institution authorised in Italy. The Capital Conservation Buffer will be fully implemented in 2019 (2.5%).

Lastly, in January 2019 the ECB launched an inspection for the assessment and management of operational risks and in particular legal risks. The inspection is ongoing.

Results by operating segment

Identification of operating segments

For the purpose of identifying the Operating Segments provided for by IFRS 8, the Group has adopted the business approach. Consolidated income statement and balance sheet data are broken down and re-aggregated based on criteria including: business area concerned, operating structure of reference, relevance and strategic importance of activities carried out, and customer clusters served.

The Parent Group structure envisages the implementation of a specialised commercial organisational model with three Departments (Retail, Wealth Management and Corporate), each of which is responsible for the pertinent markets, segments and products.

In order to allow continued disclosure and understanding of the performance results, the income statement and the reclassified balance sheet of the Group maintain the results relating to the subsidiary BMP Belgio S.A. in the original items, rather than the item “Profit (loss) after tax from assets held for sale and discontinued operations” for the income statement section and items 120 “Non-current assets held for sale and discontinued operations” and 70 “Liabilities associated with individual assets held for sale”, for the balance sheet section.

Similar to the approach adopted for the Income statement and the Balance Sheet of the Group, the results relating to the subsidiary BMP Belgio S.A. were maintained in the Corporate Banking operating segment.

Based on the Group’s current organisational structures and the reporting criteria at the highest decision-making level, the following operating segments were identified:

- **Retail Banking**, which includes the sales activities of Retail customers (Value, Premium and Small Business segments);
- **Wealth Management**, which includes the sales activities of Private Banking customers (Private Banking and Family Office segments) and the subsidiary MPS Fiduciaria;
- **Corporate Banking**, which includes the sales activities of Corporate customers (SME, Entities and Top Corporate segments), Large Corporate Area, Foreign Branches and the subsidiaries MPS Capital Services, MPS Leasing & Factoring and the foreign banks BMP Belgio S.A. and MP Banque;
- **Banca Widiba SpA**, which includes the financial advisor network and the self-service channel;
- **Corporate Centre**, which in addition to cancellations of intragroup entries, incorporates the results of the following business centres:
  - service operations supporting the Group’s business, dedicated in particular to the management and development of IT systems (MPS Group Operational Consortium);
  - companies consolidated at equity and held for sale;
  - operating units, such as proprietary finance, ALM, Treasury and Capital Management which, individually, fall below the disclosure requirements for primary reporting.

With regard exclusively to the income statement data for FY 2017, note that a conventional and simplified restatement has been made whit comparative data reclassified according new accounting format envisaged by the 5th update fo Circular 262 of the Bank of Italy. In particular, the balances relating to the former item 130d “**Net impairment losses (reversals) on other financial transactions**” have been reclassified to item “**Net allocations to provisions for risks and charges: commitments and guarantees given**”, therefore the commercial segments have been restated based on this approach.

Results in brief

The following table reports the main income statement and balance sheet items that characterised the Group's Operating Segments as at 31 December 2018:

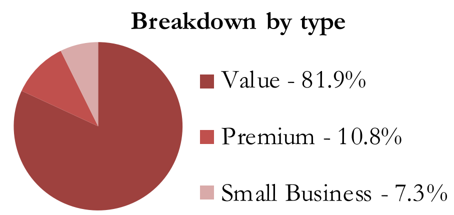
SEGMENT REPORTING	Business Segments											
Primary segment	Retail banking		Wealth Management		Corporate banking		Widiba		Corporate Center		Total MPS Group	
(EUR mln)	31/12/18	Chg % Y/Y	31/12/18	Chg % Y/Y	31/12/18	Chg % Y/Y	31/12/18	Chg % Y/Y	31/12/18	Chg % Y/Y	31/12/18	Chg % Y/Y
PROFIT AND LOSS AGGREGATES												
Total Income	2,248.5	-10.0%	123.3	-21.1%	840.2	-18.4%	68.0	56.1%	7.5	-97.5%	3,287.5	-18.3%
Operating expenses	(1,668.4)	-8.0%	-62.1	-7.6%	-594.4	-5.1%	-61.9	-1.2%	36.0	33.8%	(2,350.7)	-7.6%
Pre Provision Profit	580.1	-15.0%	61.3	-31.2%	245.8	-39.1%	6.2	n.s.	43.5	-86.7%	936.8	-36.8%
Net impairment losses (reversals) on loans and financial assets	(248.2)	-87.0%	-4.5	20.0%	-385.0	-88.0%	-0.6	n.s.	13.8	n.s.	(624.6)	-88.5%
Net Operating Income	331.9	n.s.	56.7	-33.5%	-139.2	-95.0%	5.5	n.s.	57.3	n.s.	312.2	n.s.
BALANCE SHEET AGGREGATES												
Interest-bearing loans to customers	39,914.7	-0.8%	535.3	-2.1%	32,963.4	-8.8%	471.7	98.5%	10,010.9	62.3%	83,896.0	0.7%
Deposits from customers and debt securities issued(*)	39,703.4	-6.4%	3,178.1	-7.5%	18,398.9	-5.6%	2,748.8	28.0%	26,442.5	-12.8%	90,471.7	-7.5%
Indirect funding	45,857.1	-2.9%	14,976.3	-11.9%	15,344.6	31.4%	4,886.6	-9.5%	15,424.0	6.0%	96,488.6	0.7%
Assets under management	*36,696.2*	-2.0%	*10,825.7*	-8.5%	*1,472.2*	-7.5%	*4,324.6*	-12.2%	*2,569.0*	-8.4%	55,887.7	-4.6%
Assets under custody	*9,160.9*	-6.2%	*4,150.6*	-19.8%	*13,872.4*	37.5%	*562.0*	18.8%	*12,855.0*	9.5%	40,600.8	9.0%

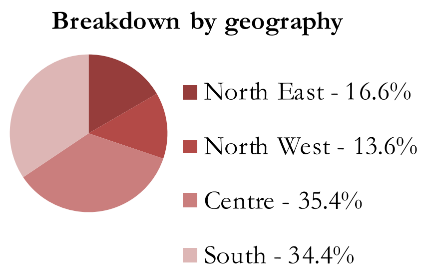
N.B.: The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 9.

(*) The values stated in the Sales & Distribution segments are gross interest-bearing loans and therefore do not include the allowance for impairment.

Retail Banking

Aree di business	Clienti
• Raccolta del risparmio e offerta di prodotti assicurativi. • Erogazione creditizia. • Servizi di consulenza finanziaria. • Servizi di pagamento elettronici.	I clienti *retail* sono circa 4,4 mln.





Income statement and balance sheet results

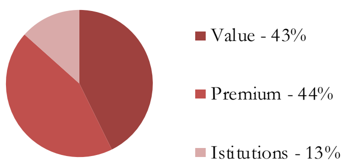
As at 31 December 2018, **Total Funding** for Retail Banking amounted to approximately **EUR 85.6 bn**, down by roughly EUR 4.1 bn from the end of 2017 and about EUR 2.0 bn compared to September 2018. More specifically:

- **Direct Funding** was **EUR 39.7 bn**, down by around EUR 2.7 bn compared to 31 December 2017, due to the short-term (EUR -2.7 bn) and medium/long-term components (EUR -1.4 bn), only partly offset by the rise of demand funding (EUR +1.4 bn). The aggregate decreased by EUR 0.8 bn compared to 30 September 2018, in particular for demand (EUR -0.6 bn) and short-term (EUR -0.2 bn) forms, while medium/long-term deposits were basically unchanged.
- **Indirect Funding**, amounting to approx. **EUR 45.9 bn**, decreased compared to 31 December 2017 by EUR 1.4 bn, due to the downward trend in assets under management (around EUR -0.8 bn) and assets under custody (around EUR -0.6 bn). Compared to the September 2018 levels, the aggregate recorded a decrease (EUR -1.2 bn), with a slight increase in assets under custody (EUR +0.2 bn) and a decrease in assets under management (EUR -1.4 bn).
- **Interest-bearing loans to Retail Banking customers** were **EUR 39.9 bn** as at 31 December 2018, a slight decline compared to December 2017 as well as September 2018.

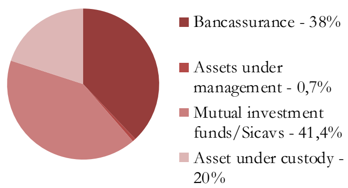
RETAIL BANKING - BALANCE SHEET AGGREGATES							
(Eur mln)	31/12/18	30/09/18	31/12/17	Chg Abs Q/Q	Chg % Q/Q	Chg Abs Y/Y	Chg % Y/Y
Deposits from customers and debt securities issued	**39,703**	**40,505**	**42,430**	**-801**	**-2.0%**	**-2,727**	**-6.4%**
Assets under management	*36,696*	*38,047*	*37,447*	*-1,351*	*-3.6%*	*-751*	*-2.0%*
Assets under custody	*9,161*	*8,994*	*9,772*	*167*	*1.9%*	*-611*	*-6.2%*
Indirect Funding	**45,857**	**47,041**	**47,219**	**-1,184**	**-2.5%**	**-1,362**	**-2.9%**
Total Funding	**85,560**	**87,546**	**89,649**	**-1,986**	**-2.3%**	**-4,088**	**-4.6%**
Interest-Bearing Loans to Customers	**39,915**	**40,189**	**40,237**	**-274**	**-0.7%**	**-323**	**-0.8%**

N.B.: The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 9.

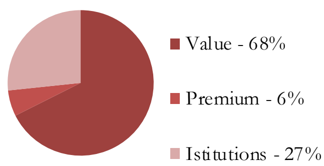
Distribution network
Direct funding breakdown



Distribution network
Indirect funding breakdown



Distribution network
Interest-bearing loans



With regard to profit and loss, as at 31 December 2018, Retail Banking achieved total **Revenues** of approx. **EUR 2,248 mln**, down 10.0% compared to the previous year. A breakdown of the aggregate shows:

- Net Interest Income was approximately EUR 989 mln, down 15.4% annually due both to the decrease in returns on commercial assets (volumes and rates), and the reduction in the contribution of funding.
- Net Fee and Commission Income was around EUR 1,240 mln, down 3.5% against last year's levels, due to the effect of the decline in payment services, relating to the disposal of the acquiring business, and income from asset management.

Considering the impact of operating expenses, which decreased by 8.0% Y/Y, Retail Banking generated **Gross Operating Income** of about **EUR 580 mln** in 2018 (-15.0% Y/Y). Net impairment (losses)/reversals on loans and financial assets totalled **EUR -248 mln** (EUR -1.9 bn as at 31 December 2017, penalised by the adjustment of provisions on "transferred" bad loans to their recoverable value).

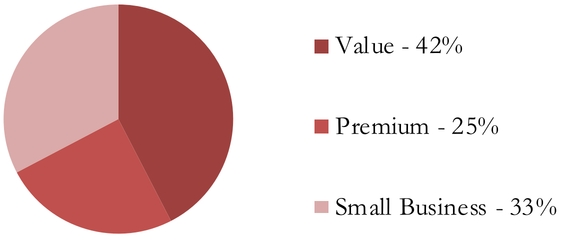
The **Net Operating Income** recorded since the beginning of the year is **positive, amounting to around EUR 332 mln**.

The **cost-income** of the Operating Segment is **74.2%** (72.7% at the end of December 2017).

RETAIL BANKING - PROFIT AND LOSS AGGREGATES				
			Chg. Y/Y	
(EUR mln)	31/12/18	31/12/17	Abs.	%
Net interest income	*989.2*	*1,170.0*	*-180.7*	*-15.4%*
Net fee and commission income	*1,240.1*	*1,285.0*	*-44.9*	*-3.5%*
Other income	*5.9*	*40.5*	*-34.6*	*-85.5%*
Other operating expenses/income	*13.3*	*1.5*	*11.8*	*n.s.*
Total Income	**2,248.5**	**2,496.9**	**-248.5**	**-10.0%**
Operating expenses	*(1,668.4)*	*(1,814.1)*	*145.7*	*-8.0%*
Pre Provision Profit	**580.1**	**682.8**	**-102.8**	**-15.0%**
Net impairment losses (reversals) on loans and financial assets	(248.2)	(1,912.5)	1,664.3	-87.0%
Net Operating Income	**331.9**	**(1,229.6)**	**1,561.5**	**n.s.**

N.B.: The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 9.

Consumer banking - Distribution network
Breakdown of revenues



The main product/service sales and innovation initiatives

The 2018 sales plan was developed within an environment impacted by the following main factors:

- economic recovery and re-launch of the bank lending cycle;
- the evolution in demand with greater customer knowledge and information, widespread use of multiple banks, spread of new technologies (primarily mobile), although a notable digital divide remains based on age, education and financial status; new, often complex, needs to be identified and met;
- regulatory pressure on adopting evolved advisory approaches (MiFID II) to protect investors (ESMA/Consob instructions on "complex products").

The initiatives enacted during the year were developed in accordance with the following main policies:

- **Focus on small business loan development**, with particular attention placed on risk oversight, also through initiatives intended to disseminate forms of credit risk mitigation (MCC guarantees first and foremost);
- **Advisory management of investments**, enhancement of Indirect Funding by **reviewing investment advisory models with a view to providing more customer service and offering innovation** (e.g., automated advisory services, expansion of the product range with third-party Asset Managers);
- **Growth in fees and commissions from services by enhancing the offer** (new products, like Protection and E-money), **innovation and technology** (e.g., MPS Wallie).

Market	Main sales initiatives developed in the market
Value	**Specific initiatives** have been launched dedicated to customer and volume **Acquisition**, including "*Tutta un'altra Musica*", intended to increase online subscriptions of the MPS Mio Modulo Easy account (with no fee for the first 6 months and a Bluetooth speaker as a free gift), **Cross-selling** and **Upselling** with existing customers, conveyed through the development of loans (mortgages) and digital channels, **Retention** and **Collection Recovery**. Flash initiatives were also activated with specific commercial offers within a restricted period of time, like "Black Friday", with a view to boosting contact with captive and prospect customers at Bank branches (drive to store action), by offering discounts for a very limited period of time. Distribution of **Compass SpA products** supported by the release of sales initiatives with the offer of loans under highly competitive conditions for specific target customers. To support the **e-money** segment, initiatives have been carried out aiming to develop the awareness and dissemination of the Debit Mastercard product. Targeted actions for the **acquisition of new customers in the Protection segment, the launch of new guarantees and products** (catastrophe guarantees, Formula Benessere, Tutta la Vita restyling), supported by dedicated prize competitions and training events with customers (e.g., Alla Salute). In 2018, the "**Value Skills**" project was developed, a unique and synergistic plan of info-training events in regional areas and via webinar created in collaboration with external partners, MPS Capital Services, and the Training Department, that seeks to strengthen the skills of the Value resources on issues related to the reference commercial activities for the year. Training internships were launched with the partners AXA, Compass, Nexi and Mastercard, for both the Value market and the Premium market.
Premium	**Specific initiatives have been launched dedicated to Retention and Collection Recovery**, with promotions on protection and e-money products, as well as caring activities with special dedicated offers, in terms of discounts, to customers with a ten-year relationship with the Bank and with higher account values. Release of Growth and Asset Management initiatives, through the enhancement of the Advanced Advisory process and ancillary services. Targeted actions in both in the **Protection** segment, supported by dedicated prize contests and events with customers (like Alla Salute) and in the **Pension** segment, through direct email marketing initiatives. Initiative dedicated to acquiring volumes, "**Un Monte di Valore**" ("A Mountain of Value"), with special benefits reserved for participating customers. The "**Fiduciaria Day**" project was strengthened to highlight the skills and solutions of MPS Fiduciaria in the area of succession plans, generational handovers, and legal protection. The **"Premium Academy" info-training plan** was further consolidated. In 2018, the plan was enriched in collaboration with reference partners (primarily, wealth management), developing classroom events, in both the Head Offices and in regional

Market	Main sales initiatives developed in the market
	areas, in continuity with the reference commercial activities for the year. The "Generational Handover and Successions" project was launched for Premium customers over 65, with a view to targeted monitoring of the customer relationship and the nuclear family, carried out by focusing on specific solutions and relying on specialised consulting in partnership with AXA and MPS Fiduciaria.
Small Business	A central role was played by initiatives intended to develop lending volumes, always combined with the utmost attention placed on limiting credit risk. In this regard, aside from the significant training activities carried out (Credit Standard and Corporate Advisory Platforms), branch activities were supported with sales campaigns with the use of innovative targets - also created with the support of the lending chain - and with credit risk mitigation development initiatives. In terms of protection, there was a significant drive towards increasing the level of offerings to corporate customers, with industry-based initiatives as well as initiatives aimed at boosting awareness amongst customers of new forms of guarantees (Catastrophe Guarantees, Tutta la Vita, Formula Benessere) useful to companies to get through periods of difficulty, which in some cases could put the continuation of the business at risk. In the area of collection and payment management, excellent results were achieved with the release of the new Mio Business package account which features three versions to provide a flexible and cost effective response to the various needs of corporate customers. Also in this area and with respect to acquiring services, significant activities were also carried out in partnership with Nexi, characterised by important new features: the implementation of new tariffs based on different customer needs, the launch of the new, innovative SMARTPOS (a product that no longer uses a terminal for card payments, evolving towards devices on which, aside from traditional services, the acquirer can purchase apps customised by sector and also link to a cash register) and new e-commerce offers.

Promotional and marketing initiatives

In 2018, activities to improve and innovate advertising and marketing initiatives, designed to attract new customers and facilitate the transfer of Direct/Indirect Funding from other institutions, included the following:

- "**Un Monte di Valore**" ("A Mountain of Value"), targeted at attracting new deposits in exchange for increasing benefits (in the form of expense reimbursement, commissions and stamp duties), also correlated with a process that leads to the adoption of services additional to advanced consulting; as well as **caring initiatives** dedicated to a cluster of high-value customers, or **initiatives dedicated to specific products**, like the "I mesi della Protezione" ("Months of Protection") prize contest in association with Axa Mps Assicurazioni Danni, with daily prize drawings and a final prize for subscribers of "Tutta la Vita" and "Mia Protezione Spese Mediche" policies and the "Realizziamo buoni propositi" ("We realise good intentions") prize contest, also in association with Axa Mps Assicurazioni Danni, with weekly prize drawings for subscribers of the "Formula Benessere" healthcare policy;
- **"Tutta un'altra Musica" ("An entirely different tune") acquisition initiative**, intended to increase online subscriptions of the MPS Mio Modulo Easy account, with no fee for the first 6

months and a Bluetooth speaker as a free gift. Flash initiatives with specific commercial offers for a limited time period, such as “Black Friday”;

- **“Ci Facciamo in Quattro” (“Bend over backwards”) Campaign** for the small business market, which for each of the 4 macro-requirements characterising a company’s lifecycle (working capital financing, operating asset financing, protection and collection and payment management) identifies goods and services under exception conditions.

As part of the Convention agreements, activities intended to develop relationships that allow access to important segments (in terms of quality and quantity) of potential customers continued and intensified - including through synergies with the main lending/funding activities. Particular attention was dedicated to proposal customisation, in line with the specific needs of the reference targets, and the enhancement of offer content through dedicated marketing support.

Funding, Assets under Management and Bancassurance

- The “Conto Italiano di Deposito” continues to represent the main product in the **Short/medium-term funding** segment. In the first half of 2018, the entire offer was streamlined with the delisting of some catalogue lines no longer financially appealing to customers, while in the second half of the year, activities were concentrated on creating two new 5-year lines with six-monthly flows (one with increasing rates and the other with a fixed rate) in order to support the inflow of fresh money and the conversion of assets under custody.
- In terms of **Indirect medium/long-term funding**, 2018 again saw an offer catalogue consisting of bonds pegged to US rates and certificates indexed to the equity segment, both with the main international issuers, and proposals were enhanced in December with the participation in a public offer with a sovranational issuer, indexing the variable component to shares representing companies selected based on sustainability as well as financial criteria.
- In the **Assets under Management** area, for the Premium and Value segments the traditional offer was consolidated, both for open funds and “window” products through the Funds managed by the partners Anima, JP Morgan and BlackRock, while with a view to optimisation at the end of the first half of the year collaboration relationships were brought to a close with Arca SGR, whose range of proposals did not significantly expand the coverage of customer investment needs compared to the existing catalogue.
- The offer of Savings and Pension insurance products in 2018 was enhanced in the multiline segment with new products, including “InvestiMix”, a policy that makes it possible to invest simultaneously in internal and external funds as well as a separately managed fund (completely new for the Retail Market) and “Double Engine Easy”, an internal fund product. The traditional Class I product “Valore Risparmio” was also restyled, with a new version with compulsory coverage in the case of death (different depending on the age of the insured).
  Again this year, the offering of units in tranches of the “Progetto Protetto” and “Progetto Valore” families remains in place, and the offering of internal funds available to the “Mutifondo Italia PIR” unit was expanded with 3 new solutions: Defensive, Balanced and Dynamic. Lastly, for the Private market the unit linked solution known as Unit Private Suite was released, which provides the possibility to invest a minimum premium of EUR 100,000 in a basket of 6 internal funds and 122 external funds freely chosen by the customer.
- Within life and non-life insurance **Protection**, the new Formula Benessere product was launched, with innovative guarantees and services protecting customer health. In addition, the offering of life protection policies was streamlined, with the delisting of 3 policies and convergence on the Tutta la Vita multiline product. In terms of the non-life offering, the coverage of catastrophic risks was completed with the launch of the Flood guarantee on the multi-guarantee Mia Protezione and Protezione Business products. Lastly, the adoption of the new regulation on the distribution of insurance products, the Insurance Distribution Directive, was completed.

Loans

- The sales partnership with Compass for the placement of personal loans was strengthened, as well as that relating to salary/pension-backed products with the Futuro partnership.
- Adaptation to System Agreements (ABI-CDP) to support customers struck by disasters (fund for subsidised loans, suspension of mortgage instalments, etc.).
- In the Small Business Loan segment, new products were launched (Impresa Garantita and Working Capital) under the Industry 4.0 approach as well as the Cosvig Impresa Garantita mortgage.
- The product catalogue for retail mortgages was optimised, with some restyling and the preparation of new energy efficiency products; new pricing and offers were defined (Mutuo MIO promotion) in order to increase competitiveness.
- The Reverse Mortgage (Prestisenior) offer was consolidated.
- Activities were carried out for the release of a loan combined with employee severance indemnity (partnership with Onaosi).
- Obligatory requirements were met to come into line with regulations (Consumer Real Estate Credit, POG, etc.) and system initiatives (ABI disasters).

Current Accounts, Payments and Collections

- MPSMio Business was launched, a new modular, flexible account for the needs of Small Business customers.
- The modular current account platform was reinforced and analyses were completed for further evolutions to be implemented in 2019.
- Activities were planned for compliance adaptations to PSD2 and analyses were launched for possible business opportunities.
- Activities were carried out for the release (Q1 2019) of the Instant Payment SCT function.
- The Cbill service was reinforced through integration with PagoPA (digitalisation of payments to PA - AgID).

E-Money

- MPS Wallie, the Mobile Payment and Digital Wallet service for HCE and online payments, was consolidated; developments were launched for integration with Apple Pay, Samsung Pay and Google Pay.
- Implementation activities were planned for the release of the new Prepaid Consumer offer with the launch of a pilot phase.
- The c-less function was released for the domestic circuit (Pagobancomat) on debit and prepaid cards; reinforcement of the International Debit offer.
- Commercial agreement with Mastercard consolidated to support innovative growth initiatives and increase penetration/use of payment instruments.
- Analysis projects launched for possible partnerships with Nexi for revolving and debit cards.
- Partnership agreement with Nexi consolidated for the distribution of the POS product following the sale of the Merchant Acquiring business unit.

Digital Banking and Transaction Banking

In 2018, the transfer of Retail customers to the new digital banking platform, including internet and mobile banking services, telephone banking and cardless ATMs, was basically completed.

The range of functions available was improved with respect to what was already present on the old platform with, inter alia, the expansion of the markets dealt with and execution only for trading, and for customers with the Salvadanaio product, the possibility to autonomously manage unrestricted funds.

In addition, thanks to the availability of the digital signature, digital banking now enables customers to interact with the bank more easily and quickly, to purchase products as well as exchange documents. Indeed, it is possible to request the Montepaschi Debit Mastercard directly from digital banking, monitor its acceptance and shipment and receive it at home 3 days after it is requested. With the digital banking digital drawer function, customers are able to digitally forward documents to their branch if it requests them. It is also possible to request changes in debit card limits, obtain a certification of the average balance of the ISEE and, by accessing the Axa Area through the single sign on, obtain complete information about all products held for the home, all without going to the branch.

Based on customer suggestions, some functions have also been simplified (bank transfer payment, document download, notices, etc.) and, in collaboration with AICI the "Italian Union of Blind and Partially Sighted People" and the specialised technical support of I.Ri.Fo.R (Institute for Research, Training and Rehabilitation), changes were made in digital banking to make it accessible to the blind and partially sighted, rendering the platform fully inclusive. Digital banking inclusivity was further ensured by making digital banking usable for customers with eye movement alone, thanks to a partnership with Liquidweb S.r.l. and the use of BrainControl technology.

Other important digital innovations include the possibility to run simulations from the www.mps.it website to identify the best type of mortgage based on individual needs and to acquire the MPS Mio Easy current account online.

ATMs

The ATM channel, with its characteristics of physicality, simplicity and widespread presence, was a local focal point throughout 2018, contributing to the bank/customer relationship in three main areas:

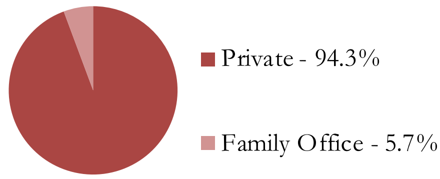
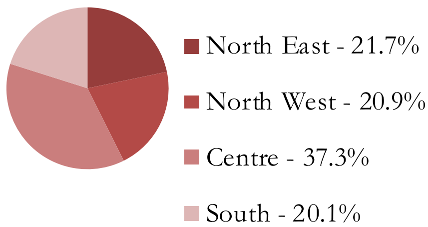
- limitation of inconveniences arising from the Network restructuring plan in communities with fewer branches, thanks to the maintenance of machines in the short or long term;
- increasing transactions that can be carried out by customers autonomously, particularly with regard to customers interested in making deposits;
- supporting the migration of transactions towards direct channels, bringing the number of deposits for branches equipped with cash-in to around 50%.

In addition, the upgrading of the ATM network, with the replacement of obsolete machines, and the strengthening of cash-in machines, currently present in two-thirds of the Bank's branches, made it possible to optimise the "time" of branch personnel, enabling them to dedicate more attention to customer relationships rather than managing ordinary transactions.

Wealth Management

<table>
<tr><th>Business areas</th><th>Customers</th></tr>
<tr><td rowspan="3">

Funding, lending, provision of insurance products, financial and non-financial services to private banking customers
Services and products for high-standing customers in the areas of wealth management, financial planning, consultancy on non-strictly financial services (tax planning, real estate, art & legal advisory).
Fiduciary and trust services (through the subsidiary MPS Fiduciaria).

</td><td>There are around 37 thousand private customers.</td></tr>
<tr><td>Breakdown by type

</td></tr>
<tr><td>Breakdown by geography

</td></tr>
</table>

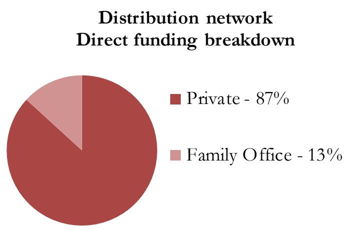
Income statement and balance sheet results

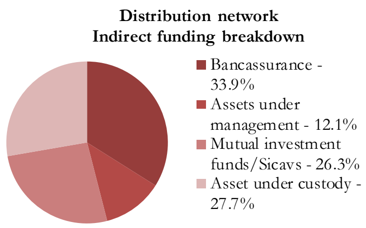
As at 31 December 2018, **Total Funding** for Wealth Management amounted to approximately **EUR 18.2 bn**, down from the end of December 2017 (EUR -2.3 bn) and September 2018 (EUR -0.9 bn). More specifically:

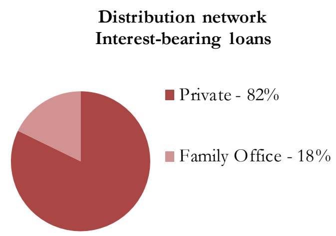
- **Direct Funding** amounted to **EUR 3.2 bn** as at 31 December 2018, down by EUR 0.3 bn compared to 31 December 2017 and by EUR 0.1 bn compared to September 2018;
- **Indirect Funding**, amounting to about **EUR 15.0 bn**, was down by roughly EUR 2.0 bn compared to December 2017 (EUR -1.0 bn in assets under management and EUR -1.0 bn in assets under custody) and roughly EUR 0.8 bn from 30 September 2018, primarily in assets under management;
- **Interest-bearing loans to Wealth Management customers** were essentially in line with both December 2017 and 30 September 2018, reaching roughly **EUR 0.5 bn**.

WEALTH MANAGEMENT - BALANCE SHEET AGGREGATES							
(EUR mln)	31/12/18	30/09/18	31/12/17	Chg Abs Q/Q	Chg % Q/Q	Chg Abs Y/Y	Chg % Y/Y
Deposits from customers and debt securities issued	**3,178**	**3,300**	**3,436**	**-122**	**-3.7%**	**-258**	**-7.5%**
Assets under management	*10,826*	*11,473*	*11,828*	*-647*	*-5.6%*	*-1,003*	*-8.5%*
Assets under custody	*4,151*	*4,289*	*5,173*	*-138*	*-3.2%*	*-1,023*	*-19.8%*
Indirect Funding	**14,976**	**15,762**	**17,002**	**-786**	**-5.0%**	**-2,025**	**-11.9%**
Total Funding	**18,154**	**19,062**	**20,437**	**-908**	**-4.8%**	**-2,283**	**-11.2%**
Interest-Bearing Loans to Customers	**535**	**552**	**547**	**-17**	**-3.1%**	**-12**	**-2.1%**

N.B.: The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 9.







With regard to profit and loss, Wealth Management achieved total **Revenues** of approx. **EUR 123 mln** as at 31 December 2018, down 21.1% compared to the previous year. A breakdown of the aggregate shows:

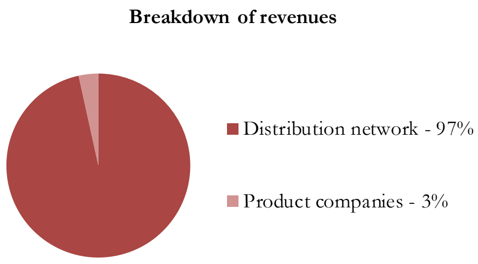
- as at 31 December 2018, Net Interest Income was approximately EUR 7 mln, down 70.9% annually, impacted to a large extent by the drop in the contribution of direct funding;
- Net Fee and Commission income in 2018 totalled approximately EUR 115 mln, also down compared to the levels of the previous year (-11.3%) as a result of the decline in the product segment, for continuing operations and placement components.

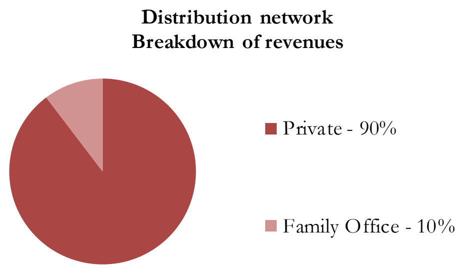
Considering the impact of Operating Expenses, which decreased by 7.6% Y/Y, Wealth Management generated **Gross Operating Income** of about **EUR 61 mln** (-31.2% Y/Y). Including net impairments (losses)/reversals on loans and financial assets equal to about EUR -5 mln, the **Net Operating Income** since the start of the year totalled roughly **EUR 57 mln**.

The **cost-income** of the Operating Segment is **50.3%** (43.0% at the end of December 2017).

WEALTH MANAGEMENT - PROFIT AND LOSS AGGREGATES				
			Chg. Y/Y	
(EUR mln)	31/12/18	31/12/17	Abs.	%
Net interest income	*7.5*	*25.7*	*-18.2*	*-70.9%*
Net fee and commission income	*115.1*	*129.7*	*-14.6*	*-11.3%*
Other income	*0.4*	*0.8*	*-0.5*	*-54.6%*
Other operating expenses/income	*0.4*	*0.1*	*0.4*	*n.s.*
Total Income	**123.3**	**156.2**	**-32.9**	**-21.1%**
Operating expenses	*(62.1)*	*(67.1)*	*5.1*	*-7.6%*
Pre Provision Profit	**61.3**	**89.1**	**-27.8**	**-31.2%**
Net impairment losses (reversals) on loans and financial assets	(4.5)	(3.8)	-0.8	20.0%
Net Operating Income	**56.7**	**85.3**	**-28.6**	**-33.5%**

N.B.: The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 9.





The main product/service sales and innovation initiatives

Market	Main sales initiatives developed in the market
Private Banking /Family Office	In 2018, with respect to assets under management products, the offer continued to be strengthened with the introduction of new Asset Managers as a direct offer as well as in the **MPS Private Solution** investment solutions platform. A marketing plan was prepared to publicise the new aspects of Mps Private Solution: an advertising campaign in economic/financial newspapers and on social media, local initiatives, informational/training materials. With respect to the Bancassurance segment, some particularly notable aspects were: the launch of the first insurance wrapper, named "Private Suite", which boosted offer efficiency and introduced greater investment flexibility for customers; the launch of a specific corporate agreement linked to the Double Engine Plus multiline policy and several ad hoc policies. The Private Suite launch was supported by communications initiatives (advertising campaign, marketing materials and local initiatives). Alongside this release of products, the increase in profitability in Unit Private placements was confirmed and a specific campaign was released on the Double Engine Plus multiline policy, which supported the maturity of MPS Bonds. As regards indirect funding, 6 certificates were placed with a view to offering optimal investment solutions within the current market environment on underlying assets assessed over time as some of those with the best profit outlooks by the Market Strategy structure. Furthermore, the oversight of Product Governance enacted following the application of the MiFID II regulation was particularly significant, resulting in a global review of target markets for the products offered (in particular, on the more than 5,000 segments of SICAVs and Funds within the offer), as was contact with counterparties for the renegotiation of all distribution agreements. In continuity with previous years, 2018 was characterised by a number of informational/training initiatives intended to enhance and boost banker skills, through courses of high standing, including in partnership with certified bodies.

Promotional and marketing initiatives

In 2018, a range of initiatives were released to boost funding and recover market share by leveraging promotional offers for specific customer targets, in particular:

- **Generational handover:** with a view to updating the customer base and retaining existing volumes, initiatives were activated to reinforce the Network's effectiveness in generational handover activities, using targeted levers to intercept and retain the heirs of Private-FO customers.
- **Corporate-WM Cross-Selling:** acquisition activities were focused on developing synergies with the corporate world so as to acquire personal accounts of entrepreneurs who already have company accounts at the Bank, with a view to taking full advantage of existing relationships.

Results of the subsidiary

- **MPS Fiduciaria**: in 2018, the subsidiary's profit for the year totalled roughly EUR 0.5 mln.

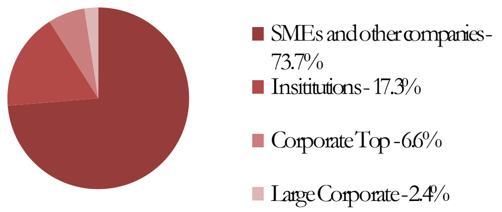
In 2018, the subsidiary renewed its commercial agreement with the Parent Company, introducing a new transfer pricing system calling for greater autonomy for the Parent Company's structures in granting fee and commission waivers to customers and abolishing fees and commissions borne by the Parent Company on trust accounts opened as of 1 February 2018.

The company also continued with its collaboration with the Parent Company's three reference markets through intense promotional and informational/training activities - on trust services in general and on their potential uses, including in the private sector - for bank personnel and for major shared customers; in the course of the year, the functional line of reporting of the subsidiary's local Network trust specialists was moved to the Parent Company's Private banking area.

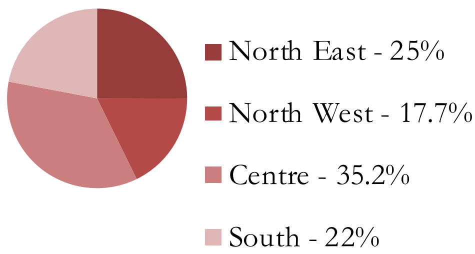
The guidelines for upcoming subsidiary developments call for a significant re-launch of commercial activities to be carried out primarily through synergy with all Parent Company markets, aimed at a significant recovery in funding values, including cash, financial instruments and unlisted corporate shareholdings.

Corporate Banking

<table>
<tr><th>Business areas</th><th>Customers</th></tr>
<tr><td rowspan="3">
• Lending and offering financial products and services to businesses, including through strategic partnerships with trade associations and Confidi (credit guarantee consortia), with Guarantee Institutions (including public) and Institutional Entities, through which funding is acquired at favourable terms.
• Offer of integrated leasing and factoring packages for businesses, artisans and professionals (through the subsidiary MPS Leasing & Factoring).
• Corporate finance - medium-long term credit facilities, corporate finance, capital markets and structured finance also through the subsidiary MPS Capital Services.
• Custody and deposit services for dairy products on behalf of third parties (through the subsidiary Magazzini Generali Fiduciari di Mantova S.p.A., which is also authorised to issue documents of title to the merchandise, providing for easier access to bank lending).
</td><td>About 49,500 Corporate and large group customers of the Parent Company, directly followed by Corporate Banking.</td></tr>
<tr><td>
Breakdown by type



</td></tr>
<tr><td>
Breakdown by geography



</td></tr>
</table>

Income statement and balance sheet results

In order to allow continued disclosure and understanding of the performance results, the income statement and the reclassified balance sheet of the Group maintain the results relating to the subsidiary BMP Belgio S.A. in the original items, rather than the item "Profit (loss) after tax from assets held for sale and discontinued operations" for the income statement section and items 120 "Non-current assets held for sale and discontinued operations" and 70 "Liabilities associated with individual assets held for sale", for the balance sheet section.

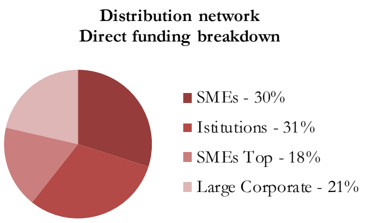
Similar to the approach adopted for the Income statement and the Balance Sheet of the Group, the results relating to the subsidiary BMP Belgio S.A. were maintained in the Corporate Banking operating segment.

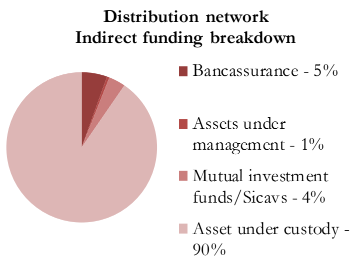
Corporate Banking **Total Funding** recorded growth of approx. EUR 2.6 bn, from EUR 31.2 bn in December 2017 to **EUR 33.7 bn** as at 31 December 2018. The trend in this aggregate was principally due to the increase in indirect funding (EUR +3.7 bn) recorded in assets under custody, connected to a significant Large Corporate position. Compared to 30 September 2018, the aggregate decreased by EUR 1.6 bn, mainly due to drop in direct funding (EUR -1.0 bn).

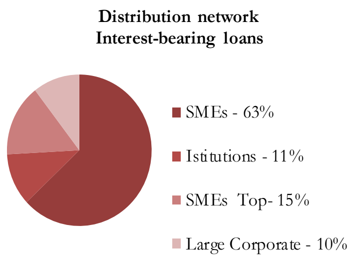
With regard to lending, as at 31 December 2018, Corporate Banking **interest-bearing loans to customers** stood at approximately **EUR 33.0 bn** (EUR -3.2 bn on 31 December 2017 and EUR -3.6 bn compared to 30 September 2017).

CORPORATE BANKING - BALANCE SHEET AGGREGATES							
(EUR mln)	31/12/18	30/09/18	31/12/17	Chg Abs Q/Q	Chg % Q/Q	Chg Abs Y/Y	Chg % Y/Y
Deposits from customers and debt securities issued	**18,399**	**19,449**	**19,481**	**-1,050**	**-5.4%**	**-1,082**	**-5.6%**
Assets under management	*1,472*	*1,510*	*1,591*	*-37*	*-2.5%*	*-119*	*-7.5%*
Assets under custody	*13,872*	*14,396*	*10,089*	*-524*	*-3.6%*	*3,783*	*37.5%*
Indirect Funding	**15,345**	**15,906**	**11,680**	**-561**	**-3.5%**	**3,664**	**31.4%**
Total Funding	**33,743**	**35,355**	**31,162**	**-1,611**	**-4.6%**	**2,582**	**8.3%**
Interest-Bearing Loans to Customers	**32,963**	**36,582**	**36,152**	**-3,618**	**-9.9%**	**-3,189**	**-8.8%**

N.B.: The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 9.







For profit and loss aggregates, Corporate Banking **Revenues** came to approx. **EUR 840 mln** in 2018 (-18.4% Y/Y). A breakdown of the aggregate shows:

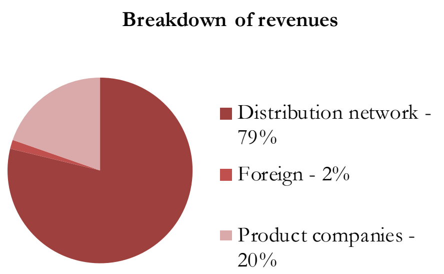
- Net Interest Income was approximately EUR 565 mln, down 12.6% annually due to the decrease in returns on commercial assets and of the contribution of funding;
- Net Fee and Commission Income decreased by 8.8% Y/Y, amounting to approximately EUR 311 mln, mainly penalised by the downward trend in proceeds from traditional services and the use and disposal of loans;
- Other Income from Banking and Insurance Business amounted to approximately EUR -18 mln (EUR +51 mln in 2017), with the drop attributable to the operations of the subsidiary MPS Capital Services.

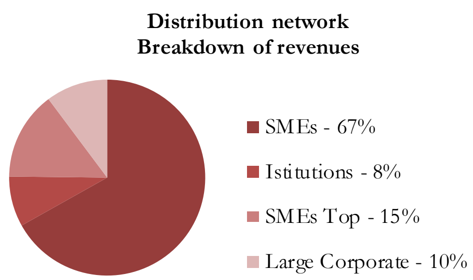
Considering the impact of Operating Expenses, down by 5.1% compared to 31 December 2017, the **Gross Operating Income** came to about **EUR 246 mln** (-39.1% Y/Y). The **Net Operating Income** for this Segment was equal to approx. **EUR -139 mln** (the result as at 31 December 2017 was EUR -2,795 mln penalised by the adjustment of provisions on "transferred" bad loans to their recoverable value), with the contribution of the improvement in value adjustments for impairment of loans and financial assets at EUR -385 mln.

The Corporate Banking **cost-income ratio** stands at **70.7%** (60.8% as at 31 December 2017).

CORPORATE BANKING - PROFIT AND LOSS AGGREGATES				
			Chg. Y/Y	
(EUR mln)	31/12/18	31/12/17	Abs.	%
Net interest income	*565.2*	*646.7*	*-81.5*	*-12.6%*
Net fee and commission income	*310.5*	*340.6*	*-30.1*	*-8.8%*
Other income	*(18.5)*	*51.5*	*-69.9*	*n.s.*
Other operating expenses/income	*(17.1)*	*(9.0)*	*-8.1*	*n.s.*
Total Income	**840.2**	**1,029.9**	**-189.6**	**-18.4%**
Operating expenses	*(594.4)*	*(626.1)*	*31.7*	*-5.1%*
Pre Provision Profit	**245.8**	**403.7**	**-157.9**	**-39.1%**
Net impairment losses (reversals) on loans and financial assets	(385.0)	(3,198.5)	2,813.5	-88.0%
Net Operating Income	**(139.2)**	**(2,794.8)**	**2,655.6**	**-95.0%**

N.B.: The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 9.





Results of the main subsidiaries

- **MPS Capital Services**: profit before taxes of EUR 37 mln and profit for the year of EUR 81 mln, up by EUR 714 mln compared to 31 December 2017 due, in particular, to the lower write-downs on loans, penalised the previous year by the adjustment of provisions on “transferred” bad loans to their recoverable value while revenues decreased.
- **MPS Leasing & Factoring**: loss before taxes of EUR 80 mln and net loss for the year of EUR 69 mln (EUR -161 mln as at 31 December 2017). The loss for 2018 was impacted particularly by lower net value adjustments on loans carried out during the year compared to 2017, which were impacted by the adjustment of provisions on “transferred” bad loans to their recoverable value.
- **Foreign banks**[12]: in 2018, **MP Banque** recorded a profit for the year of EUR 3 mln compared to a profit of EUR 5 mln recorded last year; with regard to **BMP Belgio S.A.**, the loss for the year amounted to roughly EUR 4 mln, compared to a profit of EUR 13 mln recorded as at 31 December 2017.

[12] The profit reported for foreign subsidiaries is that determined based on local accounting standards.

For Monte Paschi Belgio S.A., negotiations have concluded for its disposal. On 5 October 2018, the Parent Company reached an agreement with an investee of the funds managed by Warburg Pincus for the sale of Banca Monte Paschi Belgio, as set forth in the Commitments of the Restructuring Plan. The sale is subject to the approval of the supervisory authorities.

For Monte Paschi Banque S.A., the Parent Company has decided to launch the orderly winding-down process by drafting a plan in compliance with what is specified in Commitment no. 14 “Disposal of participations and businesses”, i.e., (i) progressive deleveraging of the current loan portfolio, (ii) acceptance of deposits only from existing customers, (iii) interruption of business development activities, (iv) no new initiative in new segments or markets, as well as other regulatory restrictions in place.

Main Corporate and Investment Banking initiatives

Corporate Market

Digital Banking and Transaction Banking

- **Online Advance on Invoices:** new PasKey aziendaonline function that makes it possible to manage trade receivable advance transactions through corporate banking. Corporate customers can send Italian invoice advance requests with/without notification to the transferred debtor and foreign euro invoice advance requests directly from PasKey aziendaonline and monitor their progress at any time. Of particular note is the commercial synergy with the **Electronic Invoicing** Service, in light of the new regulations in force as of 1 January 2019 requiring invoices to be issued in electronic format for tax purposes. Through just one dashboard, the customer can view both traditional and electronic invoices and request advances on them, managing every phase of the process.
- **Revenue cycle and recipient code management automation:** review of systems for counting and debiting fees to customers in view of new regulations relating to split payments and the XML invoice.
- **Closed remote digital signature:** application within remote banking of the closed remote digital signature. Its application is limited for now to online advance transactions; however, this is just the first step in a process of evolution within corporate banking.

Hedging Products

- **Marketing of OTC derivatives:** development of the new Limitarate (IRS) product within the Coprirate product range for customers who need hedging on basic and/or low amount transactions.

Loans

- **SACE Loan - medium/long-term credit enhancement:** medium/long-term loan that may be subscribed in unsecured form, granted with the Bank's capital against expenses related to projects to expand in foreign markets, backed by SACE's first-demand guarantee.
- **2018 MPS Corporate Industry 4.0**: medium/long-term loan backed by commercial covenants to support appropriately documented investments in operating assets and “digitalisation” assets, used in carrying out business activities and included in the scope of subsidised tax initiatives envisaged in the 2018 Stability Law.
- **MPS for the Organic sector:** set of loans consisting of short-, medium- and long-term products for organic sector operators who can thus take advantage of the resources needed to meet financial coverage requirements for investments, such as loans for companies in organic production or in conversion, maintenance or adaptation to organic.

To offer a broad range of funding instruments supporting the national economy, in 2018 the collaboration was reinstated with Cassa Depositi e Prestiti S.p.A. (CDP).

As a result, specific products were reactivated for several special-purpose funding lines, namely:

- **SACE Loan - medium/long-term credit enhancement with CDP funds:** medium/long-term loan that may be subscribed in unsecured form, granted with funds made available by Cassa Depositi e Prestiti S.p.A. against expenses related to projects to expand in foreign markets, backed by SACE's first-demand guarantee.
- **CDP “Ponderazione Zero” Loan:** medium/long-term loan that may be subscribed in unsecured form, 80% backed on a compulsory basis by the direct guarantee of the Guarantee Fund for SMEs (managed by MCC) or 80% backed by a first-demand guarantee of a Guarantee Consortium pursuant to art. 107 of the Consolidated Law on Banking in turn 80% counter-guaranteed by the Guarantee Fund for SMEs (managed by MCC).

Due to the review of several Agreements (ABI/CDP "Piattaforma Imprese" and ABI/Ministry of Economic Development "Plafond Beni Strumentali"), the method for determining the interest rate to be applied to future disbursements has been revised.

In order to support the communities affected by earthquakes and other disasters, in agreement with ABI and Cassa Depositi e Prestiti ("CDP"), activities relating to the following initiatives have continued:

- "**Plafond Sisma Centro Italia**" to support customers who suffered damages from the earthquakes in Central Italy in 2016.
- "**Plafond Eventi Calamitosi**" to support customers that suffered damages from the disasters that occurred in Italy in 2013.
- "**Plafond Moratoria Sisma Centro Italia - Tributi 2018**" to grant subsidised loans with CDP funds aimed at the recovery of tax collection in the territories of Central Italy affected by the 2016 earthquakes.

With regard to the **agrifood sector**, in 2018 there was a particular drive in sales activities, also with the development of new National Agreements with the trade associations, in particular:

- District and Supply Chain Contracts: instruments used in the provision of grants/public subsidies governed by regulations issued by the Ministry of Agricultural, Food and Forestry Policies. The objective of these subsidies is to support nationally significant investments in the agricultural, agrifood and agroenergy sectors, promoting the integration of the investment policies of the various players in sector supply chains/districts.
- National Agreements with Sector Organisations such as Confagricoltura and Agrocepi, with participation in the Agrocepi Presentation Convention and in technical roundtables for drafting commercial agreements for specific product segments.

Subsidised financing

- Activities were developed in light of national or regional measures intended to take advantage of commercial opportunities in this specific market (for example, participation in the "Resto al Sud" and Emilia Romagna "Multiscopo" Fund measures).
  The subsidised financing advisory service was also provided in partnership with Warrant Group for customers of higher standing.

Market	Main sales initiatives developed in the market
Large Groups	**Funding**: increase and constant monitoring of volumes and types, taking into due consideration the cost and structure of maturities; taking advantage of durations for funding stability in line with the Group Treasury. **Loans**: partial repositioning on market shares achieved by the Group with activities carried out with counterparties in development areas. Synergies intensified with product/service specialists, particularly with reference to structured lending activities, as well as to enhance and complement the overall offer, including with hedging instruments. Direct and indirect factoring transactions also consolidated. Revision of the entire portfolio with a view to optimising capital absorption. **Recovery of Fees and Commissions**: utmost attention dedicated to overseeing traditional lending/non-lending components and various sources of revenue developed through the involvement of product company activities and services. Price lever used selectively and tactically especially to revitalise dormant accounts.

Market	Main sales initiatives developed in the market
SMEs and Top Corporate	**Direct Funding**: sales initiatives targeted at the growth and consolidation of brokered volumes. **Direct short-term loans**: growth in utilisation on short-term credit facilities through careful oversight of maturities on Italian and Foreign loans; development of lending in both depth and breadth. **Direct medium/long-term loans**: disbursements with the use of dedicated funds; focus on CDP "Ponderazione Zero", CDP "Moratoria Sisma 2018", Mps Orizzonti, MPS Corporate Industry 4.0. Broad development activities on pre-scored prospects conveyed through the Genesi 2.1 application; pricing dedicated to offers for prospect customers. Development of synergies with the **Wealth Management Market** through reciprocity agreements. Development of synergies with the Product Companies: **"Factoring in System"** commercial initiative designed to identify Top Corporate and SME customers that use the product with other competitors.
Institutions	Working alongside institutions as the technological partner in the activation of the SIOPE+ platform in observance of regulatory requirements. Placement of optional services connected to SIOPE+. Formalisation of participation in the PagoPA Platform created by the Agency for Digital Italy (AgID) for payments to the Public Administration. Placement of the "Electronic Archiving" service for electronic documents with digital signature for the Public Administration and Servizio Inc@ssipiù. Revision of treasury and cash agreements due to measures connected to the introduction of PSD2. Renewal of ISO 9001 certification for Treasury and Cash Services.

Abroad

Commercial initiatives in the domestic Network, SME customers, Top Corporate and Small Business:

- **Retention on foreign funding and commercial flows** for customers with higher standing.
- **Resumption of presence** in large infrastructural projects (international bids) in which customers are involved.
- **Increase in the placement of products hedging** exchange rate risk (for exporters and importers exposed to exchange rate risk) and commodity risk (for businesses working with raw materials).
- **In-depth development of customers with Higher Revenue Abroad**: increase in foreign business references from companies with medium/high standing and presumed margins for growth.
- **Broad development of customers making foreign transactions**: intercepting foreign transactions channelled through other banks, so as to expand the profitability of the target customers.
- **Development of without recourse discount on Import/Export L/Cs**: intercepting without recourse discount transactions so as to expand the profitability of the target customers. Intended primarily for companies operating in the machinery manufacturing, operating asset and large works sectors abroad.
- **Development of Shanghai Branch sales campaign**: intended to implement and enhance relations with Italian businesses operating in China, with a view to receiving more business references, retaining relationships and achieving greater target customer profitability.

MPS Capital Services

Corporate finance

Project & Real Estate Finance – In 2018, MPS Capital Services confirmed its positioning amongst the leading banks in Italy for loans to the renewable energies sector and for infrastructure using project financing, as well as in the real estate sector with significant initiatives intended primarily for qualified institutional customers (e.g., real estate funds).

Considering their complexity, loan structuring requires medium/long finalisation times, so the transaction closings regard both mandates obtained in the course of the year as well as mandates obtained previously.

Please note the following most significant transactions for the year 2018:

- financing of the important investment plan promoted by Open Fiber - a partnership between Cdp Equity and Enel - to develop the ultra broadband fibre optics network at national level with the relative infrastructure. The investment totalling EUR 6,300.0 mln, of significant importance for the country, is supported by public funding for around EUR 1,400.0 mln, while the remaining EUR 4,900.0 mln is being covered by the private operator which took out a loan with multiple cash and unsecured lines for a total of EUR 3,470.0 mln, in which the main national and European banks are participating (MPSCS share EUR 125.0 mln cash);
- bridge loan in favour of Arexpo, the hub established to transform the Expo Milano 2015 exposition site into a science and innovation park. The loan was granted through a temporary consortium of companies ("RTI") established pursuant to the Contracts Code by 4 banks (including MPS Capital Services Banca per le Imprese). The transaction for a total of EUR 210.0 mln (MPSCS share EUR 50.0 mln) will be subject to future consolidation with a medium/long-term operation;
- financing in favour of the Opportunità Italia Fund, a closed-end real estate investment fund for retail customers managed by Torre SGR and listed on the Italian Stock Exchange in the MIV segment, holding various leased commercial and office real estate assets in the Bologna, Rome and Milan markets, as well as in a luxury outlet in the province of Florence. The loan, for a total of EUR 85.0 mln granted entirely by the bank, is intended to enable further acquisitions of prestigious properties (offices, hotels, shopping centres, etc.) in the Milan and Rome metropolitan areas;
- refinancing of 5 contiguous photovoltaic systems, already connected to the national grid, carried out through the establishment of 5 corporate vehicles controlled by the main English investor in the photovoltaic sector, Octopus Investments, for 63 MWp of power, located in the province of Viterbo. This financing transaction, for a total of EUR 23.0 mln provided in full by MPSCS, was the first in Italy to be structured on a market parity basis in the renewable energy sector;
- refinancing of a portfolio of photovoltaic systems from a range of industrial operators and acquired by a vehicle company controlled by the Tages Helios Fund, a closed-end real estate investment fund for professional investors, and Delos Power, founded based on the partnership between Tages Capital SGR and Renam S.r.l. These systems are located in a number of regions (Puglia, Sicily, Marche and Emilia Romagna) and produce a total of roughly 140 MWp of power; the transaction for a total of EUR 452.0 mln (MPSCS share EUR 50.5 mln) involved the participation of major national and international banks;
- financing, undertaken by the Tozzi Green Group, a major national player in renewable energies, through its subsidiary Solarwind 2, for the installation of 2 wind farms consisting of a total of 15 wind generators for 18 and 16.5 MW, respectively, located in the Municipalities of Butera (CL) and Siculiana (AG). The intervention, financed entirely by the subsidiary, amounts to EUR 39.4 mln.

- financing for the completion of a latest generation data centre consisting of a 20,000 m2 module broken down into sectors complete with equipment located in the province of Pavia. The pool financing, in which MPSCS participated as MLA for a share of EUR 20.0 mln, amounts to a total of EUR 91.0 mln, and was granted together with 2 other leading international banks.

Corporate Finance - Lending activities were carried out to support important integrated water service, corporate services (payment systems; temporary work; transport), industrial (building materials, electro-mechanical components, pharmaceuticals), shipping, tourism/hotel, real estate and construction and entertainment media businesses. In particular, amongst other operations, three important pool lending transactions were carried out as MLA with other institutions to support integrated water system concessionaires operating in the regions of Lombardy (Padania Acque and Pavia Acque) and Tuscany (GAIA), one transaction as the sole lender to a concessionaire of the integrated water system in Sicily, one pool lending transaction with other institutions in favour of TSH Bologna Propco (The Student Hotel Group), a significant lending transaction (as MLA in a pool with other institutions) in favour of a top Italian company in the construction sector and one transaction, also as MLA in a pool with other institutions, in favour of a leading local public transport company operating in Lombardy.

Acquisition Financing - Again in 2018, MPSCS confirmed its competitive positioning in acquisitions & leveraged finance market in the Mid Corporate segment for transactions with a strong industrial content and major effects on Group sales.
Indeed, MPSCS continued origination activities and the structuring of acquisition transactions to support counterparties of top standing, focusing on industrial integrations carried out by corporate operators and also maintaining a strong presence in the leverage market promoted by the main private equity operators in Italy.
Some of the main transactions organised and financed with the role of MLA were:

- acquisition of Uteco Coverting - a top Italian operator, market leader in the manufacturing and marketing of printing machines for flexible packaging applications - by the private equity operator Neuberger Berman Renaissance Partners (LBO);
- acquisition of Calligaris - a well-known Italian brand operating in the design, manufacture and distribution of home furnishings for the middle/high-end market segment - by the private equity operator Alpha PE (LBO);
- acquisition of Emmeti - a top Italian operator, market leader in the manufacture of automatic dosing, packaging and wrapping machines - by the private equity operator Xenon PE (LBO);
- acquisition by the TotalErg group of API, a top Italian operator, leader in the manufacture and marketing of oil refining derivatives (corporate acquisition);
- acquisition of the First Data Corporation business unit handling card processing and production services in central and south-eastern Europe by SIA, a top Italian operator and international leader in the design, installation and management of technological infrastructure and services supporting financial institutions and corporations (corporate acquisition);
- acquisition of Aletti SGR and part of the Poste group's insurance reserve management activities by Anima Holding as part of its external growth business plan (corporate acquisition).

Investment Banking

With regard to the bond market, MPSCS acted as Joint Lead Manager Bookrunner for the following bond issues in 2018: Tier 2 issued by the Parent Company maturing in 10 years, BTP Italia 13th issue linked to Italian inflation, 5-year CDP Sustainability Bond and two high-yield bonds issued by Nexi, both fixed rate and variable rate for a total of EUR 2.2 bn. In addition, it acted as Dealer in two "tender offers" on a BTP Italia as well as on a selected panel of CCTs and BTPs on behalf of the Italian Republic for a total of EUR 7.0 bn. In addition to these transactions, MPSCS participated as Co-Lead Manager in a 20-year nominal BTP, two covered bonds issued by Credit Agricole Cariparma for a total of EUR 2.0 bn and a 7-year covered bond issue of Commerzbank for EUR 500.0 mln.

In the same period, in the stock market MPSCS participated in the guarantee consortium linked with the Anima Holding share capital increase with the roles of Joint Global Coordinator and Joint Bookrunner.

The subsidiary continues its activities as Nominated Advisor on behalf of Poligrafici Printing SpA, listed on the AIM market of Borsa Italiana.

Global Markets

In the course of 2018, activities with customers and on the markets of the Global Markets and Sales and Financial Solutions Departments were impacted, in terms of flow volumes as well as quality, by a range of geopolitical events (Brexit, trade tensions between the United States and China on import tariffs, Italian political situation) which, even within a context of robust global growth and with limited rises in inflation, significantly influenced trends in the various asset classes, generating considerable volatility and an increase in government bond yields, particularly for Italian bonds, with repercussions for the credit spread with other Eurozone countries.

As a result, in the government segment, during the year proprietary portfolios were gradually reduced, seeking to optimise the nominal amount of government bonds held with the accrued carry. With reference to Italian Treasury Specialist activities, again in 2018 activities which in recent years placed MPSCS in an absolutely preeminent position continued, which made it possible, inter alia, to play significant roles again in 2018 in syndicated primary transactions as well as in the placement of the new BTP Italia.

Also in the Credit segment, within a market characterised by highly scarce liquidity and expanding spreads, there was a drastic reduction in volumes, in the markets as well as with customers. On the other hand, in terms of purchases, excellent results were achieved on the all-inclusive voluntary public tender offer on structured notes launched by the Parent Company on class A asset-backed and class B asset-backed securities issued by Casaforte S.r.l.

With reference to Structuring activities, good results were achieved from the placement of funds with a structured investment strategy as part of the commercial collaboration with Anima Asset Management. Furthermore, along with Axa MPS Financial, the production of protected unit linked products continues, which in the first half of the year was joined by the structuring of a different unprotected product range.

The increase in structured product placements had a positive impact on the Equity and Fixed Income segments, which benefitted from consistent growth in retail coverage volumes. In addition, these activities triggered significant technological and process adjustments in equity risk management, in the segment in which, within a surely difficult market environment, gratifying overall results were achieved from the dynamic management of risk warehousing.

The Sales and Financial Solutions Department continued to channel flows of institutional and corporate customers towards the entire range of the Bank's business lines. The greater restrictions imposed by the entry into force of the MiFID II Directive represented one of the factors contributing to the contraction in terms of volumes - with respect to institutional customers - with certain exceptions especially relating to the positive performance of auctions - as well as with regard to corporate customers, particularly with reference to exchange rate and commodity hedges for this customer segment. Also with regard to corporate customers, note that there has been a trend reversal on interest rate hedges, which rose by more than 100% compared to the previous year, as a result of the considerable growth in medium/long-term loans, and good results on exchange rates with a flexible term.

Subsidised financing

During 2018, management activities for public aid to companies continued according to the agreements with the Ministry of Economic Development (MiSE): Sustainable Growth Fund, Technological Innovation Fund, Law 488/92, Regional Pacts and SME Guarantee Fund. In particular, note the preliminary assessment activities related to 8 research and development projects of significant size submitted by large companies, as well as the intense promotion and assistance activities of the SME Guarantee Fund carried out with respect to Banks and Guarantee Consortia, trade associations and businesses.

In the last part of the year, preliminary assessment activities were also launched with regard to Supply Chain Contracts in the agricultural and agrifood sector as a bank authorised by the Ministry of Agricultural, Food, Forestry and Tourism Policies.

MPS Leasing & Factoring

Leasing

- **"Maxileasing" initiative:** commercial offer for operating asset and vehicle lease products, with dedicated conditions for trade associations that have entered into an agreement with MPSL&F.
- **"Sudleasing" initiative:** promotional campaign dedicated to companies with a registered office or production plant in Southern Italian regions, which acquire an operating asset. This offer provides dedicated conditions and a one-year "all risks" insurance policy on the leased assets free of charge.
- **Nuova Sabatini Operating Assets:** agreement with the Ministry of Economic Development for access to the subsidy and full operations.
- **"Top Car":** campaign for vehicle leasing aimed at prestigious automobiles.
- **"Cresci con Noi – (Ci facciamo in 4)" initiative:** promotional initiative dedicated to businesses and independent professionals in the small business market who sign a finance lease agreement on a vehicle, an operating asset or real estate as part of the Parent Company's "Ci facciamo in quattro" initiative.

Factoring

- Development of Non-Recourse Factoring and receivables purchasing to reclassify high-risk relationships and, thus, contain credit costs, making use, in this case, of the risk weighting of the transferred debtors.
- Development of reverse factoring by identifying specific targets and with the support of a preliminary credit analysis, to expand the transferor base on prospect customers for the Group as well.
- Identification, through specific targets, of companies with incorrect debt sustainability and which therefore may be open to receivables purchasing factoring solutions.
- Launch of international factoring operations (export factoring) through the FCI (Factor Chain International) channel.

The optimisation of the agent network, which began in 2016, continued over the course of 2018 with the retention of the highest performing and structured agents, to which increasingly greater operating delegations were granted.

Banca Widiba

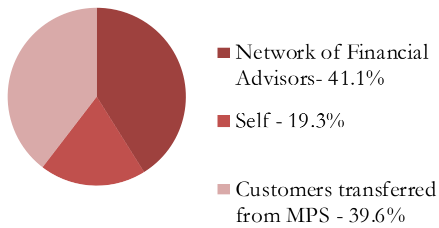
Business areas

- Banking products and services, deposit account, cards and advanced payment systems; customer self-service through the bank's digital channels or in assisted mode with the support of a Financial Advisor.
- Fully customisable online platform that relies on a network of 567 Financial Advisors present throughout the country.
- Funding and Global advisory services and financial planning through the advanced WISE platform and the skills of the Financial Advisor Network.
- Mortgages, credit facilities and personal loans.
- Innovative interaction through computers, smartphones, tablets, watches and TV.

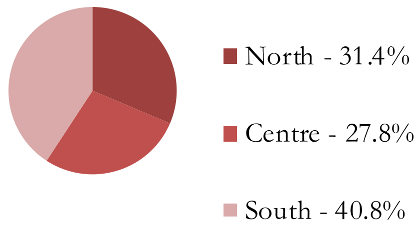
Customers

There were roughly 351,000 customers as at 31 December 2018, of which 144,200 in the Financial Advisor Network channel, 67,800 in the Self channel, and 139,000 customers migrated from the MPS branch network. There were approx. 309,335 customers managed exclusively by Banca Widiba SpA.

Breakdown by type



Breakdown by geography



Income statement and balance sheet results

As at 31 December 2018, **Total Funding** for Widiba amounted to approximately **EUR 7.6 bn**, in line with levels recorded at the end of September 2018 and up by EUR 87 mln since the start of the year. In 2018, the customer base also expanded by around 116 thousand, also considering the contribution of the migration to Widiba of another roughly 106 thousand customers from the MPS branch network in late October. Overall, there was significant growth in the Direct Funding segment, while Assets under Management declined in 4Q18 primarily due to the negative market effect. More specifically:

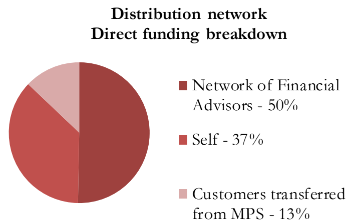
- **Direct Funding** amounting to **EUR 2.7 bn**, was up over the values in 3Q18 and showed a growth trend since the start of the year for current accounts as well as restricted credit lines (EUR +601 mln corresponding to +28%), due to the positive net funding flows for the self customer channel and for that of the Financial Advisor Network, as well as the above-mentioned contribution (equal to roughly EUR 300 mln) of the migration of customers from the MPS branch network. The growth trend in volumes is accompanied by the continuation of the process to reduce the cost of funding due to the reduction in rates and balanced mix of demand deposits and time deposits. Continuing with the commercial initiatives of the first nine months, also in 4Q18, policies were directed not only at acquiring new customers, but also increasing the share of wallet of existing customers, with offers dedicated to developing the segment of customers that had migrated from MPS branches and with the use of increasingly more sophisticated intelligence instruments. The consolidation of assistance processes supporting the business and customers through the Widiba Media Centre structure made it possible to improve customer service levels while also continuing with the trend of achieving significant economies of scale as well as with ever increasing cross selling rates;

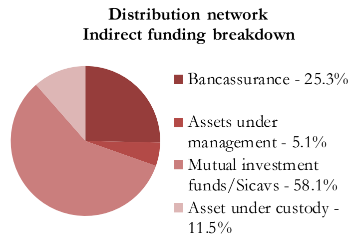
- **Indirect Funding**, of around **EUR 4.9 bn**, is down compared to 3Q18 (-354 mln) as well as compared to 31 December 2017 (EUR -514 mln, or -9%), mainly because of the unfavourable performance of the financial markets. In fact, a negative market impact on the Indirect Funding segment of around EUR 400 mln (around -7.5%) was estimated during the year, not offset by the net funding flows from the Financial Advisor Network. 25 new Financial Advisors were hired in 2018.

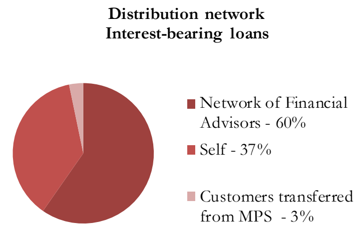
Interest-bearing loans to Widiba customers rose from roughly EUR 384 mln as at 30 September 2018 to **EUR 472 mln** as at 31 December 2018. The segment's net overall growth mainly refers to the consolidation of the range of mortgage loans offered by Widiba, with an increase of EUR 235 mln from the start of the year.

WIDIBA BANK - BALANCE SHEET AGGREGATES							
(EUR mln)	31/12/18	30/09/18	31/12/17	Chg Abs Q/Q	Chg % Q/Q	Chg Abs Y/Y	Chg % Y/Y
Deposits from customers and debt securities issued	**2,749**	**2,445**	**2,148**	**304**	**12.4%**	**601**	**28.0%**
Assets under management	*4,325*	*4,714*	*4,928*	*-390*	*-8.3%*	*-603*	*-12.2%*
Assets under custody	*562*	*527*	*473*	*35*	*6.7%*	*89*	*18.8%*
Indirect Funding	**4,887**	**5,241**	**5,401**	**-354**	**-6.8%**	**-514**	**-9.5%**
Total Funding	**7,635**	**7,686**	**7,548**	**-50**	**-0.7%**	**87**	**1.2%**
Interest-Bearing Loans to Customers	**472**	**384**	**238**	**87**	**22.7%**	**234**	**98.5%**

N.B.: The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 9.







With regard to profit and loss, as at 31 December 2018 Widiba achieved total **Revenues** of approx. **EUR 68.0 mln**, up (EUR +24.5 mln; +56.1%) compared to the previous year. The trend in the fourth quarter shows further growth in Net Interest Income and Net Fee and Commission Income compared to previous quarters. In particular, a breakdown of the aggregate shows:

- **Net Interest Income** as at 31 December 2018 amounted to **EUR 51.5 mln**, marking a significant increase (+65.6%) compared to the previous year. With regard to the components of net interest income, a particularly positive contribution was made by both financial assets (due to higher average volumes of +39% Y/Y) and by commercial assets (due to higher average volumes corresponding to around EUR 233 mln), together with a lower cost of funding (-19 bps on average). These trends led to a net improvement in average performance (12.8 mln) in the quarter (+65%) with respect to the one in 2017 (corresponding to EUR 7.8 mln);
- **Net fee and commission income** as at 31 December 2018, totalling **EUR 17.1 mln**, was higher than that of 2017 (+3.3 mln; +24.4%) due to the growth in banking and e-money revenues and the lower fee and commission expense to the Financial Advisory Network relating to extraordinary charges on the retainment and recruiting system.

Operating Expenses were lower than in the previous year (down by a total of EUR 0.7 mln, or -1.2%) due to lower other administrative expenses (EUR -3.7 mln, -8%), deriving from a constant policy of optimising spending. By contrast, higher amortisation (EUR +1.4 mln) relating to the development of the technological platform and higher personnel expenses (EUR +1.5 mln due to the increase of the workforce) were recorded.

The **Gross Operating Income** therefore came to **EUR +6.2 mln**, an improvement of EUR +25.2 mln compared to the previous year, also showing positive performance in the fourth quarter (EUR +2.5 mln), in line with that of the previous quarter and up compared to the first two quarters of the year.

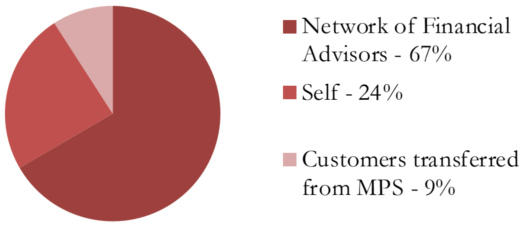
The **Net Operating Income** quarterly performance was also positive, recording a rise of EUR +23.1 mln against 2017, with an impact of insignificant write-downs on loans.

WIDIBA BANK - PROFIT AND LOSS AGGREGATES

			Chg. Y/Y	
(EUR mln)	31/12/18	31/12/17	Abs.	%
Net interest income	*51.5*	*31.1*	*20.4*	*65.6%*
Net fee and commission income	*17.1*	*13.7*	*3.3*	*24.4%*
Other income	*(0.1)*	*(0.0)*	*-0.1*	*n.s.*
Other operating expenses/income	*(0.4)*	*(1.2)*	*0.8*	*n.s.*
Total Income	**68.0**	**43.6**	**24.5**	**56.1%**
Operating expenses	*(61.9)*	*(62.6)*	*0.7*	*-1.2%*
Pre Provision Profit	**6.2**	**(19.0)**	**25.2**	**n.s.**
Net impairment losses (reversals) on loans and financial assets	(0.6)	1.5	-2.1	n.s.
Net Operating Income	**5.5**	**(17.5)**	**23.1**	**n.s.**

N.B.: The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 9.

Distribution network
Breakdown of revenues



Banca Widiba main initiatives

In 2018, Widiba continued and further strengthened its financial advisory positioning and consolidation strategy, while maintaining its focus on product and service innovation, with a view to expanding all components of commercial offerings and guaranteeing high customer experience levels in line with best market practices.

In the Italian market, Widiba is recognised as a well-established bank of excellence due to its focus on innovation and its distinctive value proposition, the qualities of which are founded on simplicity, transparency, dynamism and listening to customers. Furthermore, in 2018 there was a strong drive for the financial advisory service, in terms of sales as well as communications, with a number of positioning and brand awareness initiatives.

Within the Group, Widiba's role is that of a "driver for change and innovation"; it has been the first to introduce in the market a service model that combines technology innovation with certified financial advisory services, thus contributing to strengthening the image of MPS Group and always acting as a laboratory for innovation.

In line with the strategic plan for the re-launch and re-positioning of MPS Group, in 2018 the second initiative to transfer a selected perimeter of retail customers from Banca MPS to Banca Widiba was completed. This project sought to respond to the changing needs of customers in the new digital context and at the same time to recover eroded share of wallet, by reactivating its development, and to re-establish a sustainable balance between margins and cost-to-serve.

Widiba's commercial offering was developed primarily with respect to the products/service components of banking, payments, and investments, and was considerably enriched with the strengthening of WISE, the global advisory services and asset platform certified according to UNI TS 11348:2010. The platform and all components developed in 2018 anticipate a massive change in the sector.

Indeed, for the investments world, 2018 was a year of significant changes linked to the MiFID II regulations. Regulatory developments did not interrupt the advisory evolution process, with numerous interventions on the WISE platform and the creation of a new picking engine integrated in real time with cost/benefit controls for customers. Not only this, in 2018 WISE was involved in 35 projects which also saw the involvement of the advisors themselves, through specific committees. The centrality of customers and strong Portfolio Advisory engagement were the drivers for the development of the entire offer.

The Widiba product range was enriched in the course of the year in the Credit area as well, particularly in Mortgages, Personal Loans and Credit Facilities, with the dual objective of supporting the income statement as well as providing customers with all accessory services to the classic loan product. In Loan area, the CPI policy and a specific offer for advisors were launched. On the other hand, on the Mortgage front, two new policies were launched and preliminary screening expenses were brought into line with the market. Lastly, in 2018 the digital credit facilities process available to the advisor network was finalised. After the Mortgages digital platform, with the Credit Facilities digital process Widiba has taken another leap forward in terms of experience.

In terms of services, again in 2018 initiatives continued to be launched that placed Widiba up against non-bank players, including the Google Pay service. Widiba was one of the first banks to offer its customers the possibility to make payments with their smartphones easily, quickly, and securely, directly at points of sale enabled with contactless technology.

Widiba has continued to integrate and optimise the intelligence system with a view to creating a data driven ecosystem increasingly abundant in internal and external information, that is also easy to use for real time marketing campaigns and to support the advanced CRM and customer contact platform, which allows, on one hand, for multi-channel customer management (email, phone, social, virtual assistant, website, etc.) and, on the other, for integration with all of the business structures involved in customer management, to speed up and streamline requests with the support of financial advisors.

The feedback from customers is tangible and significant: with more than 610 thousand reviews, users' rating of Widiba has reached a score of 4.82 out of 5.

In 2018, Banca Widiba also continued the communication strategy with the market that had been outlined in previous years, focusing marketing activities and communication investments on:

1. Consideration of the brand and financial consulting on the market, consolidating the Bank's recognition and innovation, and continuing with the Network Bank positioning. The expression of this positioning took shape in the *#wearedvisors* press campaign: 90 local releases, specific media planning and a social communication project which attracted more than 130,000 content views. In addition, there were 98 training events and 2 road shows on financial education for a total of 11 stops.
2. Support to increase the customer base, with the implementation of digital communication campaigns designed for customer acquisition.
3. Social expression and relevance: Widiba maintains its leadership as the social bank in the market based on the size of its community, totalling 304,000, as well as the sentiment of conversations. The bank continues to be strongly oriented towards listening to and engaging people. In 2018, various physical and digital touch points were the expression of this engagement: #oggimisentocosì gathered influencers and customers alike at the Widiba headquarters in a conversation about the bank's values; on the other hand, the Brand Ambassador project involved a group of financial advisors in specific communication activities across different social media channels.
4. Engagement of the Financial Advisor Network on all aspects of the Bank's activities; **retention and development of the customer base** through the creation of communication campaigns and pushes.

At the end of 2018, the Bank had approx. 351 thousand customers and total funding amounting to roughly EUR 8 bn (+1% over 2017).

Awards and recognitions

Widiba has once again been recognised by the market for its impressive innovation and ability to change in the banking industry. Again in 2018 there was no shortage of international recognitions and awards, including: in January the prestigious international organisation EFMA once again recognised Widiba which, with Widiba Home, was awarded the innovation prize; in April 2018, the US magazine HOW recognised Widiba for the first time as Merit Winners in the Signage & Environment Graphics Category as part of the International Design Awards Winners 2018, which certifies the care and precision characterising the head office, which reflects the same experience that Widiba affords to its customers; in October 2018, Widiba was recognised once again, this time as the best home banking of 2018 thanks to its simplicity and the intuitive manner for carrying out online transactions. At the end of the year, Widiba won a significant recognition at the 2018 Bluerating Awards for MiFID II innovation and the financial advisors also received a number of prizes at the 2018 PF Awards.

Corporate Centre

The Corporate Centre includes:

- head office units, particularly with regard to governance and support functions, proprietary finance, the 'asset centre' of divisionalised entities, which comprises in particular: asset and liability management, treasury and capital management;
- business service and support units, particularly with regard to the development and management of information systems of the Consorzio Operativo di Gruppo (Group Operational Consortium) and the management of bad debt collection.

In addition to cancellation of intragroup entries, the Corporate Centre also collects the results of companies consolidated by the equity method and those in the process of being disposed, as well as the results of operational branches that are individually below the minimum parameters for external disclosure requirements.

Equity investment management

In 2018, the Group continued to rationalise its equity investment portfolio.

The following is a list of the most significant transactions carried out during 2018.

Acquisitions and share capital increases

- After receiving the ECB authorisation, the share capital increase of the subsidiary MPS Leasing & Factoring S.p.A. was completed.
- An "associazione in partecipazione" (profit-sharing) agreement was entered into with the company Levante Srl for the production of the film "Se son rose".

Disposals

- Disposal of the equity investments in: Juliet S.p.A. (100.00% of the share capital), Impianti S.r.l. in liquidation (18.49% of the share capital), Firenze Parcheggi S.p.A. (16.81% of the share capital), Società Italiana di Monitoraggio S.r.l. (12.89% of the share capital), Agriform S.C.A. (10.28% of the share capital), Centro di Ricerca Energia e Ambiente C.R.E.A S.c.a.r.l. (10.07% of the share capital), SPF Studio Progetti Finanziari S.r.l. (10.00% of the share capital), Polo Universitario Aretino S.c.r.l. (6.84% of the share capital), Polo Universitario Grossetano S.c.r.l. (5.35% of the share capital), Società Esercizio Aeroporto della Maremma Grosseto S.E.A.M. S.p.A. (1.36% of the share capital), Assofood S.p.A. in liquidation (1.04% of the share capital), Industria e Innovazione (0.30% of the share capital), Patto 2000 S.c.r.l. (0.17% of the share capital).
- On conclusion of the respective liquidation procedures, the following equity investments are no longer in the portfolio: Induxia S.r.l. in liquidation (15.00% of the share capital), Taranto Sviluppo S.c.p.a. in liquidation (15.00% of the share capital), Napoli Orientale S.c.p.a (9.80% of the share capital), Consorzio Centro Mercantile della Sicilia bankrupt (7.15% of the share capital), Consorzio Cassamercato in liquidation (6.71% of the share capital), Mantova Interporto S.r.l. in liquidation (4.17% of the share capital), Soggetto Intermediario Locale Appennino Centrale S.c.r.l. in liquidation (3.45% of the share capital), Aeroporto Civile di Padova S.p.A. in liquidation (1.06% of the share capital), Foligno Nuova S.p.A. in liquidation (1.00% of the share capital);
- The subsidiary MPS Capital Services S.p.A. disposed of the entire equity investment held in Moncada Solar Equipment S.r.l. (14.52% of the share capital) and cancelled the equity investment held in Società Infrastrutture Toscana S.p.A. following the conclusion of the liquidation process (4.80% of the share capital).

Prospects and outlook on operations

In 2018, after the slowdown observed in the beginning of the year, global economic growth continued although the initial signs of cyclical deterioration and worsening global trade prospects began to appear at the end of the year in many advanced and emerging economies due to the risks relating to a negative outcome of trade negotiations between the United States and China, the possible ratcheting up of financial tensions in emerging countries and how Brexit will actually take place. Economic uncertainties had repercussions in the international financial markets, with a downturn in long-term yields and declining stock prices.

In the Eurozone, growth weakened and, based on data from November of last year, industrial output decreased significantly in Germany, France and Italy. Although inflation remained at largely positive levels, it dipped due to the slowdown in energy commodity prices. The ECB’s Governing Council, which had already forecast that its net bond purchases would come to an end at the end of 2018, reaffirmed its intention to maintain significant monetary stimulus measures in place for an extended period of time.

In Italy, after growth was already interrupted in the third quarter, available economic indicators show an even sharper decline in the last part of the year. Some factors contributing to the weakening over the summer months were declining domestic demand, particularly investments and, to a lesser extent, household expenditure. Risk premiums on sovereign bonds fell due to the agreement between the Italian government and the European Commission on budget plans. The spread between Italian and German government bond yields in mid-January 2019 was roughly 260 basis points, a decrease of 65 compared to the highs reached in November. Compared to the end of the previous quarter, the spread on the ten-year bond has decreased by 17 basis points, to 250 points at year end.

Credit supply conditions remain relaxed on the whole, with interest rates on loans only slightly higher than in May, when the initial tensions began to emerge in the government bond market. However, in the future, the continuation of high sovereign yield levels and the cost of bank funding could drive the cost of credit up. The percentage of non-performing loans out of total loans continued to decline, reaching 4.5% in the third quarter net of adjustments (-1.8% compared to the previous year).

In order to take into account the change in the macroeconomic scenario during the second half of 2018 (BTP/Bund spread in the second half of 2018, consensus on GDP growth estimates, industrial output and household consumption indicators, expected developments in interest rates) and of the 2018 results, the Parent Company has updated its internal projection related to the Group's forecasted income statement and balance sheet. These forecasts are lower than those envisaged in the 2017-2021 Restructuring Plan approved by the competent authorities in July 2017, but nonetheless the values of capital ratios are above the new SREP regulatory requirements. The Parent Company has also taken these updates into account in the main accounting estimates adopted in these financial statements.

With regard to the outlook on operations, based on currently available information, is noted.

In 2019 Monte dei Paschi Group revenues are expected to be essentially stable compared to the previous year, cost management initiatives are expected to continue, and the cost of credit is expected to decline, benefitting from a lower default rate.

Furthermore, the following is envisaged during 2019:

- the departure of 750 resources through activation of the Solidarity Fund;
- the closing of the disposal of leasing bad loans in the amount of EUR 0.9 bn;
- the closing of the sale of Banca Monte Paschi Belgio S.A.;
- the implementation of the merger by incorporation of Perimetro S.C.p.A. into Banca Monte dei Paschi di Siena S.p.a..

Related-party transactions

For information that companies issuing listed shares are required to provide, pursuant to art. 5, para. 8 of the Regulation on Related-Party Transactions (Consob Resolution no. 17221 of 12 March 2010 and subsequent modifications), please refer to "Part H - Related-party transactions" of the 2018 financial statements.

Annexes

Reconciliation between the reclassified income statement and balance sheet and the related statutory accounts

Reconciliation between the reclassified income statement as at 31 December 2018 and related statutory accounts

Accounts in Reclassified Profit and Loss Statement - Montepaschi Group	31/12/18	Accounts in the Profit and Loss Statement - Montepaschi Group		31/12/18	Operating Reclassifications			31/12/18
Net interest income	1,742.8	Interest income and similar revenues	Item 10	2,327.4	(+)	Economic effects from allocation of BAV acquisition costs to BMPS (PPA)+ Economic effects related to classification of MP Belgio under IFRS5		29.4
		Interest expense and similar charges	Item 20	-608.7	(+)	Economic effects related to classification of MP Belgio under IFRS5		-5.2
Net fee and commission income	1,523.3	Fee and commission income	Item 40	1,778.8	(+)	Economic effects related to classification of MP Belgio under IFRS5		2.9
		Fee and commission expense	Item 50	-257.3	(+)	Economic effects related to classification of MP Belgio under IFRS5		-1.1
Income from banking activities	**3,266.1**			**3,240.2**				**26.0**
Dividends, similar income and profit (losses) on equity investments	74.5	Dividends and similar income	Item 70	11.2	(-)	Reclassification of dividends on treasury stock transactions	Item 70 - Partial	-1.3
					(+)	Portion of profit from equity investments (Gruppo AXA)	Item 250 - Partial	64.6
Net profit (loss) from trading and financial assets/liabilities measured at amortised cost and at fair value through profit and loss	-13.0	Net profit (loss) from trading	Item 80	30.4	(+)	Reclassification of dividends on treasury stock transactions+ Economic effects related to classification of MP Belgio under IFRS5	Item 70 - Partial	3.8
		Gains/losses on disposal/repurchase of:	Item 100	35.9				
		a) financial assets measured at amortised cost		0.3				
		b) financial assets measuerd at fair value through comprehensive income		25.1	(+)	Economic effects related to classification of MP Belgio under IFRS5		2.3
		c) financial liabilities		10.5				
		Net profit (loss) from financial assets and liabilities designated at fair value	Item 110	-85.4				
		a) financial asset and liabilities measured at fair value		4.0				
		b) other financial assets measured at fair value mandatory		-89.4				
Net profit (loss) from hedging	-0.2	Net profit (loss) from hedging	Item 90	-0.2				
Other operating income (expenses)	-39.9	Other operating income (expenses)	Item 230	246.4	(-)	Recovery of stamp duty and customers' expenses + Economic effects related to classification of MP Belgio under IFRS5	Item 230 - Partial	-286.3
Total Revenues	**3,287.5**			**3,478.5**				**-190.9**
Administrative expenses:	-2,100.6	Administrative expenses	Item 190	-2,711.9				
a) personnel expenses	-1,462.9	a) Personnel expenses	Item 190a	-1,571.9	(+)	Restructuring costs+ Economic effects related to classification of MP Belgio under IFRS5	Item 190a) - Partial	109.0
b) other administrative expenses	-637.7	b) Other administrative expenses	Item 190b	-1,140.0	(+)	Reclassification provision to BRRD and DGSD funds + Economic effects related to classification of MP Belgio under IFRS5	Item 190b - Partial	121.0
					(+)	Recovery of stamp duty and customers' expenses		286.8
					(+)	Oneri Operazione di Cartolarizzazione, Ricapitalizzazione e Commitment	Item 230 - Partial	23.6
					(+)	DTA fee	Item 190b) - Partial	70.9
Net adjustments to (recoveries on) property, plant and equipment / Net adjustments to (recoveries on) intangible assets	-250.1	Net losses/reversal on impairment on property, plant and equipment	Item 210	-150.4	(+)	Economic effects related to classification of MP BELGIO under IFRS5		-0.3
		Net adjustments to (recoveries on) intangible assets	Item 220	-122.8	(+)	Economic effects from allocation of BAV acquisition costs to BMPS (PPA) + Economic effects related to classification of MP Belgio under IFRS5		23.4
Operating expenses	**-2,350.7**			**-2,985.1**				**634.4**
Pre Provision Profit	**936.8**			**493.4**				**443.5**
Net impairment (losses)/reversals on:	-624.6	Net impairment losses(reversals) on	Item 130	-603.8				
a) financial assets measured at amortised cost	-628.1	a) financial assets measured at amortised cost	Item 130a	-607.0	(-)	Modification gains/(losses) + Economic effects related to classification of MP Belgio under IFRS5	Item 140	-21.1
b) Financial assets measured at fair value through other comprehensive income	3.5	b) financial assets measured at fair value through other comprehensive income	Item 130b	3.2	(+)	Economic effects related to classification of MP Belgio under IFRS5		0.3
		Modification gains/(losses)	Item 140	-12.7	(+)	Modification gains/(losses)	Item 140	12.7
Net operating income	312.2			-123.1				435.4
Net provisions for risks and charges	**-69.0**	**Net provisions for risks and charges**	**Item 200**	**-69.4**				
a) financial guarantees and other commitments	14.9	a) financial guarantees and other commitments	Item 200a	13.9	(+)	Securitization, Recapitalization and Commitment Costs	Item 200 a) - Partial	1.0
b) other provisions	-83.9	b) other provisions	Item 200b	-83.4	(+)	Economic effects related to classification of MP Belgio under IFRS5		-0.5
Gains (losses) on investments	1.3	Gains (losses) on investments	Item 250	65.9	(-)	Portion of profit from equity investments (Gruppo AXA)	Item 250 - Partial	-64.6
Restructuring costs / One-off costs	-201.7				(-)	Restructuring costs	Item 190b) - 200b)	-201.7
Risks and charges associated to the SRF, DGS and similar schemes	-131.1				(-)	Provision to BRRD and DGSD funds + Economic effects related to classific	Item 190b - Partial	-131.1
DTA fee	-70.9				(-)	DTA fee	Item 190b - Partial	-70.9
Gains (losses) on disposal of investments	50.0	Gains (losses) on disposal of investments	Item 280	50.0				
Profit (loss) before tax from continuing operations	**-109.2**			**-76.8**				**-32.5**
Tax expense (recovery) on income from continuing operations	410.1	Tax expense (recovery) on income from continuing operations	Item 300	421.1	(-)	Economic effects from allocation of BAV acquisition costs to BMPS (PPA)		-11.0
Profit (loss) after tax from continuing operations	**300.9**			**344.3**				**-43.4**
Profit (loss) after tax from groups of assets held for sale and discontinued operations		Profit (loss) after tax from groups of assets held for sale and discontinued operations	Item 320	-65.7	(-)	Economic effects related to classification of MP Belgio under IFRS5		65.7
Net profit (loss) for the year including non-controlling interests	**300.9**			**278.7**				**22.2**
Net profit (loss) attributable to non-controlling interests	0.1	Net profit (loss) attributable to non-controlling interests	Item 340	0.1				
Profit (loss) for the year before PPA	**300.8**			**278.6**				**22.2**
PPA (Purchase Price Allocation)	-22.2				(-)	Economic effects from allocation of BAV acquisition costs to BMPS (PPA)		-22.2
Net profit (loss) for the year	**278.6**	**Net profit (loss) for the year**		**278.6**		**Total**		**0.0**

Reconciliation between the reclassified income statement as at 31 December 2017 and related statutory accounts

Accounts in Reclassified Profit and Loss Statement Montepaschi Group	31 12 2017*	Accounts in the Profit and Loss Statement Montepaschi Group		31 12 2017*	Operating Reclassifications			31 12 2017*
Net interest income	1788.3	Interest income and similar revenues	Item 10	2703.5	(+)	Economic effects from allocation of BAV acquisition costs to BMPS (PPA)		12.4
		Interest expense and similar charges	Item 20	-927.6				
Net fee and commission income	1576.5	Fee and commission income	Item 40	1907.3				
		Fee and commission expense	Item 50	-343.6	(+)	Reclassification of fee and commission expense on Restructuring charg		12.8
Income from banking activities	**3364.8**			**3339.6**				**25.2**
Dividends, similar income and profit (losses) on equity investments	101.0	Dividends and similar income	Item 70	15.3	(-)	Reclassification of dividends on treasury stock transactions	Item 70 - Partial	-6.2
					(+)	Portion of profit from equity investments (Gruppo AXA)	Item 250 - Partial	91.9
Net profit (loss) from trading and financial assets/liabilities measured at amortised cost and at fair value through profit and loss	574.8	Net profit (loss) from trading	Item 80	-6.0	(+)	Reclassification of dividends on treasury stock transactions	Item 70 - Partial	6.2
		Gains/losses on disposal/repurchase of:	Item 100	578.0				
		a) financial assets measured at amortised cost		1.4				
		b) financial assets measuerd at fair value through comprehensive income		75.8				
		c) financial liabilities		500.8				
		Net profit (loss) from financial assets and liabilities designated at fair value	Item 110	-3.4				
		a) financial asset and liabilities measured at fair value		-3.4				
		b) other financial assets measured at fair value mandatory						
Net profit (loss) from hedging	-3.7	Net profit (loss) from hedging	Item 90	-3.7				
Other operating income (expenses)	-11.3	Other income/expenses	Item 230	311.9	(-)	Recovery of stamp duty and customers' expenses	Item 230 - Partial	-323.2
Total Revenues	**4025.6**			**4231.7**				**-206.1**
Administrative expenses:	-2279.6	Administrative expenses	Item 190	-3083.0				
a) personnel expenses	-1575.4	a) Personnel expenses	Item 190a	-1857.2	(+)	Restructuring costs	Item 190 a) - Partia	281.8
b) other administrative expenses	-704.3	b) Other administrative expenses	Item 190b	-1225.8	(+)	Reclassification provision to BRRD and DGSD funds	Item 190b - Partial	91.9
					(+)	Recovery of stamp duty and customers' expenses	Item 230 - Partial	323.2
					(+)	Securitization, Recapitalization and Commitment Costs	Item 190b - Partial	18.8
					(+)	Restructuring costs	Item 190 b) - Partial	16.7
					(+)	DTA Fess	Item 190b - Partial	70.9
Net adjustments to (recoveries on) property, plant and equipment / Net adjustments to (recoveries on) intangible assets	-263.4	Net losses/reversal on impairment on property, plant and equipment	Item 210	-133.1				
		Net adjustments to (recoveries on) intangible assets	Item 220	-156.1	(+)	Economic effects from allocation of BAV acquisition costs to BMPS		25.8
Operating expenses	**-2543.0**			**-3372.2**				**829.2**
Pre Provision Profit	**1482.6**			**859.5**				**623.1**
Net impairment (losses)/reversals on:	-5416.8	Net impairment losses(reversals) on	Item 130	-5416.8				
a) financial assets measured at amortised cost	-5323.7	a) financial assets measured at amortised cost	Item 130a	-5323.7				
b) Financial assets measured at fair value through other comprehensive income	-93.1	b) financial assets measured at fair value through other comprehensive income	Item 130b	-93.1				
		Modification gains/(losses)	Item 140					
Net operating income	**-3934.2**			**-4557.3**				**623.1**
Net provisions for risks and charges	-276.1	Net provisions for risks and charges	Item 200	-276.1				
a) financial guarantees and other commitments	-43.2	a) financial guarantees and other commitments	Item 200a	-43.2				
b) other provisions	-232.9	b) other provisions	item 200b	-232.9				
Gains (losses) on investments	-14.0	Gains (losses) on investments	Item 250	77.9	(-)	Portion of profit from equity investments (Gruppo AXA)	Item 250 - Partial	-91.9
Restructuring costs / One-off costs	-330.2				(-)	Restructuring costs	Item 190b) and 200b) - Partial	-330.2
Risks and charges related to the SRF, DGS and similar schemes	-91.9				(-)	Provision to BRRD and DGSD funds	Item 190b - Partial	-91.9
DTA Fee	-70.9				(-)	DTA Fee	Item 190b - Partial	-70.9
Gains (losses) on disposal of investments	**531.2**	**Gains (losses) on disposal of investments**	**Item 280**	**531.2**				
Profit (loss) before tax from continuing operations	-4186.2			-4224.4				38.2
Tax expense (recovery) on income from continuing operations	709.6	Tax expense (recovery) on income from continuing operations	Item 300	722.2	(-)	Economic effects from allocation of BAV acquisition costs to BMPS (PPA)		-12.6
Profit (loss) after tax from continuing operations	**-3476.6**			**-3502.2**				**25.6**
Profit (loss) after tax from groups of assets held for sale and discontinued operations		Profit (loss) after tax from groups of assets held for sale and discontinued operations	Item 320					
Net profit (loss) for the year including non-controlling interests	**-3476.6**			**-3502.2**				**25.6**
Net profit (loss) attributable to non-controlling interests	0.1	Net profit (loss) attributable to non-controlling interests	Item 340	0.1				
Profit (loss) for the year before PPA	-3476.7			-3502.3				25.6
PPA (Purchase Price Allocation)	-25.6				(-)	Economic effects from allocation of BAV acquisition costs to BMPS (PPA)		-25.6
Net profit (loss) for the year	**-3502.3**	**Net profit (loss) for the year**		**-3502.3**		**Total**		**0,0**

**The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 9.*

Reconciliation between the reclassified balance sheet and related statutory accounts

Balance-sheet Items - Assets	31 12 2018	Impact of reclassicication of MP Belgio under IFRS5	31 12 2018 Restated	31 12 2017* Restated	Reclassified balance-sheet items - Assets
	945.6	**5.0**	**950.6**	**4,092.3**	**Cash and cash equivalents**
Item 10 – Cash and cash equivalents	945.6	5.0	950.6	4,092.3	
Financial assets measured at amortised cost:	-	-	-	-	**Receivables**
	86,166.2	**689.3**	**86,855.5**	**86,456.3**	**a) Loans to customers**
Item 40 – Loans to customers	86,166.2	689.3	86,855.5	86,456.3	
	12,330.6	**173.6**	**12,504.2**	**9,966.2**	**b) Loans to banks**
Item 40 – Loans to banks	12,330.6	173.6	12,504.2	9,966.2	
	19,945.1	**351.1**	**20,296.2**	**24,168.4**	**Financial assets measuerd at fair value**
Item 20 – Financial assets measured at fair value through profit and loss	9,263.6	2.2	9,265.8	8,718.0	
Item 30 – Financial assets measured at fair value through other comprehensive income	10,681.5	348.9	11,030.4	15,450.4	
	922.8	**-**	**922.8**	**1,034.6**	**Equity investments**
Item 70 – Equity investments	922.8	-	922.8	1,034.6	
	2,720.5	**6.8**	**2,727.3**	**2,897.4**	**Property, plant and equipment / Intangible assets**
Item 90 – Property, plant and equipment	2,506.6	0.3	2,506.9	2,614.2	
Item 100 – Intangible assets	213.9	6.5	220.4	283.2	
	7,450.0	**(1,225.6)**	**6,224.4**	**10,539.0**	**Other assets**
Item 50 – Hedging Derivatives	99.1	-	99.1	156.5	
Item 60 – Change in value of macro-hedged financial assets (+/-)	169.9	-	169.9	57.3	
Item 110 – Tax assets	3,968.5	-	3,968.5	3,815.3	
Item 120 – Non-current assets held for sale and discontinued operations	1,478.3	(1,234.1)	244.2	4,595.1	
Item 130 – Other assets	1,734.2	8.5	1,742.7	1,914.5	
Total Assets	**130,481.0**	**-**	**130,481.0**	**139,154.2**	**Total Assets**

Balance-sheet Items - Liabilities	31 12 2018	Impact of reclassicication of MP Belgio	31 12 2018 Restated	31 12 2017* Restated	Reclassified balance-sheet items - Liabilities
					Payables
	89,507.3	**964.5**	**90,471.7**	**97,801.8**	**a) Deposits from customers and securities issued**
Item10 – Deposits from customers	76,113.2	964.5	77,077.7	77,014.2	
Item 10 – Debt securities issued	13,135.8	-	13,135.8	20,461.3	
Item 30 – Financial liabilities designated at fair value	258.2	-	258.2	326.3	
	21,838.4	**147.9**	**21,986.3**	**21,084.9**	**b) Deposits from banks**
Item 10 – Deposits from banks	21,838.4	147.9	21,986.3	21,084.9	
	3,173.6	**2.1**	**3,175.7**	**4,476.9**	**Financial liabilities held for trading**
Item 40 – Financial liabilities held for trading	3,173.6	2.1	3,175.7	4,476.9	
					Provisions for specific use
Item 90 – Provision for employee severance pay	192.1	-	192.1	199.5	a) Provision for employee severance pay
Item 100 - Provisions for risks and charges - a) financial guarantees and other commitments	242.4	-	242.4	226.4	(Provision for financial guarantees and other commitments
Item 100 - Provisions for risks and charges - b) pension and similar obligations	37.5	0.4	37.9	50.1	b) Provision for pension
Item 100 - Provisions for risks and charges - c) other provisions	1,199.1	0.8	1,199.9	1,088.4	c) Other provisions
	5,296.4	**(1,115.5)**	**4,180.8**	**3,794.8**	**Other liabilities**
Item 40 – Hedging Derivatives	748.5	-	748.5	691.4	
Item 50 – Change in value of macro-hedged financial liabilities	18.1	-	18.1	(0.8)	
Item 60 – Tax liabilities	21.6	-	21.6	58.6	
Item 70 – Liabilities associated to disposal groups held for sale	1,180.1	(1,123.4)	56.7	-	
Item 80 – Other liabilities	3,328.0	7.9	3,335.9	3,045.6	
	8,992.0	**-**	**8,992.0**	**10,429.1**	**Group net equity**
Item 120 – Valuation reserves	(176.7)	-	(176.7)	51.7	a) Valuation reserves
Item 150 – Reserves	(1,124.8)	-	(1,124.8)	3,864.8	d) Reserves
Item 160 – Share premium reserve	-	-	-	-	e) Share premium reserve
Item 170 – Share Capital	10,328.6	-	10,328.6	10,328.6	f) Share Capital
Item 180 – Share premium reserve	(313.7)	-	(313.7)	(313.7)	e) Share premium reserves
Item 200 – Profit (loss) for the year (+/-)	278.6	-	278.6	(3,502.3)	h) Profit (loss) for the period
	2.2	**-**	**2.2**	**2.3**	**Non-controlling interests**
Item 190 – Non-controlling interests (+/-)	2.2	-	2.2	2.3	
Total liabilities and shareholders' equity	**130,481.0**	**-**	**130,481.0**	**139,154.2**	**Total liabilities and shareholders' equity**

** The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 9.*

CONSOLIDATED FINANCIAL STATEMENTS

Consolidated balance sheet

Assets		31 12 2018	31 12 2017*
10.	Cash and cash equivalents	945,638	4,092,307
20.	Financial assets measured at fair value through profit and loss	9,263,644	8,717,994
	a) financial assets held for trading	8,559,967	8,717,994
	c) other financial assets measured at fair value mandatory	703,677	-
30.	Financial assets measured at fair value through other comprehensive income	10,681,501	15,450,436
40.	Financial assets measured at amortised cost	98,496,860	96,422,619
	a) Loans to banks	12,330,621	9,966,212
	b) Loans to customers	86,166,239	86,456,407
50.	Hedging derivatives	99,091	156,485
60.	Change in value of macro-hedged financial assets (+/-)	169,881	57,346
70.	Equity investments	922,793	1,034,644
90.	Property, plant and equipment	2,506,598	2,614,249
100.	Intangible assets	213,924	283,235
	- of wich goodwill	*7,900*	*7,900*
110.	Tax assets	*3,968,531*	*3,815,294*
	a) current	946,013	878,511
	b) deferred	3,022,518	2,936,783
120.	Non-current assets and groups of assets held for sale and discontinued operations	1,478,310	4,595,135
130	Other assets	1,734,235	1,914,448
	Tatal assets	**130,481,006**	**139,154,192**

** The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 9; in addition, the comparative data were reclassified on the basis of the new accounting statements set forth in the 5th update of Bank of Italy Circular 262.*

continued: Consolidated balance sheet

Total Liabilities and Shareholders' Equity		31 12 2018	31 12 2017*
10.	Financial liabilities measured at amortised cost	111,087,471	118,560,393
	a) deposits from banks	21,838,410	21,084,916
	b) deposits from customers	76,113,224	77,014,177
	c) debts securities issued	13,135,837	20,461,300
20.	Financial liabilities held for trading	3,173,553	4,476,907
30.	Financial liabilities designated at fair value	258,235	326,279
40.	Hedging derivatives	748,501	691,368
50.	Fair value change of financial liabilities in hedged portfolio (+/-)	18,145	(788)
60.	Tax liabilities	21,642	58,633
	a) current	*48*	*1,255*
	b) deferred	21,595	57,378
70.	Liabilities associated with non-current assets held for sale and discontinued operations	1,180,149	-
80.	Other liabilities	3,327,952	3,045,648
90.	Provision for employees severance pay	192,116	199,498
100.	Provision for risks and charges:	1,479,041	*1,364,880*
	a) financial guarantees and other commitments	242,420	*226,388*
	b) post-employment benefits	37,500	*50,129*
	c) other provisions	1,199,121	*1,088,363*
120.	Valuation reserves	(176,723)	51,705
	di cui relative ad attività operative cessate	*(2,629)*	-
150.	Reserves	(1,124,804)	3,864,821
170.	Share capital	10,328,618	10,328,618
180.	Treasury shares (-)	(313,710)	(313,710)
190.	Non-controlling interests (+/-)	2,242	2,279
200.	Profit (loss) (+/-)	278,578	(3,502,339)
	Total Liabilities and Shareholders' Equity	**130,481,006**	**139,154,192**

** The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 9; in addition, the comparative data were reclassified on the basis of the new accounting statements set forth in the 5th update of Bank of Italy Circular 262.*

Consolidated income statement

Items		31 12 2018	31 12 2017*
10.	Interest income and similar revenues	2,327,413	2,675,952
	of which interest income calculated applying the effective interest rate method	*2,237,938*	-
20.	Interest expense and similar charges	(608,683)	(916,575)
30.	**Net interest income**	**1,718,730**	**1,759,377**
40.	Fee and commission income	1,778,819	1,903,212
50.	Fee and commission expense	(257,331)	(342,092)
60.	**Net fee and commission income**	**1,521,488**	**1,561,119**
70.	Dividends and similar income	11,173	15,320
80.	Net profit (loss) from trading	30,374	(11,946)
90.	Net profit (loss) from hedging	(225)	(3,735)
100.	Gains/(losses) on disposal/repurchase of:	35,884	575,652
	a) financial assets measured at amortised cost	*334*	*1,400*
	b) Financial assets measured at fair value through other comprehensive income	*25,079*	*73,479*
	c) financial liabilities	*10,471*	*500,773*
110.	Net profit (loss) form financial assets and liabilities measured at fair value through other comprehensive income	(85,480)	(3,358)
	a) financial assets and liabilities measured at fair value	*3,959*	*(3,358)*
	b) other financial assets mandatorily at fair value through profit or loss	*(89,438)*	-
120.	**Net interest and other banking income**	**3,231,944**	**3,892,429**
130.	Net impairment (losses)/reversals on	(603,823)	(5,414,785)
	a) financial assets measured at amortised cost	*(607,017)*	*(5,321,703)*
	b) financial assets measured at fair value through other comprehensive income	*3,194*	*(93,082)*
140.	Modification gains/(losses)	(12,699)	-
150.	**Net income from banking activities**	**2,615,422**	**(1,522,356)**
190.	Administrative expenses:	(2,711,913)	(3,065,730)
	a) personnel expenses	*(1,571,945)*	*(1,847,661)*
	b) other administrative expenses	*(1,139,968)*	*(1,218,069)*
200.	Net provision for risks and charges:	(69,434)	(276,106)
	a) commitments and guarantees issued	*13,946*	*(43,217)*
	b) other net provisions	*(83,380)*	*(232,889)*
210.	Net adjustments to/recoveries on property, plant and equipment	(150,432)	(132,917)
220.	Net adjustments to/recoveries on intangible assets	(122,753)	(155,170)
230.	Other operating expenses/income	246,360	311,794
240.	**Operating expenses**	**(2,808,172)**	**(3,318,130)**
250.	Gains (losses) on investments	65,915	77,904
280.	Gains (losses) on disposal of investments	50,041	522,214
290.	**Profit (loss) before tax from continuing operations**	**(76,796)**	**(4,240,368)**
300.	Tax (expense)/recovery on income from continuing operations	421,121	722,152
310.	**Profit (loss) after tax from continuing operations**	**344,325**	**(3,518,216)**
320.	Profit (loss) after tax from groups of assets held for sale and discontinued operations	(65,658)	15,971
330.	**Profit (loss)**	**278,667**	**(3,502,245)**
340.	Profit (loss) attributable to non-controlling interests	89	94
350.	**Parent company's net profit (loss)**	**278,578**	**(3,502,339)**

	31 12 2018	31 12 2017*
Basic Earnings per Share (Basic EPS)	**0.252**	**(7.299)**
of continuing operations	0.312	(7.332)
of groups of assets held for sale and discontinued operations	(0.059)	0.033
Diluted Earnings per Share (Diluted EPS)	**0.252**	**(7.299)**
of continuing operations	0.312	(7.332)
of groups of assets held for sale and discontinued operations	(0.059)	0.033

** The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 9; in addition, the comparative data were reclassified on the basis of the new accounting statements set forth in the 5th update of Bank of Italy Circular 262. The data were restated solely in the 2017 income statement to take into consideration the classification of the subsidiary BMP Belgio S.A. as a discontinued operation, in accordance with the provisions of IFRS 5.*

Consolidated statement of comprehensive income

	Items	31 12 2018	31 12 2017*
10.	**Profit (loss)**	**278,667**	**(3,502,245)**
	Other comprehensive income after tax not recycled to profit and loss	**(491)**	**(115,168)**
20.	Equity instruments measured at fair value through other comprehensive income	(4,970)	-
30.	Financial liabilities measured at fair value through other comprehensive income	4,843	(119,144)
70.	Actuarial gains (losses) on defined benefit plans	5,757	3,666
80.	Non current assets held for sale	876	83
90.	Share of valuation reserves of equity-accounted investments	(6,997)	227
	Other comprehensive income after tax recycled to profit and loss	**(295,760)**	**(28,462)**
110.	Exchange differences	2,888	(6,043)
120.	Cash flow hedges	556	26,165
140.	Fair value changes of debt instruments measured at fair value through other comprehensive income	(219,501)	24,446
150.	Non-current assets and disposal groups classified as held for sale	(7,836)	(15,430)
160.	Share of valuation reserves of equity-accounted investments	(71,867)	(57,600)
170.	**Total other comprehensive income after tax**	**(296,251)**	**(143,630)**
180.	**Total comprehensive income (Item 10+170)**	**(17,584)**	**(3,645,875)**
190.	Consolidated comprehensive income attributable to non-controlling interests	87	94
200.	**Consolidated comprehensive income attributable to Parent Company**	**(17,671)**	**(3,645,969)**

** The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 9; in addition, the comparative data were reclassified on the basis of the new accounting statements set forth in the 5th update of Bank of Italy Circular 262.*

Consolidated statement of changes in equity – 2018

	Balance as at 31 12 2017	Change in opening balances*	Balance as at 01 01 2018	Allocation of profit from prior year		Changes during the year											
							Shareolders'equity transactions										
				Reserves	Dividends and other payout	Changes in reserves	Issue of new share	Purchase of treasury shares	Extraordinary distribution of dividends	Change in equity instruments	Treasury shares derivatives	Stock options	Changes in equity investments	Total comprehensive income for 31 12 2018	Total equity as at 31 12 2018	Group equity as at 31 12 2018	Non-controlling interest as at 31 12 2018
Share capital:	10,329,590	-	10,329,590	-	-	(20)	-	-	-	-	-	-	-	-	10,329,570	10,328,618	952
a) ordinary shares	10,329,590	-	10,329,590	-	-	(20)	-	-	-	-	-	-	-	-	10,329,570	10,328,618	952
b) other shares	-	-	-	-	-	-	-	-	-	-	-	-	-	-		-	-
Share premium	18	-	18	-	-	(14)	-	-	-	-	-	-	-	-	5	-	5
Reserves:	3,864,777	(1,458,288)	2,406,489	(3,502,355)	-	(28,973)	-	-	-	-	-	-	-	-	(1,124,839)	(1,124,804)	(35)
a) from profits	1,480,908	(1,458,288)	22,620	(996,324)	-	(25,788)	-	-	-	-	-	-	-	-	(999,492)	(999,457)	(35)
b) other	2,383,869	-	2,383,869	(2,506,031)	-	(3,184)	-	-	-	-	-	-	-	-	(125,347)	(125,347)	-
Valuation reserves	52,945	67,814	120,759	-	-	-	-	-	-	-	-	-	-	(296,251)	(175,492)	(176,724)	1,231
Equity instruments	-	-	-	-	-	-	-	-	-	-	-	-	-	-		-	-
Treasury shares	(313,710)	-	(313,710)	-	-	-	-	-	-	-	-	-	-	-	(313,710)	(313,710)	-
Net profit (loss)	(3,502,245)	-	(3,502,245)	3,502,355	(110)	-	-	-	-	-	-	-	-	278,667	278,667	278,578	89
Total equity	10,431,375	(1,390,474)	9,040,902	-	(110)	(29,006)	-	-	-	-	-	-	-	(17,584)	8,994,201	8,991,959	2,242
Group equity	10,429,096	(1,390,456)	9,038,640	-	-	(29,009)	-	-	-	-	-	-	-	(17,671)	8,991,959	8,991,959	X
Non-controlling interests	2,279	(17)	2,262	-	(110)	3	-	-	-	-	-	-	-	87	2,242	X	2,242

** The column "Changes in opening balances" includes the effects of First-Time Adoption (FTA) in applying the IFRS 9 and IFRS 15 accounting standards, as described in further detail in the section "Disclosure on first-time adoption of the accounting standards IFRS 9 "Financial Instruments" and IFRS 15 "Revenue from Contracts with Customers".*

As at 31 December 2018 the Group's net equity, including non-controlling interests and profit for the year, amounted to EUR 8,994.2 mln, as compared to EUR 10,431.4 mln as at 31 December 2017, with a total decrease of EUR 1,437.2 mln.

Note that the column "Changes in opening balances" represents the effects of First-Time Adoption (FTA) in applying the IFRS 9 and IFRS 15 accounting standards (as described in further detail in section 2 "General accounting standards" of the Notes to the financial statements, under the chapters "Disclosure on first-time adoption of IFRS 15 'Revenue from Contracts with Customers'" and "Disclosure on first-time adoption of IFRS 9 'Financial Instruments'").

The most significant phenomena impacting net equity, in addition to the profit for the year of EUR 278.7 mln were:

1. the column "Changes in reserve" includes in the item "Reserves a) from profits", a total of EUR 25.8 mln attributable to the Parent Company, specifically EUR 13.3 mln as the reversal to the OCI reserve due to the sale of certain securities;
2. "Valuation reserves" show an overall negative change amounting to EUR 296.3 mln, the details of which are available in the Statement of Comprehensive Income.

Consolidated statement of changes in equity – 2017

	Balance as at 31 12 2016	Change in opening balances	Balance as at 01 01 2017	Allocation of profit from prior year		Changes during the year									Total equity as at 31 12 2017	Group equity as at 31 12 2017	Non-controlling interest as at 31 12 2017
							Shareolders'equity transactions										
				Reserves	Dividends and other payout	Changes in reserves	Issue of new share	Purchase of treasury shares	Extraordinary distribution of dividends	Change in equity instruments	Treasury shares derivatives	Stock options	Changes in equity investments	Total comprehensive income for 31 12 2017			
Share capital:	7,379,059	-	7,379,059	-	-	(5,376,535)	8,327,125	-	-	-	-	-	(59)	-	10,329,590	10,328,618	972
a) ordinary shares	7,379,059	-	7,379,059	-	-	(5,376,535)	8,327,125	-	-	-	-	-	(59)	-	10,329,590	10,328,618	972
b) other shares	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Share premium	195	-	195	-	-	(177)	-	-	-	-	-	-	-	-	18	-	18
Reserves:	2,263,901	(150,529)	2,113,372	(3,231,474)	-	4,986,802	(3,923)	-	-	-	-	-	-	-	3,864,777	3,864,822	(44)
a) from profits	984,832	(150,529)	834,303	(1,832,754)	-	2,479,360	-	-	-	-	-	-	-	-	1,480,909	1,480,954	(44)
b) other	1,279,069	-	1,279,069	-1,398,720	-	2,507,442	(3,923)	-	-	-	-	-	-	-	2,383,868	2,383,868	-
Valuation reserves	48,491	150,529	199,020	-	-	-2,445	-	-	-	-	-	-	-	-143,630	52,945	51,705	1,240
Equity instruments	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Treasury shares	-	-	-	-	-	-	-313,710	-	-	-	-	-	-	-	(313,710)	-313,710	-
Net profit (loss)	(3,231,372)	-	(3,231,372)	3,231,475	(103)	-	-	-	-	-	-	-	-	-3,502,245	(3,502,245)	(3,502,339)	94
Total equity	6,460,274	-	6,460,274	-	(103)	(392,355)	8,009,493	-	-	-	-	-	(59)	(3,645,875)	10,431,375	10,429,096	2,279
Group equity	6,425,416	-	6,425,416	-	-	(359,843)	8,009,493	-	-	-	-	-	-	(3,645,969)	10,429,097	10,429,096	X
Non-controlling interests	34,859	-	34,859	-	(103)	(32,512)	-	-	-	-	-	-	-59	94	2,279	X	2,279

As at 31 December 2017 the Group's net equity, including non-controlling interests and profit for the year, amounted to EUR 10,431.4 mln, as compared to EUR 6,460.3 mln as at 31 December 2016, with a total increase of EUR 3,971.1 mln.

Please note that the column "Changes in opening balances" includes the impact deriving from the early application of IFRS 9, limited to the treatment of the creditworthiness of fair value option financial liabilities (for additional information, please refer to the "Accounting policies" section).

The most significant phenomena impacting the net equity, in addition to the EUR 3,502.2 mln loss for the year, were the following.

1. The part of the loss for the year 2016 attributable to the Parent Company, equal to EUR 3,231.5 mln, was covered to the extent of EUR 1,398.7 mln during the same year through a share capital reduction in the corresponding amount in accordance with the shareholders' resolution of 24 November 2016 and by carrying forward the remaining EUR 1,832.8 mln.

2. The Parent Company's share capital increase was completed in August 2017 following the issue on 27 July 2017 of the Ministry of Economy and Finance ("MEF") decrees relating to:
   - "Capital strengthening initiatives of Banca Monte dei Paschi di Siena, pursuant to art. 18, paragraph 2 of Law Decree no. 237 of 23 December 2016 converted, with amendments, by Law no. 15 of 17 February 2017" and
   - "Capital strengthening initiatives of Banca Monte dei Paschi di Siena, pursuant to art. 18, paragraph 3 of Law Decree no. 237 of 23 December 2016 converted, with amendments, by Law no. 15 of 17 February 2017", published in Official Gazette no. 175 on 28 July 2017.

   These decrees provided for:

   - an increase in the Parent Company's share capital, in the amount of EUR 4,472.9 mln, through the issue of 517,099,404 ordinary shares fully subscribed as a result of the conversion into ordinary shares of the AT1 and T2 bond issues; and
   - an increase in the Parent Company's share capital for the subscription of 593,869,870 shares by the MEF, for a total of EUR 3,854.2 mln.

As a result of the above-mentioned events, the changes laid out below took place.

"New share issue" column:

- the item "Share capital - a) ordinary shares" increased by a total of EUR 8,327.1 mln;
- the item Reserves "other" decreased by EUR 3.9 mln due to the costs of the share capital increase, net of the relative taxes;
- the item "Treasury shares", a negative component of net equity, rose by EUR 313.7 mln, associated with the conversion of the AT1 and T2 bond issues present in the balance sheet assets of the Parent Company and of the subsidiary MPS Capital Services S.p.A.

"Changes in reserve" column:

- "Share capital - a) ordinary shares": the reduction of EUR 5,376.5 mln due to:
  a. EUR 5,364.2 mln in relation to the shareholders' resolution passed by the Parent Company on 18 December 2017 relating to the coverage of the total loss of EUR 5,364.2 mln (of which EUR 2,506.0 mln referring to the loss recognised as at 30 September 2017, EUR 534.1 mln for other equity adjustments and lastly EUR 2,324 mln concerning previous losses) by reducing the share capital by a corresponding amount;
  b. EUR 12.3 mln in relation to the loss of control during the period over the company CO.E.M. Costruzioni Ecologiche Moderne S.p.A.;
- "Share premium reserve": the reduction of EUR 0.2 mln was due primarily to the share capital increase carried out in November 2017 by the subsidiary MPS Capital Services S.p.A. and subscribed in full by the Parent Company;
- "Reserves - a) from profits": the increase in group net equity by a total of EUR 2,479.4 mln is attributable to the Parent Company to the extent of EUR 2,479.1 mln, specifically:

  a. the increase of EUR 2,485.5 mln due to the coverage of previous losses, equal to EUR 2,324 mln, and of part of the adjustments made to net equity;
  b. the decrease generated during the year of EUR 360.1 mln for the recognition of the difference between the fair value of the ordinary shares assigned to holders of the AT1 and T2 bond issues subject to conversion and the value of conversion into share capital. This reserve was covered by the Parent Company in the course of the same year for EUR 371.2 mln;
  c. the increase of EUR 51.8 mln deriving from the closure of the creditworthiness reserve of the fair value option liabilities involved in the conversion into ordinary shares;
  d. the decrease of EUR 51.7 mln resulting from taxes previously recognised on negative components of net equity, which translated into a tax loss with unrecognisable DTAs;

e. EUR 2.4 mln relates primarily to the disposal of a property by the subsidiary MPS Belgio S.A. The item also includes the decline in non-controlling interests by EUR 20.1 mln, due to the loss of control during the period over the company CO.E.M. Costruzioni Ecologiche Moderne S.p.A.;

- "Reserves - b) other": coverage of the loss of the Parent Company recognised as at 30 September 2017 for EUR 2,506 mln and of part (EUR 1.4 mln) of the costs incurred by the Parent Company for the share capital increase;
- "Valuation Reserves": the amount of EUR 2.4 mln is due to the reversal of the FTA reserve recognised in the past following the disposal of the property of the subsidiary MPS Belgio S.A.

"Valuation reserves" show an overall negative change amounting to EUR 143.6 mln, the details of which are presented in the statement of comprehensive income.

The decrease of EUR 32.6 mln in non-controlling interests is almost entirely due to the loss of control over the company CO.E.M. Costruzioni Ecologiche Moderne S.p.A.

Consolidated cash flow statement - indirect method

A. OPERATING ACTIVITIES	31 12 2018	31 12 2017*
1. Cash flow from operations	**1,170,771**	**1,092,447**
profit (loss) (+/-)	278,667	(3,502,245)
capital gains/losses on financial assets held for trading and on assets/liabilities measured at fair value through profit and loss (+/-)	(62,628)	59,997
net profit (loss) from hedging	225	3,735
net loss/recoveries on impairment (+/-)	964,824	5,077,222
net losses/reversal on impairment on property, plant and equipment and on intangible assets (+/-)	273,185	289,265
net provisions for risks and charges and other costs/revenues (+/-)	84,821	245,256
tax espense (recovery) on income from continuing operations	(421,121)	(722,294)
net losses/reversal on impairment on groups of assets held for sale and discontinued operations, after tax (+/-)	10,107	-
other adjustments	42,691	(358,489)
2. Cash flow from (used in) financial assets	**2,990,446**	**12,298,863**
financial assets held for trading	258,052	424,957
other financial assets measured at fair value mandatory	415,294	-
Financial assets measured at fair value through other comprehensive income	3,057,738	963,429
Financial assets measured at amortised cost	(1,047,872)	10,059,316
other assets	307,234	851,161
3. Cash flow from (used in) financial liabilities	**(7,343,552)**	**(14,263,427)**
Financial liabilities measured at amortised cost	(6,354,146)	(11,683,236)
financial liabilities held for trading	(1,273,588)	(462,159)
financial liabilities designated at fair value	(71,712)	(1,011,961)
other liabilities	355,894	(1,106,071)
Net cash flow from (used in) operating activities	**(3,182,335)**	**(872,117)**

B. INVESTMENT ACTIVITIES	31 12 2018	31 12 2017*
1. Cash flow from	**156,920**	**575,579**
sales of equity investments	5,813	20,000
dividends collected on equity investments	89,121	20,024
sales of property, plant and equipment	11,957	9,287
sales of intangible assets	29	918
sales of subsidiaries and undertakings	50,000	525,350
2. Cash flow used in	**(121,142)**	**(185,711)**
purchase of property, plant and equipment	(58,788)	(90,915)
purchase of intangible assets	(62,354)	(94,796)
Net cash flow from (used in) investment activities	**35,778**	**389,868**

C. FUNDING ACTIVITIES		
issue/purchase of treasury shares	-	3,850,292
dividend distribution and other	(110)	(360,246)
Net cash flow from (used in) funding activities	**(110)**	**3,490,046**

NET CASH FLOW FROM (USED IN) OPERATING, INVESTMENT AND FUNDING ACTIVITIES DURING THE YEAR	**(3,146,667)**	**3,007,797**

Reconciliation

Accounts	31 12 2018	31 12 2017*
Cash and cash equivalents at beginning of the year	4,092,307	1,084,510
Net increase (decrease) in cash and cash equivalents	(3,146,667)	3,007,797
Cash and cash equivalents at end of the year	945,638	4,092,307

** The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 9; in addition, the comparative data were reclassified on the basis of the new accounting statements set forth in the 5th update of Bank of Italy Circular 262.*

The "distribution of dividends and other purposes" line - in section C. 2017 funding activities - shows the difference between the fair value of the ordinary shares assigned to holders of the AT1 and AT2 financial instruments subject to conversion, in compliance with the provisions of art. 23, paragraph 3 of Law Decree 237, as well as art. 2 of the Burden Sharing Decree, and the value of conversion into share capital.

For further information on the net cash flow generated/absorbed during the year, please refer to the section "Liquidity Risk" in Part E "Information on risks and hedging policies".

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

Part A – Accounting policies

A.1 – General

Section 1 - Statement of compliance with international accounting principles

Pursuant to Legislative Decree no. 38 of 28 February 2005, these consolidated accounts were prepared in accordance with the international accounting principles issued by the International Accounting Standards Board (IASB) including interpretations by the IFRS Interpretations Committee, as endorsed by the European Commission, pursuant to EC Regulation no. 1606 of 19 July 2002 which was effective as at 31 December 2018.

The international accounting principles were applied following the indications set forth in the "Framework for the preparation and presentation of financial statements" (the Framework).

Failing a principle or an interpretation specifically applicable to a certain transaction, event or circumstance, the Bank's Management used its own judgment in developing and applying the accounting principles for the purpose of providing a report which is:

- relevant for the purpose of economic decision-making by the users;
- reliable so that the Financial Statements:
  - result in a true and fair view of the Group's assets, financial position, profit and loss and cash flows;
  - reflect the economic substance - and not merely the juridical form - of transactions, other events and circumstances;
  - are neutral, that is with no prejudice;
  - are conservative;
  - are complete in all relevant respects.

In its judgement, the Bank's Management made reference to and considered the applicability of the following provisions, listed in a hierarchically decreasing order:

- the provisions and implementation guidance contained in the principles and interpretations dealing with similar or related cases;
- the definitions, recognition and measurement criteria for the accounting of assets, liabilities, income and expenses contained in the Framework.

In making its judgement, the Bank's Management may also take account of:

- the most recent provisions set forth by other entities in charge of establishing the accounting principles which use a conceptually similar Framework for the purpose of developing the accounting principles;
- other accounting literature;
- consolidated practices of the banking industry.

In compliance with art. 5 of Legislative Decree no. 38 of 28 February 2005, if – in exceptional cases – the application of a provision set forth in the international accounting standards proved to be non-compliant with a true and fair view of the Group's financial situation, then such provision would not be applied. The reasons for deviation and its impact on the representation of the financial situation would, in such a case, be explained in the notes to the financial statements.

In the consolidated financial statements, any profits arising from this deviation are posted to a reserve which is only distributable in proportion to the value recovered.

Section 2 - General accounting standards

The Consolidated Financial Statements have been prepared in accordance with the IAS/IFRS International accounting standards issued by the International Accounting Standards Board (IASB) including the interpretations issued by the International Financial Reporting Interpretations Committee (IFRIC), as endorsed by the European Union with mandatory application from the 2018 financial year, as well as consistent with the general assumptions envisaged in the Framework for the preparation and presentation of financial statements developed by IASB. No exceptions were made in applying the IAS/IFRS accounting standards.

For an overview of the standards endorsed during 2018 or those endorsed in previous years, whose application is scheduled for 2018 (or future years), please refer to "Section 5 - Other Aspects" below, which also describes the main impacts for the Group.

Moreover, to the extent applicable, the communications of supervisory authorities (Bank of Italy, Consob and ESMA) were considered, which provide recommendations on disclosures to be included in the financial statements on the most significant issues or on the accounting treatment of specific transactions.

The Consolidated Financial Statements as at 31 December 2018 have been prepared based on the provisions contained in Circular no. 262 of 22 December 2005 issued by the Bank of Italy "Bank financial statements: layout and rules for compilation", as amended by the fifth update on 22 December 2017.

The Consolidated Financial Statements consist of the balance sheet, income statement, statement of comprehensive income, statement of changes in equity, and the notes to the separate financial statements, and is accompanied by the directors' report on operations, financial results achieved, and the Group's financial situation.

The Consolidated Financial Statements are prepared with transparency and provide a true and fair view of the balance-sheet, financial position and income statement for the year.

The notes to the consolidated financial statements contain all information required by the international accounting standards and provisions contained in Bank of Italy Circular no. 262, together with other non-mandatory information deemed necessary to provide a true and fair, relevant, reliable, comparable and intelligible view of the Group's performance.

The consolidated balance sheet, income statement and comprehensive income statement consist of items (marked with numbers), sub-items (marked with letters) and further details (under "including/of which" in the items and sub-items). Items, sub-items and their details constitute the accounts.

Each item in the balance sheet, income statement and statement of comprehensive income also indicates the amount for the prior year.

In consideration of the first application of the IFRS 9 and IFRS 15 standards, whose relative impacts have been reflected through an adjustment of opening consolidated net equity balances as at 1 January 2018, note that MPS Group elected not to restate the comparative data, as permitted in the provisions of the aforementioned standards. Therefore, the balance sheet and income statement balances for the previous year are not entirely comparable with the new accounting categories and with the related measurement criteria introduced by the new standard, as they were developed with specific reference to financial instruments in compliance with the previous IAS 39 standard (that is, accounting standards in effect as at 31 December 2017 and used to prepare the related financial statements, to which reference should be made). In the issuing deed for the 5th update of Circular no. 262, the supervisory authority left to the competent corporate bodies the right to independently determine the form and content of the disclosure regarding the IFRS 9 transition. Hence, MPS Group, in order to restate the comparative data as at 31 December 2017 within the new official schedules established by the 5th update of Bank of Italy Circular 262, in effect from 1 January 2018, performed the following reclassifying transactions, on a purely conventional basis and without changing the corresponding values.

With regard to the asset and liability items in the balance sheet:

- item 20 "*Financial assets held for trading*" has been reclassified under item 20 "*Financial assets measured at fair value through profit and loss, a) Financial assets held for trading*";
- items 60 and 70 *"Loans to banks*" and "*Loans to customers*" have been reclassified under item 40 "*Financial assets measured at amortised cost*", sub-items *a)* and *b)*, respectively;
- item 40 "*Financial assets available for sale*" has been reclassified under item 30 "*Financial assets measured at fair value through other comprehensive income*";
- item 130 "*Other assets*", in relation to "Real Estate Warehouse", was reclassified into item 90 "*Property, plant and equipment"*;
- items 10 "*Deposits from banks*", 20 "*Deposits from customers*" and 30 "*Debt securities issued*", have been reclassified under item 10 "*Financial liabilities measured at amortised cost*", respectively in sub-items *a)*, *b)* and *c)*;
- the new item 100 "*Provisions for risks and charges",* sub-item "*a) commitments and financial guarantees given*", which did not exist in the 2017 schedules, includes the relative balances from item 100 "*Other liabilities*".

With reference to the income statement:

- under item 130 "*Net impairment (losses)/reversals for credit risk*", the previous sub-item "*a) loans*" has been reclassified under sub-item "*a) financial assets measured at amortised cost*" and the previous sub-item "*b) financial assets available for sale*" has been reclassified under "*b) financial assets measured at fair value through other comprehensive income*".
- item 130 "*Net impairment (losses)/reversals for credit risk:*", sub-item "*d) other financial transactions*" was reclassified in the new item 200 "*Net provisions for risks and charges*", sub-item "*a) for credit risk related to commitments and guarantees given*".

At the same time, the comparative balances as at 31 December 2017 included in the tables in Part B "Information on the balance sheet" and Part C "Information on the income statement" of the explanatory notes, have been shown according to the aforementioned reclassifications.

The section "Disclosure on first-time adoption of the IFRS 9 and FRS 15 accounting standards" includes the reconciliation statements that provide details on the reclassifications made between the previous items of the official schedules and those of the new official schedules envisaged in Circular 262.

Assets and liabilities, expenses and income cannot be mutually offset, unless this is permitted or required by the international accounting standards or the provisions set forth in Circular no. 262 of the Bank of Italy.

The balance sheet, income statement, and statement of comprehensive income do not include items which did not have balances for the reference year or prior year. If an item of the assets or liabilities is part of several items of the balance sheet, the notes to the financial statements indicate – whenever this is necessary for the purpose of intelligibility – that this component may also be referred to items other than the one it is posted to.

Revenue is posted with no sign in the income statement, statement of comprehensive income, and the respective section of the notes, whereas expenses are indicated in brackets.

The statement of comprehensive income, beginning with profit (loss) for the year, shows the income items recognised as contra-entries of valuation reserves, net of the related tax effect, in compliance with international accounting standards. Consolidated comprehensive income is shown by separating income items that will not be transferred to the income statement in the future and those that may be subsequently classified to profit and loss when specific conditions are met. The statement also distinguishes between income of the Parent Company and that of non-controlling interests.

The statement of changes in equity shows the breakdown and changes in net equity accounts during the year and the previous year, broken down between share capital (ordinary shares), capital reserves, profit reserves and reserves from the valuation of assets or liabilities, equity instruments and profit and loss. Treasury shares in the portfolio are deducted from equity.

The cash flow statement has been prepared according to the indirect method, based on which cash flows from operations are represented by the income for the year adjusted to take into account the effects of non-monetary transactions. Cash flows are broken down amongst those deriving from operations, those deriving from investment activities and those generated by funding activities. In the statement, cash flows generated during the year have no sign, while those absorbed are shown between brackets.

In compliance with the provisions of art. 5 of Legislative Decree no. 38 of 28 February 2005, the financial statements have been prepared using the Euro as the accounting currency: the tables in the consolidated financial statements and in the consolidated notes are denominated in thousands of Euro.

The Consolidated Financial Statements have been prepared based on a going concern assumption, according to the generally accepted principles of accrual accounting, relevance and materiality of information, priority of substance over form and with a view to encouraging consistency with future statements.

Items of a different nature or with different allocation were recognised separately, unless they were considered irrelevant. All amounts shown in the financial statements were adjusted so as to reflect any events subsequent to the date of closing for which an adjustment is mandatory, according to IAS 10 (adjusting events). Non-adjusting events reflecting circumstances that occurred after the reporting date are disclosed as part of the Notes to the Financial Statements, Part A, Section 4, if they are material and may affect the ability of users to make proper evaluations and decisions.

Notes for a meaningful comparison of the comparative financial statement schedules and the comparative disclosure information

In addition to the information presented in the initial section dedicated to describing the effects of the first-time application of IFRS 9 and IFRS 15, which renders the balances as at 31 December 2018 not fully comparable with those of the previous year, note that the income statement figures as at 31 December 2017 - contained in the financial statement schedules and in the tables of the notes - have been restated from the figures originally published, in order to retrospectively reflect the contribution of the subsidiary Monte Paschi Belgio pursuant to IFRS 5. Beginning in the third quarter of 2018, the subsidiary in question was classified as a discontinued operation, following the sale agreement signed on 5 October with Warburg Pincus and not yet finalised on the reporting date for these consolidated financial statements. In accordance with the aforementioned standard, the negative contribution of the subsidiary Monte Paschi Belgio, totalling EUR 16.0 mln, which was shown in various items of the income statement for the previous year following the line-by-line consolidation, was reclassified to the summary item of the income statement “320. Profit (loss) after tax from assets held for sale and discontinued operations”.

Disclosure on first-time adoption of IFRS 15 “Revenue from Contracts with Customers”

Regulation no. 1905 of 22 September 2016 endorsed the new international accounting standard IFRS 15 "Revenue from Contracts with Customers", with compulsory application from 1 January 2018, which introduced a single reference framework for recognising revenue deriving from contracts with customers, replacing IAS 18 “Revenue” and IAS 11 “Construction Contracts” and related interpretations (IFRIC 13, IFRIC 15, IFRIC 18, and SIC 31).

This standard proposes a model according to which an entity must recognise revenue to accurately depict the transfer of promised goods or services to customers at the amount that reflects the remuneration the entity expects to receive in exchange for those goods or services. In this regard, the standard establishes five steps:

1. identify the contract with the customer, defined as an agreement (written or verbal) with commercial substance between two or more parties that generates legally enforceable rights and obligations with the customer;
2. identify the performance obligations in the contract;
3. determine the transaction price, i.e., the amount an entity expects to receive in exchange for the transfer of goods and services in line with the techniques set forth in the standard and based on any financial components that may be included;
4. allocate the transaction price to the performance obligations in the contracts;
5. recognise revenue when (or as) the entity satisfies a performance obligation, taking into consideration that services may be rendered either over time or at a point in time.

The services that resulted in the recognition in the income statement of fee and commission income were analysed, with the objective of verifying the proper method for recognising revenue, as the Group did not have other types of revenue that fell under the scope of IFRS 15. More specifically, the analysis focused on the “variable” revenue components and on those subject to possible reversal, in particular attributable to the placement of third-party products.

Based on the analyses performed, it was found that the methods for recognising revenue introduced by the new accounting standard are essentially consistent with the accounting treatment that was previously in force.

Bearing in mind that IFRS 15 specifies the need to recognise a liability for amounts collected that may later be reversed (known as “refund liabilities”), an estimate was made of the relative amounts, which in the Group are generated by the placement of certain products linked to consumer credit, for which, if the products are repaid in advance, the placement bank must reimburse a portion of the placement fees collected at the time proportional to the residual duration. This liability was quantified by making reference to historical data on early repayments and amounts to EUR 25.6 mln. Considering the related tax effect of EUR 8.4 mln, the reduction in net equity amounts to EUR 17.2 mln.

For a more immediate indication of the impacts on the Group’s balance sheet, please refer to the reconciliation schedule between the balance sheet at 31 December 2017 and the reclassified balance sheet as at 1 January 2018, shown below.

In addition to quantitative impacts, the new standard requires greater disclosure on the nature, amount, timing, and degree of uncertainty for revenue, as well as on the cash flows generated by contracts with customers.

Disclosure on first-time adoption of IFRS 9 "Financial Instruments" Regulatory provisions

Regulation no. 2067 of 22 November 2016 endorsed the new international accounting standard IFRS 9 "Financial Instruments", with compulsory application from 1 January 2018, which regulates the classification and measurement, impairment and hedge accounting related to financial instruments, replacing IAS 39 "Financial Instruments: recognition and measurement".

IFRS 9 is divided into the three different areas for classification and measurement of financial instruments, impairment, and hedge accounting.

Classification and measurement requirements for financial assets and liabilities according to IFRS 9

IFRS 9 establishes that the classification of financial assets depends on the combination of the two following drivers:

1. The entity's business model: which reflects the objectives that management intends to achieve by holding the financial assets. More specifically:

    - "Held To Collect" (HTC), if the objective is to receive contractual cash flows, holding the financial instrument until maturity;
    - "Held to Collect and Sell" (HTC&S), if the financial assets are held with the objective of receiving the contractual cash flows throughout the duration of the asset, and to collect proceeds from its sale;
    - "Other": if the objectives are different from those described in the previous points, attributable to, for example, the desire to collect cash flows through a negotiation ("Sell").

2. Contractual characteristics of cash flows: depending on whether the cash flows are based solely on principal and interest (known as "Solely Payments of Principal and Interest", or SPPI) or if they also depend on other variables (e.g., profit participation, such as dividends, or repayment of invested capital based on the issuer's financial performance, etc.). The assessments conducted in order to ascertain the contractual characteristics of cash flows are indicated with the term "SPPI test".

Based on the various combinations of the business model and contractual characteristics of the cash flows, the following accounting categories can be identified:

- financial assets measured at amortised cost: these include debt instruments (loans and securities) with a "Held to Collect" business model, whose contractual terms are represented solely by the payment of principal and interest (passing the SPPI test);
- financial assets measured at fair value through other comprehensive income, with the measurement and realisation components charged to the income statement: these include debt instruments (loans and securities) with a "Held to Collect and Sell" business model, whose contractual terms are represented solely by the payment of principal and interest (passing the SPPI test);
- financial assets measured at fair value through profit and loss: these comprise all trading assets, including non-hedging derivatives and, regardless of the business model, those assets that must be valued at fair value since the cash flows do not represent solely the payment of principal and interest (failing the SPPI test). Hence, this category includes all equity securities, unless the entity chooses the irrevocable option of classifying them in the category of financial assets measured at fair value through other comprehensive income, without any recharges to the income statement for the measurement and realisation components (with the exception of dividends, which continue to be recognised in the income statement).

In addition to the categories described above, there is also the option to use the accounting category of financial assets measured at fair value through profit and loss; this option is irrevocable and is only permitted to eliminate or significantly reduce an inconsistency in the measurement or recognition that would otherwise result from the valuation of assets or liabilities or from the recognition of the related profits and losses on different bases (or “accounting asymmetry”).

For the new classification rules based on cash flow characteristics, IFRS 9 eliminates the rules for unbundling implicit derivatives in financial assets that are not measured at fair value through profit and loss.

With reference to financial liabilities, the new IFRS 9 accounting standard confirms the classification and measurement rules envisaged by IAS 39, on the basis of which they are measured at amortised cost, with the exception of financial liabilities held for trading, including derivative liabilities, and financial liabilities for which the option to measure at fair value through profit and loss is chosen

In relation to the latter type of liabilities, IFRS 9 envisages that changes in fair value associated with the entity’s own creditworthiness must be recognised as an offsetting entry to a specific equity reserve that will not be subsequently “recharged” to the income statement, even if the liabilities should be settled.

If this treatment creates or amplifies an accounting asymmetry in profit and loss; in this case, the entire change in the liability's fair value must be recognised in the income statement.

IFRS 9 impairment methodology based on expected losses (ECL)

According to IFRS 9, all financial assets not measured in the financial statements at fair value through profit and loss, represented by debt securities and loans, and off-balance sheet exposures (commitments and guarantees given) must use the new impairment model based on expected losses (ECL - Expected Credit Losses). The objective of the new approach is to ensure a more timely recognition of losses with respect to the previous IAS 39 model, according to which losses were recognised only if there was objective evidence that emerged after the initial recognition of the asset (known as “incurred losses” model).

More specifically, the impairment model introduced by IFRS 9 is based on the concept of “forward-looking” measurement, i.e., on the notion of expected loss (Expected Credit Loss), either calculated at 12 months (Stage 1) or for the entire residual life of the asset (lifetime loss for Stage 2 and Stage 3). In particular, the model provides that financial assets must be classified in three distinct “stages” that correspond to different measurement criteria:

- Stage 1: to be assessed based on an estimate of expected loss over a one-year time horizon. Stage 1 includes performing financial assets for which there has been no significant increase in credit risk with respect to the initial recognition date;
- Stage 2: to be assessed based on an estimate of expected loss over the entire residual life of the financial asset. Stage 2 includes financial assets that have incurred a significant increase in credit risk with respect to the initial recognition date;
- Stage 3: to be assessed based on an estimate of expected loss that assumes a 100% probability of default. Stage 3 includes financial assets that are considered non-performing.

According to the Expected Credit Losses calculation model, losses must be recorded not only with reference to the objective evidence of losses in value that are already apparent at the reporting date, but also based on expectations of future losses of value for which there is not yet evidence, which must reflect:

- the probability of various scenarios taking place;
- the effect of discounting through the use of the effective interest rate;
- historical data and current and future valuations.

Hedge Accounting

With reference to the accounting for hedging transactions ("hedge accounting"), the new rules introduced by IFRS 9 have the objective of ensuring greater alignment between the accounting representation of hedges and the underlying management logic (risk management); however, these rules pertain to the macro-hedging model, for which an *ad hoc* project has been launched, separate from IFRS 9, which has not yet resulted in an accounting standard.

Decisions made by MPS Group

It is appropriate to state a premise about the "general" decisions made by MPS Group related to the early application permitted by the standard, recognition of impacts from applying the new impairment rules on own funds according to recent amendments introduced to prudential regulations, and the presentation of comparative balances for the first year that standard is adopted:

- as the regulation requirements were met, the Group decided to apply in advance, starting in 2017, the new rules envisaged in the IFRS 9 accounting standard relative to the presentation of profits and losses on fair value option liabilities attributable to changes in own creditworthiness. The accounting treatment for these liabilities envisages that changes in fair value associated with the entity's own creditworthiness must be recognised as an offsetting entry to a specific equity reserve ("Valuation reserve"), unless this treatment creates or amplifies an accounting asymmetry in profit and loss; in this case, the entire change in the liability's fair value must be recognised in the income statement.
- with reference to the methods for representing the effects of first adoption of the standard, the Group has exercised the option envisaged in paragraph 7.2.15 of IFRS 9 and paragraphs E1 and E2 of IFRS 1 "First-Time Adoption of International Financial Reporting Standards", according to which - without prejudice to retrospective application of the new measurement and presentation rules required by the standard - it is not mandatory to restate the comparison data for the financial statements on a similar basis upon first application of the new standard. As stated in the instructions contained in the issuing deed for the 5th update of Circular 262 "Bank financial statements: layout and rules for compilation", banks that take advantage of the exemption from the obligation to recalculate the comparative values must, however, include, in the first financial statements drawn up based on the new Circular 262, a reconciliation schedule that illustrates the methodology used and provides a reconciliation between the data of the last approved financial statements and the first financial statements prepared according to the new provisions. However, the form and content of this disclosure are left to the discretion of the competent corporate bodies;
- finally, the investments in associates Axa Mps Assicurazioni Danni S.p.A. and Axa Mps Assicurazioni Vita S.p.A., as entities whose business predominantly consists of insurance activities, decided to take advantage of the option to apply the "Deferral Approach" (or Temporary Exemption), according to which the financial assets and liabilities of insurance companies will continue to be recognised in their financial statements consistent with IAS 39 rules, pending the entry into force of the new international accounting standard on insurance contracts (IFRS 17), currently expected in 2022. Pursuant to par. 20O (a) of IFRS 4, the Group is exempt, until 2022, in applying the equity method, from using homogeneous accounting policies for the two associate insurance companies and will provide appropriate disclosure of this fact pursuant to paras. 39I and 39J of the aforementioned standard.

The following is a brief review of the main areas of impact of the new accounting standard as defined above, as well as the principal decisions made by MPS Group in this regard.

Classification and Measurement

Based on the discussion above, as part of the transition to IFRS 9, MPS Group defined the financial instrument classification in accordance with the new accounting categories envisaged in IFRS 9 - taking into account the "business model" as at 1 January 2018 and the characteristics of the instrument's contractual cash flows at its origination date - and to perform a new measurement of these instruments based on the respective measurement criteria.

The "business model" is defined, both at the Group level as well as the individual legal entity level, taking into consideration all relevant information, including historical data on past sales, methods for measuring and reporting the performance of financial assets, methods of managing and measuring risks that may influence the performance of financial assets, and remuneration policies of senior management. Specific guidelines were then developed to define the Group's business model and its possible changes. For the portfolio of financial assets measured at amortised cost, considering that the business model's objective is to collect the related cash flows, the eligibility criteria for sales were defined under certain circumstances (such as a significant increase in credit risk or sales close to maturity) or in relation to their immateriality in terms of amount or frequency.

For the SPPI test, the Group's methodological approach was defined and target models were implemented, in terms of procedures and processes, to conduct the test for all financial assets, for both debt securities and loans. As part of the aforementioned methodological approach, a specific procedure was determined to verify that the "Benchmark Cash Flow Test" had been passed, required for financial instruments that have a changed time value of money, represented, for example, by a misalignment between the schedule for setting the interest rate for the payment of the respective instalment (fixing) and the reference rate (tenor).

The analyses that were performed in accordance with a specific, internally developed tool are presented below, based on a check list of indicators designed to verify that the instruments pass the SPPI test, rather than based on information from external providers.

For the portfolio of debt securities outstanding as at 31 December 2017 under a Held to Collect business model rather than Held to Collect and Sell, the SPPI test was carried out to verify the possibility of classifying the securities in question in the accounting categories of "Financial assets measured at amortised cost" and "Financial assets measured at fair value through other comprehensive income", respectively. The analyses conducted found that a very limited percentage of debt instruments did not pass the test, both in terms of number and value, represented by subordinated or structured securities; therefore, these instruments were classified in the accounting category of "Other financial assets measured at fair value through profit and loss as per mandatory requirements".

For financial instruments represented by loans, the analysis approach was differentiated based on whether they refer to standard products, codified as such in catalogues or product sheets, typical of the retail and small business sector, rather than "tailor-made" disbursements[13]. For the first type, the analysis focused on reviewing the fact sheets for the products currently on sale. For the second type, the analysis focused on a detailed review of individual loan contracts. The analyses conducted resulted in the identification of specific types of standard products (which represent a marginal number of financial instruments compared to the Group's overall exposures) and some "tailor-made" contracts which, by virtue of specific contractual clauses, do not pass the test.

The assets represented by units of UCITS have been classified as "other financial assets measured at fair value as per mandatory requirements", also on the basis of the clarifications provided by the

[13] "Tailor-made" products - which were analysed for purposes of the SPPI test - include all exposures managed by specialised units of the Group, related both to customised disbursements based on specific financial needs of the customers, typically corporate, as well as exposures that had been restructured, whose specific characteristics required intervention by the aforementioned specialised units.

IFRIC, as will be better explained below. As part of equity securities held for purposes of a strategic investment, not for trading and not classified as exclusive control, associate, or joint control, the instruments were identified for which the option to designate at fair value through other comprehensive income would be chosen.

IFRS 9 impairment methodology based on expected losses (ECL)

With regard to impairment:

- methods were defined for measuring the trend (or "tracking") of credit quality of positions in financial asset portfolios measured at amortised cost and at fair value with an offsetting entry in shareholders' equity;
- parameters were established for determining a significant increase in credit risk, for the purpose of properly allocating performing exposures into stage 1 or stage 2. Instead, with reference to impaired exposures, the definitions of accounting and regulatory default - which were already aligned - makes it possible to consider the current rationale for classification of exposures in the "non-performing" category as identical to the approach for classification of exposures in stage 3;
- models - including forward-looking information - were developed to be used both for stage assignment (lifetime PD) and to calculate expected credit loss at one year (to be applied to exposures in stage 1) and lifetime (to be applied to exposures in stage 2 and stage 3).

With reference to credit quality "tracking", a detailed analysis of the credit quality of each individual relationship was performed (both in the form of certificate exposure and credit exposure), for purposes of identifying possible "significant increases" in credit risk from the date of initial recognition and the resulting need for classification in stage 2, as well as, conversely, of the conditions for returning to stage 1 from stage 2. The decision made envisages, on a case-by-case basis and at each reporting date, the comparison - for purposes of "staging" - of the credit quality of the financial instrument at the time it is measured with that of the initial moment of delivery or purchase. In relation to the above, the elements that constitute the main determining factors to be taken into consideration for assessing the "transfers" between different stages are as follows:

- change (beyond established thresholds) in the lifetime probability of default compared to when the financial instrument was initially recognised in financial statements. Therefore, it is an assessment performed by adopting a "relative" criterion, which is the main "driver";
- presence of an exposure that has been past due for at least 30 days, without prejudice to the materiality thresholds identified in regulations. If there is such a case, in other words, the credit risk of the exposure is presumed to be "significantly increased", unless proven otherwise and, consequently, it is "transferred" to stage 2 (where the exposure was previously included in stage 1);
- presence of forbearance measures, which - again on a discretionary basis - entail the classification of exposures among those whose credit risk is "significantly increased" compared to the initial recognition;
- some of the indicators of credit monitoring systems, in particular the reference, are to "watch-lists", that is, to those credit monitoring systems which, based on the current credit quality of the borrowing counterparty, show performing exposures above an established risk level (High Risk and Requalification management perimeter as well as borrowers with negative EBITDA).

With particular reference to the relative quantitative criterion applicable to credit exposures with customers, BMPS Group has determined as a reference the change between the lifetime forward-looking cumulative probability of default (PD), calculated at the beginning of the contractual relationship and the probability of default recorded at the measurement date. In developing the model, specific internal thresholds of variation were identified between the PD at the beginning of the contractual relationship and the PD recognised at the valuation date, broken down by counterparty, initial rating class and vintage. If these thresholds are exceeded, it signifies a significant increase in credit risk and the resulting transfer of the individual credit line from stage 1 to stage 2. The comparison is based on the homogeneous residual durations[14] and on homogeneous PD models, for example, if the definition of default changes over time, the original lifetime forward-looking cumulative PD is recalculated to take account of said new definition of default. Cumulative PDs subject to comparison are based on the same model used for ECL purposes (e.g. definition of PIT (Point in Time) Rating, macroeconomic scenarios, expected life/contractual life). In order to obtain a unique classification result, use is made of a cumulative PD resulting from the weighted average of the cumulative PDs calculated for the individual prospective scenarios using the probabilities of the scenarios as weights. The threshold of significance is determined by historically measuring, through quantile regression analysis per cluster, that level of ratio, between the lifetime forward-looking cumulative PD at the reporting date and that at the origination date, which may be considered predictive of the classification as NPE[15]. The threshold is determined so as to minimise so-called false positives and false negatives and maximise true positives and true negatives.

The "staging" of securities entails some unique considerations. In fact, unlike loans, for this type of exposure, purchase and sale transactions subsequent to the first purchase (made with reference to the same ISIN) can typically fall under the ordinary activity of position management (with consequent need to identify a methodology to adopt for the identification of sales and reimbursements in order to determine the residual quantities of the individual transactions to which a credit quality/rating is associated that will be compared with that of the reporting date). In this context, using the "first-in-first-out" or "FIFO" methodology (for the transfer to the income statement of the recognised ECL, in the case of sales and reimbursements) contributes to more transparent portfolio management, including from the perspective of front-office operators, allowing, simultaneously, a continuous updating of the assessment of creditworthiness based on new purchases.

Finally, for securities that, at the transition date, had an "investment grade" rating (or similar quality), the "low credit risk exemption" envisaged in IFRS 9 was used, based on which all exposures with the above characteristics were identified as low risk exposures and classified in stage 1, regardless of the precise measurement of the change in credit risk; the latter is therefore relevant for staging purposes only in the event in which the rating is sub-investment grade at the reporting date.

For these latter cases, the relative quantitative criterion is based on the variation in lifetime forward-looking cumulative PD between the reporting date and the origination date above a certain threshold. For corporate issuers, the multi-year PD curve is the corporate one estimated entirely by the Group; for government issues, the multi-year PD curve is the one prepared on the basis of the Moody's matrix of 1-year defaults of government bonds. Cumulative PDs subject to comparison are adjusted based on macroeconomic scenarios. In order to obtain a unique classification result, use is made of a cumulative PD resulting from the weighted average of the cumulative PDs calculated for the individual prospective scenarios using the probabilities of the scenarios as weights. The exposures are classified into stage 2 if the ratio between the lifetime forward-looking cumulative PD at the reporting date and that of the origination date exceeds a given threshold of significance equal, both for corporate bonds and government bonds, to that used for corporate exposures in the form of loans.

Once the assignment into the various credit risk stages has been defined, the expected losses (ECL) are calculated, at the level of individual transaction or security tranche, starting from IRB/management modelling, based on the parameters of Probability of Default (PD), Loss Given Default (LGD), and Exposure at Default (EAD), to which appropriate adjustments are made, in order to ensure compliance with the specific requirements of IFRS 9. In particular, these interventions include the adoption of a Point in Time (PIT) PD against the Through the Cycle (TTC) PD, used for Basel regulatory purposes, the PD estimate and, if applicable, multi-year LGD to determine, where

[14] Therefore, the valuation at 31/12/T of the significant increase in credit risk of a thirty-year mortgage disbursed on 31/12/T-5 is carried out by comparing the lifetime forward-looking cumulative PDs over the residual life of 25 years.

15 The classification as NPE is measured over multi-year time horizons.

necessary, the expected loss for the entire residual life of the financial instrument, the removal from the LGD calculation of the component linked to an adverse economic cycle (or downturn), as well as the use, in the discounting process, of the effective interest rate of the individual positions.

Furthermore, the measurement of financial assets - both those performing and those included in stage 3 - reflects the best estimate of the effects of future conditions, especially in relation to the economic context, on which the forward-looking PD and LGD are dependent. With reference to incorporating this information in determining the impairment of a loan, a useful indication was received from the IFRS Transition Resource Group for impairment of financial instruments (ITG or TRG) which, among other things, addressed the following issues: (i) if it is sufficient to use a single scenario, or should several scenarios be incorporated in the impairment estimates; (ii) in the event that it is necessary to incorporate several scenarios, which methodology should be adopted for this purpose. With regard to issue (i), the TRG observed that, when there is a non-linear relationship between macroeconomic variables and losses in value, a single macroeconomic scenario is not representative of the entire distribution of possible scenarios; therefore, the estimate of losses in value must be based on several scenarios. With regard to issue (ii), the TRG noted that two methods can be used, alternatively:

a) estimate of losses in each scenario considered and calculation of the average of these losses, weighted by the probability that each scenario will occur;
b) estimate of losses based on the "most likely" scenario, and subsequent adjustment of the amount thus obtained through the application of an "add-on" (also called "overlay adjustment") to take into account scenarios that are less likely.

The information on future macroeconomic scenarios in which the Group may operate affects the situation of borrowers in reference to both the "riskiness" that exposures migrate to lower quality classes (thus referring to "staging") as well as recoverable amounts (thus the calculation of expected loss on exposures).

From a methodological perspective, several possible alternative approaches have been analysed in order to take these elements into consideration. With regard to the various alternatives considered, the MPS Group decided to adopt approach a), applied using the procedures described below:

- forecasted values for macroeconomic factors deemed relevant in estimating the Group's risk factors with a future time horizon of three years under different scenarios are considered;
- these values are used as the inputs for appropriate models, developed internally by the Group, in order to incorporate macroeconomic and forward-looking information in the PD ("Satellite Model") and LGD (Sensitivity Analysis) risk parameters;
- expected loss is calculated in relation to each scenario, considering the multi-year PDs and the LGD adjusted in accordance with the specific scenario;
- starting from these expected losses relating to each scenario, the expected loss was determined as the average of the relative losses weighted for the likelihood of occurrence of each scenario.

This approach permits any non-linearity in the relationship between macroeconomic factors, risk parameters, and expected loss to be considered.

The forecasts of the macroeconomic indicators (forward-looking), provided by a leading external consultant and internally re-formulated by the Research Function, are quantified based on three possible future scenarios, which consider the economic variables deemed relevant (Italian GDP, interest rates, unemployment rate, commercial and residential property prices, inflation, equity indices), with a future time horizon of three years to which the respective probabilities of occurrence are assigned, determined internally by the Group. In greater detail, alongside the "baseline" scenario deemed most probable, i.e., the macroeconomic forecast scenario which the BMPS Group uses as a basis to develop its projections for financial statement and risk data across a short- and medium-term time horizon, an alternative "better" scenario (decidedly favourable) and "worse" scenario (unfavourable) was developed.

Special considerations apply to exposures classified in stage 3 (those corresponding - as indicated above - to the current perimeter of non-performing assets). As regards more specifically to non-performing loans, note that, despite the fact that the definition of a non-performing loan (credit-impaired financial asset) in IFRS 9 is essentially the same as the previous accounting standard, the methods for calculating the lifetime ECL have entailed changes in the methodology, including for purposes of measurements to be carried out in this area, mainly in relation to:

- inclusion of forward-looking information, such as that relating to macroeconomic scenarios, estimates and recovery timing, the probability of transfer to lower ranked classes, as well as those that may influence the value of collateral or the expected duration of the relative collection;
- consideration of alternative collection scenarios, such as the sale of credit assets, in connection with possible sales of units of the non-performing portfolio, in relation to business objectives to reduce non-performing assets, to which a realisation probability must be attributed, as part of the overall measurement.

With regard to the inclusion of forward-looking information, note that the same methodological framework applies to non-performing exposures that is also used for performing loans. Therefore, the same three macroeconomic scenarios are considered in the time horizon of the subsequent three years, according to the procedures indicated above. As previously stated, the forward-looking scenario component is designed to capture the non-linearity of the relationship between the macroeconomic variables and ECL measurement, by analysing forecast uncertainty for the variables used to develop the scenario.

Turning to the analysis of alternative collection scenarios, note that, for the objectives of reducing the stock of outstanding non-performing loans included in the business plans and the commitments undertaken with supervisory authorities, with specific reference to the NPL Strategy, MPS Group considers the sale of certain portfolios as the strategy that can, under certain conditions, maximise the recovery of cash flows, also in consideration of collection times.

Supporting this sales scenario with the ordinary collection scenario through internal management therefore responds to the requests received from supervisory authorities. This change in strategy envisaged in the new plan was taken into consideration in the first application of IFRS 9, a standard that, as already discussed, entails important innovations compared to IAS 39. In addition to the above, note that TRG - on the impairment of financial instruments - confirmed that cash flows from the sale of a loan in default must be considered in estimating impairment losses, provided that:

- the sale of the loan is one of the collection methods that the entity expects to undertake;
- the entity does not have any legal or operating restrictions that would influence its ability to sell the loan;
- the entity has reasonable and adequate information supporting the disposal scenario.

Moreover, TRG observes that:

- in order to support the entity's expectations regarding the assumption that sales to third parties represent a collection method in the event of default, both the entity's past behaviour and future expectations must be assessed, and that the latter may deviate from the behaviour previously observed;
- to determine the recoverable amount, the relevant market information on credit exchange prices must be considered;
- amounts recoverable through the sale can be included in estimates of expected losses for financial instruments classified in all stages (1, 2 and 3); this is due to the fact that, in measuring expected losses, IFRS 9 states that all possible scenarios should be considered, regardless of the stage in which the loan is classified.

Given the above, in measuring non-performing loans in accordance with the IFRS 9 impairment model, the Group has included the various collection strategies assumed in order to proportionally align them to a probability of sale defined in line with the Group's NPL Plan. With reference to the loans classified in stages 1 and 2, the Group assigned a zero probability to the sales scenario as a strategy for collecting these loans, given that the probability that the disposals envisaged in the business plans should be considered as non-recurring in the context of typical credit collection methods, as they are in response to a specific request from the supervisory authority to reduce the stock of non-performing loans and, therefore, constitute a qualifying constraint in the Restructuring Plan.

As a result, for non-performing loans, the "ordinary" scenario, which assumes a recovery strategy based on the collecting credit, typically through legal actions, mandates with collection companies, and realisation of mortgage guarantees, has been supported by the scenario of a sale of the loan itself, as a collection strategy. In light of this, for a defined perimeter of bad and unlikely to pay loans that can be sold, in order to determine the overall expected loss on exposures, the recoverable values based on the ordinary internal collection process and the amounts recoverable from the sale, estimated based on mass transactions on similar portfolios and single names carried out by the Group or transactions executed on the market in recent years, were weighted according to the portion of the portfolio held for sale, envisaged by the NPL Strategy, with respect to the total portfolio that can be sold.

The perimeter of non-performing transferable loans was determined by including positions with a certain attractiveness on the market, indicated by the fact that other banks have already carried out sales and expressions of interest that have already been received, as well as additional positions resulting from assessments of economic benefit performed by the Parent Company's competent bodies (e.g., presence of extended bad loans or high danger rate).

In particular, the recoverable amount of non-performing transferable loans was quantified as the average value of (i) the "value assuming sale" (fair value) and (ii) the "value assuming collection", using as the relative weights, respectively, the percentage of transferable loans that management expects to sell, as defined in the NPL Plan approved by the Board of Directors, and the percentage it intends to keep in the portfolio. Note that the "value assuming collection" was calculated according to the ordinary procedures used by the Group for impairment of bad and unlikely to pay loans, i.e., based on an analytical valuation for exposures above a defined threshold (equal to EUR 500 thousand) and on analytical-statistical measurement for the remainder. The analytical-statistical measurement of the "below-threshold" exposures entails grouping them in homogeneous clusters of credit risk. As described previously above, note that the "value assuming sale" was measured through historical analyses carried out by the Group as well as using market benchmarks.

For the sake of completeness, note that a specific "IFRS 9 Impairment Methodological Framework" document was prepared in compliance with the provisions of IFRS 9, approved by the competent governance levels.

Hedge Accounting

Upon first application, the Group elected to use the "opt out" option, i.e., to take advantage of the possibility of continuing to manage hedging transactions according to the hedge accounting rules envisaged by IAS 39, currently endorsed (in the "carve-out" version). This choice will be subject to a new measurement for reporting subsequent to 2018.

Governance of the transition to the new standard

The first application of the new IFRS 9 accounting standard required significant implementations - in terms of processes, procedures, methodologies, information systems - that were governed by the establishment, beginning in 2016, of a specific project led by the Head of Administration and Financial Statements Area, actively assisted by representatives of the Risks, Loans, Sales, Organisation, IT, Finance, Planning and Control and Internal Audit functions.

The project's main decisions were made by a Steering Committee and an Operating Committee, made up of all the heads of the business functions involved directly and indirectly in the implementation of the new rules.

The process of determining and reporting value adjustments is governed by two sets of business rules: IFRS 9 Impairment Methodological Framework which, in conjunction with the Group's accounting rules, defines the metrics and algorithms for estimating expected losses in value.

The activities for calculating ECL on performing and non-performing loans have been modified and supplemented in compliance with the Group's current governance, in which the areas of the Chief Lending Officer and the Chief Risk Officer are responsible, respectively, for determining losses of analytical value on non-performing loans, the latter responsible for measuring, with statistical procedures, the expected losses on performing loans as well as additional non-analytical measurements of non-performing loans (e.g., scenario add-ons).

The activities to calculate expected losses involve, as an essential step, the definition of the expected scenarios; the definition of basic assumptions is the responsibility of the Research function. As stated, the CRO Area is responsible for developing and implementing the models necessary for calculating loan losses; these models and methods are then validated by the Risk Validation Service, a function independent of both business structures as well as structures that develop and implement the models. The validation involved the review of documentation concerning the design and development of the models, data validation, and re-execution of the calculations.

The classification process for financial instruments was regulated by updating the Group's accounting policies, approved by the Board of Directors. These accounting rules define and describe the constituent elements of the various business models under which MPS Group operates and, together with the methodology used to perform the SPPI test described in the Group's accounting rules, determine the correct measurement approach for financial assets. Instead, the process rules define the processes, actions, behaviours and controls of the organisational units involved in the process.

In particular, with reference to loans, note that the processes for granting credit have been supplemented to (i) manage the execution of the SPPI test, carried out based on the methodology developed internally and described in the specific tool available to business structures, and (ii) outline the business model associated with each loan disbursement.

Finally, the methodology for determining the fair value of loans (input data, models, etc.) was integrated within the aforementioned IFRS 9 Impairment Methodological Framework document.

Transition to the IFRS 9 and IFRS 15 accounting standards

As indicated in the "General accounting standards" section, the Group has chosen to apply the option, envisaged in IFRS 9, not to restate comparative data in the financial statements upon first application of IFRS 9. In order to reclassify 2017 comparative data in the line items provided for in the new official schedules set out in Circular 262, the necessary transfers were performed, without changing the values, based on the criteria indicated below. This section also provides the reconciliations of accounting balances as at 1 January 2018 as a result of the application of the new classification and measurement rules required by IFRS 9.

Methods of reclassifying comparative data of financial statements to take account of the 5th update to Bank of Italy Circular no. 262.

The comparative balances of 2017 of the consolidated balance sheet and income statement have been attributed on the basis of the new items of IFRS 9 introduced by the 5th update of the Bank of Italy Circular no. 262, with the following conventions:

- balance sheet - assets:
  - ◊ item 20 "*Financial assets held for trading*" has been reclassified under item 20 "*Financial assets measured at fair value through profit and loss",* sub-item "*a) Financial assets held for trading*";
  - ◊ items 60 and 70 *"Loans to banks*" and "*Loans to customers*" have been reclassified under item 40 "*Financial assets measured at amortised cost*", sub-items *a)* and *b)*, respectively;
  - ◊ item 40 "*Financial assets available for sale*" has been reclassified under item 30 "*Financial assets measured at fair value through other comprehensive income*";
  - ◊ item 90 "*Property, plant and equipment'*"" includes the balance relative to "*Real estate warehouse*", which was previously classified under item 130 "*Other assets*" in the 2017 financial statements.

- Balance sheet – liabilities:
  - ◊ items 10 "*Deposits from banks*", 20 "*Deposits from customers*" and 30 "*Debt securities issued*", have been reclassified under item 10 "*Financial liabilities measured at amortised cost*", respectively in sub-items *a)*, *b)* and *c)*;
  - ◊ the new item 100 "*Provisions for risks and charges",* sub-item "*a) commitments and financial guarantees given*", which did not exist in the 2017 schedules, includes the relative balances from item 100 "*Other liabilities*".

- income statement:
  - ◊ under item 130 "*Net impairment (losses)/reversals for credit risk*", the previous sub-item "*a) loans*" has been reclassified under sub-item "*a) financial assets measured at amortised cost*" and the previous sub-item "*b) financial assets available for sale*" has been reclassified under "*b) financial assets measured at fair value through other comprehensive income*".
  - ◊ item 130 "*Net impairment (losses)/reversals for credit risk:*", sub-item "*d) other financial transactions*" was reclassified in the new item 200 "*Net provisions for risks and charges*", sub-item "*a) for credit risk related to commitments and guarantees given*".

BALANCE SHEET - Assets

	Items according to the 4th update of Bank of Italy Circular No. 262/2005	31 12 2017	Reclassifications	31 12 2017 *		Items according to the 5th update of Bank of Italy Circular No. 262/2005
10	Cash and cash equivalents	4,092.3	-	4,092.3	10	Cash and cash equivalents
		-	-	8,718.0	20	Financial assets measured at fair value through profit and loss (IFRS 7 par. 8 lett. a))
20	Financial assets held for trading	8,718.0	-	8,718.0		*a) financial assets held for trading*
30	Financial assets designated at fair value	-	-	-		*b) financial assets designated at fair value*
		-	-	-		*c) other financial assets measured at fair value mandatory*
40	Fiancial assets available for sale	15,450.4	-	15,450.4	30	Financial assets measured at fair value through other comprehensive income (IFRS 7 par. 8 lett. h))
50	Financial assets held to maturity	-	-	96,422.5	40	Financial assets measured at amortised cost (IFRS 7 par. 8 lett. f))
60	Loans to banks	9,966.2	-	9,966.2		*a) Loans to banks*
70	Loans to customers	86,456.3	-	86,456.3		*b) Loans to customers*
80	Hedging derivatives	156.5	-	156.5	50	Hedging derivatives
90	Change in value of macro-hedged financial assets (+/-)	57.3	-	57.3	60	Change in value of macro-hedged financial assets (+/-)
100	Equity investments	1,034.6	-	1,034.6	70	Equity investments
110	Technical insurance reserves reassured with third parties	-	-	-	80	Technical insurance reserves reassured with third parties
120	Property, plant and equipment	2,571.0	43.2	2,614.2	90	Property, plant and equipment
130	Intangible assets	283.2	-	283.2	100	Intangible assets
	of which: goodwill	*7.9*	-	7.9		*- of wich goodwill*
140	Tas assets	3,815.3	-	3,815.3	110	Tax assets
	a) current	*878.5*	-	*878.5*		a) current
	b) deferred	*2,936.8*	-	*2,936.8*		b) deferred
	under Law. 214/2011	*1,313.1*	-	-		
150	Non-current assets and groups of assets held for sale and discontinued operations	4,595.1	-	4,595.1	120	Non-current assets and groups of assets held for sale and discontinued operations
160	Other assets	1,958.0	(43.2)	1,914.8	130	Other assets
	Total Assets	**139,154.2**	**-**	**139,154.2**		**Total Assets**

** Comparative 2017 figures for balance sheet items that were reclassified under the new IFRS 9 items*

BALANCE SHEET - Total Liabilities and Shareholders' Equity

Items according to the 4th update of Bank of Italy Circular No. 262/2005		31 12 2017	Reclassifications	31 12 2017 *	Items according to the 5th update of Bank of Italy Circular No. 262/2005	
		-	-	118,560.4	10	Financial liabilities measured at amortised cost
10	Loans to banks	21,084.9	-	*21,084.9*		a) loans to banks
20	Loans to customers	77,014.2	-	*77,014.2*		b) loans to customers
30	Debt securities issued	20,461.3	-	*20,461.3*		c) debts securities issued
40	Financial liabilities hel for trading	4,476.9	-	4,476.9	20	Financial liabilities held for trading
50	Financial liabilities designed at fair value	326.3	-	326.3	30	Financial liabilities designated at fair value
60	Hedging derivatives	691.4	-	691.4	40	Hedging derivatives
70	Fair value change of financial liabilities in hedged portfolio (+/-) (+/-)	(0.8)	-	(0.8)	50	Fair value change of financial liabilities in hedged portfolio (+/-)
80	Tax liabilities	58.6	-	58.6	60	Tax liabilities
	a) current	*1.3*	-	*1.3*		a) current
	b) deferred	*57.4*	-	*57.4*		b) deferred
90	Liabilities associated with non-current assets held for sale and discontinued operations	-	-	-	70	Liabilities associated with non-current assets held for sale and discontinued operations
100	Other liabilities	3,272.0	(226.4)	3,045.6	80	Other liabilities
110	Provision for employees severance pay	199.5	-	199.5	90	Provision for employees severance pay
120	Provision for risks and charges:	1,138.5	226.4	1,364.9	100	Provision for risks and charges:
		-	226.4	*226.4*		a) financial guarantees and other commitments
	a) post-employment benefits	*50.1*	-	*50.1*		b) post-employment benefits
	b) other provisions	*1,088.4*	-	*1,088.4*		c) other provisions
130	Technical reserves	-	-	-	110	Technical reserves
140	Valuation reserves	51.7	-	51.7	120	Valuation reserves
150	Redeemable shares	-	-	-	130	Redeemable shares
160	Equity instruments	-	-	-	140	Equity instruments
170	Reserves	3,864.8	-	3,864.8	150	Reserves
180	Share premium reserve	-	-	-	160	Share premium reserve
190	Share capital	10,328.6	-	10,328.6	170	Share capital
200	Treasury shares (-)	(313.7)	-	(313.7)	180	Treasury shares (-)
210	Non-controlling interests (+/-)	2.3	-	2.3	190	Non-controlling interests (+/-)
220	Profit (loss) (+/-)	(3,502.3)	-	(3,502.3)	200	Profit (loss) (+/-)
	Total liabilities and Shareholders' equity	**139,154.2**	**-**	**139,154.2**		**Total liabilities and Shareholders' equity**

** Comparative 2017 figures for balance sheet items that were reclassified under the new IFRS 9 items*

INCOME STATEMENT

	Items according to the 4th update of Bank of Italy Circular No. 262/2005	31 12 2017	Reclassifications	31 12 2017 *		Items according to the 5th update of Bank of Italy Circular No. 262/2005
10	Interest income and similar revenues	2,676.0		2,676.0	10	Interest income and similar revenues
		-		-		*of which interest income calculated applying the effective interest rate method*
20	Interest expense and similar charges	(916.6)		(916.6)	20	Interest expense and similar charges
30	**Net interest income**	**1,759.4**		**1,759.4**	**30**	**Net interest income**
40	Fee and commission income	1,903.2		1,903.2	40	Fee and commission income
50	Fee and commission expense	(342.1)		(342.1)	50	Fee and commission expense
60	**Net fee and commission income**	**1,561.1**		**1,561.1**	**60**	**Net fee and commission income**
70	Dividends and similar income	15.3		15.3	70	Dividends and similar income
80	Net profit (loss) from trading	(11.9)		(11.9)	80	Net profit (loss) from trading
90	Net profit (loss) from hedging	(3.7)		(3.7)	90	Net profit (loss) from hedging
100	Gains/(losses) on disposal/repurchase of:	575.7		575.7	100	Gains/(losses) on disposal/repurchase of:
	a) loans	*1.4*		*1.4*		*a) financial assets measured at amortised cost (IFRS 7 par. 20 lett a) vi))*
	b) financial assets available for sale	*73.5*		*73.5*		*b) Financial assets measured at fair value through other comprehensive income (IFRS 7 par 20 lett a) viii))*
	d) financial liabilities	*500.8*		*500.8*		*c) financial liabilities*
		-		(3.4)	110	Net profit (loss) form financial assets and liabilities measured at fair value through other comprehensive income (IFRS 7 par. 20 lett a) i))
110	Net profit (loss) from financial assets and liabilities designated at fair value	(3.4)		*(3.4)*		*a) financial assets and liabilities measured at fair value*
		-		-		*b) other financial assets mandatorily at fair value through profit or loss*
120	**Net interest and other banking income**	**3,892.4**		**3,892.4**	**120**	**Net interest and other banking income**
130	Net impairment (losses)/reversals on	(5,458.0)		(5,414.8)	130	Net impairment (losses)/reversals on
	a) loans	*(5,321.7)*		*(5,321.7)*		*a) financial assets measured at amortised cost*
	b) financial assets available for sale	*(93.1)*		*(93.1)*		*b) financial assets measured at fair value through other comprehensive income(IAS 1 par 82 lett ba))*
	d) other financial transactions	*(43.2)*	43.2	-		
		-		-	140	Modification gains/(losses)
140	**Net income from banking activities**	**(1,565.6)**		**(1,522.4)**	**150**	**Net income from banking activities**
150	Net insurance premiums	-		-	160	Net insurance premiums
160	Other net insurance income (expense)	-		-	170	Other net insurance income (expense)
170	**Net income from banking and insurance activities**	**(1,565.6)**		**-**	**180**	**Net income from banking and insurance activities**
180	Administrative expenses:	(3,065.7)		(3,065.7)	190	Administrative expenses:
	a) personnel expenses	*(1,847.7)*		*(1,847.7)*		*a) personnel expenses*
	b) other administrative expenses	*(1,218.1)*		*(1,218.1)*		*b) other administrative expenses*
		-		(276.1)	200	Net provision for risks and charges:
		-	(43.2)	*(43.2)*		*a) commitments and guarantees issued*
190	Net provision for risks and charges	(232.9)		*(232.9)*		*b) other net provisions*
200	Net adjustments to/recoveries on property, plant and equipment	(132.9)		(132.9)	210	Net adjustments to/recoveries on property, plant and equipment
210	Net adjustments to/recoveries on intangible assets	(155.2)		(155.2)	220	Net adjustments to/recoveries on intangible assets
220	Other operating expenses/income	311.9		311.9	230	Other operating expenses/income
230	**Operating expenses**	**(3,274.8)**		**(3,318.0)**	**240**	**Operating expenses**
240	Gains (losses) on investments	77.9		77.9	250	Gains (losses) on investments
250	Valuation differences on property, equipment and intangible assets	-		-	260	Valuation differences on property, equipment and intangible assets
260	Impairment on goodwill	-		-	270	Impairment on goodwill
270	Gains (losses) on disposal of investments	522.2		522.2	280	Gains (losses) on disposal of investments
280	**Profit (loss) before tax from continuing operations**	**(4,240.3)**		**(4,240.3)**	**290**	**Profit (loss) before tax from continuing operations**
290	Tax (expense)/recovery on income from continuing operations	722.1		722.1	300	Tax (expense)/recovery on income from continuing operations
300	**Profit (loss) after tax from continuing operations**	**(3,518.2)**		**(3,518.2)**	**310**	**Profit (loss) after tax from continuing operations**
310	Profit (loss) after tax from groups of assets held for sale and discontinued operations	16.0		16.0	320	Profit (loss) after tax from groups of assets held for sale and discontinued operations
320	**Profit (loss)**	**(3,502.2)**		**(3,502.2)**	**330**	**Profit (loss)**
330	Profit (loss) attributable to non-controlling interests	0.1		0.1	340	Profit (loss) attributable to non-controlling interests
340	**Parent company's net profit (loss)**	**(3,502.3)**	**-**	**(3,502.3)**	**350**	**Parent company's net profit (loss)**

** Comparative 2017 figures for income statement items that were reclassified under the new IFRS 9 items. Data was restated solely in the 2017 income statement to take into consideration the classification of the subsidiary BMP Belgio S.A. as a discontinued operation, in accordance with the provisions of IFRS 5.*

Effects of transition as at 1 January 2018 to IFRS 9 and IFRS 15 accounting standards

The schedules shown below present the reconciliation between the balance sheet as at 31 December 2017 (former IAS 39), which includes the reclassifications in accordance with the new classification rules established by IFRS 9, previously explained, and the balance sheet as at 1 January 2018 (IFRS 9). In these schedules, the accounting balances as at 31 December 2017 (values calculated according to IAS 39) are modified to reflect the application of the new measurement and impairment procedures, in order to determine the opening balances in compliance with IFRS 9.

The schedules include both the effects of the transition to IFRS 9 and IFRS 15 accounting standards, and some reclassifications specifically provided for by the 5th update of Circular 262.

BALANCE SHEET - ASSETS

	Items according to the 4th update of Bank of Italy Circular No. 262/2005	31 12 2017 *Total*	Reclassification (IAS 2)	IFRS 9 Classification	IFRS 9 Measurment: other	IFRS 9 Measurment: impairment	IFRS 15	01 01 2018 *Total*		Items according to the 5th update of Bank of Italy Circular No. 262/2005	note
10	Cash and cash equivalents	4,092.3	-	-	-	-	-	4,092.3	10	Cash and cash equivalents	
		-	-	1,162.0	22.8	-	-	9,902.8	20	Financial assets measured at fair value through profit and loss (IFRS 7 par. 8 lett. a))	
20	Financial assets held for trading	8,718.0	-	-	-	-	-	*8,718.0*		*a) financial assets held for trading*	
30	Financial assets designated at fair value	-	-	-	-	-	-	-		*b) financial assets designated at fair value*	
		-	-	*1,162.0*	*22.8*	-	-	*1,184.8*		*c) other financial assets measured at fair value mandatory*	a)
40	Fiancial assets available for sale	15,450.4	-	(1,038.2)	-	-	-	14,412.2	30	Financial assets measured at fair value through other comprehensive income (IFRS 7 par. 8 lett.	b)
50	Financial assets held to maturity	-	-	(123.7)	148.5	(1,494.6)	-	94,952.7	40	Financial assets measured at amortised cost (IFRS 7 par. 8 lett. f))	c)
60	Loans to banks	9,966.2	-	*14.7*	*(5.3)*	*2.8*	-	*9,978.4*		*a) Loans to banks*	
70	Loans to customers	86,456.4	-	*(138.4)*	*153.8*	*(1,497.4)*	-	*84,974.4*		*b) Loans to customers*	
80	Hedging derivatives	156.5	-	-	-	-	-	156.5	50	Hedging derivatives	
90	Change in value of macro-hedged financial assets (+/-)	57.3	-	-	-	-	-	57.3	60	Change in value of macro-hedged financial assets (+/-)	
100	Equity investments	1,034.6	-	-	-	-	-	1,034.6	70	Equity investments	
110	Technical insurance reserves reassured with third parties	-	-	-	-	-	-	-	80	Technical insurance reserves reassured with third parties	
120	Property, plant and equipment	2,571.0	43.2	-	-	-	-	2,614.2	90	Property, plant and equipment	d)
130	Intangible assets	283.2	-	-	-	-	-	283.2	100	Intangible assets	
	of which: goodwill	*7.9*	-	-	-	-	-	*7.9*		*of which: goodwill*	
140	Tax assets	3,815.3	-	(3.2)	(13.3)	15.6	8.4	3,822.9	110	Tax assets	e)
	a) current	*878.5*	-	-	0.6	5.2	-	*884.4*		*a) current*	
	b) deferred	*2,936.8*	-	(3.2)	(13.9)	10.4	8.4	*2,938.5*		*b) deferred*	
150	Non-current assets and groups of assets held for sale and discontinued operations	4,595.1	-	-	-	-	-	4,595.1	120	Non-current assets and groups of assets held for sale and discontinued operations	
160	Other assets	1,957.7	(43.2)	-	-	-	-	1,914.5	130	Other assets	d)
	Total Assets	**139,154.2**	**-**	**(3.2)**	**158.0**	**(1,479.0)**	**8.4**	**137,838.5**		**Total Assets**	

a) The impact of the classification to the item "20 c) other financial assets measured at fair value as per mandatory requirements", is EUR 1,161.9 mln and is attributable to securities and loans that failed the SPPI (Solely Payments of Principal and Interest) test.
The causes of failure of the SPPI test for loans are due mainly to non-recourse assets, under repayment methods that are subject to liquidity events and/or "pay if you can" clauses or "now instead of then" waivers. Other instruments that failed the SPPI test mainly include units of UCITS, securities with clauses that allow the non-payment of interest and mandatory convertible bonds. The reclassifications also concerned the equity tranches of securitisations, participative financial instruments and other equity securities, other than shares, involving an insignificant amount.
The subsequent recognition at fair value, rather than at amortised cost, involved a total increase of EUR 22.8 mln (see measurement column - other) in the value of reclassified financial instruments.

b) The decrease of EUR 1,038.2 mln is due: i) to financial instruments such as UCITS that failed the SPPI test and non-share equity securities, for EUR 206.3 mln and ii) the classification of bonds, predominantly government, relating to the Held to Collect (HTC) business model, for EUR 831.9 mln. For these securities valued at amortised cost, previously measured at fair value in the "Financial assets available for sale" portfolio, the disclosure required by IFRS 7 (paras. 42M and 42N) is provided, regarding the effects of the reclassification of amortised cost from accounting categories previously measured using a different criterion and for instruments reclassified to assets measured at fair value through other comprehensive income previously measured at fair value through profit and loss[16]. As at 31 December 2018, the securities that were reclassified would have had a fair value of EUR 760.0 mln if they had not been reclassified, and valuation reserves, before the relative tax, would have been EUR -226.0 mln.

c) The classification under "Financial assets measured at amortised cost", with a negative impact of EUR 123.7 mln, was impacted by: i) EUR +831.9 mln of former "Financial assets available for sale" classified at amortised cost given relating to the perimeter of the HTC business model, ii) EUR -955.6 mln in bonds and loans that failed the SPPI test.
The positive impact of measurement, amounting to EUR 148.5 mln, other than impairment, is due primarily to the shift from the fair value method to the amortised cost method of the government bonds in the former "Financial assets available for sale" (EUR 154.2 mln).
By contrast, as regards the effect of the introduction of the new impairment model, a negative impact of EUR 1,497.4 mln was recorded on loans to customers, attributable for EUR 1,496.7 mln to loans and EUR 0.7 mln to bonds. The impact was a positive EUR 2.8 mln for loans to banks.

d) The 5th update to Circular 262 of the Bank of Italy specifies that the "Tangible assets" also include inventories of tangible assets regulated by IAS 2: therefore, inventories of goods of EUR 43.2 mln were reclassified from "Other assets" to "Tangible assets".

e) The impacts on the item "Tax assets" are due mainly to the component "b) deferred"; in particular, the latter decreased by EUR 13.9 mln, primarily due to the elimination of the negative valuation reserve of securities formerly under "Financial assets available for sale", reclassified at amortised cost and increased, also due to the positive effect of the probability test, by EUR 10.4 mln.

---

[16] As is evident in the schedule above, the Group did not reclassify in FTA financial instruments from portfolios measured at fair value recognised in profit/loss for the year (e.g., "Financial assets held for trading" and "Financial assets measured at fair value") and other portfolios.

The following is detailed information that reconciles, by type of financial instrument, the accounting categories of financial assets as at 31 December 2017 (IAS 39 values) with the financial asset accounting categories as at 1 January 2018 (IAS IFRS 9), as required by IFRS 7.42O:

Items according to the 4th update of Bank of Italy Circular No. 262/2005	*31 12 2017*	Detbt securities	UCITS	Loans	Equity instruments	01 01 2018	Items according to the 5th update of Bank of Italy Circular No. 262/2005
	-	499.6	96.2	582.2	6.9	9,902.8	20 Financial assets measured at fair value through profit and loss
20 Financial assets held for trading	8,718.0	-	-	-	-	8,718.0	*a) financial assets held for trading*
30 Financial assets measured at fair value	-	-	-	-	-	-	*b) financial assets designated at fair value*
	-	499.6	96.2	582.2	6.9	1,184.8	*c) other financial assets measured at fair value mandatory*
40 Financial assets available for sale	15,450.4	(935.2)	(96.2)	-	(6.9)	14,412.2	30 Financial assets measured at fair value through other comprehensive income
50 Financial assets held to maturity	-	-	-	-	-	-	
	-	617.3	-	(2,087.1)	-	94,952.7	40 Financial assets measured at amortised cost
60 Loans to Banks	9,966.2	8.9	-	3.3	-	9,978.4	*a) Loans to banks*
70 Loans to Customents	86,456.4	608.4	-	(2,090.4)	-	84,974.4	*b) Loans to customers*
80 Hedging derivatives	156.5	-	-	-	-	156.5	50 Hedging derivatives

BALANCE SHEET - LIABILITIES AND SHAREHOLDERS' EQUITY

	Items according to the 4th update of Bank of Italy Circular No. 262/2005	31 12 2017 Total	Reclassifications	IFRS 9 Classification	IFRS 9 Measurment: other	IFRS 9 Measurment: impairment	IFRS 15	01 01 2018 Total		Items according to the 5th update of Bank of Italy Circular No. 262/2005	note
		-	-	-	-	-	-	118,560.4	10	Financial liabilities measured at amortised cost (IFRS 7 par. 8 lett. g))	
10	Loans to banks	21,084.9	-	-	-	-	-	*21,084.9*		*a) loans to banks*	
20	Loans to customers	77,014.2	-	-	-	-	-	*77,014.2*		*b) loans to customers*	
30	Debt securities issued	20,461.3	-	-	-	-	-	*20,461.3*		*c) debts securities issued*	
40	Financial liabilities hel for trading	4,476.9	-	-	-	-	-	4,476.9	20	Financial liabilities held for trading	
50	Financial liabilities designed at fair value	326.3	-	-	-	-	-	326.3	30	Financial liabilities designated at fair value	
60	Hedging derivatives	691.4	-	-	-	-	-	691.4	40	Hedging derivatives	
70	Fair value change of financial liabilities in hedged portfolio (+/-)	(0.8)	-	-	-	-	-	(0.8)	50	Fair value change of financial liabilities in hedged portfolio (+/-)	
80	Tax liabilities	58.6	-	3.2	(2.0)	5.9	-	65.7	60	Tax liabilities	
	a) current	*1.3*	-	5.7	0.0	-	-	*7.0*		*a) current*	
	b) deferred	*57.4*	-	(2.5)	(2.0)	5.9	-	*58.7*		*b) deferred*	
90	Liabilities associated with non-current assets held for sale and discontinued operations	-	-	-	-	-	-	-	70	Liabilities associated with non-current assets held for sale and discontinued operations	
100	Other liabilities	3,272.0	(226.4)	-	-	-	-	3,045.6	80	Other liabilities	a)
110	Provision for employees severance pay	199.5	-	-	-	-	-	199.5	90	Provision for employees severance pay	
120	Provision for risks and charges:	1,138.5	226.4	-	-	41.9	25.6	1,432.4	100	Provision for risks and charges:	b)
		-	226.4	-	-	41.9	-	*268.3*		*a) financial guarantees and other commitments*	
	a) post-employment benefits	*50.1*	-	-	-	-	-	*50.1*		*b) post-employment benefits*	
	b) other provisions	*1,088.4*	-	-	-	-	25.6	*1,114.0*		*c) other provisions*	
130	Technical reserves	-	-	-	-	-	-	-	110	Technical reserves	
140	Valuation reserves	51.7	-	(45.7)	99.7	13.8	-	119.5	120	Valuation reserves	c)
	AFS Equity instruments gross value	(28.4)	-	(49.2)	-	-	-	(77.6)		*OCI Equity instruments gross value*	
	AFS Debt instruments gross value	200.9	-	(2.1)	148.5	20.2	-	367.6		*OCI Debt instruments gross value*	d)
	Tax effects	(23.6)	-	5.6	(48.8)	(6.4)	-	(73.2)		*Tax effects*	
	Others: gross value	(97.3)	-	-	-	-	-	(97.3)		*Others: gross value*	
150	Redeemable shares	-	-	-	-	-	-	-	130	Redeemable shares	
160	Equity instruments	-	-	-	-	-	-	-	140	Equity instruments	
170	Reserves	3,864.8	-	39.3	60.4	(1,540.6)	(17.2)	2,406.7	150	Reserves	e)
		-	-	51.3	22.8	(1,557.0)	(25.6)	*(1,508.5)*		*FTA earning reserve gross value*	
		-	-	(12.0)	37.5	16.4	8.4	*50.4*		*FTA earning reserve tax effect*	
	others	3,864.8	-	-	-	-	-	*3,864.8*		*others*	
180	Share premium reserve	-	-	-	-	-	-	-	160	Share premium reserve	
190	Share capital	10,328.6	-	-	-	-	-	10,328.6	170	Share capital	
200	Treasury shares (-)	(313.7)	-	-	-	-	-	(313.7)	180	Treasury shares (-)	
210	Non-controlling interests (+/-)	2.3	-	-	-	-	-	2.3	190	Non-controlling interests (+/-)	
220	Profit (loss) (+/-)	(3,502.3)	-	-	-	-	-	(3,502.3)	200	Profit (loss) (+/-)	
	Total liabilities and Shareholders' equity	**139,154.2**	**-**	**(3.2)**	**158.0**	**(1,479.0)**	**8.4**	**137,838.5**		**Total liabilities and Shareholders' equity**	

a) Provisions for risks regarding commitments to disburse funds and the financial guarantees given, subject to the measurement rules of IFRS 9, are accounted for under the new item "100a) Provisions for risks and charges: commitments and financial guarantees given. Therefore, reclassified provisions for risks on commitments and guarantees were reclassified to this new subitem, amounting to EUR 226.4 mln, previously stated under "Other liabilities".

b) Item 100 "Provisions for risks and charges" was impacted not only by the reclassification of EUR 226.4 mln, pursuant to the previous point, but i) EUR 41.9 mln in higher write-downs on commitments to disburse funds and the financial guarantees given, due to the application of model IFRS 9 and ii) EUR 25.6 mln in provisions due to the application of IFRS 15.

c) Item 120 "Valuation reserves" was impacted positively, net of tax effects, for an amount of EUR 67.8 mln, attributable: i) to a different valuation model, for EUR 99.7 mln (attributable mainly to the elimination of the valuation reserves of securities with the HTC business model), ii) the variation in the portfolio, amounting to EUR -45.7 mln (mostly due to the elimination of IAS 39 write-downs on OCI option equity securities[17]) and iii) the accounting of adjustments on "Financial assets measured at fair value through other comprehensive income" for EUR +13.8 mln (and, at the same time, EUR -13.8 mln on the FTA earnings reserve).

d) Valuation reserves on debt securities was subject to the already mentioned positive impact of measurement, amounting to EUR 148.5 mln, due mainly to the elimination of the valuation reserves of the securities reclassified at amortised cost (EUR 154.2 mln).

e) The negative impact, totalling EUR 1,458.1 mln, net of the tax effect, on the item "150 Reserves" is attributable, for EUR 1,440.9 mln, to the transition to IFRS 9 and, for EUR 17.2 mln, to the transition to IFRS 15.

   The impact on the item "150 Reserves" relating to the transition to IFRS 9 is represented, in short, by the following cases:

   - EUR -1,557.0 mln, including tax effects, for the application of the new impairment model, of which:
     - EUR -292.8 mln for performing balance sheet credit exposures due principally to the addition of lifetime expected losses on performing assets classified in stage 2, as a result of the considerable increase in the borrower's credit risk compared to the risk at the time the loan was initially recognised in financial statements;
     - EUR -1,200.9 mln for non-performing cash exposures, due mainly to the inclusion of the scenario of the sale of those portfolios whose disposal is envisaged;
     - EUR -41.9 mln for off-balance sheet exposures relating to commitments to disburse funds and guarantees given;
     - EUR -21.4 mln in impairment on debt securities.
   - EUR +22.8 mln as the effect of the measurement at fair value resulting from the reclassification of securities and receivables from "financial assets measured at amortised cost" to "financial assets measured at fair value as per mandatory requirements", due to the fact that certain financial instruments did not pass the SPPI test.
   - EUR +51.3 mln for the reclassification under valuation reserves (of equity securities for EUR 49.2 mln and debt securities for EUR 2.1 mln) and FTA earnings reserves.

[17] At the time of initial recognition, the entity can irrevocably choose to present, under other comprehensive income, any subsequent changes in the fair value of an investment in an equity instrument falling under the scope of application of IFRS 9, that is neither held for trading nor a contingent consideration recorded by a purchaser in a business combination to which IFRS 3 is applied.

* * *

The increase recorded in IFRS 9 loss provisions at the time of transition as at 1 January 2018 is attributable to the new provisions regarding impairment (higher Expected Credit Losses – ECL) on cash and unsecured exposures. A reconciliation of gross exposures and loss provisions of the portfolios subject to impairment is reported hereunder.

IAS 39 item 40 - Fianancial assets available for sale item 60 - Loans to banks item 70 - Loans to customers item 150 - Non-current assets and groups of assets held for sale and discontinued operations		Interest on arrears (according to the 5th update of Bank of Italy Circular No. 262/2005)	Reclassification from items 60 "Loans to banks) and 70 "Loans to customers" - IAS39, in itmes "Financial assets measured at amortised cost" - IFRS 9	Reclassification form item 40 "Financial asset available for sale" - IAS 39, in item 20 "financial asset measured at fair value through other comprehensive income" - IFRS9	Reclassification form item 40 "Financial asset available for sale" - IAS 39, in item 40 "Financial assets measured at amortised cost" IFRS 9	New Balance-sheet exposure included in IFRS 9 perimeter (according to the 5th update of Bank of Italy Circular N° 262/2005)	Difference between loss (recoveries) on impairment IAS 39 and loss (recoveries) on impairment IFRS 9	IFRS 9 item 30 - Financial assets measured at fair value through other comprehensive income item 40 - Financial assets measured at amortised cost item 120 - Non-current assets and groups of assets held for sale and discontinued operations	
Performing gross esxposure									
Balance-sheet exposure	101,793.9	(4.0)	(497.1)	(36.0)	148.5	-	-	-	
Off- balance-sheet exposure	12,714.8	-	-	-	-	33,295.2	-	-	Stage 1
	-	-	-	-	-	-	-	83,898.1	Balance-sheet exposure
	-	-	-	-	-	-	-	42,106.0	Off- balance-sheet exposure
	-	-	-	-	-	-	-	-	Stage 2
	-	-	-	-	-	-	-	17,507.1	Balance-sheet exposure
	-	-	-	-	-	-	-	3,904.0	Off- balance-sheet exposure
Performing gross esxposure	**114,508.7**	**(4.0)**	**(497.1)**	**(36.0)**	**148.5**	**33,295.2**	**-**	**147,415.3**	
Performing gross esxposure									Stage 3
Balance-sheet exposure	45,118.7	(2,183.6)	(1,122.3)	(9.4)	-	-	-	41,803.5	Balance-sheet exposure
Off- balance-sheet exposure	699.2	-	-	-	-	1,070.0	-	1,769.2	Off- balance-sheet exposure
Non performing gross exposure	**45,818.0**	**(2,183.6)**	**(1,122.3)**	**(9.4)**	**-**	**1,070.0**	**-**	**43,572.7**	
Total gross exposure	**160,326.6**	**(2,187.6)**	**(1,619.4)**	**(45.4)**	**148.5**	**34,365.3**	**-**	**190,988.0**	
Performing loan loss provisions									
Loan loss provision on balance-sheet exposure	(563.9)	4.0	1.7	-	-	-	-	-	
Loan loss provision on Off-balance sheet exposure	(89.5)	-	-	-	-	-	-	-	Stage 1
	-	-	-	-	-	-	84.3	(90.0)	Loan loss provision on balance-sheet exposure
	-	-	-	-	-	-	(1.1)	(78.9)	Loan loss provision on Off-balance sheet exposure
	-	-	-	-	-	-	-	-	Stage 2
	-	-	-	-	-	-	(378.3)	(762.2)	Loan loss provision on balance-sheet exposure
	-	-	-	-	-	-	(0.8)	(12.5)	Loan loss provision on Off-balance sheet exposure
Performing loan loss provisions	**(653.3)**	**4.0**	**1.7**	**-**	**-**	**-**	**(296.0)**	**(943.6)**	
Non-Performing loan loss provisions									Stage 3
Loan loss provision on balance-sheet exposure	(30,308.8)	2,183.6	662.1	1.1	-	-	(1,200.9)	(28,663.0)	Loan loss provision on balance-sheet exposure
Loan loss provision on Off-balance sheet exposure	(136.8)	-	-	-	-	-	(40.0)	(176.8)	Loan loss provision on Off-balance sheet exposure
Non performing loan loss provisions	**(30,445.7)**	**2,183.6**	**662.1**	**1.1**	**-**	**-**	**(1,240.9)**	**(28,839.8)**	
Total loans loss provisions	**(31,099.0)**	**2,187.6**	**663.8**	**1.1**	**-**	**-**	**(1,536.8)**	**(29,783.3)**	
Perfoming net exposure									
Balance-sheet exposure	101,230.0	-	(495.5)	(36.0)	148.5	-	-	-	
Off-balance sheet exposure	12,625.3	-	-	-	-	33,295.2	-	-	Stage 1
	-	-	-	-	-	-	84.3	83,808.2	Balance-sheet exposure
	-	-	-	-	-	-	(1.1)	42,027.1	Off-balance sheet exposure
	-	-	-	-	-	-	-	-	Stage 2
	-	-	-	-	-	-	(378.3)	16,744.9	Balance-sheet exposure
	-	-	-	-	-	-	(0.8)	3,891.5	Off-balance sheet exposure
Performing net exposure	**113,855.3**	**-**	**(495.5)**	**(36.0)**	**148.5**	**33,295.2**	**(296.0)**	**146,471.7**	
Non performing net exposure									Stage 3
Balance-sheet exposure	14,809.9	-	(460.1)	(8.4)	-	-	(1,200.9)	13,140.5	Balance-sheet exposure
Off-balance sheet exposure	562.4	-	-	-	-	1,070.0	(40.0)	1,592.5	Off-balance sheet exposure
Non performing net exposure	**15,372.3**	**-**	**(460.1)**	**(8.4)**	**-**	**1,070.0**	**(1,240.9)**	**14,732.9**	
Total Net exposure	**129,227.6**	**-**	**(955.6)**	**(44.3)**	**148.5**	**34,365.3**	**(1,536.8)**	**161,204.6**	

A reconciliation is provided below of equity as at 31 December 2017 and equity as at 1 January 2018 after the transition to IFRS 9 and IFRS 15, detailing the column "Changes in opening balances" of the Statement of changes in equity (see Consolidated Financial Statements). The effects on the Group's shareholders' equity amount to EUR -1,390.4 mln, of which: i) EUR -17.2 mln attributable to the first application of IFRS 15 and ii) EUR -1,373.2 mln attributable to the first application of the IFRS 9. For completeness of information, note that the overall impact of the new IFRS 9 impairment model amounts to EUR -1,536.8 mln.

	Group Net Equity as at 31 12 2017	Classification and measurment: Change in business model	Classification and measurment: SPPI test failure	Classification and measurment: Reserve reclassifications		Impairment: Evaluation loans measured at amortised cost		Impairment: Evaluation debt securities measuerd at amortised cost		Impairment: Provision for financial guarantees and other commitments	Impairment: Reclassificatione reserves on financial assets measured at fair value through other comprehensive income		IFRS 15 effects charged to Equity	Tax effects	Net equity overall adjustments as at 01 01 2018	Group Net Equity as at 01 01 2018
				Valutation reserves	Earning reserves	Performing	Non performing	Performing	Non performing		Riserve da valutazione	Earning reserves				
Total Equity	**10,431.4**	148.5	22.8	(51.3)	51.3	(292.8)	(1,200.9)	(1.2)	-	(41.9)	20.2	(20.2)	(25.6)	0.7	(1,390.4)	9,041.0
Group Equity	**10,429.1**	148.5	22.8	(51.3)	51.3	(292.8)	(1,200.9)	(1.2)	-	(41.9)	20.2	(20.2)	(25.6)	0.7	(1,390.4)	9,038.7
Non-controlling interests	**2.3**	**-**	-	-	-	-	-	-	-	-	-	-	-	-	-	**2.3**

Section 3 – Scope and methods of consolidation

1. Investments in wholly-owned subsidiaries

The investments in wholly-owned subsidiaries are listed in the table below. For information on equity investments in companies jointly controlled or subject to significant influence by the Group, please refer to the contents of Part B- Information on the consolidated balance sheet - Section 7 - Equity investments, in these notes.

	Name	Headquarters	Registered Office	Type of relationship (*)	Ownershp Relationship		Available votes % (**)
					Held by	Shareholding %	
A	**Companies**						
A.0	BANCA MONTE DEI PASCHI DI SIENA S.p.a.	Siena	Siena				
	A.1 Companies consolidated on a line-by-line basis						
A.1	MPS CAPITAL SERVICES BANCA PER LE IMPRESE S.p.a.	Florence	Florence	1	A.0	99.993	
A.2	MPS LEASING E FACTORING BANCA PER I SERVIZI FINANZIARI ALLE IMPRESE S.p.a.	Siena	Siena	1	A.0	100.000	
A.3	MONTE PASCHI FIDUCIARIA S.p.a.	Siena	Siena	1	A.0	100.000	
A.4	WISE DIALOG BANK S.p.a. - WIDIBA	Milan	Milan	1	A.0	100.000	
A.5	MPS TENIMENTI POGGIO BONELLI E CHIGI SARACINI SOCIETA' AGRICOLA S.p.a.	Castelnuovo Berardenga (SI)	Castelnuovo Berardenga (SI)	1	A.0	100.000	
A.6	G.IMM ASTOR S.r.l.	Lecce	Lecce	1	A.0	52.000	
A.7	AIACE REOCO S.r.l.	Siena	Siena	1	A.0	100.000	
A.8	ENEA REOCO S.r.l.	Siena	Siena	1	A.0	100.000	
A.9	CONSORZIO OPERATIVO GRUPPO MONTEPASCHI S.c.p.a.	Siena	Siena	1	A.0	99.760	
					A.1	0.060	
					A.2	0.030	
					A.3	0.030	
					A.4	0.030	
						99.910	
A.10	PERIMETRO GESTIONI PROPRIETA' IMMOBILIARI S.c.p.a.	Siena	Siena	1	A.0	98.914	98.716
					A.1	0.120	0.142
					A.2	0.049	0.057
					A.3	0.012	0.014
					A.9	0.905	1.072
						100.000	
A.11	MAGAZZINI GENERALI FIDUCIARI DI MANTOVA	Mantua	Mantua	1	A.0	100.000	
A.12	BANCA MONTE PASCHI BELGIO S.A.	Brussells	Brussells	1	A.0	99.900	
					A.1	0.100	
						100.000	
A.13	MPS PREFERRED CAPITAL I LLC	New York	Delaware	1	A.0	100.000	
A.14	MPS PREFERRED CAPITAL II LLC	New York	Delaware	1	A.0	100.000	
A.15	MPS CAPITAL TRUST I	New York	Delaware	4			
A.16	MPS CAPITAL TRUST II	New York	Delaware	4			
A.17	MONTE PASCHI BANQUE S.A.	Paris	Paris	1	A.0	100.000	
17.1	MONTE PASCHI CONSEIL FRANCE SOCIETE PAR ACTIONS SEMPLIFIEE	Paris	Paris	0	A.17	100.000	
17.2	IMMOBILIERE VICTOR HUGO S.C.I.	Paris	Paris		A.17	100.000	
A.18	MONTEPASCHI LUXEMBOURG S.A.	Luxembourg	Luxembourg		A.0	99.200	
					A.17	0.800	
						100.000	
A.19	ANTONVENETA CAPITAL L.L.C. I	New York	Delaware	1	A.0	100.000	
A.20	ANTONVENETA CAPITAL L.L.C. II	New York	Delaware	1	A.0	100.000	
A.21	ANTONVENETA CAPITAL TRUST I	New York	Delaware	1	A.0	100.000	
A.22	ANTONVENETA CAPITAL TRUST II	New York	Delaware	1	A.0	100.000	
A.23	MPS COVERED BOND S.r.l.	Conegliano	Conegliano	1	A.0	90.000	
A.24	MPS COVERED BOND 2 S.r.l.	Conegliano	Conegliano	1	A.0	90.000	
A.25	CIRENE FINANCE S.r.l.	Conegliano	Conegliano	1	A.0	60.000	
A.26	CONSUM.IT SECURITISATION S.r.l.	Conegliano	Conegliano	1	A.0	100.000	
A.27	SIENA MORTGAGES 07-5 S.p.a.	Conegliano	Conegliano	4	A.0	7.000	
A.28	SIENA MORTGAGES 09-6 S.r.l.	Conegliano	Conegliano	4	A.0	7.000	
A.29	SIENA MORTGAGES 10-7 S.r.l.	Conegliano	Conegliano	4	A.0	7.000	
A.30	SIENA CONSUMER S.r.l.	Conegliano	Conegliano	4	A.0	10.000	
A.31	SIENA CONSUMER 2015 S.r.l.	Conegliano	Conegliano	4	A.0	10.000	
A.32	SIENA PMI 2015 S.r.l.	Milan	Milan	4	A.0	10.000	
A.33	SIENA LEASE 2016 2 S.r.l.	Conegliano	Conegliano	4	A.0	10.000	
A.34	SIENA PMI 2016 S.r.l.	Conegliano	Conegliano	4	A.0	10.000	
A.35	CASAFORTE S.r.l.	Rome	Rome	4	A.0		

(*) Type of relationship:

1 = majority of voting rights at ordinary shareholders' meetings

2 = dominant influence at ordinary shareholders' meetings

3 = agreements with other shareholders

4 = other forms of control

5 = unified management under art. 39.1 of Leg. Decree 136/2015

6 = unified management under art. 39.2 of Leg. Decree 136/2015.

7 = joint control

8 = companies subject to significant influence

(**) Votes available in the ordinary shareholders' meeting, distinguishing between actual and potential

2. Significant assessments and assumptions for determining the scope of consolidation

Scope of consolidation

The consolidated financial statements include the balance sheet and income statement results of the Parent Company and its direct and indirect subsidiaries. In particular, the scope of consolidation, as specifically set out in the IAS/IFRS, includes all subsidiaries, irrespective of their legal status, of business activity pursued in sectors other than the Parent Company's core business, of their being going concerns or wound-up companies, or of whether the equity investment consists of a merchant banking transaction.

The scope of consolidation includes all types of entities, regardless of nature, for which the principle of control laid out in IFRS 10 applies.

The concept of control is based on the simultaneous presence of three elements:

- power to direct the relevant activities, i.e., the activities that affect the investee's returns: the power arises from substantive rights that give the investor the power to direct the relevant activities; to be substantive, the rights must be exercisable when decisions about the direction of the relevant activities need to be made;
- exposure to variability of returns deriving from the investee's activities, which may increase or decrease.
- exercise of power to influence returns.

Thus, IFRS 10 establishes that, to exercise control, the investor must have the ability to direct the entity's relevant activities, as the result of a legal right or a mere de facto situation, and also be exposed to the variability of results deriving from this power.

Structured entities are also consolidated when the requirement of actual control recurs, even if there is no stake in the entity.

More specifically, IFRS 12 defines structured entities as "entities that have been designed so that voting or similar rights are not the dominant factor in deciding who controls the entity", such as when any voting rights relate to administrative tasks only and the relevant activities are directed by means of contractual arrangements. Examples of structured entities include securitisation vehicles, asset-backed financings and some investment funds.

The scope of consolidation may also include parts of a structured entity with no independent legal status, or so-called "deemed separate entities". In essence this is a group of well identified assets and liabilities within a company, characterised by both the fact that: the assets represent the only source of payment for those specific liabilities and that; third parties cannot claim rights to those specific assets or on the cash flows they generate.

Equity investments and equity securities

Equity investments and equity securities are considered subject to control if the Group directly or indirectly holds the absolute majority of voting rights in the ordinary shareholders' meeting and such rights are substantive, and the relative majority of voting rights if the other voting rights are held by widely-dispersed shareholders. Control may also exist in situations in which the Group does not hold the majority of voting rights, but holds sufficient rights to have the practical ability to unilaterally direct relevant activities of the investee or in the presence of:

- substantive potential voting rights through underlying call options or convertible instruments;
- rights deriving from other contractual arrangements which, combined with voting rights, give the Group the de facto ability to direct production processes, other operating or financial activities able to significantly influence the investee's returns;
- power to influence, through rules of the by-laws or other contractual arrangements, governance and decision-making procedures regarding relevant activities;
- majority of voting rights through contractual arrangements formalised with other holders of voting rights (i.e., shareholders' agreements).

Structured entities - investment funds

The Group takes the following positions with respect to funds:

- subscriber of units, held for long-term investment purposes or for trading,
- counterparty in derivatives.

A relationship of control exists when the following situations are present:

- the Group, as a subscriber of units, is able to remove the investment fund manager without just cause or for reasons associated with fund performance, and such rights are substantive;
- existence of provisions in the fund regulation envisaging the establishment within the fund of committees, in which the Group participates, that influence the governance of relevant activities and have the legal and/or de facto right to control the activities of the fund manager;
- existence of other relations with the fund, such as the presence within the fund of personnel with strategic responsibilities associated with the Group and the presence of contractual relations that subject the fund to the Group for the subscription or placement of units.

Structured entities - securitisation vehicles

In checking for the fulfilment of requirements of control over securitisation vehicles, both the possibility of exercising power over relevant activities for its own benefit and the end purpose of the transaction are taken into consideration, as well as the investor/sponsor's involvement in the structuring of the transaction.

For autopilot entities, the subscription of the substantial entirety of the notes by Group companies is considered an indicator of the presence, particularly during the structuring phase, of the power to manage relevant activities to influence the economic returns of the transaction.

Methods of consolidation

With reference to the consolidation methods, subsidiaries are consolidated on a line-by-line basis, interests in jointly controlled companies and investments in companies subject to the Group's "significant influence" are consolidated with the condensed equity method.

Line-by-line consolidation consists in the line-by-line acquisition of the balance-sheet and income statement aggregates of the subsidiaries. After the assignment to third parties, under a separate account, of their shares of equity and profit/loss, the value of the investment is eliminated against the recognition of the residual value of the subsidiary's equity.

Intragroup assets, liabilities, income and expenses are eliminated.

Acquisitions of companies are accounted for based on the "acquisition method" set forth in IFRS 3, as amended by Regulation 495/2009, based on which identifiable assets acquired and identifiable liabilities assumed (including contingent), must be recognised at their respective fair values at the acquisition date. In addition, for each business combination, any non-controlling interests in the acquired company may be recognised at fair value or in proportion with the share of non-controlling interests in identifiable net assets of the company acquired. Any excess of the consideration transferred (represented by the fair value of the assets transferred, liabilities assumed and equity instruments issued) and any recognition at fair value of the non-controlling interests with respect to the fair value of assets and liabilities acquired is recognised as goodwill; if the price is lower, the difference is allocated to the income statement.

The "acquisition method" is applied starting from the acquisition date, as described in the paragraph "Business combinations" under section "A.2 – The main items of the accounts" below, to which reference should be made, or beginning when control over the acquired company is effectively obtained. Therefore, the income and expenses of a subsidiary purchased during the reference year are included in the consolidated financial statements as of the date of purchase.

On the other hand, the income and expenses of a subsidiary sold are included in the consolidated financial statements up to the date of disposal, i.e. when the Parent ceases to control the subsidiary. At the date when control is lost, the controlling entity:

- derecognises the assets (including any goodwill) and liabilities of (and non-controlling interests in) the former subsidiary at their carrying amounts;
- recognises the fair value of the consideration received and of any investment retained in the former subsidiary;
- reclassifies to consolidated income statement any amounts previously recognised in the subsidiary's statement of other comprehensive income as if the assets or liabilities had been transferred;
- recognises in income statement item "280. Gains (losses) on disposals of investments" the difference between the consideration for the sale and the carrying amount of the subsidiary's net assets.

If there is a partial sale of the subsidiary that does not entail loss of control, the difference between the consideration for the sale and the relative carrying amount is recognised as an offsetting entry in equity.

In order to prepare the Consolidated Financial Statements as at 31 December 2018, all wholly-owned subsidiaries prepared a balance sheet and income statement that was compliant with the Group's accounting standards.

Equity investments held for sale were recognised in accordance with the reference IFRS 5 standard, which governs the treatment of non-current assets held for sale. In this case, assets and liabilities held for sale are reclassified under balance sheet item "150. Non-current assets held for sale and discontinued operation" and "90. Liabilities associated with individual assets held for sale". With regard to the income statement, charges and income associated with the assets and liabilities held for sale, net of tax effect, are presented in income statement item "320. Profit (loss) after tax from assets held for sale and discontinued operations". If the fair value of the assets and liabilities held for sale, net of sales costs, are less than the carrying amount, an impairment is recognised in the income statement.

Entities are considered to be jointly controlled companies when, based on contractual agreements, control is shared between the Parent Company, directly or indirectly, and one or more other parties external to the Group, or when decisions regarding the relevant activities require the unanimous consent of all parties that share control.

Companies are considered associates, that is, subject to significant influence, when the Parent Company, directly or indirectly, holds at least 20% of voting rights (including "potential" voting rights) or in which - though the voting rights held may be lower - the Parent Company has the power to participate in determining financial and operating policies as a result of specific legal ties, such as adhering to shareholder agreements.

Interests in jointly controlled companies and investments in companies subject to the Group's "significant influence" (associates) are consolidated with the condensed equity method.

This method contemplates the initial posting of the investment at cost. This value is subsequently adjusted to reflect:

- the Group's share of gains/losses on the investment for the period is recognised under item 250 "Gains (losses) on equity investments" of the consolidated income statement;
- the Group's share of changes recognised in the statement of consolidated comprehensive income. In determining the ownership percentages, any potential voting rights are not considered.

If an investor's share of losses in an associate equals or exceeds the interest's carrying value, the investor discontinues recognising its share of further losses unless the investor has incurred specific legal obligations or made payments in favour of the associate.

Profits resulting from transactions between the Group and its associates are eliminated to the extent of the Group's interest in the associate. Losses resulting from transactions between the Group and its associates are eliminated as well, unless the transaction provides evidence of an impairment of the asset transferred.

If evidence of impairment indicates that there may have been a loss in value of an equity investment, then the recoverable value of the investment is estimated, taking into consideration the present value of future cash flows that the investment may generate, including the final disposal value of the investment. Should the recoverable value be less than its carrying amount, the difference is recognised immediately in the income statement, in the item indicated above.

The Group stops using the equity method on the date on which it stops exercising significant influence or joint control over the investee; in that case, as of that date the investment is reclassified to "Financial assets measured at fair value through other comprehensive income" or "Financial assets measured at fair value through profit and loss", on the condition that the associate or jointly controlled company does not become a subsidiary.

For the consolidation of jointly controlled companies and associates, the financial statements (annual or interim) that have been most recently approved by said companies are used. In rare cases, the companies do not apply IAS/IFRS standards, thus, for these companies, it has been ascertained that applying these standards would not result in significant impacts on the Group's consolidated financial statements.

§ * § * § * §

With respect to the situation as at 31 December 2017, note should be taken of the exit from the scope of consolidation of the investee Juliet given that the sale to Quaestio Cerved Management spa was completed on 14 May 2018.

3. Investments in associates and joint ventures with significant non-controlling interests

This section was not completed, as there are no significant non-controlling interests in associates and joint ventures for the Group as at 31 December 2018, individually or as a whole, as shown in the table in "Section 16 - Non-controlling interests" under Part B of these notes; this was also true for the financial statements as at 31 December 2017.

4. Significant restrictions

Listed below are the significant restrictions on the Group's ability to access or use assets and to extinguish liabilities:

Regulatory restrictions

The Parent Company and the subsidiaries MPSL&F, MPSCS, MP Banque, BMP Belgio S.A. and Widiba, with assets and liabilities prior to intercompany eliminations amounting to EUR 161,322.7 mln as at 31 December 2018 (EUR 168,744.5 mln as at 31 December 2017) are subject to prudential regulations envisaged in Directive 2013/36/EU (CRD IV) and Regulation (EU) no. 575/2013 (CRR), designed to maintain adequate capitalisation in relation to risks assumed. Thus, as a general rule, the capacity of banks to distribute capital or dividends is restricted in compliance with these regulations in terms of capital requirements.

More specifically, as a result of the Supervisory Review and Evaluation Process (SREP) conducted by the ECB, the Bank was prohibited from distributing dividends.

Legal restrictions

The Parent Company and the Italian subsidiaries other than securitisation vehicles are required, in compliance with statutory provisions, to deduct 5% of annual net profit to form the legal reserve, until it has reached 20% of the share capital. The reserve must be replenished if it is reduced for whatever reason.

Contractual restrictions

Encumbered assets

The Group holds assets not available to it in that they are used to guarantee financing transactions (e.g., repurchase or securitisation transactions).

The disclosure on assets pledged as collateral for liabilities and commitments is provided in the "Other information" section of Part B of these notes to the consolidated financial statements, to which reference should be made.

Group assets relative to securitisation transactions

At the reporting date, asset items "20 c) Other financial assets measured at fair value as per mandatory requirements" and "40 b) Financial assets measured at amortised cost: Loans to customers" include EUR 2,577.2 mln (EUR 4,482.0 mln as at 31 December 2017) relating to loans that have not been derecognised, which were sold with the securitisations Siena Mortgages 10-7, Siena Lease 2016-2 S.r.l., and Norma SPV S.r.l. As an offsetting entry for the cash flows arising from these disposals, the Parent Company and subsidiaries MPS Capital Services and MPS Leasing & Factoring have recognised a liability in their financial statements with the vehicles that issued the senior notes (subject to final sale to a leading bank as part of the same securitisations) equal to EUR 345.6 mln (EUR 929.3 mln as at 31 December 2017). Against this liability, the creditors' entitlement to repayment is limited to cash flows arising from the assets underlying senior notes sold (please refer to table D.3 of the Notes to the consolidated financial statements Part E - Information on risks and hedging policies).

Other restrictions

The Group's banks are required to hold a compulsory reserve at national Central Banks. The compulsory reserve, included in asset item "40. Financial assets measured at amortised cost" sub-item "a) Loans to banks", held at Bank of Italy, amounts to EUR 6,639.4 mln as at 31 December 2018 (EUR 3,881.8 mln as at 31 December 2017).

5. Other information

The financial statements processed for line-by-line consolidation of the subsidiaries include the financial statements as at 31 December 2018, as approved by the Boards of Directors of the respective companies.

Section 4 – Events after the Reporting Period

On 23 January 2019, the Parent Company completed a new 5-year covered bond issue (bonds secured by Italian residential mortgages), intended for institutional investors. The EUR 1 bn bond has a rating of A1/A+/AAL (Moodys/Fitch/DBRS), maturing in January 2024 with an annual coupon of 2%. Taking into account the "below par" re-offer price, at 99.61%, the yield to maturity is 2.08% per annum. The transaction was settled on 29 January 2019.

On 19 February 2019, a preventive attachment decree was carried out against the Parent Company for a total of EUR 35.7 mln in relation to the investigations under way by the Public Prosecutor of Milan on the reporting to DPI of the customer involved in the purchase of diamonds.

Section 5 – Other Matters

Going concern

This Annual Report was prepared based on a going concern assumption.

With regard to the indications contained in Document no. 4 of 3 March 2010, issued jointly by the Bank of Italy, Consob and IVASS, and subsequent amendments, the Bank reasonably expects to continue operating in the foreseeable future and has therefore prepared the financial statements under the going concern assumption.

In this regard, note that, with reference to the 2017-2021 Restructuring Plan approved by the competent authorities in July 2017, the Bank continues the process of relaunching the commercial business and implementing the various operating guidelines. Moreover, consistent with the Plan's provisions, initiatives continued aimed at improving the risk profile of the loan portfolio, performing and non-performing, as well as the managerial actions envisaged in the Plan. For more details on these initiatives, please refer to the "Strategy" section of the Consolidated Report on Operations.

Moreover, the Parent Company has updated the internal projection related to the Group's forecasted income statement and balance sheet to take into account the change in the current macroeconomic scenario and 2018 results. Although these forecasts are lower than those envisaged in the Restructuring Plan, the values of capital ratios remain above the new SREP regulatory requirements.

Therefore, in light of the above, as it is deemed reasonable that the Parent Company will continue operating in the foreseeable future, the financial statements have been prepared, considering that the going concern basis is appropriate.

List of key IAS/IFRS international accounting principles and related SIC/IFRIC interpretations for mandatory application as of the 2018 financial statements

IFRS 15 "**Revenue from Contracts with Customers**", published by IASB on 18 May 2014 and endorsed by the European Commission with Regulation no. 2016/1905 of 22 September 2016 and subsequent clarifications endorsed with Regulation no. 2017/1987 of 31 October 2017, replaces previous standards on revenue: IAS 11 "Construction Contracts" and IAS 18 "Revenue", as well as IFRIC 13 "Customer Loyalty Programmes", IFRIC 15 "Agreements for the Construction of Real Estate", IFRIC 18 "Transfers of Assets from Customers" and SIC 31 "Revenue - Barter Transactions Involving Advertising Services".

Application of the standard is mandatory as of the start date of the first annual period beginning on or after 1 January 2018.

IFRS 9 "**Financial Instruments**", issued by IASB on 24 July 2014, regulates the classification and measurement of financial instruments, as well as the related impairment process and replaces the previous accounting standard IAS 39 "Financial Instruments: Recognition and Measurement" The issue of macro hedging is as yet unregulated, for which IASB has decided to undertake a separate project.

The document was endorsed by the European Commission with Regulation no. 2016/2067 on 22 September 2016 and must be applied from the start date of the first annual period beginning on or after 1 January 2018.

On 12 September 2016, IASB published the amendment to IFRS 4 "**Applying IFRS 9 Financial Instruments with IFRS 4 Insurance Contracts**", later endorsed by the European Commission with Regulation no. 2017/1988 on 9 November 2017. The amendments have the objective of resolving the issues related to the application of IFRS 9 for companies that perform insurance activities, prior to the implementation of the standard (IFRS 17) that will replace IFRS 4 on insurance contracts.

In particular, this amendment introduced a series of modifications that permit:

- entities that issue insurance contracts to recognise the effects deriving from the volatility that may arise when an entity will apply IFRS 9 before the application of the new IFRS 4 in the statement of comprehensive income (i.e., in the OCI statement), rather than in the income statement (the "overlay approach").
- entities whose business is constituted to a predominant extent by insurance activities to take advantage of a temporary exemption from the application of IFRS 9 initially until 2021. Entities that defer the application of IFRS 9 will continue to apply the current IAS 39 ("deferral approach").

The amendments apply as of 1 January 2018. In this regard, note that the Group's insurance associates have agreed to apply the deferral approach.

Furthermore, note that on 14 November 2018, IASB decided to postpone the application of IFRS 17 for one year, from 2021 to 2022, also extending the possibility of delaying until 2022 the temporary exemption from the application of IFRS 9 granted to insurance companies. The proposed delay will, however, be subject to public consultation, which is scheduled during 2019.

In addition, as of 1 January 2018, the following are applicable:

- amendments set forth in the "**Annual Improvements to IFRS Standards 2014-2016 Cycle**", endorsed by the European Commission with EU Regulation 2018/182 of 7 February 2018, which regard:
  - IAS 28 "Investments in Associates and Joint Ventures",
  - IFRS 1 "First-time adoption of International Financial Reporting Standards",
  - IFRS 12 "Disclosure of interests in other entities".

- o amendments to IFRS 2 "**Classification and Measurement of Share-Based Payment Transactions**", endorsed by the European Commission with EU Regulation 2018/289 of 26 February 2018, which provides some clarifications in relation to the following aspects:
  - the effects of vesting conditions on the measurement of a share-based payment settled in cash;
  - the classification of share-based payment transactions characterised by net settlement for tax purposes;
  - the recognition of a change to the terms and conditions of a share-based payment, which changes the classification of the transactions from cash-settled to equity-settled;
- o amendments to IAS 40 "**Investment Property: Transfers of Investment Property"**, endorsed by the European Commission with Regulation 2018/400 of 14 March 2018. The changes clarify the moment of transfer of an asset from/to the "real estate investment" category, identified as "change in use".

IFRIC 22 "**Foreign Currency Transactions and Advance Consideration**", endorsed by the European Commission with EU Regulation 2018/519 of 28 March 2018, which clarifies the accounting for transactions that include the receipt or payment of advance consideration in a foreign currency;

Notwithstanding the first application of IFRS 9 and IFRS 15, for which reference should be made to the specific section "Disclosure on first-time adoption of the accounting standards IFRS 9 "Financial Instruments" and IFRS 15 "Revenue from Contracts with Customers", the other changes or interpretations had no material impact on the Group's financial situation.

IAS/IFRS international accounting standards and related SIC/IFRIC interpretations endorsed by the European Commission, the application of which is mandatory as of 31 December 2018

On 13 January 2016, IASB published the new standard IFRS 16 “**Leases**” which replaces IAS 17 “Leases”, as well as the interpretations IFRIC 4 “Determining whether an Arrangement contains a Lease”, SIC-15 “Operating Leases - Incentives”, and SIC-27 “Evaluating the Substance of Transactions Involving the Legal Form of a Lease”.

The objective of IFRS 16 is to ensure that lessors and lessees provide appropriate information in a manner that accurately represents the transactions. Thus, the information provides users of financial statements with the elements to assess the effect of the lease on the entity’s financial situation, economic result, and cash flows.

The new standard provides a new definition of lease and introduces an approach based on control (right of use) in the utilisation of an asset to distinguish lease agreements from service agreements, identifying as discriminating factors: the identification of the asset, the lack of entitlement of the lessor to replace the asset, the right to substantially obtain all economic benefits originating from the use of the asset and the right to direct the use of the asset underlying the agreement.

Transactions excluded from the standard’s scope of application include, specifically:

- intellectual property licenses granted by the lessor pursuant to IFRS 15 "Revenue from Contracts with Customers";
- rights held by the lessee as a result of licensing agreements pursuant to IAS 38 “Intangible Assets”.

The standard also recognises the possibility of applying certain exceptions to recognition (practical expedients):

- short-term leases, with a contractual term equal to or less than 12 months;
- leases in which the underlying asset is of modest value (low-value asset).

More specifically, according to the definition of IFRS 16, the lease agreement is a contract that grants the lessee the right to control the use of an identified asset (underlying) for a certain period of time in exchange for compensation.

The two conditions necessary for a contract to be considered a lease are:

- the existence of an identified and physically distinct asset;
- the right to control the use of the asset, which is clarified in the right of the lessee to obtain substantially all economic benefits deriving from the use of the asset during the period of use and the right to manage the asset’s use, establishing how and for what purpose it is used, throughout the period of use. Thus, the lessor cannot have the right to essentially replace the asset.

In addition to lease contracts termed as such, this category includes, for example, rental, lease and gratuitous lease contracts for valuable consideration.

For a contract that contains a leasing component and additional non-leasing components (such as, in the case of leasing an asset and providing maintenance service), the standard provides for separate accounting for each leasing component in relation to the non-leasing components. Therefore, the compensation due must be allocated to the various components based on the relative stand-alone prices, following the IFRS 15 approach for service contracts. As a practical expedient, a lessee can still choose, for each class of underlying asset, not to separate the non-leasing components from the leasing components and to account for all components as a lease.

The most significant changes introduced in the standard concern the lessee, for whom a single accounting model is defined, with no distinction between operating leases and finance leases, and with impacts on both the income statement and balance sheet.

In fact, any lease contract results in the lessee recognising in the liabilities and assets sections, respectively, of the balance sheet:

- a lease liability, equivalent to the present value of future payments, calculated using the discount rate defined at the beginning of the lease contract;
- a right of use (for the asset, hereinafter "RoU"), equivalent to the lease liability plus initial direct costs and estimated dismantling costs, net of incentives.

The lessee must assess the assets comprising the RoU by applying the cost model. The income statement will essentially be impacted by the amortisation charge for the right of use, recognised under operating expenses, and for interest accrued on the lease liability, recognised in net interest income.

The distinction between operating and finance leases continues for the lessor, for which the IFRS 16 approach does not introduce substantial changes with respect to IAS 17, other than greater disclosure.

The standard was endorsed by the European Commission on 9 November 2017 with Regulation no. 2017/1986 and shall apply as of 1 January 2019. Early application is permitted for those entities that already apply IFRS 15.

With regard to the first-time adoption of the standard, full or modified retrospective application is allowed. The full retrospective option envisages that IFRS 16 is applied for 2018, recording the impact on shareholders' equity as at 1 January 2018 as if IFRS 16 had always been applied, by restating comparative data. Instead, the modified retrospective option provides:

- for 2018, application of IAS 17 without the need to restate comparative data;
- for 2019, application of IFRS 16 with impact on shareholders' equity from 1 January 2019 (in the reserves item) of the cumulative effect of the new standard for first-time adoption on only those contracts outstanding on said date and an indication of the impacts of the first-time adoption of the standard in the notes to the financial statements.

The Group decided to apply the modified retrospective option, which does not entail the restatement of 2018 comparative data. The estimated quantitative effects upon first-time adoption of the standard as at 1 January 2019, are, on the whole, not significant at Group level with respect to either total assets/liabilities or CET1.

The rules and practical expedients used by MPS Group during the transition for contracts classified as operating leases in accordance with IAS 17 are summarised below:

- for lessees, applying the modified retrospective option that does not entail the restatement of 2018 comparative data, the right of use value is calculated as the value of the lease liability adjusted for the amount of any accrued or deferred income relative to the lease;
- the low-value contract exemption was applied on a lease-by-lease basis. In particular, this includes mobile telephones that are not owned;
- the short-term contract exemption was applied to contracts that expire within 12 months of the date of initial application. Specifically, these contracts include property with natural expiry (including the first renewal) by 31 December 2019 or with an expected release date within said term;
- for the recognition and measurement of the lease liability:
    - the discount rate used was defined, by applying the standard's practical expedient, as the range of values of the incremental borrowing rate based on the contract's duration as at 1 January 2019. The incremental borrowing rate was calculated as the weighted average of the funding curves plus a base rate linked to funding.

    - The lease duration was determined by applying the principle of reasonableness; specifically, for all contracts outstanding at the date of first application, the options for extension and for early termination were appropriately assessed.
- for quantification of the right of use, practical expedients were used that allow:
    - impairment to be estimated by adjusting the RoU for the amount of allocations for onerous leases recognised in financial statements in accordance with IAS 37 in the period immediately preceding the transition date;
    - the exclusion of initial direct costs from the RoU measurement.

The assessment conducted through the analysis of contracts, interviews and submission of questionnaires made it possible to identify the assets to be included in the IFRS 16 scope of application for the main companies of MPS Group.

In particular, lease contracts for operating property were included in the scope of IFRS 16.

With reference to other types of assets, the following is specified:

- contracts relating to automobiles mainly refer to long-term leases of cars (office cars and fringe benefits for employees) and are considered in scope when present;
- regarding technology contracts:
    - the contract to rent the data lines and to transmit data, stipulated by Consorzio Operativo (COG) for the entire Group, was assessed to be out of scope for IFRS 16, as the lease asset cannot specifically be identified;
    - the contract for leased machines, signed by COG for the entire Group, was not included as at the date of first adoption, as it includes services for which no lease assets are clearly identified and services that fall under the standard's scope but that have a residual duration from the transition date of 12 months, and are therefore excluded due to the application of the short-term exemption;
    - contracts relative to assets such as personal computers, fixed telephones, multi-functional printers, and ATMs were determined to be out of the standard's scope, as they are owned by the Group.

On 7 June 2017, IASB published **IFRIC 23 "Uncertainty over Income Tax Treatments"**, which clarifies how to apply the requirements for recognition and measurement of IAS 12 when there is uncertainty on the treatment of income tax.

In this case, for the purposes of recognition and measurement of current and deferred tax assets/liabilities in accordance with IAS 12, taxable profits/losses, taxable bases, unused tax losses, unused tax credits and tax rates are determined based on the interpretation provided by IFRIC 23.

The entity is required to use judgement in determining whether an uncertain tax treatment should be considered independently or jointly with other tax treatments impacted by the uncertainty. The decision should be based on the approach that provides the greatest guarantee of resolving the uncertainty.

The entity should also consider that the relevant tax authority, in examining the data submitted to it, may or may not accept application of the tax treatment or set of tax treatments proposed by the entity.

If it is deemed probable that a specific tax treatment will be accepted, the entity must determine the taxable income, taxable bases, unused tax losses, unused tax credits or tax rates consistently with the tax treatment included in the tax return.

However, if the entity considers its acceptance to be unlikely, it must reflect the effect of the uncertainty in determining the tax components using one of the following methods:

- the most likely amount, which identifies the most likely amount within a range of possible results;

- the expected amount, which is based on the weighted sum of probable values within a range of possible values.

The decision must be based on the method that provides greater guarantee of resolving the uncertainty.

Moreover, the entity must review the judgements and estimates if the facts and circumstances change.

IFRIC 23 was endorsed by the European Commission on 24 October 2018 with Regulation no. 2018/1595 and shall apply as of 1 January 2019. Early application is permitted.

On 12 October 2017, IASB published "**Amendments to IFRS 9: Prepayment Features with Negative Compensation"**. The amendments aim to clarify the classification of certain financial assets that can be repaid in advance when IFRS 9 is applicable. In particular:

- for financial assets, they allow the measurement at amortised cost or, depending on the business model, at fair value through other comprehensive income, of those loans that, in the event of early repayment, assume a payment by the lender (negative compensation payment);
- for financial liabilities at amortised cost, they contain a clarification with regard to the accounting for a change that does not involve derecognition from financial statements. In these cases, it is envisaged that, at the date of the change, the amortised cost of the financial liability is adjusted, calculated as the difference between the original contractual cash flows and the modified cash flows discounted at the effective interest rate, which is recognised in the income statement.

The amendments were endorsed by the European Commission on 26 March 2018 with Regulation no. 2018/498 and shall apply as of 1 January 2019. Early application is permitted.

IAS/IFRS international accounting standards and related SIC/IFRIC interpretations issued by the IASB and still awaiting approval from the European Commission

On 18 May 2017, IASB issued IFRS 17 "**Insurance Contracts**", which sets out the principles for recognition, measurement, presentation and disclosure of the insurance contracts under the scope of the standard.

The objective of IFRS 17 is to ensure that significant information is provided, faithfully representing the contracts, in order to provide a basis for users of the financial statements to assess their effects on the entity's financial performance and cash flows. On 14 November 2018, IASB decided to postpone the application of IFRS 17 for one year, that is, starting from 1 January 2022. The proposed deferral is still awaiting approval from the European Commission.

No direct impacts on the Group's operations are expected, as neither the Parent Company nor subsidiaries perform insurance activities.

On 12 October 2017, IASB issued "**Amendments to IAS 28: Long-Term Interests in Associates and Joint Ventures"**. The document, which is still in the endorsement process, clarifies that IFRS 9 must be applied to long-term loans to associates or joint ventures that are, essentially, part of the net investment in the associate or joint venture (but for which the entity does not use the equity method).

The amendments apply as of 1 January 2019; early application is permitted.

On 12 December 2017, IASB published the "**Annual Improvements to IFRS Standards 2015-2017 Cycle**", which include amendments to IAS 12 "Income Taxes", IAS 23 "Borrowing Costs", IFRS 3 "Business Combinations", and IFRS 11 "Joint Arrangements". In particular:

- the amendments to IAS 12 clarify that the effects on taxation of dividends (as in the case of profit distribution) should be recognised in the income statement regardless of how the tax originates.
- the amendments to IAS 23 clarify that, if a specific loan remains outstanding after the corresponding asset is ready for use or sale, the loan becomes part of the funds considered for the purpose of calculating the capitalisation rate in relation to general loans.
- the amendments to IFRS 3 clarify that when the entity obtains control of a business that is already a joint operation, it recalculates the stake held in that business.
- the amendments to IFRS 11 clarify that when an entity obtains joint control of a business, already a joint operation, it does not recalculate the stake held in that business.

The amendments shall apply as of 1 January 2019. However, their early application is permitted.

On 7 February 2018, IASB issued "**Amendments to IAS 19: Plan Amendment, Curtailment or Settlement**", which finalises certain specific questions submitted to IFRIC in 2015 regarding the calculation of service cost and net interest when the plan is re-measured. The amendments are effective from 1 January 2019 or later.

On 28 March, IASB published a revised version of "**Conceptual Framework".** In particular, the definitions of assets and liabilities were revised and a new guidance on measurement, derecognition, presentation, and disclosure was provided. However, the new Conceptual Framework does not represent a substantial revision to the original document. IASB focused on topics that had not yet been addressed or for which there were clear regulatory gaps.

The amendments shall apply as of 1 January 2020. However, their early application is permitted.

On 22 October 2018, IASB issued "**Amendments to IFRS 3: Definition of a Business**", with the objective of resolving issues that arise when an entity determines if it has acquired a business or group of business activities.

In particular, the document:

- clarifies that, to be considered a business, a group of activities and assets acquired must include at least an input and a process that provide a significant contribution to the ability to produce outputs;
- eliminates the assessment of the ability of market operators to replace inputs or processes that are lacking to continue producing outputs;
- introduces guidelines and examples to assist entities in assessing whether a substantial process has been acquired;
- restricts the definition of business and outputs, focusing on assets and services provided to customers and eliminating the reference to the capacity to reduce costs;
- introduces an optional concentration test, which simplifies the assessment of the possibility that an acquired group of activities and assets does not constitute a business.

The amendments are effective for business combinations for which the acquisition date is in effect or subsequent to the beginning of the first annual reporting period on or after 1 January 2020.

On 31 October 2018, IASB published amendments to IAS 1 "Presentation of Financial Statements" and IAS 8 "Accounting Policies, Changes in Accounting Estimates and Errors", which clarify the definition of materiality, aligning it with that used in the Conceptual Framework of IAS. According to IASB, information is material if its omission, misstatement, or ambiguity could reasonably influence the decisions of users of financial statements.

The amendments are effective from 1 January 2020 or later. Their early application is permitted.

A.2 – The main items of the accounts

Accounting standards

This chapter contains the accounting standards in relation to the main assets and liabilities in the balance sheet, which were adopted for the preparation of the consolidated financial statements as at 31 December 2018.

1 Financial assets measured at fair value through profit and loss (FVTPL)

a) classification criteria

These assets include financial assets other than those classified under "Financial assets measured at fair value through other comprehensive income" and "Financial assets measured at amortised cost". The category comprises:

- debt securities and loans that are included in an Other/Trading business model (hence, not associated with the "Held to Collect" or "Held to Collect and Sell" business models) or that did not pass the SPPI test;
- equity instruments that cannot be classified as representing control, affiliation, or joint control, held for trading purposes or for which, upon initial recognition, the fair value through other comprehensive income option was not chosen;
- units of UCITS;
- derivative contracts, recognised in financial assets held for trading, that are recognised as assets if the fair value is positive, or liabilities if the fair value is negative.

With reference to the latter, it is possible to offset current positive and negative values deriving from outstanding transactions with the same counterparty only if the legal right to offset the amounts recognised is currently in place and the entity intends to proceed with the net settlement of offsetting positions.

More detailed information is provided below on the three sub-items that comprise this category, represented by: "a) Financial assets held for trading", "b) Financial assets measured at fair value"; and "c) Other financial assets measured at fair value as per mandatory requirements".

- a) Financial assets held for trading
  Assets are classified as held for trading purposes if they are managed with the objective of generating cash flows through their sale, as they are:
  - acquired or incurred primarily for the purpose of selling or repurchasing them in the short-term;
  - part of a portfolio of identified financial instruments that are managed on an individual basis and for which there is proven existence of a recent and effective strategy targeted at earning a profit in the short-term;
  - derivatives (with the exception of derivatives that represent a financial guarantee contract or designated and effective hedging instruments).

- b) Financial assets measured at fair value
  Assets can be irrevocably designated at fair value at the time of initial recognition only when this designation eliminates or significantly reduces a measurement inconsistency (known as an accounting mismatch); This category is not used by the Group at present;

- c) Other financial assets measured at fair value as per mandatory requirements
  Other financial assets measured at fair value as per mandatory requirements represent a residual category and include:

- debt securities, loans and receivables, when: i) the relative contractual cash flows do not represent solely payments of principal and interest on the residual capital (Solely Payment of Principal and Interest - SPPI test failed), or ii) are not held as part of a business model whose objective is the ownership of assets for purposes of collecting contractual cash flows ("Held to Collect" business model) or those whose objective is achieved either by collecting contractual cash flows or by selling financial assets ("Held to Collect and Sell" business model);
- equity securities held for purposes other than trading for which the option of classification at fair value through other comprehensive income is exercised.

According to the general rules established by IFRS 9 on reclassifying financial assets (with the exception of equity securities, for which reclassification is not permitted), reclassifications to other categories of financial assets are not permitted unless the entity changes its business model for managing financial assets. In these cases, which are expected to be highly infrequent, financial assets may be reclassified from the category 'measured at fair value through profit and loss' to one of the other two categories envisaged by IFRS 9 (financial assets measured at amortised cost or financial assets measured at fair value through other comprehensive income). The transfer value is represented by the fair value at the time of the reclassification and the effects of the reclassification apply prospectively from the reclassification date. In this case, the effective interest rate of the reclassified financial asset is calculated based on its fair value at the reclassification date and this date is considered as the initial recognition date in assigning it to the various credit risk stages (stage assignment) for purposes of impairment.

For more information on classification criteria for financial instruments, please refer to the section "Classification criteria for financial assets" below.

b) recognition criteria

Initial recognition of debt securities and equity securities occurs at the settlement date. For loans and receivables, as well as derivatives, recognition in financial statements occurs on the date of disbursement.

Upon initial recognition, financial assets measured at fair value through profit and loss are recognised at fair value, which usually corresponds to the amount paid, without considering transaction costs or revenues directly attributable to the instrument, which are directly recognised in the income statement.

c) measurement criteria

After initial recognition, financial assets measured at fair value through profit and loss are recorded at fair value, with changes recognised as an offsetting entry in the income statement.

Market prices are used to determine the fair value of financial instruments listed in active markets. In the absence of an active market, commonly adopted estimation methods and measurement models are used, which take into account all the risk factors associated with the instruments and which are based on market data, such as: value of listed instruments that have similar characteristics, calculations of discounted cash flows, models for determining the option prices, values recorded in recent comparable transactions, etc. For equity securities and derivatives on equity securities that are not listed on an active market, the cost criterion is used as an estimate of the fair value only on a residual basis and limited to rare circumstances, i.e., if none of the above measurement models can be applied, or if there is a wide range of possible fair value measurements, in which case the cost represents the most meaningful estimate.

For more information on the criteria for determining fair value, please refer to Section "A.4 Information on Fair Value" of Part A of the Notes to the consolidated financial statements.

d) revenue recognition criteria

Gains and losses arising from any changes in the fair value of a financial assets held for trading are recognised in the income statement under item "80 - Net trading income (expenses)", while gains and losses from the change in financial assets measured at fair value and those measured at fair value as per mandatory requirements, including the results of the fair value measurements of these assets and liabilities, are booked to the income statement under item "110 - Net profit/loss from financial assets and liabilities measured at fair value through profit and loss", in the sub-items "a) financial assets and liabilities measured at fair value" and "b) other financial assets measured at fair value as per mandatory requirements", respectively.

e) derecognition criteria

Financial assets are derecognised from financial statements: i) upon expiration of the contractual rights on the cash flows resulting from the assets or ii) when the financial assets are sold and all related risks/benefits are transferred.

2 Financial assets measured at fair value through other comprehensive income (FVTOCI)

a) classification criteria

This category includes:

- financial assets represented by debt instruments, managed under a "Held to Collect and Sell" business model[18], whose contractual flows represent solely payments of principal and interest on the residual capital (Solely Payment of Principal and Interest - SPPI - test passed);
- financial assets represented by equity instruments, held under a non-trading business model, for which, on first-time recognition, the option for the recognition in the statement of comprehensive income of changes in fair value after first-time recognition in the financial statements (OCI election) has been irrevocably exercised.

In particular, the following are included in this item:

- debt securities that are attributable to a "Held to Collect and Sell" business model and that passed the SPPI test;
- equity stakes, which cannot be classified as representing control, an affiliation, or joint control and are not held for trading purposes, for which the fair value through other comprehensive income option was chosen;
- loans that are attributable to a "Held to Collect and Sell" business model and that passed the SPPI test; The Group does not have assets of this type.

According to the general rules established by IFRS 9 on reclassifying financial assets (with the exception of equity securities, for which reclassification is not permitted), reclassifications to other categories of financial assets are not permitted unless the entity changes its business model for managing financial assets. In these cases, which are expected to be highly infrequent, financial assets may be reclassified from the category 'measured at fair value through other comprehensive income' to one of the other two categories envisaged by IFRS 9 (financial assets measured at amortised cost or financial assets measured at fair value through profit and loss). The transfer value is represented by the fair value at the time of the reclassification and the effects of the reclassification apply prospectively

[18] Financial instruments held within the framework of a business model whose objective is achieved through both the collection of cash flows and sale of said instruments can be associated to the Held to Collect & Sell Business Model.

from the reclassification date. If assets are reclassified from this category to the amortised cost category, the cumulative gain (loss) recorded in the valuation reserve is adjusted to the fair value of the financial asset at the reclassification date. If, instead, assets are reclassified to the fair value through profit and loss category, the cumulative gain (loss) recorded previously in the valuation reserve is reclassified from shareholders' equity to profit (loss) for the year.

For more information on classification criteria for financial instruments, please refer to the section "Classification criteria for financial assets" below.

b) recognition criteria

Financial assets are initially recognised on the date of settlement, with reference to debt or equity instruments, and on the date of disbursement, with reference to loans and receivables.

On initial recognition, the assets are measured at their fair value, which normally corresponds to the price paid, inclusive of transaction costs or income directly attributable to the instrument.

c) measurement criteria

Financial instruments represented by debt instruments, following initial recognition, continue to be measured at fair value, with recognition in the income statement of interest (based on the effective interest rate method), expected credit losses (for more details please refer to the paragraph "Impairment" in this section), and any exchange rate changes. Fair value changes, net of expected credit losses, are booked to the appropriate equity reserve net of the associated tax effect (item "120 - Valuation reserves"). Upon full or partial disposal, the cumulative gain or loss in the valuation reserve is reversed, all or in part, to the income statement.

Financial assets represented by equity instruments, following initial recognition, continue to be measured at fair value, with changes booked to the appropriate equity reserve net of the associated tax effect (item "120 - Valuation reserves"). The amount recognised as an offsetting entry in shareholders' equity (Statement of Comprehensive Income) cannot subsequently be transferred to the income statement, even following a sale; in this case, the amount is reclassified in another equity item (item "150 - Reserves"). Furthermore, no write-down to the income statement is envisaged for these assets as they are not subject to any impairment process. The only component of these equity securities that is recognised in the income statement is represented by the related dividends.

For equity securities included in this category, which are not listed on an active market, the cost criterion is used as an estimate of the fair value only on a residual basis and limited to rare circumstances, i.e., if none of the measurement models previously mentioned can be applied, or if there is a wide range of possible fair value measurements, in which case the cost represents the most meaningful estimate.

For more information on the criteria for determining fair value, please refer to Section "A.4 Information on Fair Value" of Part A of the Notes to the consolidated financial statements.

Financial assets measured at fair value through other comprehensive income - both in the form of debt securities and loans - are subject to verification of the significant increase in credit risk (impairment) as required by IFRS 9, similar to assets measured at amortised cost, with the consequent recognition in the income statement of a value adjustment to cover expected losses. In summary, an estimated loss at one year is recognised, at the initial recognition date and at every subsequent reporting date, on instruments classified in stage 1 (i.e., on financial assets at the origination date, if not impaired, and on instruments for which there has not been a significant increase in credit risk compared to the initial recognition date). Instead, for instruments classified in stage 2 (performing, for which there has been a significant increase in credit risk compared to the initial recognition date) and stage 3 (non-performing exposures) an expected loss is recorded for the entire residual life of the financial instrument. Conversely, equity securities are not subject to the impairment test.

For more detailed information, please refer to the subsequent paragraph "Use of estimates and assumptions when preparing financial statements - Methods for calculating impairment on IFRS 9 financial instruments".

d) revenue recognition criteria

As regards financial instruments represented by debt instruments:

- expected credit losses recognised for the year are accounted for in item "130 - "Net impairment (losses)/reversals for credit risk of: b) financial assets measured at fair value through other comprehensive income"; the same applies for partial or full reversals of write-downs recorded in previous years;
- at the moment of derecognition, valuations accumulated in the specific equity reserve are reversed to the income statement under item "100 - Gains/losses from sale/repurchase of: b) financial assets measured at fair value through other comprehensive income".

As regards financial instruments represented by equity instruments, for which the so-called "OCI election" was exercised, only dividends are booked to the income statement (item "70. Dividends and similar income"). Changes in fair value subsequent to initial recognition are recorded in a specific valuation reserve under shareholders' equity (item "120 - Valuation reserves"); in the event of derecognition of the asset, the cumulative balance of this reserve is not reversed to the income statement but is reclassified under earnings reserves of equity (item "150 - Reserves).

e) derecognition criteria

Financial assets are derecognised from financial statements: i) upon expiration of the contractual rights on the cash flows resulting from the assets or ii) when the financial assets are sold and all related risks/benefits are transferred.

3 Financial assets measured at amortised cost

a) classification criteria

Financial assets represented by debt instruments, managed under a "Held to Collect" business model[19], whose contractual flows represent solely payments of principal and interest on the residual capital (Solely Payment of Principal and Interest - SPPI test passed) are included in this category.

The portfolio of financial assets measured at amortised cost includes the entire loan portfolio (in the various technical forms, including repurchase agreements, stipulated with either banks or customers), managed under a "Held to Collect" business model, net of loans that fail the SPPI test and which, consequently, are classified in the portfolio of financial assets measured at fair value as per mandatory requirements.

This category also includes debt securities, predominantly government bonds, managed as part of a "Held to Collect" business model as well as operating receivables connected with providing financial assets and services as defined in the Consolidated Law on Banking and the Consolidated Law on Finance (e.g., for distribution of financial products and servicing activities).

According to the general rules established by IFRS 9 on reclassifying financial assets, reclassifications to other categories of financial assets are not permitted unless the entity changes its business model for

[19] Financial instruments held within the framework of a business model whose objective is ownership of said instruments for the purpose of collecting cash flows can be associated with the "Held to Collect" business model.

managing financial assets. In these cases, which are expected to be highly infrequent, financial assets may be reclassified from the category 'measured at amortised cost' to one of the other two categories envisaged by IFRS 9 (financial assets measured at fair value through other comprehensive income or financial assets measured at fair value through profit and loss). The transfer value is represented by the fair value at the time of the reclassification and the effects of the reclassification apply prospectively from the reclassification date. Gains or losses resulting from the difference between the amortised cost of the financial asset and the associated fair value are booked to the income statement in the case of reclassification under "Financial assets measured at fair value through profit and loss" and, under equity, in the appropriate valuation reserve, in the case of the reclassification under "Financial assets measured at fair value through other comprehensive income".

For more information on classification criteria for financial instruments, please refer to the section "Classification criteria for financial assets" below.

b) recognition criteria

Financial assets are initially recognised on the date of settlement for debt instruments, and on the date of disbursement, with reference to loans and receivables; the following are included in said item;

- loans to banks;
- loans to customers.

The initial value is determined on the basis of the fair value of the financial instrument, normally equal to the amount disbursed, inclusive of the expenses/income directly related to the individual instrument and determinable as of the transaction date, even if such expenses/income are settled at a later date. This does not include costs which have these characteristics but are subject to repayment by the debtor or which can be encompassed in ordinary internal administrative expenses.

Repurchase agreement transactions with the obligation to repurchase are posted as lending transactions for the spot amounts collected.

c) measurement criteria and revenue recognition criteria

Following initial recognition, financial assets booked to this category are measured at amortised cost, which results in the recognition of interest based on the effective interest rate criterion *pro-rata temporis* throughout the duration of the loan. This interest is recorded under item "10 - Interest income and similar revenues".

The gross carrying amount is equal to the first-time recognition value, decreased/increased by:

- principal repayments;
- amortisation – calculated using the effective interest rate method – of the difference between the amount disbursed and the amount repayable upon maturity, typically attributable to the costs/income directly charged to each receivable;
- gains/losses from contractual changes without cancellation recognised in the income statement under item "140. Gains/losses from contractual changes without cancellation".

The amortised cost method is not used for short-term receivables, for which the effect of applying a discounting logic is negligible. Similar valuation criteria are adopted for receivables with no specific maturity or subject to revocation.

For more detailed information on amortised cost, please refer to the following section "Other significant accounting practices - amortised cost".

The book value of financial assets at amortised cost is adjusted to take into account any provision to cover expected losses (expected credit losses). For each reporting period, the aforementioned assets are subject to impairment testing with the aim of estimating expected losses in value for credit risk (ECL - Expected Credit Losses). These losses are recorded in the income statement under item "130 - Net impairment (losses)/reversals for credit risk". Total or partial reversals of write-downs made in previous years are handled similarly.

More specifically and as better explained in the paragraph "Use of estimates and assumptions when preparing financial statements - Methods for calculating impairment on IFRS 9 financial instruments", the impairment model classifies the assets into three separate stages (stage 1, stage 2, stage 3), according to trends in the borrower's creditworthiness, each of which has different criteria for measuring expected losses:

- stage 1: includes performing financial assets for which there has been no significant increase in credit risk with respect to the initial recognition date, or for which credit risk is considered low. Impairment is based on an estimate of expected loss over a one-year time horizon (expected loss that would result from default events on financial assets that are deemed possible within one year of the reference date);

- stage 2: includes performing financial assets that have incurred a significant increase in credit risk with respect to the initial recognition date; Impairment is assessed according to an estimate of expected loss over the entire residual life of the financial asset;

- stage 3: represents non-performing financial assets (probability of default equal to 100%), to be assessed based on an estimate of expected loss over instrument's life.

For performing assets, expected losses are calculated according to a collective process based on certain risk parameters represented by the probability of default (PD), loss rate in the event of default (LGD), and the exposure value (EAD), deriving from the internal models for calculating regulatory credit risk, appropriately adjusted to take into account the specific requirements envisaged by accounting regulations.

For non-performing assets, i.e., assets for which, in addition to a significant increase in credit risk, objective evidence of impairment has been found, impairment losses are quantified based on an analytical or lump-sum measurement process by homogeneous risk categories - aimed at determining the present value of expected future recoverable cash flows, discounted using the original effective interest rate.

The non-performing asset category includes exposures assigned the status of bad loan, unlikely to pay, or past-due/overdrawn for more than ninety days, in accordance with the definitions established by supervisory regulations in effect (Bank of Italy Circular no. 272 "Accounts Matrix") and referred to in Bank of Italy Circular no. 262, as these definitions are deemed consistent with accounting regulations envisaged in IFRS 9 for objective evidence of impairment.

The expected cash flows include forecasts for collection timing and the presumed net realisable value of any guarantees.

For fixed-rate positions, the original effective rate used to discount the expected cash flows from collection, calculated as described above, remains unchanged over time even if there is a change in the contractual rate due to the borrower's financial difficulties.

For floating-rate positions, the rate used to discount cash flows is updated for indexing parameters (e.g., Euribor), while keeping the fixed spread at the original level.

The financial asset's original value is restored in subsequent years when there is an improvement in the exposure's creditworthiness compared to that which had led to the previous write-down. The reversal is posted to the same item in the income statement ("130 - Net impairment (losses)/reversals for credit risk") and may not, in any case, exceed the amortised cost that the asset would have had without prior adjustments.

For more detailed information on the impairment model, please refer to the subsequent paragraph "Use of estimates and assumptions when preparing financial statements - Methods for calculating impairment on IFRS 9 financial instruments".

Lastly, for non-performing exposures, accrued interest is calculated based on amortised cost, i.e., using the value of the exposure - calculated with the effective interest rate - adjusted for expected losses. For non-performing exposures that do not accrue contractual interest, such as bad loans, this interest corresponds to write-backs associated with the discounting of collection forecasts, as the effect of the simple passage of time.

d) derecognition criteria

The financial assets are derecognised in the event one of the following cases is verified:

- the contractual rights on the cash flows deriving from the same expire;
- the financial asset is sold with the substantial transfer of all risks and benefits resulting from ownership;
- if it is not possible to ascertain a substantial transfer of risks and benefits, the financial assets are derecognised when control of the assets has been surrendered.
- the entity retains the contractual right to receive cash flows from the financial assets, but simultaneously assumes the contractual obligation to pay said flows to a third party (pass-through arrangements) without delay and only to the extent of the amount received;
- the asset is subject to "substantial" changes, as more extensively described in the section "Renegotiations".

With regard to non-performing financial assets, the asset may be derecognised following the acknowledgement of the non-recoverability of the exposure and the resulting closure of the collection process (definitive derecognition), and entails the reduction of the nominal value and of the gross book value of the loan. This case occurs when settlement agreements have been reached with the borrower that entail a reduction in the loan (resolution agreement) or in the presence of specific situations such as, for example:

- a judgement has been handed down by the court that declares the loan all or partially settled;
- the conclusion of bankruptcy or enforcement proceedings against both the principal borrowers and guarantors;
- the conclusion of all possible judicial and extra-judicial actions for credit collection;
- the completion of a mortgage lien on an asset under guarantee, with the resulting derecognition of the loan guaranteed by the property under lien, in the absence of further specific guarantees or other actions that can be taken to recover the exposure.

These specific situations may result in a full or partial derecognition of the exposure but do not necessarily imply a waiver of the legal right to collect the loan.

In addition, non-performing financial assets may be derecognised following their "write-off", upon acknowledgement that there are no reasonable expectations of collection, while continuing with actions aimed at their recovery. This write-off is carried out in the year in which the loan, or part of it, is considered non-recoverable - despite not closing the legal procedure - and can take place before the legal actions taken against the borrower and guarantors for credit collection. It does not imply the waiver of the legal right to collect the loan and is made if the loan documentation contains reasonable financial information indicating that the borrower will be unable to repay the loan amount. In this case, the gross nominal value of the loan remains unchanged, but the gross book value is reduced by an amount equal to the amount to be written off, which may represent the full exposure or a portion of it. The write-off amount cannot be subjected to subsequent write-backs following an improvement in collection forecasts, rather only as the result of amounts effectively collected.

Lastly, these financial assets may also be derecognised following reclassification into the category "Financial assets measured at fair value through other comprehensive income" and "Financial assets measured at fair value through profit and loss"; for more detailed information, please refer to the discussion under classification criteria above.

In the event of derecognition, the difference between the book value of the asset at the derecognition date and consideration received, inclusive of any assets received net of any liabilities assumed, must be recognised in the income statement, under item "100. a) Profits/(Losses) from disposal or repurchase of: financial assets measured at amortised cost" in the event of sale and, in all other cases, under item "130 - Net impairment (losses)/reversals for credit risk".

4. Hedging transactions

The Group availed itself of the possibility, envisaged on first-time application of IFRS 9, to continue to use all of the provisions of IAS 39 (carved out version endorsed by the European Commission) as regards hedge accounting for all types of hedge (both micro and macro hedges).

a) classification criteria – types of hedging

Risk-hedging transactions are aimed at offsetting any potential losses on a certain financial instrument or group of financial instruments that may arise from a specific risk should it occur.

The following types of hedging are included:

- fair value hedges, which are intended to hedge the exposure to changes in fair value of a recognised asset or liability that are attributable to a particular risk; These include generic fair value hedges (macro-hedges) having the objective of reducing fluctuations in fair value due to interest rate risk, of a monetary amount, arising from a portfolio of financial assets and liabilities (including core deposits). Generic hedges cannot be used to cover net amounts resulting from the offsetting of assets and liabilities.
- cash flow hedges, which are intended to hedge the exposure from variability in future cash flows attributable to particular risks associated with a recognised asset or liability or a transaction that is deemed highly likely;
- hedges of a net investment in a foreign operation, which refers to hedging the risks of an investment in a foreign operation denominated in a foreign currency.

At the consolidated financial statement level, the designation of the derivative as a hedging instrument is possible only if it is stipulated in relation to a counterparty external to the Group. The results attributable to internal transactions carried out among different Group entities are eliminated.

In order for a derivative to be designated as a hedging instrument, there must be formal documentation of the relationship between the hedged item and the hedging instrument, showing that the hedging relationship is - and is expected to be - effective both at inception and, prospectively, throughout its life. Furthermore, a hedging transaction should be reflective of a pre-determined risk management strategy and consistent with risk management policies in use.

To conclude the chapter on the accounting principles, a specific section is added to provide further insight into the application issues and policies adopted by the Parent Company with regard to hedging transactions. The hedging policies adopted by the Parent Company are explained, including the "natural hedges" provided for by the Fair Value Option, used as an alternative to hedge accounting in the accounting management of liability hedges.

b) recognition criteria

Hedging derivatives are initially recognised at fair value on the date the contract is stipulated.

c) measurement criteria and revenue recognition criteria

Hedging derivatives are measured at fair value. In particular:

- in the case of fair value hedging, the changes in the fair value of the hedged asset are recognised, along with the change in the fair value of the hedging instrument, in income statement item "90 - Net profit (loss) from hedging". Any difference, i.e. partial ineffectiveness of the hedging derivatives, reflects their net P&L impact; If the hedging relationship is suspended, the hedged instrument, if not derecognised from financial statements, is returned to the original valuation criterion of the class to which it belongs. Specifically for instruments measured at amortised cost, the cumulative revaluations/write-downs recorded as a result of changes in the fair value of the hedged risk are recognised in the income statement in interest income and expense over the residual life of the hedged item, based on the effective interest rate. Instead, if the suspension of the hedge is accompanied by the derecognition from financial statements of the hedged item (e.g., sale or early repayment), the fair value portion not yet amortised is immediately recognised in the income statement under the item "Net profit (loss) from hedging".
  With regard to generic fair value hedging transactions (macro-hedges), changes in fair value of the hedged risk of assets and liabilities subject to hedging are recorded in the balance sheet, respectively, under item "60 - Value adjustments to financial assets subject to macro-hedging" or "50 - Value adjustments to financial liabilities subject to macro-hedging". If a generic fair value hedging relationship is suspended, the cumulative revaluations/write-downs recorded in the aforementioned balance sheet items are charged to the income statement in interest income or expense over the residual life of the original hedging relationship, provided that the base assumptions are satisfied and verified;
- in the case of cash flow hedging, the changes in fair value of the derivative are posted to a specific shareholders' equity reserve (item "120 - Valuation reserves") with reference to the effective portion of the hedge, while fair value changes of the hedging instrument that are not offset by changes in the hedged item's cash flows are posted to the income statement under item "90 - Net profit (loss) from hedging". If the hedging of cash flows is no longer considered effective, or the hedging relationship is terminated, any amounts accumulated in cash flow hedge reserves are charged to the income statement when the hedged item, which is still in place, affects profit or loss. Conversely, if the hedged item is derecognised, cancelled or expires the reserve is charged to the income statement at the same time as the hedged item is derecognised.
- hedges of foreign currency investments are accounted for similarly to cash flow hedges.

Hedge effectiveness depends on the extent to which changes in the fair value or expected cash flows of the hedged item are offset by corresponding changes in the hedging instrument. Therefore, effectiveness is measured by comparing said changes, while taking into account the company's intent at hedge inception.

With reference to the hedged risk, the hedging is effective (within the 80% to 125% window) when the changes in fair value (or in the cash flows) of the hedging instrument offset the changes in the hedged item almost entirely.

Effectiveness is assessed at year-end by using:

- prospective tests, which justify continuing hedge accounting since they show its expected effectiveness;

- retrospective tests, which show how effective the hedging relationship has been in the period under review.

Derivatives which are considered as hedging instruments from an economic viewpoint because they are operationally linked with financial liabilities measured at fair value (Fair Value Option) are classified among trading derivatives; the respective positive and negative differentials or margins accrued until the end of the reporting period are recognised, in accordance with their hedging purpose, as interest income and interest expense, while valuation gains and losses are posted under income statement item "110 - Net profit (loss) from financial assets and liabilities measured at fair value".

d) derecognition criteria

If tests do not confirm hedge effectiveness, both retrospectively and prospectively, hedge accounting is discontinued as described above.

In addition, the hedging relationship ceases when:

- the derivative expires, is extinguished or exercised;
- the hedged item is sold, expires, or is repaid;
- it is no longer highly likely that the hedged future transaction will occur.

The hedging derivative contract, if it has not expired or been extinguished, is reclassified under financial assets held for trading, whereas the hedged item, if it has not been sold or repaid, reverts to the accounting treatment based on its original classification.

5 Equity investments

a) classification criteria

This item includes equity interests held in subsidiaries, associates or joint ventures, which are recognised in accordance with the equity method.

Companies subject to significant influence are considered <u>associates</u>. It is assumed that the company exercises significant influence in all cases in which it holds at least 20% of the voting rights (including "potential" voting rights) and, regardless of the interest held, if the company has the power to participate in management and financial decisions of the investee, by virtue of specific legal connections, such as shareholder agreements, with the purpose for the agreement's participants to ensure representation in management bodies and to ensure management unity, without having control.

Entities are considered to be <u>jointly controlled companies</u> when control is shared between the Group and one or more other parties based on contractual agreements, according to which decisions are made through the unanimous consent of all parties that share control.

For further information, please refer to section 7.6 "Key considerations and assumptions to determine the existence of joint control or significant influence" in Part B – "Assets" of these Notes to the financial statements.

b) recognition criteria

Initial recognition of financial assets classified in this category occurs on the settlement date, for a total value equal to the cost, including any goodwill paid at the time of acquisition, which is therefore not subject to independent and separate recognition.

c) measurement criteria and revenue recognition criteria

Equity investments recognised in this category are valued using the equity method. This method envisages that the initial book value is subsequently increased or decreased to reflect the Group's share of the total profits and losses of the investee realised after the acquisition date as an offsetting entry to the income statement item "250 - Gains (losses) on investments". If it becomes necessary to recognise impairment deriving from changes in the investee's net equity that the investee has not recognised in the income statement (e.g., changes from the fair value measurement of financial assets measured at fair value through other comprehensive income and from the measurement of actuarial gains/losses on defined benefit plans), the portion of these changes attributable to the Group is recognised directly in the equity item "120. Valuation reserves".

In applying the equity method, the most recent available financial statements of the associate/jointly controlled company are used, appropriately adjusted to reflect any significant events or transactions that took place between the date of these financial statements and the reporting date of the consolidated financial statements. If the investee uses accounting standards that differ from those applied by the Group, the investee's financial statements are modified.

After applying the equity method, the equity investment is subject to an impairment test if there is objective evidence of a loss in value that could affect the investee's cash flows and therefore the recoverability of the investment's carrying amount.

If evidence of impairment indicates that there may have been a loss in value of an equity investment, then the recoverable value of the investment (which is the higher of the fair value, less costs to sell, and the value in use) should be estimated. The value in use is the present value of the future cash flows expected to be derived from the investment, including those arising from its final disposal. Should the recoverable value be less than its carrying amount, including any goodwill, the difference is recognised immediately in the income statement under item "250 - Gains (losses) on investments". Should the reasons for impairment no longer apply as a result of an event occurring after the impairment was recognised, reversals of impairment losses are charged to the same item in the income statement, up to the amount of the previously recognised impairment.

The dividends from these equity investments are recognised in the Parent Company's income statement, regardless of whether it was generated by the investee before or after the acquisition date. In the consolidated financial statements, these dividends are shown as a reduction in the book value of the investee. If, after dividend recognition, the investee's book value in the separate financial statements exceeds the book value in the consolidated financial statements of the investee's net assets, including goodwill, or if the dividend payout exceeds the investee's total profit, then the Group will determine the investment's recoverable value to assess whether it has suffered impairment.

d) derecognition criteria

Investments are derecognised upon maturity of the contractual rights on the cash flows resulting from the assets or when the financial assets are sold and all related risks/rewards are transferred. If there is a situation that results in loss of significant influence or joint control, any residual equity investment is reclassified in the IFRS 9 financial asset portfolios.

6 Property, plant and equipment

a) classification criteria

Fixed assets include land, operating properties, investment properties, systems, furnishings and fixtures, equipment of any type and works of art.

Operating properties are properties owned by the Group and used in the production or supply of services or for administrative purposes (classified as "Property, plant and equipment used in the business" and recognised in accordance with IAS 16), whereas investment properties are those owned by the Group for the purpose of collecting rents and/or held for appreciation of capital invested (classified as "Property, plant and equipment held for investment" and follow the rules set forth in IAS 40).

The item also includes property, plant and equipment classified according to IAS 2 "Inventories", mainly relating to assets acquired for the purposes of enhancing the value of the investment, including through restructuring or redevelopment works, with the explicit intention of selling them in the immediate future, as part of the normal course of business, including assets deriving from the enforcement of guarantees received or from auction purchases.

Furthermore, property, plant and equipment includes those assets associated with finance lease contracts that were returned to the company following contract termination and the simultaneous closure of the original credit position. This item also includes any assets used in financial lease contracts, although their legal ownership rests with the leasing company, and any improvements and incremental expenses incurred in relation to third-party assets when they refer to identifiable and separable property, plant and equipment from which future economic rewards are expected.

b) recognition criteria

Property, plant and equipment are originally recognised at cost, which includes the purchase price and any additional charges directly attributable to the purchase and installation of the assets.

Non-recurring expenditures for maintenance which involve an increase in future economic rewards are booked as an increase in the value of the assets, while expenses for ordinary maintenance are booked to the income statement.

For assets returned following the closure of the original credit position (known as "acceptance in return"), the value recognised is the lower of the gross credit value recorded at the time the asset is returned and:

- the "market value" resulting from a specific appraisal, if it is not expected that they will be classified as "assets held for sale" over a short-term horizon;
- the "rapid realisation value" inferred from the specific appraisal, which adjusted the "market value" for a sale in an exceedingly short period of time, if at the resolution data it is known that it will later be categorised under "assets held for sale";
- the price being negotiated, if at the time of initial recognition there are tangible sale negotiations, demonstrated by commitments made by the parties involved in the negotiation.

As regards real estate, components relating to land and buildings are separate assets for accounting purposes and, by applying the components approach, are measured separately upon acquisition. The breakdown of the value of the land and the value of the building is based on the appraisals of independent experts.

c) measurement criteria and revenue recognition criteria

Property, plant and equipment, including non-operating real estate and with the exception of those to which IAS 2 applies, are valued at cost less any accrued depreciation and impairment.

They are systematically depreciated over their useful life on a straight-line basis, except for land and works of art which have an indefinite useful life and cannot be depreciated. The useful life of the fixed assets subject to depreciation is periodically reviewed and, in the event of any adjustments to the initial estimate, a change is also made in the related depreciation rate. The depreciation rates and subsequent useful life expected for the main categories of assets are reported in the specific sections of the notes to the financial statements.

The presence of any signs of impairment, or indications that assets might have lost value, shall be tested at the end of each reporting period.

Should there be indications of impairment of value, a comparison is made between the book value of the asset and the asset's recoverable value, i.e. the higher of the fair value, less costs to sell, and the value in use, which is the present value of the future cash flows generated by the asset. Any adjustments are posted to the income statement under item "210 - Net adjustments to/recoveries on property, plant and equipment". Periodic depreciation is reported in the same item.

Where the reasons for impairment cease to exist, a reversal is made, which shall not exceed the carrying amount that would have been determined (net of depreciation or amortization) had no impairment loss been recognised for the asset in prior periods.

The assets falling under IAS 2 are valued in the same way as inventories and, therefore, at the lower of the cost at initial recognition and the net realisable value, represented by the estimated sale price less the presumed costs for completion and the other costs necessary to make the sale. Any losses in value are posted to the income statement under item "210 - Net adjustments to/recoveries on property, plant and equipment". Periodic depreciation is not applied in this case.

d) derecognition criteria

Property, plant and equipment are derecognised from the balance sheet upon their disposal or when the assets are permanently withdrawn from use and no future economic rewards are expected as a result of their disposal. Gains and losses deriving from the disposal or sale of property, plant and equipment are calculated as the difference between the net sale price and the book value of the asset and are recorded in the income statement on the same date in which they are eliminated from the accounts.

7 Intangible assets

a) classification criteria

Intangible assets are identifiable, non-monetary assets without physical substance that are held for use over several years or indefinitely.

b) recognition criteria

They are recognised at cost, adjusted by any additional charges only if it is probable that the future economic rewards that are attributable to the asset will flow to the entity and if the cost of the asset can be measured reliably. The cost of intangible assets is otherwise posted to the income statement in the reporting period it was incurred.

Relevant intangible assets for the Group include:

- technology-related intangible assets including software licenses, internal capitalised costs, projects and licenses under development; in particular, internally incurred costs for software project development are intangibles recognised as assets if, and only if: a) the cost for development can be measured reliably, b) the entity intends and is financially and technically able to complete the intangible asset and either use it or sell it, c) the entity is able to demonstrate that the asset will generate future economic rewards. Capitalised costs for software development only include the expenses that are directly attributable to the development process.
- customer relationship intangible assets, represented by the value of assets under management/custody and core deposits in the event of business combinations.

Goodwill is posted among assets when it results from a business combination transaction in accordance with the principles of determination indicated by IFRS 3, as a residual surplus between the overall cost incurred for the business combination and the net fair value of the assets and liabilities purchased (i.e. companies or business units).

Should the cost incurred be less than the fair value of the assets and liabilities acquired, the difference (badwill) is directly recognised in the income statement.

c) measurement criteria and revenue recognition criteria

The cost of an intangible fixed asset with definite useful life is amortised on a straight-line basis over the useful life. An intangible asset with indefinite useful life should not be amortised but the book value is periodically assessed for impairment. Intangible assets arising from internally developed software and software purchased from third parties are amortised on a straight-line basis starting from completion and roll-out of the applications based on their useful life. Intangible assets reflective of customer relationships, which are taken over during business combinations, are amortised on a straight-line basis.

At each annual and interim reporting date, the recoverable amount of the assets is estimated where there is evidence of impairment. The amount of the loss recognised in the income statement is equal to the difference between the carrying value and the recoverable amount of the assets.

The goodwill recognised is not subject to amortisation, but its book value is tested annually (or more frequently) when there are signs of impairment. To this end, the cash flow generating units to which goodwill is attributable are identified. This unit represents the lowest level at which goodwill is monitored for internal management purposes and should not be larger than an operating segment as defined by IFRS 8.

The amount of the impairment loss is determined by the difference between the book value of goodwill and its recoverable amount, if lower. Said recoverable amount is the higher of the cash generating unit's fair value, less costs to sell, and its value in use. Value in use is the present value of future cash flows expected to arise from the years of operation of the cash generating unit and its disposal at the end of its useful life. The resulting value adjustments are posted to the income statement under item "220 - Net adjustments to (recoveries on) intangible assets". Periodic amortisation is reported in the same item. An impairment loss recognised for goodwill shall not be reversed in a subsequent period.

d) derecognition criteria

Intangible assets are derecognised from the balance sheet upon disposal and when no future economic rewards are expected.

8 Non-current assets held for sale and discontinued operations

a) classification criteria

Non-current assets/liabilities and groups of assets/liabilities for which the book value will presumably be recovered through sale rather than continuous use are classified in assets under item "120 - Non-current assets held for sale and discontinued operations" and in liabilities under item "70 - Liabilities associated with individual assets held for sale".

To be classified in these items, the assets or liabilities (or discontinued operation) must be immediately available for sale and there must be active and tangible programs such as to suggest that their disposal is highly probable within the short term.

b) measurement criteria and revenue recognition criteria

Following initial recognition, non-current assets held for sale and discontinued operations, with the relative liabilities, are valued at the lower of the book value and the fair value net of selling costs, with the exception of certain types of assets, such as, for example, all financial instruments falling under the scope of IFRS 9 - for which IFRS 5 specifically envisages that the measurement criterion of the reference accounting standard must be applied.

Amortisation/depreciation is discontinued at the date the non-current asset is classified as a non-current asset held for sale.

The valuation reserves relating to non-current assets held for sale, recorded as an offsetting entry to changes in value relevant for that purpose, are recognised in the statement of comprehensive income.

Income and costs relating to groups of assets and liabilities held for sale, net of the tax effect, are recognised in income statement item "320 - Profit (loss) after tax from assets held for sale and discontinued operations". Profit and loss associated with individual assets held for sale are recognised in the most appropriate income statement item.

In the case of discontinued operations, it is also necessary to disclose the same economic information in a separate item also for the previous years shown in the financial statements, thereby reclassifying the income statement accounts.

c) derecognition criteria

Non-current assets held for sale and discontinued operations are derecognised from the balance sheet upon disposal.

9 Current and deferred tax

a) recognition criteria

The effects of current and deferred taxation calculated in compliance with Italian tax laws are recognised on an accrual basis, in accordance with the measurement methods of the income and expenses which generated them, by administering the applicable tax rates.

Income taxes are posted to the income statement, excluding those relating to items directly credited or charged to equity.

Income tax provisions are determined on the basis of a prudential forecast of current tax expense, deferred tax assets and liabilities.

Current tax includes the net balance of current tax liabilities for the year and current tax assets with the Financial Administration, comprising tax advances, tax credit arising from prior tax returns and other withholding tax receivables. In addition, current tax includes tax credit for which reimbursement has been requested from the relevant tax authorities. Tax receivables transferred as a guarantee of own debts shall also be recorded within this scope.

Deferred tax assets and liabilities are determined on the basis of the temporary differences – with no time limits – between the value assigned to the assets or liabilities in accordance with statutory principles and the corresponding values for tax purposes, applying the so-called balance sheet liability method.

Deferred tax assets determined on the basis of deductible temporary differences are shown in the balance sheet for the extent to which they are likely to be recovered on the basis of the capacity of the company involved or all of the participating companies – as a result of exercising the option concerning "fiscal consolidation" – to generate a positive taxable profit on an ongoing basis, in light of a probability test.

For a description of the specific methodology of the probability test, please refer to the notes to these consolidated financial statements, paragraph 11.8 of Section 11 - Part B - Information on the balance sheet.

Recovery of deferred tax assets relating to goodwill, other intangible assets, and write-downs on loans (known as "transformable DTAs") is to be automatically considered probable because of existing regulations that provide for conversion into tax credits, if a statutory and/or tax loss is incurred.

In particular, art. 2 - paragraphs 55 *et seq.* - of Law Decree no. 225 of 29 December 2010 (and subsequent amendments) provides that:

- if the financial statements filed by the company show a statutory loss for the year, deferred tax assets (IRES and IRAP) relating to goodwill, other intangible assets, and loan write-downs will be converted into tax credits for a portion equivalent to the ratio between the statutory loss and the book value of shareholders' equity prior to said loss. The conversion into tax credits becomes effective from the date when the 'loss-incurring' separate financial statements are approved by the Shareholders' Meeting.
- if there is a tax loss for the year (that is, for IRAP purposes, a negative production value), the deferred tax asset relating to the deductions for goodwill, other intangible assets, and loan write-downs, which contributed to the formation of the tax loss (i.e., the negative production value) is transformed into a tax credit. Conversion will be effective as of the date of submission of the tax return for the year in which the loss is incurred.

As a result of the provisions contained in Law Decree no. 83 of 27 June 2015, the DTAs that can be converted ceased to increase starting from 2016. In particular:

1. for deferred tax assets relating to goodwill, other intangible assets newly recognised in financial statements from 2016 onwards are excluded from the regulations pursuant to art. 2 - paragraphs 55 *et seq.* - of Law Decree 225/2010;
2. for deferred tax assets relating to loan write-downs, from 2016 onwards, the accounting assumption for recognition in financial statements has ceased and these write-downs are entirely deductible in the accounting period. Note that the 2019 financial manoeuvre (Law no. 148 of 30 December 2018) recently repealed the full deductibility of loan write-downs recognised in financial statements (in 2018 for the MPS Group) upon first-time application of IFRS 9, exclusively following the adoption of the model for recognising the provision to cover expected losses (ECL), providing for the deductibility (IRES and IRAP) of these write-downs on a straight-line basis over 10 years. It was, however, explicitly stated that the relative DTAs recorded in financial statements as a result, although referring to write-downs on loans to customers, cannot be converted into tax credits pursuant to Italian Legislative Decree 225/2010.

Furthermore, note that MPS Group exercised the irrevocable option provided in Law Decree no. 59 of 3 May 2016 (and subsequent amendments) to maintain the right to convert DTAs relative to goodwill, other intangible assets, and loan losses into tax credits; thus, it is necessary to pay an annual fee for each year from 2016 onwards, if the conditions apply, until 2030.

Deferred tax assets on unused tax losses are recognised based on the same criteria as those used to recognise deferred tax assets on deductible temporary differences: therefore, they are shown in the balance sheet to the extent to which they are likely to be recovered on the basis of the capacity of the company to generate a positive taxable profit in the future. Since the existence of unused tax losses may be symptomatic of difficulties to generate positive taxable profit in the future, IAS 12 establishes that if losses have been posted in recent periods, suitable evidence must be provided to support the existence of such profit in the future. Furthermore, current Italian tax law allows for IRES losses to be carried forward indefinitely (art. 84, paragraph 1, of the Income Tax Act – TUIR); as a result, verifying the existence of future taxable profit against which to use such losses is not subject to any time limits.

Deferred tax assets and liabilities are calculated using the tax rates expected at the date on which the temporary differences are reversed, on the basis of the provisions in force at the reporting date. Any changes in tax rates or tax standards having a significant effect on deferred tax assets and liabilities that are issued or announced after the reporting date and before the publication authorisation date are treated as events after the balance sheet date that do not entail an adjustment pursuant to IAS 10, with the resulting disclosure in the notes.

Deferred tax assets and liabilities are posted to the balance sheet by offsetting each tax against the defined asset or liability to which it relates.

b) classification and measurement criteria

Deferred tax assets and liabilities are systematically measured to take account of any changes in regulations or tax rates and of any different subjective situations of Group companies. The charges which might result from already notified tax assessments or litigation pending with the tax authorities are instead recognised in "Net provisions for risks and charges".

With reference to fiscal consolidation of the parent company and participating subsidiaries, contracts have been stipulated to regulate offsetting flows in relation to the transfers of tax profits and losses. Such flows are determined by administering the applicable IRES tax rate to the taxable income of participating companies. The offsetting flow for companies that transfer tax losses – calculated as above – is posted by the consolidating to the consolidated company when and to the extent to which the consolidated company will transfer positive taxable income in tax periods subsequent to that in which the loss was recorded. Offsetting flows thus determined are posted as receivables and payables with companies participating in the fiscal consolidation, classified under other assets and other liabilities, offsetting item "300 - Tax expense (recovery) on income from continuing operations".

c) revenue recognition criteria

Where deferred tax assets and liabilities refer to components which affected the income statement, they are offset by income tax. When deferred tax assets and liabilities refer to transactions which directly affected equity without impacting the income statement (e.g. valuations of available-for-sale financial instruments or cash flow hedging derivatives), they are posted as an offsetting entry to shareholders' equity, involving the special reserves if required.

10 Provisions for risks and charges

Provisions for risks and charges: commitments and guarantees issued

The sub-item in question includes provisions for credit risk on commitments to disburse funds and guarantees given that fall under the scope of application of the impairment rules pursuant to IFRS 9, consistent with the provisions for "Financial assets measured at amortised cost" and "Financial assets measured at fair value through other comprehensive income". For more detailed information on the impairment model, please refer to the subsequent paragraph "Use of estimates and assumptions when preparing financial statements - Methods for calculating impairment on IFRS 9 financial instruments".

In addition, the sub-item also includes provisions for risks and charges established for other types of commitments and guarantees issued which, by virtue of their distinct characteristics, do not fall under the scope of application of the impairment rules pursuant to IFRS 9.

Provisions for risks and charges: post-employment benefits

The sub-item "Provision for risks and charges: b) post-employment benefits" includes appropriations, recognised based on IAS 19 "Employee Benefits", for the purpose of closing the technical deficit of defined benefit supplementary pension funds. Pension plans are either defined benefit or defined contribution schemes. The charges borne by the employer for defined contribution schemes are pre-determined; charges for defined benefit plans are estimated and shall take account of any shortfall in contributions or poor investment performance of defined benefit plan assets. For defined benefit plans, the actuarial values required by the application of the above standard are determined by an external actuary in accordance with the Projected Unit Credit Method. Actuarial gains and losses, defined as the difference between the book value of the liability and the present value of commitments at the end of the year, are recognised for the full amount in the statement of comprehensive income, under the item "Valuation reserves". For further details, please refer to the following paragraph "16 - Other information - Severance pay and other employee benefits".

Provisions for risks and charges: other provisions

The sub-item "Provisions for risks and charges: c) other provisions" includes allocations made for estimated expenditures for legal or implicit obligations deriving from past events. These expenditures may be contractual in nature, such as the allocations for the incentive system for employees and leaving incentives, indemnities envisaged in contractual clauses upon occurrence of certain events, or for compensation and/or restitution, such as those against presumed losses for actions filed against the Group, including claw-back actions, estimated expenses in relation to customer claims for securities brokerage, and tax disputes.

Provisions for risks and charges consist of liabilities with uncertain amounts or payment dates and are recognised in the financial statements if:

- there is a current (legal or implicit) obligation resulting from a past event;
- an outflow of resources producing economic rewards is likely to be necessary in order to settle the obligation; and
- a reliable estimate can be made of the likely future disbursement.

The amount recognised as a provision represents the best estimate of the financial disbursement necessary to fulfil the obligation existing at the reporting date and reflects the risks and uncertainties inherent in the events and situations reviewed. Whenever the time element is meaningful, the provisions are discounted using the current market rates. The provision and discounting effect are recorded in the income statement under item "200 - Net provisions for risks and charges", as is the increase in the provision due to the passage of time. Provisions are reviewed at each reporting date and adjusted to reflect the best current estimate. When an outflow of resources, intended to produce economic benefits in fulfilment of an obligation, becomes unlikely or when the obligation has lapsed, the provision is reversed.
In addition, each provision is used solely for the expenditures for which it was originally established.

No provision is shown for contingent and unlikely liabilities, but information is provided in the notes to the financial statements, except in cases where the probability of an outflow of resources to settle the amount is remote or the amount is not significant.

11 Financial liabilities measured at amortised cost

a) classification criteria

Item "10 - Financial liabilities measured at amortised cost" includes the sub-items "a) deposits from banks", "b) deposits from customers", and "c) securities issued" and comprises the various types of funding (both interbank and from customers) and funds raised through certificates of deposit and outstanding bonds, net of any repurchase. Debt securities issued include all securities that are not subject to "natural" hedging through derivatives and that are classified as liabilities measured at fair value.

This item also incorporates payables booked by the lessee in relation to any stipulated finance lease transactions, as well as repurchase agreements for funding and securities lent against cash guarantees that are fully available to the lender. Finally, operating payables related to the provision of financial services, as defined in the Consolidated Law on Banking and Consolidated Law on Finance, are included in this item.

b) recognition criteria

These financial liabilities are initially recognised upon receipt of the amounts collected or at the time of issuance of debt securities based on their fair value, which is generally equal to the amount received or the issue price, increased by any additional income/expense directly attributable to the individual funding or issuing transaction and not reimbursed by the creditors. Internal administrative costs are excluded.

Repurchase agreement transactions with the obligation to repurchase are posted as funding transactions for the spot amounts collected.

Should the requirements provided for by IFRS 9 for the separate recognition of embedded derivatives be met in the case of structured instruments, they are separated from the host contract and reported at fair value as a trading asset or liability. Instead, the host contract is recognised at amortised cost.

c) measurement criteria and revenue recognition criteria

Following initial recognition, financial liabilities issued, net of any reimbursements and/or repurchases, are valued at amortised cost using the effective interest method. Short-term liabilities for which time effect is immaterial are an exception, and are recognised at the amount collected. Interest is charged to the income statement under item “20 - Interest expense and similar charges”.

Moreover, funding instruments that have an effective hedging relationship are assessed based on the rules for hedging transactions.

d) derecognition criteria

Financial liabilities are derecognised upon maturity or extinction. Derecognition also occurs if previously issued securities have been repurchased. The difference between the book value of the liabilities and the amount paid to repurchase them is recorded in the income statement in item “100 - Gains (losses) on disposals or repurchases”. A new placement in the market of own securities after their repurchase is considered as a new issue and posted at the new price of placement, with no impact on the income statement.

In compliance with the provisions of IAS 32, any potential commitment to buy treasury shares as a result of the issuance of put options is shown in the balance sheet under financial liabilities, offset by the reduction of shareholders’ equity in the amount of the current value of the contractual repayment sum. At the end of 2018, there were no put options sold on treasury shares of the Parent Company.

12 Financial liabilities held for trading

a) classification criteria

This item includes:

- financial liabilities issued with the intention to repurchase them in the short term;
- liabilities that are part of a jointly managed portfolio of financial instruments for which there is a proven strategy to obtain profits in the short term;

- derivative contracts with a negative fair value not designated as hedging instruments, including both those embedded in complex financial instruments that have been unbundled from liabilities measured at amortised cost, as well as those related to assets/liabilities measured at fair value through profit and loss.

Moreover, liabilities that arise from technical overdrafts generated by securities trading activities are included.

b) recognition criteria

Financial liabilities held for trading are initially recognised on the settlement date for cash liabilities and on the subscription date for derivative contracts.

Upon initial recognition, they are measured at fair value, which usually corresponds to the amount collected net of any transaction costs or income directly attributable to the instrument itself, which are directly posted to the income statement.

c) measurement criteria

Following initial recognition, financial liabilities held for trading are measured at fair value, every changes in fair value are recognised in the income statement.

For a description of criteria used to determine the fair value of financial instruments, please see section "A.4.5 Fair Value Hierarchy" of this Part A.

d) revenue recognition criteria

Profits and losses arising from any changes in the fair value of financial liabilities and/or their sale are recognised in the income statement under item "80 Net profit/loss from trading", including those for derivatives payable associated with the fair value option.

e) derecognition criteria

Financial liabilities are derecognised when the contractual rights on the related cash flows expire or when the financial liabilities are sold with the substantial transfer of all related risks and benefits.

13 Financial liabilities measured at fair value

a) classification criteria

According to IFRS 9, this category includes financial liabilities for which, upon initial recognition, the option of measurement at fair value through profit and loss was chosen; this option is allowed when:

1. the fair value designation makes it possible to eliminate or significantly reduce a lack of standardisation in the measurement or recognition that would otherwise result from the valuation of assets or liabilities or the recognition of the related profits and losses on different bases (known as "accounting mismatch"); or
2. the management and/or measurement of a group of financial instruments at fair value through profit and loss is consistent with an investment or risk management strategy documented as such by senior management; or
3. a host instrument embeds a derivative which significantly modifies the cash flows of the host and should otherwise be unbundled.

The option to designate a liability at fair value is irrevocable, is carried out on an individual financial instrument, and does not require the same application to all instruments having similar characteristics.

However, it is not permitted to use the fair value designation for only one portion of a financial instrument, attributable to a single risk component to which the instrument is subject.

The Parent Company has exercised this option in relation to case 1, classifying under this item financial liabilities that are subject to "natural hedging" through derivative instruments. In section 16 "Other information", a specific paragraph is included to provide insight into the hedging management methods through the adoption of the fair value option.

b) recognition criteria

Upon initial recognition, these financial liabilities are measured at fair value, which usually corresponds to the amount collected net of any transaction costs or income directly attributable to the instrument itself, which are directly posted to the income statement.

The fair value of any financial liabilities issued at conditions other than market conditions is calculated by using a specific valuation technique, and the difference with respect to the consideration received is booked directly to the income statement only when the conditions provided for by IFRS 9 have been met, i.e. when the fair value of the instrument issued can be established by using either quoted market prices for similar instruments or by a valuation technique based solely on market data. Should these conditions not apply, the fair value used for valuations after the issuance of instruments is cleared of the initial difference between the fair value upon issuance and the consideration received. This difference is recognised in the income statement only if it ensues from changes in the factors (including time), which market traders would consider for price determination.

c) measurement criteria and revenue recognition criteria

Following initial recognition, financial liabilities are measured at fair value. Gains and losses arising from any changes in the fair value of these liabilities are recognised:

- in item "120 - Valuation reserves", for the portion related to the change in fair value that is attributable to changes in the issuer's creditworthiness, unless this creates or increases an accounting mismatch in the profit (loss) for the year, in which case the entire change in fair value of the liability must be charged to the income statement; Effects associated with the change in own creditworthiness are recorded in the statement of comprehensive income, net of the related tax effect, along with the other income components that will not be reversed to the income statement. The amount charged to the specific equity reserve will never be reversed to the income statement, even if the liability expires or lapses; in this case, the cumulative gain (loss) in the specific valuation reserve is reclassified to another shareholders' equity item ("150 - Reserves");
- in the income statement under item "110 - Net profit (loss) from financial assets and liabilities measured at fair value through profit and loss", for the portion of the fair value change not attributable to changes in own creditworthiness.

For a description of criteria used to determine the fair value of financial instruments, please see section "A.4.5 Fair Value Hierarchy" of this Part A.

e) derecognition criteria

Financial liabilities are derecognised when the contractual rights on the related cash flows expire or when the financial liabilities are sold with the substantial transfer of all related risks and benefits.

For financial liabilities represented by securities issued, derecognition also occurs if previously issued securities have been repurchased. The difference between the book value of liabilities and the amount paid to purchase them is recorded in the income statement under item "110 - Net profit/loss from financial assets and liabilities measured at fair value through profit and loss", with the exception of profits/losses associated with the change in own creditworthiness, which continues to be recognised in an equity reserve, as described above. A new placement in the market of own securities after their repurchase is considered for accounting purposes as a new issue and posted at the new price of placement, with no impact on the income statement.

14 Foreign-currency transactions

a) recognition criteria

Upon initial recognition, foreign-currency transactions are recognised in the currency of account using the foreign-exchange rates on the date of the transaction.

b) revenue classification, measurement, recognition and derecognition criteria

Financial statement entries denominated in foreign currencies are valued at the end of each reporting period as follows:

- monetary entries are converted using the exchange rate on the closing date;
- non-monetary entries valued at historical cost are converted using the exchange rate on the date of the transaction;
- non-monetary entries that are measured at fair value in a foreign currency are translated at the closing date rate.

Any exchange-rate differences resulting from the settlement of monetary elements, or from the conversion of monetary elements at rates other than those used for initial conversion or conversion in the previous financial statements, are posted to the income statement for the period in which they arise.

When a profit or a loss on a non-monetary element is recognised in equity, the exchange-rate difference in relation to said element is also posted to equity. However, when a profit or a loss is posted to the income statement, the relative exchange-rate difference is also posted there.

The accounting position of foreign branches with different operating currencies is converted into Euros by using the exchange rates at the end of the reporting period. Any exchange rate differences attributable to investments in such foreign branches, and those resulting from the conversion into Euros of their accounting position, are recognised in equity reserves and transferred to the income statement only in the year when the investment is disposed of or reduced.

15 Insurance assets and liabilities

The scope of consolidation does not include any insurance companies.

16 Other information

a) Other financial statement items

Cash and cash equivalents

This item includes currencies that are legal tender, including foreign banknotes and coins and demand deposits with the central bank of the country or countries in which the Group operates through its own companies or branches, with the exception of the mandatory reserve.

The item is posted at face value. For foreign currencies, the face value is converted into Euros at year-end exchange rate.

Change in value of macro-hedged financial assets and liabilities

These items show, respectively, the net amount, whether positive or negative, of changes in value of macro-hedged assets and the net amount, whether positive or negative, of changes in value of liabilities macro-hedged against interest rate risk, pursuant to IAS 39, paragraph 89. For more detailed information, please refer to the discussion on hedging derivatives (paragraph 4 "Hedging transactions" above).

Other assets

This item shows assets not attributable to the other items on the asset side of the balance sheet. It may include, for example:

- gold, silver and precious metals;
- receivables associated with the provision of non-financial goods or services and accrued income other than that which is capitalised on the related financial assets, including those resulting from contracts with customers pursuant to IFRS 15;
- any inventories according to the definition of IAS 2, excluding those classified as inventories of property, plant and equipment;
- tax credits other than those recognised under item "110 - Tax assets";
- improvements and incremental expenses incurred on third-party real estate other than those attributable to item "90 - Property, plant and equipment" and therefore not independently identifiable and separable.

The costs in the latter bullet point are posted to item "130 - Other assets", since the user company exercises control of the assets for the purpose of the tenancy agreement and can obtain future economic benefits from them. Said costs are posted to item "230 - Other operating expenses (income)" in the income statement according to the shorter of the period in which the improvements and incremental expenses can be used and the remaining term of the contract, including the renewal period, where applicable.

Other liabilities

This item shows liabilities not attributable to other items on the liability side of the balance sheet.

It includes, for example:

- payment agreements that must be classified as debit entries according to IFRS 2;
- debit entries connected with payment for provision of non-financial goods and services;
- accrued liabilities other than those to be capitalised for the respective financial liabilities, including those deriving from contracts with customers pursuant to IFRS 15;
- sundry tax liabilities other than those recognised under item "60 - Tax liabilities", associated, for example, with substitute tax assets.

Severance pay and other employee benefits

Employee severance pay is defined as a "benefit subsequent to the employment relationship", in accordance with IAS 19. Following the supplementary pension reform, pursuant to Italian Legislative Decree no 252 of 5 December 2005, new rules were introduced for severance pay accrued effective 1 January 2007, which is recognised for purposes of the relative accounting treatment. In particular, for companies with an average of at least 50 employees during 2006, the portions of severance pay accrued starting from 1 January 2007 are considered a "defined contribution plan", both for the case in which the employee opts for supplementary social security, as well as the case in which the employee opts for the allocation to the INPS treasury fund; the charge, recognised under personnel costs, is limited to the contribution established by regulations envisaged by the Italian Civil Code, without applying any actuarial methodology.

Conversely, the severance pay accrued as at 31 December 2006 continues to be considered a "defined benefit plan". In general, "post-employment plans" - which include severance pay as well as pension funds - are divided into the two categories "defined benefit" or "defined contribution", based on their characteristics.

In particular, for defined contribution plans, the cost is represented by contributions accrued during the year, given that the company has only the obligation to pay the contractually established contributions to a fund and, consequently, has no legal or implicit obligation to pay, in addition to the contribution, additional amounts if the fund does not have sufficient assets to pay all the benefits to employees.

For defined benefit plans, the actuarial and investment risk, that is, the risk of a shortfall in contributions or poor investment performance of the assets in which the contributions are invested, is borne by the company. The liability is calculated by an external actuary based on the "Projected Unit Credit method". Based on this method, future disbursements must be estimated based on demographic and financial assumptions, to be discounted to consider the time that will pass before the actual payment and to be adjusted for the ratio between the years of service accrued and the theoretical seniority estimate at the time the benefit is paid. For discounting purposes, the rate used is determined with reference to the market yield of primary corporate bonds taking into account the average residual duration of the liability, weighted according to the percentage of the amount paid and advanced, for each maturity, compared to the total to be paid and advanced up to the final settlement of the full bond.

The actuarial value of the liability thus calculated must then be adjusted for the fair value of any assets servicing the plan (net liabilities/assets). Actuarial gains and losses that arise as a result of adjustments to the previous actuarial assumptions formulated, following actual historical data or due to changes in the actuarial assumptions, entail a re-measurement of net liabilities and are offset against an equity reserve (item "120 - Valuation reserves") and are thus presented in the statement of comprehensive income". The change in the liability resulting from a change or reduction in the plan is recorded in the income statement as a profit or loss. More precisely, the specific case of a change applies if a new plan is introduced or an existing plan is withdrawn or modified. Instead, there is the case of a reduction due to a significant negative variation in the number of employees included in the plan, such as, for example, redundancy plans for redundant workers (access to the Solidarity Fund).

The Projected Unit Credit method, described above, is also used to measure long-term benefits, such as seniority bonuses for employees. Contrary to that which was described for defined benefit plans, actuarial gains and losses associated with the measurement of long-term benefits are immediately recognised in the income statement.

Valuation reserves

This item includes valuation reserves relating to the equity securities measured at fair value through other comprehensive income, financial assets (other than equity securities) measured at fair value through other comprehensive income, hedges on foreign investments, cash flow hedges, exchange rate differences for conversion, "individual assets" and groups of assets held for sale, the portion of valuation reserves for investments measured according to the equity method, actuarial gains (losses) on defined benefit plans, and profits/losses for changes in own creditworthiness in relation to liabilities under the fair value option. Valuation reserves recorded in application of special revaluation laws are also included, even if they are subject to tax "relief".

Share capital and Treasury shares

This equity item includes the amount of issued shares net of any capital subscribed but not yet paid at the reporting date. The item is shown including any treasury shares held by the Group. Treasury shares are recognised in financial statements as a negative component of shareholders' equity.

The original cost of repurchased treasury shares and the profits or losses from their subsequent sale are recognised as changes in shareholders' equity. Transaction costs for a capital transaction, such as an increase in share capital, are recorded as a reduction in shareholders' equity, net of any related tax benefits. Dividends on ordinary shares are recorded as a reduction of shareholders' equity in the year in which the Shareholders' Meeting approved their distribution.

Non-controlling interests

This item represents the portion of consolidated net equity attributable to minority shareholders, calculated based on the "equity ratios". The amount is calculated net of any treasury shares repurchased by the consolidated companies.

b) Other significant accounting practices

Revenue from Contracts with Customers (IFRS 15)

Revenues are gross inflows of economic benefits during the accounting period in the form of consideration for the obligation to transfer to the customer a wide range of goods and services considered part of ordinary business activities.

The IFRS 15 standard, "Revenue from Contracts with Customers", introduces a new model for recognising revenues deriving from contractual obligations with customers, which is based on the concept of a transfer of control and, thus, not only on the concept of the transfer of risks and benefits.

First of all, revenues deriving from contracts with customers are recorded in financial statements only if the relative contract is identifiable, that is:

- the parties have approved the contract and are committed to its execution;
- the rights and obligations of the parties can be clearly identified in the contract;
- the payment terms for the transferred goods and services can be identified;
- the contract has commercial substance, in the sense that it impacts the entity's cash flows;
- it is considered likely that the consideration will be collected upon transfer of the assets and provision of the services. For this assessment, only the customer's ability and intention to pay the amount due should be considered.

After the contract's consideration has been allocated to individual obligations resulting from the contract, revenue is recognised in the income statement when the customer obtains control of the goods or services promised (or when the performance obligation may be deemed satisfied) and can be:

- at a specific point in time (e.g., when the entity fulfils the obligation to transfer the promised good or service to the customer);
- over a period of time (e.g., as the entity fulfils the obligation to transfer the promised good or service to the customer);

For purposes of determining the revenue, the consideration is defined as the amount the entity is entitled to in exchange for the transfer of goods and services and may include fixed amounts, variable amounts, or both. Specifically, the contract's consideration may vary based on reductions, discounts, reimbursements, incentives, performance bonuses, or other similar elements. The consideration may also vary depending on whether a future event occurs (as in the case of a fee linked to performance objectives).

The methods suggested by IFRS 15 for estimating the variable portion of remuneration are:

- the expected value method, i.e., the weighted sum of the amounts in a range of possible considerations (for example, the company has many contracts with similar characteristics);
- the most likely amount method, or the most likely in a range of possible considerations (for example, the company receives a performance bonus or does not receive it).

If there is an element of variable consideration, revenue is recognised in the income statement when it is possible to reasonably estimate the revenue and only if it is highly probable that this consideration will not be subsequently reversed from the income statement, whether in full or for a significant part. In the event of a high prevalence of factors of uncertainty linked to the nature of the consideration, it will only be recognised at the moment this uncertainty is resolved. In any case, the estimated part of the transaction price must be updated at the end of each reporting period. The presence of financial components is also considered in determining the price, if considered relevant.

In the case of commercial agreements that envisage the recognition of variable non-cash consideration to the entity, linked to the achievement of specific targets and that can be used for services rendered by the commercial partner, the Group recognises these revenues in the income statement in the year in which they accrue, at a value that is not more than the fair value of services effectively rendered by the partner.

If the entity receives from the customer a consideration that provides for the reimbursement, to the customer, in whole or in part, of the revenue received, a refund liability must be recognised against the expected future repayments. The case may occur, for example, when the customer has a right of withdrawal for the asset or if the contract includes a claw-back clause. This standard also applies to loyalty programmes. The liability for future redemptions is equal to the amount of the consideration received (or receivable) which it is not expected that the entity is entitled to (i.e., amounts not included in the transaction price). The liability for future redemptions (as well as the corresponding change in the transaction price and, consequently, the liability arising from the contract) must be updated on the closing date of each reporting period to take account of changes in circumstances.

For contracts for the placement of third-party products, which provide for the reimbursement of part of the commissions received in the event of early termination by the customer and in the presence of claw-back clauses linked to the failure to achieve target commission volumes, the Group quantified this liability based on historical trends for early repayments and reimbursements to customers. The monitoring and forecasting of volumes of the collected and reversed fees enable the liability to be remeasured at each reporting date. The model that is used is based on the most likely amount method.

In addition, the Group has a credit card loyalty programme in place, according to which reward points are granted to customers based on the volumes transacted; reward points are redeemed through prizes purchased mainly from external suppliers. Reward points granted to customers who subscribe to a product/service of the Group entails that recognition of the portion of revenue attributable to the recognised reward points in the income statement is suspended, as an offsetting entry to other liabilities. For this purpose, the transaction price of the performance obligation associated with the reward points granted is estimated, using a model based on the fair value of the reward points, calculated using several factors including: redemption forecasts for the reward points accrued by customers and the cost related to reward purchases. The amount of consideration that can be allocated to the reward points is recognised as a refund liability; it is released to the income statement only when the obligations related to the reward points have been fulfilled, i.e., when they are effectively redeemed by the customer.

Finally, costs related to obtaining and fulfilling contracts with customers are recorded in the income statement in the periods in which the corresponding revenues are recognised; costs that do not have direct association with revenues are immediately recognised in the income statement.

Revenue and costs for financial instruments

With reference to the income and charges relating to financial assets/liabilities, note that:

a) interest is booked pro rata temporis on the basis of contractual interest rate or the effective interest rate in the event of application of the amortised cost; negative income components accrued on financial assets are booked to item "20. Interest expenses and similar charges"; the positive income components accrued on financial liabilities are booked to item "10. Interest income and similar revenues". Interest income (or interest expense) also includes the spreads or margins, positive (or negative), accrued up to the reporting date, in relation to financial derivative contracts:
   - hedging assets and liabilities that generate interest;
   - classified in the balance sheet in the trading book, but operationally linked to financial assets and/or liabilities measured at fair value (fair value option);
   - connected operationally with assets and liabilities classified in the trading book and which entail the settlement of differentials or margins over several maturities;
b) interest on arrears is posted to the income statement only upon actual collection;
c) dividends are shown in the income statement upon resolution of their payout, i.e. when their payment is due;
d) commissions for service income are posted in the period when said services were rendered, on the basis of existing contractual agreements. The commissions considered in the amortised cost for purposes of calculating the effective interest rate are recorded in interest;
e) gains and losses following initial recognition at fair value, as determined by the difference between the transaction price and the fair value of the instrument, are booked to the income statement when the transaction is recorded if the fair value can be determined with reference to parameters or recent transactions observable on the same market in which the instrument is traded; otherwise, they are distributed over time, taking into account the duration and the nature of the instrument.
f) gains and losses from the sale of financial instruments are recognised in the income statement when the sale is finalised, with the relative transfer of risks and benefits, based on the difference between the consideration received and the book value of the instruments themselves. Portfolio management fees are recognised based on the duration of service.

Share-based payments

These are payments to employees, as consideration for work performed, settled with equity instruments, which consist, for example, in assigning:

- rights to subscribe paid share capital increases (stock options);
- rights to receive shares upon achieving certain objectives.

Given the difficulties of directly estimating the fair value of employment services received as an offsetting entry to the assignment of shares, the value of the services received can be measured indirectly, using as a reference the fair value of equity instruments at the date they are assigned. The fair value of payments settled by issuing shares is recognised according to the criterion of the service provided, in the income statement item "190 a) - Personnel expenses" as an offsetting entry to an increase in the item "150 - Reserves".

In particular, when the assigned shares cannot immediately be used by the employee, but rather are available only after the employee has completed a specific period of service, the company recognises the cost as consideration for the service rendered throughout the accrual period for these conditions ("vesting period").

Business combinations

A business combination is defined as the transfer of control of a company (or of a group of assets and integrated goods, conducted and managed as a unit). For the definition of control, please refer to Section 3 "Scope of consolidation" of this part A of the notes.

A business combination may give rise to an investment link between the acquiring Parent Company and the acquired subsidiary. In these cases, the acquiring entity applies IFRS 3 to the consolidated financial statements while posting the acquired interest to its separate financial statements as an equity interest in a subsidiary, consequently applying the "Separate financial statements" accounting standard.

A business combination may also provide for the acquisition of the net assets of another entity, including any goodwill, or the acquisition of the share capital of another entity (e.g., mergers, splits, acquisitions of business units). Such a business combination is not an investment link like the one between a parent company and a subsidiary, and therefore in these cases IFRS 3 is also applied to the acquiring entity's separate financial statements.

Business combinations are accounted for using the purchase method, which requires: (i) the identification of the acquirer; (ii) the determination of the cost of the business combination; and (iii) the allocation of the acquisition price ("Purchase Price Allocation").

Identification of the acquirer

IFRS 3 requires that an acquirer is identified for all business combinations, identified as the party that obtains control over another entity, understood as the power to set financial and management policies of the entity in order to receive benefits from its activities. In the case of business combination transactions that result in the exchange of equity interests, identification of the acquirer must consider factors such as: (i) the number of new ordinary voting shares issued with respect to the total number of ordinary voting shares that will constitute the share capital of the existing company after the combination; (ii) the fair value of the entities participating in the business combination; (iii) the composition of the new corporate bodies; and (iv) the entity that issues the new shares.

Determination of the cost of the business combination

The consideration paid in a business combination is equal to the fair value, on the purchase date, of assets sold, liabilities incurred, and equity instruments issued by the acquirer in exchange for obtaining control of the acquired entity. The consideration that the acquirer transfers in exchange to the acquired entity includes any assets and liabilities resulting from an agreement on "contingent consideration", to be recognised at the fair value on the acquisition date. Changes to the consideration transferred are possible if they result from additional information on events and circumstances that existed at the acquisition date and may be recognised within the measurement period for the business combination (i.e., within twelve months from the acquisition date, as specified below). Any other changes deriving from events or circumstances subsequent to the acquisition, such as consideration recognised to the seller linked to the achievement of a certain profit performance, must be recorded in the income statement.

Costs related to the acquisition, which include brokerage fees, consulting, legal, accounting, and professional fees, as well as general administrative costs, are recorded in the income statement as they are incurred, with the exception of the costs of issuing shares and debt securities, which are recognised on the basis of the provisions of IAS 32 and IFRS 9.

Purchase Price Allocation

According to the purchase method, at the acquisition date, the acquirer must allocate the cost of the business combination ("Purchase Price Allocation") to the identifiable assets acquired and to the liabilities assumed measured at their fair value on that date, as well as recognising the value of non-controlling interests of the acquired entity. Therefore, it is necessary to draw up a balance sheet for the acquired entity, at the acquisition date, measuring at fair value the identifiable assets acquired (including any intangible assets not previously recognised by the acquired entity) and identifiable liabilities assumed (including contingent liabilities).

For each business combination, any non-controlling interests may be recognised at fair value or in proportion to the share of identifiable net assets of the acquired company.

In addition, if control obtained through subsequent acquisitions (business combinations carried out in several phases), the previously held equity interest is measured at fair value at the acquisition date and the difference compared to the previous book value must be charged to the income statement.

Hence, at the acquisition date, the acquirer must determine the difference between:

- the sum of:
  - the cost of the business combination;
  - the amount of any non-controlling interests as described above;
  - the fair value of any equity interests previously held by the acquirer;

- the fair value of identifiable net assets acquired, including contingent liabilities.

Any positive difference must be recognised as goodwill; conversely, any negative difference must be charged to the income statement of the entity resulting from the business combination as profit deriving from the purchase at favourable prices (negative goodwill or badwill), after having performed a new measurement aimed at ascertaining the correct process of identifying all assets acquired and liabilities assumed.

The fair value of assets and liabilities must be definitively identified within the maximum term of twelve months from the acquisition date (measurement period).

Once control has been obtained and the purchase method described above has been applied, any further increase or decrease in the equity interest in a subsidiary in which control is maintained is recognised as a transaction between shareholders. Therefore, the book values of the shareholders' equity of the Group and third parties must be adjusted to reflect changes in equity interests in the subsidiary. Any difference between the value for which non-controlling interests are adjusted and the fair value of the consideration paid or received must be recognised directly in the Group's shareholders' equity.

If there is an event which results in the loss of control, an entry is made to the income statement equivalent to the difference between (i) the sum of the fair value of the consideration received and the fair value of the residual equity interest held and (ii) the previous book value of the assets (including goodwill) and liabilities of the subsidiary and any third-party shareholders' equity. The amounts previously recognised in the statement of comprehensive income (such as valuation reserves for financial assets sold that are measured at fair value through other comprehensive income) must be accounted for in the same way as required if the parent company had directly sold the assets or related liabilities (by reclassification in the income statement or shareholders' equity).

The fair value of any equity interest held in the former subsidiary must be considered equal to the fair value upon initial recognition of a financial asset according to IFRS 9, or, where appropriate, equal to the cost at the time of initial recognition in an associate company or a jointly controlled entity.

Combinations of jointly controlled businesses

Business combinations between entities under common control do not fall under IFRS 3. In the absence of a standard of reference, as indicated in Section 1 "Declaration of conformity with international accounting standards", these transactions are posted to the accounts by making reference to preliminary guidance from the Italian Association of Auditors (Orientamenti Preliminari, OPI no. 1 "Accounting treatment of business combinations of entities under common control in separate and consolidated financial statements" and OPI no. 2 "Accounting treatment of mergers in financial statements"). These guidelines consider the economic significance of business combinations on the basis of cash flow impact on the Group. Transactions, which had no significant influence on future cash flows, were recognised using the pooling of interest method. Therefore, in the financial statements of the seller, the difference between the sale price and the book value is posted as an increase/decrease in equity. Exclusively in the event of acquisition or transfer of a controlling interest, the equity investment is posted at acquisition cost in the acquirer/transferee's financial statements for the year.

Amortised cost

The amortised cost of financial assets or liabilities is the value at which they were measured upon initial recognition, net of principal repayments, plus or minus overall amortisation calculated using the effective interest method, on the differences between the initial value and that at maturity and net of any permanent impairment.

The effective interest rate is the rate which equates the present value of a financial asset or liability with the future contractual payments or collection cash flows until maturity or a subsequent price recalculation date. To calculate the current value, the effective interest rate is applied to estimated future collection or payment flows over the entire useful life of the financial assets or liabilities – or for a shorter period if certain conditions are met (for example, a change to market rates).

Following initial recognition, the amortised cost makes it possible to allocate income and costs reducing or increasing the instrument over its entire expected life by means of the amortisation process. The determination of the amortised cost is different depending on whether the financial assets/liabilities are subject to valuation at a fixed or variable rate.

For fixed-rate instruments, future cash flows are quantified based on the known interest rate during the term of the financing. For floating-rate financial assets/liabilities, whose variability is not known beforehand (because, for example, it is tied to an index), cash flows are determined on the basis of the last known rate. At every rate review date, the amortisation schedule and the actual rate of return over the entire useful life of the instrument, i.e. until maturity, are recalculated. The adjustment is recognised as cost or income in the income statement.

Amortised cost is assessed for financial assets measured at amortised cost and for those as fair value through other comprehensive income as well as financial liabilities measured at amortised cost.

Financial assets and liabilities traded at market conditions are initially recognised at their fair value, which normally corresponds to the amount disbursed or paid inclusive - in the case of instruments valued at amortised cost - of transaction costs and commissions directly attributable to the assets and liabilities.

Transaction costs include marginal internal and external costs and income attributable to the issue, acquisition or sale of a financial instrument that cannot be charged to the customer. These expenses/fees, which must be directly attributable to the individual financial assets or liabilities, impact the original effective return and make the effective interest rate associated with the transaction different from the contractual interest rate. Indistinguishable costs related to several transactions and components related to events that may occur during the life of the financial instrument, but which are not certain at the time of the initial definition, are excluded, such as: fees for retrocession, for failure to use, and for early repayment.

Calculation of the amortised cost does not include costs that the Group must incur regardless of the transaction (e.g., administrative, stationery and advertising costs), which, even though they are specifically attributable to the transaction, occur in the normal practice of managing loans (e.g., disbursement activities), as well fees for services collected following the completion of structured finance activities that would have been collected in any case, regardless of the subsequent financing of the transaction (e.g., facility and arrangement fees).

With particular reference to loans, fees paid to distribution channels (agents, advisors, brokers) and the fees paid for consultancy/advisory in organising and/or participating in syndicated loans are considered costs attributable to the financial instrument, while revenues considered in the calculation of the amortised cost are those for participation in syndicated transactions and brokerage commissions linked to fees recognised from brokerage firms.

With regard to securities not measured at fair value through profit and loss, transaction costs include commissions for contracts with brokers operating on Italian stock markets and commissions paid to intermediaries operating on foreign stock and bond markets defined on the basis of commission tables.

For securities issued, commissions for bond placement paid to third parties, amounts paid to stock exchanges, and fees paid to the auditors for activities performed for each individual issue are considered in the calculation of amortised cost, while commissions paid to rating agencies, legal expenses and consultancy/audit fees for the annual update of the prospectuses, as well as costs for the use of indices and commissions that originate during the life of the bond are not considered in the amortised cost calculation.

Compared to the general approach, the effective interest rate must be calculated differently for those financial instruments measured at amortised cost or at fair value through other comprehensive income, purchased or originated, which at the time of their initial recognition are already credit impaired (known as PCI or OCI).

The criterion for measurement at amortised cost does not apply for hedged financial assets/liabilities for which changes in fair value for the hedged risk are charged to the income statement. However, the financial instrument is re-measured at amortised cost if the hedge is suspended, the moment from which the previously recognised changes in fair value are amortised, by calculating a new effective interest rate that considers the loan value adjusted for the fair value of the hedged element, until the expiry of the hedge that was originally envisaged. Moreover, as mentioned above in the paragraphs relating to financial assets and liabilities measured at amortised cost, the amortised cost measurement does not apply to financial assets/liabilities whose short duration makes the economic effect of discounting negligible or for loans without a defined maturity or revocation.

Purchased or originated credit impaired (POCI) financial assets

These are instruments whose credit risk is already very high and that, at the time of acquisition, are purchased at highly discounted price with respect to their initial disbursement; for this reason, they are considered already impaired (credit impaired) at the time of first recognition in the financial statements. These assets are classified, according to the business model with which the asset is managed, in item “30 - Financial assets measured at fair value through other comprehensive income” or item “40 - Financial assets measured at amortised cost”.

In relation to POCIs, there are two different types:

- instruments or portfolios of non-performing loans acquired on the market (Purchased Credit Impaired – “PCI”);
- credits disbursed by the Group to customers characterised by a very high credit risk (Originated Credit Impaired – “OCI”).

Impaired financial assets acquired through a business combination pursuant to IFRS 3 fall within the scope of application of IFRS 9 PCI.

Note that these financial assets are initially recorded in Stage 3, without prejudice to the possibility of reclassifying them to performing loans (Stage 2), for which an expected loss will continue to be recorded according to an impairment model based on lifetime ECL, as described below.

With reference to the initial recognition, measurement and derecognition criteria, please refer to the discussion corresponding to the asset items into which they can be classified, with the exception of what is specified below in relation to procedures for calculating amortised cost and impairment.

In detail, the amortised cost and consequently the interest income are calculated using an effective interest rate adjusted for the credit (known as "credit-adjusted effective interest rate" or CEIR). For calculating the effective interest rate, the aforementioned credit adjustment entails including the expected credit losses over the entire residual duration of the asset in the estimate of future cash flows. For the purposes of calculating the CEIR, the Group uses contractual cash flows net of expected losses.

In addition, the assets in question envisage a particular treatment for the impairment process, as they are always subject to the calculation of an expected loss over the life of the financial instrument (lifetime ECL). After initial recognition, the profit or loss deriving from any change in expected losses over the life of the loan compared to the initial estimate must be recorded in the income statement. Thus, for these assets, expected losses cannot be calculated using the one-year time horizon as a reference.

Renegotiations

In some cases, over the life of financial assets and, in particular, of loans, the original contractual conditions are subsequently modified as agreed by the parties to the contract. When, during an instrument's life, the contractual clauses are changed (both in the case the change is formalised by signing a new contract and when there is an amendment to the existing contract), it is necessary to check whether the original asset must continue to be recognised in financial statements or if, conversely, the original instrument must be derecognised from financial statements and a new financial instrument must be recognised.

In general, changes to a financial asset result in its derecognition and to the recording of a new asset when these changes are "substantial". The determination of the "substantiality" of the change is made by considering only qualitative elements. In particular, renegotiations are considered substantial when they introduce specific objective elements that affect the characteristics and/or cash flows of the financial instrument (e.g., change in the denomination currency, introduction of indexing on equities or commodities) in consideration of the significant expected impact on the original cash flows, or that are made in relation to customers that are not experiencing financial difficulties, with the aim of adjusting the contract's cost to the current market conditions. In the latter case, note that, if the Bank does not allow a renegotiation of contractual conditions, the customer would have the opportunity to obtain funding from another intermediary, with resulting loss in the revenue streams envisaged in the renegotiated contract. In other words, for a commercial renegotiation, the Bank would not have any loss to be recorded in the income statement as a result of the realignment to the best current market conditions for its customers. Instead, for renegotiations considered to be substantial, the gross value is recalculated by determining the present value of cash flows resulting from the renegotiation, based on the original rate of the exposure prior to the renegotiation. The difference between this gross value and the gross book value prior to the change is recorded in the income statement as a profit or loss from contractual changes without derecognition (or "accounting adjustment"). In the case of non-substantial renegotiations, the modifications granted to counterparties experiencing financial difficulties (concessions of forbearance measures) are attributable to the Bank's attempt to maximise the recovery of the original exposure, whose risks and benefits continue to be borne by the Bank. Exceptions are made for changes that introduce substantial objective elements in the contract that can themselves lead to the derecognition of the financial asset, as previously described.

Accounting for hedge transactions – adoption of the Fair Value Option

In its financial risk management policy, relating to financial instruments included in the banking book, the Parent Company has used the Fair Value Option accounting technique alongside fair value hedging and cash flow hedging methods.

The Fair Value Option was used to represent operational hedges on fixed-rate or structured bonds and certificates of deposit issued at fixed rates (accounting mismatch). In that case the Parent Company, the only issuer within the Group, stipulates operational microhedging derivative contracts with MPS Capital Services S.p.A., which in turn manages by assets the Group's overall exposure to the market.

The scope of application of the fair value option currently regards primarily fixed-rate securities and structured securities subject to hedges on interest rate risk and the risk deriving from embedded derivative components.

IFRS 9 allows the option of designating a financial instrument under the fair value option to be exercised irrevocably only upon initial recognition. The fair value option cannot therefore be used for hedges on funding instruments issued prior to the decision that the hedge be undertaken; hedge accounting must be used in these cases, and is also used to manage hedges on bond issues that are traded in the secondary market at market values.

Unlike hedge accounting, whose rules provide that only fair value changes attributable to the hedged risk are recognised for the hedged instrument, the fair value option involves the recognition of all fair value changes, regardless of the risk factor that is being hedged.

For the issues in question, the fair value is measured, firstly, by referencing observable prices in markets considered active, such as regulated markets, electronic trading circuits (e.g., Bloomberg) or organised or similar exchanges. If there are no observable prices on active markets, they are measured based on prices of recent transactions for the same instrument in non-active markets in addition to using valuation techniques, based on a cash flow discounting model, which must consider all factors considered relevant by market participants in determining a hypothetical transaction on an exchange. In particular, for determining creditworthiness, the implicit spreads of comparable issuers are used in active markets in addition to the Parent Company's credit default swap curve with the same level of subordination of the security being measured. The quantification of effects resulting from the change in own creditworthiness between the issue date and the measurement date is calculated as the difference between the fair value obtained considering all of the loan's risk factors, including the credit risk, and the fair value obtained considering the same factors, excluding the change in own credit risk that occurred during the period.

For further details on methods for calculating fair value, please refer to the exhaustive information provided in the relevant paragraph in "Part A.4 - Information on Fair Value".

With reference to the criteria for recognition in financial statements, note that:

- derivatives connected with financial liabilities measured at fair value are classified under "Financial assets measured at fair value through profit and loss: a) financial assets held for trading" or "Financial liabilities held for trading";
- spreads and margins accrued on derivatives up to the measurement date are included, depending on the balance, in "interest income" or "interest expense", consistent with the accruals recorded on bonds subject to operational hedges;
- gains and losses from realisation and the measurement of loans under the fair value option are recorded in the income statement item "110 - Net profit (loss) from other financial assets and liabilities measured at fair value through profit and loss", with the exception of the valuation and execution effects related to the change in own creditworthiness that are recorded as an offsetting entry to a specific equity reserve (item "120 - Valuation reserves"), unless this accounting treatment creates or amplifies an asymmetry in the economic result, as described in greater detail in the discussion to item "13 - Financial liabilities measured at fair value";
- results of the measurement of derivatives associated with loans under the fair value option are recorded in the income statement item "80 - Net profit/loss from trading".

From the perspective of prudential supervision, in compliance with prudential regulations in force, distorting effects from changes in fair value due to changes in own creditworthiness are eliminated from own funds.

Lastly, note that gains posted to the income statement under the fair value option and not yet realised are not distributable.

Contributions to deposit guarantee systems and resolution mechanisms

Italian Legislative Decrees nos. 180 and 181 of 2015 transposed Directive 2014/59/EU Banking Resolution and Recovery Directive ("BRRD") into Italian law, which requires the formation of resolution funds. These provisions are funded, *inter alia*, by:

a) annual contributions from banks, in order to reach the target level of fund resources established by the regulation;

b) extraordinary contributions from banks when ordinary contributions are insufficient to support approved resolution interventions.

Both types of contribution are subject to interpretation IFRIC 21 "Levies", as the contribution obligations are based on legislative provisions. Based on this interpretation, a liability should be recognised when the "obligating event" takes place which triggers the payment obligation. The balancing entry of that liability is represented by income statement item "190 - Administrative expenses - (b) other administrative expenses", as the conditions are not met for the recognition of an intangible asset pursuant to IAS 38 "Intangible assets", or for the recognition of an asset for a prepayment. The same treatment is applied to "*ex ante*" contributions made to the Italian Interbank Deposit Protection Fund within the scope of Directive 2014/49/EU "Deposit Guarantee Schemes" (DGS).

c) Other matters

Classification criteria for financial assets

The classification of financial assets in the three categories envisaged by the standard depends on two classification criteria, or drivers: the business model with which the financial instruments are managed and the contractual characteristics of the cash flows of the financial assets (or SPPI Test).

The financial asset classification derives from the combination of these two drivers, as shown below:

- Financial assets measured at amortised cost: assets that pass the SPPI test and fall under the Held to Collect business model (HTC);
- Financial assets measured at fair value through other comprehensive income (FVOCI): assets that pass the SPPI test and fall under the Held to Collect and Sell business model (HTC&S);
- Financial assets measured at fair value through profit and loss (FVTPL): a residual category, which includes financial instruments that cannot be classified in the previous categories based on the results of the business model test or the test on the characteristics of contractual cash flows (SPPI test failed).

Business model

With regard to the business model, IFRS 9 identifies three cases in relation to the methods by which cash flows are managed and financial assets are sold.

- Held to Collect (HTC): a business model whose objective is achieved by collecting contractual cash flows from the financial assets included in the relative portfolios. The inclusion of a financial asset portfolio under this business model does not necessarily mean that the instruments cannot be sold, though it is necessary to consider the frequency, value, and timing of sales in previous years, reasons for sales, and expectations regarding future sales;
- Held to Collect and Sell (HTC&S): a mixed business model, whose objective is achieved by collecting contractual cash flows from the financial assets included in the portfolios and by sales activities, which is an integral part of the strategy. Both activities (collection of contractual cash flows and sales) are essential for achieving the business model's objective. Therefore, sales are more frequent and for greater amounts than an HTC business model and are an essential component of the strategies pursued;

- Other/Trading: a residual category that includes both financial assets held for trading purposes and financial assets managed with a business model other than the previous categories (Held to Collect and Held to Collect and Sell). In general, this classification applies to a portfolio of financial assets whose management and performance are assessed based on fair value.

The business model reflects the methods by which financial assets are managed to generate cash flows for the entity's benefit and is defined by top management through the appropriate involvement of business structures. It is determined by considering the ways in which financial assets are managed and, as a consequence, the extent to which the portfolio's cash flows derive either from the collection of contractual cash flows, or from the sale of financial assets, or from both of these events.

The assessment is not made using scenarios that, based on the entity's reasonable expectations, are not likely to occur, such as the "worst case" or "stress case" scenarios. For example, if the entity plans to sell a certain portfolio of financial assets only in a "stress case" scenario, this scenario does not affect the assessment of the entity's business model for these assets, if said scenario is not likely to occur based on the entity's reasonable forecasts.

The business model does not depend on the intentions that management has for an individual financial instrument, but refers to the ways in which groups of financial assets are managed for the purpose of achieving a specific business objective.

In summary, the business model:

- reflects the methods by which financial assets are managed to generate cash flows;
- is defined by top management through the appropriate involvement of business structures;
- must be determined by considering the methods by which financial assets are managed.

When assessing a business model, all relevant factors available at the assessment date are used. These factors include the strategy, risks and their management, remuneration policies, reporting, and the amount of sales. In analysing the business model, it is crucial that the factors evaluated are consistent amongst themselves and, in particular, are consistent with the strategy pursued. Evidence of activity not in line with the strategy must be analysed and adequately justified.

For Held to Collect portfolios, the Group has defined eligibility thresholds for sales that do not affect the classification (frequent but not significant, individually and in the aggregate, or infrequent even though they are of a significant amount) and, at the same time, the parameters have been established to identify sales consistent with this business model, when they are attributable to an increase in credit risk.

More specifically, as part of an HTC business model, sales are permitted in the event of an increase in credit risk (i.e., sales of non-performing loans or securities, or those classified in Stage 2), when carried out near maturity, and finally, when they are frequent but not significant in terms of value or infrequent, even if their value is significant. In order to determine these aspects, frequency and significance thresholds have been defined:

- frequency is defined as the percentage ratio between the number of positions sold (ISIN or relationships) during the observation period and the total positions in the portfolio present at the beginning of the observation period (and is considered to be equal to zero if the number of securities at the beginning of the period is less than a certain amount);
- significance is defined as the percentage ratio between the nominal value of sales and the total nominal value of instruments in the portfolio present at the beginning of the observation period.

In the case of that both the frequency and significance thresholds are met for an individual sale, a further assessment is envisaged in terms of aggregate sales volume in order to confirm the consistency of the HTC business model.

SPPI test

The other criterion to be used in determining whether a financial asset should be classified among the financial instruments measured at amortised cost or FVOCI - in addition to the business model analysis described above - envisages that the relative cash flows are represented exclusively by the repayment of principal and interest. To this end, IFRS 9 regulates that the SPPI (solely payments of principal and interest) test is carried out, with the purpose of verifying that the remuneration for a specific financial instrument, whether a debt security or loan, is linked exclusively to the payment of interest and repayment of principal.

A debt instrument that does not meet the SPPI test must always be measured at FVTPL and classified under the sub-item “other financial assets measured at fair value as per mandatory requirements”.

For purposes of the analysis, IFRS 9 proposes a definition of the terms “principal” and “interest”, as follows:

- principal is understood as the fair value of the financial asset at its initial recognition;
- interest is the consideration for the time value of money, for the credit risk associated with the principal over a given period of time, for other risks and costs associated with the basic risks of a lending transaction, and for the profit margin.

In basic lending arrangements, the value of interest must depend exclusively on the time value of money and on the credit risk associated with the principal over a given period of time. Whenever contractual terms introduce other elements, it is no longer possible to consider that asset as solely generating cash flows in terms of principal and interest. This could happen, for example, when the cash flows come from non-recourse financial assets. The cash flows of these financial assets may involve not only interest payments and principal repayments, since the remuneration is linked to specific business activities. In this regard, the owner of the asset must assess, using the look-through approach, whether or not its instruments pass the SPPI test. For example, when the entity has non-recourse financial assets, whose cash flows depend on the performance of an element of the issuer’s equity (e.g., net income), the possibility of amortised cost or FVOCI measurement must be excluded.

Furthermore, when contractual cash flows depend on characteristics such as changes in share or commodity prices, the related financial instruments cannot pass the SPPI test, as they introduce exposure to risk or volatility that is not correlated with basic lending arrangements.

IFRS 9 also points out that all financial instruments that are subject to “leverage effect” cannot be considered generators of principal and interest cash flows, since leverage has the potential to increase the volatility of cash flows. This includes swaps, options, forwards, and all derivative contracts.

IFRS 9 defines two cases in which the time value of money can be considered changed (modified time value of money) or when the relationship between the passage of time and the interest rate is considered imperfect. One case occurs when the asset’s interest rate is periodically recalculated, but the frequency of this recalculation or the frequency of the payment does not correspond to the nature of the interest rate. This can happen, for example, when variable interest payments are made on a monthly basis and, at the beginning of each month, the interest rate is determined using the 1-year Euribor rate: the monthly interest rate is determined in reference to an interest rate calculated annually, and therefore, under a different time horizon. In these cases, the accounting standard introduces the need to make a comparison between cash flows deriving from the financial asset being measured and cash flows deriving from a financial asset considered identical in terms of credit risk and duration, but for which the monthly interest is calculated based on the monthly Euribor. The other case of imperfect correlation between the passage of time and the time value of money occurs when the asset’s interest rate is periodically restated based on an average of particularly short or medium/long-term rates. For example, when a financial asset provides for the payment of interest every three months, based on the average three-month Euribor interest rate in the quarter preceding the one to which the interest refers.

Therefore, in these cases the entity must analyse whether the financial asset generates only cash flows related to principal and interest, despite the change in the time value of money. The objective of this analysis is to verify how different the non-discounted contractual cash flows would be if there were no changes in the time value of money over time (known as the benchmark cash flow test).

In addition, any contractual clauses that could change the frequency or amount of contractual cash flows must be considered in order to assess whether such cash flows meet the SPPI requirements (e.g., prepayment options, possibility to defer the contractually agreed cash flows, instruments with embedded derivatives, subordinated instruments, etc.).

However, as required by IFRS 9, a single element of contractual cash flows does not affect the classification of the financial asset if it has only a minimal effect on the contractual cash flows of the financial asset (in each year and cumulatively). Similarly, if an element of cash flows is not realistic or genuine, i.e., if it affects the instrument's contractual cash flows only at the occurrence of an extremely rare, highly unusual, and very unlikely event, it does not affect the classification of the financial asset.

In the case of instruments subordinated to another instrument (e.g., guaranteed debt securities), the related cash flows are linked to the nominal value of the principal or interest of the principal instrument. The instrument's owner has the power to exercise the right of pre-emption, even in the event of the borrower's bankruptcy. These instruments are included among those that do not pass the SPPI test.

With regard to contractually linked instruments, reference is made to instruments with which an entity assigns a certain priority to the payment of cash flows. The order of priority depends on the credit risk assigned to each category of creditor, called "tranche". The characteristics that an investment, belonging to a given tranche, must possess in order to be considered a generator of cash flows that are exclusively related to the payment of interest and repayment of principal are as follows:

- the underlying assets must contain one or more financial assets that generate cash flows consisting exclusively of interest payments and principal repayments. Furthermore, the presence of supporting financial instruments, such as derivatives, is permitted only if they serve to reduce the volatility of the relative cash flows;
- the exposure to credit risk relating to a given tranche must be equal to or less than the risk exposure attributable to the underlying financial instruments.

For purposes of conducting the SPPI test on transactions in debt securities, BMPS Group uses the services of an info-provider. The test is carried out manually using a proprietary tool based on an internally developed methodology (decision trees) only if the securities are not managed by the info-provider.

A proprietary tool based on a method developed in-house (decision trees) was developed to perform the SPPI test for credit approval processes. In particular, given the significantly different characteristics, differentiated management is envisaged for products that have a standard contract (typically, the retail loan portfolio) and tailor-made loans (typically, the corporate loan portfolio). For standard products, the SPPI test is conducted when the standard contract is structured, through the "Product Approval" process, and the test result is extended to all individual relationships that refer to that product in the catalogue. Instead for tailor-made products, the SPPI test is performed for each new credit line/relationship submitted to the decision-making process through the use of the proprietary tool. Decision trees - included in the proprietary tool - have been prepared internally (both for debt securities and loans) and capture possible features that may not comply with the SPPI test.

Use of estimates and assumptions when preparing financial statements.

The estimates required by accounting standards can have a significant impact on the balance sheet and income statement, as well as on disclosure of contingent assets and liabilities reported in the financial statements. Production of these estimates involves the use of available information and adoption of subjective assessments. By their nature, the estimates and assumptions utilised may vary from one period to another and, therefore, it cannot be ruled out that in subsequent periods the actual amounts stated in the accounts may differ, even to a significant extent, as a result of changes in subjective assessments made. These estimates and valuations are thus difficult and bring about inevitable elements of uncertainty, even in stable macroeconomic conditions.

The main cases in which subjective valuations are mostly opted for by Management include the:

a) quantification of impairment losses on loans and, more generally, other financial assets;
b) assessment of the consistency of the value of equity investments and of other non-financial assets (goodwill, intangible assets, and property, plant and equipment);
c) use of valuation models to measure the fair value of financial instruments not listed in active markets;
d) estimation and assumptions on recoverability of deferred tax assets;
e) estimation of liabilities arising from defined benefit company pension funds;
f) quantification of provisions for risks and charges related to legal and tax disputes.

For some of the cases listed above, the main factors that are subject to estimates by the Group, and which therefore contribute to determining the book value of assets and liabilities in the financial statements, can be identified.

In summary, note that:

a) for the allocation in the three credit risk stages envisaged in IFRS 9 for loans and debt securities classified as "Financial assets measured at amortised cost" and "Financial assets measured at fair value through other comprehensive income", and the calculation of the expected losses, the main estimates concern:
    - determination of the parameters of significant increase in credit risk, based essentially on models for measuring the probability of default (PD) at the origination of financial assets and at the reporting date;
    - inclusion of forward-looking elements, including macroeconomic, for calculating PD, EAD, and LGD;
    - for calculating expected future cash flows from non-performing loans, certain elements are taken into account: expected repayment schedule, expected realisable value of any collateral, costs expected to be incurred for collection of the credit exposure, and finally, the probability of sale for positions that have a disposal plan;
b) for calculating the value in use of intangible assets with indefinite life (goodwill) with reference to the cash generating units (CGUs) that make up the Group, future cash flows for the forecast period and cash flows used to determine the terminal value generated by the CGUs are estimated separately and are appropriately discounted. The cost of capital is included in the estimates;
c) for calculating the fair value of financial instruments not listed on active markets, if it is necessary to use parameters that cannot be inferred from the market, the main estimates concern, on one hand, the development of future cash flows (or also profits for equity securities), possibly contingent upon future events and, on the other, the level of certain input parameters not listed on active markets;
d) for quantifying retirement funds and similar obligations, the present value of the obligations is estimated, taking into account the cash flows, appropriately discounted, resulting from the historical statistical analysis and the demographic curve;
e) for quantifying provisions for risks and charges, the amount of disbursements necessary to satisfy the obligations is estimated, where possible, taking into account the effective probability of having to make use of resources;
f) for calculating the items related to deferred taxation, the probability that taxes will effectively be incurred in the future (temporary taxable differences) and the degree of reasonable certainty - if any - of future taxable profits at the time the taxes can be deducted is estimated (temporary deductible differences).

For points a) and b), please refer to the subsequent chapters "Methods for calculating impairment on IFRS 9 financial instruments", "Methods for calculating impairment on equity investments" and

"Methods for calculating impairment on other non-financial assets"; as regards point c), please refer to the description in paragraph A.4.5 "Fair value hierarchy". The actual technical and conceptual solutions used by the Group are analysed in more detail in the individual sections of the notes to the balance sheet and income statement, where the distinct contents of each item in the financial statements are described. With regard to point f), please refer to section 10 under assets in the Notes to the financial statements "Tax assets and liabilities"; for the cases referred to in points d) and e), please refer to section 12 under liabilities in the Notes to the financial statements "Defined benefit company pension funds" and Part E of the Notes, section 1.5 "Operational risks".

"Methods for calculating impairment on IFRS 9 financial instruments"

Pursuant to IFRS 9, at each reporting date, financial assets other than those measured at fair value through profit and loss are subject to an impairment test, aimed at estimating the expected credit loss (ECL). In particular, the following are included in the scope of impairment testing:

- "Financial assets measured at amortised cost";
- "Financial assets measured at fair value through other comprehensive income" other than equity securities;
- commitments to disburse provisions and guarantees given that are not measured at fair value through profit and loss; and
- trade receivables or assets deriving from contracts that result from transactions falling under the scope of IFRS 15.

According to the ECL calculation model, introduced in IFRS 9, losses must be recorded not only with reference to objective evidence of losses in value that are already apparent at the measurement date, but also based on expectations of future losses of value that have not yet occurred. This concept represents an innovation with respect to the incurred loss concept, on which the previous impairment model was based.

In particular, the ECL model provides the aforementioned financial assets must be classified in three distinct "stages", according to their credit quality in absolute terms or relative to that at initial disbursement, to which different measurement criteria for expected losses are applied. More specifically:

- stage 1: includes performing exposures that have not undergone a significant change in credit risk with respect to the initial recognition. The value adjustments correspond to the expected losses related to the verification of default in the 12 months following the reporting date.
- stage 2: includes performing exposures whose creditworthiness has been affected by a significant change in credit risk, but for which the losses are not yet observable. Adjustments are calculated considering the lifetime loss of the instrument;
- stage 3: includes all non-performing loans, i.e. non-performing exposures that present objective evidence of deterioration and which must be adjusted by using the lifetime expected loss concept[20].

Financial assets considered as impaired since their acquisition or origin (POCI - purchased or originated credit impaired), are an exception to the above, whose accounting treatment was discussed in the paragraph above dedicated to this topic.

For MPS Group, the perimeter of exposures classified under stage 3 corresponds to non-performing exposures, identified according to the definitions established by supervisory regulations (Bank of Italy Circular no. 272 "Accounts matrix") and referred to in Bank of Italy Circular no. 262 "Bank financial

[20] The valuation is statistical for positions with a balance of under EUR 0.5 mln and analytical, carried out by managers, for positions above said threshold.

statements: layout and rules for compilation", as these definitions are deemed consistent with accounting regulations envisaged in IAS/IFRS for objective evidence of impairment. Based on these circulars, the perimeter of non-performing exposures corresponds to the aggregate "non-performing exposures", defined in EU Regulation 2015/227, and implemented through the EBA's "Implementing Technical Standard (ITS) on Supervisory Reporting (forbearance and non-performing exposures)" (EBA/ITS/2013/03/rev1 24/7/2014).

In detail, the aforementioned circulars identify the following categories of non-performing assets:

• Bad loans: these represent the aggregate of on- and off-balance sheet exposures to a party in a status of insolvency (even if not judicially certified) or in essentially comparable situations, regardless of any loss forecasts made by the Bank;

• Unlikely to pay: represent the on- and off-balance sheet exposures for which the borrower does not meet the conditions for classification under bad loans and for which it is considered unlikely that the borrower will be able to fully satisfy the credit obligations (in terms of principal and/or interest) without recourse to actions such as the enforcement of collateral. This assessment is carried out regardless of the existence of any overdue and unpaid amounts (or instalments). The classification among unlikely to pay is not necessarily linked to the explicit presence of anomalies, such as a missed repayment, but rather is linked to the existence of elements that would indicate a situation of risk that the borrower may default (e.g., a crisis in the borrower's business sector);

• Past due and/or overdrawn exposures: on-balance sheet exposures, other than those classified as bad or unlikely to pay, which, at the reporting date, are past due and/or overdrawn for more than 90 days, according to the significance threshold envisaged in the aforementioned legislation. For MPS Group, non-performing past due and/or overdrawn exposures are determined in reference to the position of an individual borrower.

In addition, Bank of Italy regulations, in line with EBA standards, introduced the definition of "forborne exposures". This concerns, in particular, exposures benefiting from tolerance measures, which consist of concessions granted to the borrower, in terms of modification and/or refinancing of a pre-existing loan, exclusively because of, or to prevent, a state of financial difficulty that could have negative effects on the borrower's ability to fulfil the contractual commitments originally assumed, and that would not have been granted to another borrower with a similar risk profile not in financial difficulty. These concessions must be identified at the level of the individual credit line and may relate to exposures of borrowers classified either in the performing or the non-performing (impaired) status. For exposures with forbearance measures classified as unlikely to pay, the recovery to a position of performing can only take place after at least one year has elapsed from the time the concession was granted (known as the "cure period") and all the other conditions provided for in paragraph 157 of the EBA ITS are satisfied.

In any case, renegotiated exposures should not be considered forborne when the borrower is not in a situation of financial difficulty (renegotiations carried out for commercial reasons).

Impairment of performing financial assets

For performing financial assets, i.e., those assets not considered to be impaired, it must be determined, at the individual relationship level, if there is a significant deterioration of credit risk, by comparing the credit risk associated with the financial instrument at the time of measurement and that at the initial moment of disbursement or acquisition. This comparison is made using both quantitative and qualitative criteria. The results of this assessment, in terms of classification (or, more appropriately, staging) and measurement, are the following:

- where these indicators are found, the financial asset transfers to stage 2. In this case, the assessment requires that impairment is recognised equal to the expected losses over the entire

residual life of the financial instrument, consistent with the provisions of international accounting standards and even if a loss in value has not yet occurred. These adjustments are reviewed at each subsequent reporting date both to periodically check that the continuously updated loss estimates are consistent, as well as to take into account - in the event that indicators of a "significantly increased credit risk" no longer exist - of the change in forecast horizon for calculation of expected loss;
- where none are found, the financial asset remains in stage 1. In this case, the assessment requires that impairment is recognised equal to the expected losses of the financial instrument over the next twelve months, consistent with the provisions of international accounting standards and even if a loss in value has not yet occurred. These adjustments are reviewed at each subsequent reporting date both to periodically check that the continuously updated loss estimates are consistent, as well as to take into account - in the event that indicators of a "significantly increased credit risk" are identified - of the change forecast horizon for calculation of expected loss;

As regards the measurement of financial assets and, in particular, the identification of a "significant increase" in credit risk (a necessary and sufficient condition for classification of the asset being assessed in stage 2), the elements that constitute the main determinants to be taken into consideration, according to the standard and its operating procedure implemented by MPS Group, are the following:

- relative quantitative criteria, based on statistical observations, considered an expression of significant increase in credit risk over time;
- absolute qualitative criteria, represented by the identification of trigger events or exceeding absolute thresholds as part of the credit monitoring process. The category comprises:
  - all exposures affected by forbearance measures and for which these measures are still active, regardless of whether the probation period underway is regular,
  - exposures classified in the High Risk and Requalification management portfolio;
  - customers with negative EBITDA.
- backstop indicators, i.e., credit delinquency factors, whose manifestation suggests that there has been a significant increase in credit risk, unless there is evidence to the contrary. For purposes of assumptions, BMPS Group believes that the credit risk of the exposure must be considered significantly increased if there is an exposure that is past due/overdrawn for a period longer than 30 days, without prejudice to the application of the significance thresholds required by supervisory regulations.

With particular reference to the relative quantitative criterion applicable to credit exposures with customers, BMPS Group has determined as a reference the change between the lifetime forward-looking cumulative probability of default (PD), calculated at the beginning of the contractual relationship and the probability of default recorded at the measurement date. In developing the model, specific internal thresholds of variation were identified between the PD at the beginning of the contractual relationship and the PD recognised at the valuation date, broken down by counterparty, initial rating class and vintage. If these thresholds are exceeded, it signifies a significant increase in credit risk and the resulting transfer of the individual credit line from stage 1 to stage 2. The comparison is based on the homogeneous residual durations[21] and on homogeneous PD models, for example, if the definition of default changes over time, the original lifetime forward-looking cumulative PD is recalculated to take account of said new definition of default. Cumulative PDs subject to comparison are based on the same model used for ECL purposes (e.g. definition of PIT (Point in Time) PD, macroeconomic scenarios, expected life/contractual life). In order to obtain a unique classification result, use is made of a cumulative PD resulting from the weighted average of the cumulative PDs calculated for the individual prospective scenarios using the probabilities of the scenarios as weights. The threshold of significance is determined by historically measuring, through

[21] Therefore, the valuation at 31/12/T of the significant increase in credit risk of a thirty-year mortgage disbursed on 31/12/T-5 is carried out by comparing the lifetime forward-looking cumulative PDs over the residual life of 25 years.

quantile regression analysis per cluster, that level of ratio, between the lifetime forward-looking cumulative PD at the reporting date and that at the origination date, which may be considered predictive of the classification as NPE[22]. The threshold is determined so as to minimise so-called false positives and false negatives and maximise true positives and true negatives.

For debt securities that do not have investment-grade ratings, the relative quantitative criterion is based on the variation in lifetime forward-looking cumulative PD between the reporting date and the origination date above a certain threshold. For corporate issuers, the multi-year PD curve is the corporate one estimated entirely by the Group; for government issues, the multi-year PD curve is the one prepared on the basis of the Moody's matrix of 1-year defaults of government bonds. Cumulative PDs subject to comparison are based on the same model used for ECL purposes (e.g. definition of PIT (Point in Time) PD and macroeconomic scenarios). In order to obtain a unique classification result, use is made of a cumulative PD resulting from the weighted average of the cumulative PDs calculated for the individual prospective scenarios using the probabilities of the scenarios as weights. The exposures are classified into stage 2 if the ratio between the lifetime forward-looking cumulative PD at the reporting date and that of the origination date exceeds a given threshold of significance equal, both for corporate bonds and government bonds, to that used for corporate exposures in the form of loans.

Debt securities that, at the reporting date, have an investment-grade rating, mainly related to government securities, are classified in stage 1 because in this case, and only for this case, BMPS Group used the "Low Credit Risk Exemption". This exemption consists of the practical expedient of not conducting the test for significant deterioration of credit risk on exposures whose credit risk is considered low. This exemption applies to securities that present, at the measurement date, a rating level equal to the investment grade, in full compliance with the provisions of accounting standard IFRS 9. In addition, given the presence of several purchase transactions on one fungible asset (ISIN), it was necessary to identify a methodology to identify the tranches sold in order to determine the residual quantities to which credit quality at initial recognition date can be associated, in order to compare it with credit quality at the measurement date. In this context, the "first-in-first-out" or "FIFO" methodology was deemed most appropriate, as it enables more transparent portfolio management, including from the operational perspective (front office), allowing, at the same time, a continuous updating of the creditworthiness assessment based on new purchases.

In general, the transfer criterion between stages is symmetrical. Specifically, an improvement in credit risk which involves the elimination of the conditions that led to the significant increase in said credit risk involves the reallocation of the financial instrument from stage 2 to stage 1. In this case, the entity recalculates the value adjustment on a twelve-month time horizon rather the previously recognised lifetime losses, by booking a write-back to the income statement.

Once the assignment of exposures into the various credit risk stages has been defined, the expected losses (ECL) are calculated, at the level of individual transaction or security tranche, starting from IRB/management modelling, based on the parameters of Probability of Default (PD), Loss Given Default (LGD), and Exposure at Default (EAD), to which appropriate adjustments are made, in order to ensure compliance with the specific requirements of IFRS 9, given the different requirements and purposes of the accounting rules compared to prudential regulations.

The PD, LGD, and EAD are defined as follows:

PD (Probability of Default): likelihood of transferring from a performing status to that of non-performing over a one-year time horizon. In models consistent with supervisory provisions, the PD factor is typically quantified through the rating. In BMPS Group, PD values derive from internal rating models where available, supplemented by external valuations or average data for segment/portfolio;

[22] The classification as NPE is measured over multi-year time horizons.

LGD (Loss Given Default): percentage of loss in the event of loss. In models consistent with supervisory provisions, this factor is quantified using historical data on actual recoveries of loans that transferred to non-performing status;

EAD (Exposure At Default) or credit equivalent: amount of exposure at the time of default.

As previously pointed out, in order to comply with the provisions of IFRS 9, specific adjustments must be made to the aforementioned factors, including:

- adoption of a Point in Time (PIT) PD against the Through the Cycle (TTC) PD used for Basel purposes;
- elimination of certain additional components from LGD, such as indirect costs (non-recurring costs) and the component linked to the adverse economic cycle (or "downturn"); as well as to reflect the most current recovery rates (PIT), expectations about future trends (forward-looking) and the inclusion of any recovery fees if collection is assigned to a third party;
- use of multi-year PDs and, where necessary, LGDs in order to determine the expected loss for the entire residual life of the financial instrument (stages 2 and 3);
- use of the effective interest rate of the individual transaction in the process of discounting expected future cash flows, as opposed to that which is set forth in regulatory models, in which individual cash flows are discounted using rates determined in accordance with prudential regulations.

In relation to the multi-year EAD, in line with the IFRS 9 provisions, BMPS Group refers to the amortised cost plans, regardless of the measurement methods (amortised cost or fair value through other comprehensive income). For commitments to disburse funds and guarantees given (off-balance sheet exposures), EAD is instead taken at nominal value weighted by a specific credit conversion factor (CCF).

The forecasts of the macroeconomic indicators (forward-looking), provided by a leading external consultant and internally re-formulated by the Research Function, are quantified based on three possible future scenarios, which consider the economic variables deemed relevant (Italian GDP, interest rates, unemployment rate, commercial and residential property prices, inflation, equity indices), with a future time horizon of three years to which the respective probabilities of occurrence are assigned, determined internally by the Group. In greater detail, alongside the "baseline" scenario deemed most probable, i.e., the macroeconomic forecast scenario which the BMPS Group uses as a basis to develop its projections for financial statement and risk data across a short- and medium-term time horizon, an alternative "better" scenario (decidedly favourable) and "worse" scenario (unfavourable) was developed.

Starting from this expected loss relating to each scenario, the expected loss is determined as the average of the relative losses weighted for the likelihood of occurrence of each scenario. This approach permits any non-linearity in the relationship between macroeconomic factors, risk parameters, and expected loss to be considered.

Finally, for the estimate of expected losses over the life of the instrument, the reference period is represented by the contractual expiry date; for instruments that do not expire, the estimate of expected losses uses a time horizon estimated through a behavioural model for on-demand products and set to one year from the reporting date, in other cases.

Impairment of non-performing financial assets

As described earlier in the document, for non-performing financial assets, which are assigned a probability of default of 100%, the impairment amount for each loan is equal to the difference between the loan book value at the time of measurement (amortised cost) and the present value of estimated future cash flows, calculated by applying the original effective interest rate (or a proxy if not available). Cash flows are estimated based on expected recovery expectations over the lifetime of the loan, taking into account the presumed realisable value net of any collateral.

For purposes of estimating future cash flows and the relative collection times, the loans in question that have a significant unit amount are subject to an analytical assessment process. For some similar categories of non-performing loans whose unit amount is insignificant, the measurement processes allow that loss forecasts are based on lump-sum/statistical calculation methods, to be analytically assigned to each individual position. The perimeter of exposures subject to a lump-sum/statistical measurement process, that is, based on statistical analyses of operational LGD, differentiated according to the segment and length of time in the risk state ("vintage"), is represented by:

- bad and unlikely to pay loans with exposures less than or equal to an established significance threshold of EUR 500 thousand;
- total non-performing past due exposures regardless of the exposure's significance threshold. In particular, these are loans that show continuous overdrawn situations or delayed payments, automatically identified by BMPS Group's IT procedures, according to the aforementioned rules of the supervisory authority.

The impairment loss is calculated including the measurement of future cash flows that it is assumed the borrower is able to produce and which will also be used to service the financial debt. This estimate should be made based on two alternative approaches:

- going concern approach: the borrower's operating cash flows (or that of effective guarantor) continue to be produced, and are used to repay the financial debts contracted, based on the scheduled repayment plans. The going concern assumption does not exclude the possible realisation of collateral, but only to the extent that this can occur without jeopardising the borrower's ability to generate future cash flows. The going concern approach also applies to cases in which the recoverability of the exposure is based on the possible sale of assets by the borrower or extraordinary transactions;
- gone concern approach: applicable in cases in which it is believed that the borrower's cash flows will be significantly reduced. This is a scenario whose application may possibly entail positions that are expected to be classified in bad loans. In this context, assuming that interventions by shareholders and/or extraordinary restructuring operations of the debt in a turnaround situation are not reasonable, loan collection is essentially based on the value of the collateral that supports the loan and, in the alternative, on the realisation value of the assets, taking into account liabilities and any rights of pre-emption.

With reference to exposures classified as bad and unlikely to pay loans, the quantification of expected losses includes forward-looking elements related to specific sale scenarios, where the Group's NPL Strategy envisages that the aforementioned exposures may also be recovered through their sale on the market.

Consequently, the estimate of expected losses of exposures that can be sold varies depending on the forecast of the recoverable flows through internal management (work-out), as well as the forecast of recoverable flows through their possible sale on the market ("multi-scenario" approach). This approach is consistent with the provisions of the ITG paper of 11 December 2015 "Inclusion of cash flows expected from the sale on default of a loan in the measurement of expected credit losses". In particular, the exposures in question are associated with two different estimates of cash flows that BMPS Group expects to collect:

- the first determined by using as reference the scenario of recovery from the borrower based on internal activity, according to the ordinary measurement guidelines followed by the Group and previously described (hold scenario);
- the second calculated by using as reference the recovery through sale of the loan to third parties (sale scenario).

Each of the two scenarios is assigned a probability of occurrence that is higher for clusters that are more likely to undergo a sale procedure, based on historical data and/or forecasts (e.g., formalised NPL reduction plans). The expected loss of the exposures in question is therefore equal to the weighted average for the probabilities assigned to the two scenarios of the estimates of recoverable cash flows in each (hold and sale).

Hence, the sale values and sale probability are the two key elements for defining the expected loss. For this purpose, BMPS Group has performed an analysis of the historical data on sales (past events) on these portfolios and certain considerations on future sale strategies.

The Restructuring Plan approved in 2017 by the European Commission envisages that in the four-year period 2018-2021, BMPS Group will undertake a major reduction in exposures classified as default, to be realised through sale transactions.

This programme represents a qualifying constraint of the Restructuring Plan, for which the Group, in order to accelerate the process of reducing non-performing loans as specifically requested by the supervisory authority, has declared that it is willing to incur higher costs compared to the ordinary collection scenario, which will continue in parallel for portfolios of non-performing loans that are not subject to the sale programme, as well as those of performing loans (stages 1 and 2), with the primary objective of optimising the economic/financial profiles of work-out activities.

Based on these considerations, the accounting model for impairment for the Group's non-performing loans only envisages a different application for:

- loans subject to ordinary collection process: application of existing accounting policies, reviews to take into account changes introduced by IFRS 9, including, in particular, the forward-looking and commission element (as a result of the outsourcing of the collection process on the Sirio platform);
- loans included in the sale programme: measured with the ordinary policy plus any add-ons to adjust the portfolios to the presumable realisable value.

To calculate the add-ons, the Group considers the following elements:

- selection of the portfolios that are presumed to be sold. The perimeter includes positions with a certain attractiveness on the market, indicated by the fact that other banks have already carried out sales and expressions of interest that have already been received, as well as additional positions resulting from assessments of economic benefit performed by the Parent Company's competent bodies (e.g., presence of extended bad loans or high danger rate);

- probability of sale: the probability of assignment was assumed to be 80% for all the portfolios subject to mass sales in the past. The fairness of this estimate is demonstrated by the fact that the finalisation of a portfolio sale, for example of bad loans, depends exclusively on the gap between the Group's expectations and the best offer received; since expectations are linked to market prices, the probability of success was quantified at a high threshold because of an insignificant expected gap. For loans classified as unlikely to pay, the probability of sale was determined based on the success rate observed by the Non-Performing Loans Department on transactions carried out and effectively completed in recent years, appropriately increased to take into account the more constrained context in which the planned sales for the Restructuring Plan are implemented;

- sale prices: derived from mass transactions on similar portfolios and single names made by the Group or from transactions carried out on the market in recent years.

Methods for calculating impairment on equity investments

At the end of every reporting period, the equity investments in associates or jointly controlled entities are evaluated to check whether there is objective evidence of impairment that might render the book value of these assets not entirely recoverable.

The process of recognising impairment involves verifying the presence of indicators of possible reductions in value and calculating any write-down. There are numerous impairment indicators, differentiated by type, listed or unlisted, of equity investments.

For listed equity investments:

- a fair value, at the reporting date, that is at least 30% lower than the book value, or
- a prolonged period, of more than 36 months, in which the fair value is lower than the book value, or
- a book value for the equity investment in consolidated financial statements that exceeds the corresponding portion of equity (existence of implicit goodwill), or
- a stock market capitalisation that is lower than the book value of the equity investment or the company's net equity.

For listed and unlisted equity investments:

- negative trends in dividends distributed by the investee;
- significant downward revision of profit forecasts;
- significant gap between actual results and the budget objectives or that envisaged in a long-term plan and communicated to the market;
- contracting or negative economic performance;
- negative performance for the investee's business sector;
- changes in the technological, economic, and regulatory environment that could result in difficulties for the business in identifying alternative business growth strategies;
- downward revision in the rating, expressed by a specialised rating agency assigned to the financial instrument, with respect to that on the instrument's acquisition date;
- negative cash flows;
- announcement/launch of debt restructuring plans;
- launching/requesting bankruptcy proceedings;
- any reporting exceptions or references regarding the applicability of the going concern assumption formulated by the independent auditors.

The presence of impairment indicators entails the recognition of a write-down in the amount for which the recoverable value is lower than the book value. The recoverable value is the greater of the fair value less costs to sell and the value in use.

For the methods used to determine the fair value, refer to the information in chapter A.4 - Information on fair value.

The value in use is the present value of cash flows arising from the asset; it reflects the estimate of the cash flows expected from the asset, the estimate of possible changes in the amount and/or timing of cash flows, the time value of money, the price for remunerating the asset's risk and other factors that can influence the pricing, by market dealers, of the cash flows expected from the asset.

The value in use is determined by discounting future cash flows.

Methods for calculating impairment on other non-financial assets

Goodwill posted following acquisitions is subjected to an impairment test at least once a year and whenever there are signs of impairment. For testing purposes, once goodwill has been allocated to cash-generating units (CGUs), the book value is compared with the recoverable value of said units. The discounted cash flow (DCF) method is normally used to determine the recoverable value of the CGUs. To this end, senior management has estimated CGU cash flows; these are dependent on several factors, including cost and revenue growth rates, which in turn depend on changes in the real economy, customer behaviour, competition and other factors.

The property, plant and equipment and intangible assets with limited useful life are tested for impairment in the presence of any indication that the book value of the asset may not be recovered.

The recoverable value is computed with reference to (i) the fair value of the property, plant and equipment or intangible asset, net of the charges for disposal or (ii) the value in use if determinable and if it is above fair value.

The recoverable value of properties is determined on the basis of an appraisal or index-based valuations. The loss in value is reported only if the fair value less costs to sell, or the value-in-use, is less than the book value.

•••••

Transparency obligations as part of regulations on public disbursements

Italian Law no. 124/2017 "Annual Law on the Market and Competition" introduced new measures (art. 1, paras. 125 to 129) aimed at ensuring transparency in the public disbursement system, as part of the larger context of regulations designed to guarantee transparency in financial relations between public entities and other parties, some originating in Europe and others domestically. The regulation introduces transparency obligations for parties that receive public disbursements, providing that the companies that have received grants, contributions, paid assignments, and, in any case, economic benefits of any kind from public administrations and other similar parties must - starting from 2018 - indicate the amounts received in the notes to the financial statements and notes to the consolidated financial statements.

Failure to comply with this disclosure obligation would result in the amounts being returned to the disbursing party.

Italian Law no. 12 of 11 February 2019, which converted the "simplification decree" (Law Decree no. 135 of 14 December 2018), introduced an important change: with art. 3-quater, para. 2, a link was created between the obligations envisaged in Law no. 124/2017 and the regulations for the National Register for State Aid, with the intention of simplifying publication burdens, envisaged in para. 125, borne by companies benefiting from State aid.

The disclosure burden in the financial statements of the companies elicited intense debate, including in relation to the numerous provisions already in place with the same purposes of transparency. Assonime, which had already highlighted several critical issues before the legislation was issued, emphasised in its Circular no. 5 of 22 February 2019 (hereinafter "Circular") how, "*The link created with the simplification decree between the companies' obligations pursuant to article 1, paragraph 125 and the Register's regulations constitutes an important first step in a process of establishing the rules introduced by Law no. 124/2017, which, from the perspective of better regulation, would require some further regulatory simplification and coordination measures"*.

This circular proposed a possible interpretation for areas of greater ambiguity, in the hope that competent authorities may quickly define precise guidelines. In particular, in relation to the scope of application of the provisions of paragraph 125, which refers to "grants, contributions, paid assignments, and, in any case, economic benefits of any kind received", Assonime believes that it is not required, pursuant to the aforementioned paragraph, to publish the amounts received by the company as consideration for public works, services, and supplies in the note to the financial statements. Furthermore, the reference to *paid assignments*, in the context of the business environment, *should be understood as referring exclusively to any assignments outside the typical exercise of their business activities*. Finally, for *grants, contributions and economic benefits of any kind*, the Circular states that the *general measures that can be used by all companies and that fall under the general structure of the reference system defined by the government must certainly be excluded from the publication requirement. Similarly, the mechanism aimed at facilitating reinvestment of profits envisaged by ACE ("Aiuto alla crescita economica" – Support for economic growth) does not constitute a selective benefit in relation to taxation.* Analogous considerations are also extended to those economic benefits that, although falling under the category of selective benefits, are received as part of an aid scheme and, as such, accessible to all companies. Therefore, for these benefits, the publication in the notes would not provide a significant contribution to disclosure, and the same applies to the tax incentives.

In order to avoid the collection of irrelevant information in the financial statements and to simplify disclosure requirements, as indicated above, art. 3-*quater*, para. 2, of Law Decree no. 135/2018 introduced the possibility for companies not to indicate the state aid they had received in the notes, by making an explicit reference to the National Register for State Aid. Despite the simplification, the regulations contained in art. 1, paras. 125-129 of Law no. 124/2017 still presents numerous critical issues and various application ambiguities that would make it necessary to provide interpretative clarifications and, in some aspects, amendments to the regulations.

Based on the above, note that, at the reporting date of these financial statements, the contributions received by the Parent Company for 2018 in relation to training activities totalling EUR 5.9 mln are present in the National Register for State Aid and publicly available in the “Individual Aid” Transparency section. For more details, please refer to the following link:

https://www.rna.gov.it/sites/PortaleRNA/it_IT/trasparenza

A.3 Information on portfolio transfers

The tables on transfers between portfolios of financial assets were not created, as the Group did not carry out any reclassification transactions following the change in the business model.

A.4 – Information on fair value

Qualitative information

A.4.1.a Fair value level 2: measurement techniques and inputs used

Items	Fair value 31 12 2018: Financial assets held for trading	Financial assets measured at fair value mandatory	Financial assets measured at fair value through other comprehensive income	Hedging deivatives	Financial liabilities held for trading	Financial liabilities designated at fair value	Hedging deivatives	Type	Valuation technique(s)	Inputs used
Debt securities	599,466	42,500	502,154	X	-	258,235	X	Bonds	Discounted Cash Flow	Interest rate curve, CDS curve, Basi(yield), Inflation Curves
								Structured bonds	Discounted Cash Flow	Interest rate curve, CDS curve, Basi(yield), Inflation Curves + inputs necessary to measure optional component
								Bonds	Market price	Market price*
Equity instruments	23	305	14,494	X	X	X	X	Share/Equity Instruments	Market price	Market price, recent transactions, appraisals, manager reports
								Equity Instruments	Discount cash flow	Share price, beta sector, free risk rate
								Equity Instruments	Net asset adjusted	Carrying Amount Asset/Liabilities
Units of UCITS	-	116,885	X	X	X	X	X	Funds/PE	Market price*	Market price; recent transactions, appraisals, manager reports
Loans	X	X	X	X	134	-	X	Uncovered short positions	Market price,Interest rate curve, CDS Curve	Market price, Comparable approach
					464	-		Deposits from customers		
Financial Derivatives	3,054,938	X	X	99,091	1,243,690	X	748,501	IR/Asset/Currency Swaps	Discounted Cash Flow	Interest rate curve, CDS Curve, Basi(yield), Inflation Curve, Foreign exchange rates and correlation
								Equity swaps	Discounted Cash Flow	Share price, Interest rate curve, Foreing exchange rates
								Forex Singlename Plain	Option Pricing Model	Interest rate curve, Foreing exchange rates, Forex volatility
								Forex Singlename Exotic	Option Pricing Model	Interest rate curve, Foreing exchange rates, Forex volatility (Surface)
								Equity Singlename Plain	Option Pricing Model	Interest rate curve, share price, foreign exchange rates, Equity volatility
								Equity Singlename Exotic	Option Pricing Model	Interest rate curve, share price, foreign exchange rates, Equity volatility
								Equity Multiname Plain	Option Pricing Model	Interest rate curve, share price, foreign exchange rates, Equity volatility
								Equity Multiname Exotic	Option Pricing Model	Interest rate curve, share price, foreign exchange rates, Equity volatility (surface),Model inputs,Quanto correlation, Equity/Equity correlation
								Plain Rate	Option Pricing Model	Interest rate curve, inflation curves,bond prices,foreign exchange rates, Rate volatility, rate correlations
								Spot-Forward	Market price	Market price, Swap Point
Credit Derivatives	14,070	X	X	-	55,902	X	-	Default swaps	Discounted Cash Flow	CDS curves, Interest rate curve
Total assets	3,668,497	159,690	516,648	99,091	X	X	X			
Total liabilities	X	X	X	X	1,300,190	258,235	748,501			

A.4.1.b Fair value level 3: measurement techniques and inputs used

Items	Fair value 31 12 2018			Type	Valuation techinque(s)	Unobservable inputs	Range (weighted average)
	Financial assets held for trading	Finacial assets measured at fair value mandatory	Financial assets measured at fair value through other comprehensive income				
Debt securities	2,523	111,556	-	Subordinated Bonds	Cost	Fair value asset	13 €/mln
				Junior Tranche NPL Securitization	SPV Assets/Liabilities	SPV Assets Value	594 €/mln
				Convertible Bonds	Credit Model	Credit Data (LGD/PD)	61%/100%
				Bonds	Discounted Cash Flow	Yield	1.3% - 5.5%
				Strumento Finanziario Partecipativo	Credit Model	Future cash flows	8.5 €/mln
Equity instruments	-	5,306	234,549.0	Investments	Discounted Cash Flow	Liquidity base/Equity Risk Premium/Beta	20%/7%/0.5
				Investments	Cost/Net equity	Fair value asset	0-12.3 €/mln
Units of UCITS	-	15,711		Side Pocket	External pricing	NAV	0-0.3 €/mln
			X	Real estate closed-end Fund	Adjusted NAV	Fair value asset	10 €/mln
	-	X		Closed-end Fund	Adjusted NAV	Fair value asset	4.9 €/mln
Loans		411,414		Loans	Discounted Cash Flow	NPE spread	2%/5,73%
				Loans	Discounted Cash Flow	LGD	0%/68,3%
				Loans	Discounted Cash Flow	PD	0,09%/45%
				Loans	Discounted Cash Flow	PE spread	0,01%/1,44%
Total Assets	2,523	543,987	234,549				
Total liabilities	X	X	X				

A.4.2 Measurement processes and sensitivity

A description of Level 3 instruments that show significant sensitivity to changes in unobservable inputs is provided below.

The column "Financial assets measured at fair value as per mandatory requirements", for the item "Financial assets measured at fair value through profit and loss" in the "Debt securities" category, valued according to the Credit Model method, represents essentially two convertible bonds issued by the Sorgenia S.p.A. group (Sorgenia S.p.A. and Sorgenia S.p.A. Power) following the restructuring of its original debit position toward the Parent Company (for a total amount of EUR 58.9 mln). The bonds are valued according to the credit models and the value obtained is not verifiable through market results. Defining the probability of default (PD) and the loss given default (LGD) as non-observable parameters, the sensitivity of this position is defined as the loss deriving from the impact on these parameters of a (negative) change in the administrative status of the counterparty and is quantified at approximately EUR 3.6 mln. The same category includes participative equity instruments which were distributed to creditors as part of a loan restructuring transaction. In the valuation of such securities, assumptions were made regarding the future cash flows generated by the issuer; this parameter was considered not observable and amounts to roughly EUR 8.5 mln.

The NPL securitisation position in the junior tranche, with nominal value of EUR 28 mln, was measured based on the estimated value of the assets and liabilities of the issuing vehicle. It is estimated that a fluctuation in these values may have an impact on the value of the note of EUR -2.9 mln.

The last element in the "Debt securities" category is the exposure to the IDPF Voluntary Scheme, amounting to EUR 14.5 mln, as the portion attributable to the Group in the planned intervention for Cassa di Risparmio di Genova (to subscribe subordinated securities).

"Financial assets measured at fair value as per mandatory requirements" includes loans for EUR 411 mln that are required to be measured at fair value, as the contractual cash flows do not exclusively provide for the repayment of principal and payment of interest on the principal to be repaid (i.e., do not pass the "SPPI test"), either by virtue of clauses originally envisaged in the contract or following subsequent amendments. The fair value is calculated using the Discounted Cash Flow approach, applied in a different manner depending on whether they are performing or non-performing loans: in the former case, the contractual cash flows are discounted with a risk-adjusted curve that incorporates risks that affect the cost of credit, cost of funding, and capital; in the latter case, the recoverable value is discounted by applying a spread to include risks inherent in a possible sale on the market. The unobservable parameters are Loss Given Default (LGD), Probability of Default (DP), and the different spreads for performing and non-performing assets. It is estimated that changes in these parameters of 10% / 5% / 1% / 1% would have an impact on the fair value equivalent to EUR -18 mln at Group level.

In the category of "Bonds measured with the Discounted Cash Flow method", placed in the amount of EUR 2.5 mln in "Financial assets held for trading", the unobservable parameter is the overall return on the security. For each percentage point of return, the change in value can be estimated at EUR 0.28 mln.

Equity securities measured at fair value through other comprehensive income through the Discounted Cash Flow method mainly include the shareholding in the Bank of Italy (EUR 187.5 mln). The shareholding was measured with the methodology identified by the Committee of Experts in the document "Revaluation of shareholdings in the Bank of Italy". This document not only details the valuation techniques adopted to reach the end result, but identified the market beta of the equity risk premium and the cash flow base to be used for cash flow discounting as the parameters on which to make entity-specific assumptions. From the valuation it emerged that the intervals of the possible values that can be assigned to these parameters cause the following changes in value: roughly EUR -27 mln for every 100 bps increase in the equity risk premium, roughly EUR -44 mln for every 10% increase in the market beta, and roughly EUR -29 mln for every 10% increase in the cash flow base.

This category also includes equity securities, valued at cost/net equity, representing all investments designated at fair value that could not be measured according to a market-based model. These positions amount to approx. EUR 47 mln.

Note the nearly total write-down of the contribution to the IDPF Voluntary Scheme, in relation to Cassa di Risparmio di Cesena, with the residual balance sheet amount of EUR 1.3 mln, in "Financial assets measured at fair value as per mandatory requirements".

Finally, this category also includes equity securities, valued at cost/net equity, representing all investments designated at fair value that could not be measured according to a market-based model. These positions amount to approx. EUR 1.2 mln.

The units of UCITS measured with external pricing are hedge fund side pockets, whose price quotes by the asset management companies are deemed non-verifiable. For this reason, the sensitivity of these positions is considered to be equal to their entire book value (approx. EUR 0.7 mln).

This category also includes the total contributions to the Atlante Fund for approx. EUR 10 mln. The value of this last position takes into account the fund's residual assets after the write-off of the two main equity investments in the fund's assets (BPVI and Veneto Banca).

The same category continues to include a position of approx. EUR 4.9 mln in the Rainbow Reserved Closed-end real estate investment fund by way of "acceptance in return" as part of a loan restructuring operation.

A.4.3 Fair value hierarchy

IFRS 13 defines fair value as the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date under current market conditions.

The fair value of financial instruments listed in active markets is determined by using quoted market prices; quoted market prices for similar instruments or internal valuation models are used for other financial instruments.

Financial instruments are classified in three different levels according to the reliability of the inputs used during measurement.

The methods for classifying financial instruments in the three-level fair value hierarchy are shown below.

Level 1

This level shall include financial instruments measured using unadjusted quoted prices in active markets for identical instruments.

IFRS 13 defines an active market as a market in which transactions take place with sufficient frequency and volume to provide information on an ongoing basis. A financial instrument is quoted in a financial market when:

- the quoted prices are readily and regularly available from an exchange, dealer, broker, industry group, pricing service, authorised body or regulatory agency;
- the quoted prices represent actual and regularly occurring market transactions on an arm's length basis.

If the quoted prices meet these criteria, they represent the best estimation of fair value and must be used to measure the financial instrument.

From the definition of active market set out in IFRS 13, it is inferred that the active market concept is particular to the individual financial instrument being measured and not to the market on which it is listed; the fact that a financial instrument is quoted in a regulated market is therefore not in itself sufficient for the aforementioned instrument to be defined as listed in an active market. Conversely, a financial instrument that is not traded in a regulated market may present sufficient frequency and volumes for it to be classified in level 1 of the fair value hierarchy.

Levels 2 and 3

Financial instruments not listed in an active market must be classified in level 2 or 3.

Classification in level 2 rather than level 3 is determined on the basis of market observability of the significant inputs used to determine fair value. A financial instrument must be fully classified in a single level; if inputs belonging to different levels are used for the purpose of measuring an instrument, the aforementioned instrument is classified based on the lowest level of input that is significant to the fair value measurement.

An instrument is classified in level 2 if all significant inputs are directly or indirectly observable on the market. An input is observable if it reflects the same assumptions used by market participants, based on independent market data.

Level 2 inputs are as follows:

a) quoted prices on active markets for similar assets or liabilities;
b) quoted prices for the instrument in question or for similar instruments on non-active markets, i.e. markets where:
   - there are few transactions;
   - the prices are not current or they vary substantially over time and between the different market makers or
   - little information is made public;
c) observable market inputs other than quoted prices (e.g. interest rates or yield curves observable in different buckets, volatility, credit curves, etc.);
d) inputs that derive primarily from observable market data, the reporting of which is confirmed by parameters such as correlation.

A financial instrument is classified in level 3 if the measurement techniques adopted use non-observable market inputs and their contribution to estimating fair value is deemed significant.

All financial instruments not listed in active markets are classified in level 3 where:

- despite having observable data available, significant adjustments based on non-observable data are required;
- the estimate is based on internal assumptions on future cash flows and risk adjustment of the discount curve.

It should also be noted that regardless of whether measurement techniques adopted use non-observable market inputs, the Group deemed it appropriate and conservative to include in Level 3 of the fair value hierarchy any instruments not listed in active markets which are complex by their financial structure or for which there is no clear measurement method recognised as standard in the market and adjustable based on observable prices of comparable structures.

This applies, for example, to assets in the structured credit category not listed in an active market. Although, in some cases, this category could avail itself of appropriate measurement models that make use of observable market inputs (e.g. credit default swap curves) or quotations by primary counterparties, the lack of a liquid market on correlations in the wake of the financial crisis made it necessary to use subjective estimates. Given the complexity of these structures, the Group decided to classify these instruments in level 3, in the absence of an active market, regardless of the observability of input parameters significant for their mark-to-model measurement.

The processes used to measure level 3 instruments are based on a shared analysis of the types of instruments and underlying risk parameters by the Group's Business functions and Risk Management. The analysis is completed with the formulation of a pricing model and/or a model for determining non-observable market inputs, which is subject to final validation by Risk Management. At different time intervals depending on the type of instruments (though commonly on a monthly basis) on the back of directly observable market inputs, the Group's Business functions proceed with determining the non-observable market inputs and measuring instruments of level 3. The Risk Management function, based on a shared methodological approach, proceeds with the final validation of fair value. In support of this activity and with a view to ensuring an adequate level of auditability, assessment data sheets have been introduced and are updated on a six-monthly basis for individual instruments classified in level 3, which contain a brief description of the instrument, pricing methods adopted and details about inputs used for fair value measurement.

As for fair value transfers between different levels, it is noted that the Group has set some rules to determine whether a financial instrument is level 1 or 3; level 2 is determined, from the logical point of view, on a residual basis. When an instrument no longer meets the conditions for classification in level 1 or 3, a new level is determined.

A.4.4 Other information

With reference to par. 93 lett. (i) of IFRS 13, the Group does not hold any non-financial assets designated at fair value on a recurring and non-recurring basis.

With reference to par. 96 of IFRS 13, the Group does not apply the portfolio exception provided for in par. 48 of IFRS 13.

Qualitative information

A.4.5 Fair value hierarchy

A.4.5.1 Assets and liabilities measured at fair value on a recurring basis: breakdown by fairvalue level.

Asset and liabilities measured at fair value	31 12 2018				31 12 2017*			
	Level 1	Level 2	Level 3	Total	Level 1	Level 2	Level 3	Total
1, Financial assets measured at fair value through profit and loss of which:	4,888,947	3,828,188	546,509	9,263,644	4,907,239	3,807,713	3,042	8,717,994
a) Financiale asset held for trading	4,888,947	3,668,497	2,523	8,559,967	4,907,239	3,807,713	3,042	8,717,994
b) Financial assets designated at fair value	-	-	-	-	-	-	-	-
c) other financial assets measured at fair value mandatory	-	159,691	543,986	703,677	-	-	-	-
2. Financial assets measured at fair value through other comprehensive income	9,930,304	516,647	234,549	10,681,500	14,744,424	373,251	332,761	15,450,436
3. Hedging derivative	-	99,091	-	99,091	-	156,485	-	156,485
Total assets	**14,819,251**	**4,443,926**	**781,058**	**20,044,235**	**19,651,663**	**4,337,449**	**335,803**	**24,324,915**
1. Financial liabilities held for trading	1,873,363	1,300,190	-	3,173,553	2,901,366	1,575,541	-	4,476,907
2. Financial liabilities designated at fair value	-	258,235	-	258,235	-	326,279	-	326,279
3. Hedging derivative	-	748,501	-	748,501	-	691,368	-	691,368
Total liabilities	**1,873,363**	**2,306,926**	**-**	**4,180,289**	**2,901,366**	**2,593,188**	**-**	**5,494,554**

** The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 9; in addition, the comparative data were reclassified on the basis of the new accounting statements set forth in the 5th update of Bank of Italy Circular 262.*

The financial instruments measured at fair value and classified in level 3 of the hierarchy consist of instruments not listed in active markets, valued using the mark-to-model approach, for which input data include, *inter alia*, non-observable market data significant for measurement purposes or observable market data that requires significant adjustment based on non-observable data, or that requires internal Parent Company assumptions and estimations of future cash flows.

Additional information on level 3 financial instruments can be found in the comments under the tables for the individual balance sheet items concerned.

The fair value of some financial assets, particularly the bonds for approx. EUR 396 mln, worsened during the year from level 1 to level 2. This was essentially due to worsening of the liquidity conditions of the securities (measured in terms of bid-ask spread of the listed price), leading to the level transfer, in accordance with the Group's policy on the valuation of financial instruments.

The financial instruments that improved from fair value level 2 to level 1 refers to bonds for a total of EUR 27 mln. The change in the fair value level during the year is essentially linked to the improvement in the securities' liquidity conditions (measured in terms of bid-ask spread of the listed price), which allowed the level transfer in accordance with the Group's policy on the valuation of financial instruments.

As for OTC derivatives, in compliance with IFRS 13 the Group calculates adjustments to values, obtained through valuation models using risk-free interest rates, to take account of the creditworthiness of the individual counterparty. This risk measure, known as Credit Value Adjustment (CVA), is estimated for all OTC derivative positions with non-collateralised institutional and commercial counterparties having a Credit Support Annex (CSA) not in line with market standards. The methodology is based on the calculation of expected operational loss linked to counterparty rating and estimated on a position's duration. The exposure includes future credit variations represented by add-ons. Market-consistent probability measurements are employed in the calculation of CVAs in order to gauge market expectations resulting from CDS prices without, however, losing the historical information available within the Group. The impact of the CVA as at 31 December 2018 amounted to EUR -30.9 mln.

The Group calculates the value adjustment of OTC derivatives in a mirror image fashion and on the same perimeter to take into account its creditworthiness, known as Debit Value Adjustment (DVA). As at 31 December 2018, the DVA is positive and amounts to a total of EUR 9.1 mln.

A.4.5.2 Annual changes of financial assets measured at fair value on a recurring basis (level 3)

31 12 2018

	Financial assets measured at fair value through profit and loss				Financial assets measured at fair value through other comprehensive income
	Total	of which: a) financial assets held for trading	of which: b) financial asset measurd at fair value	of whichi: c) financial assets measuerd at fair value mandatory	
1. Opening balance*	**670,641**	**3,042**	**-**	**667,599**	**242,240**
2. Increases	**89,945**	**371**	**-**	**89,574**	**1,369**
2.1 Purchase	48,911	308	-	48,602	-
2.2 Profit posted to:	16,688	63	-	16,625	1,353
2.2.1 Profit and Loss	16,688	63	-	16,625	-
- of which capital gains	*16,424*	*2*	-	*16,422*	-
2.2.2 Equity	-	X	X	-	1,353
2.4 Other increases	24,347	-	-	24,347	16
3. Decreases	**214,077**	**890**	**-**	**213,187**	**9,060**
3.1 Sales	95,307	5	-	95,302	872
3.2 Redemptions	14,997	749	-	14,247	-
3.3 Losses posted to:	81,441	136	-	81,305	5,299
3.3.1 Profit and Loss	81,441	136	-	81,305	-
- of which capital losses	*80,980*	*136*	-	*80,844*	-
3.3.2 Equity	-	X	X	-	5,299
3.4 Transfers to other levels	-	-	-	-	2,800
3.5 Other decreases	22,332	-	-	22,333	89
4. Closing balance	**546,509**	**2,523**	**-**	**543,986**	**234,549**

** The initial balance includes the effects of first-time adoption of the new IFRS 9 as at 1 January 2018, described in the paragraph "Transition to the IFRS 9 and IFRS 15 accounting standards".*

The amount reported in the column "Other financial assets measured at fair value as per mandatory requirements" corresponding to the line item:

- "2.1 Purchases" amounting to EUR 48.6 mln, contains: the junior tranche of the securitisation of the Group's bad loans (Siena NPL for EUR 28.3 mln), the investment in the IDPF Voluntary Scheme for subscription of the Carige subordinated loan (EUR 15.0 mln), and the call for additional shares by the Atlante Fund (EUR 3.8 mln);

- "2.3.1 Profits charged to the income statement - of which gains" of EUR 16.4 mln refer to gains on loans for EUR 14.7 mln;
- "2.4 Other increases", equal to EUR 24.3 mln, refers almost entirely to new loans disbursed by the Parent Company and the subsidiary MPS Capital Services S.p.A. during 2018;
- "3.1 Sales" of EUR 95.3 mln refers entirely to the sale during 2018 of loans classified as unlikely to pay;
- "3.3.1 Losses charged to the income statement - of which losses" of EUR 80.8 mln primarily refers to losses during the year on non-performing loans (EUR 78.6 mln);
- "3.5 Other decreases", equal to EUR 22.3 mln, refers to Parent Company loans (EUR 16.0 mln) settled during the year and, for a residual amount, the assets of the subsidiary BBMP Belgio S.A. classified under discontinued operations.

The amount reported in the column "Financial assets measured at fair value through other comprehensive income" corresponding to the line item "3.4 Transfers to other levels", equal to EUR 2.8 mln, refers to an equity security that was upgraded in the fair value hierarchy, from level 3 to level 2, following the change in the measurement technique: a budget analysis in 2017 versus a market-oriented technique in 2018.

A.4.5.3 Annual changes of financial liabilities measured at fair value on a recurring basis (level 3)

This table was not created as the Group did not have any liabilities measured at fair value on a recurring basis in level 3 of the fair value hierarchy in the current year or previous year.

A.4.5.4 Assets and liabilities not measured at fair value or measured at fair value on a non-recurring basis: breakdown by fair value level

Financial asset/liabilities not measured at fair value or measured at fair value on a non - recurring basis	31 12 2018					31 12 2017*				
	Book value	Level 1	Level 2	Level 3	Total Fair value	Book value	Level 1	Level 2	Level 3	Total Fair value
1. Financial assets measured at amortised cost	98,496,860	4,151,249	18,678,045	78,871,342	101,700,636	96,422,619	160,623	15,834,968	83,775,480	99,771,071
2. Property, plant and equipment held for investment	364,605	-	-	395,217	395,217	338,281	-	-	368,924	368,924
3. Non-current assets and groups of assets held for sale	1,478,310	328,854	20,044	2,320	351,218	4,595,135	-	-	4,596,173	4,596,173
Total assets	**100,339,775**	**4,480,103**	**18,698,089**	**79,268,879**	**102,447,071**	**101,356,035**	**160,623**	**15,834,968**	**88,740,577**	**104,736,168**
1, Financial liabilities measured at amortised cost	111,087,471	6,770,907	104,016,610	-	110,787,517	118,560,393	14,061,015	104,851,525	-	118,912,540
4. Liabilities associated to disposal groups held for sale	1,180,149	-	2,195	-	2,195	-	-	-	-	-
Total liabilities	**112,267,620**	**6,770,907**	**104,018,805**	**-**	**110,789,712**	**118,560,393**	**14,061,015**	**104,851,525**	**-**	**118,912,540**

With reference to assets and liabilities not measured at fair value, note that, in the context of financial assets and liabilities measured at amortised cost, all loans to customers, other than debt securities and the repurchase agreements of the subsidiary MPS Capital Services S.p.A., are considered level 3, since the fair value was determined based on unobservable parameters, mainly attributable to estimates of expected losses calculated using indicators not observable on the market.

Loans to banks, other than debt securities and non-performing loans, and deposits from banks/customers are considered level 2. In particular, for liabilities at amortised cost other than securities issued, the book value was used as an expression of fair value, as permitted by IFRS 7.

For all the aforementioned portfolios, the rules followed for classification in hierarchy levels, as well as the techniques and parameters used in estimating fair value, shown in financial statements for disclosure purposes only, require significant discretionary elements; therefore, it is possible that a different estimate of these parameters or the use of alternative measurement techniques could lead to significantly different fair values, also depending on the different purposes for calculating them.

Assets that are not measured at fair value include property, plant and equipment held for investment purposes. The fair value used for disclosure purposes is classified as level 3 in the hierarchy, as it is determined based on appraisals or index valuations.

As at 31 December 2018, the items measured in the financial statements at fair value on a non-recurring basis refer to the assets held for sale and their corresponding liabilities, in accordance with IFRS 5, almost entirely attributable to the contribution of assets and liabilities related to the controlling investment in BBMP Belgio S.A.

For these assets held for sale and their corresponding liabilities, note that the fair value levels indicate only the assets/liabilities measured at fair value, net of disposal costs. For further details on these sub-items, please refer to Part B of the Notes to the financial statements - Section 15 - Table 15.1. For assets and liabilities measured at cost, please refer to the specific information provided in Section 12 “Non-current assets held for sale/discontinued operations and associated liabilities” in Part B of these Notes.

A.5 Information on "day one profit/loss"

The Group did not generate day one profit/loss from financial instruments pursuant to paragraph 28 of IFRS 7 and other related IAS/IFRS paragraphs.

Part B – Information on the balance sheet

ASSETS

LIABILITIES

ASSETS

Section 1- Cash and cash equivalents - Item 10

1.1 Cash and cash equivalents: breakdown

	Total 31 12 2018	Total 31 12 2017
a) Cash	908,634	1,006,680
b) Demand deposits with central banks	37,004	3,085,627
Total	**945,638**	**4,092,307**

The line “Demand deposits with central banks” does not include the compulsory reserve, which is shown in asset item 40 “Financial assets measured at amortised cost”, under loans to banks.

Section 2 - Financial assets measured at fair value through profit and loss - Item 20

2.1 Financial assets held for trading: breakdown

Voci/Valori	Total 31 12 2018				Total 31 12 2017			
	Level 1	Level 2	Level 3	Total	Level 1	Level 2	Level 3	Total
A. Balance-sheet assets								
1. Debt securities	4,762,530	599,466	2,523	5,364,519	4,716,866	579,392	3,042	5,299,300
1.1 Structured securities	3,571	73,558	-	77,129	14,668	85,594	-	100,262
1.2 Other debt securities	4,758,959	525,908	2,523	5,287,390	4,702,198	493,798	3,042	5,199,038
2. Equity instruments	20,826	23	-	20,849	25,094	99	-	25,193
3. Units of UCITS	46,259	-	-	46,259	61,728	-		61,728
4. Loans	-	-	-	-	-	-	-	-
4.1 Repurchase agreements	-	-	-	-	-	-	-	-
4.2 Others	-	-	-	-	-	-	-	-
Total (A)	**4,829,615**	**599,489**	**2,523**	**5,431,627**	**4,803,688**	**579,491**	**3,042**	**5,386,221**
B. Derivatives								
1. Financial derivatives:	59,332	3,054,938	-	3,114,270	103,551	3,216,807	-	3,320,358
1.1 held for trading	59,332	3,017,257	-	3,076,589	103,551	3,180,407	-	3,283,958
1.2 fair value option	-	37,681	-	37,681	-	36,400	-	36,400
1.3 Others	-	-	-	-	-	-	-	-
2. Credit derivatives:	-	14,070	-	14,070	-	11,415	-	11,415
2.1 held for trading	-	14,070	-	14,070	-	11,415	-	11,415
2.2 fair value option	-	-	-	-	-	-	-	-
2.3 Others	-	-	-	-	-	-	-	-
Total (B)	**59,332**	**3,069,008**	**-**	**3,128,340**	**103,551**	**3,228,222**	**-**	**3,331,773**
Total (A+B)	**4,888,947**	**3,668,497**	**2,523**	**8,559,967**	**4,907,239**	**3,807,713**	**3,042**	**8,717,994**

Criteria adopted for classification of financial instruments in the three levels of the "fair value hierarchy" are reported in Section A.4, "Fair value disclosure" of Part A, "Accounting policies" of the notes to the consolidated financial statements, which should therefore be referred to.

As a result of the provisions set out in IFRS 9 with regard to the derecognition of financial assets, lines 1.1 Structured securities and 1.2 Other debt securities of the item "Cash assets" also include debt securities pledged in repos and securities lending transactions carried out in respect of own securities posted to the trading book.

The amount of EUR 525.9 mln (EUR 493.8 mln as at 31 December 2017), reported on line "1.2 Other debt securities", in the level 2 column, includes senior, mezzanine and junior exposures assumed by the Group with reference to third-party securitisation transactions, equal to EUR 215.0 mln (EUR 208.5 mln as at 31 December 2017), EUR 86.6 mln (EUR 51.4 mln as at 31 December 2017) and lastly EUR 72.1 mln (EUR 4.1 mln as at 31 December 2017), respectively.

Derivatives connected with fair value option instruments are also classified as derivative instruments: these cover the risks of funding designated at fair value arising from possible interest rate fluctuations and from any embedded options in fixed-rate and structured bonds issued by the Parent Company (natural hedging). The positive fair value of these derivatives is shown in the table in line "B.1-1.2 – Fair value option".

By convention, such derivatives are classified in the trading book. In terms of their representation in the income statement, they comply with rules similar to the rules applicable to hedging derivatives: positive and negative spreads or margins settled or accrued until the balance sheet date are recognised as interest income and expense, while valuation profits and losses are posted under item 80 of the income statement, "Net profit (loss) from trading", contrary to funding instruments included in the fair value option, for which profit, loss, capital losses and capital gains fall under item 110 a) "Net profit (loss) from other financial assets and liabilities measured at fair value through profit and loss a) financial assets and liabilities measured at fair value" of the income statement.

2.1 a Breakdown of debt securities: structured securities

Structured debt securities	Total 31 12 2018	Total 31 12 2017
Index Linked	27,346	25,229
Reverse convertible	2,443	-
Convertible	628	-
Equity Linked	12,266	17,144
Cap Floater	24,348	1,600
Reverse Floater	-	9,167
Commodity	-	36,439
Fund Linked	9,998	8,619
Other	100	2,064
Total	**77,129**	**100,262**

The table adds details to line "A.1.1 Structured securities" of table 2.1 above. Structured debt securities classified on the line "Commodity" as at 31 December 2017, for an approximate amount of EUR 36 mln, were sold during 2018.

2.2 Financial assets held for trading: breakdown by borrower/issuer/counterparty

Items/Amounts	Total 31 12 2018	Total 31 12 2017*
A. Balance sheet assets		
1. Debt securities	5,364,519	5,299,300
a) Central banks	-	-
b) Public entities	4,588,778	4,253,450
c) Banks	287,648	592,925
d) Other financial companies	434,430	342,056
of which: insurance companies	6,707	-
e) Non-financial companies	53,663	110,869
2. Equity instruments	20,849	25,193
a) Banks	140	10,949
b) Other financial companies	1,046	1,086
of which: insurance companies	336	962
c) Non-financial companies	19,663	13,158
d) Other issuers:	-	-
3. Units of UCITS	46,259	61,728
4. Loans	-	-
Total (A)	**5,431,627**	**5,386,221**
B. Derivatives	-	-
a) Central couterparties	-	n.d.
b) Others	3,128,339	n.d.
Total (B)	**3,128,339**	**3,331,773**
Total (A+B)	**8,559,966**	**8,717,994**

** The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 9; in addition, the comparative data were reclassified on the basis of the new accounting statements set forth in the 5th update of Bank of Italy Circular 262.*

The breakdown by borrower/issuer was carried out in accordance with criteria of classification by economic activity group and sector laid down by the Bank of Italy.

As for derivatives, it should be noted that the positive fair value of derivatives with customers includes approx. EUR 209.0 mln from balanced trading aimed at providing financial protection to customers of the Group's network (for further details, see Part E "Information on risks and hedging policies" of these Notes to the Financial statements). The remaining amount is generated from transactions with financial market participants classified as customers pursuant to the above classification criteria set by the Bank of Italy.

Provided below is the breakdown by main categories of UCITS .

Categories/Amounts	Total 31 12 2018	Total 31 12 2017
Equity	1	5
Bonds	435	50,578
Exchange Traded Funds (ETF)	45,823	11,145
Total	**46,259**	**61,728**

The table adds details to line "A.3. Units of UCITS" of table 2.2 above.

2.3 Financial assets measured at fair value: breakdown

2.4 Financial assets measured at fair value: breakdown by borrower/issuer

Tables 2.3 and 2.4 were not completed since the Bank has no financial assets measured at fair value to report for either the current or previous year.

2.5 Other financial assets measured at fair value as per mandatory requirements: breakdown

Items	Total 31 12 2018			
	Level 1	Level 2	Level 3	Total
1. Debt securities	-	42,500	111,556	154,056
1.1 Stuctured secutities	-	42,208	103,199	145,407
1.2 Other debt securities	-	292	8,357	8,649
2. Equity instruments	-	305	5,306	5,611
3. Units of UCITD	-	116,885	15,711	132,596
4. Loans	-	-	411,414	411,414
4.1 Repurchase agreements	-	-	-	-
4.2 Others	-	-	411,414	411,414
Total	**-**	**159,690**	**543,987**	**703,677**

Line 1.1 "Structured securities" includes:

- EUR 72.0 mln of securities referring to the mezzanine (EUR 42.2 mln) and junior (EUR 29.8 mln) tranches of the securitisation of the MPS Group's bad loan portfolio;
- EUR 58.9 mln in securities from a restructuring operation;
- EUR 14.5 mln for the contribution to the IDPF Voluntary Scheme aimed at intervention in Banca Carige S.p.A. (through subscription of subordinated loans).

Line 2. Equity securities" includes EUR 1.2 mln referring to investments in the Voluntary Scheme, originally recognised for a total of EUR 51.5 mln (total cumulative write-down of EUR 50.3 mln).

Line 3 "Units of UCITS" contains the investment held in the Atlante Fund (shown in "level 3" column) for a value of EUR 10.1 mln, following total cumulative write-downs of EUR 39.6 mln.

Line 4 "Loans" consists of financial assets that must be valued at fair value as a result of their failure to pass the SPPI test.

At the reporting date, there are no equity securities arising from the recovery of impaired financial assets.

2.6 Other financial assets measured at fair value as per mandatory requirements: breakdown by borrower/issuer

Voci/Valori	Total 31 12 2018
1. Equity instruments	5,612
of which: banks	-
of which: other financial companies	*1,609*
of which: non-financial companies	*4,003*
2. Debt secuties	154,056
a) Central Banks	-
b) Public Entities	-
c) Banks	14,540
d) Other financial companies	72,279
of which: insurance companies	-
e) Non-financial companies	67,237
3. Units of UCITS	132,596
4. Loans	411,413
a) Central Banks	-
b) Public Entities	-
c) Banks	-
d) Other financial companies	25,016
of which: insurance companies	-
e) Non-financial companies	345,223
f) Families	41,174
Total	**703,677**

The main cumulative losses relating to equity securities of clearly poor credit quality are:

- Sorgenia S.p.A. (EUR 36.1 mln)
- CISFI S.p.A. (EUR 10.1 mln)
- Compagnia Investimento e Sviluppo (EUR 3.8 mln)
- Marinella S.p.A. (EUR 5.5 mln)
- Marina di Stabia S.p.A. (EUR 6.9 mln)
- Panini S.p.A. (EUR 2.8 mln)

During the course of the year, the Group did not write down any equity securities of clearly poor credit quality.

Provided below is the breakdown by main categories of UCITS .

Categories/Amount	Totale 31 12 2018
Hedge Funds	1,030
Private equity	74,944
Real estate	14,917
Others	41,705
Total	**132,596**

Section 3 - Financial assets measured at fair value through other comprehensive income - Item 30

3.1 Financial assets measured at fair value through other comprehensive income: breakdown

Items/Amounts	Total 31 12 2018				Total 31 12 2017*			
	Level 1	Level 2	Level 3	Total	Level 1	Level 2	Level 3	Total
1. Debt securities	9,930,107	502,154	-	10,432,261	14,740,170	362,796	25,342	15,128,308
1.1 Structured securities	-	-	-	-	-	-	-	-
1.2 Other debt securities	9,930,107	502,154	-	10,432,261	14,740,170	362,796	25,342	15,128,308
2. Equity instruments	197	14,494	234,549	249,240	4,254	10,455	307,419	322,128
3. Loans	-	-	-	-	-	-	-	-
Total	**9,930,304**	**516,648**	**234,549**	**10,681,501**	**14,744,424**	**373,251**	**332,761**	**15,450,436**

** The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 9; in addition, the comparative data were reclassified on the basis of the new accounting statements set forth in the 5th update of Bank of Italy Circular 262.*

As a result of the provisions set out in IFRS 9 for the derecognition of financial assets, line 1.2 also includes debt securities committed in repos (liabilities) and securities lending transactions carried out for own securities posted to financial assets measured at fair value through other comprehensive income.

Line "1.2 Other debt securities" equal to approximately EUR 10.4 bn shows a decrease of approximately EUR 4.7 bn, predominantly due to the disposal of a number of positions in Italian government securities (around EUR 3 bn) and reclassifications upon first-time adoption of IFRS 9 (EUR 0.8 mln from the ex-AFS portfolio,under the former IAS 39 standard, to the portfolio of assets measured at amortised cost, in line with the "HTC Business model Criteria", adopted by the Group from 1 January 2018.

Line "2. Equity securities" (Level 3 column) includes EUR 187.5 mln for the investment in the capital of Bank of Italy.

At the reporting date, the aggregate does not include the Group's senior, mezzanine and junior exposures with reference to own and third party securitisation transactions and equity securities arising from the recovery of impaired financial assets.

3.2 Financial assets measured at fair value through other comprehensive income: breakdown by borrower/issuer

Items/Amounts	Total 31 12 2018	Total 31 12 2017*
1. Debt securities	**10,432,261**	**15,032,086**
a) Central banks	-	-
b) Public entities	9,959,718	14,117,393
c) Banks	287,833	342,170
d) Other financial copanies	67,933	211,883
of which insurance companies	-	-
e) Non-financial companies	116,777	360,639
2. Equity instruments	**249,240**	**418,350**
a) Banks	204,056	207,194
b) Other issuers:	45,184	211,156
- Other financial copanies	27,824	125,663
of which insurance companies	-	-
- Non-financial companies	17,359	85,493
- Others	-	-
4. Loans	**-**	**-**
Total	**10,681,501**	**15,450,436**

** The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 9; in addition, the comparative data were reclassified on the basis of the new accounting statements set forth in the 5th update of Bank of Italy Circular 262.*

The main cumulative losses relating to equity securities of clearly poor credit quality are:

- Restart S.r.L. (EUR 1 mln - fully written down during the year);

- Gabetti Group (EUR 2.7 mln, of which EUR 0.3 mln during the year).

- Fenice Holding S.p.A. (EUR 42.1 mln)

3.3 Financial assets measured at fair value through other comprehensive income: gross value and overall value adjustments

	Gross exposure				Value adjustments			Partial write-off (*)
	Stage 1		Stage 2	Stage 3	Stage 1	Stage 2	Stage 3	
		of which: low credit risk instruments						
Debt securities	10,430,851	10,303,260	7,508	10,701	10,107	132	6,560	-
Loans	-	-	-	-	-	-	-	-
Totale 31 12 2018	**10,430,851**	**10,303,260**	**7,508**	**10,701**	**10,107**	**132**	**6,560**	**-**
Totale 31 12 2017*	**15,016,972**	**n.d.**	**6,757**	**9,688**	**-**	**-**	**1,331**	**n.d.**
of which: purchased or originated credit impaired financial assets	X	X	-	-	X	-	-	-

** Value to be presented for disclosure purposes*

*** The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 9; in addition, the comparative data were reclassified on the basis of the new accounting statements set forth in the 5th update of Bank of Italy Circular 262.*

The line Debt securities of the level three column includes a single position demoted to default during 2018: the gross value is indicated as the sum of the fair value as at the reporting date and the value adjustment as at the same date; in particular, the latter is equal to the expected credit loss recognised as an offsetting entry to item 130 b) of the income statement "Net impairment (losses)/reversals for credit risk of: b) financial assets measured at fair value through other comprehensive income.

Section 4 - Financial assets measured at amortised cost - Item 40

4.1 Financial assets measured at amortised cost: breakdown of loans to banks

Type of transaction/Amount	Total 31 12 2018							
	Book value				Fair value			
	Stage 1 and Stage 2	Stage 3	of which: impaired or originated impaired financial assets	Total	L1	L2	L3	Total
A. Loans to central banks	**6,659,406**	**-**	**-**	**6,659,406**	-	6,659,406	-	**6,659,406**
1. Time deposits	20,001	-	-	20,001	X	X	X	X
2. Compulsory reserve	6,639,405	-	-	6,639,405	X	X	X	X
3. Reverse repurchase agreements	-	-	-	-	X	X	X	X
4. Others	-	-	-	-	X	X	X	X
B. Loans to bank	**5,669,382**	**1,833**	**-**	**5,671,215**	22,696	5,534,526	1,833	**5,559,056**
1. Loans	4,921,264	1,833	-	4,923,097	-	4,917,378	1,833	4,919,211
1.1 Current accounts and demand deposits	2,346,141	120	-	2,346,261	X	X	X	X
1.2 Time deposits	43,389	-	-	43,389	X	X	X	X
1.3 Other loans	2,531,734	1,713	-	2,533,447	X	X	X	X
- Reverse repurchase agreements	833,589	-	-	833,589	X	X	X	X
- Finance leases	-	-	-	-	X	X	X	X
- Others	1,698,145	1,713	-	1,699,858	X	X	X	X
2. Debt securities	748,118	-	-	748,118	22,696	617,149	-	639,845
2.1 Sructured securities	-	-	-	-	-	-	-	-
2.2 Other debt securities	748,118	-	-	748,118	22,696	617,149	-	639,845
Total	**12,328,788**	**1,833**	**-**	**12,330,621**	**22,696**	**12,193,932**	**1,833**	**12,218,462**

At the reporting date, the item includes non-performing loans for an amount of EUR 1.8 mln (EUR 3.4 mln as at 31 December 2017).

'Banks' also includes international entities of a banking nature subjected to zero weighting in accordance with prudential supervisory regulations on the standardised approach to counterparty and credit risk.

The portfolio of “Loans to banks” includes loans and deposits, in addition to the unrestricted part of the compulsory legal reserve with the Bank of Italy which, at year end, amounted to EUR 6,639.4 mln (EUR 3,881.8 mln as at 31 December 2017). In accordance with regulations on average maintenance levels, the end-of-period balance of the compulsory reserve may be subject to substantial changes in relation to the Group’s contingent cash flow requirements.

Sub-item “B.1.3 Other loans – Other”, totalling EUR 1,698.1 mln, includes security deposits of approximately EUR 1,232.5 mln.

At the reporting date, the aggregate does not include the Group’s senior, mezzanine and junior exposures with reference to own and third party securitisation transactions.

Type of transaction/Amount	Total 31 12 2017*							
	Book value				Fair value			
	Stage 1 and Stage 2	Stage 3	of which: impaired or originated impaired financial assets	Total	L1	L2	L3	Total
A. Loans to central banks	**3,901,816**	**-**	**-**	**3,901,816**	-	3,901,816	-	**3,901,816**
1. Time deposits	20,000	-	-	20,000	X	X	X	X
2. Compulsory reserve	3,881,816	-	-	3,881,816	X	X	X	X
3. Reverse repurchase agreements	-	-	-	-	X	X	X	X
4. Others	-	-	-	-	X	X	X	X
B. Loans to bank	**6,061,033**	**3,363**	**-**	**6,064,396**	32,970	5,913,352	3,363	**5,949,685**
1. Loans	5,347,393	3,363	-	5,350,756	-	5,349,859	3,363	5,353,222
1.1 Current accounts and demand de	2,931,011	-	-	2,931,011	X	X	X	X
1.2 Time deposits	37,549	-	-	37,549	X	X	X	X
1.3 Other loans	2,378,833	3,363	-	2,382,196	X	X	X	X
- Reverse repurchase agreements	898,734	-	-	898,734	X	X	X	X
- Finance leases	-	-	-	-	X	X	X	X
- Others	1,480,099	3,363	-	1,483,462	X	X	X	X
2. Debt securities	713,640	-	-	713,640	32,970	563,493	-	596,463
2.1 Sructured securities	-	-	-	-	-	-	-	-
2.2 Other debt securities	713,640	-	-	713,640	32,970	563,493	-	596,463
Total	**9,962,849**	**3,363**	**-**	**9,966,212**	**32,970**	**9,815,168**	**3,363**	**9,851,501**

** The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 9; in addition, the comparative data were reclassified on the basis of the new accounting statements set forth in the 5th update of Bank of Italy Circular 262.*

4.2 Financial assets measured at amortised cost: breakdown of loans to customers

Type of transaction/Amount	31 12 2018							
	Book value				Fair value			
	Stage 1 and Stage 2	Stage 3	of which: impaired or originated impaired financial assets	Total	L1	L2	L3	Total
Loans	71,514,538	7,265,664	46,520	78,780,202	-	3,405,671	78,827,895	82,233,566
1.1. Current accounts	4,927,124	994,052	3,251	5,921,176	X	X	X	X
1.2. Reverse repurchase agreements	3,394,929	-	-	3,394,929	X	X	X	X
1.3. Mortgage	48,017,882	4,870,580	18,582	52,888,462	X	X	X	X
1.4. Credit cards, personal loans and fifth-of-salary backed loans	763,870	35,985	-	799,855	X	X	X	X
1.5. Finance lease	2,787,109	369,362	-	3,156,471	X	X	X	X
1.6. Factoring	912,549	40,894	-	953,443	X	X	X	X
1.7. Other transactiones	10,711,075	954,791	24,687	11,665,866	X	X	X	X
of whch: operating receivable	20,659	188	-	*20,847*	X	X	X	X
of which: leased assets under construction	149,753	7,837	-	*157,590*	X	X	X	X
Debt securities	7,386,037	-	-	7,386,037	4,128,553	3,078,442	41,614	7,248,609
1.1. Structured securities	-	-	-	-	-	-	-	-
1.2. Other debt securities	7,386,037	-	-	7,386,037	4,128,553	3,078,442	41,614	7,248,609
Total	**78,900,575**	**7,265,664**	**46,520**	**86,166,239**	**4,128,553**	**6,484,113**	**78,869,509**	**89,482,175**

'Loans to customers' also includes operating receivables for EUR 20.8 mln, other than those connected with the payment for the supply of non-financial goods and services, posted to "Other assets" in item 150 of the Assets, subject to the provisions pursuant to IFRS 9, paragraph 5.5.15 a) i).

The column impaired acquired or originated almost entirely comprises the granting of new loans to already non-performing counterparties. No business combinations were carried out during the year.

Line "2.2. Other debt securities", amounting to EUR 7.4 bn, was up by EUR 6.3 bn, mainly due to:

- approximately EUR 3 bn for Italian government securities acquired with the objective of operational matching of interest rate risk for the Group's bond liabilities;
- EUR 2.8 bn in senior notes relative to the securitisation operation on the portfolio of bad loans of the MPS Group, subscribed in the first half of 2018.

The line also includes bonds not listed in active markets issued mainly by regional public bodies, e.g. municipal bonds (it.: buoni ordinari comunali, BOC).

"Loans to customers" include loans disbursed with funds made available by the Government or by other public entities, with the Group adopting partial or total risk. These funds are managed under the agreements signed by the MPS Group with Cassa Depositi e Prestiti (hereinafter CDP), in direct cooperation with ABI, and with regional financial institutions. In particular, the Group participated in the agreements set up by ABI and CDP:

- to support the business sector. These activities aim to encourage the disbursement of loans, depending on the case, to small and medium-sized companies, essentially to ensure financial coverage of costs for investments and/or linked to requirements to increase working capital and purchase or lease operating assets. Loans to SMEs by the Parent Company and by MPS CS, which must have a term of over 12 months, and the relative contractual conditions, which are not subject to CDP funding, are the subject of independent negotiation between the interested parties. Loans to the final beneficiaries must be assigned as collateral to CDP.

- to support consumers. In this case, CDP provides funding aimed at encouraging access to secured mortgage loans by natural persons, on residential properties designated as the principal residence on a priority basis and to refurbishment and energy efficiency works. The terms and conditions of loans disbursed to private parties by the Parent Company, which must have a term of between 10 and 30 years, are not subject to CDP funding and are the subject of independent negotiation between the parties, provided that use of the funding leads to an improvement in the financial conditions offered to beneficiaries with respect to those normally applied by the Parent Company. Loans to the final beneficiaries must be assigned as collateral to CDP.

- in favour of the territory for natural disasters. With said initiatives, the funds made available by the CDP are allocated to encourage subsidised loans to those impacted by the earthquakes of 2012 and 2016, and following the series of natural disasters (floods, snowfalls, sea storms, etc.) of 2013. The operational scheme envisages matching transactions between CDP/Bank and Bank/Beneficiaries, with expected terms of 15/20/25 years. As exclusive means of reimbursement of the loans disbursed, the tax credit specifically assigned to the beneficiary by the legislation is accepted as payment, with discharging effect for the beneficiary, for the principal and interest of each instalment of the loan up to the final expiry date. The Group uses said tax credits with the methods established by the Italian Revenue Agency, through a netting mechanism. The Bank/Final Beneficiary loans are backed by unconditional and irrevocable first-demand guarantee by the Italian government, fully reimbursing principal and interest. For the loans disbursed, no discretion by the Group with respect to the beneficiary is envisaged, for reasons linked to creditworthiness or determination of the rate to apply.

Conversely, with regard to management of resources made available by specific Regional Laws, the Group's operations refer to specific agreements stipulated by the Parent Company with the regional financial institutions or to alternative instruments, such as the so-called "Rotation Funds", also established through regional laws. These loans are generally disbursed with part of the funding made available with public funds and part with the Bank's own resources (co-financing).

More specifically, the procedure to manage the aforementioned resources is the following:

- An agreement is in place with Veneto Sviluppo, which defines the characteristics for the granting of loans using the funds (prerequisites of companies, objectives, amounts, etc.), including the methods and amount of subsidies, and the maximum percentage that can be financed, in addition to the portion of funding borne by the entity. The Parent Company integrates the remainder with its own funds. The agreement requires the loan to be structured with two distinct amortisation plans and that the risk of insolvency be fully borne by the Parent Company, even for the part disbursed with public funds.
- The Parent Company participates in initiatives of the Friuli Venezia Giulia Region aimed at facilitating access to loans by local companies, establishing the so-called "Rotation funds", including the FRIE (Fondo di Rotazione per le Iniziative Economiche - Rotation Funds for Economic Initiatives), based on Regional Law 2/2012, and regional funds pursuant to Regional Law 80/82. Availability of these funds is designated for the granting of loans at special conditions, established by the Region and differentiated based on sector. Use of the available funds varies according to the initiative and sector financed: it is generally equal to 50% of the total investment amount. It is possible to supplement the portion not covered by public funds with own funds, up to the total cost sustained by the company. In the case of co-financing, for transactions under Regional Law 80/82, the insolvency risk is fully borne by the Parent Company, while for transactions under Regional Law 2/2012, the Parent Company's credit risk is limited to 20%. Moreover, as total compensation for management of the loans and of the credit risk, the Parent Company receives remuneration commensurate with a pre-established percentage, which differs based on the amount of the loan for both subsidised loan types (FRIE and Law 80/82). The disbursement of loans with funds under Regional Law 80/82 must be formalised with a single agreement but two distinct amortisation plans, while for the FRIE, formalisation takes place with only one single amortisation plan.
- Other agreements stipulated with Finlombarda envisage the disbursement of Bank-Entity co-financing loans in percentages that depend on the various initiatives:
    - "Al Via", aimed at sustaining new investments by Lombardy's SMEs; it envisages the disbursement of a loan with the parties providing equivalent amounts, at a rate defined in the agreement for the Parent Company's portion and at a fixed rate for Finlombarda's portion.
    - "Linea Innovazione", aimed at sustaining investments for product or process innovation, through the granting, to companies operating in Lombardy, of Bank-Finlombarda co-financing, in conjunction with a contribution to interest; the disbursement of a loan with a part by the Bank and an equal part by the Entity, at a rate defined in the agreement for the Bank's portion and at a fixed rate for Finombarda's portion is envisaged in this case as well.
    - "Credito Adesso", aimed at sustaining financial aid in favour of micro/small and medium-sized enterprises in the manufacturing, services and commerce sectors, to finance working capital requirements connected to the commercial expansion of companies operating in Lombardy. The initiative envisages the disbursement of medium-term loans, in the form of co-financing by the BMPS and Finlombarda, to cover working capital requirements connected to commercial expansion: the portion of public funds made available by BEI through Finlombarda, is 40%, with the remaining 60% disbursed with the Bank's funds.
- The Parent Company has taken on the Framework Agreement function defined between ABI and Finpiemonte to manage the measures to facilitate the local economy. The facilitation measures also include co-financing between the Bank and Finpiemonte for specific initiatives. In general, initiatives may envisage subsidised loans with Finpiemonte funding, which in some cases reaches 80% (even at zero rate) and for the remainder with Bank

funding at the interest rate defined by the agreement with the Entity. Credit risk for co-financing continues to be borne by the individual financing party for its portion.

Type of transaction/Amount	31 12 2017*							
	Book value				Fair value			
	Stage 1 and Stage 2	Stage 3	of which: impaired or originated impaired financial assets	Total	L1	L2	L3	Total
Loans	75,054,267	10,352,092	54	85,406,359	-	5,148,959	83,736,305	88,885,264
1.1. Current accounts	5,757,491	1,666,048	2	7,423,539	X	X	X	-
1.2. Reverse repurchase agreements	4,524,837	-	-	4,524,837	X	X	X	-
1.3. Mortgage	46,868,398	6,079,105	15	52,947,503	X	X	X	-
1.4. Credit cards, personal loans and fifth-of-salary backed loans	1,005,397	128,356	-	1,133,753	X	X	X	-
1.5. Finance lease	2,761,937	860,663	-	3,622,600	X	X	X	-
1.6. Factoring	816,537	67,828	-	884,365	X	X	X	-
1.7. Other transactiones	13,319,670	1,550,092	37	14,869,762	X	X	X	-
of whch: operating receivable	20,659	188	-	20,847	X	X	X	X
of which: leased assets under construction	178,049	17,113	-	195,162	X	X	X	X
Debt securities	1,050,048	-	-	1,050,048	127,653	870,841	35,812	1,034,306
1.1. Structured securities	-	-	-	-	-	-	-	-
1.2. Other debt securities	1,050,048	-	-	1,050,048	127,653	870,841	35,812	1,034,306
Total	**76,104,315**	**10,352,092**	**54**	**86,456,407**	**127,653**	**6,019,800**	**83,772,117**	**89,919,570**

** The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 9; in addition, the comparative data were reclassified on the basis of the new accounting statements set forth in the 5th update of Bank of Italy Circular 262.*

4.3 Finance leases

31 12 2018

Items/Accounts	Carrying amount			Gross investment		
	Lease payments receivable discounted at explicit lease rate (A)	Lease payments receivable discountued at implicit lease rate (present value of minimum lease payments) (B)	Total lease payments receivable recognised in income for the period (A + B)	Deferred financial income (D)	Future minimum lease payments (B + D)	*of which: unguaranteed residual values*
Customers	-	-	-	-	-	-
Up to 1 year	10,977	690,628	701,605	67,969	758,597	16,780
From 1 to 5 years	-	1,342,673	1,342,673	183,249	1,525,922	151,595
Over 5 years	-	1,280,115	1,280,115	119,999	1,400,114	457,224
Indefinite useful life	306,070	-	306,070	-	-	-
Total	317,047	3,313,416	3,630,463	371,217	3,684,633	625,599
Value adjustments	158,339	315,653	473,992	-	315,653	-
Loans and advances in the balance sheet	**158,708**	**2,997,763**	**3,156,471**	**371,217**	**3,368,980**	***625,599***

Net loans to customers for finance leases amounted to EUR 3,156.5 mln, of which EUR 369.4 mln for "Non-performing assets". The finance lease portfolio of the subsidiary MPS Leasing & Factoring consists of 28,515 contracts, broken down as follows in terms of the remaining debt balance:

- 58.6% real estate segment;
- 21.4% operating asset segment;
- 10.4% energy segment;
- 6.7% vehicle segment;
- 2.5% aircraft and railway segment.

The remaining value of the thirty most significant loans was EUR 254.3 mln.

4.4 Financial assets measured at amortised cost: breakdown by borrower/issuer of loans to customers

Type of transaction/Amount	Total 31 12 2018			Total 31 12 2017*		
	Stage 1 and Stage 2	Stage 3	of which: impaired or originated impaired financial assets	Stage 1 and Stage 2	Stage 3	of which: impaired or originated impaired financial assets
1. Debt securities	7,386,038	-	-	1,050,050	-	-
a) Public entities	4,318,563	-	-	332,781	-	-
b) Other financial companies	2,997,420	-	-	647,247	-	-
of which: insurance companies	*75,824*	-	-	*430,111*	-	-
c) Non-financial companies	70,055	-	-	70,021	-	-
2. Loans to	71,514,537	7,265,664	46,520	75,054,267	10,352,092	54
a) Public Entities	2,186,024	120,673	-	2,467,057	146,448	-
b) Other financial companies	5,043,784	137,880	2,859	7,309,053	269,556	-
of which: insurance companies	*55*	*3*	-	*68*	*3*	-
c) Non-financial companies	31,484,308	4,884,561	36,021	37,637,324	8,206,930	19
d) Families	32,800,421	2,122,550	7,640	27,640,833	1,729,158	35
Total	**78,900,575**	**7,265,664**	**46,520**	**76,104,317**	**10,352,092**	**54**

** The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 9; in addition, the comparative data were reclassified on the basis of the new accounting statements set forth in the 5th update of Bank of Italy Circular 262.*

4.5 Financial assets measured at amortised cost: gross value and overall value adjustments

	Gross exposure				Value adjustments			Partial write-off (*)
	Stage 1							
		of which: low credit risk instruments	Stage 2	Stage 3	Stage 1	Stage 2	Stage 3	
Debt securities	8,140,100	7,924,926	-	34	5,945	-	34	-
Loans	70,355,964	-	13,394,837	14,869,717	74,022	581,571	7,602,220	254,477
Totale 31 12 2018	**78,496,064**	**7,924,926**	**13,394,837**	**14,869,751**	**79,967**	**581,571**	**7,602,254**	**254,477**
Totale 31 12 2017*	**69,123,954**	**n.d.**	**17,507,085**	**20,946,621**	**179,940**	**383,933**	**10,591,168**	**n.d.**
of which: purchased or originated credit impaired financial assets	*X*	*X*	*14,561*	*62,233*	*X*	*551*	*29,723*	-

** Value to be presented for disclosure purposes*

*** The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 9; in addition, the comparative data were reclassified on the basis of the new accounting statements set forth in the 5th update of Bank of Italy Circular 262.*

For financial assets included in the level three column, the gross value corresponds to the book value gross of the relative overall value adjustments, which are equal to the difference between the expected recovery value and the gross book value.

Section 5 - Hedging derivatives - Item 50

5.1 Hedging derivatives: breakdown by type of contract and underlying asset

	Fair value 31 12 2018				NV
	Level 1	Level 2	Level 3	Total	
A. Financial derivatives	**-**	**99,091**	**-**	**99,091**	**7,898,963**
1) Fair value	-	99,091	-	99,091	7,898,963
2) Cash flows	-	-	-	-	-
3) Foreign investments	-	-	-	-	-
B. Credit derivatives	**-**	**-**	**-**	**-**	**-**
1) Fair value	-	-	-	-	-
2) Cash flows	-	-	-	-	-
Total	**-**	**99,091**	**-**	**99,091**	**7,898,963**

Legend

NV = Notional or Nominal Value

The table shows the positive book value (fair value) of hedging derivatives for hedges carried out through hedge accounting.

Information on the underlying strategies and objectives of hedge transactions can be found in the Section “Market risks” of Part E “Information on risks and hedging policies”.

	Fair value 31 12 2017				NV
	Level 1	Level 2	Level 3	Total	
A. Financial derivatives	**-**	**156,485**	**-**	**156,485**	**10,094,017**
1) Fair value	-	156,485	-	156,485	10,094,017
2) Cash flows	-	-	-	-	-
3) Foreign investments	-	-	-	-	-
B. Credit derivatives	**-**	**-**	**-**	**-**	**-**
1) Fair value	-	-	-	-	-
2) Cash flows	-	-	-	-	-
Total	**-**	**156,485**	**-**	**156,485**	**10,094,017**

Legend

NV = Notional or Nominal Value

5.2 Hedging derivatives: breakdown by hedged portfolios and type of hedging

Transaction/Type of hedge	Fair Value							Cash Flows		Foreign Investments	Total 31 12 2018
	Micro-hedge						Macro-hedge	Micro-hedge	Macro-hedge		
	debt securities and interest rate	equity instruments and stock indices	currencies and gold	Credit	Commodities	Others					
1. Financial assets measured at fair value through other comprehensive income	1,902	-	-	-	X	X	X	-	X	X	1,902
2. Financial assets measured at amortised cost	-	X	-	-	X	X	X	-	X	X	-
3. Portfolio	X	X	X	X	X	X	5,979	X	-	X	5,979
5. Other transactions	-	-	-	-	-	-	X	-	X	-	-
Total assets	**1,902**	**-**	**-**	**-**	**-**	**-**	**5,979**	**-**	**-**	**-**	**7,881**
1. Financial liabilities	88,894	X	1,190	-	-	-	X	-	X	X	90,084
2. Portfolio	X	X	X	X	-	X	1,126	X	-	X	1,126
Total liabilities	**88,894**	**-**	**1,190**	**-**	**-**	**-**	**1,126**	**-**	**-**	**-**	**91,210**
1. Expected transactions	X	X	X	X	X	X	X	-	X	X	-
2. Financial assets and liabilities portfolio	X	X	X	X	X	X	-	X	-	-	-
Total	**90,796**	**-**	**1,190**	**-**	**-**	**-**	**7,105**	**-**	**-**	**-**	**99,091**

The table shows the positive fair values of hedging derivatives, classified by hedged assets or liabilities and type of hedging implemented.

In particular, for financial assets measured at fair value through other comprehensive income, fair value micro-hedging was used to hedge against interest rate risk on bonds, in order to protect them from unfavourable interest rate changes. Fair value macro-hedging was carried out on fixed-rate and capped floating rate mortgage loan portfolios.

With reference to financial liabilities, fair value micro-hedging of the interest rate risk refers primarily to hedges of liabilities represented by securities; fair value macro-hedging of the interest rate risk refers to hedges of liabilities represented by deposit accounts.

More information on hedged assets and liabilities can be found in the tables contained in Part B of the notes for each section of the balance sheet items to which the hedged items are posted.

Section 6 - Change in value of macro-hedged financial assets - Item 60

6.1 Change in value of hedged assets: breakdown by hedged portfolios

Changes in value of hedged assets / Group components	Total 31 12 2018	Total 31 12 2017
1. Positive changes	**169,881**	**57,346**
1.1 of specific portfolios:	169,881	57,346
a) financial assets measured at amortised cost	169,881	57,346
b) financial assets measured at fair value through other comprehensive income	-	-
1.2 overall	-	-
2. Negative changes	**-**	**-**
2.1 of specific portfolios:	-	-
a) financial assets measured at amortised cost	-	-
b) financial assets measured at fair value through other comprehensive income	-	-
2.2 overall	-	-
Total	**169,881**	**57,346**

The value adjustment concerns fixed and capped floating rate mortgage loan portfolios that were fair value macro-hedged with derivatives to counter possible interest rate risk-induced fluctuations in value. As this is a macro-hedge, any gain or loss on the hedged item attributable to the risk hedged may not directly adjust the value of said item (unlike in micro-hedging), but must be presented in this separate line item of the assets. The amounts in this item must be removed from the balance sheet when the relevant assets or liabilities are derecognised.

The fair value of the corresponding hedging derivatives is shown respectively in Table 5.2 (assets) or Table 4.2 (liabilities), both entitled "Hedging derivatives: breakdown by hedged portfolio and type of hedging", in the "Macro-hedging" column.

The assets subject to macro hedging of interest risk refer to fixed and capped floating rate mortgage loan portfolios included in item 40 "Financial assets measured at amortised cost - Loans to customers", amounted to EUR 12,073.2 mln at 31 december 2018 (EUR 5,182.5 at 31 decembre 2017). The sum of this amount and the one shown in this table expresses the book value of these receivables, adjusted for profit or loss attributable to the risk hedged.

Section 7 - Equity investments - Item 70

7.1 Equity investments: information on shareholding

Company Name	Headquarters	Registered Office	Type of relationship	Ownership Relationship		Avail. % votes
				Held by	Share holding %	
A. Companies under joint control						
Immobiliare Novoli S.p.a.	Florence	Florence	7	Banca Monte dei Paschi di Siena	50.000	-
Integra S.p.a.	Calenzano (FI)	Calenzano (FI)	7	Banca Monte dei Paschi di Siena	50.000	-
B. Companies under significant influence						
Axa Mps Assicurazioni Danni S.p.a.	Rome	Rome	8	Banca Monte dei Paschi di Siena	50.000	-
Axa Mps Assicurazioni Vita S.p.a.	Rome	Rome	8	Banca Monte dei Paschi di Siena	50.000	-
CO.E.M. Costruzioni Ecologiche Moderne S.p.a.	Rome	Rome	8	Banca Monte dei Paschi di Siena	40.197	-
Fidi Toscana S.p.a.	Florence	Florence	8	Banca Monte dei Paschi di Siena	27.460	-
Fondo Etrusco Distribuzione	Rome	Rome	8	Banca Monte dei Paschi di Siena	48.000	-
Fondo Minibond PMI Italia	Conegliano (TV)	Conegliano (TV)	8	Banca Monte dei Paschi di Siena	61.940	-
Fondo Socrate	Rome	Rome	8	Banca Monte dei Paschi di Siena	23.140	-
Immobiliare Centro Milano S.p.a.	Milan	Milan	8	MPS Capital Services S.p.a.	33.333	-
Interporto Toscano A.Vespucci S.p.a.	Collesalvetti (LI)	Collesalvetti (LI)	8	Banca Monte dei Paschi di Siena	21.819	-
				MPS Capital Services S.p.a.	19.002	-
Microcredito di Solidarietà S.p.a.	Siena	Siena	8	Banca Monte dei Paschi di Siena	40.000	-
Nuova Sorgenia Holding S.p.a.*	Milan	Milan	8	Banca Monte dei Paschi di Siena	16.670	-
Sansedoni Siena S.p.a.	Siena	Siena	8	Banca Monte dei Paschi di Siena	21.754	33.674
S.I.C.I. Sviluppo Imprese Centro Italia SGR S.p.a.	Florence	Florence	8	MPS Capital Services S.p.a.	15.000	-
S.I.T. Sviluppo Imprese e Territorio S.p.a.	Rome	Rome	8	Banca Monte dei Paschi di Siena	19.969	-
Terme di Chianciano S.p.a.	Chianciano T. (SI)	Chianciano T. (SI)	8	Banca Monte dei Paschi di Siena	18.816	-
				MPS Capital Services S.p.a.	26.807	-

(1) Type of relationship:

7 = joint control;
8 = companies subject to significant influence.

(2) Votes available in the ordinary shareholders' meeting, distinguishing between actual and potential

For further details on changes, see comments to table "7.5 - Equity investments: annual changes".

** The portion pertaining to the Group in application of the equity method amounts to 22.24%, given the set of risks and benefits connected with the exposure to Sorgenia S.p.A.*

7.2 Significant equity investments: book value, fair value and dividends earned

31 12 2018

Company name	Book value		Fair value	Dividends earned
	31 12 2018	31 12 2017		
A. Companies under joint control				
Immobiliare Novoli S.p.a.	3,998	5,516	-	-
B. Companies under significant influence				
Axa Mps Assicurazioni Vita S.p.a.	702,852	791,659	-	64,581
Axa Mps Assicurazioni Danni S.p.a.	70,818	80,513	-	20,007
Fondo Etrusco Distribuzione	70,500	67,588	-	2,401
Fidi Toscana S.p.a.	22,159	22,159	-	-
Fondo Minibond PMI Italia	30,702	38,355	-	1,636
Fondo Socrate	10,993	11,315	13,741	495
Totale	**912,022**	**1,017,105**	**13,741**	**89,120**

At the reporting date or for the year of comparison, there are no equity investments arising from the recovery of impaired financial assets.

7.3 Significant equity investments: accounting information

Company name	Cash and cash equivalents	Financial assets	Non-financial assets	Financial liabilities	Non-financial liabilities	Total revenues	Net interest income	Value adjustments and writebacks on tangible and intangible assets	Gain (Loss) from current operations before tax	Gain (Loss) from current operations after tax	Gain (Loss) from groups of assets held for sale after tax	Gain (Loss) for the year (1)	Other comprehensive income after tax (2)	Comprehensive income (3) = (1) + (2)
Immobiliare Novoli S.p.a.	-	192	168,231	142,642	17,786	17,598	(2,921)	-	(3,042)	(3,218)	-	(3,218)	-	(3,218)
B. Companies under significant influence														
Axa Mps Assicurazioni Danni S.p.a.	-	601,685	75,027	455,769	83,939	191,002	-	-	40,900	28,397	-	28,397	(7,773)	20,624
Axa Mps Assicurazioni Vita S.p.a.	X	18,081,232	924,904	17,043,815	601,626	2,507,627	-	-	133,236	106,000	-	106,000	(149,249)	(43,249)
Fidi Toscana S.p.a.	X	213,801	100,871	-	174,563	12,824	-	-	(8,751)	(13,752)	-	(13,752)	4,341	(9,411)
Fondo Etrusco	X	3,470	228,288	73,333	599	8,857	-	-	5,913	5,913	-	5,913	-	5,913
Fondo Minibond PMI Italia	X	58,141	1,190	-	154	1,510	-	-	851	851	-	851	-	851
Fondo Socrate	X	15,775	105,034	638	997	2,973	-	-	213	213	-	213	-	213

7.3a - Reconciliation of accounting information with the book value

	IMMOBILIARE NOVOLI S.P.A.	AXA MPS ASSICURAZIONI DANNI S.P.A	AXA MPS ASSICURAZIONI VITA S.P.A.	FIDI TOSCANA S.P.A.	FONDO ETRUSCO DISTRIBUZIONE	FONDO MINIBOND PMI ITALIA	FONDO SOCRATE
Shareholding	50.00%	50.00%	50.00%	27.46%	48.00%	61.94%	23.14%
Cash and cash equivalents	-	X	X	X	X	X	X
Financial assets	192	601,685	18,081,232	213,801	3,470	58,141	15,775
Non-financial assets	168,231	75,027	924,904	100,871	228,288	1,190	105,034
Fianlcial liabilities	142,642	455,769	17,043,815	-	73,333	-	638
Non-financiale liabilities	17,786	83,939	601,626	174,563	599	154	997
Shareholders'equity (100%)	7,995	137,004	1,360,694	140,109	157,826	59,177	119,173
Group shareholding	3,998	68,502	680,347	38,474	75,756	36,654	27,577
Cancellation of unrealised intragoup profit/loss	-	-	56,886	-	-	-	-
Goodwill	-	2,316	46,796	-	-	-	-
Value adjustments	-	-	-	(18,291)	-	-	-
Other increases/decreases	-	-	(81,177)	1,976	(5,256)	(5,952)	(16,584)
Book value of Associate company as at 31 12 2018	3,998	70,818	702,852	22,159	70,500	30,702	10,993
Book value as at 31 12 2015	5,517	80,513	791,659	22,159	67,588	38,355	11,315
Profit (loss) for the year	(3,218)	28,397	106,000	(13,752)	5,913	851	213
Other comprehensive income after tax	-	(7,773)	(149,249)	4,341	-	-	-
Comprehensive income attributable to the Group	(1,609)	10,312	(21,625)	(2,584)	2,838	527	49
Dividends	-	(20,007)	(64,582)	-	(2,401)	(1,636)	(495)
Other changes	90	-	(2,601)	2,584	2,476	(6,544)	123
Book value of Associate company as at 31 12 2018	3,998	70,818	702,852	22,159	70,500	30,702	10,993

7.3b – Significant equity investments: information on business

Company name	Type of business
Companies under significant influence	
Axa Mps Assicurazioni Danni S.p.A.	Company specialising in P&C insurance, offering a comprehensive range of insurance solutions tailored to the needs of customers and businesses.
Axa Mps Assicurazioni Vita S.p.A.	Leading company in the domestic insurance market, offering innovative and advantageous solutions for all pension, insurance, savings and investment needs.
Fidi Toscana S.p.A.	A Tuscan financial company which aims to facilitate access to credit for small and medium businesses
Fondo Etrusco Distribuzione	Real estate fund for institutional investors. Its portfolio has been built up through a series of sale and leaseback transactions on commercial properties fully leased by a leading player in the Mass Distribution Industry
Fondo Minibond PMI Italia	Independent investment fund for investments in bonds issued by small and medium Italian businesses
Fondo Socrate	Closed-end mutual real estate investment fund. Listed on the Market for Investment Vehicles of the Italian Sotck Exchange as of 30 January 2014
Immobiliare Novoli S.p.A.	Real estate company

The associates Axa MPS Assicurazioni Danni S.p.A. and Axa Mps Assicurazioni Vita S.p.A. are strategic for the Group.

7.3c – Application of IFRS 9 by the AXA Group

Given the wide predominance of insurance business (as defined by IFRS 4 and amended by EU Regulation 2017/1988), the AXA Group has decided, for purposes of preparing its consolidated financial statements, to exercise the option to defer the application of IFRS 9 until the date of entry into force of IFRS 17 (not yet known, since the European Union endorsement process is still underway).

The two insurance investee companies AXA Mps Assicurazioni Danni S.p.A. and AXA Mps Assicurazioni Vita S.p.A. are consolidated in the consolidated financial statements of the MPS Group using the equity method. The Parent Company has decided to take advantage of the temporary exemption from certain provisions of IAS 28, indicated in paragraphs 20O and 20P of IFRS 4, and consequently maintained the accounting standards (IAS 39) in applying the equity method, applied by the associated insurance companies.

Pursuant to the provisions of paragraph 39J of IFRS 4, the additional information on temporary exemption from IFRS 9 adopted by the AXA Group is provided below.

AXA Mps Assicurazioni Danni S.p.A. and Axa Mps Assicurazioni Vita S.p.A. apply the temporary exemption from IFRS 9 as their activities are predominantly connected to insurance as at 31 December 2015, namely:

- the book value of their liabilities arising from contracts that fall within the scope of IFRS 4 are significant compared to the total book value of all liabilities; and

- the total percent value of their liabilities connected to the insurance business is widely superior to 90% of the total book value of all liabilities.

The liabilities connected to insurance that are not liabilities arising from contracts within the scope of application of IFRS 4 include:

- in financial liabilities, liabilities measured at fair value through profit and loss based on IAS 39, relating to contracts issued by insurance companies for which the investment risk is borne by the policyholders and subordinated financial liabilities that qualify as admissible own funds. The book value of such liabilities amounts to EUR 2.5 bn for AXA Mps Assicurazioni Vita S.p.A., while the book value for AXA Mps Assicurazioni Danni S.p.A. is zero.
- in other liabilities, liabilities for defined benefit plans relative to Group companies under the life and non-life segment, tax liabilities linked to the insurance business and liabilities to policyholders, intermediaries and reinsurers. The book value of these liabilities amounts to EUR 61 mln for AXA Mps Assicurazioni Vita S.p.A., while the book value for AXA Mps Assicurazioni Danni S.p.A. is EUR 35 mln.

Also note that after 31 December 2015, there were no changes in the activities of the two entities.

The table below shows, for both insurance associates, the fair value as at 31 December 2018 of financial assets held for trading and financial assets measured at fair value through other comprehensive income as well as the amount of the respective changes in fair value that took place during 2018 (IFRS 4. 39E).

AXA MPS ASSICURAZIONE VITA				
	IFRS 9		Gains/Losses IFRS 9	
Itemes	Financial assets held for trading	Financial assets measured at fair value through other comprehensive income	Financial assets held for trading	Financial assets measured at fair value through other comprehensive income
Debt securitis	108,320	12,508,231	(5,157)	342,061
Equity instruments	1,756,746	-	13,699	-
Total	**1,865,066**	**12,508,231**	**8,542**	**342,061**

AXA MPS ASSICURAZIONE DANNI				
	IFRS 9		Plus/Minus IFRS 9	
Itmes	Financial assets held for trading	Financial assets measured at fair value through other comprehensive income	Financial assets held for trading	Financial assets measured at fair value through other comprehensive income
Debt securitis	60	518,684	-	11,135
Equity instruments	55,176	-	(786)	-
Total	**55,236**	**518,684**	**(786)**	**11,135**

The tables below show information on the credit risk exposure of the financial assets (IFRS 4 39G).

AXA MPS ASSICURAZIONE VITA								
Exposures	External rating classes						No Rating	Total
	class 1	class 2	class 3	class 4	class 5	class 6		
Financial assets measured at fair value through other comprehensive income	2,140,150	2,104,076	7,888,884	375,120	-	-	-	12,508,231
- Stage 1	2,140,150	2,104,076	7,888,884	19,723	-	-	-	12,152,833
- Stage 2	-	-	-	355,397	-	-	-	355,397
- Stage 3	-	-	-	-	-	-	-	
Total	**2,140,150**	**2,104,076**	**7,888,884**	**375,120**	**-**	**-**	**-**	**12,508,231**

class 1=AAA/AA-, class 2=A+/A-, class 3=BBB+/BBB-, class 4=BB+/BB-, class 5=B+/B-, class 6=lower than B-

Exposures	AXA MPS ASSICURAZIONE VITA External rating classes						No Rating	Total
	class 1	class 2	class 3	class 4	class 5	class 6		
Financial assets measured at fair value through other comprehensive income	72,560	102,926	343,198	-	-	-	-	518,684
- primo stadio	72,560	102,926	343,198	-	-	-	-	518,684
- secondo stadio	-	-	-	-	-	-	-	-
- terzo stadio	-	-	-	-	-	-	-	
Totale	**72,560**	**102,926**	**343,198**	**-**	**-**	**-**	**-**	**518,684**

class 1=AAA/AA-, class 2=A+/A-, class 3=BBB+/BBB-, class 4=BB+/BB-, class 5=B+/B-, class 6=lower than B-

The external rating categories used to complete the table are from Standard & Poor's. If multiple external ratings are assigned, the rating is selected based on Bank of Italy's criteria (when two ratings are available, the lower of the two is used, and when three or more ratings are assigned, the second highest rating is selected).

7.4 Non-significant equity investments: accounting information

Denominazione	Book value of equity investment	Total assets	Total liabilities	Total revenues	Gain (Loss) from continuing operations after tax	Gain (Loss) from groups of assets held for sale after tax	Gain (Loss) for the year (1)	Other comprehensive income after tax (2)	Comprehensive income (3) = (1) + (2)
A. Companies under joint control	965	26,044	24,114	1,490	17	-	17	-	17
B. Companies under significant influence	9,805	2,012,922	1,645,364	1,510,595	(50,196)	-	(50,196)	(1,575)	(51,771)

7.5 Equity investments: annual changes

	Total 31 12 2018	Total 31 12 2017
A. Opening balance	**1,034,644**	**1,031,678**
B. Increases	**79,127**	**133,812**
B.1 Purchases	-	-
B.2 Write-backs	-	-
B.3 Revaluations	-	-
B.4 Other increases	79,127	133,812
C. Decreases	**190,978**	**130,846**
C.1 Sales	5,813	20,000
C.2 value adjustments	5,753	27,330
C.3 Write-downs	-	-
C.4 Other decreases	179,412	83,516
D. Closing balance	**922,793**	**1,034,644**
E. Total revaluation	-	-
F. Total write-downs	**71,013**	**136,774**

Below are the main changes in the course of the year.

With regard to increases, please note that line B.4 "other increases" includes: profit of EUR 72.1 mln in for associates; profit of EUR 1.2 mln connected to the disposal of the investee Firenze Parcheggi S.p.A.; an increase of EUR 5.7 mln associated with the waiver of a loan to Trixia S.r.l., with the increase in the investment subsequently adjusted (see line C.2 "Value adjustments").

Among decreases:

- in line C.1 "Sales", disposal of the investment in Firenze Parcheggi S.p.A. for EUR 5.8 mln;
- in line C.2 "Value adjustments": the impairment loss referring to the associate Trixia S.r.l.;
- in line C.4 "Other decreases": dividends from associates of EUR 89.1 mln, decreases in valuation reserves relating to associates of EUR 78.8 mln, redemptions of units for EUR 7.3 mln, distribution of available reserves for EUR 2.4 mln for several associates and, lastly, losses recognised by associates for EUR 1.7 mln.

$

In accordance with the accounting standards, the indicators of impairment of equity investments in associates have been measured, the recoverable value has been determined where applicable, and any write-downs or reversals have been accounted for.

As regards the equity investments in the associates Axa MPS Danni and Axa MPS Vita, an analysis on key impairment indicators has not identified elements indicating that impairment tests should be performed.

Reported below is the main embedded goodwill:

Embedded goodwill	**31 12 2018**	**31 12 2017**
Axa Mps Assicurazioni Vita S.p.A.	46,796	46,796
Axa Mps Assicurazioni Danni S.p.A.	2,316	2,316
Total	**49,112**	**49,112**

7.6 Key considerations and assumptions to determine the existence of joint control or significant influence

The Group considers as associates, that is subject to significant influence, the companies of which it holds at least 20 per cent of the voting rights (including potential voting rights) and in which it has the power to participate in determining the financial and operating policies.

Similarly, companies are considered associates also when the Group – despite a lower percentage of voting rights– has the power of participating in the determination of the financial and operating policies of the investee on account of specific legal agreements such as, for example, the participation in important committees of the investee as well as the presence of vetoing rights on significant decisions.

The Group considers jointly controlled those companies with respect to which the following circumstances occur simultaneously:

- if an agreement has been entered into that assigns co-participation in the management of the investee's activities via a presence on the Board of Directors:
- none of the parties participating in the agreement holds exclusive control;
- decisions relating to relevant activities are made unanimously by the parties identified (each has an implicit or explicit veto right with regard to relevant decisions).

7.7 Covenants on investments in jointly controlled companies

No covenants on investments in jointly controlled companies are reported.

7.8 Covenants on investments in companies under significant influence

No covenants on investments in companies under significant influence are reported.

7.9 Significant restrictions

At the financial statement date there are no significant restrictions to the jointly controlled companies' or associates' ability to transfer funds to the Group in the form of dividends, aside from those set forth in Civil Code provisions, requiring the deduction of 5% of the net profit for the year and its allocation to the legal reserve, until the latter amounts to 20% of the share capital. The reserve must be replenished if it is reduced for any reason.

7.10 Other information

The equity method, a synthetic method for the valuation of the equity of companies on which the Group has significant influence or joint control, is performed on the basis of the financial statements for the year ended 31 December 2018; if these are not available, the valuation is carried out on the basis of the interim report as at 30 September 2018.

Section 8 – Reinsurance technical reserves – Item 80

No values are shown in this section as the insurance companies in which the Group holds equity investments are associates, and therefore these investments are consolidated using the equity method.

Section 9 - Property, plant and equipment - Item 90

9.1 Property, plant and equipment used in the business: breakdown of assets valued at cost

Asset/Amount	Total	
	31 12 2018	31 12 2017
1. Assets owned	**2,115,090**	**2,218,477**
a) land	754,299	786,524
b) buildings	1,037,230	1,102,476
c) furniture and furnishings	150,484	154,162
d) electronic systems	103,070	108,820
e) other	70,007	66,495
2. Assets leased	**-**	**14,254**
a) land	-	-
b) buildings	-	-
c) furniture and furnishings	-	-
d) electronic systems	-	14,254
e) other	-	-
Total	**2,115,090**	**2,232,731**
of which: obtained through the enforcement of the guarantees received	-	-

All of the Group's property, plant and equipment is measured at cost; the line "land" expresses the value of land separately from the value of buildings. In compliance with guidance provided by IAS 36 "Impairment of Assets" and recommendations contained in document no. 4 of 3 March 2010 issued jointly by the Bank of Italy, Consob and Isvap, an overall property appraisal was made with a view to determining any impairment losses to be posted to the income statement for the year; disclosure of these impairment losses is provided in the notes to the table "9.6 Property, plant and equipment used in the business: annual changes".

Item 1 "Assets owned –c) furnishings" includes artworks whose value amounts to EUR 121.1 mln.

As at 31 December 2018, there were no items of property, plant and equipment deriving from the enforcement of guarantees.

At the reporting date or for the year of comparison, there are no cases to which para. 78 of IAS 40 apply.

9.2 Property, plant and equipment held for investment: breakdown of assets valued at cost

Asset/Amount	Total 31 12 2018				
	Book value	Fair Value			
		Level 1	Level 2	Level 3	Total
1. Assets owned	**364,606**	**-**	**-**	**395,217**	**395,217**
a) land	175,745	-	-	174,362	174,362
b) buildings	188,861	-	-	220,855	220,855
2. Assets leased	**-**	-	-	**-**	**-**
a) land	-	-	-	-	**-**
b) buildings	-	-	-	-	**-**
Total	**364,606**	**-**	**-**	**395,217**	**395,217**
of which: obtained through the enforcement of the guarantees received	*21,028*	-	-	*21,173*	***21,173***

All of the Group's property, plant and equipment is measured at cost; the line "land" expresses the value of land separately from the value of buildings. In compliance with guidance provided by IAS 36 "Impairment of Assets" and recommendations contained in document no. 4 of 3 March 2010 issued jointly by the Bank of Italy, Consob and Isvap, an overall property appraisal was made with a view to determining any impairment losses to be posted to the income statement for the year; disclosure of these impairment losses is provided in the notes to the table "9.7 Property, plant and equipment held for investment: annual changes".

As at 31 December 2018, there were items of property, plant and equipment deriving from the enforcement of guarantees from the termination of non-performing finance lease contracts for EUR 21.2 mln.

The criteria for classification of a tangible asset as a real estate investment pursuant to IAS 40 are described in the accounting policies, to which reference is made. The disclosure required by IAS 40 paragraph 75 letter c) is not provided, as the classification is not difficult.

There were no cases, at the reporting date or for the comparison year, to which para. 75, letters. c), g), and h) of IAS 40 apply.

Asset/Amount	Total 31 12 2017				
	Book value	Fair Value			
		Level 1	Level 2	Level 3	Total
1. Assets owned	**338,281**	**-**	**-**	**368,924**	**368,924**
a) land	164,333	-	-	163,771	163,771
b) buildings	173,948	-	-	205,153	205,153
2. Assets leased	**-**	-	-	**-**	**-**
a) land	-	-	-	-	**-**
b) buildings	-	-	-	-	**-**
Total	**338,281**	**-**	**-**	**368,924**	**368,924**

9.3 Property, plant and equipment used in the business: breakdown of revalued assets

The Group does not own any revalued property, plant and equipment.

9.4 Property, plant and equipment held for investment: breakdown of assets measured at fair value

The Group holds no property, plant and equipment designated at fair value pursuant to IAS 40.

9.5 Inventories of property, plant and equipment governed by IAS 2: breakdown

Assets/Amounts	Total	
	31 12 2018	31 12 2017*
1. Gross closing balance of tangible assets obtained through enforcement of the guarantees received	**1,362**	**3,213**
a) Land	534	2,269
b) Buildings	828	944
c) Furniture and furnishings	-	-
d) Electronic systems	-	-
e) Others	-	-
2. Others gross closing balance of tangible assets	**25,540**	**40,024**
Totale	**26,902**	**43,237**

* *The comparative data were reclassified on the basis of the new accounting statements set forth in the 5th update of Bank of Italy Circular 262.*

"Other inventories of property, plant and equipment" refer to properties of the Parent Company acquired following the merger by incorporation of former subsidiary MPS Immobiliare S.p.A. in 2014.

9.6 Property, plant and equipment used in the business: annual changes

	Land	Buildings	Furniture and furnishings	Electronic systems	Others	Total 31 12 2018
A. Gross opening balance	**806,599**	**1,412,843**	**522,672**	**791,445**	**485,622**	**4,019,181**
A.1 Total net decrease	20,075	310,367	368,510	668,371	419,127	1,786,450
A.2 Net opening balance	**786,524**	**1,102,476**	**154,162**	**123,074**	**66,495**	**2,232,731**
B. Increases	**-**	**17,622**	**6,001**	**23,802**	**20,559**	**67,984**
B.1 Purchases	-	9	5,963	23,795	20,403	50,170
B.2 Capitalized expenditure on improvements	-	6,596	-	-	-	6,596
B.3 Write-backs	-	-	-	-	-	-
B.4 Increases in fair value booked to:	-	-	-	-	-	-
a) shareholders' equity	-	-	-	-	-	-
b) profit and loss	-	-	-	-	-	-
B.5 Positive exchange differences	-	-	-	7	-	7
B.6 Transfers from properties held for investment	-	-	X	X	X	-
B.7 Other increases	-	11,017	38	-	156	11,211
C. Decreases	**32,225**	**82,869**	**9,678**	**43,807**	**17,046**	**185,625**
C.1 Sales	245	180	1,132	389	683	2,629
C.2 Depreciation	-	41,403	8,411	42,126	15,422	107,362
C.3 Impariment losses booked to:	5,833	5,861	-	-	937	12,631
a) shareholders' equity	-	-	-	-	-	-
b) profit and loss	5,833	5,861	-	-	937	12,631
C.4 Decreases in fair value booked to:	-	-	-	-	-	-
a) shareholders' equity	-	-	-	-	-	-
b) profit and loss	-	-	-	-	-	-
C.5 Negative exchange differences	-	-	-	-	4	4
C.6 Transfer to:	26,147	33,281	77	225	-	59,730
a) tangible asset held for investment	25,604	32,256	X	X	X	57,860
b) assets held for sale	543	1,025	77	225	-	1,870
C.7 Other decreases	-	2,144	58	1,067	-	3,269
D. Net closing balance	**754,299**	**1,037,229**	**150,485**	**103,069**	**70,008**	**2,115,090**
D.1 Total net decreases	25,908	351,301	373,772	685,971	434,090	1,871,042
D.2 Gross closing balance	**780,207**	**1,388,530**	**524,257**	**789,040**	**504,098**	**3,986,132**
E. Carried at cost	**-**	**-**	**-**	**-**	**-**	**-**

An analysis of external and internal impairment indicators resulted in impairment losses for an amount of EUR 12.6 mln being recognised in the balance sheet as at 31 December 2018 (line C.3). In addition, EUR 8.8 mln in overall capital gains (EUR 8.2 mln in 2017) on real estate used in the business is also reported; these capital gains were not recognised in the balance sheet. With regard to property, plant and equipment of the Group used in the business other than buildings, no extraordinary negative market factors were thought to exist under a going concern assumption, that might call for the need to recognise impairment losses.

Line C.2 “Depreciation” includes EUR 0.3 mln for depreciation of the subsidiary BBMP Belgio S.A., classified as a discontinued operation, recognised in income statement item 320 “Profit (loss) after tax from assets held for sale and discontinued operations”.

Line E – "Carried at cost" was left blank, as per the Bank of Italy's instructions, since it only needs to be completed for assets accounted for at fair value.

9.7 Property, plant and equipment held for investment: annual changes

	31 12 2018		
	Lands	Builiding	Total
A. Gross Opening balance	**189,036**	**273,483**	**462,519**
A.1 Total net decreases	24,703	99,535	124,238
A.2 Net Opening balance	**164,333**	**173,948**	**338,281**
B Increases	**25,604**	**36,135**	**61,739**
B.1 Purchases	-	-	-
B.2 Capitalized expenditure on improvements	-	1,261	1,261
B.3 Increases in fair value	-	-	-
B.4 Write-backs	-	-	-
B.5 Positive exchange differences	-	-	-
B.6 Transfers from property used in the business	25,604	32,256	57,860
B.7 Other increases	-	2,618	2,618
C. Decreases	**14,192**	**21,222**	**35,414**
C.1 Sales	3,065	3,667	6,732
C.2 Depreciation	-	8,722	8,722
C.3 Decreases in fair value	-	-	-
C.4 Impairment losses	9,688	7,578	17,266
C.5 Negative exchange differences	-	-	-
C.6 Transfers to other asset potfolios	1,439	1,255	2,694
a) properties used in the business	-	-	-
b) non-current assets held for sale	1,439	1,255	2,694
C.7 Other decreases	-	-	-
D. Closing balance	**175,745**	**188,861**	**364,606**
D.1 Total net decrease	34,391	118,538	152,929
D.2 Gross closing balance	**210,136**	**307,399**	**517,535**
E. Designated at fair value	**174,362**	**220,855**	**395,217**

An analysis of external and internal impairment indicators resulted in impairment losses for an amount of EUR 17.3 mln being recognised in the balance sheet as at the reporting date (line C.4). In addition, EUR 30.6 mln in overall capital gains on real estate held for investment (EUR 31.1 mln in 2017) is also reported; these capital gains were not recognised in the balance sheet.

9.8 Inventories of property, plant and equipment governed by IAS 2: annual changes

	Gross closing balance of tangible assets obtained through enforcement of the guarantees received					Other Closing balance of tangible assets	Total
	Land	Buildings	Furniture and furnishings	Electronic systmes	Others		
A. Opening balance*	**2,269**	**944**	**-**	**-**	**-**	**40,024**	**43,237**
B. Increase	**3**	**750**	**-**	**-**	**-**	**10**	**763**
B.1 Purchases	-	750	-	-	-	10	760
B.2Write-backs	3	-	-	-	-	-	3
B.3 Positive exchange differences	-	-	-	-	-	-	-
B.4 Other increases	-	-	-	-	-	-	-
C. Decreases	**1,738**	**866**	**-**	**-**	**-**	**14,494**	**17,098**
C.1 Sales	1,738	859	-	-	-	-	2,597
C.2 Impairment	-	7	-	-	-	4,727	4,734
C.3 Negative exchange differences	-	-	-	-	-	-	-
C.3 Other decreases	-	-	-	-	-	9,767	9,767
D. Closing balance	**534**	**828**	**-**	**-**	**-**	**25,540**	**26,902**

* *The line "Opening balances" includes the balance of the line "Real estate warehouse" included in the financial statements as at 31 December 2017 in the balance sheet asset item "Other assets".*

9.9 Commitments to purchase property, plant and equipment

No commitments to purchase property, plant and equipment were registered in 2018.

9.10 Property, plant and equipment: depreciation rates

Main categories of tangible assets	%
Land and works of art	0.00%
Buildings	3-3,7%
Furniture and furnishings	10-20%
Alarm and video systems	20-30%
Electronic and ordinary office equipment	10-20%
Electronic data processing equipment	20-50%
Vehicles	20-25%
Telephones	20-25%

The percentages used for carrying out the depreciations with reference to the main categories of property, plant and equipment are presented in the table. Owing to their indefinite useful life, lands and artworks are not depreciated.

Section 10 – Intangible assets – Item 100

10.1 Intangible assets: breakdown by type

Asset / Amount	31 12 2018			31 12 2017		
	Finite Life	Indefinite Life	Total	Finite Life	Indefinite Life	Total
A.1 Goodwill	**X**	**7,900**	**7,900**	**X**	**7,900**	**7,900**
A.1.1 group	X	7,900	7,900	X	7,900	7,900
A.1.2 minorities	X	-	-	X	-	-
A.2 Other intangible assets	**206,024**	**-**	**206,024**	**275,335**	**-**	**275,335**
A.2.1 Assets carried ad cost	206,024	-	206,024	275,335	-	275,335
a) internally generated intangible assets	42,834	-	42,834	49,459	-	49,459
b) other assets	163,190	-	163,190	225,876	-	225,876
A.2.2 Assets valued at fair value:	-	-	-	-	-	-
a) internally generated intangible assets	-	-	-	-	-	-
b) other assets	-	-	-	-	-	-
Total	**206,024**	**7,900**	**213,924**	**275,335**	**7,900**	**283,235**

All of the Group's intangible assets are valued at cost. All intangible assets recognised in the financial statements have a finite useful life, except for goodwill.

During preparation of the 2018 accounts, goodwill recognised was tested for recoverability or impairment. In accordance with Document 4 jointly published by Bank of Italy/Consob/IVASS on 3 March 2010 and provisions set out in IAS 36, “Impairment of Assets”, the activities carried out to perform the goodwill recoverability test are described below.

Goodwill is not systematically amortised but tested for impairment (Impairment Test). The test performed did not result in any impairment losses.

Line “A.2.1 Assets carried at cost – b) Other assets” includes:

- intangible assets arising from customer relations recognised following the acquisition of former Banca Antonveneta S.p.a.:
  - core deposits totalling EUR 11.6 mln, from the fair value measurement of on-demand funding (current accounts and savings deposits),
  - core overdrafts totalling EUR 2.2 mln, from the fair value measurement of assets represented by non-revolving credit facilities;
- purchase of externally-developed software for an amount of EUR 149.4 mln.

Considering that line “A.2.1 assets carried at cost – a) internally generated intangible assets” includes intangible assets linked to internally generated technology in the amount of EUR 42.8 mln, the software totally recognised in the consolidated financial statement amounts to EUR 192.2 mln.

For intangible assets associated with customer relationships, an analysis was carried out on the impairment indicators, which resulted in no need for impairment testing.

With regard to the software, an analysis was carried out of the future service life of the main capitalised assets to check for impairment, leading to an adjustment of about EUR 0.7 mln.

Impairment Test on Group goodwill

IAS 36 sets out the principles for recognition and reporting of impairment for certain types of assets, including goodwill, illustrating the principles that an entity must follow to make sure that the carrying amount of its assets is not higher than their recoverable amount.

IAS 36 defines recoverable amount as the higher of:

- Fair value net of costs to sell - the amount obtainable from the sale of an asset in a regular transaction between market participants, less the costs of disposal;
- Value in use - the present value of estimated future cash flows expected to arise from the continuing use of an asset or from a cash-generating unit (CGU).

IAS 36 requires the carrying amount of goodwill to be compared with the recoverable amount whenever there is an indication that the asset may have been impaired and in any case at least once a year at the balance sheet date (Impairment Test).

The recoverable amount of goodwill is estimated with reference to the CGUs, since goodwill is not able to generate cash flows independently from an asset.

A CGU is the smallest identifiable group of assets that generates cash inflows from continuing use which are largely independent of the cash inflows from other assets or groups of assets, which the Group is able to recognise separately in its management reporting system.

In accordance with IAS 36 and in light of the aforementioned considerations, the impairment test carried out on goodwill as shown in the Group's consolidated financial statements comprised the following activities:

- Identification of goodwill;
- Identification of cash-generating units and allocation of goodwill to the cash-generating units identified;
- Determination of the recoverable value of the CGUs
- Impairment test results.

a. Identification of goodwill

The impairment test was carried out on goodwill; no other indefinite-life intangible assets are recognised in the financial statements.

b. Identification of cash-generating units and allocation of goodwill to the cash-generating units identified

According to IAS 36, each CGU or group of CGUs to which goodwill is allocated represents the lowest level within the entity at which the goodwill is monitored for internal management purposes and should not be larger than an operating segment as defined by IFRS 8 ("Operating Segments").

As for the impairment test as at 31 December 2017, the Group's goodwill was tested by identifying those CGUs into which the Group's operations can be separated and analysing the cash flows that these will be able to generate in future years, based on an approach consistent with Segment Reporting presented in the financial statement and therefore with Management Reporting.

For the purpose of primary reporting of profit and loss/balance-sheet data, the Group has adopted a business approach opting for results to be broken down by the business segments in which the Group operates. The new Parent Company structure was outlined at the end of 2016 within the scope of the broader objectives of the Plan and was fully implemented at the start of 2017. It envisages the implementation of a specialised commercial organisational model with three Departments (Retail, Wealth Management and Corporate), each of which is responsible for the pertinent markets, segments and products, and Banca Widiba SPA, which includes the financial advisor network and the self-service channel (previously named "Financial Advisory and Digital Banking").

In particular, the four CGUs have the following scope of business:

- "**Retail CGU**", which includes the retail customers of the BMPS branches;

- "**Corporate CGU**" composed of typically corporate clients of BMPS branches and foreign branches and subsidiaries, Large Corporates, MPS Leasing & Factoring and MPS Capital Services;

- "**Wealth Management CGU**", which includes the typically private customers of BMPS and the subsidiary MPS Fiduciaria;

- "**Widiba CGU**" consisting of the customers of the subsidiary Widiba, a Group company established to relaunch the presence of MPS in direct channels, which has also been assigned the Financial Advisory Network.

It is noted that, since the Retail, Corporate and Wealth Management CGUs have no allocated goodwill, they were not tested for impairment.

c. Determination of the recoverable value of the CGU

The Group's goodwill as at 31 December 2018 was tested for impairment by identifying the recoverable amount of the Widiba CGU as the value in use.

The recoverable amount of the CGU was estimated by discounting future distributable cash flows.

This test was conducted based on the updated estimates for 2018-2023 for the company, calculated as part of the RAS 2019-2021 process. The recoverable amount was estimated on the basis of the following methodological steps:

- Determination of the CGU's value in use by discounting future distributable cash flows, based on the following formula:

$$W = \sum_{t=1}^{n} \frac{F_t}{(1+i)^t} + VT_a$$

where:

F_t = cash flows distributable to shareholders over the selected time horizon based on the economic and financial projections made, maintaining a satisfactory level of capitalisation.

i = discounting rate represented by the cost of equity (ke).

VT_a = present Terminal Value calculated as the value of a perpetual yield that is estimated according to an economically sustainable normalised cash flow consistent with the long-term growth rate ("g").

To discount cash flows distributable to shareholders, the cost of equity was used, i.e. the return on equity required by investors/shareholders for investments with comparable risk characteristics. This rate, equal to 9.48%, is the cost of capital of the MPS Group, defined by the Finance Committee and calculated using the Capital Asset Pricing Model ("CAPM"), based on the following formula:

$$k_e = R_f + Beta * (R_m - R_f)$$

where:

Rf = risk-free rate, equal to the rate on risk-free assets, namely the six-month average of the yield on 10-year bonds issued by the Italian government, equal to 2.55% (source: Bloomberg).

Beta = correlation factor between actual share performance and overall performance of the reference market (measurement of the volatility of a stock relative to the market), equivalent to 1.29% (average of the last two years of a sample of listed companies comparable to Banca MPS, source: Bloomberg).

R_m - R_f = market risk premium, equal to the average market yield determined based on the long-term average spread between equities and bonds (Damodaran, Historic ERP, monthly recording), equal to 5.38%.

.

The Terminal Value was determined based on the following formula:

$$VT = \text{normalised distributable cash flow}/(k_e - g)$$

considering a normalised cash flow and an assumed long-term growth rate (g) of 1.5%.

- Determination of the CGU's value in use by discounting future distributable cash flows.

Cash flows of the Widiba CGU have been determined on the basis of the CGU's net profit projections inferred from the analysis of the development policies mentioned previously and the following main valuation parameters - reflective of the most recent market conditions - used to determine the recoverable amount of the CGU as at 31 December 2018:

- a target supervisory ratio (capital ratio) of 8.5% at 2023, taking into account the characteristics of Widiba's business;
- the CGU's cost of capital (ke) equal to 9.48%, determined using the method described above;
- a long-term growth rate (g) of 1.5%.

d. Impairment test results

The results (in million euros) of the impairment test performed on the Widiba CGU on the basis of the analysis are presented below.

	Book Value	Recoverable Value	Delta
Widiba	125	187	62

In conclusion, the impairment test on goodwill did not bring to light impairment losses for the Widiba CGU, as the recoverable value is higher than the book value by EUR 62 mln.

10.2 Intangible assets: annual changes

	Goodwill	Other intangible assets: generated internally		Other intangible assets: other		Total
		finite life	indefinite life	finite life	indefinite life	31 12 2018
A. Opening balance	**6,605,132**	**455,385**	**-**	**1,820,539**	**-**	**8,881,056**
A.1 Total net decreases	6,597,232	405,926	-	1,594,663	-	8,597,821
A.2 Net opening balance	7,900	49,459	-	225,876	-	283,235
B. Increases	**-**	**17,481**	**-**	**44,917**	**-**	**62,398**
B.1 Purchases	-	17,481	-	44,873	-	62,354
B.2 Increases in internally generated intangible assets	X	-	-	-	-	-
B.3 Write-backs	X	-	-	-	-	-
B.4 Increases in fair value	-	-	-	-	-	-
- to net equity	X	-	-	-	-	-
- to profit and loss	X	-	-	-	-	-
B.5 Positive exchange differences	-	-	-	10	-	10
B.6 Other increases	-	-	-	34	-	34
C. Decreases	**-**	**24,106**	**-**	**107,603**	**-**	**131,709**
C.1 Sales	-	-	-	26	-	26
C.2 Write-downs	-	24,106	-	99,863	-	123,969
- Depreciation	-	23,799	-	99,490	-	123,289
- Write-downs	-	307	-	373	-	680
+ net equity	-	-	-	-	-	-
+ profit and loss	-	307	-	373	-	680
C.3 Decreases in fair value	-	-	-	-	-	-
- to net equity	X	-	-	-	-	-
- to profit and loss	X	-	-	-	-	-
C.4 Transfers to non-current assets held for sale	-	-	-	6,440	-	6,440
C.5 Negative exchange differences	-	-	-	-	-	-
C.6 Other decreases	-	-	-	1,274	-	1,274
D. Net closing balance	**7,900**	**42,834**	**-**	**163,190**	**-**	**213,924**
D.1 Total net value adjustments	6,597,232	405,926	-	1,594,663	-	8,597,821
E. Gross closing balance	**6,605,132**	**448,760**	**-**	**1,757,853**	**-**	**8,811,745**
F. Carried at cost	-	-	-	-	-	-

Line A.1, "Total net decreases", and line D.1, "Total net value adjustments", show the opening and closing balances for total value adjustments and amortisation recorded for intangible assets with a finite life.

With regard to line C.2 “Write-downs” see footnotes to table 10.1 “Intangible assets: breakdown by type”. The sub-item “- Amortisation” includes EUR 1.2 mln for amortisation of the subsidiary BBMP Belgio S.A., classified as a discontinued operation, recognised in income statement item 320 “Profit (loss) after tax from assets held for sale and discontinued operations”.

Line F - "Carried at cost" was left blank in accordance with Bank of Italy's instructions, as it only needs to be completed for assets recognised at fair value.

10.3 Other information: amortisation rates

Main categories of intangible assets	%	residual depreciation period
Software	20,00- 33,00	
Concessions and other licenses	20,00 - 33,00	
Core deposits - current accounts	9.10%	1 year
Core deposits - deposit	6.70%	5 years
Core overdraft	9.10%	1 year

Intangible assets recognised during the purchase price allocation of Banca Antonveneta S.p.A. are all finite-life and therefore amortised based on their expected useful life.

As at 31 December 2018 there were no:

- revalued intangible fixed assets;
- intangible fixed assets acquired through government concessions (IAS 38, par. 4);
- intangible fixed assets pledged as loan collaterals;
- commitments to purchase intangible assets.

Section 11 - Tax Assets and Liabilities - Item 110 (Assets) and Item 60 (Liabilities)

11.1 Deferred tax assets: breakdown

Items/Amounts	IRES with offsetting entry to P&L	IRES with offsetting entry to Balance Sheet	IRAP with offsetting entry to P&L	IRAP with offsetting entry to Balance Sheet	31 12 2018	31 12 2017*
Receivables (including securitisations)	350,145	-	60,431	-	410,576	68,004
Receivables (L. 214/2011)	436,579	-	61,950	-	498,529	733,915
Other financial instruments	4,585	-	7,075	-	11,660	11,795
Goodwill deduction pursuant to previous law provisions (L. 214/2011)	377,136	1,435	89,630	325	468,526	539,382
Tangible assets	80,232	-	9,342	-	89,574	86,008
Intangible assets	443	-	86	-	529	672
Intangible assets (Law 214/2011)	25,663	-	5,469	-	31,132	36,470
Personnel expenses	8,860	17,348	4,178	1,942	32,328	41,163
ACE surplus	127,047	-	-	-	127,047	146,427
Tax losses	1,109,235	39,968	-	-	1,149,203	901,036
Tax losses (Law 214/2011)	78	-	-	-	78	3,291
Financial instruments - valuation reserves	-	140,982	-	29,428	170,410	161,714
Others	197,152	211	16,363	-	213,726	381,371
Deferred tax assets (gross)	**2,717,155**	**199,944**	**254,524**	**31,695**	**3,203,318**	**3,111,248**
Offsetting with deferred tax liabilities	(62,785)	(95,148)	(12,448)	(10,419)	(180,800)	(174,465)
Deferred tax assets (net)	**2,654,370**	**104,796**	**242,076**	**21,276**	**3,022,518**	**2,936,783**

** The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 9 and IFRS 15.*

Deferred tax assets were recognised after verifying the existence of foreseeable future income (probability test). Write-downs (or write-backs of previous write-downs) based on the probability test are recognised overall as an offsetting entry to the tax item of the income statement; in the tables under this section, however, the portion of DTA not recognisable is allocated based on the proportional criterion, also for DTA originally recognised as offsetting entries to shareholders' equity. For additional information, please refer to paragraph 11.7 "Other information" below.

In addition to deferred taxes referring to the main tax (at the rate of 24%) the amounts shown in the IRES column also include those relating to the additional IRES tax (3.5% rate) introduced by Law no. 208 of 28 December 2015, paragraphs 65-66.

The line "Loans" includes deferred tax assets that can be recognised for nine-tenths of the impairment on loans to customers recorded upon first-time adoption of IFRS 9, whose deduction is envisaged in ten annual instalments (from 2018 to 2027) by paragraphs 1067-1069 of Law no. 145 of 30 December 2018 (2019 Budget Law).

The line "Financial instruments – valuation reserves" includes tax assets relating to the valuation of cash flow hedge derivatives and financial instruments classified in the portfolio of 'financial assets measured at fair value through other comprehensive income' (OCI).

The line "Other" includes tax assets relating to other cases; the predominant amount refers to provisions for risks and charges in respect of deductible costs expected for future periods.

11.2 Deferred tax liabilities: breakdown

Items/Amounts	IRES with offsetting entry to P&L	IRES with offsetting entry to Balance Sheet	IRAP with offsetting entry to P&L	IRAP with offsetting entry to Balance Sheet	Total 31 12 2018	Total 31 12 2017
Tangible and intangible assets	5,188	-	498	-	5,686	873
Financial instruments	8,435	43,757	7,181	8,513	67,886	68,152
Personnel expenses	745	895	-	148	1,788	833
Financial instruments - valuation reserves	-	48,493	-	9,881	58,374	150,347
Others	52,997	4,617	10,103	944	68,661	11,638
Deferred tax liabilities (gross)	**67,365**	**97,762**	**17,782**	**19,486**	**202,395**	**231,843**
Offsetting with deferred tax assets	(62,785)	(95,148)	(12,448)	(10,419)	(180,800)	(174,465)
Deferred tax liabilities (net)	**4,580**	**2,614**	**5,334**	**9,067**	**21,595**	**57,378**

In addition to deferred taxes referring to the main tax (at the rate of 24%) the amounts shown in the IRES column also include those relating to the additional IRES tax (3.5% rate) introduced by Law no. 208 of 28 December 2015, paragraphs 65-66.

The line "Financial instruments – valuation reserves" includes tax liabilities relating to the valuation of cash flow hedge derivatives, as well as, to a residual extent, financial instruments classified in the portfolio of 'financial assets measured at fair value through other comprehensive income' (OCI).

11.3 Deferred tax assets: annual changes (with offsetting entry to profit and loss)

	Total 31 12 2018	Total 31 12 2017
1. Opening balance*	**2,910,409**	**3,224,703**
2. Increases	**887,141**	**853,705**
2.1 Deferred tax assets arising during the year	872,732	848,255
a) relating to previous years	-	-
b) due to changes in accounting principles	-	-
c) write-backs	260,957	580,083
d) other	611,775	268,172
2.2 New taxes or increases in tax rates	-	-
2.3 Other increases	14,409	5,450
3. Decreases	**825,871**	**1,218,596**
3.1 Deferred tax assets derecognised during the year	448,454	143,199
a) reversals	142,806	142,021
b) write-downs of non-recoverable items	305,648	1,178
c) changes in accounting principles	-	-
d) other	-	-
3.2 Reduction in tax rates	-	-
3.3 Other decreases	377,417	1,075,397
a) conversion into tax credits pursuant to Law no. 214/2011	314,467	1,052,859
b) others	62,950	22,538
4. Total	**2,971,679**	**2,859,812**

** The initial amount referred to in the column "Total 31/12/2018" includes the effects of first-time adoption of the new IFRS 9 and IFRS 15 as at 1 January 2018, described in the paragraph "Transition to the IFRS 9 and IFRS 15 accounting standards".*

The major components of "Deferred tax assets arising during the year" as reported in line 2.1 letter d) include those concerning:

- the nine-tenths of the impairment on loans to customers recorded upon first-time adoption of IFRS 9, deducted in annual instalments (from 2019 to 2027) pursuant to paragraphs 1067-1069 of Law no. 145 of 30 December 2018 (2019 Budget Law). Note that these deferred tax assets taxes were recorded as offsetting entries to the income statement. This is because, although they refer to income items arising upon FTA and posted to shareholders' equity, they are due to a subsequent re-measurement of the tax effect assessed on 1 January 2018 with the regulations in effect at that time. Note also that they were subject to ordinary measurement under the probability test and found to be partly recognisable, thereby forming part of the amount stated on line 3.1 letter b) of this table.
- taxed provisions to the provision for risks and charges made during the year;
- ACE deduction accrued during the year and unused.

Amongst the amounts shown in line 3.1 letter a) "Reversals", mention goes to the uses of allocations to the provisions for risks and charges taxed in previous years.

The table highlights the effects of measurement of tax assets based on the results of the probability test carried out as at 31 December 2018. Specifically, the amount indicated on line 2.1 letter c) "Write-backs" refers to the partial recognition of deferred tax assets from IRES tax losses (Domestic Consolidated declaration) accrued and not recognised in prior years; line 3.1 letter b) "Write-downs for non-recoverable items" reflects the partial derecognition of deferred tax assets on tax losses for the purposes of the additional IRES tax and other deferred taxes that cannot be transformed into tax credits pursuant to Law 214/2011. For additional information, please refer to paragraph 11.7 "Other information" below.

With regard to the decrease pursuant to line 3.3 letter a), please refer to the comments to the subsequent table "11.3.1 Deferred tax assets: changes under law 214/2011 (with offsetting entry to profit and loss)".

Line 3.3 letter b) includes transformation of the excess ACE accrued for 2017, converted into IRAP credit.

11.4.1 Deferred tax assets: changes under law 214/2011 (with offsetting entry to profit and loss)

Items/Amounts	IRES	IRAP	Total	
			31 12 2018	31 12 2017
1. Opening balance	**1,105,318**	**205,697**	**1,311,015**	**2,364,736**
2. Increases	**78**	**-**	**78**	**3,400**
3. Decreases	**265,941**	**48,647**	**314,588**	**1,057,121**
3.1 Reversals	-	-	-	4,259
3.2 Conversion into tax credits	265,828	48,639	314,467	1,052,860
a) arising from loss for the period	262,537	48,639	311,176	986,801
b) arising from tax losses	3,291	-	3,291	66,059
3.3 Other decreases	113	8	121	2
4. Closing balance	**839,455**	**157,050**	**996,505**	**1,311,015**

As a result of the loss recorded in their separate statutory financial statements for 2017, in 2018 the Parent Company, MPS Capital Services, MPS Leasing e Factoring and Widiba transformed into tax credits a portion of the deferred tax assets relating to loan writedowns, goodwill and other intangible assets, pursuant to art. 2, par. 55 of Law Decree no. 225 of 29 December 2010.
This conversion has been in effect as of the dates of approval of the 2017 Financial statements by the respective Shareholders' Meeting in April 2018 and concerned, in addition to the amount shown in line 3.2 letter a) of this table, also deferred tax assets with offsetting entry to equity, as presented in the subsequent table 11.5.1.

In addition, in 2018, Consorzio Operativo transformed deferred tax assets recognised on the share of the tax loss for the year 2017, consisting of the deduction of amortisation amounts related to other intangible assets. This conversion became effective as of the date of the submission of the 2017 income tax return in October 2018, as laid out by the provisions pursuant to art. 2, paragraph 56-bis of the above-mentioned Law Decree 225/2010, and regarded the amount highlighted on line 3.2, letter b).

11.5 Deferred tax liabilities: annual changes (with offsetting entry to profit and loss)

	Total 31 12 2018	Total 31 12 2017
Opening balance	**114,888**	**125,515**
2. Increases	**8,461**	**14,741**
2.1 Deferred tax liabilities arising during the year	7,720	14,625
a) relating to previous years	-	-
b) due to changes in accounting principles	-	-
c) other	7,720	14,625
2.2 New taxes or increases in tax rates	-	-
2.3 Other increases	741	116
3. Decreases	**38,202**	**60,183**
3.1 Deferred taxes derecognised during the year	36,606	9,327
a) reversals	36,606	9,327
b) due to changes in accounting principles	-	-
c) other	-	-
3.2 Reduction in tax rates	-	-
3.3 Other decreases	1,596	50,856
4. Closing balance	**85,147**	**80,073**

* *The initial amount referred to in the column "Total 31/12/2018" includes the effects of first-time adoption of the new IFRS 9 and IFRS 15 as at 1 January 2018, described in the paragraph "Transition to the IFRS 9 and IFRS 15 accounting standards".*

The increase for the year refers primarily to payments made to the Voluntary Intervention Scheme established at the Interbank Deposit Protection Fund.

The decrease was mainly due to write-downs of equity instruments classified in the portfolio "Financial assets measured at fair value through profit and loss".

11.6 Deferred tax assets: annual changes (with offsetting entry to equity)

	Total 31 12 2018	Total 31 12 2017
1. Opening balance*	**167,419**	**321,007**
2. Increases	**98,745**	**63,150**
2.1 Deferred tax assets arising during the year	98,295	62,934
a) relating to previous years	-	-
b) due to changes in accounting principles	-	-
c) other	98,295	62,934
2.2 New taxes or increases in tax rates	-	-
2.3 Other increases	450	216
3. Decreases	**34,525**	**132,721**
3.1 Deferred tax assets derecognised during the year	33,433	132,156
a) reversal	24,184	132,156
b) write-downs of non-recoverable items	9,249	-
c) due to changes in accounting principles	-	-
d) other	-	-
3.2 Reduction in tax rates	-	-
3.3 Other decreases	1,092	565
4. Closing balance	**231,639**	**251,436**

** The initial amount referred to in the column "Total 31/12/2018" includes the effects of first-time adoption of the new IFRS 9 and IFRS 15 as at 1 January 2018, described in the paragraph "Transition to the IFRS 9 and IFRS 15 accounting standards".*

Deferred tax assets arising during the year, pursuant to line "2.1 c) other", refers mainly to write-downs of financial instruments classified in the portfolio 'Financial assets measured at fair value through other comprehensive income' (OCI) and to write-downs of cash flow hedge derivatives.

Deferred tax assets derecognised during the year, pursuant to "line 3.1 a) reversals", refers mainly to costs deductible during the year connected to previous share capital increases.

Line 3.1 letter b) "Write-downs for non-recoverable items" reflects the partial derecognition of deferred tax assets that may not be converted into tax credits pursuant to Law 214/2011, recognised with an offsetting entry to equity. For additional information, please refer to paragraph 11.7 "Other information" below.

11.6.1 Deferred tax assets: changes under Law 214/2011 (with offsetting entry to equity)

Items/Amounts	IRES	IRAP	Total 31 12 2018	Total 31 12 2017
1. Opening balance	**1,674**	**369**	**2,043**	**2,504**
2. Increases	**-**	**-**	**-**	**-**
3. Decreases	**239**	**44**	**283**	**461**
3.1 Reversals	-	-	-	-
3.2 Conversion into tax credit	239	44	283	459
a) arising from loss for the period	239	44	283	459
b) arising from tax losses	-	-	-	-
3.3 Other decreases	-	-	-	2
4. Closing balance	**1,435**	**325**	**1,760**	**2,043**

The table shows deferred tax assets that may be converted into tax credits pursuant to Law 214/2011, recognised with an offsetting entry to equity. These refer to goodwill posted by the Parent Company to equity on business combinations "under common control".

The amount stated on line 3.2 letter a) refers to transformation of the tax credit described at the bottom of previous table 11.3.1.

11.7 Deferred tax liabilities: annual changes (with offsetting entry to equity)

	Total 31 12 2018	Total 31 12 2017
1. Opening balance*	**118,310**	**193,470**
2. Increases	**47,439**	**54,740**
2.1 Deferred tax liabilities arising during the year	43,856	54,564
a) relating to previous years	-	-
b) due to changes in accounting principles	-	-
c)other	43,856	54,564
2.2 New taxes or increases in tax rates	-	-
2.3 Other increases	3,583	176
3. Decreases	**48,501**	**96,440**
3.1 Deferred tax liabilities derecognised during the year	48,079	96,421
a) reversal	48,079	96,421
b) due to changes in accounting principles	-	-
c) other	-	-
3.2 Reduction in tax rates	-	-
3.3 Other decreases	422	19
4. Closing balance	**117,248**	**151,770**

** The initial amount referred to in the column "Total 31/12/2018" includes the effects of first-time adoption of the new IFRS 9 and IFRS 15 as at 1 January 2018, described in the paragraph "Transition to the IFRS 9 and IFRS 15 accounting standards".*

The increases pursuant to line 2.1 letter c) refer predominantly to revaluations of the cash flow hedge derivatives.
Reversals refer mainly to recovery of deferred tax liabilities of financial instruments classified in the portfolio 'Financial assets measured at fair value through other comprehensive income' (OCI).

11.8 Other information

Probability test

Deferred tax assets were recognised after verifying the existence of foreseeable future income sufficient to absorb them (probability test).

In this test, the different rules set forth in the Italian tax laws which impact the assessment in question were taken into account, in particular:

- art. 2, paragraphs 55-59, of Law Decree no. 225 of 29 december 2010 (converted, with amendments, by Law no. 10 of 26/02/2011) which establishes the obligation for financial intermediaries to convert into tax credits DTAs (IRES and IRAP) relating to goodwill, other intangible assets and impairment losses on receivables, in the case of a loss in the statutory financial statements and/or a tax loss;
- art. 84, paragraph 1 of the TUIR, which allows for the possibility of carrying forward IRES tax losses with no time limits;
- art. 1, paragraph 4 of Law Decree no. 201 of 06 december 2011 (converted, with amendments, by law no. 214 of 22 december 2011), which allows for unused excess ACE to be carried forward with no time limits, as well as, alternatively, conversion into a tax credit to be used to offset IRAP due in 5 annual instalments;
- in paragraphs 61 to 66, art. 1, of the 2016 Stability Law (Law no. 208 of 28 December 2015) reduced the IRES rate from 27.5% to 24% and simultaneously introduced an additional IRES tax of 3.5% for credit and financial institutions; both measures are effective as of 2017.

Note that the Probability test measurements made in the 2018 financial statements were significantly impacted by a number of measures introduced by art. 1 of Law no. 145 of 30 december 2018 (2019 Budget Law). In particular, this refers to:

1. repeal of the ACE (paragraph 1080),
2. deduction in 10 annual instalments from 2018 to 2027 of the impairment on loans to customers recorded upon first-time adoption of IFRS 9 (paragraphs 1067-1069).

The repeal of the ACE, effective from 2019, resulted in an increase in future taxable income compared to the prior scenario, thereby allowing greater recovery of prior tax losses. From the accounting perspective, this essentially translated into a partial write-back on DTAs on consolidated tax losses not recognised in previous years.

Instalments of the deduction on impairment of loans to customers arising upon first-time adoption of IFRS 9 had an opposite effect compared to repealing of the ACE, as nine-tenths of said negative income component, which in the scenario adopted for the purposes of measurement of the probability test in the financial statements as at 31 December 2017 contributed to a tax loss for 2018 with unrecognisable DTAs, resulted in a reduction of future positive taxable amounts that allowed recovery of the prior tax losses. From the accounting perspective, this resulted in a write-down of DTAs for tax losses recognised in prior years, as well as of the DTAs recognised in 2018 on nine-tenths of the negative component that arose upon FTA.

For completeness of information, the 2019 Budget Law introduced further measures that impacted the Group, however with marginal effects with regard to the Probability test measurements. This refers to:

- re-scheduling of the amortisation plan for the value of goodwill and of other intangible assets (paragraph 1079);
- deferral of the deduction of write-downs and losses on loans envisaged for 2018, based on the instalments pursuant to Law Decree 83/2015 (10% of the total adjustments not deducted as at 31 december 2015), with deferral to 2026 (paragraphs 1056 and 1065).

Methodologically speaking, the Probability test was carried out by following the steps listed below, also considering the updates of the estimates of financial statement values envisaged in the Restructuring Plan.

DTAs relating to goodwill, other intangible assets and impairment losses on receivables ("qualified" DTAs), were excluded from the total amount of DTAs for which the existence of sufficient future taxable income needs to be identified.

This is because the above-mentioned art. 2, paragraphs 55-59 of Law Decree 225/2010 made the recovery of that type of DTA certain, with respect to both IRES and IRAP, regardless of the presence of future taxable income.

Indeed, the rule sets forth that, if taxable income for the year in which the recovery of qualified DTAs is expected is not sufficient to absorb them, the resulting tax loss would be convertible into a tax credit that may be, alternatively (i) used to offset, with no amount limits, the various taxes ordinarily due from the Bank, or (ii) requested in the form of a refund, or (iii) transferred to third parties. In addition, qualified DTAs may be converted into tax credit in advance of their natural maturity, in the event of a loss for the year in the statutory financial statements or voluntary liquidation, as well as subjection to bankruptcy proceedings.

In other words, for qualified DTAs the probability test must be deemed automatically satisfied; this is also confirmed by the joint Bank of Italy, Consob and ISVAP document no. 5 of 15/05/2012.

For DTAs other than qualified DTAs, the year in which the relative recovery is expected has been identified (or estimated when uncertain).

Taxable income in future years has therefore been estimated based on the forecast income statements of companies of the Group most recently approved by the relative Boards of Directors. Taxable income was estimated for the probability test by applying a discount factor to the forecast profit and loss (the "risk-adjusted profits approach"); this factor, used in a combined manner, discounts future income over a maximum 20-year time horizon, to an increasing extent to reflect its uncertainty. The discount factor is calculated by taking into account observable market parameters. This methodological approach was introduced in the course of 2016; for more information on the reasons for this methodological update in the Probability test, please refer to the Notes to the Group's 2016 Consolidated Financial Statements (Part B - Assets, par. 14.7).

Taxable income was estimated:

- at domestic tax consolidation level, for the IRES probability test, since for the payment of this tax the Parent Company uses the method set forth in arts. 117 et seq. of the TUIR;
- at individual level for additional IRES;
- at individual level for IRAP.

These data have the following effects on the Group's accounts:

- with regard to DTAs for consolidated tax losses, a write-back of EUR 261.0 mln, with the positive contribution of the ACE repeal and negative contribution of instalments of adjustments arising upon first-time adoption of IFRS 9 and revision of the forecast plans;
- with regard to DTAs for tax losses for the purposes of the additional IRES, the non-recognition of DTAs on the loss arising in 2018 and a write-down of DTAs for prior losses of EUR 52.0 mln, with the negative contribution of instalments of adjustments arising upon first-time adoption of IFRS 9 and revision of the forecast plans;
- with regard to DTAs other than "qualified" and those relative to the ACE and tax losses, a total write-down of EUR 329.6 mln, predominantly due to revision of the plans and instalments of the adjustments arising upon first-time adoption of IFRS 9.

As a result of the above-mentioned assessment, the Group had a total of EUR 1,919.2 mln in DTAs not recognised in the Balance Sheet assets as at 31 December 2018 (EUR 1,785.6 mln as at 31 December 2017, EUR 1,749.3 mln post-FTA IFRS 9).

For the Group, this amount is a potential asset not subject to any time limits according to current tax legislation, whose recognition in the Balance Sheet assets section will be evaluated at the future financial statement dates based on the Group's profit outlook.

Current tax assets

Items/Amounts	Total 31 12 2018	Total 31 12 2017
Prepayments of corporate income tax (IRES and IRAP)	13,203	52
Other tax credits and withholdings	934,813	880,465
Gross current tax assets	**948,016**	**880,517**
Offsetting with current tax liabilities	(2,003)	(2,007)
Net current tax assets	**946,013**	**878,510**

"Other tax credits and withholdings" mostly consist of income tax credits claimed for refund, IRES/IRAP credits resulting from prior tax returns which can be used as a set-off, the residual tax credit arising from DTA transformation (Law no. 214/2011), and withholdings incurred and deductible during the year.

Current tax liabilities

Items/Amounts	31 12 2018			31 12 2017		
	Booked to net equity	Booked to P&L	Total	Booked to net equity	Booked to P&L	Total
Corporate income tax (IRES IRAP) payables	-	7	7	-	33	33
Other current income tax payables	-	2,044	2,044	-	3,228	3,228
Gross current tax payables	**-**	**2,051**	**2,051**	**-**	**3,261**	**3,261**
Offsetting with current tax asset	-	2,003	2,003	-	2,007	2,007
Net current tax payables	**-**	**48**	**48**	**-**	**1,254**	**1,254**

Section 12 - Non-current assets and group of assets held for sale and discontinued operations and associated liabilities - Item 120 (assets) and 70 (liabilities)

12.1 Non-current assets and group of assets held for sale and discontinued operations: breakdown by type

	Total	
	31 12 2018	31 12 2017
A. Individual assets		
A.1 Financial assets	235,897	4,585,524
A.2 Equity investments	-	-
A.3 Tangible assets	8,283	9,611
of which: obtained through the enforcement of the guarantees received	-	-
A.4 Intangible assets	-	-
A.5 Other non-current assets	-	-
Total A	**244,180**	**4,595,135**
of which valued at cost	243,951	4,594,835
of which designated at fair value (level 1)	-	-
of which designated at fair value (level 2)	-	-
of which designated at fair value (level 3)	228	300
B. Asset groups (discontinued operations)		
B.1 Financial assets held for trading	2,096	-
B.2 Financial assets designated at fair value	4	-
B.3 Financial assets available for sale	-	-
B.4 Financial assets held to maturity	2,092	-
B.5 Loans to banks	348,894	-
B.6 Loans to customers	862,795	-
B.7 Equity investments	-	-
B.8 Property, plant and equipment	302	-
of which: obtained through the enforcement of the guarantees received	-	-
B.9 Intangible assets	6,440	-
B.10 Other assets	13,603	-
Total B	**1,234,130**	**-**
of which valued at cost	883,141	-
of which designated at fair value (level 1)	328,854	-
of which designated at fair value (level 2)	20,044	-
of which designated at fair value (level 3)	2,092	-
C. Liabilities associated with individual assets held for sale and discontinued operations		
C.1 Payables	-	-
C.2 Securities	-	-
C.3 Other liabilities	25	-
Totale C	**25**	**-**
of which valued at cost	25	-
of which designated at fair value (level 1)	-	-
of which designated at fair value (level 2)	-	-
of which designated at fair value (level 3)	-	-
D. Liabilities included in groups of assets held for sale and discontinued operations	**-**	**-**
D.1 Deposits from banks	1,112,303	-
D.2 Deposits from customers	2,195	-
D.3 Debt securities issued	-	-
D.4 Financial liabilities held for trading	1,204	-
D.5 Financial liabilities designated at fair value	64,423	-
Total D	**1,180,125**	**-**
of which valued at cost	1,177,929	-
of which designated at fair value (level 1)	-	-
of which designated at fair value (level 2)	2,195	-
of which designated at fair value (level 3)	-	-

Line “A.1 Financial assets”, equal to EUR 235.9 mln, refers to:

- EUR 154.3 mln in non-performing assets of subsidiary MPS Leasing e Factoring S.p.A. included within the scope of the “Morgana” transaction.
- EUR 52.0 mln and EUR 29.6 mln in disposals of loans classified as unlikely to pay, respectively of subsidiary MPS Capital Services S.p.A. and of the Parent Company, with closing expected within the first half of 2019.

Line “A.3 Property, plant and equipment”, equal to EUR 8.3 mln, is related to the Parent Company for EUR 7.6 mln and to the subsidiary MPS Capital Services S.p.A. for EUR 0.7 mln, and, in particular, includes property, plant and equipment held for investment purposes for EUR 6.5 mln, as well as for use in business activities for EUR 1.7 mln.

Sections B. “Discontinued operations” and D. “Liabilities associated to discontinued operations”, respectively equal to EUR 1,234.1 mln and EUR 1,180.1 mln, refer to subsidiary BBMP Belgio S.A., classified as at 31 December 2018 under discontinued operations. The disposal is subject to authorisation by the supervisory authorities, expected by the end of first half of 2019.

At the reporting date or for the year of comparison, there are no equity securities of clearly poor credit quality.

12.2 Other information

Information is provided on the breakdown of portfolios included in “Discontinued operations” that refer to the subsidiary BBMP Belgio S.A. as at 31 December 2018.

Financial assets measured at fair value through comprehensive income

Items/Amounts	Level 1	Level 2	Level 3	Total
1. Debt securities	328,692	20,040	-	348,732
1.1 Structured securities	-	-	-	-
1.2 Other debt securities	328,692	20,040	-	348,732
2. Equity instruments	162	-	-	162
4. Loans	-	-	-	-
Total 31 12 2018	**328,854**	**20,040**	**-**	**348,894**
Total 31 12 2017	**421,727**	**78,704**	**-**	**500,432**

Financial assets measured at amortised cost: loans to banks

	Book value			
	1 stage and 2 stage	3 stage	of which: impaired or originated impaired financial assets	Total
A. Loans to central banks	**156,954**	**-**	**-**	**156,954**
1. Time deposits	-	-	-	-
2. Compulsory reserve	156,954	-	-	156,954
B. Loans to banks	**16,600**	**-**	**-**	**16,600**
1. Loans	16,600	-	-	16,600
1.1 Current accounts and demand deposits	16,600	-	-	16,600
Total 31 12 2018	**173,554**	**-**	**-**	**173,554**
Total 31 12 2017	**176,370**	**-**	**-**	**176,370**

Financial assets measured at amortised cost: loans to customers

Type of transaction/Amount	Book value			
	1 stage and 2 stage	3 stage	of which: impaired or originated impaired financial assets	Total
Loans	**653,158**	**36,084**	**-**	**689,242**
1.1. Current accounts	13,829	21,320	-	35,149
1.2. Reverse repurchase agreements	-	-	-	-
1.3. Mortgage	199,211	2,409	-	201,620
1.4. Credit cards, personal loans and fifth-of-salary backed loans	3,491	138	-	3,629
1.5. Finance lease	-	-	-	-
1.6. Factoring	-	-	-	-
1.7. Other transactiones	436,627	12,217	-	448,844
of which: operating receivables	-	-	-	-
of which: leased assets under construction	-	-	-	-
Debt securities	**-**	**-**	**-**	**-**
1.1. Structured securities	-	-	-	-
1.2. Other debt securities	-	-	-	-
Total 31 12 2018	**653,158**	**36,084**	**-**	**689,242**
Total 31 12 2017	**807,551**	**25.171**	**-**	**238.722**

Also note the EUR 2.1 mln in loans in the portfolio “Financial assets measured at fair value through profit and loss”, under “other financial assets measured at fair value as per mandatory requirements”.

Section 13 - Other assets - Item 130

13.1 Other assets: breakdown

	Total 31 12 2018	Total 31 12 2017*
Tax credits from the Revenue and other tax levying authorities	213,717	252,029
Third party cheques held at the cashier's for collection	10,968	123,809
Cheques drawn on the Company held at the cashier's for collection	2,126	1,370
Gold, silver and precious metals	23,984	24,283
Items in transit between branches	4,139	8,019
Items in processing	728,558	608,917
Receivables associated with the provision of goods and services	12,563	13,420
Improvements and incremental costs on third party assets other than those included under tangible assets	42,454	43,019
Prepaid expenses and accrued income not attributable to other line items	403,406	496,999
Biological assets	3,282	3,315
Other	289,038	339,268
Total	**1,734,235**	**1,914,448**

* *The comparative data were reclassified on the basis of the new accounting statements set forth in the 5th update of Bank of Italy Circular 262.*

The lines "Items in processing" and "Other" include transactions which were cleared in early 2019.

The table above does not include cases falling under the definitions of "contract assets" and "contract liabilities" at either the reporting date or for the comparison year, which would require disclosure pursuant to IFRS 15.116 and 118.

LIABILITIES

Section 1 - Financial liabilities measured at amortised cost - Item 10

1.1 Financial liabilities measured at amortised cost: breakdown of deposits from banks

Items/accounts	Total 31 12 2018				Total 31 12 2017			
	Book value	Fair value			Book value	Fair value		
		Level 1	Level 2	Level 3		Level 1	Level 2	Level 3
1. Deposits from central banks	16,542,345	X	X	X	**16,893,695**	X	X	X
2. Deposits from banks	5,296,065	X	X	X	**4,191,221**	X	X	X
2.1 Current accounts and demand deposits	1,076,310	X	X	X	861,626	X	X	X
2.2 Time deposits	22,602	X	X	X	43,514	X	X	X
2.3 Loans	3,592,335	X	X	X	2,529,686	X	X	X
2.3.1 Repurchase agreements	3,183,124	X	X	X	1,823,607	X	X	X
2.3.2 Other	409,211	X	X	X	706,079	X	X	X
2.4 Liabilities for commitments to repurchase own equity instruments	-	X	X	X	-	X	X	X
2.5 Other liabilities	604,818	X	X	X	756,395	X	X	X
Total	**21,838,410**	**-**	**21,838,410**	**-**	**21,084,916**	**-**	**21,084,916**	**-**

The line "Deposits from central banks", equal to EUR 16,542 mln, includes refinancing operations, guaranteed by securities pledged by the Parent Company using the pooling mechanism.

Line 2.3.1 "Repurchase agreements" contains the financial liabilities arising from repo transactions with banks on both treasury securities and securities made available through reverse repurchase agreements or securities lending transactions.

1.2 Financial liabilities measured at amortised cost: breakdown of deposits from customers

Type of transactions/Amounts	Total 31 12 2018				Total 31 12 2017			
	Book value	Fair value			Book value	Fair value		
		Level 1	Level 2	Level 3		Level 1	Level 2	Level 3
1. Current accounts and demand deposits	52,701,349	X	X	X	51,465,521	X	X	X
2. Time deposits	8,366,371	X	X	X	10,627,582	X	X	X
3. Loans	14,190,207	X	X	X	13,942,001	X	X	X
3.1 Reverse repurchase agreements	10,136,984	X	X	X	8,413,727	X	X	X
3.2 Others	4,053,224	X	X	X	5,528,274	X	X	X
4. Liabilities for commitments to repurchase own equity instruments	-	X	X	X	-	X	X	X
5. Other liabilities	855,297	X	X	X	979,073	X	X	X
Total	**76,113,224**	**-**	**76,113,224**	**-**	**77,014,177**	**-**	**77,014,177**	**-**

Line "3.3.1 Repurchase agreements" contains the financial liabilities arising from repo transactions with customers on both treasury securities and securities made available through reverse repurchase agreements or securities lending transactions.

1.3 Financial liabilities measured at amortised cost: breakdown of debt securities issued

Type of Securities/ Amounts	Total 31 12 2018					Total 31 12 2017				
	Book value	Fair value				Book value	Fair value			
		Level 1	Level 2	Level 3	Total		Level 1	Level 2	Level 3	Total
A. Listed securities										
1. Bonds	10,794,211	6,770,907	3,723,350	-	10,494,257	18,195,449	14,061,015	4,444,794	-	18,505,809
1.1 Structured	-	-	-	-	-	-	-	-	-	-
1.2 Other	10,794,211	6,770,907	3,723,350	-	10,494,257	18,195,449	14,061,015	4,444,794	-	18,505,809
2. Other securities	2,341,626	-	2,341,626	-	2,341,626	2,265,851	-	2,307,638	-	2,307,638
2.1 Structured	-	-	-	-	-	-	-	-	-	-
2.2 Other	2,341,626	-	2,341,626	-	2,341,626	2,265,851	-	2,307,638	-	2,307,638
Total	**13,135,837**	**6,770,907**	**6,064,976**	**-**	**12,835,883**	**20,461,300**	**14,061,015**	**6,752,432**	**-**	**20,813,447**

The table shows funding represented by securities, including bonds and certificates of deposit (outstanding and maturities).

Liabilities are net of bonds and repurchased CDs. In this connection it is noted that on 31 December 2018, there were State-guaranteed bonds in place, issued and concurrently repurchased, for a nominal amount of EUR 4,799 mln, part of which, for a nominal EUR 2,606 mln, were then pledged as collateral for financing transactions.

Note that approximately EUR 6.5 bn were assets that were micro-hedged for fair value (EUR 10.1 bn as at 31 December 2017). Starting from 2018, the Parent Company also proceeded with operational hedging of interest rate risk for EUR 3 bn in securities issued by the Bank through the purchase of Italian government securities with residual life not lower than six months and not greater than six months in relation to the maturities of the matching liabilities.

1.4 Details of subordinated liabilities/securities

In January 2018, the Parent Company completed the issue of a Tier 2 subordinated bond, for a total value in the financial statements of EUR 787.7 mln. In 2017, there were no liabilities of this type.

1.5 Details of structured liabilities

This table was not completed as the Group has no such liabilities to report for either the current or the previous year.

1.6 Finance lease payables

As at the reporting date, there are no finance lease payables (EUR 1.2 mln as at 31 December 2017). Last year’s amount referred to a contract stipulated with the Consorzio Operativo Gruppo, for which the subsidiary decided not to exercise the redemption option on the leased assets.

Section 2 - Financial liabilities held for trading - Item 20

2.1 Financial liabilities held for trading: breakdown

Type of transaction/ Group item	Total 31 12 2018					
	NV	FV				FV*
		Level 1	Level 2	Level 3	Total	
A. Balance-sheet liabilities						
1. Deposits from banks	1,446,932	1,573,188	134	-	1,573,322	1,573,322
2. Deposits from customers	304,883	300,175	464	-	300,639	300,639
3. Debt securities issued	-	-	-	-	-	-
3.1 Bonds	-	-	-	-	-	-
3.1.1 Structured	-	-	-	-	-	X
3.1.2 Other	-	-	-	-	-	X
3.2 Other securities	-	-	-	-	-	-
3.2.1 Structured	-	-	-	-	-	X
3.2.2 Other	-	-	-	-	-	X
Total A	**1,751,815**	**1,873,363**	**598**	**-**	**1,873,961**	**1,873,961**
B. Derivatives						
1. Financial derivatives		-	1,243,690	-	1,243,690	
1.1 Trading	X	-	1,243,690	-	1,243,690	X
1.2 Fair value option (FVO)	X	-	-	-	-	X
1.3 Other	X	-	-	-	-	X
2. Credit derivatives		-	55,902	-	55,902	
2.1 Trading	X	-	55,902	-	55,902	X
2.2 Fair value option (FVO)	X	-	-	-	-	X
2.3 Other	X	-	-	-	-	X
Total B	**X**	**-**	**1,299,592**	**-**	**1,299,592**	**X**
Total (A+B)	**X**	**1,873,363**	**1,300,190**	**-**	**3,173,553**	**X**

Legend
NV = Nominal or Notional Value
FV = Fair Value
FV*= Fair value calculated excluding value adjustments due to variations in the credit rating of the issuer since the date of issue

Criteria adopted for classification of financial instruments in the three levels of the "fair value hierarchy" are reported in Section A.3, "Fair value disclosure" of Part A, "Accounting policies" of the notes to the financial statements.

The amounts classified in lines "1. Deposits from banks" and "2. Deposits from customers" are related primarily to those in lines "1. Debt securities" and "4. Loans" in table 2.1 of the assets "Financial assets held for trading". Please also note that the sub-items "Deposits from banks" and "Deposits from customers", mentioned above, also incorporate uncovered short positions. They are designated at fair value in line with the method applied for "long" positions.

Derivatives connected with fair value option instruments are also included in the trading book: these cover the risks of funding designated at fair value arising from possible interest rate fluctuations and from any embedded options in structured bonds issued (natural and systematic hedging). The fair value of these derivatives is shown in the table in line B1.1 as they are FVO hedges originally carried out with the subsidiary MPS Capital Services S.p.A., for which risk externalisation was required.

For FVO derivatives arranged by Group companies with the subsidiary MPS Capital Services S.p.A., it is worth noting that the relevant internal units responsible for risk management perform suitable tests at consolidated level in order to periodically test the effectiveness of the hedge established from the perspective of a 'natural hedge'.

The fair value calculated on financial derivatives includes value adjustments owing to changes in the Group's creditworthiness, Debit Value Adjustment (i.e. DVA), totalling EUR 9 mln (EUR 5.1 mln as at 31 December 2017).

Type of transaction/ Group item	NV	Total 31 12 2017				FV*
		FV				
		Level 1	Level 2	Level 3	Total	
A. Balance-sheet liabilities						
1. Deposits from banks	931,754	1,002,677	1,852	-	1,004,529	1,004,529
2. Deposits from customers	1,701,715	1,898,689	-	-	1,898,689	1,898,689
3. Debt securities issued	-	-	-	-	-	-
3.1 Bonds	-	-	-	-	-	-
3.1.1 Structured	-	-	-	-	-	X
3.1.2 Other	-	-	-	-	-	X
3.2 Other securities	-	-	-	-	-	-
3.2.1 Structured	-	-	-	-	-	X
3.2.2 Other	-	-	-	-	-	X
Total A	**2,633,469**	**2,901,366**	**1,852**	**-**	**2,903,218**	**2,903,218**
B. Derivatives						
1. Financial derivatives		-	1,539,477	-	1,539,477	
1.1 Trading	X	-	1,539,477	-	1,539,477	X
1.2 Fair value option (FVO)	X	-	-	-	-	X
1.3 Other	X	-	-	-	-	X
2. Credit derivatives		-	34,212	-	34,212	
2.1 Trading	X	-	34,212	-	34,212	X
2.2 Fair value option (FVO)	X	-	-	-	-	X
2.3 Other	X	-	-	-	-	X
Total B	**X**	**-**	**1,573,689**	**-**	**1,573,689**	**X**
Total (A+B)	**2,633,469**	**2,901,366**	**1,575,541**	**-**	**4,476,907**	**X**

Legend
NV = Nominal or Notional Value
FV = Fair Value
FV*= Fair value calculated excluding value adjustments due to variations in the credit rating of the issuer since the date of issue

2.2 Details of item 20 “Financial liabilities held for trading”: subordinated liabilities

The Group has issued no subordinated liabilities classified in the trading book.

2.3 Details of item 20 “Financial liabilities held for trading”: structured liabilities

The Group has issued no structured liabilities classified in the trading book.

Section 3 - Financial liabilities designated at fair value - Item 30

3.1 Financial liabilities designated at fair value: breakdown

Type of transaction / Amount	Total 31 12 2018					
	NV	FV				FV*
		Level 1	Level 2	Level 3	Total	
1. Deposits from banks	-	-	-	-	-	-
1.1 Structured	-	-	-	-	-	X
1.2 Other	-	-	-	-	-	X
of which commitments to disburs funds						
of which financial guarantees issued						
2. Deposits from customers	-	-	-	-	-	-
2.1 Structured	-	-	-	-	-	X
2.2 Other	-	-	-	-	-	X
of which commitments to disburs funds						
of which financial guarantees issued						
3. Debt securities issued	247,911	-	258,235	-	258,235	306,871
3.1 Structured	82,600	-	75,093	-	75,093	X
3.2 Other	165,311	-	183,142	-	183,142	X
Total	**247,911**	**-**	**258,235**	**-**	**258,235**	**306,871**

Legend

NV = Nominal or Notional Value
FV = Fair Value

FV*= Fair value calculated excluding value adjustments due to variations in the credit rating of the issuer since the date of issue

The table shows the financial liabilities represented by fixed-rate and structured bonds which have been classified at fair value and are subject to hedging. Hedging occurs through derivative contracts and is used to cover the risk of interest rate fluctuations and the risk resulting from embedded options.

In the income statement, positive and negative spreads or margins relative to derivative contracts until the balance sheet date are recognised as interest income and expense, while valuation profits and losses are posted under item 80 - Net profit (loss) from trading. Profit/loss from financial liabilities measured at fair value is recognised:

- among other revenue items without reversal to the income statement for the amount referring to changes in own creditworthiness;
- in item 110 “Net profit (loss) from other financial assets and liabilities measured at fair value through profit and loss” of the income statement for the residual portion of the fair value change.

The above recognition method does not create nor expand accounting asymmetry in the profit (loss) for the year, as the effects of changes in the credit risk of the Group’s liabilities are not offset in the income statement by a change in the fair value of another financial instrument measured at fair value through profit and loss for the year.

Type of transaction / Amount	Total 31 12 2017					
	NV	FV				FV*
		Level 1	Level 2	Level 3	Total	
1. Deposits from banks	-	-	-	-	-	-
1.1 Structured	-	-	-	-	-	X
1.2 Other	-	-	-	-	-	X
of which commitments to disburs funds						
of which financial guarantees issued						
2. Deposits from customers	-	-	-	-	-	-
2.1 Structured	-	-	-	-	-	X
2.2 Other	-	-	-	-	-	X
of which commitments to disburs funds						
of which financial guarantees issued						
3. Debt securities issued	325,046	-	326,279	-	326,279	369,731
3.1 Structured	112,239	-	104,252	-	104,252	X
3.2 Other	212,807	-	222,027	-	222,027	X
Total	**325,046**	**-**	**326,279**	**-**	**326,279**	**369,731**

Legend

NV = Nominal or Notional Value
FV = Fair Value

FV*= Fair value calculated excluding value adjustments due to variations in the credit rating of the issuer since the date of issue

3.1.a Financial liabilities measured at fair value: the Fair Value Option approach

Liabilities for which the fair value option was adopted include natural hedges through debt security derivatives for a book value of EUR 258.2 mln, as compared to EUR 326.3 mln in the previous year.

3.1.b Financial liabilities measured at fair value: structured debt securities

Items/Amount	31 12 2018				Total
	Structured loan to banks	Structured loan to customers	Structured securities	Total	31 12 2017
Index Linked	-	-	75,093	75,093	104,252

The table reports the main types of structured bonds issued by the Group and measured at fair value. Since bonds are measured at fair value through profit and loss, embedded derivatives are not reported separately.

3.2 Details of "Financial liabilities measured at fair value": subordinated liabilities

This table was not completed as the Group has no such liabilities to report for either the current or the previous year.

Section 4 - Hedging derivatives - Item 40

4.1 Hedging derivatives: breakdown by type of contract and underlying asset

	Fair value 31 12 2018				NV
	Level 1	Level 2	Level 3	Total	
A. Financial derivatives	**-**	**748,501**	**-**	**748,501**	**31,092,504**
1) Fair value	-	748,501	-	748,501	31,092,504
2) Cash flows	-	-	-	-	-
3) Foreign investments	-	-	-	-	-
B. Credit derivatives	**-**	**-**	**-**	**-**	**-**
1) Fair value	-	-	-	-	-
2) Cash flows	-	-	-	-	-
Total	**-**	**748,501**	**-**	**748,501**	**31,092,504**

Legend

NV = Nominal or Notional Value

The table displays the negative book value (fair value) of hedging derivatives for hedges carried out through hedge accounting.

Hedges of financial liabilities represented by securities are also managed through the fair value option.

Information on the underlying strategies and objectives of hedge transactions can be found in Section 1.2 “Market risks” of Part E “Information on risks and hedging policies”.

	Fair value 31 12 2017				NV
	Level 1	Level 2	Level 3	Total	
A. Financial derivatives	**-**	**691,368**	**-**	**691,368**	**22,301,778**
1) Fair value	-	691,368	-	691,368	22,301,778
2) Cash flows	-	-	-	-	-
3) Foreign investments	-	-	-	-	-
B. Credit derivatives	**-**	**-**	**-**	**-**	**-**
1) Fair value	-	-	-	-	-
2) Cash flows	-	-	-	-	-
Total	**-**	**691,368**	**-**	**691,368**	**22,301,778**

Legend

NV = Nominal or Notional Value

4.2 Hedging derivatives: breakdown by hedged portfolios and type of hedging

Transaction/Type of hedge	Fair Value							Cash flow Hedge		Foreign investments	Total 31 12 2018
	Micro Hedge										
	Debt securities and interest rate	Equity instruments and stock indicies	currencies and gold	Credit	Commodities	Others	Macro-hedge	Micro-hedge	Macro-hedge		
1.Financial assets measured at fair value through other comprehensive income	105,573	-	-	-	X	X	X	-	X	X	105,573
2. Financial assets measure at amortised cost	183,973	X	34,198	-	X	X	X	-	X	X	218,171
3. Portfolio	X	X	X	X	X	X	424,738	X	-	X	424,738
4. Other transaction	-	-	-	-	-	-	X	-	X	-	-
Total assets	**289,546**	**-**	**34,198**	**-**	**-**	**-**	**424,738**	**-**	**-**	**-**	**748,482**
1. Financial liabilities	19	X	-	-	-	-	X	-	X	X	19
2. Portfolio	X	X	X	X	X	X	-	X	-	X	-
Total liabilities	**19**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**19**
1. Expected transactions	X	X	X	X	X	X	X	-	X	X	-
2. Financial assets and liabilities portfolio	X	X	X	X	X	X	-	X	-	-	-
Total	**289,565**	**-**	**34,198**	**-**	**-**	**-**	**424,738**	**-**	**-**	**-**	**748,501**

The tables show the negative fair values of hedging derivatives, classified by hedged assets or liabilities and type of hedging implemented.

In particular, on the assets side, fair value micro-hedging was used to hedge against interest rate risk on fixed-rate and variable-rate capped mortgages and bonds classified in the portfolio of "*financial assets measured at fair value through other comprehensive income*" or among receivables classified in the portfolio of "*financial assets measured at amortised cost*", in order to protect them from unfavourable interest rate changes. Fair value macro-hedging was carried out on fixed-rate and capped floating rate mortgage loan portfolios.

With reference to financial liabilities, fair value micro-hedging of the interest rate risk refers primarily to hedges of liabilities represented by securities.

More information on hedged assets and liabilities can be found in the tables contained in Part B of the notes for each section of the balance sheet items to which the hedged items are posted.

Section 5 - Changes in value of macro-hedged financial liabilities - Item 50

5.1 Change in value of hedged liabilities: breakdown by hedged portfolios

Fair value change of financial liabilities in hedged portfolios / Values	Total 31 12 2018	Total 31 12 2017
1. Positive fair value change of financial liabilities	18,145	-
2. Negative fair value change of financial liabilities	-	788
Total	**18,145**	**788**

The balance of changes in value of the liabilities subject to macro-hedging of interest rate risk is recognised in this item.

Section 6 – Tax liabilities – Item 60

Please refer to section 11 of the assets.

Section 7 – Liabilities associated with individual assets held for sale – Item 70

Please refer to section 12 of the assets.

Section 8 – Other liabilities – Item 80

8.1 Other liabilities: breakdown

	Total 31 12 2018	Total 31 12 2017*
Due to the Revenue and other tax levying authorities	159,033	172,982
Due to social security authorities	328,549	494,018
Amounts available to customers	44,058	41,346
Other amounts due to employees	31,132	40,699
Items in transit between brances	23,468	34,165
Items in processing	868,814	911,743
Payables in relation to the payment of supplies of goods and services	308,764	329,603
Accrued expenses and unearned revenues not attributable to other line items	88,438	87,120
Other	1,475,722	933,972
Total	**3,327,952**	**3,045,648**

** The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 9; in addition, the comparative data were reclassified on the basis of the new accounting statements set forth in the 5th update of Bank of Italy Circular 262.*

Sub-items "Items in processing" and "Other" include transactions which were cleared during the first days of 2019.

For the disclosures pursuant to IFRS 15.116 and IFRS 15.118, please refer to section 13 of the assets.

Section 9 – Provision for employee severance pay – Item 90

9.1 Provision for employee severance pay: annual changes

	Total 31 12 2018	Total 31 12 2017
A. Opening balance	**199,498**	**252,858**
B. Increases	**2,356**	**4,668**
B.1 Provision for the year	2,350	3,964
B.2 Other increases	6	704
C. Decreases	**9,738**	**58,028**
C.1 Severance payments	4,277	51,080
C.2 Other decreases	5,461	6,948
D. Closing balance	**192,116**	**199,498**

9.2 Other information

Provision for employee severance pay is considered as a defined benefit fund for the purpose of international accounting standards.

The provision for the year, as clarified by the Bank of Italy, does not include amounts which, as a result of the reform introduced by Legislative Decree no. 252 of 5 December 2005, are paid directly by the Bank, depending on the various employee options, to complementary pension schemes or to the treasury fund managed directly by the Italian National Social Security Institute, INPS. These items are recognised in personnel expenses, as "contributions to external pension funds: defined contribution".

9.2.a Changes in net defined benefit liabilities during the year: severance pay

Item/Amount	Present value of DBO	
	31 12 2018	31 12 2017
Opening balance	**199,498**	**252,858**
Current service cost	34	9
Interest income/expense	2,314	3,954
Remeasurement of net defined benefit liability (asset):	(4,708)	(5,631)
Return on plan assets excluding interest	-	-
Actuarial gains (losses) arising from changes in demographic assumptions	145	67
Actuarial gains (losses) arising from experience adjustments	(1,529)	(5,261)
Actuarial gains (losses) arising from changes in financial assumptions	(3,324)	(437)
Payments from plan	(4,147)	(50,924)
Effect of any plan settlements	130	-
Other changes	(745)	(768)
Closing balance	**192,116**	**199,498**

The table above reports the information required by paragraphs 140 and 141 of IAS 19.

9.2.b Key actuarial assumptions

Key actuarial assumptions/percentage	31 12 2018	31 12 2017
Discount rates	0,98% - 2,63%	0,79% - 1,93%
Expected rates of salary increases	X	X

9.2.c Sensitivity of defined benefit obligation of severance pay to changes in key actuarial assumptions

Actuarial assumptions	31 12 2018		31 12 2017	
	Change in DBO	Change (%) in DBO	Change in DBO	Change (%) in DBO
Discount rates				
Increase of 0.25%	(3,817)	-1.99%	(3,146)	-1.58%
Decrease of 0.25%	3,583	1.86%	3,922	1.97%

Section 10 – Provisions for risks and charges – Item 100

10.1 Provisions for risks and charges: breakdown

Item/Amount	Total 31 12 2018	Total 31 12 2017*
1. Provision for credit risk relative to commitments and financial guarantees issued	241,420	161,388
2. Provision for other commitments and guarantee issued	1,000	65,000
3. Pensions and other post retirement benefit obligations	37,500	50,129
4. Other provisions for risks and charges	1,199,121	1,088,363
4.1 Tax and legal disputes	608,498	645,185
4.2 personnel charges	213,095	82,010
4.3 other	377,528	361,168
Total	**1,479,041**	**1,364,880**

** The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 9; in addition, the comparative data were reclassified on the basis of the new accounting statements set forth in the 5th update of Bank of Italy Circular 262.*

For further details of the sub-item 4.3 “others”, please refer to table 10.6 below “Provisions for risks and charges - Other provisions”.

10.2 Provisions for risks and charges: annual changes

Item/Amount	Total 31 12 2018			
	Provisions for commitments and other guarantees issued	Pensions and other post retirement benefit obligations	Other provisions for risks and charges	Total
A. Opening balance*	**65,000**	**50,129**	**1,113,998**	**1,229,127**
B. Increases	**1,000**	**1,739**	**384,375**	**387,114**
B.1 Provision for the year	1,000	965	379,599	381,564
B.2 Changes due to the time value of money	-	20	148	168
B.3 Changes due to discount rate changes	-	-	753	753
B.4 Other increases	-	754	3,875	4,629
C. Decreases	**65,000**	**14,368**	**299,252**	**378,620**
C.1 Use during the year	53,061	3,391	180,611	237,063
C.2 Changes due to discount rate changes	-	9,520	21	9,541
C.3 Other decreases	11,939	1,457	118,620	132,016
IFRS 5 "Discontinuing operations"	-	*438*	*765*	*1,203*
D. Closing balance	**1,000**	**37,500**	**1,199,121**	**1,237,621**

** The initial balance includes the effects of first-time adoption of the new IFRS 9 and IFRS 15 as at 1 January 2018, described in the paragraph "Transition to the IFRS 9 and IFRS 15 accounting standards".*

10.2-bis Other provisions for risks and charges: annual changes

Item/Amount	Total 31 12 2018			
	Provisions for Tax and legal disputes	Provisions for personnel charges	Other provisions	Total
A. Opening balance*	**645,185**	**82,010**	**386,803**	**1,113,998**
B. Increases	**97,904**	**155,661**	**130,812**	**384,377**
B.1 Provision for the year	97,045	155,077	127,478	379,600
B.2 Changes due to the time value of money	140	7	1	148
B.3 Changes due to discount rate changes	719	34	1	753
B.4 Other increases	-	543	3,332	3,875
C. Decreases	**134,591**	**24,576**	**140,086**	**299,254**
C.1 Use during the year	71,326	14,109	95,176	180,611
C.2 Changes due to discount rate changes	20	1	-	21
C.3 Other decreases	63,245	10,465	44,910	118,620
IFRS 5 "Discontinuing operations"	-	-	*765*	*765*
D. Closing balance	**608,498**	**213,095**	**377,528**	**1,199,121**

** The initial balance includes the effects of first-time adoption of the new IFRS 9 and IFRS 15 as at 1 January 2018, described in the paragraph "Transition to the IFRS 9 and IFRS 15 accounting standards".*

Note that "Other provisions", sub-item "B.1 Provision for the year" includes provisions of EUR 127.0 mln for the compensation initiative connected to the offer of diamonds.

For further details, please refer to Section 1.5 "Operational risks" of Part E of the Notes to the financial statements.

10.3 Provisions for credit risk relative to commitments and financial guarantees issued

	Provisions for loans commitments and other financial guarantees issued			
	1 Stage	2 Stage	3 Stage	Total 31 12 2018
Commitments to disburs funds	2,893	3,358	-	6,251
Fiancial guarantees issued	6,133	5,765	223,271	235,169
Total	**9,026**	**9,123**	**223,271**	**241,420**

10.4 Provisions for other commitments and guarantees issued

Provision for other commitments under IAS 37 and other guarantees issued under IFRS 4	Total 31 12 2018	
	Nominal Amount	Provision
Other commitments to disburs funds	1,000	1,000
Other guarantees issued	-	-
Total	**1,000**	**1,000**

10.5 Defined benefit company pension funds

10.5.1. Description of funds and related risks

The information provided below concerns defined benefit pension funds in favour of employees and terminated employees of the Parent Company and the Group companies, i.e. funds in which the obligation of future payment of retirement benefits is undertaken by the funds and indirectly by the companies, which may be required to increase the value of the obligation in the event of inadequate capital assessed in accordance with actuarial criteria.

For each definite benefit plan the Parent Company relies on analyses carried out by an independent certified actuary.

In accounting for the plans, the surplus or deficit was determined using the credit unitary projection method; therefore the fair value of the assets servicing the plan, if any, was deducted from the current value of the obligation, as shown in the statement of financial position (*see Part A of the Notes - Accounting Policies*).

The valuations concerned those participating, which form a closed group of retired or active employees, and were carried out on the basis of these groups of employees as measured in December 2018 (with the exclusion of the Section of the Cassa di Previdenza Aziendale - Company's Pension Scheme) for employees of Monte dei Paschi di Siena, valued as at 30 November 2018).

In accordance with IAS 19, revised by amendments issued by IASB on 16 June 2011 and approved by EU Regulation no. 475/2012 dated 5 June 2012, in determining the total cost of each defined benefit plan, which - as is well-known - may be influenced by many variables, objective and prudential technical bases were adopted in formulating both demographic and financial assumptions.

In view of the evolutionary nature of the main relevant aggregates, actuarial valuations were performed under dynamic conditions, so as to subsume in the medium-long term both the average annual changes in the benefits defined in each plan, and the interest rate trends expected in the financial market.

Some of the main actuarial assumptions that were formulated and used as valuation bases are mentioned below:

- technical mortality basis: using death probability data as provided in ISTAT's 2017 tables, broken down by gender and age, with mortality reduced by 20%;
- economic-financial basis: using as annual relative interest rate the interpolated EUR Composite AA rate curve (BFV) as at 31 December 2018.

For each defined benefit plan, the balance sheet equity resulting from valuations carried after reconciliation of actuarial assets and liabilities as at 31 December 2018 underwent a sensitivity analysis to examine the effects of changes in the key technical assumptions included in the calculation model (average annual discount rate and inflation rate), and the results were presented in specific tables.

The theoretical future increase in INPS pensionable earnings, which in any case is considered in the calculation model in an average annual percentage of 0.75%, was not included in the sensitivity analysis because it is essentially irrelevant for the preparation of the technical financial statements as, given that all defined benefit pensions funds are closed to new participants and taking into account the progressive decrease in the active population due to retirements during the year, the ratio between active and retired participants has now reduced to a percentage of less than 0.1%.

The defined benefit plans, in which the Group companies are co-obliged within the limits set out in the respective by-laws or regulations, are either internal plans, divided in the description below between unfunded and funded, or independent external funds.

Unfunded internal funds

Supplementary pension provision for staff in the former tax collection division of Banca Monte dei Paschi di Siena S.p.A.

(Bank Register no. 9185)

This is a defined benefit plan designed to provide retired staff of the former Direct Management division of the Parent Company with supplementary pension in the form of annuity.

The entitled population, consisting solely of retirees whose number is 319, is made up of staff of the former business unit, divested in 2006, who retired after the year 1982.

For the purposes of the preparation of the technical financial statements, the liabilities were valued taking into account INPS pension payment regulations issued by Law no. 335/95 as amended and the Plan Regulations.

The valuations concerning participants were carried out on the basis of the positions of retirees receiving immediate or deferred retirement benefits, taking into account details on currently paid pensions, types of pension, personal data of the beneficiary and amount of the annuity paid by the Fund and that paid by INPS.

In the event that the agreed benefits are more costly than expected, the Parent Company remains responsible for providing additional funds to meet the financial requirements of the retirement plans.

The valuations show an actuarial gain of EUR 1.47 mln at the date of 31 December 2018.

National insurance (INPS) for ex-Banca Operaia di Bologna staff

(Bank Register no. 9142)

The fund is intended to supplement benefits paid out under INPS pension schemes for retired employees of former Banca Operaia di Bologna.

The Plan's Regulations, signed on 23 September 1980, provide for supplementary benefit up to a certain percentage of the last salary earned. For the purposes of pension calculation, annual salary means a set of items paid on a continuous basis and on which benefits are paid out to surviving dependents. For the purposes of the preparation of the technical financial statements, the liabilities were valued taking into account INPS pension payment regulations issued by Law no. 335/95 as amended.

The valuations concerning participants were carried out taking into account details on currently paid pensions, personal data of the beneficiary and the ratio between the annuity paid by the Fund and that paid by INPS.

In the event of deficit, the Parent Company remains responsible for providing additional funds to meet the financial requirements of the retirement plans.

The valuations show an actuarial loss of EUR 0.06 mln at the date of 31 December 2018.

The plan applies to a population made up exclusively of non-active participants, of which 66 are retired and 4 are active employees.

Pension provision for employees of former Banca di Credito Popolare e Cooperativo di Reggio Emilia

(Bank Register no. 9178)

The sole aim of the fund is to supplement compulsory schemes in order to guarantee higher levels of insurance coverage for ex-employees of former Banca di Credito Popolare e Cooperativo di Reggio Emilia, as the direct beneficiaries of a life annuity or as the surviving spouse of a former employee.

The pension provision for employees participating in the Fund is governed by the Regulations issued in 1977 and later amended to reflect subsequent laws. It provides for payment of supplementary benefits so as to reach a certain percentage of the last salary earned.

The valuations concerning participants were carried out taking into account details on currently paid pensions, personal data of the beneficiary and the ratio between the annuity paid by the Fund and that paid by INPS.

The obligation to pay the benefits lies with the Parent Company, which must provide the wherewithal to cover the liability over time.

The valuations show an actuarial gain of EUR 0.04 mln at the date of 31 December 2018.

The Plan applies to a population of only 12 retirees.

Pension provision for employees of former Banca Popolare Veneta

(Bank Register no. 9066)

The pension plan, which applies to a residual population of 19 retirees, is aimed at supplementing the benefits paid out by INPS for employees already retired at 7 December 1989 and their assignees, under labour agreements signed on 4 February 1956 and on 1 January 1982 for executive staff, as amended.

The valuations concerning participants were carried out taking into account details on currently paid pensions, personal data of the beneficiary and the ratio between the annuity paid by the Fund and that paid by INPS.

In the event of deficit, the Parent Company is responsible for providing additional funds to meet the financial requirements of the retirement plans.

The valuations show an actuarial loss of EUR 0.05 mln at the date of 31 December 2018.

MPS Capital Services Banca per le Imprese S.p.A. pension fund

(Bank Register no. 9134)

This defined benefit complementary pension fund is reserved to 37 retirees, including 26 direct and 11 indirect beneficiaries.

The valuations as at 31 December 2018 show essential stability of the actuarial estimates of the start of the year.

Funded internal funds

Pension provision for employees of former Banca Nazionale Agricoltura.

(Bank Register no. 9047)

The purpose of this Provision is to pay additional retirement benefits over and above those paid by INPS to employees of the former Banca Nazionale dell'Agricoltura, who retired before 1 October 2000 or whose employment was terminated after this date without their having exercised the right, provided under the agreement of 12 September 2000, to transfer their contributions to another individual capitalisation, defined contribution fund.

The Plan applies to a population of 229 retirees and 3 employees on deferred retirement.

The Plan's Regulations, first approved in 1966, provide for supplementary benefit up to a certain percentage of the last salary earned, to be paid to the direct beneficiaries and their surviving dependants.

The valuations concerning participants were carried out taking into account details on currently paid pensions, personal data of the beneficiary and the ratio between the annuity paid by the Fund and that paid by INPS.

Although the Fund has its own separate and independent allocation capital, the guarantee of performance of the benefit payment obligation lies with the Parent Company, which must ensure the wherewithal to cover the liability over time.

At the valuation date of 31 December 2018, the actuarial calculations show that the capital adequacy of the Fund satisfies the obligation to pay benefits with respect to the participants.

Complementary pension provision for employees of former Banca Toscana

(Bank Register no. 9110)

This defined benefit complementary pension fund is reserved for employees of the former Banca Toscana who were already retired at 1 January 1999 and to active employees hired before 27 April 1993 who did not opt at the time to transfer their contributions to an individual capitalisation and defined contribution fund.

The population of employees eligible for the present and future benefits is composed of 805 retirees and 6 active employees.

The current Fund Regulations set out the rules concerning the retirement benefits to be paid to eligible employees, distinguishing between old age, seniority and disability pensions. Calculation of the complementary benefits is based on the average of the last three years of employment, taking into account only the items specified in the Regulations.

The guarantee of performance of the benefit payment obligation lies with the Parent Company, which must ensure the wherewithal to cover the liability over time, although the Fund has its own separate accounting and capital, with the effects set out in art. 2117 of the Italian Civil Code.

At the valuation date of 31 December 2018, the actuarial calculations show that the capital adequacy of the Fund satisfies the obligation to pay benefits with respect to the participants.

External funds

Cassa di Previdenza Aziendale for Monte dei Paschi di Siena employees

(Bank Register no. 1127)

The Fund has legal personality and full independence in terms of capital and operation.

It is reserved to employees and retirees of the Parent Company hired until 31 December 1990 who, following the agreement of 30 June 1989, opted to remain in the specific complementary benefit Section under a defined benefit regime.

The Fund's governance consists of a Board of Directors and a Board of Statutory Auditors with joint membership (some of the members are appointed by the Parent Company and others are appointed by the participants) supported by the General Manager.

The Parent Company provides, free of charge, the employees, premises and other resources required for the autonomous management of the Cassa and incurs all the related costs and expenses, including those for the functioning of the governing and control bodies.

In terms of guarantees given, in accordance with art. 26 of the By-laws, any deficits in Section coverage which should be identified during actuarial checks will be made up by the Parent Company only to the extent necessary to maintain tier 1 services, in accordance with the guarantee to the participants undertaken in compliance with Law no. 218/90 and referred to in the agreement of 24 June 1991.

The complementary benefits, which are determined by subtracting the benefits paid out by INPS from the annual amount of the complementary benefits, are made up of two components. The first component increases the benefits to be paid by the Cassa up to 70% of the fixed items of the salary of an employee of the same level, and the second component increases the complementary benefits by a further 9%.

The assets that comprise the reference capital consist primarily of investments in securities, managed almost entirely under a financial management agreement, and properties.

The population is composed of 2,603 retirees, 168 active employees and 63 employees on deferred retirement.

The technical report prepared in accordance with IAS 19 criteria by the designated actuary shows the capital adequacy of the Complementary Section which, against an asset fair value calculated at 30 November 2018 (*) of EUR 335.97 mln, takes into consideration a defined benefit obligation (DBO) as at 31 December 2018 of EUR 138.63 mln.

(*) most recent figure available

Pension Fund for personnel of former Banca Agricola Mantovana S.p.A.

(Bank Register no. 1341)

The Fund, which operates on a defined benefit basis, has legal personality and full independence in terms of capital and operation, as its legal form is that of an unincorporated association under art. 36 of the Italian Civil Code.

The sole purpose of the Fund is to pay to eligible participants complementary benefits over and above those paid out by INPS; the participants include 33 retirees and 3 employees on deferred retirement.

At the valuation date of 31 December 2018, the actuarial calculations highlight a DBO (Defined Benefit Obligation) of EUR 0.91 mln against capital meant to satisfy the pension obligation (Asset Fair Value) of EUR 0.87 mln.

Pension Fund for personnel of former Banca Antonveneta S.p.a.

(Bank Register no. 1033)

The Fund, whose legal form is that of an unincorporated association in accordance with article 36 of the Italian Civil Code, has the sole purpose of providing benefits in addition to AGO (General Compulsory Insurance) cheques, was established in 1966 and has continued to operate to date.

The currently limited group of pensioners entitled to benefits refers to those who at the time did not accept the proposal for the settlement in capital of the value of the position recognised.

The population eligible to receive the benefits is composed of only 28 retirees.

At the valuation date of 31 December 2018, the actuarial calculations highlight a DBO (Defined Benefit Obligation) of EUR 1.92 mln against capital meant to satisfy the pension obligation.

******

The defined benefit pension fund for personnel of the London branch (BMPS UK Pension Fund) is designed to pay for the employees' benefits upon reaching normal retirement age as well as benefits to other surviving beneficiaries. The pension plan is administered by a Trustee, whose members also include active employees; the financial resources are managed by a specialised company. The technical report prepared in accordance with IAS 19 criteria by the designated actuary at the valuation date of 31 December 2018 shows the capital adequacy of the plan which, against an asset fair value of EUR 43.46 mln, takes into consideration the DBO (Defined Benefit Obligation) of EUR 39.55 mln.

The pension plan for personnel of the New York branch (Retirement Plan) was terminated and fully paid out, in the relative entitled amounts, to participants upon closure of the branch, which took place on 31 December 2018.

There is also a pension plan for Banca Monte dei Paschi Belgio intended to guarantee pension benefits to active employees as well as their beneficiaries. As at 31 December 2018, the actuarial valuation (57 active employees and 20 on deferred retirement) highlights a DBO (Defined Benefit Obligation) of EUR 4.36 mln against capital meant to satisfy the pension obligation (Asset Fair Value) of EUR 4.21 mln.

******

IAS 19 was also applied to calculate the actuarial values that could be used to determine the liability relating to the complementary benefits associated with the former Credito Lombardo Spa. Considering the contractual nature of the obligation, the economic costs are incurred directly by the Parent Company. The currently limited group of people eligible for benefits regards a total of 95 immediate pensions, of which 61 direct and 34 indirect. The actuarial calculations show a DBO (Defined Benefit Obligation) of EUR 2.68 mln at the valuation date of 31 December 2018.

Finally, there is one position referring to a former General Manager of the Parent Company to whom specific economic benefits other than pension benefits are disbursed. In any event, they are assessed on the basis of actuarial parameters in order to determine the value of the Parent Company's obligation. This type of remuneration, known as *ex contractu*, consists of payment of monthly benefits revalued on the basis of automatic pension equalisation indexes.

******

As required by the Bank of Italy, the internal fund statements can be found in the annexes to the financial statements.

10.5.2 Changes in net defined liability (asset) and reimbursement rights during the year

The following tables show movements for the year in internal and external funds which, according to international accounting standards, come under the heading of defined benefit funds.

10.5.2a Changes in net defined liability (asset) and reimbursement rights during the year – Internal Funds

Item/Amount	31 12 2018			
	A (-) Plan assets	B (+) Present value of DBO	C (+) Effect of asset ceiling	D=A+B+C Net defined benefit liability (asset)
Opening balance	**(122,059)**	**148,741**	**14,487**	**41,169**
Current service cost	X	21	X	21
Interest income/expense	(763)	945	77	259
Remeasurement of net defined benefit liability (asset):	(116)	(5,938)	4,443	(1,611)
Return on plan assets excluding interest	(116)	X	X	(116)
Actuarial gains (losses) arising from changes in demographic assumptions	X	(2,109)	X	(2,109)
Actuarial gains (losses) arising from experience adjustments	X	(1,622)	X	(1,622)
Actuarial gains (losses) arising from changes in financial assumptions	X	(2,207)	X	(2,207)
Changes in effect of limiting net defined benefit asset to asset ceiling	X	X	4,443	4,443
Past service cost and gains (losses) arising from settlements	X	-	X	-
Changes in foreign exchange rates	-	-	-	-
Contributions to plan:	-	-	-	-
by employer	-	-	X	-
by employee	-	-	X	-
Payments from plan	9,094	(12,485)	X	(3,391)
Effect of business combinations and disposals	-	-	-	-
Effect of any plan curtailments	-	-	X	-
Effect of any plan settlements	-	-	X	-
Other changes	-	-	-	-
Closing balance	**(113,844)**	**131,284**	**19,007**	**36,447**

Item/Amount	31 12 2017			
	A (-) Plan assets	B (+) Present value of DBO	C (+) Effect of asset ceiling	D=A+B+C Net defined benefit liability (asset)
Opening balance	**(132,072)**	**158,615**	**15,588**	**42,131**
Current service cost	X	16	X	16
Interest income/expense	(538)	1,252	-	714
Remeasurement of net defined benefit liability (asset):	804	2,059	(1,101)	1,762
Return on plan assets excluding interest	804	X	X	804
Actuarial gains (losses) arising from changes in demographic assumptions	X	4,678	X	4,678
Actuarial gains (losses) arising from experience adjustments	X	(2,332)	X	(2,332)
Actuarial gains (losses) arising from changes in financial assumptions	X	(287)	X	(287)
Changes in effect of limiting net defined benefit asset to asset ceiling	X	X	(1,101)	(1,101)
Past service cost and gains (losses) arising from settlements	X	-	X	-
Changes in foreign exchange rates	-	-	-	-
Contributions to plan:	-	-	-	-
by employer	-	-	X	-
by employee	-	-	X	-
Payments from plan	9,746	(13,201)	X	(3,455)
Effect of business combinations and disposals	-	-	-	-
Effect of any plan curtailments	-	-	X	-
Effect of any plan settlements	-	-	X	-
Other changes	-	-	-	-
Closing balance	**(122,060)**	**148,741**	**14,487**	**41,168**

10.5.2b Changes in net defined liability (asset) and reimbursement rights during the year: External Funds

Item/Amount	31 12 2018			
	A (-) Plan assets	B (+) Present value of DBO	C (+) Effect of asset ceiling	D=A+B+C Net defined benefit liability (asset)
Opening balance	**(441,468)**	**245,894**	**204,534**	**8,960**
Current service cost	X	724	X	724
Interest income/expense	(5,874)	4,793	1,595	514
Remeasurement of net defined benefit liability (asset):	32,042	(30,822)	(2,863)	(1,643)
Return on plan assets excluding interest	32,042	X	X	32,042
Actuarial gains (losses) arising from changes in demographic assumptions	X	(2,510)	X	(2,510)
Actuarily gains (losses) arising from experience adjustments	X	(20,196)	X	(20,196)
Actuarial gains (losses) arising from changes in financial assumptions	X	(8,116)	X	(8,116)
Change in effect of limiting net defined benefit asset to asset ceiling	X	X	(2,863)	(2,863)
Past service cost and gains (losses) arising from settlements	X	220	X	220
Changes in foreign exchange rates	(100)	356	-	256
Contributions to plan:	(7,426)	-	-	(7,426)
by employer	(7,426)	-	X	(7,426)
by employee	-	-	X	-
Payments from plan	25,238	(25,238)	X	-
Effect of business combinations and disposals	4,212	(4,361)	-	(149)
Effect of any plan curtailments	-	(415)	X	(415)
Effect of any plan settlements	-	878	X	878
Other changes	7	(872)	-	(865)
Closing balance	**(393,369)**	**191,157**	**203,266**	**1,054**

Item/Amount	31 12 2017			
	A (-) Plan assets	B (+) Present value of DBO	C (+) Effect of asset ceiling	D=A+B+C Net defined benefit liability (asset)
Opening balance	**(451,404)**	**258,098**	**204,761**	**11,455**
Current service cost	X	675	X	675
Interest income/expense	(4,026)	5,268	(575)	667
Remeasurement of net defined benefit liability (asset):	3,388	(4,708)	346	(974)
Return on plan assets excluding interest	3,388	X	X	3,388
Actuarial gains (losses) arising from changes in demographic assumptions	X	1,428	X	1,428
Actuarily gains (losses) arising from experience adjustments	X	(5,964)	X	(5,964)
Actuarial gains (losses) arising from changes in financial assumptions	X	(172)	X	(172)
Change in effect of limiting net defined benefit asset to asset ceiling	X	X	346	346
Past service cost and gains (losses) arising from settlements	X	-	X	-
Changes in foreign exchange rates	3,464	(4,356)	-	(892)
Contributions to plan:	(1,969)	-	-	(1,969)
by employer	(1,969)	-	X	(1,969)
by employee	-	-	X	-
Payments from plan	9,079	(9,079)	X	-
Effect of business combinations and disposals	-	-	-	-
Effect of any plan curtailments	-	-	X	-
Effect of any plan settlements	-	-	X	-
Other changes	-	-	-	-
Closing balance	**(441,468)**	**245,898**	**204,532**	**8,962**

10.5.2c Changes in net defined liability (asset) and reimbursement rights during the year – Total

Item/Amount	31 12 2018			
	A (-)	B (+)	C (+)	D=A+B+C
	Plan assets	Present value of DBO	Effect of asset ceiling	Net defined benefit liability (asset)
Internal funds	(113,844)	131,284	19,007	36,447
External funds	(393,369)	191,157	203,266	1,054
Total defined benefit funds	**(507,213)**	**322,441**	**222,273**	**37,501**

Item/Amount	31 12 2017			
	A (-)	B (+)	C (+)	D=A+B+C
	Plan assets	Present value of DBO	Effect of asset ceiling	Net defined benefit liability (asset)
Internal funds	(122,060)	148,741	14,487	41,168
External funds	(441,468)	245,898	204,532	8,962
Total defined benefit funds	**(563,528)**	**394,639**	**219,019**	**50,130**

10.5.3 Information on Fair value of plan assets

Item	31 12 2018			
	Internal pension plans		External pension plans	
	Listed in active markets	Not listed in active markets	Listed in active markets	Not listed in active markets
Cash and cash equivalents	87,550	-	6,065	-
of which: used by the Group	87,550	-	2,796	-
Equity instruments	-	-	33,818	-
of which: issued by Group	-	-	-	-
Debt instruments	26,294	-	149,273	-
of which: issued by the Group	-	-	5,974	-
Real estate	-	-	-	59,682
of which: used by the Group	-	-	-	-
Derivatives	-	-	-	-
UCITS	-	-	144,531	-
Asset-backed securities	-	-	-	-
Structured debt	-	-	-	-
Total	**113,844**	**-**	**333,687**	**59,682**
of wich: *own instruments/assets used by the Group*	*87,550*	-	*8,771*	-

The table shows, for funded defined benefit plans, the total amount of plan assets. In particular, the assets refer to the following funds:

- Pension Fund for personnel of former Banca Nazionale dell'Agricoltura S.p.A.,
- Pension Fund for personnel of former Banca Agricola Mantovana S.p.A.,
- Pension Fund for personnel of former Banca Toscana S.p.A.,
- Pension Fund for personnel of Monte Paschi Belgio,
- Pension Fund for personnel of former Banca Antonveneta and
- Cassa di Previdenza Aziendale for Monte dei Paschi di Siena employees, defined benefit section,
- Pension Fund for the Parent Compaby's personnel of the former branches in London

the total of which exceed the obligations existing at year end.

Item	31 12 2017			
	Internal pension plans		External pension plans	
	Listed in active markets	Not listed in active markets	Listed in active markets	Not listed in active markets
Cash and cash equivalents	83,847	-	10,154	3,920
of which: used by the Group	83,847	-	3,012	-
Equity instruments	-	-	36,941	-
of which: issued by Group	-	-	-	-
Debt instruments	38,213	-	170,019	-
of which: issued by the Group	-	-	5,974	-
Real estate	-	-	-	72,896
of which: used by the Group	-	-	-	-
Derivatives	-	-	-	-
UCITS	-	-	147,538	-
Asset-backed securities	-	-	-	-
Structured debt	-	-	-	-
Total	**122,060**	**-**	**364,652**	**76,816**
of wich: own instruments/assets used by the Group	*83,847*	-	*8,987*	-

10.5.4 Key actuarial assumptions used

Key actuarial assumptions/percentages	31 12 2018		31 12 2017	
	Defined benefit funds		Defined benefit funds	
	Internal pension plans	External pension plans	Internal pension plans	External pension plans
Discount rates	0.68%	2.90%	0.79%	1.65%
Expected rates of salary increases	0.75%	1.98%	0.75%	2.03%

A discount rate of 0.68 % was used for internal plans and of 2.90% for external ones (1% for Provision for severance pay, see table 9.2b), calculated as a weighted average of interest rates in EUR Composite AA yield curve as at 31 December 2018, using, as weights, the ratio between the amount paid/paid in advance for each maturity and the total amount to be paid/paid in advance for the entire duration of the population considered.

10.5.5 Information on amount, timing and uncertainty of cash flows

31 12 2018

Actuarial assumption	Change in DBO	Change (%) in DBO
Discount rate		
Increase of 0.25%	(3,990)	-1.24%
Decrease of 0.25%	3,514	1.09%
Expected rates of salary increases		
Increase of 0.25%	2,168	0.67%
Decrease of 0.25%	(1,918)	-0.59%

31 12 2017

Actuarial assumption	Change in DBO	Change (%) in DBO
Discount rate		
Increase of 0.25%	(16,881)	-4.28%
Decrease of 0.25%	9,687	2.45%
Expected rates of salary increases		
Increase of 0.25%	4,072	1.03%
Decrease of 0.25%	(10,956)	-2.78%

With respect to pay increases, it is not possible to conduct any sensitivity analysis given the static nature of the benefits linked to the choice of participants to stay in the fund.

10.5.6 Plans covering multiple employers

10.5.7 Defined benefit plans sharing risks among entities under common control

Plans having these characteristics are not present for the Group.

10.6 Provisions for risks and charges: other provisions

Items/Amounts	Total 31 12 2018	Total 31 12 2017
2.1 Tax and Legal disputes	608,498	645,185
- Revocatory	58,383	80,259
- Other legal disputes	515,150	542,230
- tax disputes	34,965	22,696
2.2 Personnel charges	213,095	82,010
- Job disputes	31,242	39,483
- Leaving incentives	162,396	15,008
- Other	19,457	27,519
2.3 Other	377,528	361,168
- Risks related to the sale of business units	22,985	26,541
- Charges due to corporate restructuring	15,055	25,769
- Payments to financial advisors	43,461	57,428
- Charges for embezzlement	7,615	13,479
- Claims and Court agreements	2,628	1,085
- Other	285,784	236,866
Total	**1,199,121**	**1,088,363**

Item 2.3 sub-item "other" includes the EUR 29.7 mln provision allocated for the purposes of IFRS 15 and related to a contract for the placement of third-party products, with a claw-back clause in effect as at 31 December 2018. The provision was made according to a model based on historic series of the three prior years. The item also includes provisions of EUR 127.0 mln for the compensation initiative connected to the offer of diamonds (for greater detail, see section 1.5 "Operational risks" in Part E of the Notes to the Financial Statements).

10.7 Contingent liabilities

	31 12 2018
Tax and legal disputes	**1,172,665**
Revocatory	13,676
Other legal disputes	1,128,940
Tax disputes	30,050
Personnel charges	**749**
Job disputes	749
Others	**139,477**
Totale	**1,312,891**

A contingent liability is defined as i) a possible obligation arising from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more future events not totally under control, or ii) a current obligation that arises from past events but is not recognised because use of resources aimed at producing economic benefits will likely not be required to settle the obligation or because the amount of the obligation cannot be measured with sufficient reliability.

Contingent liabilities are not subject to recording but, if deemed "possible", are solely subject to disclosure. Conversely, contingent liabilities that are deemed to be of "remote" likelihood do not require any disclosure, pursuant to the provisions of IAS 37. Hence, the table above show only "possible" liabilities.

Similar to "probable" liabilities, contingent liabilities are also monitored because they may, over time, become "remote" or "probable", with the need, in the latter case, to make the necessary provisions.

In this context, it should be noted that the classification of contingent liabilities and the relative amount is based on non-objective judgements that require recourse to sometimes extremely complex estimation procedures; therefore, they may be subject to redetermination over time.

Specifically, in reference to the dispute, the table shows the claim, where quantified; this value cannot be considered a measurement of the expected disbursement in accordance with IAS 37. In fact, the Group does not deem it practical to provide an estimate of the expected disbursement, as the calculation would be complex and onerous.

For further details, please refer to Section 1.5 "Operational risks" of Part E in the Notes to the financial statements.

Section 11 – Insurance reserves – Item 110

The tables in this section have not been completed as no data is present for either current or previous year.

Section 12 - Redeemable shares - Item 120

The tables in this section have not been completed as no data is present for the current year or for the previous year.

Section 13 – Group equity – Items 120, 130, 140, 150, 160, 170 and 180

13.1 "Share capital" and "Treasury shares": breakdown

13.1.a "Share capital" breakdown

(in units of Eur)

Items/Amounts	31 12 2018		31 12 2017	
	Implied par value share (a)	Par value of fully paid shares	Par value per share	Par value of fully paid shares
Ordinary shares	9.06	10,328,618,260.00	9.06	10,328,618,260.00
Total		**10,328,618,260**		**10,328,618,260**

On 6 June 2011 the Bank's Extraordinary Shareholders' Meeting resolved that indication of the par value of the classes of shares be eliminated; accordingly, as at 31 December 2011, the so-called "Implied par value" is indicated, which is obtained by dividing the total share capital amount by the number of shares in the same category, outstanding at the reference date.

Ordinary shares are registered and indivisible. Each share entitles to one vote. Information on the number of fully paid-up shares can be found in the notes to Table "13.2 Share capital – number of shares: annual changes".

At the reporting date, the Parent Company's share capital amounted to EUR 10,328,618,260.14, represented by 1,140,290,072 ordinary shares without a nominal value, of which 1,104,009,324 outstanding.

13.1.b "Treasury shares": breakdown

At the date of these financial statements, the Group holds 36,280,748 treasury shares for a total value of EUR 313.7 mln.

13.2 Share capital - Parent company's number of shares: annual changes

Item/Type		31 12 2018	31 12 2017
		Ordinary	Ordinary
A.	**Shares outstanding as at the beginning of the year**	1,140,290,072	29,320,798
	- fully paid	1,140,290,072	29,320,798
	- not fully paid	-	-
A.1	Treasury shares (-)	36,280,748	-
A.2	**Shares outstanding: opening balance**	**1,104,009,324**	**29,320,798**
B.	**Increases**	-	1,110,969,274
B.1	New issuances	-	1,110,969,274
	- Against payment:	-	1,110,969,274
	- Business combinations	-	-
	- Bond converted	-	517,099,404
	- warrants exercised	-	-
	- other	-	593,869,870
	- without payment:	-	-
	- to employees	-	-
	- to directors	-	-
	- other	-	-
B.2	Sale of treasury shares	-	-
B.3	Other increases	-	-
C.	**Decreases**	**-**	**36,280,748**
C.1	Cancellation	-	-
C.2	Purchase of treasury shares	-	-
C.3	Business transferred	-	-
C.4	Other decreases	-	36,280,748
D.	**Shares outstanding: closing balance**	1,104,009,324	1,104,009,324
D.1	Treasury shares (+)	36,280,748	36,280,748
D.2	Shares outstanding as at the end of the year	1,140,290,072	1,140,290,072
	- fully paid	1,140,290,072	1,140,290,072
	- not fully paid	-	-

The number of shares outstanding and the number of treasury shares did not change during 2018.

At the date of these financial statements, the share capital is fully paid in.

13.3 Share capital: other information

13.3a Equity instruments: breakdown and annual changes

As at 31 December 2018, the Group held no equity instruments.

13.4 Retained earnings: other information

See "Part F – Information on consolidated shareholders' equity" of these Notes to the financial statements.

13.5 Other information

See "Part F – Information on consolidated shareholders' equity" of these Notes to the financial statements.

Section 14 - Non-controlling interests - Item 190

14.1 Details of item 190 "Non-controlling interests"

Company name	31 12 2018	31 12 2017
Equity investments in consolidated companies with significant non-controlling interests	-	-
Other equity investments	2,242	2,279
Total	**2,242**	**2,279**

14.2 Equity instruments: breakdown and annual changes

No such instruments are present within the Group.

Other information

1 Commitments and financial guarantees issued

Nominal Amount	31 12 2018			
	Stage 1	Stage 2	Stage 3	Total
Irrevocable commitments to disburse funds	37,626,854	907,201	1,238,155	39,772,210
a) Central banks	11	-	-	11
b) Public entities	1,629,864	2	120,186	1,750,052
c) Banks	4,546,074	2,859	3,173	4,552,106
d) Other financial companies	7,242,786	46,843	9,681	7,299,310
e) Non-financial companies	21,615,342	687,132	1,064,422	23,366,896
f) Families	2,592,777	170,365	40,693	2,803,835
Financial guarantees given to	4,434,980	541,075	583,686	5,559,741
a) Banks	60	-	-	60
b) Public entities	36,521	1,228	-	37,749
c) Banks	506,634	758	3,172	510,564
d) Other financial companies	92,321	4,074	363	96,758
e) Non-financial companies	3,696,896	522,508	572,545	4,791,949
f) Families	102,548	12,507	7,606	122,661
Total	**42,061,834**	**1,448,276**	**1,821,841**	**45,331,951**

2 Other commitments and guarantees issued

	Nominal value
	31 12 2018
Other guarantees given to	**-**
of which: non-performing exposures	-
a) Central Banks	-
b) Public entities	-
c) Banks	-
d) Other financial companies	-
e) Non-financial companies	-
f) Families	-
Other commitments	**1,637,868**
of which: non-performing exposures	-
a) Central Banks	-
b) Public entities	1,265,492
c) Banks	131,837
d) Other financial companies	240,033
e) Non-financial companies	505
f) Families	-
Total	**1,637,868**

The table includes over EUR 1,6 bn for securities to be settled in the time horizon envisaged by market practices (known as "regular way").

3 Assets pledged as collateral for liabilities and commitments

Portfolios	31 12 2018	31 12 2017*
1. Financial assets measured at fair value through profit and loss	4,888,587	4,556,810
2. Financial assets measured at fair value through other comprehensive income	6,429,532	4,310,010
3. Financial assets measured at amortised cost	32,723,075	30,581,486
4. Tangible assets	1,342,482	1,359,791

** The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 9; in addition, the comparative data were reclassified on the basis of the new accounting statements set forth in the 5th update of Bank of Italy Circular 262.*

The table summarises the assets pledged by the Group as collateral for its liabilities, mainly represented by repurchase agreements. The amount in line "3. Financial assets measured at amortised cost" includes approx. EUR 19.4 bn related to loans transferred to the vehicles MPS Covered Bond S.r.l. and MPS Covered Bond 2 S.r.l. as part of two programmes for the issue of covered bonds.

4 Operating leases
4.1 Future minimum lease payments due under operating leases

Items/Amounts	31 12 2018
Up to 1 year	51,939
From 1 to 5 years	170,103
Over 5 years	101,737
Future minimum lease payments due	**323,779**
Non-cancellable future minimum lease payments receivable	-

5 Investments in unit-linked and index-linked policies: breakdown

The Group does not hold any such investments since no company of the Group issues insurance policies.

6 Asset management and trading on behalf of third parties

	Amount 31 12 2018
1. Trading of financial instruments on behalf of third parties	
a) Purchases	8,416,451
1. Settled	8,398,789
2. Unsettled	17,662
b) Sales	8,081,647
1. Settled	8,079,674
2. Unsettled	1,973
2. Asset management accounts	**-**
a) individual	3,052,877
b) collective	1,019
3. Custody and administration of securities	**-**
a) third party securities on deposit associated with custodian bank transactions (excluding asset management)	-
1. Securities issued by companies included in consolidation	-
2. Other securities	-
b) Other third party securities on deposit (excluding asset management)	51,770,068
1. Securities issued by companies included in consolidation	1,305,166
2. Other securities	50,464,902
c) third party securities deposited with third parties	45,717,970
d) own securities deposited with third parties	36,803,961
4. Other transactions	**25,813,716**

7 Financial assets subject to offsetting, enforceable master netting arrangements and similar agreements

Type	Gross amount of financial assets (a)	Amount of financial liabilities offset in balance sheet (b)	Net amount of financial assets recognised in the balance sheet (c=a-b)	Related amounts not subject to balance sheet offsetting		Net amount (f=c-d-e) 31 12 2018	Net amount 31 12 2017
				Financial instruments (d)	Deposits of cash collateral received (e)		
1. Derivatives	4,442,478	1,452,517	2,989,961	1,185,730	1,579,343	224,888	-
2. Repurchase agreements	4,228,518	-	4,228,518	4,212,157	-	16,361	-
3. Securities lending	-	-	-	-	-	-	-
4. Other	-	-	-	-	-	-	-
Total 31 12 2018	**8,670,996**	**1,452,517**	**7,218,479**	**5,397,887**	**1,579,343**	**241,249**	**X**
Total 31 12 2017	**9,771,168**	**1,259,698**	**8,511,470**	**6,832,321**	**1,496,279**	**X**	**182,870**

8 Financial liabilities subject to offsetting, enforceable master netting arrangements and similar agreements

Type	Gross amount of financial liabilities (a)	Amount of financial assets offset in balance sheet (b)	Net amount of financial liabilities recognised in the balance sheet (c=a-b)	Related amounts not subject to balance sheet offsetting		Net amount (f=c-d-e) 31 12 2018	Net amount 31 12 2017
				Financial instruments (d)	Deposits of cash collateral received (e)		
1. Derivatives	3,400,068	1,452,517	1,947,551	1,187,672	719,765	40,114	0
2. Repurchase agreements	13,320,108	-	13,320,108	13,318,248	-	1,860	0
3. Securities lending	-	-	-	-	-	-	-
4. Other	-	-	-	-	-	-	-
Total 31 12 2018	**16,720,176**	**1,452,517**	**15,267,659**	**14,505,920**	**719,765**	**41,974**	**X**
Total 31 12 2017	**13,683,460**	**1,259,698**	**12,423,762**	**11,555,775**	**645,899**	**X**	**222,088**

IFRS 7 requires disclosure of information for all financial instruments that:

- were offset in the balance sheet pursuant to IAS 32;
- could potentially be offset, given certain conditions, but presented in the balance sheet as open balances as they are governed by “framework offsetting agreements or similar agreements” which do not meet the criteria established in IAS 32 for offsetting.

The amount offset in the financial statements refers to trading in OTC derivatives managed through central counterparties of the subsidiary MPS Capital Services S.p.a. and the Parent Company.

For the purposes of reconciliation of the amounts shown in the column (c) “net amount of financial assets/liabilities recognised in the balance sheet” with the opening balances shown in “Part B – Information on the balance sheet”, it should be noted that:

- the amount related to both trading and hedging derivative financial instruments, aided by netting agreements or similar, is represented in asset items 20 a) “Financial assets held for trading” and 50 “Hedging derivatives” and in liability items 20 “Financial liabilities held for trading” and 40 “Hedging derivatives”;
- the amount related to repurchase agreements subject to netting agreements or similar is shown in line “Repurchase agreements/Reverse repurchase agreements” in the tables containing a breakdown of asset item 40 “Financial assets measured at amortised cost” and liability item 10 “Financial liabilities measured at amortised cost”.

It should also be noted that:

- with regard to securities lending transactions, in these tables transactions involving the payment of cash collateral fully owned by the lender are included in the item "Repurchase agreements";
- the repurchase agreements are recognised in the tables at amortised cost, while the financial collateral and derivative transactions are reported at their fair value.

9 Securities lending transactions

In its capacity as borrower, the Parent Company has entered into a number of securities lending agreements with leading market counterparties. These agreements are backed by other securities and total approximately EUR 2.5 bn.

In its capacity as borrower, the Parent Company has also entered into securities lending agreements (mainly Italian government bonds) with customers, for a total of approximately EUR 1.6 bn.

These transactions, which in compliance with current accounting standards have no impact on the balance sheet, are carried out with the aim of increasing the Group's counterbalancing capacity.

10 Information on joint control activities

This paragraph was not completed as no such activities are present within the Group.

Part C – Information on the consolidated income statement

Section 1 - Interest income/expense and similar revenues/charges - Items 10 and 20

1.1 Interest income and similar revenues: breakdown

Itme/Type	Debt securities	Loans	Other transactions	Total 31 12 2018	Total 31 12 2017*
1. Financial asset measured at fair value through profit and loss	67,349	14,079	5,077	86,505	53,431
1.1 Finanicial asset held for trading	35,383	-	5,077	40,460	53,431
1.2 Financial assets designated at fair value	-	-	-	-	-
1.3 Financial assets measured at fair value mandatory	31,966	14,079	-	46,045	-
2. Financial asset measured at fair value through other comprehensive income	133,075	-	X	133,075	149,717
3. Financial assets measured at amortised cost	83,915	1,945,537	X	2,029,452	2,468,258
3.1. Loans to banks	14,172	13,896	X	28,068	30,465
3.2 Loans to customers	69,743	1,931,641	X	2,001,384	2,437,793
4. Hedging derivatives	X	X	-	-	-
5. Other assets	X	X	2,970	2,970	4,546
6. Financial liabilities	X	X	X	75,411	-
Total	**284,339**	**1,959,616**	**8,047**	**2,327,413**	**2,675,952**
of which interest income on credit impaired assets	321	267,143	-	267,464	*447,026*

** The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 9; in addition, the comparative data were reclassified on the basis of the new accounting statements set forth in the 5th update of Bank of Italy Circular 262. The data were restated solely in the 2017 income statement to take into consideration the classification of the subsidiary BMP Belgio S.A. as a discontinued operation, in accordance with the provisions of IFRS 5.*

The amount in line "1. Financial assets held for trading", in the "Other transactions" column, includes the positive net balance of spreads relating to derivatives connected with financial liabilities measured at fair value (fair value option).

The amount in line "5. Other assets", in the "Other transactions" column, shows mainly interest accrued on tax credits.

The amount in line 6 "Financial liabilities" shows interest accrued on financial liabilities for EUR 75.4 mln.

Interest income, calculated for financial assets measured at amortised cost under the effective interest rate method, is entered in different columns based on the original 'technical form'. The amount accrued during the year for positions that are classified as "non-performing" as at the reporting date totalled EUR 267.5 mln (EUR 447.0 mln as at 31 December 2017). Note that, in line with the provisions of IFRS 9, the figure for 2018 is recognised based on the net exposures; instead, the figure referring to the prior year, with the exception of bad loans, was recognised based on the gross exposures of non-performing loans, since the relative write-down was reflected in item 130 of the income statement, "Net impairment losses/reversals on loans".

Interest on arrears accrued during the year is posted to interest income only for the portion actually recovered. Any amounts recovered in subsequent years are treated as a write-back on receivables and recognised in item 130 of the income statement.

For a trend analysis of the concerned items, reference should be made to the consolidated Report on Operations.

1.2 Interest income and similar revenues: other information

1.2.1 Interest income from financial assets denominated in foreign currency

Interest income from financial assets denominated in foreign currency for 2018 amounted to EUR 51.2 mln as compared to EUR 50.9 mln in 2017.

1.2.2 Interest income from finance leases

Interest income from finance lease transactions for 2018 amounted to EUR 87.7 mln as compared to EUR 94.2 mln in 2017.

1.3 Interest expense and similar charges: breakdown

Items	Deposits	Securities	Other transactions	Total 31 12 2018	Total 31 12 2017
1. Fiancial liabilities measured at amortised cost	(261,367)	(272,745)	-	(534,112)	(845,480)
1.1 Deposits from central banks	-	X	X	-	(1,313)
1.2 Deposits from banks	(24,678)	X	X	(24,678)	(62,550)
1.3 Deposits from customers	(236,689)	X	X	(236,689)	(385,310)
1.4 Debt securities issued	X	(272,745)	X	(272,745)	(396,307)
2. Financial liabilities held for trading	(79)	-	-	(79)	(2,720)
3. Financial liabilities designated at fair value	-	-	-	-	(56,645)
4. Other liabilities	X	X	(3,904)	(3,904)	(5,574)
5. Hedging derivatives	X	X	(13,239)	(13,239)	(6,156)
6. Fiancial assets	X	X	X	(57,349)	-
Total	**(261,446)**	**(272,745)**	**(17,143)**	**(608,683)**	**(916,575)**

The data were restated solely in the 2017 income statement to take into consideration the classification of the subsidiary BMP Belgio S.A. as a discontinued operation, in accordance with the provisions of IFRS 5.

Lines 1.2, "Deposits from banks" and 1.3, "Deposits from customers", in the "Deposits" column, include interest on payables under repurchase agreements on: treasury securities recognised in the balance sheet or securities not recognised in the balance sheet obtained through repo transactions or from self-securitisations without derecognition.

Line 1.4, "Debt securities issued", indicates the interest expense accrued during the year on bonds and certificates of deposit valued at amortised cost.

Line 6 "Financial assets", which amounts to EUR 57.3 mln, highlights the negative interest accrued on financial assets.

For a trend analysis of the concerned items, reference should be made to the consolidated Report on Operations.

1.4 Interest expense and similar charges: other information
1.4.1 Interest expense on liabilities denominated in foreign currency

Interest expense on financial liabilities denominated in foreign currency for 2018 amounted to EUR 33.5 mln as compared to EUR 32.0 mln in 2017.

1.4.2 Interest expense on liabilities from finance leases

No values are shown in this table as there is no significant data to be reported for either the current or the previous year (less than EUR 1 mln).

1.5 Spreads on hedging transactions

Items	Total 31 12 2018	Total 31 12 2017
A. Positive spreads on hedging transactions	254,451	312,929
B. Negative spreads on hedging transactions	(267,690)	(319,085)
C. Balance (A+B)	**(13,239)**	**(6,156)**

In line with its hedging objectives and consequent minimisation of risks in the banking book, the Group carries out both fair value and cash flow hedging transactions.

Section 2 - Fee and commission income/expense - Items 40 and 50

2.1 Fee and commission income: breakdown

Type of service / Amount	Total 31 12 2018	Total 31 12 2017
a) guarantees issued	54,544	64,871
b) credit derivatives	-	-
c) management, brokerage and advisory services:	869,007	902,515
1. trading of financial instruments	19,758	22,335
2. currency trading	4,661	4,591
3. asset management	45,068	51,059
3.1 individual accounts	45,068	51,059
3.2. collective investment schemes	-	-
4. custody and administration of securities	8,101	8,609
5. custodian bank	-	-
6. placement of securities	16,785	14,922
7. client instructions	26,132	28,863
8. advisory on	16,819	10,877
8.1 investments	8,063	7,576
8.2 financial structure	8,756	3,301
9. distribution of third-party services	731,682	761,259
9.1. asset management	-	-
9.2 insurance products	211,342	191,559
9.3 other products	520,340	569,700
d) collection and payment services	233,277	263,873
e) servicing of securitisations	1,248	50
f) factoring transaction services	9,716	8,440
g) tax collection services	-	-
h) management of multilateral trade systems	-	-
i) current account keeping	443,265	479,773
j) other services	167,762	183,690
Total	**1,778,819**	**1,903,212**

The data were restated solely in the 2017 income statement to take into consideration the classification of the subsidiary BMP Belgio S.A. as a discontinued operation, in accordance with the provisions of IFRS 5.

For an analysis of the fee and commission income and for the disclosure on disaggregation of revenues, as required by IFRS 15.114-115, the table below shows the trend in fees and commissions for each of the operating segments identified, for the services rendered and according to geographic area served.

SEGMENT REPORTING	Business segment				Corporate Center	Total Montepaschi Group
Primary segment	Retail banking	Wealth Management	Corporate banking	Widiba		
	31/12/18	31/12/18	31/12/18	31/12/18	31/12/18	31/12/18
Asset management fees	**492.5**	**106.3**	**7.1**	**61.9**		**666.5**
Product placement	204.4	12.3	0.2	8.0		224.8
Continuing fees	211.6	86.9	4.4	52.0		354.0
Placement of securities	29.8	7.0	2.3	1.9		40.7
Sales of Protection	46.8	0.1	0.1	-		47.0
Fee and commisions from traditional activities	**758.8**	**6.5**	**318.0**	**6.1**		**1,089.4**
Credit fees	306.6	1.9	227.1	1.4		537.0
fees from foreign service	13.8	0.2	42.0	0.1		56.0
Other services	438.4	4.4	48.9	4.7		496.4
Other fee and commision income	**10.4**	**5.3**	**36.4**	**0.7**	**(28.3)**	**24.6**
Fee and commission income	**1,261.6**	**118.1**	**361.5**	**68.7**	**(28.3)**	**1,781.7**

The table shows the commissions reclassified accordint to a management view, also taking into consideration the classification of the subsidiary BMP Belgio S.A. as a discontinued operation, in accordance with the provisions of IFRS 5.

36.9% of the Group's income from fees and commissions by Business Segment derives from products (management, placement and custody), 29.7% from loans (granting and utilisation) and 33.4% from services (account maintenance, payments, etc.).

More specifically, 39.0% of Retail banking fee and commission income is attributable to product fees and commissions, 24.3% to income from loans and 36.7% to fees and commissions on services. Wealth Management fee and commission income is essentially ascribable to the product component (90.0%), as is Widiba's (90.2%). On the other hand, Corporate banking income from fees and commissions comes mainly from loans (62.8%) and services (35.2%).

Fee and commission income is broken down based on the following geographical segmentation:

	North	Centre	South	foreign countries	Total Montepaschi Group
	31 12 2018	31 12 2018	31 12 2018	31 12 2018	31 12 2018
Asset management fees	**306.3**	**247.9**	**110.5**	**3.1**	**667.8**
Product placement	93.9	91.3	39.6	-	224.8
Condinuing fees	175.9	123.6	53.7	1.7	354.8
Placement of securities	16.6	15.9	7.2	1.3	41.0
Sales of Protection	19.8	17.2	10.0	-	47.0
Fee and commisions from traditional activities	**376.2**	**469.0**	**231.6**	**12.6**	**1,089.4**
Credit fees	187.0	238.1	102.1	9.8	537.0
fee from foreign service	26.1	23.0	6.2	0.6	56.0
Other services	163.1	207.9	123.2	2.2	496.4
Other fee and commision income	**9.8**	**(0,8)**	**7.3**	**8.3**	**24.6**
Fee and commission income	**692.2**	**716.2**	**349.3**	**23.9**	**1,781.7**

The table shows the commissions reclassified accordint to a management view, also taking into consideration the classification of the subsidiary BMP Belgio S.A. as a discontinued operation, in accordance with the provisions of IFRS 5.

The disclosure for performance obligations is provided for the main services offered by Group companies, in accordance with IFRS 15.113 and 119:

- provision of collection and payment services, which includes the offer to customers of credit and debit cards issued by the Parent Company, against which the customer pays, depending on the different products and services associated with the card, both an annual fee in advance for the administrative management of the card, recognised over time, as well as fees calculated on the individual transactions linked to the card's configuration, which, if not included in the annual fee, are recognised at a point in time as they are linked to the individual performance obligation carried out at a specific time; collection and payment services also include all foreign currency trading services, as well as other generic collection services that entail the collection of fees against the performance obligation made at consumption and recognised at a point in time;
- administration of current accounts: this category includes fees received for various products offered to customers, which may include a periodic fee for the current account management service that may or may not include a package of services, as well as fees received on individual transactions performed by customers that are not included in the annual fee. The first type of fee is structured as a performance obligation over time; the second type, as it relates to services performed at a specific time and which are essentially the same, having the same distribution over time and compensated separately from the quarterly fee, is structured as a performance obligation performed at a point in time;
- distribution of third-party products and services based on partnership agreements with external counterparties, for which placement commissions are recognisedat a point in time as they are compensation for the intermediation performance obligation provided by the Group, and continuing commissions connected to the administrative management of the customer in the network, recorded over time, as it represents compensation for the performance obligation rendered over the course of the investment's duration(the related revenues are recognised in the same period). Some distribution agreements also include variable commissions (Rappel), recognised by external counterparties upon achieving certain annual placement volumes envisaged in the distribution agreements. Based on the various contractual provisions and in accordance with provisions contained in IFRS 15, if conditions apply in the interim periods, analyses are carried out in order to determine if there are conditions that allow the accounting of the revenue or portion thereof, that is, this can only occur if it is highly likely that, once the uncertainty is resolved, there will be no downward adjustment of the amount recognised. Lastly, some contracts contain claw-back clauses, which entail, in the event certain conditions apply, the full or partial reimbursement of placement commissions previously recognised upon execution of the initial performance obligation (i.e. point in time): in this case, the claw-back clause represents a variable component of the transaction price, since the amount recognised upon product placement is not definitive, but will depend on future events that are beyond the control of the Bank. In such situations the amount of the commissions that could potentially be subject to restitution is estimated, charging the amount that is expected to be returned to the third party to a specific risk provision; the income that is posted to the income statement is equal to the amount recognised against the performance obligation for the placement activity carried out during the year, net of the amount set aside in the provision;
- individual portfolio management, which mainly include management fees, calculated with a percentage proportional to the assets under management, recognised over time as they compensate a service rendered over time.
- complex financial services via the subsidiary MPS Capital Services, including consultancy, advisory/asseveration/underwriting and order collection. The contracts may provide for various types of fees and commissions associated with the various services offered by the Group. Some of these are linked to activities performed throughout the contract's duration (over time) and paid by the customer regardless of the outcome of the activities, while others are services for which the customer pays only if certain identified events occur, therefore, they are connected to services provided by the Group at a specific point in time. The first type of fee, as it is associated with a performance obligation over time, is recognised throughout the contract's duration, while the second is recorded when the event occurs, as it represents compensation for a performance obligation carried out at a point in time.
- fiduciary services to customers via subsidiary MP Fiduciaria, including the confidential administration of money, financial instruments and unlisted equity investments, fiduciary mandates for guarantee purposes, family portfolio settlements and the intergenerational transfer of wealth. Since they are linked to performance obligations that are protracted and repeated over time, the fees for fiduciary services are measured over time for continuing commissions and at point in time for initial commissions;

With regard to the breakdown in revenues (IFRS 15.116-118), it should be noted that EUR 0.6 mln was recorded for the adjustment price component accrued during the year on commissions collected for placement of third-party services carried out by the Parent Company in the previous year;

2.1.a Fee and commission income: distribution channels of products and services

Channel/Sectors	31 12 2018	31 12 2017
a) Group branches	**731,973**	**758,659**
1. portfolio management	39,403	45,207
2. placement of securities	14,857	14,890
3. third party services and products	677,713	698,562
b) "Door-to-door" sales	**57,553**	**67,845**
1. portfolio management	5,665	5,852
2. placement of securities	1,651	31
3. third party services and products	50,237	61,962
c) Other distribution channels	**4,009**	**735**
1. portfolio management	-	-
2. placement of securities	277	-
3. third party services and products	3,732	735

2.2 Fee and commission expense: breakdown

Type of service / Amount	Total 31 12 2018	Total 31 12 2017
a) guarantees received	(98,319)	(116,081)
b) credit derivatives	-	-
c) management, brokerage and advisory services:	(70,282)	(88,495)
1. trading of financial instruments	(10,835)	(16,366)
2. currency trading	(4)	(4)
3. asset management:	(9)	(369)
3.1 own portfolio	-	-
3.2 third-party portfolios	(9)	(369)
4. custody an administration of securities	(7,688)	(11,910)
5. placement of financial instruments	(2,136)	-
6. off-site marketing of financial instruments, products and services	(49,610)	(59,846)
d) collection and payment services	(37,955)	(64,411)
e) other services	(50,775)	(73,105)
Total	**(257,331)**	**(342,092)**

The data were restated solely in the 2017 income statement to take into consideration the classification of the subsidiary BMP Belgio S.A. as a discontinued operation, in accordance with the provisions of IFRS 5.

Line "a) guarantees received" includes EUR 95.9 mln (EUR 113.6 mln as at 31 December 2017) of fees and commissions paid to the MEF for the guarantee pledged by the Italian Government on securities issued by the Parent Company in first quarter 2017, for a residual nominal amount of EUR 8,000 mln as at 31 December 2018.

Line "c) 6 "off-site marketing of financial instruments, products and services" includes fees and commissions paid to financial advisors.

Line "e) other services" includes fee and commission expense for an amount of EUR 4.3 mln (EUR 5.2 mln as at 31 December 2017) on securities lending.

For a trend analysis of the concerned items, reference should be made to the consolidated Report on Operations.

Section 3 - Dividends and similar income - Item 70

3.1 Dividends and similar income: breakdown

Item/Income	31 12 2018			31 12 2017*		
	Dividends	Other Income	Total	Dividends	Other Income	Total
A. Financial assets held for trading	730	407	1,137	1,643	303	1,946
B. Other financial assets measured at fair value mandatory	39	-	39	-	-	-
C. Financial assets measured at fair value through other comprehensive income	9,997	-	9,997	9,520	3,854	13,374
D. Investments	-	-	-	-	-	-
Total	**10,766**	**407**	**11,173**	**11,163**	**4,157**	**15,320**

** The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 9; in addition, the comparative data were reclassified on the basis of the new accounting statements set forth in the 5th update of Bank of Italy Circular 262.*

The table shows the amount of dividends received on shares traded within the trading book and non-controlling interest classified in the portfolio of "Financial assets measured at fair value through other comprehensive income". Conversely, dividends relating to the Group's subsidiaries and associates, consolidated line-by-line or under the equity method, are excluded.

Line "C. Financial assets measured at fair value through other comprehensive income" includes the dividend of EUR 8.5 mln collected by investee Bank of Italy.

Section 4 - Net profit (loss) from trading - Item 80

4.1 Net profit (loss) from trading: breakdown

Transactions / P&L items	Unrealized Profits	Trading Profits	Unrealized Losses	Trading Losses	31 12 2018 Net Profit (Loss)	31 12 2017 Net Profit (Loss)
1. Financial assets held for trading	31,478	114,287	(60,568)	(168,393)	(83,196)	(57,370)
1.1 Debt securities	30,608	90,243	(56,604)	(144,087)	(79,840)	(56,526)
1.2 Equity instruments	465	2,821	(2,343)	(1,064)	(121)	(1,168)
1.3 Units of UCITS	405	5,502	(1,621)	(9,078)	(4,792)	(583)
1.4 Loans	-	-	-	-	-	-
1.5 Other	-	15,721	-	(14,164)	1,557	907
2. Financial liabilities held for trading	48,537	92,157	(20,966)	(16,040)	103,688	33,971
2.1 Debt securities	47,599	90,851	(20,963)	(15,973)	101,514	33,427
2.2 Deposits	-	-	-	-	-	-
2.3 Other	938	1,306	(3)	(67)	2,174	544
3. Other financial assets and liabilities: exchange differences	X	X	X	X	22,353	10,188
4. Derivatives	1,026,441	3,558,212	(899,830)	(3,720,786)	(12,471)	1,265
4.1 Financial derivatives:	1,017,157	3,376,311	(861,248)	(3,541,107)	14,605	15,162
- on debt securities and interest rates	904,799	2,550,676	(778,557)	(2,717,107)	(40,189)	(22,519)
- on equity instruments and stock indices	82,598	637,388	(54,841)	(640,193)	24,952	18,728
- on currency and gold	X	X	X	X	23,492	19,527
- other	29,760	188,247	(27,850)	(183,807)	6,350	(574)
4.2 Credit derivatives	9,284	181,901	(38,582)	(179,679)	(27,076)	(13,897)
Total	**1,106,456**	**3,764,656**	**(981,364)**	**(3,905,219)**	**30,374**	**(11,946)**

The data were restated solely in the 2017 income statement to take into consideration the classification of the subsidiary BMP Belgio S.A. as a discontinued operation, in accordance with the provisions of IFRS 5.

"Gains" and "Losses" include the results of the measurement of derivatives connected operationally with financial liabilities measured at fair value through profit and loss (FVO).

The impact on this item deriving from the application of the Credit Value Adjustment (CVA) on OTC derivatives is a positive EUR 15.9 mln, with a variation in stock; likewise, the application of the Debt Value Adjustment (DVA) on OTC derivatives entailed a negative impact of EUR 4.0 mln.

The breakdown of write-downs and trading losses due to assets with poor credit quality of the debtor (issuer or counterparty) is provided below.

	31 12 2018		31 12 2017	
	Unrealized Losses	Trading Losses	Unrealized Losses	Trading Losses
Debt securities	661	148	6	-
Equity instruments	-	-	-	-
Derivatives	2,609	295	4,317	1,167
Other	-	-	-	-

Section 5 - Net profit (loss) from hedging - Item 90

5.1 Net profit (loss) from hedging: breakdown

P&L items/Values	Total 31 12 2018	Total 31 12 2017
A. Gains on:		
A.1 Fair value hedging instruments	113,573	228,974
A.2 Hedged financial assets (fair value)	201,389	4,674
A.3 Hedged financial liabilities (fair value)	25,657	77,085
A.4 Cash-flow hedging derivatives	-	-
A.5 Assets and liabilities denominated in foreign currency	-	-
Total gains on hedging activities (A)	**340,619**	**310,733**
B. Losses on:		
B.1 Fair value hedging instruments	223,887	83,489
B.2 Hedged financial assets (fair value)	72,464	218,996
B.3 Hedged financial liabilities (fair value)	44,325	11,983
B.4 Cash-flow hedging derivatives	168	-
B.5 Assets and liabilities denominated in foreign currency	-	-
Total losses on hedging activities (B)	**340,844**	**314,468**
C. Net profit (loss) from hedging activities (A - B)	**(225)**	**(3,735)**

For information on hedging derivatives, the gains and losses on which are indicated in lines A.1 and A.4, B.1 and B.4 of this table, see Section 5, “Hedging derivatives – Item 50” of the Assets and Section 4, “Hedging derivatives – item 40” of the Liabilities in Part B of the notes to the financial statements.

More information on hedged assets and liabilities can be found in the tables in Part B of the notes for each section of the accounts to which hedges are posted.

Section 6 - Gains/(losses) on disposal/repurchase - Item 100

6.1 Gains (losses) on disposal/repurchase: breakdown

Items / P&L items	Total 31 12 2018			Total 31 12 2017*		
	Gains	Losses	Net Profit (Loss)	Gains	Losses	Net Profit (Loss)
Financial assets						
1. Financial assets measured at amortised cost	41,399	(41,065)	334	17,801	(16,401)	1,400
1.1 Loans to banks	-	-	-	58	(114)	(56)
1.2 Loans to customers	41,399	(41,065)	334	17,743	(16,287)	1,456
2.. Financial assets measured at fair value through other comprehensive income	41,973	(16,894)	25,079	104,960	(31,480)	73,480
2.1 Debt securities issued	41,973	(16,894)	25,079	104,960	(31,480)	73,480
2.2 Loans	-	-	-	-	-	-
Total assets	**83,372**	**(57,959)**	**25,413**	**122,761**	**(47,881)**	**74,880**
Financial liabilities measured at amortised cost	-	-	-	-	-	-
1. Deposits from banks	-	-	-	94,483	(1,201)	93,282
2. Deposits from customers	-	-	-	23,311	-	23,311
3. Debt securities issued	10,605	(134)	10,471	386,629	(2,449)	384,180
Total liabilities	**10,605**	**(134)**	**10,471**	**504,423**	**(3,650)**	**500,773**

** The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 9; in addition, the comparative data were reclassified on the basis of the new accounting statements set forth in the 5th update of Bank of Italy Circular 262. The data were restated solely in the 2017 income statement to take into consideration the classification of the subsidiary BMP Belgio S.A. as a discontinued operation, in accordance with the provisions of IFRS 5.*

As regards financial liabilities, note that the profit in 2017 was almost entirely associated with profits from the repurchase of financial liabilities included within the burden sharing transaction.

Section 7 - Net profit (loss) from other financial assets and liabilities measured at fair value through profit and loss - Item 110

7.1 Net changes in other financial assets and liabilities measured at fair value through profit and loss: breakdown of financial assets and liabilities measured at fair value

Transaction/P&L items	Unrealized profits (A)	Realized profits (B)	Unrealized Losses (C)	Realized losses (D)	Net Profit (loss) as at 31 12 2018
1. Financial assets	-	-	-	-	-
1.1 Debt securities issued	-	-	-	-	-
1.2 Equity instruments	-	-	-	-	-
2. Financial liabilities	3,606	416	(63)	-	3,959
2.1 Debt securities issued	3,606	416	(63)	-	3,959
2.2. Deposits from banks	-	-	-	-	-
2.3. Deposits from customers	-	-	-	-	-
3. Other financial assets and liabilities: exchange differences	X	X	X	X	-
Total	**3,606**	**416**	**(63)**	**-**	**3,959**

The item includes solely the profit, loss, capital gains and capital losses from structured fixed-rate bonds included in the fair value option. The balances of the economic valuations of derivatives through which said securities are subject to natural hedging are instead recognised under item 80 "Net profit (loss) from trading".

Note that the changes in fair value due to changes in own creditworthiness are recognised under other revenue items without reversal to the income statement.

7.2 Net changes in other financial assets and liabilities measured at fair value through profit and loss: breakdown of financial assets and liabilities measured at fair value as per mandatory requirements

Transaction/P&L items	Unrealized profits	Realized profits	Unrealized losses	Realized losses	Net profit (loss) 31 12 2018
1. Financial assets					
1.1 Debt securities issued	1	-	(8,521)	(27,924)	(36,444)
1.2 Equity instruments	11	5,329	(1,755)	(36)	3,549
1.3 Units of UCITS	14,958	-	(4,972)	-	9,986
1.4 Loans	14,748	17,024	(77,949)	(20,352)	(66,529)
2. Other financial assets: exchange differences	X	X	X	X	-
Totale	**29,718**	**22,353**	**(93,197)**	**(48,312)**	**(89,438)**

Line "1.1 Financial assets - debt securities", in the column "Losses", includes the write-down due to a non-performing counterparty for EUR 1.8 mln.

Line "1.4 Financial assets - Loans" includes:

- in the column "Gains and Losses from realisation", the result of disposal of loans classified as unlikely to pay;
- in the column "Losses", the write-downs of non-performing loans.

Section 8 - Net impairment (losses)/reversals for credit risk - Item 130

8.1 Net impairment (losses)/reversal on financial assets measured at amortised cost: breakdown

Transaction/P&L items	Value Adjustments (1)			Write - backs		Total 31 12 2018	Total 31 12 2017*
		Stage 3					
	Stage 1 and 2	Write-off	Others	Stage 1 and 2	Stage 3		
A. Loans to banks	**(830)**	**(9)**	**(1,795)**	**1,935**	**1,739**	**1,040**	**(1,733)**
- Loans	(816)	(9)	(1,795)	1,483	1,739	602	(2,208)
- Debt securities	(14)	-	-	452	-	438	475
B. Loans to customers	**(206,471)**	**(61,604)**	**(1,818,715)**	**358,095**	**1,120,638**	**(608,057)**	**(5,319,970)**
- Loans	(202,029)	(61,604)	(1,818,715)	357,422	1,120,638	(604,288)	(5,320,123)
- Debt securities	(4,442)	-	-	673	-	(3,769)	153
Of which: purchased or originated credit impaired financial assets	(20)	-	(2,081)	5,013	9,399	12,311	(1,430)
C. Total	**(207,301)**	**(61,613)**	**(1,820,510)**	**360,030**	**1,122,377**	**(607,017)**	**(5,321,703)**

** The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 9; in addition, the comparative data were reclassified on the basis of the new accounting statements set forth in the 5th update of Bank of Italy Circular 262. The data were restated solely in the 2017 income statement to take into consideration the classification of the subsidiary BMP Belgio S.A. as a discontinued operation, in accordance with the provisions of IFRS 5.*

For stage 3 impairment losses, the column "Write-off" shows losses recorded in relation to the derecognition of financial instruments exceeding the amount of the corresponding total adjustments, whereas the "Others" column includes specific write-downs on non-performing loans subject to analytical as well as lump-sum/statistical measurement.

Expected losses relating to operating receivables within the scope of application of IFRS 15 are of an insignificant amount.

For further information on loans to banks and customers, see Section 1, "Credit risk", in Part E of the notes to the financial statements.

8.2 Net impairment (losses)/reversal on financial assets measured at fair value through other comprehensive income: breakdown

Transactions/ P&L items	Value Adjustments			Write - backs		Total 31 12 2018	Total 31 12 2017*
		Stage 3					
	Stage 1 and 2	Write-off	Others	Stage 1 and 2	Stage 3		
A. Debt securities issued	(2,408)	-	(5,940)	11,542	-	3,194	(93,082)
B. Loans	-	-	-	-	-	-	-
- to banks	-	-	-	-	-	-	-
- to customers	-	-	-	-	-	-	-
of which: purchased or originated credit impaired assets	-	-	-	-	-	-	-
F. Total	**(2,408)**	**-**	**(5,940)**	**11,542**	**-**	**3,194**	**(93,082)**

** The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 9; in addition, the comparative data were reclassified on the basis of the new accounting statements set forth in the 5th update of Bank of Italy Circular 262.*

Section 9 – Modification Gains/(losses) - Item 140

9.1 Modification Gains/(losses): breakdown

Portofolio	31 12 2018
1. Financial assets measured at amortised cost	(12,699)
2. Financial assets measured at fair value through other comprehensive income	-
Total	**(12,699)**

Section 10 – Net premiums – Item 160

10.1 Net premiums: breakdown

The section was not completed, as net premiums do not exist in the Group either in the current or in the previous year.

Section 11 – Other net insurance income/expense – Item 170

The tables of this section were not completed because there is no other net insurance income/expense in the Group, either in the current or in the previous year.

Section 12 - Administrative expenses - Item 190

12.1 Personnel expenses: breakdown

Type of Expense / Area	Total 31 12 2018	Total 31 12 2017
1. Employees	(1,562,522)	(1,837,749)
a) wages and salaries	(1,045,523)	(1,130,914)
b) social-welfare charges	(287,335)	(306,429)
c) severance pay	(45,410)	(48,058)
d) social security expenses	-	-
e) provision for staff severance pay	(2,350)	(3,964)
f) pension fund and similar obligations:	(705)	(1,394)
- defined contribution	(425)	(664)
- defined benefit	(280)	(730)
g) contributions to external pension funds:	(19,788)	(19,476)
- defined contribution	(17,567)	(18,134)
- defined benefit	(2,221)	(1,342)
h) costs related to share-based payments	147	612
i) other employee benefits	(161,558)	(328,126)
2. Other staff	(998)	(1,293)
3. Directors and Statutory Auditors	(3,263)	(4,264)
4. Retired personnel	(5,162)	(4,355)
Total	**(1,571,945)**	**(1,847,661)**

The data were restated solely in the 2017 income statement to take into consideration the classification of the subsidiary BMP Belgio S.A. as a discontinued operation, in accordance with the provisions of IFRS 5

Line "b) social security charges" includes recoveries from INPS for the two tranches used for the Solidarity Fund of 2017 (approx. EUR 35.0 mln).

Line f) "pension fund and similar obligations" includes amounts set aside for internal funds, while line g) "contributions to external pension funds" includes contributions paid and adjustments made to external pension funds.

Line "h) costs deriving from share-based payments" reflects the reduction in provisions for performance shares assigned to the Group's "key employees" with regard to incentive plans in effect for the previous years.

Line "i) other employee benefits" includes the provision recognised for the early retirement incentives/solidarity fund envisaged for 1 April 2019, pursuant to the agreement of 31 December 2018 entered into with the trade unions, for EUR 150 mln.

Also note that personnel expenses include provisions to handle the impact on personnel linked to closure of the three foreign branches (approx. EUR 4.0 mln).

12.2 Average number of employees by category

Category / Average Number	31 12 2018	31 12 2017
Employees:	**22,215**	**23,252**
a) executives	283	299
b) middle managers	8,906	9,369
c) remaining staff	13,026	13,584
Other personnel	**-**	**1**
Total	**22,215**	**23,253**

12.3 Defined benefit company pension funds: costs and revenues

Items/Amounts	31 12 2018			31 12 2017		
	Defined benefit company pension funds		Provision for staff severance pay	Defined benefit company pension funds		Provision for staff severance pay
	Internal pension plan	External pension plan		Internal pension plan	External pension plan	
Interest income/expense	(259)	(514)	(2,315)	(714)	(667)	(3,954)
Current service cost and gains (losses) arising from settlements°	(21)	(724)	(34)	(16)	(675)	(9)
Past service cost	-	(220)	-	-	-	-
Gains (losses) arising from settlements°°	-	(878)	-	-	-	-
Other operating costs	-	115	(1)	-	-	(1)
Total	**(280)**	**(2,221)**	**(2,350)**	**(730)**	**(1,342)**	**(3,964)**

° *Pursuant to par. 100 of IAS 19, note that the past service cost and the amount of gains and losses arising from settlements need not be distinguished if they occur together.*

°° *Only in the event of settlement not set out in the terms of the plan.*

12.4 Other employee benefits

No information to report pursuant to sections 53, 158 and 171 of IAS 19.

12.5 Other administrative expenses: breakdown

Items/Amounts	31 12 2018	31 12 2017
Stamp duties	(181,205)	(196,231)
Indirect taxes and duties	(30,515)	(45,895)
Municipal real estate property tax	(20,573)	(21,388)
Property rentals	(68,921)	(79,662)
Cleaning service contracts	(13,365)	(14,141)
Insurance	(42,047)	(29,206)
Rentals	(123,283)	(132,624)
Remuneration of external professionals	(134,144)	(170,983)
Third-party data processing	(47,140)	(56,045)
Lease of equipment	(28,917)	(33,086)
Utilities	(30,768)	(32,810)
Maintenance of movable and immovable properties (used in the business)	(41,239)	(41,735)
Postage	(26,310)	(24,263)
Advertising, sponsorships and promotions	(5,855)	(12,491)
Membership dues	(4,636)	(5,402)
Reimbursement of employee car and travel expenses	(5,800)	(7,451)
Security services	(7,673)	(9,330)
Software	(50,827)	(51,934)
Expenses for personnel training	(4,403)	(3,888)
Corporate entertainment expenses	(1,369)	(1,886)
Expenses for non-rented investment real estate	(662)	(85)
Printing and stationery	(8,220)	(9,094)
Telephone, telefax and telegraph	(6,822)	(6,461)
Transportation	(33,241)	(35,198)
Sundry occupancy expenses and refunds for release of immovable property used in the business	(3,729)	(7,811)
Contributions Resolution Funds (SRF) and Deposits Guarantee Schemes (DGS)	(130,124)	(90,932)
DTA fee	(70,863)	(72,329)
Others	(17,317)	(25,708)
Total	**(1,139,968)**	**(1,218,069)**

The data were restated solely in the 2017 income statement to take into consideration the classification of the subsidiary BMP Belgio S.A. as a discontinued operation, in accordance with the provisions of IFRS 5.

Line "Advertising, sponsorships and promotions" for an amount of EUR 5.9 mln includes advertising, events and printing (EUR 3.1 mln), sponsorships and promotions (EUR 0.4 mln) and other communication expenses (EUR 2.4 mln).

The line "Contributions Resolution Funds (SRF) and Deposits Guarantee Systems (DGS)" equal to EUR 130.1 mln, comprises EUR 93.9 mln for charges associated with the SRF and NRF (National Resolution Fund) and EUR 36.2 mln for contributions to the DGS.

The line "DTA fees" includes the expenses related to the fee paid on DTAs that can be converted into tax credit as set forth in art. 11 of Law Decree no. 59 of 3 May 2016, converted into Law no. 119 of 30 June 2016.

For a trend analysis of the remaining concerned items, reference should be made to the consolidated Report on Operations.

Section 13 - Net provisions for risks and charges - Item 200

13.1 Net provisions for credit risk relative to commitments to disburse funds and financial guarantees issued: breakdown

Transaction/P&L items	Stage 1	Stage 2	Stage 3	Total 31 12 2018	Total 31 12 2017*
1) financial guarantees issued	4,137	5,028	(59,583)	(50,418)	21,753
Provision for the year	(4,117)	(2,441)	(96,767)	(103,325)	(5,656)
Write-backs	8,254	7,469	37,184	52,907	27,409
2) Commitments to disburs funds	2,339	991	8,973	12,303	30
Provision for the year	(2,057)	(2,998)	-	(5,055)	(2)
Write-backs	4,396	3,989	8,973	17,358	32
E. Totale	**6,476**	**6,019**	**(50,610)**	**(38,115)**	**21,783**

** The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 9; in addition, the comparative data were reclassified on the basis of the new accounting statements set forth in the 5th update of Bank of Italy Circular 262.*

13.2 Net provisions relative to other commitments and guarantees issued: breakdown

Transaction/P&L items	Total 31 12 2018	Total 31 12 2017*
1) financial guarantees issued	-	-
Provision for the year	-	-
Write-backs	-	-
2) Commitments to disburs funds	52,061.0	(65,000.0)
Provision for the year	(1,000.0)	(65,000.0)
Write-backs	53,061.0	-
E. Totale	**52,061.0**	**(65,000.0)**

** The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 9; in addition, the comparative data were reclassified on the basis of the new accounting statements set forth in the 5th update of Bank of Italy Circular 262.*

The line "Write-backs" equal to EUR 53.1 mln refers to revaluation of the commitment (recognised for EUR 65 mln in 2017) made to cover the hedging costs - borne by the transferor - of the Siena NPL vehicle as part of the disposal of bad loans, in accordance with the binding agreement signed on 26 June 2017 with Quaestio.

13.3 Other net provisions for risks and charges: breakdown

Items/Amount	31 12 2018			31 12 2017		
	Provisions for the year	Write-backs	Net Provisions	Provisions for the year	Write-backs	Net Provisions
Tax and Legal disputes	(96,884)	63,651	(33,233)	(171,735)	91,199	(80,536)
Tax and Legal disputes - cost	(96,744)	63,649	(33,095)	(171,696)	91,199	(80,497)
Tax and Legal disputes - discounting effect	(140)	2	(138)	(39)	-	(39)
Personnel expenses	(5,513)	10,467	4,954	(20,425)	5,492	(14,933)
Other risks and charges	(81,877)	26,776	(55,101)	(163,505)	26,085	(137,420)
Total	**(184,274)**	**100,894**	**(83,380)**	**(355,665)**	**122,776**	**(232,889)**

The data were restated solely in the 2017 income statement to take into consideration the classification of the subsidiary BMP Belgio S.A. as a discontinued operation, in accordance with the provisions of IFRS 5.

The line "Tax and Legal disputes - discounting effect" includes changes due to the passing of time, namely to the amount of time value accrued during the year due to the expected imminent maturity of the estimated liability.

The line "Other risks and charges" includes the provision for EUR 16.4 mln made by the Parent Company pursuant to IFRS 15, against the claw-back clause present in a third-party product placement contract, which includes a contractual provision that reverses in future years a part of the commissions received for activities during the year.

Section 14 - Net adjustments to/recoveries on property, plant and equipment - Item 210

14.1 Net adjustments to property, plant and equipment: breakdown

Assets / P&L items	Amortization	Impairment losses	Write-backs	Net Profit (loss) 31 12 2018	Net Profit (loss) 31 12 2017
Tangible assets					
A.1 Owned	(115,803)	(34,632)	3	(150,432)	(126,359)
- used in the business	(107,081)	(12,631)	-	(119,712)	(107,435)
- held for investment	(8,722)	(17,267)	-	(25,989)	(18,924)
- Inventories	X	(4,734)	3	(4,731)	-
A.2 Leased	-	-	-	-	(6,776)
- used in the business	-	-	-	-	(6,776)
- held for investment	-	-	-	-	-
Total	**(115,803)**	**(34,632)**	**3**	**(150,432)**	**(133,135)**

Property and equipment with a finite life is tested for impairment.

Section 15 - Net adjustments to/recoveries on intangible assets - Item 220

15.1 Net adjustments to intangible assets: breakdown

Assets/P&L items	Amortization	Impairment losses	Write-backs	Net profit (loss) 31 12 2018	Net profit (loss) 31 12 2017
A. Intangible assets					
A.1 Owned	(122,073)	(680)	-	(122,753)	(156,130)
- generated internally by the company	(23,799)	(307)	-	(24,106)	(33,437)
- other	(98,274)	(373)	-	(98,647)	(122,693)
A.2 Leased	-	-	-	-	-
Total	**(122,073)**	**(680)**	**-**	**(122,753)**	**(156,130)**

Amortisation mainly relates to software held by the MPS Consorzio Operativo di Gruppo and finite life intangible assets identified during the PPA process for former subsidiary Banca Antonveneta.

Section 16 - Other operating expenses/income - Item 230

16.1 Other operating expenses: breakdown

Item/Amount	Total 31 12 2018	Total 31 12 2017
Costs of robberies	(2,180)	(2,645)
Write-downs on improvements of third-party goods recognized as "Other Assets"	(12,480)	(10,852)
Other expenses on real estate (real estate inventory)	-	-
Cost of financial lease transactions	(9,047)	(10,528)
Costs from judgments and settlement agreements	(48,950)	(49,892)
Other	(53,694)	(43,225)
Total	**(126,351)**	**(117,142)**

The data were restated solely in the 2017 income statement to take into consideration the classification of the subsidiary BMP Belgio S.A. as a discontinued operation, in accordance with the provisions of IFRS 5.

16.2 Other operating income: breakdown

Items/Amount	Total 31 12 2018	Total 31 12 2017
Rents from investment real estate	17,519	15,685
Other revenues from real estate (real estate inventory)	3,299	2,001
Recovery of taxes	193,473	209,474
Recovery of insurance premiums	32,177	17,820
Income from financial lease transaction	4,381	3,050
Recovery of other expenses	54,603	103,231
Other	67,259	77,675
Total	**372,711**	**428,936**

The data were restated solely in the 2017 income statement to take into consideration the classification of the subsidiary BMP Belgio S.A. as a discontinued operation, in accordance with the provisions of IFRS 5.

The amount of EUR 54.6 mln classified under "Recoveries of other expenses" includes the "fast-track facility fee" introduced by Law Decree 201/2011 ("Save Italy Decree") amounting to EUR 9.0 mln (EUR 20.8 mln as at 31 December 2017) and the compensation of legal fees incurred for the enforced recovery of non-performing loans of EUR 11.2 mln (EUR 51.9 mln as at 31 December 2017).

"Other operating income" does not include any revenues under the scope of IFRS 15.

Section 17 - Gains (losses) on investments - Item 250

17.1 Gains (losses) on investments: breakdown

P&L items/Sectors	Total 31 12 2018	Total 31 12 2017
1) Jointly owned companies		
A. Income	8	6
1. Revaluations	8	6
2. Gains on disposal	-	-
3. Write-backs	-	-
4. Other income	-	-
B. Expense	(1,519)	(1,086)
1. Write-downs	(1,519)	(1,086)
2. Impairment losses	-	-
3. Losses on disposal	-	-
4. Other expenses	-	-
Net Profit (Loss)	**(1,511)**	**(1,080)**
2) Companies subject to significant influence		
A. Income	73,365	106,905
1. Revaluations	72,148	101,088
2. Gains on disposal	1,217	5,817
3. Write-backs	-	-
4. Other income	-	-
B. Expense	(5,939)	(27,921)
1. Write-downs	(186)	(591)
2. Impairment losses	(5,753)	(27,330)
3. Losses on disposal	-	-
4. Other expenses	-	-
Net Profit (Loss)	**67,426**	**78,984**
Total	**65,915**	**77,904**

The amount of EUR 1.5 mln recognised in line 1) B.1 "Write-downs" refers to the result of investee company Immobiliare Novoli S.p.A.

The amount of EUR 72.1 mln recognised in line 2) A.1 "Revaluations" is predominantly due to the results of investments in associates AXA MPS Vita and AXA MPS Danni S.p.A.

The negative amount of EUR 5.8 mln reported on line "2.B.2 Impairment losses" refers to the write-down of the associate Trixia S.r.l.

The amount of EUR 1.2 mln shown in line 2) A.2 "Gains on disposal" consists of the disposal of the associate Firenze Parcheggi.

For further information on the methodology for determining impairment losses, please see section 10.5, part B, of these notes to the consolidated financial statements.

Section 18 - Net gains (losses) on property, plant and equipment and intangible assets measured at fair value - Item 260

18.1 Net gains (losses) on property, plant and equipment and intangible assets measured at fair value (or revalued) or at presumed net realisable value: breakdown

The section was not completed as property, plant and equipment and intangible assets measured at fair value do not exist in the Group either in the current or in the previous period.

Section 19 - Impairment of goodwill - Item 270

19.1 Impairment of goodwill: breakdown

Owing to its indefinite or unlimited useful life, goodwill is tested at the end of each year to assess whether its carrying value is fairly stated or recoverable. The impairment test conducted in 2018 did not result in any impairment losses on goodwill allocated to the Widiba CGU (Cash Generating Unit), as the recoverable amount is higher than the book value by EUR 62 mln.

For additional information concerning the methods for conducting impairment tests, see the appropriate section in Part B of the Notes to the financial statements, Section 10.1 of Assets "Intangible Assets: breakdown by type".

Section 20 – Gains (losses) on disposal of investments – Item 280

20.1 Gains (losses) on disposals of investments: breakdown

P&L items/Sectors	Total 31 12 2018	Total 31 12 2017
A. Property	1,130	(1)
- Gains on disposal	2,025	522
- Losses on disposal	(895)	(523)
B. Other assets	48,911	522,215
- Gains on disposal	50,150	523,592
- Losses on disposal	(1,239)	(1,377)
Net Profit (Loss)	**50,041**	**522,214**

The data were restated solely in the 2017 income statement to take into consideration the classification of the subsidiary BMP Belgio S.A. as a discontinued operation, in accordance with the provisions of IFRS 5.

The amount of EUR 50.1 mln shown in line "B. Other assets - Gains on disposal" consists of the gain from the sale of Juliet Spa in the second quarter of 2018.

The amount of EUR 523.6 mln achieved in 2017 referred to the disposal of the merchant acquiring business unit to Nexi.

Section 21 – Tax (expense)/recovery on income from continuing operations – Item 300

21.1 Tax (expense)/recovery on income from continuing operations: breakdown

P&L items/Sectors	Total	
	31 12 2018	31 12 2017
1. Current tax (-)	(14,903)	(5,192)
2. Adjustments to current tax of prior years (+/-)	15,993	(15,896)
3. Reduction of current tax for the year (+)	-	-
3.bis Reduction in current tax for the period due to tax credits under Law 214/2011	314,467	1,052,859
4. Changes in prepaid taxes (+/-)	83,243	(350,669)
5. Changes in deferred taxes (+/-)	22,321	41,050
6. Tax expense for the year (-) (-1+/-2 +3+/-4+/-5)	**421,121**	**722,152**

The amount under line 4. "Changes in deferred tax assets" which, net of the reduction in deferred tax assets transformed into tax credit of EUR 314.5 mln, equals EUR +397.7 mln, includes:

- recognition of deferred tax assets relative to nine-tenths of the impairment on loans to customers recorded upon first-time adoption of IFRS 9 (see comments at the bottom of table 11.3 Changes in deferred tax assets - with offsetting entry to the income statement);
- the total effect of DTA measurements arising from the results of the probability test;
- recognition of deferred tax assets relative to the ACE benefit accrued for the year 2018.

21.2 Reconciliation of theoretical to actual tax charge

Items/Amounts	31 12 2018	%	31 12 2017	%
Pre-tax profit (loss) from continuing operations	(76,796)		(4,240,368)	
Profit (loss) before tax form assets and group of assets held for sale	(65,658)		15,971	
Pre-tax profit (loss)	**(142,454)**		**(4,224,397)**	
Theoretical IRES Payable	**39,175**	**27.5%**	**1,161,709**	**27.5%**
Permanent increases	**(3,496)**	**2.5%**	**(24,669)**	**17.3%**
Losses on sale of equity instruments designated at fair value through other comprehensive income	**(211)**	0.1%	**(3,615)**	2.5%
Non-deductible adimistrative expenses (Municipal real estate property tax, vehicles, telephone, etc.)	**(3,285)**	2.3%	**(21,054)**	14.8%
Permanent decreases	**43,863**	**30.8%**	**214,907**	**150.9%**
Gains on sale of equity instruments designated at fair value through other comprehensive income	**921**	0.6%	**5,195**	3.6%
Gains on disposal of subsidiaries and associates	**335**	0.2%	**2,512**	1.8%
Gains from conversion of debt instruments into shares, not relevant (Art. 22 paragraph 2-bis Law Decree 237/2016)	**-**	0.0%	**155,919**	109.5%
Deduction ACE	**42,607**	29.9%	**51,281**	36.0%
Reversal of impairment losses on subsidiaries and associates	**20,640**	14.5%	**-**	0.0%
DTA write-downs related to prior tax losses	**208,708**	146.5%	**30,638**	21.5%
DTA write-downs related to current year	**(304,949)**	214.1%	**572,270**	401.7%
Splitting effect of FTA IFRS9 provisions	**373,702**	262.3%	**-**	0.0%
Effect due to non-registration of DTA on tax loss of current year	**(7,948)**	5.6%	**(1,239,213)**	869.9%
Tax on Profit (losses) from groups of assets held for sale	**(18,056)**	12.7%	**-**	0.0%
Other components (IRES relative to previous years, spreads between Italian and foreign tax rate, etc.)	**6,015**	4.2%	**16,268**	11.4%
Effective IRES payable	**357,654**	**251.1%**	**731,910**	**17.3%**
Theoretical IRAP payable	**6,624**	**4.6%**	**196,434**	**137.9%**
Economic items not relevant for IRAP purposes	**(3,943)**	**2.8%**	**25,245**	**17.7%**
Non-deductible interest expense	(110)	0.1%	(173)	0.1%
Value adjustments and credit losses	(258)	0.2%	(6,040)	4.2%
Non-deductible costs of personnel	(545)	0.4%	(606)	0.4%
Profit (loss) on subsidiaries and associates	7,231	5.1%	2,112	1.5%
Other non-deductible administrative expences (10%)	(9,773)	6.9%	(7,071)	5.0%
Amortization non-deductible (10%)	(397)	0.3%	(417)	0.3%
Gains from conversion of debt instruments into shares, not relevant (Art. 22 paragraph 2-bis Law Decree 237/2016)	**-**	-	**26,364**	18.5%
Other	(92)	0.1%	11,076	7.8%
Increase regional rates effect	**8,648**	6.1%	**43,048**	30.2%
Charges from not recognised tax loss carryforward IRAP	**(3,950)**	2.8%	**(273,979)**	192.3%
Adjustments DTA	**(24,728)**	17.4%		-
Effetto rateazione rettifiche FTA IFRS 9	**63,190**	44.4%		-
Tax on Profit (losses) from groups of assets held for sale	**(3,053)**	2.1%		-
Tax refunds from previuos years	**14,428**	10.1%		-
Other components (IRAP relative to previous years, spreads between italian and foreign tax rate, etc.)	**6,252**	4.4%	**(506)**	0.4%
Effective IRAP payable	**63,467**	**44.6%**	**(9,758)**	**-0.2%**
Total effective IRES and IRAP tax expense	**421,121**	**295.6%**	**722,152**	**17.1%**

The reconciliation relating to IRES includes, aside from the main tax at the rate of 24%, also the additional tax of 3.5% introduced by Law no. 208 of 28 December 2015, paragraphs 65-66.

Section 22 - Profit (loss) after tax from assets held for sale and discontinued operations - Item 320

22.1 Profit (loss) after tax from assets held for sale and discontinued operations: breakdown

P&L items/Sectors	Total 31 12 2018	Total 31 12 2017
1. Income	31,658	46,188
2. Expense	(31,121)	(30,217)
3. Profit (loss) from valuation of groups of assets and related liabilities	(66,296)	-
4. Profit (loss) from disposal	101	-
5. Taxes and duties	-	-
Profit (Loss)	**(65,658)**	**15,971**

The data were restated solely in the 2017 income statement to take into consideration the classification of the subsidiary BMP Belgio S.A. as a discontinued operation, in accordance with the provisions of IFRS 5.

The table above refers to the subsidiary BBMP Belgio S.A., classified as at 31 December 2018 under discontinued operations. The disposal is subject to authorisation by the supervisory authorities, expected by the end of first half 2019.

Line 3. "Net profit (loss) from valuations of discontinued operations and associated liabilities" includes EUR 56.6 mln for the write-down of the subsidiary following the fair value measurement, net of the related sale costs.

Section 23 – Profit (loss) attributable to non-controlling interests – Item 340

23.1 Details of item 340 "Profit (loss) attributable to non-controlling interests"

	Total 31 12 2018	Total 31 12 2017
Consolidated equity investments with significant non-controlling interests	-	-
Other equity investments	89	94
Total	**89**	**94**

Section 24 – Other information

No additional disclosure to that presented in accordance with the international accounting standards and Circular no. 262 of the Bank of Italy is required.

Section 25 - Earnings per Share (EPS)

25.1 Average number of diluted ordinary shares

25.2 Other information

Items/Amounts	31 12 2018		31 12 2017 (n. Shares)	
Weighted average number of ordinary shares outstanding (+)		1,104,009,324		479,806,673
Net Profit (loss)				
Related to Parent' Company continuing operations		344,235	-	(3,518,310)
Related to Parent'Company assets and group of assets held for sale		(65,658)	-	15,971
Attributable to Parent'Company		278,578	-	(3,502,339)
EPS (euro):	**Base**	**Diluted**	**Base**	**Diluted**
Related to Parent' Company continuing operations	0.312	0.312	(7.332)	(7.332)
Related to Parent'Company assets and group of assets held for sale	(0.059)	(0.059)	0.033	0.033
Attributable to Parent'Company	0.252	0.252	(7.299)	(7.299)

The data in the Reconciliation of net profit (loss) of 2017 and 2017 EPS were restated to take into consideration the classification of the subsidiary BMP Belgio S.A. as a discontinued operation, in accordance with the provisions of IFRS 5.

Note that Base EPS and Diluted EPS are the same, as there were no outstanding financial instruments with potential dilutive effects.

Part D – Consolidated statement of comprehensive income

Consolidated Statement of Comprehensive Income

	Items	31 12 2018	31 12 2017*
		Total	
10.	**Proft (loss) for the year**	**278,667**	**(3,502,245)**
	Other income components without reversal to profit & loss	**(491)**	**(115,168)**
20.	Equity instruments measured at fair value through other comprehensive income	8,786	-
	a) changes in fair value	(4,505)	-
	b) Trasferimenti ad altre componenti di patrimonio netto	13,291	-
30.	Financial liabilities measured at fair value with impact to profit and loss	7,211	(177,430)
	a) changes in fair value	7,211	(177,430)
	b) Trasferimenti ad altre componenti di patrimonio netto	-	-
40.	Hedges of equity instruments measured at fair value through other comprehensive income	-	-
	a) changes in fair value (hedged item)	-	-
	b) changes in fair value (hedging item)	-	-
50.	Tangible assets	-	-
60.	Intangible assets	-	-
70.	Defined benefit plans	7,962	4,839
80.	Non-current assets and groups of assets held for sale	876	83
90.	Share of valuation reserves of equity instruments valued at equity □	(10,114)	328
100.	Tax income related to other income components whitout reversal to profit & loss	(15,212)	57,012
	Other income components with reversal to profit & loss	**(295,760)**	**(28,462)**
110.	Hedges of foreign investments:	-	-
	a) changes in fair value	-	-
	b) reversal to profit & loss	-	-
	c) other changes	-	-
120.	Exchange differences:	4,300	(9,056)
	a) changes in value	4,300	(9,172)
	b) reversal to profit & loss	-	-
	c) other changes	-	116
130.	Cash flow hedges:	827	41,620
	a) changes in fair value	21,182	(6,312)
	b) reversal to profit & loss	(17,861)	44,360
	c) other changes	(2,494)	3,572
140.	Hedging Instruments: (non designated items)	-	-
	a) changes in value	-	-
	b) reversal to profit & loss	-	-
	c) other changes	-	-
150.	Fiancial assets (other than equity instruments) measured at fair value through other comprehensive income	(326,070)	35,217
	a) changes in value	(267,700)	18,290
	b) reversal to profit & loss	(73,077)	12,412
	-impairment provisions	(6,780)	61,940
	-relised net gains/losses	(66,297)	(49,528)
	c) other changes	14,707	4,515
160	Non current assets and group of assets held for sale	(7,836)	(16,360)
	a) changes in fair value	(8,074)	112
-	b) reversal to profit & loss	-	(16,472)
	c) other changes	238	-
170.	Share of valuation reserves of equity-accounted investments	(103,726)	(83,488)
	a) changes in fair value	(181,196)	(83,488)
	b) reversal to profit & loss	75	-
	-impairment provisions	77	-
	-relised net gains/losses	(2)	-
	c) other changes	77,395	-
180.	Tax income related to other income components whit reversal to profit & loss	136,745	3,605
190.	**Other income components**	**(296,251)**	**(143,630)**
200.	**Total comprehensive income (Item 10 + 130)**	**(17,584)**	**(3,645,875)**
210.	Consolidated comprehensive income attributable to non-controlling	87	94
220.	**Consolidated comprehensive income attributable to Parent Company**	**(17,671)**	**(3,645,969)**

** The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 9; in addition, the comparative data were reclassified on the basis of the new accounting statements set forth in the 5th update of Bank of Italy Circular 262.*

Part E - Information on risks and hedging policies

Note: Public Disclosure (Basel III Pillar) is published on the Group's website: https://www.gruppomps.it/investor-relations.

Foreword

A summary of the organisation of the Group's risk governance and the related processes and key functions is described below. An estimate of the Overall Internal Capital and a description of the relative assessment models are also provided.

For more detailed information on the Group's Risk Governance and risk culture, please refer to the Consolidated Report on Operations.

Risk governance system

The risk governance system adopted by the Group is characterised by a clear-cut distinction of roles and responsibilities of the different functions at first, second and third level of control.

Policies relating to the assumption, management, coverage, monitoring and control of risks are defined by the statutory bodies of the Parent Company. In particular:

- The Parent Company's Board of Directors defines and approves strategic guidelines and risk management policies and, at least once a year, quantitatively expresses the Group's overall risk appetite in terms of economic capital;
- The Board of Statutory Auditors and the Risk Committee evaluate the level of efficiency and adequacy of the internal control system, with particular regard to risk control;
- The CEO/General Management is responsible for ensuring compliance with risk policies and procedures;
- The Director in charge of the internal control and risk management system, appointed in compliance with the Corporate Governance Code for listed companies, is responsible for creating and maintaining an effective system of internal control and risk management.

Specific Management Committees responsible for risk issues have been established in order to promote efficiency and flexibility in the decision-making process and facilitate interactions between the various company functions involved:

- The Risk Management Committee establishes Risk Management policies, evaluates the Group's risk appetite in accordance with annual and long-term Group value creation targets and ensures and monitors overall compliance with the limits defined for the various operating levels; evaluates the risk profile reached and therefore the capital consumption at both Group level and for each individual company of the Group;
- The Finance and Liquidity Committee formulates the principles and strategic guidelines relating to proprietary finance; it resolves upon and submits proposals regarding exposures to interest rate and liquidity risk in the banking book and defines capital management actions;
- The Credit Committee formulates policies in relation to credit processes and formulates an opinion, at least once per year, on credit policies by verifying their commercial sustainability and consistency with risk appetite levels. Based on the authorities assigned to it, it is also responsible for taking decisions with respect to lending and the management of problem receivables and assets.

As part of the Internal Control System, the Chief Audit Executive Department conducts third-level controls, the Chief Risk Officer Department and the Compliance Area carry out second-level controls and the Business Control Units (BCUs) carry out first-level controls.

The Chief Audit Executive Department performs an independent and objective "assurance" and advising activity, aimed both at monitoring operations compliance and risk trends (including through on-site audits) as well as assessing the efficiency of the overall internal control system in order to improve the effectiveness and efficiency of the organisation. It also acts as Internal Secondary Supervisor with a view to focusing on the main characteristics of the prudential supervision process adopted by the European Supervisory Authority and on the orientations/priorities outlined by the latter over time so as to evaluate the Group's positioning with respect to the expectations of the Single Supervisor.

The Chief Risk Officer Department, which reports directly to the Board of Directors and functionally reports to the CEO, includes a risk management function, the anti-money laundering function and the internal approval function. This Department therefore has the following tasks:

- to guarantee the overall functioning of the risk management system;
- to participate in the definition and control of the Risk Appetite Framework (RAF), as well as ensure that significant transactions are consistent with the RAF;
- to verify capital adequacy based on the ICAAP and liquidity adequacy based on the ILAAP;
- to monitor the Recovery Plan indicators;
- to ensure the necessary reporting flows to the Group's Top Management and Governance bodies;
- to guarantee proper and adequate control activities for the Group Companies that have outsourced the analogous corporate function;
- to perform the anti-money laundering duties envisaged by Law and the internal validation of risk management models;
- to guarantee proper and adequate control activities for the Group Companies that have outsourced the analogous corporate function;
- to oversight in a centralised way the management of relationships and the assessments by the Supervisory Authorities, coordinating and monitoring planning of the commitments made and the main directions of evolution in the European regulatory environment.

Specifically, within the Chief Risk Officer Department, the risk control function structures are:

- the Financial Risk Officer Area: it defines the integrated methods of risk measurement/analysis and ensures they are constantly monitored, verifying their consistency with the risk appetite and compliance with the thresholds defined in terms of adequacy with respect to capital and liquidity reserves, participating in the definition of any mitigating actions required. It participates in the preparation, drafting and monitoring of the Recovery Plan. It governs the development of the proprietary financial risk measurement and control system in line with internal and regulatory principles. It guarantees management risk reporting for the Corporate Bodies and the Top Management.
- the Lending Risk Officer Area: it governs the evolution of the credit risk measurement system, in line with internal and regulatory principles, in terms of statistical models as well as analytical and process assessments, overseeing the credit risk assessment from portfolio quality to the single name level. It conducts second-level controls on the Group's credit exposures.
- the Operating Risk Officer Area: it governs the evolution of the risk measurement and control system correlated with the operational application of the Group's business model (including operational, reputational, business model and customer portfolio risks).

The Compliance Area performs the function of control of compliance with regulations for the Parent Company. The function is directly responsible for managing risks relating to the violation of the most significant rules in bank-customer relations and it periodically reports to the company's top management and supervisory authorities regarding the overall state of compliance of the Bank's systems and operations. The Compliance function reports directly to the CEO.

The outlying BCUs operating within the subsidiaries or main business areas, carry out compliance checks on the transactions which they are responsible for and are the first level of organisational supervision of transactions within the broader internal control system.

In compliance with the requirements of autonomy and independence of each participating function, there is also a Function Coordination Committee in place with control responsibilities. The Committee promotes and shares operational and methodological aspects to identify possible synergies in control activities carried out by second and third-level Functions, coordinate methods and timing for planning and reporting to the Corporate Bodies and project initiatives connected with the Internal Control System, and share areas for improvement identified by all Functions with control responsibilities as well as the Supervisory Authorities.

Requirements of autonomy and independence of the Risk Department

The Chief Risk Officer (CRO) is the head of the Parent Company's Risk Control Department.

The Function's autonomy and independence are ensured as it reports directly to the Corporate Body with strategic supervisory functions (the Board of Directors) and only functionally to the Management Body (CEO/GM). It has direct access to the Body with control functions (Board of Statutory Auditors) and may communicate continuously with no restriction or intermediation. The CRO is also entitled at his or her discretion to participate in Risk Committee meetings to intervene or propose discussions on specific topics.

In particular, the Board of Directors appoints and removes the Chief Risk Officer, upon proposal by the Risk Committee, with the assistance of the Appointments Committee, having consulted the Board of Statutory Auditors.

The remuneration of the Parent Company's Chief Risk Officer is determined and approved by the Board of Directors upon proposal by the Remuneration Committee, having heard the opinion of the Risk Committee.

Activities relating to the international Regulatory framework

Pillar 1: since 2008, the Group has used internal models validated by the Bank of Italy for the measurement and management of credit risk (AIRB - Advanced Internal Rating Based) and operational risk (AMA - Advanced Measurement Approach). Over time, and in collaboration with the Supervisory Authorities, these models have been further enhanced and their scope of application extended to Group entities not originally included in the initial validation scope.

Pillar 2: efforts to ensure compliance with the Supervisory Review and Evaluation Process (SREP) framework and to further improve the Group's Internal Capital Adequacy Assessment Processes (ICAAP) and Internal Liquidity Adequacy Assessment Process (ILAAP) continued during the year, with the mandatory reporting provided to Supervisors. In 2018, the Risk Appetite Framework (RAF), the overall internal reference framework for the determination of the Group's risk appetite, was further developed. In addition, the Group engaged in several improvement projects on the system for the management of the various risks.

Pillar 3: public disclosure is provided on a quarterly basis through the Group's internet site www.mps.it/investors and is continuously updated in accordance with regulatory developments.

An analysis of the Group's Internal Capital

The Overall Internal Capital (or Overall Absorbed Capital) is the minimum amount of capital resources required to cover economic losses resulting from unforeseen events caused by the simultaneous exposure to different types of risk.

The main types of risks incurred by the Group in its day-to-day operations can be summarily described as follows:

- Credit risk;
- Market risk;
- Operational risk;
- Banking book interest rate risk;
- Counterparty risk;
- Real estate risk;
- Issuer risk;
- Concentration risk;
- Equity investment portfolio risk;
- Business/Strategic risk;
- Liquidity risk;
- Reputational risk.

All of the types of risk mentioned above are included in the quantification of the Overall Internal Capital, with the exception of liquidity and reputational risk that, instead, are mitigated through organisational policies and processes.

Risks inherent in investment products/services for the Group's customers are also monitored, to protect the customer and preventing any potential repercussions in terms of reputation.

Risk assessment models

The CRO Department regularly quantifies the Group's Internal Capital (in terms of Internal RWA equivalent) for each type of risk and periodically reports these to the Risk Management Committee and to the Governing Bodies as part of the reporting flows prepared by the Chief Risk Officer Department.

The approach used to quantify and supplement the risks-to-capital with regard to which the Group is exposed is known in the literature as Pillar 1 Plus. This approach envisages that the Pillar 1 requirements for Credit and Counterparty Risk (which already include those relating to Issuer Risk on the Banking Book, Equity Investment Risk and Real Estate Risk) and Operational Risk, be increased by the requirements from internal models relating to Market Risks, both Trading Book and Banking Book, Banking Book Interest Rate Risk (Financial Risks), Concentration Risk and Business/Strategic Risk.

Overall Internal Capital is calculated without considering inter-risk diversification, therefore by directly adding together the internal capital contributions of the individual risks (Building Block). This approach aims to incorporate the indications in the SREP (Supervisory Review and Evaluation Process) Guidelines published by the EBA.

The Group also manages and quantifies liquidity risk on an ongoing basis (risk-to-liquidity, as defined in the SREP Guidelines) through internal organisational methodologies and policies.

Section 1 – Risks of accounting consolidation

Quantitative Information

A. Credit quality

For the purposes of quantitative information on credit quality:

- the term “balance sheet exposure” refers to all on-balance sheet financial assets with regard to banks or customers, regardless of their portfolio of accounting recognition (measured at fair value through profit and loss, measured at fair value through other comprehensive income, measured at amortised cost, non-current assets held for sale and discontinued operations);
- the term “off-balance sheet exposure” refers to all financial transactions other than on-balance sheet ones (financial guarantees given, revocable and irrevocable commitments, derivatives, etc.) that involve the assumption of credit risk, regardless of the purpose for such transactions (trading, hedging, etc.). Off-balance sheet exposures also include the counterparty risk connected to securities lending transactions and repurchase agreements and to the granting or assumption of goods on a loan basis, as well as to transactions with margins included within the notion of Securities Financing Transactions as defined by prudential regulations.

Non-performing loans (on- and off-balance sheet) do not include financial assets held for trading and hedging derivatives, which are therefore traditionally recognised
among performing exposures.

Equity securities and units of UCITS are excluded.

A.1 Non-performing and performing loans: amounts, value adjustments, changes, trend and breakdown by business sector

A.1.1 Breakdown of financial assets by portfolio and credit quality (book values)

31 12 2018

	Bad loans	Unlikely to pay	Past-due Impaired exposures	Past-due not impaired exposures	Performing exposures	Total
1. Financial assets measured at amortised cost	2,949,002	4,185,521	132,974	1,296,115	89,933,248	98,496,860
- of which forborne	*832,138*	*2,362,779*	*7,883*	*101,667*	*1,886,095*	*5,190,562*
2. Financial assets measured through other comprehensive income	-	4,142	-	-	10,428,119	10,432,261
- of which forborne	-	-	-	-	*9*	*9*
3. Financial assets designated at fair value	-	-	-	-	-	-
- of which forborne	-	-	-	-	-	-
4. Fiancial assets measured at fair value mandatory	110,234	232,096	115	7,151	215,873	565,469
- of which forborne	*109,746*	*226,063*	-	*441*	*12,612*	*348,862*
5. Financial asset held for sale	166,662	93,397	11,921	-	1,177,536	1,449,516
- of which forborne	*6,238*	*75,705*	*239*	-	*24,031*	*106,213*
Total 31 12 2018	4,167,782	7,103,998	152,893	1,405,374	103,653,492	116,483,539
Total 31 12 2017*	7,535,005	6,888,155	386,738	1,390,697	99,839,333	116,039,928

** The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 9; in addition, the comparative data were reclassified on the basis of the new accounting statements set forth in the 5th update of Bank of Italy Circular 262.*

As at 31 December 2018, the forborne exposures (so-called exposures subject to "forbearance measures") amounted to EUR 5,645.6 mln, of which EUR 3,620.8 mln non-performing (EUR 5,136.5 mln as at 31 December 2017) and EUR 2,024.8 mln performing (EUR 2,373.3 mln as at 31 December 2017), and are predominantly in the "Financial assets measured at amortised cost - Loans to customers" portfolio.

A.1.2 Breakdown of financial assets by portfolio and credit quality (gross and net amounts)

31 12 2018

Portfolio/quality	Non perfoming assets				Performing sssets			Total (Net exposure)
	Gross exposure	Specific write-downs	Net exposure	Partial Write-off*	Gross exposure	Portfolio adjustments	Net exposure	
1. Financial assets measured at amortised cost	14,869,751	7,602,254	7,267,497	252,340	91,890,900	661,537	91,229,363	98,496,860
2. Financial assets measured through other comprehensive income	10,701	6,560	4,141	-	10,438,359	10,239	10,428,120	10,432,261
3. Financial assets designated at fair value	-	-	-	-	X	X	-	-
4. Fiancial assets measured at fair value mandatory	880,129	537,684	342,445	3,947	X	X	223,024	565,469
5. Financial asset held for sale	1,083,401	811,421	271,980	7,796	1,177,536	-	1,177,536	1,449,516
Total 31 12 2018	16,843,982	8,957,919	7,886,063	264,083	103,506,795	671,776	103,058,043	110,944,106
Total 31 12 2017*	45,118,741	30,308,843	14,809,898	n.d.	101,793,903	563,873	101,230,030	116,039,928

** The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 9; in addition, the comparative data were reclassified on the basis of the new accounting statements set forth in the 5th update of Bank of Italy Circular 262.*

With regard to non-performing financial assets, the data stated do not include interest on arrears, which is fully written down.

At the reporting date, the Group had 281 positions relating to creditors who had filed a "blank" request for a pre-insolvency creditor arrangement procedure "Concordato in bianco" for a net exposure of EUR 291.2 mln and 2 positions relating to creditors who had filed a request for a pre-insolvency creditor arrangement with going concern "Concordato in continuità" for a net exposure of approx. EUR 1 mln.

Note that in 2018 the Group did not acquire any new non-performing financial assets, and the amount stated as at 31 December 2018 as "purchased credit-impaired financial assets" refers exclusively to old business combinations (Biverbanca).

	Low quality assets		Other assets
	Cumulative losses	Net exposure	Net exposure
1 Financial assets held for trading	100,283	2,276	8,490,583
2 Hedging derivatives	-	-	99,091
Total 31 12 2018	**100,283**	**2,276**	**8,589,674**
Total 31 12 2017*	**108,231**	**6,109**	**8,781,448**

** The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 9; in addition, the comparative data were reclassified on the basis of the new accounting statements set forth in the 5th update of Bank of Italy Circular 262.*

In particular, please note that item "1. Financial assets held for trading" includes exposures generated by derivative contracts with low credit quality for a net value of EUR 1.8 mln; impairment losses recognised on these instruments to take into account the fair value credit adjustment amount to EUR 3.6 mln.

B. Information on structured entities (other than securitisation vehicles)

B.1 Consolidated structured entities

This paragraph was not completed as no such entities are present.

B.2 Structured entities not consolidated for accounting purposes

B.2.1. Structured entities consolidated on a prudent basis

This paragraph was not completed as no such entities are present.

B.2.2 Other structured entities

Qualitative information

For disclosures pursuant to IFRS 12 please refer to the comments provided under the table below.

Quantitative Information

31 12 2018

Balance sheet item/Type of structured entity	Accounting portfolio: Assets			Total assets (A)	Accounting portfolio: Liabilities	Total liabilities (B)	Net book value (C=A-B)	Maximum exposure to loss (D)	Difference between exposure to loss and book value (E=D-C)
	Held for trading	Financial assets measured at fair value through profit and loss	Financial assets measured at fair value through other comprehensive income		held for trading				
1. Special Purpose vehicles	-	-	-	-	-	-	-	-	-
2. UCITS	1,059,995	132,595	-	1,192,590	167,000	167,000	1,025,590	1,419,269	393,679
Total	1,059,995	132,595	-	1,192,590	167,000	167,000	1,025,590	1,419,269	393,679

UCITS

The aggregate includes, in the column 'Financial assets held for trading':

- EUR 46.2 mln (EUR 61.7 mln as at 31 December 2017) relating to the interests held by the subsidiary MPS Capital Services S.p.A. in units of open-ended asset funds and Exchange Traded Funds investing in stocks, bonds and derivatives. These units are purchased for the hedging of risks associated with the issue of fund structured bonds placed through the network by the Parent Company or for repurchase on the secondary market of the structured funds that had been originally structured;
- EUR 1,013.7 mln (EUR 923.6 mln as at 31 December 2017) relating to exposures in financial derivatives with positive fair value to the counterparties Rainbow for EUR 360.5 mln (EUR 485.2 mln as at 31 December 2017), Anima for EUR 374.1 mln (EUR 115.3 mln as at 31 December 2017), Quaestio for EUR 15.4 mln, and Axa Im Deis asset funds for EUR 263.8 mln (EUR 325.0 mln as at 31 December 2017). Rainbow, Anima and Axa Im Deis are funds under Irish law managed by Anima Asset Management and AXA Investment Managers, respectively. These funds are divided into subfunds purchased by MPS AXA Financial Limited, which are the funds to which are linked the services of the Unit Linked policies placed with the latter's customers with the name "AXA MPS Valore Performance". The Questio funds are under Luxembourg law, managed by Quaestio Capital and sold through the Parent Company's network. The subsidiary MPS Capital Services S.p.A. operates with Rainbow, Anima, Axa Im Deis and Questio as counterparty with which the derivatives included in the Fund assets are negotiated.

The column financial assets measured at fair value through profit and loss includes:

- EUR 74.9 mln (EUR 66.7 mln as at 31 December 2017) relating to interests held by the Parent Company in private equity funds, whose purpose is to increase the value of the respective equity through mainly medium to long-term investments chiefly in the purchase and/or subscription of shares, units and securities in general representing the equity of target enterprises, exclusively in the best interest of the investors;

- EUR 41.7 mln (EUR 12.9 mln as at 31 December 2017) relating to units of a multi-segment closed-end Italian alternative asset investment fund (Idea CCR I and II) held by the Parent Company and by subsidiary MPS Capital Services S.p.A. These funds aim to contribute to the re-launch of medium-sized Italian companies in financial difficulty.
- EUR 7.6 mln (unchanged compared to 31 December 2017) relating to units - held by the Parent Company and by the subsidiaries MPS Capital Services S.p.A. and MPS Leasing & Factoring S.p.A - of a closed-end private contribution real estate fund for qualified investors only (Athens RE Fund B). The fund, managed by Unipol Sai Investimenti SGR, holds prestigious tourism complexes located in Tuscany and Sicily.
- EUR 2.5 mln (EUR 3.4 mln as at 31 December 2017) relating to the units of two closed-end real estate investment funds for qualified investors only (Fondo Leopardi and Fondo Cosimo I), held by the Parent Company and the subsidiary MPS Capital Services S.p.A., respectively. The objective of the funds is to maximise income for its investors through a growing dividend yield as well as increased value of portfolio assets.
- EUR 4.9 mln (unchanged compared to 31 December 2017) relating to units of a closed-end alternative real estate investment fund for qualified investors only (Rainbow Fund), held by the Parent Company and by the subsidiary MPS Capital Services S.p.A. The fund's objective is to maximise income for its investors through the increased value of the investments made. The fund, managed by Serenissima SGR, holds several hotel complexes located in Puglia.
- EUR 1 mln (EUR 0.7 mln as at 31 December 2017) includes interests of the Parent Company in hedge funds, particularly side pockets and funds under liquidation.

The column 'Financial liabilities held for trading' includes:

- EUR 167.0 mln (EUR 172.7 mln as at 31 December 2017) relating to the negative fair value of financial and credit derivatives with the counterparties Rainbow for EUR 49.4 mln (EUR 107.6 mln as at 31 December 2017), Anima for EUR 96.8 mln (EUR 34.1 mln as at 31 December 2017), Quaestio for EUR 6.8 mln and the AXA IM DEIS asset funds managed by AXA Investment Managers for EUR 13.9 mln (EUR 31.0 mln as at 31 December 2017).

The entities in question raise funds through the issue of units, making recourse to the capital that investors committed to paying upon placement and forms of borrowing in line with their respective management regulations.

Maximum exposure to the risk of loss was determined to be equal to book value for exposures to units of UCITS other than the financial and credit derivatives for which reference is made to positive fair value plus the add-on (calculated also taking into account positions with a negative fair value). For UCITS, the maximum risk exposure also includes the Group's commitments not yet called up by the funds, to subscribe additional units.

During the year under review, the Group did not provide and does not intend to provide financial or other support to the non-consolidated structured entities referred to above.

There are no sponsored non-consolidated entities for which the Group holds no interests at the reporting date.

Section 2 - Risks of prudential consolidation

1.1 - Credit risk

Qualitative information

1 General

Within the guidelines approved by the Parent Company's Board of Directors, and in line with the evolution of the supervisory regulatory framework, the Group pursues the primary objective of improving the quality of the managed loan book and consequently reducing the cost of credit.

The Group's credit activity is managed with a view to strong proactive behaviour in risk monitoring and enhancement of growth opportunities, through the development of credit policies and systems aimed at making the most of trend data in connection with individual borrowers, against a background of in-depth knowledge and strategic management of positions.

2 Credit risk management policies

2.1 Organisational aspects

As its distinctive mission, the Chief Lending Officer Department performs activities of credit risk taking and operational monitoring of credit quality, giving guidance and support to the network in credit activities, directly managing impaired loans, including financial restructuring transactions, and monitoring the impacts of various credit transactions on the cost of credit.

The Chief Lending Officer Department includes the Performing Loan Department, focused on the management of performing exposures, non-performing past due exposures and unlikely to pay positions within the sales network, and the Non-Performing Network Department, responsible for the management of exposures that have been or are currently being restructured, higher risk unlikely to pay loans and bad loans under the responsibility of specialised head office units.

The Performing Loans Department includes:

- the Loan Disbursement Area which, relying on its constituent units dedicated to Market Disbursement and Specialised Corporate Disbursement, is responsible for generating a flow of loans consistent with credit policies and proceeding with the appropriate reclassifications, while guaranteeing efficiency by reducing response times;
- the High Risk Area, which monitors default detection and impairment indicators in order to enact the process of forbearance and/or reclassification measures accordingly through the High Risk Resolutions function and coordinate measures aimed at resolving credit problems through the Credit Process Quality function.

The Non-Performing Loan Department, on the other hand, is responsible for impaired loans. This Department consists of three Areas:

- the Restructured Loans and Problem Assets Area, which works on managing problematic loans that require the implementation of restructuring actions, by directly managing the Group's restructured loans and those undergoing restructuring, including those for lower amounts;
- the Distressed Credit Risk Area which, through the Mid Ticket service which heads up the Distressed Credit Risk and the Big Ticket Service Departmental Sectors, properly manages positions classified as unlikely to pay with "distressed credit risk" with a view to maximising the reduction of the stock under management from the perspective of costs and timing;
- the Debt Collection Area which, through the Direct Management and/or the Juliet Platform Governance Function, pursues the mission of protecting credit claims from counterparties in bad status for judicial and out-of-court collection purposes. In terms of asset disposal, in 2018, the objective of de-consolidation of stock for EUR 23.8 bn in non-performing loans was

achieved, completing the securitisation process, and subsequently, in the last quarter, disposed of another two portfolios in the leasing and small ticket segments, respectively, for a total of EUR 3.1 bn.

Furthermore, the Non-Performing Loans Department includes two additional structures:

- the Specialised Support and Non-Performing Loan Quality Service, which plays an advisory and support role for more complex positions, conducts monitoring, reporting and controls on non-performing loans and sets up structured credit asset derecognition transactions; in particular, in 2018, and continuing with the restructuring plan, the core business of the function in question is the achievement of target objectives for deleveraging of the portfolio classified as unlikely to pay, to be pursued via various disposal processes;
- the Bulk Problem Loan Management Service specialised in small ticket debt collection activities and in the management of positions in arrears by relying on affiliated external debt collection companies.

The Chief Lending Officer (CLO) also relies on another two functions reporting directly to him:

- the Credit Portfolio Governance Area which oversees the lending information base on a unitary basis and outlines credit policies, defines lending operational and management strategies and sets up extraordinary deleveraging transactions; the Function also carries out support/operations activities such as accounts payable, document management, operational requirements on transferred loans and the management of collateralisable bank assets;
- the Credit Control Unit Service, the function responsible for supporting the CLO in monitoring, supervision and management reporting activities, on key performance indicators (KPI), as well as key risk indicators (KRI), in addition to overseeing the analytical write-down calculation process, acting as an interface between the CLO Department and the various control functions inside and outside the Group.

2.2 Management, measurement and control systems

Starting in 2008, statistical models aimed at creating the Internal Rating Model and rating assignment processes were authorised by the Supervisory Authority for the calculation of capital requirements using the Advanced IRB approach (AIRB).

The prudential regulation requires the Group to adopt the following credit risk measures needed to calculate regulatory capital (AIRB approach): Probability of Default (PD), Loss Given Default (LGD), and Exposure At Default (EAD). The "Probability of Default", which is a reflection of the borrower's rating, represents its ability to meet obligations assumed over a time horizon of one year. Thus, a rating is a probability-based approach to risk assessment, and represents a projection of portfolio quality that forms a part of daily processes of credit facility assessment, loan management and pricing, as well as of the procedures used to determine loan loss provisions and reports used by management.

The statutory adoption of risk criteria has made it possible for the Group to obtain significant operational advantages, both in terms of a higher accuracy in credit budgeting forecasts and in terms of a more effective monitoring of credit aggregates. Based on the risk criteria, the Group sets the process for the yearly budgeting of credit items and makes accurate and sustainable forecasts in relation to the loan book, unlikely to pay and bad loan flows and loan-loss provisions.

Forecast sustainability is ensured by the definition of concrete loan book actions which are communicated to the outlying networks through an internal regulatory document as well as by amending the credit disbursement and management processes and criteria.

All credit processes use the borrower rating as a decision-making driver, and they are conceived as a function of the specific nature of various customer segments in order to optimise the use of resources employed in loan management/monitoring and to achieve the right balance between the push for sales and an effective loan management system. The internal rating system, which affects the Corporate and Retail portfolios, is based on the development of several statistical models specialised by customer type with the aim of assigning a solvency rating for prospective borrowers (first-time lending models based on financial and demographic information taken from outside databases) and for existing borrowers (for which behavioural models have also been used, which incorporate internal performance data).

In order to increase efficiency levels in managing internal ratings, the locally situated Internal Rating Agencies have become the single point of reference for all units on rating issues. The role of the Rating Agencies allows for a closer interaction with the Network to make assistance more effective, generate more synergies and enable a more efficient transfer of knowledge.

In compliance with the guidelines set forth by the Basel Committee and Best Practices, new prudential supervisory provisions for banks require credit institutions to carry out adequate stress testing exercises.

The Group regularly conducts stress tests on all risk factors. Stress tests are used to assess the Group's capacity to absorb large potential losses in extreme yet plausible market situations, so as to identify the measures necessary to reduce the risk profile and preserve assets.

Stress tests are developed on the basis of discretionary and trend-based scenarios.

- trend-based scenarios: assumptions are made of shocks that are due to a combination of risk factors which were historically observed in the past and whose recurrence and plausibility retain a certain degree of likelihood;
- discretionary scenarios: assumptions are made of shocks that are due to a combination of risk factors which may emerge in the near future, depending on the foreseeable environmental, social and economic developments. Simple discretionary scenarios are currently being developed (variation of a single risk factor) as are multiple ones (variation of several risk factors simultaneously). Simple discretionary scenarios are calibrated to independently deal with one category of risk factors at a time, assuming shocks do not spread to the other factors. Multiple discretionary scenarios, on the other hand, aim to assess the impact of global shocks that simultaneously affect all types of risk factors.

The Group's methodological approach to stress-testing is based upon the identification of main risk factors whose objective is to select events or combinations of events (scenarios) which reveal specific vulnerabilities at Group-level. To this end, specific stress plans have been put in place on Pillar I risks (credit, market and operational) which were then made to converge – together with stress events designed ad hoc on other risk factors – into an overall Pillar II stress test plan, aimed at determining the potential impact on the Group within the ICAAP process.

With regard to Credit risk in particular, the Group has defined a macro-economic regression model to estimate the variations in the Probability of Default as a function of changes in the main credit drivers. Credit drivers which significantly describe PD variations are identified beforehand. On the basis of the regression model, credit driver disturbances are then estimated according to the current and prospective economic situation. The shock applied to the credit drivers determines the change in credit portfolio PD, triggering the simulation of a hypothetical counterparty downgrading, with consequent risk variations in terms of Expected Loss, Unexpected Loss and input from new Defaults.

The results from the stress test are submitted to the Top Management and Board of Directors. They are formally examined by the BoD as part of the ICAAP Annual Report approval process, with a view to providing a self-assessment of the current and prospective capital adequacy of the Group.

2.3 Methods to measure expected losses

Credit risk is analysed in-house for management purposes using the Credit Portfolio Model, which was developed internally by the Parent Company and produces detailed outputs in the form of traditional risk measures such as Expected Loss, Unexpected Loss, both management (intra-risk diversified with a representative period of one year and a confidence interval calibrated to the target rating assigned to the Group) and regulatory. Several inputs are considered: probability of default (PD), obtained through validated and non-validated models, LGD rates (management and regulatory), number and types of guarantees supporting the individual credit facilities, regulatory and management CCF on the basis of which the regulatory and management EAD are estimated respectively.

The internal PD, LGD and EAD models for risk measurement are one of the main elements of assessment for all Group units involved in the credit industry, both at Head Office level (Risk Management, Credit Department, Chief Financial Officer, General Management, Risk Committee, Board of Directors) and at branch level (Rating agencies and Relationship Managers). The Group is currently authorised to use the Advanced Internal Rating Based (AIRB) models to determine capital requirements against credit risk on the portfolios of "exposures to businesses" and "retail exposures" of the Parent Company, MPS Capital Services and MPS Leasing & Factoring, and is awaiting validation of the EAD parameter and roll-out of the domestic NBFI portfolio for these counterparties.

The development of the internal rating systems involved the adoption of strict and advanced statistical methodologies in compliance with the requirements set out in the regulations; at the same time, models were selected in such a way as to make results consistent with the historical experience of the bank in credit management. Lastly, in order to optimise the proper use of these new instruments, the rating models were shared with a top-down approach – from Risk Management down to individual client managers. Estimation of the LGD model was based on internal data relative to capital flows, recoveries and expenses actually incurred on positions transferred to the bad loan portfolio. Results obtained from model application were then compared with data recorded by the Debt Collection Area which is dedicated to the management and recovery of non-performing loans.

The main characteristics of the advanced rating systems are as follows:

- for all validated regulatory portfolios, the rating is calculated with a counterparty-based approach for each individual borrower, in line with the accepted management practice which provides for the assessment of credit risk, both in the disbursement and monitoring phases;
- each individual counterparty is assigned a single rating at banking Group level, based on the set of information pertaining to all lending banks within the AIRB scope; the LGD is different

for each company given the diversity of products issued and the type of customers to whom they are offered;

- the rating model segmentation is defined in such a way as to make the individual model clusters consistent with commercial objectives, credit processes and regulatory portfolios set out in the regulations;
- the calculation of the final rating is differentiated by type of counterparty. The credit process envisages a level of in-depth analysis proportional to counterparty risk: the assessment of loan disbursements is based on a complex multi-level structure for medium-large corporate counterparties, whose exposure and concentration risks are higher, and a simplified structure for Small Business and Retail clients;
- in line with this process, the final rating for medium-large corporations is the result of a number of different factors: statistical rating, qualitative rating, overrides and valuation of the 'economic group' which businesses belong to; for Small Business and Retail counterparties the rating is calculated only on the basis of statistical factors;
- the rating has a 12-month internal validity period and is usually reviewed on a yearly basis, except for rating reviews following well-structured codified practices or that are brought forward on client managers' request or following serious counterparty deterioration;
- LGD reflects the economic (and not only the accounting) loss incurred; for this reason, LGD estimates must also include the costs incurred for the recovery process and a time factor;
- loss given default is differentiated by type of loans and a LGD value is assigned at the level of each individual transaction; it is differentiated by geographical area since historical and current recovery rates are different among Northern Italy, Central and Southern Italy and Islands;
- loss on defaulted positions other than bad loans is estimated with a Cure Rate approach. With regard to counterparties whose exposures are administratively classified as unlikely to pay and non-performing past due, the percentage of exposures reverting back to a performing status was calculated and used to adjust the estimated LGD, starting from doubtful loans.

The Group has adopted a single Master Scale for all types of exposures; this enables all units involved in credit management to immediately compare the risk level associated with different counterparties or portfolios; furthermore, the probabilities of default of internal rating classes were mapped against Standard&Poor's external rating scale so as to make internal risk measurements comparable to those available on the financial market.

The development and monitoring of rating systems has been functionally assigned to Risk Management and is subject to control by the Internal Validation and Internal Control functions.

The Group has used PD, LGD and EAD parameters, estimated for regulatory purposes to calculate Risk Weighted Assets, also for other operational and internal management purposes. These provide the basis of calculation for different systems of measurement and monitoring, and specifically for the:

- measurement of economic and regulatory capital for credit risk;
- calculation of risk-adjusted performance and measurement of value creation;
- risk-adjusted pricing processes;
- credit direction processes;
- across all credit processes (disbursement, review, management and follow-up) which are fully "engineered" in the Electronic Loan File application (it. Pratica Elettronica di Fido or PEF), under which the borrower's rating is the result of a process which evaluates - in a transparent, structured and consistent manner - all the economic-financial, behavioural and qualitative information regarding customers with whom the bank has credit risk exposures.

To calculate the expected losses as required by IFRS 9, specific adjustments must be made to the aforementioned parameters, including in particular:

- adoption of a Point in Time (PIT) PD against the Through the Cycle (TTC) PD used for Basel purposes;

- elimination of certain additional components from LGD, such as indirect costs (non-recurring costs) and the component linked to the adverse economic cycle (or "downturn"); as well as to reflect the most current recovery rates (PIT), expectations about future trends (forward-looking) and the inclusion of any recovery fees if collection is assigned to a third party;
- use of multi-year PDs and, where necessary, LGDs in order to determine the expected loss for the entire residual life of the financial instrument (stages 2 and 3);
- use of the effective interest rate of the individual transaction in the process of discounting expected future cash flows, as opposed to that which is set forth in regulatory models, in which individual cash flows are discounted using rates determined in accordance with prudential regulations.

For additional details on the methods to determine impairment losses under IFRS 9, definition of default and the methods used by the Group to classify financial assets among non-performing assets, see the paragraph "Methods for calculating impairment on IFRS 9 financial instruments" of Part A "Accounting policies", as well as the paragraph below "Non-performing loans" of these consolidated notes to the financial statements.

Lastly, note that there were no changes during the year to estimation techniques or to the significant assumptions underlying the calculation procedures for expected credit losses.

2.4 Credit risk mitigation techniques

With reference to the retail and corporate loan portfolio, the Group does not apply any netting processes to the credit risk exposures with on- or off-balance sheet items with opposite sign. The Group adopts policies to reduce counterparty risk with institutional counterparties, by entering into netting agreements according to the international ISDA and ISMA standards and related collateral agreements for both derivatives and repos (repurchase agreements).

The main forms of real guarantees for credit protection used by the Group include pledges, mortgages and other collateral (insurance, guarantee funds).

As at today, the pledge of sums and the pledge of securities and mutual funds deposited with the Parent Company and mortgages on properties account for essentially all of the nominal amount of collateral received and all of them ensure full compliance with regulatory/legal/organisational requirements set out by the Supervisory Regulations for the enforcement of credit risk mitigation standards.

The Group has developed one single process for the acquisition of collaterals which is at the same time a working instrument and the expression of the Group's management policies. The management of collateral is activated after loan disbursement is approved and its process is organised into a number of different stages:

- acquisition (including multiple acquisition): the controls of (formal and amount) consistency with the guarantees proposed during the authorisation phase are performed in this stage;
- adjustment/change/amendment: useful to amend the characteristics of a guarantee without interrupting loan protection;
- query: gives information about the present data and the historical trend of guarantees received;
- repayment/cancellation.

If the measures for monitoring collaterals on loans show operational irregularities during the acquisition phase or any inadequacies/losses of the values received as a pledge, events falling within the scope of credit monitoring policies are put in place, which trigger operational obligations of credit risk assessment.

The Group uses different instruments to protect loans which can be summarised in the following categories:

- Guarantees (including omnibus guarantees and personal guarantees issued by third parties);
- Endorsement;
- Guarantee policy;
- Credit mandate;
- Strong/binding patronage letter;
- Negotiable instruments;
- Performance bond agreement;
- Debt delegation;
- Expromission;
- Assumption of debt;
- Personal Collateral governed by foreign law;
- Credit derivatives:
  - credit default swaps;
  - total return swaps;
  - credit linked notes.

The main parties issuing the above credit-protection guarantee instruments are:

- Sovereign governments and central banks;
- Public sector and local agencies;
- Multilateral development banks;
- Regulated intermediaries;
- Guarantee institutions (Confidi);
- Companies and individuals.

Nearly all personal guarantees are traceable to companies and individuals as guarantors. Only to a limited portion of these customers can an internal rating be assigned, since these guarantors are not borrowers of Group companies.

The main concentration of collaterals is linked with retail mortgage loans. However, it cannot be referred to as risk concentration by virtue of the principle of risk fragmentation which is implicit in this type of customers.

More generally, as regards mortgage collateral, an IT platform integrated within the Parent Company's systems has been introduced which is used to automatically transfer information about the property acquired from appraisers directly to those systems. The platform automatically updates all of the Parent Company's loan management applications and digitally archives the appraiser's documentation. It is also capable of standardising the set of information provided.

Appraisers are selected based on an individual analysis of their abilities, professional skill and experience, and are placed on a dedicated list of accredited professionals; their work is monitored continuously, including by checking any divergence between surveyed values and benchmark market data. Appraisers are required to prepare their estimates using valuation methods consistent with the Italian Banking Association's Guidelines for the appraisal of properties backing credit exposures.

For the phase of monitoring the assets pledged, the Group has a policy establishing the amounts of the secured exposure and the age of the appraisal, beyond which the properties are appraised again. For exposures lower than the thresholds defined, the Group in any event conducts half-yearly monitoring of the property value based on market data.

Moreover, in order to guarantee eligibility of the guarantees in the Credit Risk Mitigation process, a specific function within the Chief Lending Officer Department activates reappraisal processes when materiality thresholds are exceeded, processes that are consistent with the policy guidelines, with particular reference to the criteria for the age of the appraisal, exposure values and deviations from geo-referenced assessments.

The disbursement of loans secured by collaterals is subject to specific control measures, differentiated by type of guarantee pledged, which are applied during the phase of disbursement and monitoring.

The general requirements for ensuring the legal certainty and enforceability of guarantees are verified by checking compliance with the following relevant conditions:

- binding nature of the legal obligation entered into by the parties and enforceability in the event of legal proceedings;
- documented evidence and enforceability of the instrument against third parties in all relevant jurisdictions for the purpose of its exercise and execution;
- timely liquidation in case of non-fulfilment;
- compliance with organisational requirements.

With reference to compliance with organisational requirements, mitigation of risk is ensured by:

- the presence of an IT system in support of the life cycle phases of the guarantees (acquisition, valuation, management, re-valuation and enforcement);
- the existence of regulated policies for the management of guarantees (principles, practices, processes), available to all users.

The presence of collateral or personal guarantees is reflected in the quantification of Expected Credit Losses (ECLs) of the financial statements. With regard to collective valuations, the main "transmission" channel is the Loss Given Default (LGD), one of the input parameters used for valuations: for this purpose, each exposure is divided into tranches, determined according to the different types of collateral that back the exposure and a specific LGD is calculated for each tranche.

With regard to analytical valuations, the presence and updating of the value of collateral is directly reflected in the case of a gone concern valuation approach, applied, beyond certain thresholds, to all bad loans and probable defaults in which the going concern scenario is excluded, but also indirectly in a going concern scenario, where the change in the value of the company's real estate assets may also impact historic and expected income flows. In the gone concern approach, specific haircuts are applied, calculated within historic series of the Group which contain the results of contracts awarded in real estate execution.

The system of controls set up to monitor impairment processes guarantees the substantial absence of cases relating to financial instruments for which no provision has been made to cover losses due to the collateral.

3. Non-performing loans

3.1 Management strategies and policies

Non-performing financial assets include loans which, following the occurrence of events subsequent to their disbursement, show objective evidence of a possible loss in value.

Non-performing exposures (e.g. bad loans, unlikely to pay and non-performing past due; together, non-performing exposures) are classified into different risk categories in accordance with the regulations issued by the Bank of Italy, supplemented with internal provisions which set automatic criteria and rules for the transfer of receivables between different risk categories. In particular, classification is carried out by bodies within the loan decision-making chain based on a process that provides for a series of codified controls aiming to guarantee proper asset classification, except for loans more than 90 days past due, which are measured using automated procedures. To activate the controls, default detection parameters have been integrated within the Group's business procedures (Credit Monitoring) so as to subject the most critical positions to assessment, including for any reclassification if required.

Starting from the month of August 2018, and pending the imminent release of the new procedure for the automatic reclassification of counterparties affected by the setting of binding reclassification parameters, the High Risk function has set up a process for the forced classification of counterparties with the above characteristics, with particular reference to the classification towards the status of unlikely to pay.

The Group's procedures also manage the phases for transfer to non-performing categories, in particular forborne positions. A "forborne exposure" (as defined in Bank of Italy circular 272) is a debt agreement for which measures of tolerance have been applied (otherwise identifiable as "forbearance measures"). The measures of tolerance consist of concessions - in terms of the amendment and/or refinancing of the pre-existing debt agreement - to the borrower who has or is on the verge of having difficulty in meeting its financial commitments (in other words, the borrower is in financial difficulty).

Forborne exposures are broken down into:

- non-performing exposures with forbearance measures, pursuant to the Implementing Technical Standards (ITS) issued by the EBA. These exposures represent a sub-category of, depending on the case, bad loans, unlikely to pay or non-performing past due; therefore, they do not make up their own category of non-performing exposures;
- forborne performing exposures, pursuant to the ITS.

If a new facilitation or a change in the credit line which amounts to a new concession is requested, the manager is asked to evaluate the counterparty's financial difficulty. With support from the procedure, the manager establishes whether the borrower is in financial difficulty and how severe it is. If the financial difficulty is serious, the manager should decide, in addition to the concession, on whether to change the counterparty's classification to unlikely to pay.

Positions are classified into the various categories of non-performing assets at the proposal of the regional network responsible for the commercial relationship as well as peripheral and central specialised functions responsible for loan control and management.

In the second half of 2018, the High Risk function successfully coordinated the process to create new forborne products at the disposal of customers in financial distress, within a credit strategy aimed at proposing tailor-made forbearance measures, namely sustainable with respect to the financial requirements of the counterparty.

For non-performing past due loans, classification as non-performing takes place via automatic procedures if specific objective conditions of default have been satisfied.

Non-performing exposures are returned to performing status at the initiative of the above-mentioned structures responsible for loan control and management, after it is verified that the critical conditions and state of insolvency no longer apply. Non-performing past due loans are returned to performing automatically when the exposure is paid up.

Active management of loans begins at the first signs of impairment, with the support of the Credit Monitoring procedure, which first identifies non-performing positions (Intercept phase) and subsequently routes them to dedicated management processes (Routing phase). More specifically:

• Intercept phase: identification of high insolvency risk positions

Ordinary-risk positions are scanned by a 'screening' engine which selects the highest-risk positions on a weekly basis, so as to identify the counterparties bound to become insolvent at a sufficiently early stage. Screening is based on a 'performance risk indicator' (it.: "indicatore di rischio andamentale", IRA) which summarises a set of critical elements including the worsening of leading indicators, ratings, information on related counterparties and days past due.

• Routing phase: customer-type differentiated treatment of positions

This choice was based on the need for differentiating, even during the management approach phase, the processes by customer segment, in accordance with the customer service models, which envisage that a corporate client cannot be treated in the same way as a retail client and that specific client management needs should be met with 'ad hoc' processes. Ordinary-risk positions, reported as higher risk by the 'screening' engine, are routed to specific processing queues depending on the type of customer and credit facility involved:

1. 'Mass Retail' procedure, dedicated to Retail clients for which it is possible to activate mass debt collection;
2. 'Standard Retail' procedure, dedicated to the remaining Retail customers with more limited exposures and small-sized businesses with limited exposure;
3. A dedicated Corporate procedure for corporate customers.

As regards assessment, bad loans, unlikely to pay and non-performing past due exposures with exposure above a given threshold value are valued analytically. For all non-performing exposures under a given threshold value, the valuation is carried out statistically on the basis of parameters determined by Risk Management.

The evaluation is carried out at the time of their classification, when significant events take place, such as the shift of the counterparty towards another decision-making chain and, in any event, reviewed periodically. In particular, the loan valuation is subject to review any time knowledge is gained of significant events that could change prospects for recovery. For such events to be promptly taken into consideration, all borrower information is periodically monitored.

The Group's 2019 NPE Strategy, in line with the Risk Appetite Framework, envisages a reduction in the Gross NPE Ratio to a threshold slightly over 15% (compared to a pro-forma data of 16.4% that includes the sale of the portfolio of bad leases for EUR 0.9 bn to be completed in 2019 and the binding offer of EUR 0.2 bn for the unlikely to pay portfolio received in December 2018), with an expected target for the end of 2021 of 13.6%, through the following measures:

- deconsolidation of EUR 2.8 bn through sale transactions (including the completion of the transaction on the segment of bad leases, known as the "Morgana" transaction);
- recoveries of EUR 0.9 bn (of which 70% on bad loans) and initiatives aimed at "healing" for EUR 0.5 bn, such as, for example, monitoring the payment calendar of forborne exposures, proactive management of non-performing past due, and implementing specific actions on restructured counterparties with a certain exposure.

The sales actions put in place during 2018 posted higher than expected results, with regard to both bad loans (+19%, without considering the bad loans of the Siena NPL maxi-securitisation that were derecognised in June 2018) as well as unlikely to pay (+53%).

The NPE Strategy includes a strong commitment again in 2019 to reducing the stock of non-performing loans, by continuing the deleveraging programme for the unlikely to pay portfolio, to be carried out through traditional sales transactions and assumption of other financial instruments, as well as implementing operations on the Juliet platform, to which collection of bad loans has been outsourced.

3.2 Write-off

Accounting for total and/or partial write-offs is done upon ascertainment that the credit is non-recoverable, namely when there are no realistic recovery prospects.

The assumptions underlying an unrealistic assessment of recoverability, in relation to which it is considered appropriate to abandon interruption of the limitation period, occur when the composition, bankruptcy, enforcement and even inheritance procedures have come to an end, together with the absence of joint owners or guarantors to be enforced, as well as in cases of documentary verification of impossible and/or infeasible recovery from debtors/guarantors and, lastly, upon conclusion of out-of-court settlements.

The control process aimed at identifying the lack of realistic recovery prospects focuses on the counterparties with a given coverage level as well as a certain vintage.

At the reporting date, the total exposures subject to write-offs relating to counterparties for which enforcement procedures (insolvency and/or executive) are still in progress is approximately EUR 50 mln, based on operational data, of which approximately EUR 75 thousand was carried out during 2018.

3.3 Purchased or originated impaired financial assets

The purchased or originated financial assets (POCI) include financial instruments, acquired or originated, which were already credit impaired at their initial recognition, that is, they showed some signs of impairment in credit quality.

The accounting rules relating to POCIs apply to financial instruments measured at amortised cost or at fair value through other comprehensive income; that is, SPPI-compliant financial instruments in the HTC and HTC&S business models. For further details on the accounting treatment of this type of financial asset, refer to the paragraph "Purchased or originated credit-impaired (POCI) financial assets" in Part A of the Notes to the financial statements - "Accounting policies".

The Group includes the following cases as POCI financial assets. In particular, the first two refer to "Originated credit-impaired financial assets (OCI)" and the others to "Purchased credit-impaired financial assets (PCI)".

1. substantial changes to the loans (other than those that result in failure of the SPPI test), agreed with non-performing customers, to which derecognition accounting is applied, in accordance with accounting policy;
2. new credit facility to a non-performing counterparty;
3. acquisition of a portfolio of non-performing loans as part of business combinations;
4. purchase of individual financial instruments.

Originated credit-impaired financial assets are identified as part of the lending procedure. Specifically, the PEF application used by the Credit function was appropriately supplemented for certain specific purposes of the credit facility: their selection and the presence of a non-performing status for the counterparty result in an "OCI flag" being raised on a single loan line. This reporting is passed on to summary systems for the necessary measurements, both for amortised cost as well as impairment.

For purchased credit-impaired financial assets, the event is processed by the respective business functions and reported through appropriate reporting systems to management.

The credit risk measurement, management, and control systems for these financial assets envisage, firstly, the definition of the estimated plan, that is, the contractual plan adjusted for expected credit losses. The latter is prepared by the Risk Management function or the Credit function, which, based on the forecasts, may also review it during the life of the credit transaction. This plan is used to calculate CEIR (credit-adjusted effective interest rate), that is, the rate that equates the present value of expected cash flows to the fair value at initial recognition in financial statements.

Based on the contractual plan, the operational services are also calculated including:

- outstandings on the estimated plan, by comparing contractual outstandings and the cash flows effectively expected by the estimated plan (these outstandings are, in fact, a component used in the impairment calculation for POCI instruments);
- adjustments to CEIR that allow contractual interest due, recorded by the various operational services, to be applied to the effective interest at the CEIR calculated in the estimated plan.

Credit risk is monitored on a monthly basis: information on contractual outstandings and outstandings on estimated cash flows are summarised in a report used by the various functions for the resulting measurements.

At the reporting date, the Group's POCI portfolio was almost entirely comprised of new loans (OCI) made to customers who were already non-performing and identified upon first application of IFRS 9. There were no new purchased or originated credit-impaired financial assets during the year.

With regard to the OCI relationships, compared to a Group portfolio of around EUR 77 mln in gross exposure, about 25% of the lines, which account for 4% of the total amounts, are classified as bad loans; the relationships classified as unlikely to pay, which represent 77% of the total exposure, have overruns against the agreed plans at a level of 19%, compared to the total amounts classified as unlikely to pay. Furthermore, some relationships were readmitted to performing status, which represent 19% of the total exposures reported. Impairments were calculated for 29% of the cases using analytical-statistical measurements and for 71% of the cases through analytical measures, of which 47% according to the gone concern approach and 24% according to the going concern approach.

The Group's OCI portfolio as at 31 December 2018 has an average life of just over 5 years.

As at 31 December 2018, reversals were recorded in the income statement for these positions for a total of EUR 12 mln: during the year, favourable changes in the estimate of lifetime expected losses were recognised, as the lifetime losses were lower than the amount of expected losses that were included in the estimate of cash flows at the time of initial recognition.

Note that in 2018 the Group did not acquire any new non-performing financial assets, and the amount stated as at 31 December 2018 as "purchased credit-impaired financial assets" refers exclusively to old business combinations (Biverbanca) equal to a total of EUR 0.5 mln in terms of book value.

4. Financial assets subject to commercial renegotiations and exposures subject to forbearance

Financial assets subject to commercial renegotiations

This category includes renegotiations of credit exposures - by changing the original contractual conditions - granted by the Group for commercial reasons to performing customers, with the objective of maintaining the relationship with the customer. The changes in question are divided into the two categories set out below, depending on the purposes and effects of the amended contracts agreed between the parties:

1. transactions that entail a change in the original payment schedule (re-scheduling), to the benefit of the borrower;
2. transactions that do not entail a change in the original payment schedule and that seek to adjust the debt burden to market conditions. These transactions result in a change in the original contract conditions, usually at the customer's request, that reference aspects associated with the debt burden.

Requests to reschedule the loan entail, in any event, the assessment of whether the customer is experiencing financial difficulties - in line with the preliminary review process for the loan - which is carried out based on predominantly objective assumptions to avoid errors in assigning the forborne classification and is also governed from a subjective/qualitative perspective by specific Group guidelines. During 2018, assessments of this type with a favourable outcome, that is, rescheduling operations in the absence of financial difficulty, were rare. The most common case regards medium/large corporate customers in good standing (or private customers, on an exceptional basis) - including as part of syndication transactions - who request a review of the average duration of the debt as part of a renewed business financial planning with respect to production decisions made. In these cases, having carefully assessed the absence of current and future financial difficulties, rescheduling requests may be granted, taking care in any case to verify their validity in terms of sustainability and advantages/profitability for the Group with respect to the original plans.

With reference to commercial renegotiations aimed at adjusting the debt burden to market conditions, note that during 2018, given the low market rates and the strategies adopted by other players in the banking system with regard to loans to businesses and households, there has been a considerable increase in requests from customers to amend the conditions applied. In this context, the Parent Company, with a view to customer retention, did not put forward mass initiatives for renegotiations, but assessed the requests received in each case. The number of requests was particularly significant in the residential mortgages sector, due to the possibility offered by the relative "portability"; the approach adopted by the Parent Company was to appropriately evaluate the requests, using qualitative/quantitative metrics (based both on the risk-adjusted profitability and the market benchmark, or the level of pricing expressed by the banking system), associated with commercial valuations, such as the expected benefits deriving from maintaining or achieving the reference status with the individual customer.

Forborne exposures

Forbearance measures are activated, both on the retail as well as corporate segment, when a financial criticality emerges that may impact the counterparty's capacity to satisfy their financial commitments in relation to debt repayment.

To determine the sustainable forbearance measure, it is essential to verify the impacts of financial difficulty compared to debt: the forbearance measure is only implemented if the aforementioned impacts are deemed as being possible to overcome through use of said forbearance measure.

The degree of financial difficulty in which the customer finds themselves (serious or not) must be identified in order to determine the measure (suspension of payments or mere rescheduling of debt) and to allow the measure to be credibly aimed at solving the customer's difficulty.

To reach this objective in the corporate world, an analysis of historic data is not sufficient. Forecast and medium to long-term strategy information on the company must also be obtained; at the individual level, it is essential to assess the instalment/income ratio, the employment situation and the future commitments of the household.

From a management standpoint, the Group's tendency is to reschedule the customer's commitments, in order to make them compatible with the aforementioned information and proceed with suspension of payments only in case of loss of employment or other serious financial difficulty of the customer. In this last case, along with application of the measure, the counterparty is classified as unlikely to pay.

The Group is evolving in the way it generates new forbearance measures, acquiring a specific product portfolio that provides for legal acts of recognition, rescheduling and amortisation of debt, both for retail and corporate customers, differentiating the offer according to the type of secured/unsecured loans being measured, the duration of rescheduling and the Loan-to-Value of mortgage loans.

In general, these same products also envisage that the rate used in forbearance does not exceed the original contractual rate.

The stock of forborne performing measures at the beginning of 2018, of which 70% secured positions as well as a significant component of moratorium/suspension concessions - was classified among non-performing assets during the year for approximately 15% (in terms of gross exposure); including the payments received during the same period, this percentage would be reduced by 150 bps. Moreover, note that this stock in 31% of cases passed the probation period, returning to a status of fully performing.

As at 31 December 2018, forborne performing stock amounted to EUR 2.2 bn in gross exposure: the secured component since the beginning of the year was stable and only 3.4% of cases had overruns exceeding 30 days. This stock is comprised, for 28%, of new credit facilities granted during the year, while 23.5% represents exposures handled in 2018; the remaining 48.5% of this stock represents positions that continue in the probation period from the end of 2017.

The stock of forborne non-performing, which has a total gross exposure of about EUR 6.5 bn, of which 7% pertains to new production, is mainly characterised by positions under restructuring, subject to specialist monitoring as part of the plans approved and/or under approval. The non-restructuring component, mainly allocated to the anomalous risk and massive segment, has high overrun rates, as in most cases it inherits the non-performing measures originated in the performing status. The management objectives of these last two portfolios is to verify the conditions for further forbearance, or propose settlement and/or write-off measures as an alternative.

The new production of forbearance measures (both on performing as well as non-performing counterparties) is approximately EUR 1.1 bn.

In cases of forbearance resolutions on performing customers, based on operational data, it emerges that 8% of customers benefiting from a measure had been assessed as in severe financial difficulty, such as to proceed with classification to non-performing.

Exposures on the order of about 5.5% of the initial forborne non-performing stock measured at the end of 2017 were monitored in 2018.

The forbearance measures granted during the year generated a net loss from contractual changes with derecognition of EUR 13 mln in the income statement.

With specific reference to impairment, note that all forborne exposures other than non-performing are classified in stage 2 and are valued, similarly to the exposures in stage 3, for an amount equal to the expected losses throughout the life of the loan. Any decrease in credit risk and resulting classification in stage 1 and measurement of impairment for an amount equal to expected credit losses in the subsequent 12 months, is linked, in the absence of further indicators of significant increase in risk of credit, to the return to the fully performing status of the exposure or to the loss of the forborne classification.

Quantitative Information

A. Credit quality

A.1 Non-performing and performing loans: amounts, value adjustments, changes, trend and breakdown by business sector

A.1.1 Prudential consolidation - Breakdown of financial assets by past due ranges (book values)

Portfolio/staging	Stage 1			Stage 2			Stage 3		
	Up to 30 days	from 30 to 90 days	Over 90 days	Up to 30 days	from 30 to 90 days	Over 90 days	Up to 30 days	from 30 to 90 days	Over 90 days
1. Financial assets measured at amortised cost	339,479	4,393	3,870	261,728	428,172	258,545	104,347	222,781	5,296,664
2. Financial assets measured at fair value through other comprehensive income	-	-	-	-	-	-	-	-	-
Total 31 12 2018	339,479	4,393	3,870	261,728	428,172	258,545	104,347	222,781	5,296,664

A.1.2 Prudential consolidation - Financial assets, commitments to disburse funds and guarantees given: changes in overall value adjustments and in total provisions

Class of staging	Value adjustments													Provisions on loans commitments and financial guarantees issued			Total
	Financial assets included in Stage 1				Financial assets included in Stage 2				Financial assets included in Stage 3								
	Financial assets measured at amortised cost	Financial assets measured at fair value through other comprehensive income	*of which: specific write downs*	*of which: portfoglio write downs*	Financial assets measured at amortised cost	Financial assets measured at fair value through other comprehensive income	*of which: specific write downs*	*of which: portfoglio write downs*	Financial assets measured at amortised cost	Financial assets measured at fair value through other comprehensive income	*of which: specific write downs*	*of which: portfoglio write downs*	*Of which: purchased or originated impaired financial assets*	Stage 1	Stage 2	Stage 3	
Opening balance of overall adjustments*	98,996	19,436	-	118,432	748,535	31	-	748,567	9,818,769	-	6,123,552	3,695,217	50,015	13,878	12,540	176,889	10,889,074
Increases from purchased or originated financial assets	10,658	65	-	10,723	37,288	38	-	37,326	84	-	-	84	-	1,049	1,712	875	51,769
Modification other than write-off	(7,008)	-	-	(7,008)	(49,976)	-	-	(49,976)	(2,647,494)	-	(1,163,185)	(1,484,309)	(4,824)	(3,031)	(571)	(12,872)	(2,720,952)
Impairment	(137,324)	(9,394)	-	(146,718)	(65,679)	63	-	(65,617)	513,882	6,560	372,640	147,802	(11,292)	(567)	(3,338)	14,830	319,033
Modification gains/losses	-	-	-	-	-	-	-	194	6,336	-	5,683	653	-	-	-	-	6,530
Change in evalutation methodology	(3,969)	-	-	(3,969)	(39,185)	-	-	(39,185)	225,822	-	266,620	(40,798)	(379)	(1,257)	(1,990)	52,268	231,689
Write-off	-	-	-	-	-	-	-	-	(292,396)	-	(73,652)	(218,744)	(378)	-	-	-	(292,396)
Others	118,619	-	-	118,619	(49,606)	-	-	(49,606)	(22,275)	-	(109,568)	87,294	(2,868)	(1,046)	770	(8,719)	37,743
Closign balance of overall adjustments	79,972	10,107	-	90,079	581,571	132	-	581,703	7,602,728	6,560	5,422,090	2,187,199	30,274	9,026	9,123	223,271	8,522,490
Recoveries from collections of financial assets subject to write-off	1,509	-	-	1,509	-	-	-	-	577	-	577	-	-	-	-	-	2,086
Write-off recognised through income statements	-	-	-	-	-	-	-	-	(61,452)	-	(59,441)	(2,012)	-	-	-	-	(61,452)

** The initial balance includes the effects of first-time adoption of the new IFRS 9 and IFRS 15 as at 1 January 2018, described in the paragraph "Transition to the IFRS 9 and IFRS 15 accounting standards".*

The provision for trade receivables, valued using the simplified method in accordance with IFRS 9, amounts to EUR 0.01 mln, down from EUR 0.06 mln at the beginning of the year. The change is entirely attributable to the decrease in the stock of trade receivables held by the Group.

For details on the calculation method adopted to determine impairment on financial assets, please refer to the paragraph "Methods for calculating impairment on IFRS 9 financial instruments" in Part A of these Notes to the financial statements.

During 2018, there was an overall reduction in the provision for purchased or originated credit-impaired financial assets of more than EUR 20 mln, for the most part (EUR 11.3 mln) due to a net write-back on credit risk following a return to performing status over the course of 2018, as well as an addition EUR 4.8 mln attributable to disposals of positions classified as unlikely to pay during the year.

Total impairment provisions posted an overall reduction of more than EUR 2.3 bn in 2018 compared to 1 January 2018, due almost entirely (EUR 2.2 bn) to financial assets measured at amortised cost classified in stage 3. In particular, with reference to this accounting portfolio, the following elements contributed to this trend:

- reduction of provisions for "Derecognitions other than write-offs" of EUR 2.6 bn, due to a large extent to transactions to dispose of bad loans that were derecognised in June 2018. This figure also reflects the disposal of unlikely to pay exposures that occurred during 2018. For more details on the disposal of impaired loans, please refer to the discussion in the Consolidated Report on Operations;

- reduction of provisions for "Write-offs" for Eur 0.3 bn. Note that the derecognitions not covered by the provision generated an impact of EUR 61 mln in the income statement;

- net increase of EUR 0.3 bn in the item "Net impairment losses/reversals". Financial assets measured at amortised cost included in stages 1 and 2 recorded a decrease in provisions totalling EUR 0.2 bn due to the updating of the historical data and the revision of risk parameters, with constant application of the same estimation methodology. Assets included in stage 3 posted an increase of EUR 0.5 bn;

- net increase of EUR 0.2 bn on the item "Changes in estimation methodologies", essentially referring to stage 3 financial assets that recognised an increase in provisions due to changes in estimation methodology (from collective to analytical).

A.1.3 Prudential consolidation - Financial assets, commitments to disburse funds and guarantees given: transfers among the various credit risk stages (gross and nominal amounts)

Portfolio/Staging	Gross value /nominal value					
	Transfers between Stage 1 and Stage 2		Transfers between Stage 2 and Stage 3		Transfers between Stage 1 and Stage 3	
	From Stage 1 to Stage 2	From Stage 2 to Stage 1	From Stage 2 to Stage 3	From Stage 3 to Stage 2	From Stage 1 to Stage 3	From Stage 3 to Stage 1
1. Financial assets measured at amortised cost	2,536,009	4,142,810	1,338,078	645,684	300,662	43,374
2. Financial assets measured at fair value through other comprehensive income	3,775	-	-	-	8,408	-
3. Commitments to disburs funds and financial guarantees issued	303,956	315,468	175,023	77,261	15,204	16,994
Total 31 12 2018	2,843,740	4,458,278	1,513,101	722,945	324,274	60,368

A.1.4 Prudential consolidation - Balance sheet and off-balance sheet exposure to banks: gross and net amounts

31 12 2018

Portfolio/quality	Gross exposure - Non-performing Exposures	Gross exposure - Performing Exposures	Porfolio adjustments	Net Esposures	Partial Write-off*
A. Balance-sheet exposure					
a) Bad loans	17,096	X	15,263	1,833	-
- of which forborne	-	X	-	-	-
b) Unlikely to pay	-	X	-	-	-
- of which forborne	-	X	-	-	-
c) Past-due Impaired exposures	-	X	-	-	-
- of which forborne	-	X	-	-	-
d) Past-due not impaired exposures	X	6,594	161	6,434	-
- of which forborne	X	-	-	-	-
e) Other assets not impaired	X	13,089,211	3,281	13,085,930	-
- of which forborne	X	2,766	5	2,760	-
Total A	17,096	13,095,805	18,705	13,094,197	-
B. Off-balance-sheet exposure					
a) Impaired	6,345	X	1,471	4,874	-
b) Not Impaired	X	6,506,673	2,148	6,504,525	-
Total B	6,345	6,506,673	3,619	6,509,399	-
Total (A+B)	23,441	19,602,478	22,324	19,603,596	-

* *Value to be presented for disclosure purposes*

At the reporting date for these financial statements, the table does not include purchased or originated impaired financial assets.

A.1.5 Prudential consolidation - Balance sheet and off-balance sheet exposure to customers: gross and net amounts

31 12 2018

Portfolio/quality	Gross exposure		Porfolio adjustments	Net Esposures	Partial Write-off*
	Non-performing Exposures	Performing Exposures			
A. Balance-sheet exposure					
a) Bad loans	8,584,135	X	5,360,052	3,224,082	129,832
- of which forborne	1,955,547	X	994,435	961,112	3,394
b) Unlikely to pay	8,065,701	X	3,550,539	4,515,163	134,153
- of which forborne	4,555,362	X	1,891,175	2,664,187	129,006
c) Past due impaired exposures	177,549	X	32,538	145,011	100
- of which forborne	11,209	X	2,128	9,082	-
d) Past-due not impaired exposures	X	1,337,754	47,972	1,289,782	31
- of which forborne	X	111,886	9,778	102,108	-
e) Other assets not impaired	X	94,672,948	620,366	94,052,581	2,106
- of which forborne	X	2,083,426	164,212	1,919,215	1,377
Total A	16,827,385	96,010,702	9,611,467	103,226,619	266,222
B. Off-balance-sheet exposure					
a) Impaired	1,818,884	X	221,800	1,597,084	-
b) Not Impaired	X	44,626,953	57,002	44,569,951	-
Total B	1,818,884	44,626,953	278,802	46,167,035	-
Total (A+B)	18,646,269	140,637,655	9,890,269	149,393,654	266,222

* *Value to be presented for disclosure purposes*

Please see the Report on operations for quantification of and reporting on capital ratios for coverage of lending relationships.

For the detailed disclosure on originated impaired financial assets, please refer to Section 1 “Credit risk - Qualitative information” in the Notes to the consolidated financial statements.

A.1.6 Prudential consolidation - Balance-sheet exposure to banks: changes in gross non-performing loans

31 12 2018

Source/Categories	Bad loans	Unlikely to pay	Non-performing Past due
A. Gross exposure, opening balance	**17,234**	**9**	**-**
- of which: transferred but not derecognised	-	-	-
B. Increases	**118**	**-**	**-**
B.1 Transfers from performing loans	-	-	-
B.2 Transfers from purchased or originated credit impaired financial assets	-	-	-
B.3 Transfers from other impaired loans	-	-	-
B.4 Modification gains/losses	-	-	-
B.3 Other increases	118	-	-
C. Decreases	**256**	**9**	**-**
C.1 transfers to performing loans	-	-	-
C.2 write-offs	32	-	-
C.3 collections	224	9	-
C.4 amounts realised upon disposal of positions	-	-	-
C.5 Losses from disposal	-	-	-
C.6 transfers to other categories of impaired exposure	-	-	-
C.7 Modification gains/losses	-	-	-
C.8 other decreases	-	-	-
D. Gross exposure, closing balance	**17,096**	**-**	**-**
- of which: transferred but not derecognised	-	-	-

* *The initial balance includes the effects of first-time adoption of the new IFRS 9 and IFRS 15 as at 1 January 2018, described in the paragraph "Transition to the IFRS 9 and IFRS 15 accounting standards".*

At the reporting date, there are no impaired financial assets purchased during the year through either business combination transactions or other types of acquisitions.

A.1.6bis Prudential consolidation - Balance sheet exposure to banks: changes in gross forborne exposures by credit quality

31 12 2018

Source/Categories	Non performing forborne exposures	Performing forborne exposures
A. Goss esposure, opening balance	**-**	**2,783**
- of which: transferred but not derecognised	-	-
B.Increases	**-**	**-**
B.1 Transfers from performing loans	-	-
B.2 Transfers from performing forborne esposures	-	X
B.3 Transfers from Non-performing forborne esposures	X	-
B.4 Other increases	-	-
C. Decreases	**-**	**17**
C.1 Transfers to performing loans	X	-
C.2 Transfers to performing forborne exposures	-	X
C.3 Transfers to non-performing forborne exposures	X	-
C.4 Write-offs	-	-
C.5 Collections	-	-
C.6 Amounts realised upon disposal of positions	-	-
C.7 Losses from disposal	-	-
C.8 Other decreases	-	17
D.Gross exposure, closing balance	**-**	**2,766**
- of which: transferred but not derecognised	-	-

A.1.7 Prudential consolidation - Balance-sheet exposure to customers: changes in gross non-performing loans

31 12 2018

Source/Categories	Bad loans	Unlikely to pay	Non-performing Past due
A. Gross exposure, opening balance	**31,045,590**	**11,450,425**	**488,849**
- of which: transferred but not derecognised	517,398	130,362	92,298
B. Increases	**2,359,071**	**1,910,102**	**203,718**
B.1 Transfers from performing loans	263,546	1,249,914	156,817
B.2 Transfers from purchased or originated credit impaired financial assets	-	-	-
B.3 Transfers from other impaired loans	1,820,227	190,237	3,399
B.4 Modification gains/losses	4	938	9
B.5 other increases	275,294	469,013	43,493
C. Decreases	**24,820,526**	**5,294,826**	**515,018**
C.1 transfers to performing loans	8,685	623,980	65,476
C.2 write-offs	78,403	259,664	27,275
C.3 collections	464,963	1,086,402	95,528
C.4 amounts realised upon disposal of positions	4,558,510	594,619	12,441
C.5 Losses from disposal	191	53,671	-
C.6 transfers to other categories of impaired exposure	11,539	1,760,807	241,517
C.7 Modification gains/losses	11	10,057	158
C.8 other decreases	19,698,224	905,626	72,623
D. Gross exposure, closing balance	**8,584,135**	**8,065,701**	**177,549**
- of which: transferred but not derecognised	325,724	76,307	2,272

** The initial balance includes the effects of first-time adoption of the new IFRS 9 and IFRS 15 as at 1 January 2018, described in the paragraph "Transition to the IFRS 9 and IFRS 15 accounting standards".*

Line C.8 "Other decreases", for the columns "Bad loans" and "Unlikely to pay", is primarily comprised of impaired exposures sold during 2018.

At the reporting date, there are no impaired financial assets purchased during the year through either business combination transactions or other types of acquisitions.

A.1.7bis Prudential consolidation - Balance sheet exposure to customers: changes in gross forborne exposures by credit quality

31 12 2018

Source/Categories	Non performing forborne exposures	Performing forborne exposures
A. Goss esposure, opening balance*	**9,286,113**	**2,465,793**
- of which: transferred but not derecognised	291,126	80,857
B. Increases	**1,493,403**	**1,287,914**
B.1 Transfers from performing loans	**198,720**	**591,251**
B.2 Transfers from performing forborne esposures	337,123	X
B.3 Transfers from Non-performing forborne esposures	X	470,776
B.4 Other increases	**957,560**	**225,887**
C. Decreases	**4,257,398**	**1,558,395**
C.1 Transfers to performing loans	X	692,776
C.2 Transfers to performing forborne exposures	490,981	X
C.3 Transfers to non-performing forborne exposures	X	337,123
C.4 Write-offs	251,674	131
C.5 Collections	936,089	416,326
C.6 Amounts realised upon disposal of positions	892,737	-
C.7 Losses from disposal	33,467	-
C.8 Other decreases	**1,652,450**	**112,039**
D. Gross exposure, closing balance	**6,522,118**	**2,195,312**
- of which: transferred but not derecognised	290,535	42,378

** The initial balance includes the effects of first-time adoption of the new IFRS 9 and IFRS 15 as at 1 January 2018, described in the paragraph "Transition to the IFRS 9 and IFRS 15 accounting standards".*

Line B.4 "Other increases" includes EUR 349.5 mln in the "Non-performing forborne exposures" column relating to non-performing credit exposures at the start of the year which were subjected to forbearance measures during the year.

Line C.8 "Other decreases" includes EUR 1.5 bn in the "Non-performing forborne exposures" column relating to exposures sold during the year.

A.1.8 Prudential consolidation - Non-performing balance-sheet exposure to banks: changes in overall value adjustments

31 12 2018

Source/Categories	Bad loans		Unlikely to pay		Non-performing Past due	
	Total	*of which: forborne*	Total	*of which: forborne*	Total	*of which: forborne*
A. Opening balance of overall adjustments*	**15,245**	**-**	**1**	**-**	**-**	**-**
- of which: transferred but not derecognised	-	-	-	-	-	-
B. Increases	**1,795**	**-**	**-**	**-**	**-**	**-**
B.1 Net impairment of purchased or originated financial assets	-	X	-	X	-	X
B.2 Other value adjustments	1,795	-	-	-	-	-
B.3 Loss from disposal	-	-	-	-	-	-
B.4 Transfers from other categories of impaired exposures	-	-	-	-	-	-
B.5 Modification gains/losses	-	X	-	X	-	X
B.6 Other increases	-	-	-	-	-	-
C. Decreases	**1,777**	**-**	**1**	**-**	**-**	**-**
C.1 Write-backs from valuation	1,520	-	1	-	-	-
C.2 Write-backs from collection	224	-	-	-	-	-
C.3 Profit from disposal	-	-	-	-	-	-
C.4 Write-offs	32	-	-	-	-	-
C.5 Transfers to other categories of impaired exposure	-	-	-	-	-	-
C.6 Modification gains/losses	-	X	-	X	-	X
C.7 Other decreases	1	-	-	-	-	-
D. Closing balance of overall adjustments	**15,263**	**-**	**-**	**-**	**-**	**-**
- of which: transferred but not derecognised	-	-	-	-	-	-

** The initial balance includes the effects of first-time adoption of the new IFRS 9 and IFRS 15 as at 1 January 2018, described in the paragraph "Transition to the IFRS 9 and IFRS 15 accounting standards".*

At the reporting date, there are no impaired financial assets purchased during the year through either business combination transactions or other types of acquisitions.

A.1.9 Prudential consolidation - Non-performing balance-sheet exposure to customers: changes in overall value adjustments

31 12 2018

Source/Categories	Bad loans		Unlikely to pay		Non-performing Past due	
	Total	*of which: forborne*	Total	*of which: forborne*	Total	*of which: forborne*
A. Opening balance of overall adjustments*	**24,092,187**	**1,813,009**	**5,080,825**	**2,583,256**	**156,846**	**7,149**
- of which: transferred but not derecognised	339,414	142,129	45,104	6,452	32,991	114
B. Increases	**1,746,164**	**415,595**	**1,677,067**	**1,028,707**	**80,709**	**2,793**
B.1 Net impairment of purchased or originated financial assets	6	X	353	X	-	X
B.2 Other value adjustments	876,528	225,321	1,104,296	545,744	45,399	1,281
B.3 Loss from disposal	191	-	53,671	33,467	-	-
B.4 Transfers from other categories of impaired exposures	853,269	175,286	45,624	94,651	356	137
B.5 Modification gains/losses	1	X	4,847	X	24	X
B.6 Other increases	16,169	14,988	468,276	354,845	34,930	1,375
C. Decreases	**20,478,299**	**1,234,169**	**3,207,353**	**1,720,788**	**205,016**	**7,814**
C.1 Write-backs from valuation	922,425	85,460	450,934	349,721	33,116	3,952
C.2 Write-backs from collection	170,339	31,906	177,639	159,828	100	-
C.3 Profit from disposal	1,598	1,237	54,948	36,127	-	-
C.4 Write-offs	78,381	7,780	259,664	168,794	27,275	109
C.5 Transfers to other categories of impaired exposure	3,184	788	843,358	178,810	52,707	3,081
C.6 Modification gains/losses	10	X	2,377	X	19	X
C.7 Other decreases	19,302,362	1,106,998	1,418,433	827,508	91,799	672
D. Closing balance of overall adjustments	**5,360,052**	**994,435**	**3,550,539**	**1,891,175**	**32,539**	**2,128**
- of which: transferred but not derecognised	*174,942*	*156,834*	*27,522*	*4,961*	*458*	*20*

** The initial balance includes the effects of first-time adoption of the new IFRS 9 and IFRS 15 as at 1 January 2018, described in the paragraph "Transition to the IFRS 9 and IFRS 15 accounting standards".*

The amount of collections in 2018 for impaired balance-sheet exposures to customers classified as NPE (other than bad loans) is equal to EUR 1.2 bn (see Table A.1.9), of which 11.7% related to repayments on accrued interest. Furthermore, note that EUR 610 mln was forfeited during 2018 following disposal transactions.

In reference to impaired exposures classified as bad loans, judicial collections were approximately half of total collections. Realisations for disposals of EUR 4.5 bn as at 31 December 2018 refer to collections following the deconsolidation of positions included in the maxi-securitisation of bad loans, which took place in June 2018, as well as the "Merlino" transaction concluded in December of that year.

At the reporting date, there are no impaired financial assets purchased during the year through either business combination transactions or other types of acquisitions.

Exposure to sovereign debt risk

Below are the net sovereign credit risk exposures in government bonds, loans and credit derivatives held by the Group as at 31 December 2018 pursuant to the criteria of the European Securities and Markets Authority (ESMA).

The exposures are broken down by accounting categories. For securities classified as "Financial assets measured at amortised cost" and "Loans", the book value (amortised cost) is also reported.

(EUR milion)

COUNTRY	DEBT SECURITIES					LOANS	CREDIT DERIVATIVES
	Financial assets measured at fair value through profit and loss		Financial assets measured at fair value through other comprehensive income		Financial assets measured at amortised cost	Financial assets measured at amortised cost	Financial assets held for trading
	Nominal	Fair value=book value	Nominal	Fair value=book value	Book value	Book value	Nominal
Argentine	0.2	-	-	-	-	-	-
Austria	0.1	0.1	-	-	-	-	-
Belgium	-	-	43.4	44.5	-	6.3	-
France	-	-	194.5	196.6	-	-	3.0
Germany	2.9	3.1	-	-	-	-	-
Greece	(0.1)	-	-	-	-	-	-
Italy	2,760.3	2,748.6	9,660.3	9,627.9	4,107.4	2,130.1	2,200.5
Portugal	-	-	10.0	11.5	-	-	-
Spain	1.4	1.6	379.5	381.5	210.3	-	(3.2)
United States	-	-	50.0	43.7	-	-	-
Total 31 12 2018	**2,764.9**	**2,753.4**	**10,337.7**	**10,305.7**	**4,317.7**	**2,136.4**	**2,200.3**
Total 31 12 2017*	**1,380.8**	**1,383.4**	**13,572.2**	**14,139.9**	**490.1**	**2,394.4**	**1,759.3**

** The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 9; in addition, the comparative data were reclassified on the basis of the new accounting statements set forth in the 5th update of Bank of Italy Circular 262.*

Details on the Group's exposure is presented taking into consideration that, according to instructions from the European Securities and Markets Authority (ESMA), "sovereign debt" is defined as bonds issued by central and local Governments and by government Entities, as well as loans disbursed to aforementioned entities.

These financial instruments were measured according to the standards applicable to the category to which they belong.

The overall exposure to loans and debt securities amounted to approx. EUR 19,513.2 mln, almost entirely in Italian debt, and is concentrated in the portfolio of financial assets measured at fair value through other comprehensive income. Exposures to Italy are nearly exclusively level 1, with the exception of EUR 570 mln under level 2, attributable for EUR 463 mln to government bonds.

Following are the details of reserves on securities measured at fair value through other comprehensive income and of Italian credit derivatives (in EUR/mln):

Financial assets measured at fair value through other comprehensive income: Italy	31 12 2018	31 12 2017*
Book value	9,627.9	13,465.1
O.C.I reserve (after tax)	(130.1)	(59.8)
of which: hedging effect (after tax)	(122.0)	60.8

** The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 9; in addition, the comparative data were reclassified on the basis of the new accounting statements set forth in the 5th update of Bank of Italy Circular 262.*

Credit derivatives - Italy	31 12 2018	31 12 2017
Purchase of protection		
Nominal	(268.7)	(268.3)
Positive fair value	14.4	9.2
Negative fair value	-	(0.1)
Sale of protection	-	-
Nominal	2,469.2	2,027.8
Positive fair value	-	-
Negative fair value	(56.7)	(18.4)

A.2 Classification of exposure by external and internal ratings

A.2.1 Prudential consolidation – Distribution of financial assets, commitments to disburse funds and financial guarantees given by external rating (gross values)

Esposures	External rating classes						No Rating	Total 31 12 2018
	Class 1	Class 2	Class 3	Class 4	Class 5	Class 6		
A. Financial assets measured at amortised cost	708,759	3,911,963	5,379,650	772,175	586,986	58,429	95,355,360	106,773,322
- Stage 1	706,816	3,711,864	5,051,787	750,828	457,826	-	67,829,041	78,508,162
- Stage 2	1,943	151,896	327,858	21,276	51,984	-	12,839,953	13,394,910
- Stage 3	-	48,203	5	71	77,176	58,429	14,686,366	14,870,250
B. Fiancial assets measured at fair value through other comprehensive income	314,203	347,590	9,599,054	165,004	13,054	10,701	(546)	10,449,060
- Stage 1	314,203	347,590	9,599,054	157,774	12,782	-	(552)	10,430,851
- Stage 2	-	-	-	7,230	272	-	6	7,508
- Stage 3	-	-	-	-	-	10,701	-	10,701
Total (A+B)	1,022,962	4,259,553	14,978,704	937,179	600,040	69,130	95,354,814	117,222,382
of which: purchased or originated impaired financial assets	-	-	-	-	-	-	*76,794*	*76,794*
C. Commitments to disburse funds and financial guarantees issued	553,267	1,558,196	1,474,750	1,350,533	334,150	60,059	39,999,245	45,330,200
- Stage 1	553,267	1,558,196	1,471,781	1,350,479	133,318	154	36,992,888	42,060,083
- Stage 2	-	-	2,969	54	4,812	-	1,440,441	1,448,276
- Stage 3	-	-	-	-	196,020	59,905	1,565,916	1,821,841
Total (A+B+C)	1,576,229	5,817,749	16,453,454	2,287,712	934,190	129,189	135,354,059	162,552,582

class 1=AAA/AA- class 2=A+/A- class 3=BBB+/BBB- class 4=BB+/BB- class 5=B+/B- class 6=lower than B-

The external rating categories used to complete the table are from Standard & Poor's. The exposures shown are those reported in Tables A.1.3 (exposures to banks) and A.1.6 (exposures to customers) above, in addition to units of UCITS. If multiple external ratings are assigned, the rating is selected based on Bank of Italy's criteria (when two ratings are available, the lower of the two is used, and when three or more ratings are assigned, the second highest rating is selected). To ensure relevance of information, internal cross-reference tables were used to convert classification by various rating agencies into classification by Standard & Poor's.

As at 31 December 2018, the Group had outstanding trade receivables of EUR 21 mln, for which the Group did not use external ratings.

A.2.2 Prudential consolidation – Distribution of financial assets, commitments to disburse funds and financial guarantees given by internal rating (gross values)

Exposures	Internal rating classes							No rating	Total 31 12 2018
	High quality	Average quality	Fair quality	Mediocre quality	Poor quality	Default	Group administrative default		
A. Financial assets measured at amortised cost	8,835,240	19,173,579	26,691,071	10,034,992	880,931	14,749,578	65,860	26,342,071	106,773,322
- Stage 1	8,790,173	18,411,334	23,201,958	2,415,310	1,917	2	2	25,687,466	78,508,162
- Stage 2	45,067	761,512	3,483,641	7,593,509	879,014	34,443	65,858	531,866	13,394,910
- Stage 3	-	733	5,472	26,173	-	14,715,133	-	122,739	14,870,250
B. Fiancial assets measured at fair value through other comprehensive income	23,272	58,122	198,177	-	-	10,701	-	10,158,788	10,449,060
- Stage 1	23,272	58,122	194,706	-	-	-	-	10,154,751	10,430,851
- Stage 2	-	-	3,471	-	-	-	-	4,037	7,508
- Stage 3	-	-	-	-	-	10,701	-	-	10,701
Total (A+B)	8,858,512	19,231,701	26,889,248	10,034,992	880,931	14,760,279	65,860	36,500,859	117,222,382
of which: purchased or originated impaired financial assets	-	-	-	*14,263*	*156*	*62,375*	-	-	*76,794*
C. Commitments to disburse funds and financial guarantees issued	7,740,814	11,233,388	11,626,390	2,565,852	85,725	1,822,938	6,908	10,248,185	45,330,200
- Stage 1	7,705,356	11,142,405	11,007,894	1,943,609	42,952	4,039	6,295	10,207,533	42,060,083
- Stage 2	35,458	90,216	618,455	622,198	42,773	249	613	38,314	1,448,276
- Stage 3	-	767	41	45	-	1,818,650	-	2,338	1,821,841
Total (A+B+C)	16,599,326	30,465,089	38,515,638	12,600,844	966,656	16,583,217	72,768	46,749,044	162,552,582

High Quality customers (Master Scale categories AAA and A1) Good Quality Customers (Master Scale categories A2, A3 and B1) Fair Quality customers (Master Scale categories B2, B3, C1 and C2) Mediocre Quality customers (Master Scale categories C3, D1, D2 and D3) Poor Quality customers (Master Scale categories E1, E2 and E3)

The table provides a breakdown of customers of the MPS Group by risk categories assigned on the basis of ratings arising from internal models. For this purpose, account is given only of exposures (borrowers) for which an internal rating is periodically recorded for models/legal entities/portfolios which have been subject to a validation process with the regulatory authorities without any cross-reference from official ratings to internal ratings especially with regard to the following customer segments: “Banks,” “Non-banking financial institutions,” and “Governments and Public Administration”. Thus, based on this provision, exposures related to the latter segments, even if covered by official ratings, were reported as “unrated” in the internal rating models.

As at 31 December 2018, the Group had outstanding trade receivables of EUR 21 mln. With regard to these receivables, the Group valued the defined loss coverage provision with the simplified method, assigning to the counterparties a benchmark rating (C2), equivalent to the average rating of the AIRB portfolio and a loss rate of 45%.

A.3 Breakdown of secured exposures by type of collateral

A.3.1 Prudential consolidation - Balance sheet and off-balance sheet exposure to banks

			Real guarantees				Personnel guarantees									
							Credit derivatives					Unsecured signature loans				
								Other derivatives								
	Gross exposures	Net exposures	Real estate mortgages	Real estate leasing	Securities	Other collaterals	CLN	Central counterparties	Banks	Other financial entities	Other entities	Public Entities	Banks	Other financial entities	Other entities	Total real and personnel guarantees
1. Secured balance-sheet exposures	837,921	837,849	1,193	-	832,392	-	-	-	-	-	-	-	95	-	24	833,704
1.1 totally secured	834,870	834,798	1,193	-	832,392	-	-	-	-	-	-	-	-	-	16	833,601
- of which non-performing	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
1.2 Partially secured	3,051	3,051	-	-	-	-	-	-	-	-	-	-	95	-	8	103
- of which non-performing	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
1. Secured off-balance sheet exposures	522,506	522,505	-	-	48,276	442,154	-	-	-	-	-	-	92	-	-	490,522
1.1 totally secured	160,195	160,195	-	-	48,276	111,853	-	-	-	-	-	-	67	-	-	160,196
- of which non-performing	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
1.2 Partially secured	362,311	362,310	-	-	-	330,301	-	-	-	-	-	-	25	-	-	330,326
- of which non-performing	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-

In addition to secured balance-sheet exposures to banks, the table shows the amount of off-balance-sheet exposures, including derivative contracts with banks, which are fully or partially secured. As regards personal guarantees, the economic segments to which guarantors and sellers of protection belong (in the case of unsecured loans and credit derivatives, respectively) are identified making reference to the classification criteria provided for in the brochure "classification of customers by segments and groups of economic activity" published by the Bank of Italy.

Exposures are classified as either "fully secured" or "partially secured" by comparing the gross exposure with the amount of the guarantee established in the contract; for that purpose, any supplemental guarantees are also considered.

The fair value of collaterals estimated as at the balance sheet date is shown in the columns "Real guarantees" and "Personal guarantees"; if such information is not available, the contractual value is reported. Both values cannot be higher than the book value of secured exposures, in line with the 5th update of Bank of Italy circular 262.

A.3.2 Prudential consolidation - Secured balance sheet and off-balance sheet exposure to customers

	Gross Exposure	Net Exposure	Real Guarantees				Personal guarantees									Total real and personnel guarantees 31 12 2018
							Credit derivatives					Unsecured signature loans				
								Other derivatives								
			Real estate mortgages	Real estate leasing	Securities	Other collaterals	CLN	Central couterparites	Banks	Other financial entites	Other entities	Public entitis	Banks	Other financial entites	Other entities	
1. Secured balance-sheet exposures:	66,367,848	60,016,421	41,212,665	2,312,322	4,093,182	1,708,869	-	-	-	-	-	1,063,026	2,866	563,802	7,901,152	58,857,884
1.1 Totally secured	63,102,957	57,627,881	57,627,881	40,984,861	2,312,322	1,610,481	-	-	-	-	-	643,735	2,132	429,714	7,491,615	57,407,498
- of which non performing	*10,705,657*	*5,701,756*	*5,701,756*	*4,183,804*	*404,544*	*130,402*	-	-	-	-	-	*116,742*	*930*	*80,822*	*707,034*	*5,660,671*
1.2 Partially secured	3,264,891	2,388,540	2,388,540	227,804	-	98,388	-	-	-	-	-	419,291	734	134,088	409,537	1,450,386
- of which non performing	*1,242,781*	*407,382*	*407,382*	*150,653*	-	*4,902*	-	-	-	-	-	*10,848*	*62*	*19,545*	*123,724*	*338,931*
2. Secured off-balance sheet exposures:	14,826,219	14,739,258	14,739,258	317,666	24,137	1,351,681	-	-	-	-	-	45,787	53,356	87,033	6,121,438	14,147,489
2.1 Totally secured	13,481,102	13,395,971	13,395,971	314,391	24,084	1,000,524	-	-	-	-	-	29,240	53,109	57,263	5,683,100	13,274,240
- of which non performing	*530,725*	*449,724*	*449,724*	*153,164*	*1,865*	*2,707*	-	-	-	-	-	*1,249*	*52,777*	*1,637*	*226,709*	*445,985*
2.2 Partially secured	1,345,117	1,343,287	1,343,287	3,275	53	351,157	-	-	-	-	-	16,547	247	29,770	438,338	873,249
- of which non performing	*58,653*	*57,498*	*57,498*	*980*	-	*2,204*	-	-	-	-	-	*487*	*188*	*1,045*	*41,043*	*47,524*

In addition to balance-sheet exposures to customers, the table shows the amount of off-balance-sheet exposures, including derivative contracts with customers, which are fully or partially secured. As regards personal guarantees, the economic segments to which guarantors and sellers of protection belong (in the case of unsecured loans and credit derivatives, respectively) are identified making reference to the classification criteria provided for in the brochure “classification of customers by segments and groups of economic activity” published by the Bank of Italy. Exposures are classified as either “fully secured” or “partially secured” by comparing the gross exposure with the amount of the guarantee established in the contract; for that purpose, any supplemental guarantees are also considered.

The fair value of collaterals estimated as at the balance sheet date is shown in the columns “Real guarantees” and “Personal guarantees”; if such information is not available, the contractual value is reported. Both values cannot be higher than the book value of secured exposures, in line with the 5th update of Bank of Italy circular 262.

A.4 Prudential consolidation – Financial and non-financial assets obtained through enforcement of guarantees received

	Derecognised credit exposure	Gross Value	Overall value adjustments	Book value	
					of which: obtained during the year
A. Tangible assets	37,138	34,375	11,985	22,390	*750*
A.1. Used in the business	-	-	-	-	-
A.2. Held for investments	35,272	33,013	11,985	21,028	-
A.3. Inventories	1,866	1,362	-	1,362	*750*
B. Equity instruments and Debt securities	-	-	-	-	-
C. Other assets	-	-	-	-	-
D. Non current assets and group of assets held for sale	-	-	-	-	-
D.1. Tangibel assets	-	-	-	-	-
D.2. Other assets	-	-	-	-	-
Total 31 12 2018	**37,138**	**34,375**	**11,985**	**22,390**	***750***

The “Financial and non-financial assets obtained through enforcement of guarantees received” shown in the table above include assets:

- purchased in judicial auctions of real estate owned companies (REOCOs) consolidated for prudential purposes;
- resulting from non-redemption of assets in leasing and termination of non-performing finance lease contracts contributed by the subsidiary MPS Leasing & Factoring S.p.A.;
- from the subsidiary MPS Capital Services S.p.A. following “acceptance in return”.

B. Breakdown and concentration of credit exposure

B.1 Prudential consolidation - Breakdown of on- and off-balance sheet exposures to customers by business segment

Exposure/ Customers	Public entities		Financial companies		Financial companies: of which insurance companies		Non-financial companies		Families	
	Net exposure	Portfolio adjustments	Net exposure	Portfolio adjustments	Net exposure	Portfolio adjustments	Net exposure	Portfolio adjustments	Net exposure	Portfolio adjustments
A. Balance-sheet exposure										
A.1 Bad loans	49	3,176	32,420	158,304	-	-	2,001,410	4,098,389	1,190,203	1,100,183
- of which forborne	-	-	2,548	11,196	-	-	588,851	802,403	369,713	180,836
A.2 Unlikely to pay	118,534	121,935	157,206	202,694	3	-	3,381,012	2,834,753	858,408	391,157
- of which forborne	-	-	121,594	158,475	-	-	2,123,529	1,592,117	419,064	140,583
A.3 Past-due Impaired	2,091	1,593	1,976	1,163	-	-	44,521	11,922	96,423	17,860
- of which forborne	-	-	26	7	-	-	2,840	1,019	6,215	1,102
A.4 Other Performing exposures	21,371,545	16,642	8,572,826	14,265	82,586	-	32,335,937	492,543	33,062,055	144,888
- of which forborne	7,290	127	43,932	2,543	-	-	1,223,613	124,227	746,487	47,093
Total A	21,492,219	143,346	8,764,428	376,426	82,589	-	37,762,880	7,437,607	35,207,089	1,654,088
B. Off-balance-sheet exposures										
B.1 Impaired	120,186	-	9,781	263	-	-	1,423,786	216,567	43,331	4,970
B.2 Not impaired	6,355,159	33	8,491,400	(4,064)	39,619	-	26,824,261	58,192	2,883,013	2,842
Total B	6,475,345	33	8,501,181	(3,801)	39,619	-	28,248,047	274,759	2,926,344	7,812
Total (A+B)31 12 2018	27,967,564	143,379	17,265,609	372,625	122,208	-	66,010,927	7,712,366	38,133,433	1,661,900
Total (A+B)31 12 2017*	25,188,852	102,427	10,621,849	797,439	467,947	4	57,359,904	26,310,074	30,435,749	3,213,285

** The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 9; in addition, the comparative data were reclassified on the basis of the new accounting statements set forth in the 5th update of Bank of Italy Circular 262.*

B.2 Prudential consolidation - Breakdown of on- and off-balance-sheet exposures to customers by geographic area

Exposure/Geographic Areas	ITALY		OTHER EUROPEAN COUNTRIES		AMERICA		ASIA		REST OF THE WORLD	
	Net esposure	Overall value adjustments	Net esposure	Overall value adjustments	Net esposure	Overall value adjustments	Net esposure	Overall value adjustments	Net esposure	Overall value adjustments
A. Balance-sheet esposures										
A.1 Doubtful loans	3,177,034	5,175,791	46,001	161,884	644	10,374	100	11,721	303	282
A.2 Ulikely to pay	4,479,402	3,515,157	34,402	25,403	116	91	1,124	9,366	119	522
A.3 Past-due Impaired	126,340	32,199	17,383	230	220	104	396	4	672	1
A.4 Other performing exposures	92,069,879	664,577	2,864,802	2,923	274,582	402	123,773	408	9,327	28
Total A	99,852,655	9,387,724	2,962,588	190,440	275,562	10,971	125,393	21,499	10,421	833
B. Off-balance-sheet exposures										
B.1 Doubtful loans	1,590,741	221,621	6,327	179	16	-	-	-	-	-
B.2 Substandard loans	42,247,596	56,573	2,173,565	405	93,274	2	36,290	22	3,108	1
Total B	43,838,337	278,194	2,179,892	584	93,290	2	36,290	22	3,108	1
Total (A+B) 31 12 2018	143,690,992	9,665,918	5,142,480	191,024	368,852	10,973	161,683	21,521	13,529	834
Total (A+B) 31 12 2017	118,046,941	30,905,403	5,244,428	227,219	544,441	9,891	215,164	16,190	23,327	5,191

B.3 Prudential consolidation - Breakdown of on- and off-balance-sheet exposures to banks by geographic area (book values)

Exposure/Geographic Areas	ITALY		OTHER EUROPEAN COUNTRIES		AMERICA		ASIA		REST OF THE WORLD	
	Net esposure	Overall value adjustments	Net esposure	Overall value adjustments	Net esposure	Overall value adjustments	Net esposure	Overall value adjustments	Net esposure	Overall value adjustments
A. Balance-sheet esposures										
A.1 Doubtful loans	-	-	1,671	2,937	101	12,190	-	-	61	136
A.2 Ulikely to pay	-	-	-	-	-	-	-	-	-	-
A.3 Past-due Impaired	-	-	-	-	-	-	-	-	-	-
A.4 Other performing exposures	10,107,650	1,436	2,584,287	1,215	253,526	436	81,902	322	64,999	33
Total A	10,107,650	1,436	2,585,958	4,152	253,627	12,626	81,902	322	65,060	169
B. Off-balance-sheet exposures										
B.1 Doubtful loans	-	-	1	-	4,873	1,471	-	-	-	-
B.2 Substandard loans	576,084	28	1,488,707	675	780,212	239	2,112,538	403	589,958	802
Total B	576,084	28	1,488,708	675	785,085	1,710	2,112,538	403	589,958	802
Total (A+B) 31 12 2018	10,683,734	1,464	4,074,666	4,827	1,038,712	14,336	2,194,440	725	655,018	971
Total (A+B) 31 12 2017	8,691,289	401	3,064,362	7,616	459,900	23,971	197,101	990	167,365	2,011

B.4 Large exposures

Item/Amount	31 12 2018	31 12 2017
a) Book value	68,172,323	45,996,695
b) Weighted value	4,180,033	4,534,114
c) Number	10	11

Regulations provide for positions to be defined as "large exposures" by making reference to credit-risk unweighted exposures.

An exposure is deemed as a "large exposure" when its amount is equal to or greater than 10% of Regulatory capital.

The accounting treatment envisaged in governing regulations - CRR art. 400 (1)j - for transactions with central counterparties, which is the primary reason for the increase in item “a) Book value”, provides for the exclusion of the weighted value of: i) trading exposures, ii) contributions to guarantee funds with these counterparties, and iii) reductions on exposures due to collateral received.

Pursuant to the afore-mentioned regulations, exposures in government securities were also included.

C. Securitisation transactions

Qualitative information
Structures, processes and goals

In keeping with the organisational model established at Group level for the governance and management of risks, securitisation risk is governed by a specific Group internal directive.

The Parent Company's Structural Liquidity Service establishes general practices and coordinates activities in relation to securitisation transactions. The criteria and rules for managing securitisation transactions are instead determined by the Credit Portfolio Governance Area.

More specifically, for the securitisation of performing loans, the Credit Servicing and Securitised PE Portfolio Service, within the Credit Portfolio Governance Area, is responsible for establishing operational guidelines and general practices. For this purpose, it looks after related aspects and obligations associated with servicing activities and monitors the performance of existing transactions through monthly and quarterly reports on collections of remaining principal, positions in arrears and disputed positions arising from securitisation transactions. The same Service prepares the summary statements containing the data of the portfolio sold and, as part of critical situation management, it reports cases that may pose potential risks for noteholders to the relevant functions in the organisation.

In its capacity as third-level control body, the Credit Audit Service uses sampling procedures to periodically validate:

- whether the degree of recoverability of loans sold is accurate and, as a result, whether the fair value of securities issued is appropriate;
- whether line checks assigned to the various units have been carried out and roles and responsibilities properly identified;
- the compliance of reporting/accounting procedures with current regulations in collaboration with other units, as necessary;
- the existence of any conflicts of interest with respect to noteholders; and compliance, on a sampling basis, with the obligations of Law 197/91, as amended.

For securitisations of non-performing loans, the servicing and debt collection performance control services are handled by market operators outside the Group.

Quantitative Information

C.1 Banking Group - Exposures arising from major own securitisation transactions broken down by type of securitised assets and type of exposure

31 12 2018

Quality of underlying assets/Exposures	Balance-sheet esposure						Guarantee issued						Lines of credit					
	Senior		Mezzanine		Junior		Senior		Mezzanine		Junior		Senior		Mezzanine		Junior	
	Gross exposure	Net exposure	Gross exposure	Net exposure	Gross exposure	Net exposure	Gross exposure	Net exposure	Gross exposure	Net exposure	Gross exposure	Net exposure	Gross exposure	Net exposure	Gross exposure	Net exposure	Gross exposure	Net exposure
A. Fully derecognised	3,649,053	(33,212)	235,289	(22,973)	32,780	1,680	-	-	-	-	-	-	-	-	-	-	-	-
Non-performing loans	2,756,795	952	42,208	447	29,780	1,872	-	-	-	-	-	-	-	-	-	-	-	-
Non residential mortages	892,258	(34,164)	193,081	(23,420)	3,000	(192)	-	-	-	-	-	-	-	-	-	-	-	-
B. Partially derecognised	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
C. Not derecognised	-	-	2,050,986	(46,803)	471,322	(5,310)	-	-	-	-	-	-	-	-	-	-	-	-
Mortgages Loans	-	-	8,827	(2,714)	16,514	(5,078)	-	-	-	-	-	-	-	-	-	-	-	-
Residential mortgages	-	-	1,432,016	(264)	98,879	-	-	-	-	-	-	-	-	-	-	-	-	-
Leasing	-	-	603,673	(43,283)	202,530	-	-	-	-	-	-	-	-	-	-	-	-	-
Shipping	-	-	6,470	(542)	153,399	(232)	-	-	-	-	-	-	-	-	-	-	-	-
Total	3,649,053	(33,212)	2,286,275	(69,776)	504,102	(3,630)	-	-	-	-	-	-	-	-	-	-	-	-
of which non-performing	*2,756,795*	*952*	*48,678*	*(95)*	*183,179*	*1,640*	-	-	-	-	-	-	-	-	-	-	-	-
Others	*892,258*	*(34,164)*	*2,237,597*	*(69,681)*	*320,923*	*(5,270)*	-	-	-	-	-	-	-	-	-	-	-	-

In relation to securitisation transactions with own underlying assets, the table indicates balance sheet exposures, unsecured exposures, and other forms of 'credit enhancement'.

C.2 Prudential consolidation - Exposures arising from major 'third-party' securitisation transactions broken down by type of securitised asset and type of exposure

31 12 2018

Type of securitised asset/Exposure	Balance-sheet exposure						Guarantees issued						Lines of credit					
	Senior		Mezzanine		Junior		Senior		Mezzanine		Junior		Senior		Mezzanine		Junior	
	Book value	write-downs/ write-backs	Book value	write-downs/ write-backs	Book value	write-downs / write-backs	Book value	write-downs / write-backs	Book value	write-downs / write-backs	Book value	write-downs / write-backs	Book value	write-downs / write-backs	Book value	write-downs / write-backs	Book value	write-downs / write-backs
Other assets	-	-	6,598	10	356	(2)	-	-	-	-	-	-	-	-	-	-	-	-
Consumer credit	29,990	(163)	21,905	(85)	35,801	(82)	-	-	-	-	-	-	-	-	-	-	-	-
Non performing loans	85,185	(3)	1,252	(1)	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Residential mortgages	108,749	(601)	35,543	(278)	30,938	(153)	-	-	-	-	-	-	-	-	-	-	-	-
Non residential mortgage	28,884	(73)	21,302	(31)	5,025	(17)	-	-	-	-	-	-	-	-	-	-	-	-
Total	252,808	(840)	86,600	(385)	72,120	(254)	-	-	-	-	-	-	-	-	-	-	-	-

The table indicates the exposures assumed by the Group in relation to each third-party securitisation transaction, and also reports the contractual type of assets sold. The column "Write-downs/write-backs" indicates the amount of any write-downs or write-backs during the year as well as depreciations and revaluations posted to the income statement or directly to equity reserves, in the case of securities in the portfolio "Financial assets measured at fair value through other comprehensive income".

C.3 Prudential consolidation - Stakes in special purpose securitisation vehicles

31 12 2018

Securitisation/Vehicle company name	Registered office	Consolidation	Assets			Liabilities		
			Credit	Debt securities	Other	Senior	Mezzanine	Junior
2017 Popolare Bari RMBS S.r.l.	Via V.Alfieri, 1 Conegliano (TV)	NO	614,161		16,349	464,059	58,264	92,516
A-Best Fifteen S.r.l.	Via V.Alfieri, 1 Conegliano (TV)	NO	977,712		49,000	911,000	73,000	31,000
Argo Mortgage 2 S.r.l.	Via Cassa di Risparmio, 15 Genova	NO	51,960			-	22,610	29,350
Arrow CMBS 2018 - 1	3 George's Dock IFSC Dublin 1	NO	292,743			154,800	137,900	400
Berica ABS 3 S.r.l.	Via Battaglione Framarin, 18 Vicenza	NO	524,786		11,575	255,710	93,900	115,012
BP Mortgages S.r.l.	Via Gustavo Fara, 26 Milano	NO	166,226		17,373	58,757	25,300	47,100
Citizen Irish Auto Rreceivables Trust 2017 Dac	3 George's Dock IFSC Dublin 1	NO	65,582		1,582	36,634	17,400	7,900
Cordusio RMBS Securitisation S.r.l. - Series 2006	Piazzetta Monte, 1 Verona	NO	225,881		2,544	90,743	141,700	10,688
Deco 2014-Tulip Dac	George's Quay Dublin 2	NO	97,215			27,422	52,872	5
Deco 2015-Harp Limited Dac	George's Quay Dublin 2	NO	38,451			-	20,075	18,281
Dilosk RMBS 1 Dac	16 Hume Street Dublin 2	NO	125,961		1,029	80,590	35,000	10,300
European Residential Loan Securitisation 2017-PL1 Dac	125 Old Broad Street London, EC2N 1AR	NO	618,960		12,534	247,606	367,825	100
European Residential Loan Securitisation 2018 - 1 Dac	Canada Square, Canary Wharf London, E14 5LB	NO	339,729		1,373	194,481	45,390	95,478
Fastnet Securities 12 Dac	3 George's Dock IFSC Dublin 1	NO	419,836		11,221	320,310	52,000	62,200
F-E Mortgages S.r.l.	Piazzetta Monte, 1 Verona	NO	103,269			14,683	59,000	7,630
Fino 1 Securitisation S.r.l.	Viale Luigi Majno, 45 Milano	NO	739,000		32,500	636,298	69,640	50,311
First Swiss Mobility 2017 1 Ag	Bellerivestrasse 201, 8008 Zurich	NO	292,839			237,199	14,642	13,133
Grand Canal Securities 2 Dac	Kilmore House, Park Lane Dublin 1	NO	479,777		6,112	198,661	67,809	218,961
Intesa Sec.3 S.r.l.	Via Monte di Pietà, 8 Milano	NO	155,079		45,000	-	72,900	72,900
Madeleine SPV S.r.l.	Via V.Alfieri, 1 Conegliano (TV)	NO	27,730		3,164	-	14,188	17,522
Marche M6 S.r.l.	Via V.Alfieri, 1 Conegliano (TV)	NO	1,086,265		34,010	585,741	-	496,566
Norma Spv S.r.l.	Via V.Alfieri, 1 Conegliano (TV)	NO	494,291		106	8,674	164,820	320,902
Pietra Nera Uno S.r.l.	Via V.Alfieri, 1 Conegliano (TV)	NO	403,810			210,000	173,600	20,210
Quarzo S.r.l.	Via Galleria Del Corso, 2 Milano	NO	899,987		3,735	747,000		153,000
Rural Hipotecario IX Fondo de Titulización de Activos	Lagasca,120 Madrid	NO	419,809		15,255	381,198	39,558	8,415
Sestante Finance S.r.l.	Via G. Negri, 10 Milano	NO	101,054			48,140	30,530	30,547
Siena Npl 2018 S.r.l.	Via Piemonte, 38 Roma	NO	4,171,871			2,752,431	847,600	565,000
Storm 2016-I B.V.	Prins Bernhardplein 200 Amsterdam, 1097 JB	NO	1,449,897		24,635	1,360,306	95,000	-
Tagus Sociedade de Titularizacao de Creditos S.A.	Rua Castilho, 20 Lisbona	NO	1,320,899		11,830	1,161,267	16,127	50,572
Taurus 2018-1 IT S.r.l.	Via V.Alfieri, 1 Conegliano (TV)	NO	341,654			224,297	117,387	
Towers CQ S.r.l.	Via A.Pestalozza, 12/14 Milano	NO	505,073		13,673	288,649	87,100	114,488
Voba n.5 S.r.l.	Via V.Alfieri, 1 Conegliano (TV)	NO	237,551		3,390	-	124,520	89,450
Voba n.7 S.r.l.	Via V.Alfieri, 1 Conegliano (TV)	NO	691,157		13,196	428,849	150,000	121,319
Casaforte S.r.l.	Via E.Duse, 53 Roma	YES	1,220,912		31,177	1,063,804		188,285
Siena Lease 2006 2 S.r.l.	Via V.Alfieri, 1 Conegliano (TV)	YES	800,656		44,421		634,456	210,621
Siena Mortagages 10-7 S.r.l.	Via V.Alfieri, 1 Conegliano (TV)	YES	1,672,044		197,173	840,154	817,600	211,463
Total			22,173,826	-	603,956	14,029,463	4,739,713	3,481,625

Liabilities of third-party securitisation transactions do not have the remaining items different from the financial instruments issued, including cumulative profit (loss) for the year.

C.4 Prudential consolidation - Non-consolidated special purpose securitisation vehicles

31 12 2018

Balance-sheet item/ Type of structured entity	Accounting Portfolio: Assets		Total Assets (A)	Accounting Portfolio: Liabilities		Total Liabilities (B)	Net book value (C=A-B)	Maximum exposure to loss (D)	Difference between exposure to loss and book value (E=D-C)
	Financial assets measured at amortised cost	Financial assets measured at fair value through other comprehensive income		Financial liabilities held for trading	Financial liabilities measured at amortised cost				
2017 Popolare Bari RMBS S.r.l.		38,941	38,941			-	38,941	38,941	-
A-Best Fifteen S.r.l.		1,778	1,778			-	1,778	1,778	-
Argo Mortgage 2 S.r.l.		6,822	6,822			-	6,822	6,822	-
Arrow CMBS 2018 - 1		19,000	19,000			-	19,000	19,000	-
Berica ABS 3 S.r.l.		11,220	11,220			-	11,220	11,220	-
BP Mortgages S.r.l.		5,686	5,686			-	5,686	5,686	-
Citizen Irish Auto Rreceivables Trust 2017 Dac		1,300	1,300			-	1,300	1,300	-
Cordusio RMBS Securitisation S.r.l. - Series 2006		975	975			-	975	975	-
Deco 2014-Tulip Dac		2,297	2,297			-	2,297	2,297	-
Deco 2015-Harp Limited Dac		6,007	6,007			-	6,007	6,007	-
Dilosk RMBS 1 Dac		2,008	2,008			-	2,008	2,008	-
European Residential Loan Securitisation 2017-PL1 Dac		16,755	16,755			-	16,755	16,755	-
European Residential Loan Securitisation 2018 - 1 Dac		1,855	1,855			-	1,855	1,855	-
Fastnet Securities 12 Dac		3,627	3,627			-	3,627	3,627	-
F-E Mortgages S.r.l.		2,128	2,128			-	2,128	2,128	-
Fino 1 Securitisation S.r.l.	62,877	18,861	81,738			-	81,738	81,738	-
First Swiss Mobility 2017 1 Ag		1,599	1,599			-	1,599	1,599	-
Grand Canal Securities 2 Dac		4,698	4,698			-	4,698	4,698	-
Intesa Sec.3 S.r.l.		24,200	24,200			-	24,200	24,200	-
Madeleine SPV S.r.l.		5,322	5,322			-	5,322	5,322	-
Marche M6 S.r.l.		30,308	30,308			-	30,308	30,308	-
Norma Spv S.r.l.	-	101,008	101,008		5,668	5,668	95,340	95,340	-
Pietra Nera Uno S.r.l.		18,980	18,980			-	18,980	18,980	-
Quarzo S.r.l.		5,000	5,000			-	5,000	5,000	-
Rural Hipotecario IX Fondo de Titulización de Activos		4,226	4,226			-	4,226	4,226	-
Sestante Finance S.r.l.		3,816	3,816			-	3,816	3,816	-
Siena Npl 2018 S.r.l.	2,747,555	71,988	2,819,543		-	-	2,819,543	2,819,543	
Storm 2016-I B.V.	10,052		10,052			-	10,052	10,052	
Tagus Sociedade de Titularizacao de Creditos S.A.	30,345		30,345			-	30,345	30,345	
Taurus 2018-1 IT S.r.l.	2,944		2,944			-	2,944	2,944	
Towers CQ S.r.l.	49,304		49,304			-	49,304	49,304	
Voba n.5 S.r.l.	12,611		12,611			-	12,611	12,611	
Voba n.7 S.r.l.	5,984		5,984			-	5,984	5,984	
Total	2,921,671	410,407	3,332,079	-	5,668	5,668	3,326,410	3,326,410	-

The table includes the interests held by the subsidiary MPS Capital Services S.p.A. and the Parent Company as described below:

- 2017 Popolare Bari RMBS S.r.l.: vehicle established on 17 May 2017 in the Italian Republic pursuant to article 3 of the Supervisory Law as a limited liability company with the name 2017 Popolare Bari RMBS Srl, tax code and VAT no. 04881030268. The issuer is registered in the Treviso-Belluno companies' register with number 04881030268 and in the register of vehicles held by the Bank of Italy pursuant to the regulation issued by the Bank of Italy on 7 June 2017 ("Provisions on disclosure and statistical obligations of companies involved in securitisation transactions") with no. 35362.3. The loans present in the vehicle's assets are Italian residential mortgages with a particular concentration in the Puglia region.

- A-Best Fifteen S.r.l.: (ABEST15 TV 17/18 SUB): vehicle established pursuant to Law no. 130/1999. Securitisation having the purchase of vehicles originated in Italy from FCA Bank S.p.A. as loan collateral.
- Argo Mortgage 2 S.r.l.: Securitisation of loans originated with 13,322 residential mortgages distributed throughout Italy. Originator: Banca Carige S.p.A.
- Arrow CMBS 2018 – 1 (ARWC18 A 18/30 TV, ARWC18 A2 18/30 TV and ARWC 1B-TV 18/30 SUB): securitisation having as collateral leasing on retail and office properties originated in France, Belgium and the Netherlands.
- Berica Abs 3 S.r.l.: vehicle established pursuant to Law no. 130/1999. Multi-originator securitisation (Banca Popolare di Vicenza and Banca Nuova S.p.A.), which entails the non-recourse transfer of performing loans consisting of residential mortgages in favour of parties residing in Italy.
- BP Mortgages S.r.l. (BPMO 1C-TV 07/43 SUB): vehicle established pursuant to Law no. 130/1999. Securitisation of residential voluntary performing mortgages distributed throughout Italy. Originator: Banco BPM S.p.A..
- Citizen Irish Auto Receivables Trust 2017 DAC: Vehicle established under Irish law. This is a portfolio of auto loans disbursed in Ireland.
- Cordusio RMBS Securitisation S.r.l. - Series 2006 (CORD 2C-TV 06/35 SUB): vehicle established pursuant to Law no. 130/1999. Securitisation of mortgages on performing residential buildings distributed throughout Italy. Originator: UniCredit S.p.A..
- Deco 2014-Tulip Dac (DECO14C 14/24 TV SUB and DECO-TV 14/24 SUB): vehicle established under Irish law. Securitisation having as collateral mainly retail and office loans originated in the Netherlands.
- Deco 2015-Harp Limited Dac (DECO15B TV 15/27 SUB): vehicle established under Irish law. Securitisation having as collateral mainly residential mortgages (71.8%) originated in Ireland.
- Dilosk RMBS No1 Designated Activity Company: portfolio including mortgages originated by ICS Building Society and secured by residential properties located in Ireland which were sold by the Bank of Ireland to Dilosk Funding No.1 Limited.
- European Residential Loan Securitisation 2017-PL1 Dac (ERLS A-TV 17/57, ERLS B 17/57 TV SUB and ERLS17 17/57 TV SUB): vehicle established under Irish law. Securitisation having as collateral residential mortgages originated in Ireland.
- European Residential Loan Securitisation 2018 - 1 Dac (ERLS18 A 18/61 TV): vehicle established under Irish law. Securitisation having as collateral a mix of performing and non-performing loans originated in Ireland.
- Fastnet Securities 12 DAC (FSTNT B 16/56 TV SUB): vehicle established under Irish law. Portfolio including mortgages originated by Permanent TSB plc and secured by residential properties located in Ireland.
- F-E Mortgages S.r.l. (FEMO 1C-TV 03/43 SUB): vehicle established pursuant to Law no. 130/1999. Securitisation of mortgages on performing residential buildings distributed throughout Italy. Originator: UniCredit S.p.A. (former FinecoBank S.p.A.).
- Fino 1 Securitisation S.r.l. (FINO CL A 17/45 TV): vehicle established pursuant to Law no. 130/1999. Securitisation of mortgage agreements, credit facilities and other technical forms of financing granted to natural and legal persons and classified as non-performing financial assets. Originator: UniCredit S.p.A. and Arena NPL ONE S.r.l..
- First Swiss Mobility 2017-2-AG: vehicle with loans disbursed in Switzerland in the form of auto loans and leases.
- Grand Canal Securities 2 DAC: the vehicle will make payments on Bonds through principal and interest payments deriving from a portfolio including mortgages originated by Irish Nationwide Building Society (Anglo Irish Bank, Irish Bank Resolution Corporation, Hill Samuel Irlanda Ltd, Scottish Legal Trustee Ltd, Irish Industrial Building Society and Irish Mutual Building Society) and Springboard Mortgages Limited for borrowers secured by real estate located in Ireland. There is also a small number of mortgage loans in the mortgage portfolio, for which foreclosure procedures have been completed in relation to the mortgaged properties.
- Intesa Sec.3 S.r.l. (INTS 3C TV 07/33 SUB): vehicle established pursuant to Law no. 130/1999. Securitisation of performing mortgages on residential buildings distributed throughout Italy. Originator: Intesa Sanpaolo S.p.A..

- Madeleine SPV S.r.l.: as set forth in article 2 of its by-laws, the objective of this vehicle is the acquisition of monetary receivables for the purpose of securitisations and the issue of securities backed by such assets. The Issuer has been established as a multi-use vehicle and as a result it may conduct securitisation transactions in addition to the Securitisation. The loans subject to the securitisation are fifth-of-salary-backed loans to Italian public and private employees.

- Marche M6 S.r.l.: vehicle established pursuant to Law no. 130/1999. Originator Banca Marche S.p.A. A portfolio of performing loans deriving from residential first mortgages.

- Norma SPV: on 1 July 2017, as part of a securitisation of non-performing loans, also originated by banks outside the MPS Group, Banca MPS and MPS Capital Services completed the sale of a portfolio of non-performing loans in the real estate and shipping sectors. The entire portfolio sold to the vehicle Norma SPV S.r.l. consisted of no. 19 loans equal to EUR 284.9 mln, of which:

  - no. 12 loans disbursed by Banca MPS for EUR 24.0 mln in the real estate sector and EUR 145.3 mln in the shipping sector;

  - no. 7 loans disbursed by MPS Capital Services for EUR 28.8 mln in the real estate sector and USD 86.8 mln in the shipping sector.

  As at 31 December 2018, the remaining debt balance of the portfolio originated by the MPS Group amounted to EUR 101.0 mln (including EUR 63.8 mln transferred by Banca MPS and EUR 37.2 mln by MPS Capital Services). To fund the acquisition of this portfolio, on 21 July 2017 the Vehicle issued Class A1, B, C and D ABS securities (the "securities") for the real estate sector and Class A1, B, C1, C2 and D ABS securities for the shipping sector. The senior classes of both the real estate and shipping transactions were placed with institutional investors, while the mezzanine and junior classes were subscribed by each transferring bank in proportion with the transferred loans. In particular, the MPS Group subscribed the following classes:

  - Real Estate: Class B for a nominal amount of EUR 31.2 mln; Class C for a nominal amount of EUR 4.2 mln; Class D for a nominal amount of EUR 15.8 mln.

  - Shipping: Class B for a nominal amount of EUR 75.5 mln; Class C1 for a nominal amount of EUR 32.7 mln; Class C2 for a nominal amount of EUR 10.4 mln; Class D for a nominal amount of EUR 105.6 mln.

  The placement of part of the notes did not entail the derecognition of the underlying assets from the balance sheet of the transferring Banks, which have substantially retained all risks and rewards associated with the ownership of the assets sold.

- Pietra Nera Uno S.r.l. (PNER1D TV 18/30 SUB, PNERA 1 A 18/30 TV, PNERA 1 B-TV 18/30 and PNERA1E TV 18/30 SUB): vehicle established pursuant to Law no. 130/1999. The subject loans of the securitisation are commercial loans linked to a number of Italian outlets. Originator: BRE/Europe 7 NQ S.à r. l..

- Quarzo S.r.l. (QUARZ A18/35 TV): vehicle established pursuant to Law no. 130/1999. Securitisation having as collateral performing consumer credit contracts originated in Italy. Originator: Compass Banca S.p.A..

- Rural Hipotecario IX Fondo de Titulización de Activos (RHIPO A3-TV 07/50): vehicle established under Spanish law. Multi-originator securitisation having as collateral residential mortgages disbursed in Spain.

- Sestante Finance S.r.l. is a limited liability company incorporated in the Italian Republic pursuant to article 3 of Italian Law no. 130 of 30 April 1999 (Provisions on loan securitisations). The Issuer is registered in the Milan companies' register with number 03367430968 and in the register held by the Italian Foreign Exchange Office pursuant to article 106 of the Banking Law with number 33852 and the special register (special list) held by the Bank of Italy pursuant to article 107 of the banking law. Since its establishment, the Issuer has undertaken no activities other than the acquisition of initial claims and the signing of settlement documents and it has not prepared any financial statements or declared or paid dividends or assumed any debt, other than the costs and expenses of establishing the Issuer or otherwise pursuant to the settlement documents. The issuer has no employees. The Issuer was established on 17 December 2001 with the name Gea S.r.l. The extraordinary shareholders' meeting held on 7 November 2003 changed the name to Sestante Finance S.r.l. The Issuer's authorised share capital, issued and fully paid-up, is EUR 10,000. The Issuer's share capital has been subscribed as follows: Stichting Artemide: EUR 6,000, which represents 60% of the share capital Stichting Olimpo: EUR 4,000, which represents 40% of the equity. The loans held by the vehicle are Italian residential mortgages.

- Siena NPL 2018 S.r.l.. In the course of 2017, on the basis of what is set forth in the Restructuring Plan and in line with the terms of the agreements entered into with Quaestio Capital Management SGR S.p.A., the Parent Company completed a transfer through securitisation of a portfolio of doubtful loans along with other Group companies. The portfolio was sold on 20 December 2017 to the vehicle Siena NPL 2018 S.r.l., established for this purpose. The vehicle financed acquisition of the portfolio through issuance of the following asset-backed securities (the "Securities"), with limited recourse:

  (i) Senior A1 notes for EUR 2,683.5 mln;

(ii) Senior A2 notes for EUR 412.1 mln;

(iii) Mezzanine notes for EUR 847.6 mln;

(iv) Junior notes for EUR 565.0 mln

centralised in dematerialised form at Monte Titoli S.p.A. and initially not listed on any Italian and/or foreign regulated market.

On 9 January 2018, the transfer was completed of 95% of the mezzanine notes to Quaestio Capital SGR on behalf of the Atlante Fund. In May 2018, at the end of the rating assignment process, the Senior notes were restructured into a single class, obtaining an investment grade rating from the 3 ratings agencies involved. The securities issued by the vehicle following the restructuring are the following:

(i) Senior A notes for EUR 2,918 mln, rating A3/BBB+/BBB (Moody's/Scope Ratings/DBRS). The outstanding amount as at 31 December 2018 was EUR 2,752 mln;

(iii) Mezzanine B notes for EUR 847.6 mln, without rating (95% of which held by the Atlante Fund);

(iv) Junior notes for EUR 565.0 mln, without rating.

In June 2018, with the transfer of 95% of the Junior notes to Quaestio Capital SGR on behalf of the Atlante Fund, the deconsolidation of the entire securitised portfolio was completed.

Lastly, in July 2018, the MEF granted, with its decree, the government guarantee (GACS) on the senior tranche of the securitisation. Obtainment of the GACS completed the entire securitisation process.

- Storm 2016-I B.V. (STORM A2-TV 16/54): vehicle established under Dutch law. Securitisation having as collateral residential mortgages originated in the Netherlands.
- Tagus Sociedade de Titularizacao de Creditos S.A.: Portuguese vehicle which issued notes collateralised with loans for auto/lorry purchases/leases and electricity receivables (Originator EDP Servico Universal SA).
- Taurus 2015-1 IT S.r.l.: the issuer was incorporated in the Italian Republic pursuant to the Securitisation Law on 23 October 2014 as a limited liability company and, on 17 November 2014, it changed its name to "TAURUS 2015-1 IT S.R.L.". The Issuer's by-laws call for its closure on 31 December 2100. The Issuer has no employees or subsidiaries. The Issuer's authorised and issued share capital is EUR 10,000, fully paid-up. The current shareholder of the Issuer is: Quotaholder Quota Stichting SFM Italia n. 1 EUR 10,000 (100% of the share capital). The main activity of the Issuer, its only scope of business, pursuant to article 2 of its by-laws and in compliance with the Securitisation Law, is the performance of securitisations. The vehicle is collateralised by a portfolio 95% of which consists of three loans secured by 14 commercial and office properties located in Northern Italy and Rome.
- Towers QC S.r.l.: vehicle established pursuant to Law no. 130/1999. A securitisation of salary/pension-backed loans granted by Accedo S.p.A.
- Voba n. 5 – Voba n. 7 S.r.l. (VOBAF 5 A 14/51 TV and VOBA 7 A2-TV 18/60): vehicles established pursuant to Law no. 130/1999. Securitisations having as collateral mortgages and unsecured performing loans disbursed to small and medium-sized enterprises. Originator: Volksbank S.p.A. (formerly Banca Popolare dell'Alto Adige S.p.A.).

Maximum exposure to the risk of loss has been determined to be equal to book value. During the year under review, the Group did not provide and does not intend to provide financial or other support.

C.5 Prudential consolidation - Servicer activities - own securitisations: collections of securitised loans and redemptions of securities issued by the special purpose vehicle

31 12 2018

Servicer	Special Purpose Vehicle	Securitised assets (year-end data)		Loans collected during the year		Percentage of securities redeemed (year-end data)					
						Senior		Mezzanine		Junior	
		Impaired	Performing	Impaired	Performing	Impaired assets	Performing loans	Impaired assets	Performing loans	Impaired assets	Performing loans
BMPS	Casaforte S.r.l.	-	1,221,892	-	131,182	0.0%	36.7%	0.0%	0.0%	0.0%	0.0%
	Total 31 12 2018	-	1,221,892	-	131,182						
	Total 31 12 2017	-	1,269,567	-	134,348						

The table conventionally shows the Casaforte securitisation for which the Parent Company carries out servicer activities, although this is a consolidated vehicle.

C.6 Prudential consolidation – Consolidated special purpose securitisation vehicles

The Group carried out securitisation transactions chiefly to optimise its liquidity profile; besides placement on the market, the securities were sold to perform refinancing transactions with the ECB and repurchase agreements with the market.

The paragraphs below describe the characteristics of the Group's securitisation transactions originated in previous years and ongoing as at 31 December 2018 where the securities were partly placed on the market or with retail customers, as well as information on the nature of the risks associated with the interests in consolidated securitisation vehicles.

In view of these transactions, the Parent Company allocated reserves in support of the vehicles, should such funds be needed upon occurrence of certain events. As at 31 December 2018, these reserves amounted to EUR 125.23 mln.

For the Siena Consumer 2015 Srl and Siena PMI 2015 Srl securitisations, respectively in November and December 2018, the residual loans were repurchased and the securities consequently fully reimbursed.

Own securitisations with derecognition of the underlying assets

Casaforte Srl

This securitisation was carried out in 2010 and consisted in the transfer to Vehicle Casaforte Srl of a pool of receivables arising from a mortgage loan granted to the consortium company, Perimetro Gestione Proprietà Immobiliari. As at 31 December 2018 the residual debt amounts to EUR 1,220.9 mln. In December 2013 the Parent Company announced the completed buyback in full of the PGPI 2010 equity financial instruments and related Class Z Notes for a value of approximately EUR 70 mln. As a result of these purchases, the Parent Company acquired control of the Company, which was subsequently consolidated in the Financial Statements.

Under the "2017-2021 Restructuring Plan", approved by the Board of Directors of BMPS on 26 June 2017 and by the European Commission on 4 July 2017, and the commitments with respect to the Directorate General for Competition of the European Commission contained within them, a second phase of restructuring of the "Chianti Classico" transaction was launched in 2018, envisaging the merger of "Perimetro Gestione Proprietà Immobiliari" and advance unwinding of the securitisation. To proceed with such activities, giving investors the possibility to exit the investment early, on 29 October 2018, the Parent Company launched a public tender offer for securities that were still placed with third-party investors at the time. Following the takeover bid, Banca MPS became owner of 97.59% of the Class A notes and 99.81% of the Class B notes. At the end of 2018, following the takeover bid and the additional repurchases, EUR 35 mln in Class A Casaforte notes were still placed with third-party investors, recognised under item "10 Financial liabilities measured at amortised cost c) debt securities issued" in the liabilities section of the consolidated balance sheet.

Own securitisations without derecognition of the underlying assets

Siena Mortgages 10-7 Srl

On 30 September 2010, a portfolio of 34,971 performing residential mortgages originated by the Parent Company was sold for approx. EUR 3,479.5 mln. As at 31 December 2018, the remaining debt balance amounted to EUR 1,670.0 mln (21,087 outstanding contracts).

To fund the acquisition of the portfolio, the Vehicle had issued residential mortgage-backed securities (RMBS); Class A1 and A2 notes - now fully repaid - were placed with market investors, whereas the remaining classes of notes issued were underwritten by the Parent Company and part of them were subsequently placed with market investors (class A3).

Market placement of these classes did not entail the derecognition of the underlying assets from the balance sheet of the Parent Company (transferor), which has substantially retained all risks and rewards associated with the ownership of the assets sold.

Siena LEASE 2016-2 Srl

On 3 December 2015, the subsidiary MPS Leasing & Factoring Banca per i Servizi Finanziari alle Imprese sold to the vehicle company "Siena LEASE 2016-2 S.r.l." a portfolio consisting of 13,181 performing finance leases totalling EUR 1,619.8 mln. As at 31 December 2018, the remaining debt balance amounted to EUR 806.2 mln (6,357 lease transactions).

To fund the acquisition of the portfolio, the Vehicle issued ABS securities on 28 January 2016. In particular, the senior tranche was placed with institutional investors, while the remaining classes of securities issued were repurchased by the Originator.

The Senior and Mezzanine classes were rated by Moody's and Fitch.

The placement did not entail the derecognition of the underlying assets from the balance sheet of the Parent Company, which has substantially retained all risks and rewards associated with the ownership of the assets sold.

******

For all the securitisation transactions described above, during the period under review the Parent Company and its subsidiaries have not provided any financial or other support without being obliged under the contract. There are no cases of financial or other support to a previously non-consolidated structured entity as a result of which the structured entity was controlled by the Group.

The Group does not intend to provide financial or other support to consolidated securitisation vehicles, nor to assist entities in obtaining financial support.

D. Transfers
A. Financial assets sold and not fully derecognised

Qualitative information

For a description of the transactions contained in the tables reported in this section, please refer to the footnotes of the tables themselves.

Quantitative Information

D.1 Prudential consolidation - Financial assets sold and fully recognised and associated financial liabilities: book values

	Financial assets sold and fully recognised				Financial liabilities		
	Book value	of which: subject to securitization transactions	of which: subject to repurchase agreement	of which: impaired	Book value	of which: subject to securitization transactions	of which: subject to repurchase agreement
Fiancial assets held for trading	**1,584,683**	**-**	**1,584,683**	**X**	**1,550,185**	**-**	**1,550,185**
1. Debt securities	1,584,677	-	1,584,677	X	1,550,179	-	1,550,179
2. Equity instruments	6	-	6	X	6	-	6
3. Loans	-	-	-	X	-	-	-
4. Derivatives	-	-	-	X	-	-	-
Financial assets measured at fair value mandatory	**101,028**	**101,028**	**-**	**101,028**	**5,719**	**5,719**	**-**
1. Debt securities	-	-	-	-	-	-	-
2. Equity instruments	-	-	-	X	-	-	-
3. Loans	101,028	101,028	-	101,028	5,719	5,719	-
Financial assets designated at fair value	-	-	-	-	-	-	-
1. Debt securities	-	-	-	-	-	-	-
2. Loans	-	-	-	-	-	-	-
Financial assets measured at fair value through other comprehensive income	**5,279,433**	**-**	**5,279,433**	**-**	**5,157,099**	**-**	**5,157,099**
1. Debt securities	5,279,433	-	5,279,433	-	5,157,099	-	5,157,099
2. Equity instruments	-	-	-	X	-	-	-
3. Loans	-	-	-	-	-	-	-
Fiancial assets measured at amortised cost	**2,476,183**	**2,476,183**	**-**	**100,375**	**339,885**	**339,885**	**-**
1. Debt securities	-	-	-	-	-	-	-
2. Loans	2,476,183	2,476,183	-	100,375	339,885	339,885	-
Totale 31 12 2018	**9,441,327**	**2,577,211**	**6,864,116**	**201,403**	**7,052,888**	**345,604**	**6,707,284**
Totale 31 12 2017*	**10,813,098**	**4,482,006**	**6,331,092**	**n.d.**	**4,476,972**	**926,755**	**3,550,217**

** The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 9; in addition, the comparative data were reclassified on the basis of the new accounting statements set forth in the 5th update of Bank of Italy Circular 262.*

D.2 Prudential consolidation - Financial assets sold and partially recognised and associated financial liabilities: book values

This table was not created as the Group did not have any financial assets sold and partially recognised in the current year or previous year.

D.3. Prudential consolidation - Sales transactions relating to liabilities with repayment exclusively based on assets sold and not fully derecognised: fair value

	Fully recognised	Partially recognised	Total	
			31 12 2018	31 12 2017*
Fiancial assets held for trading	**-**	**-**	-	**-**
1. Debt securities	-	-	-	-
2. Equity instruments	-	-	-	-
3. Loans	-	-	-	-
4. Derivatives	-	-	-	-
Financial assets measured at fair value mandatory	**101,028**	**-**	**101,028**	**-**
1. Debt securities	-	-	-	-
2. Equity instruments	-	-	-	-
3. Loans	101,028	-	101,028	-
Financial assets designated at fair value	-	-	-	-
1. Debt securities	-	-	-	-
2. Loans	-	-	-	-
Financial assets measured at fair value through other comprehensive income	-	-	-	-
1. Debt securities	-	-	-	-
2. Equity instruments	-	-	-	-
3. Loans	-	-	-	-
Fiancial assets measured at amortised cost	**2,616,570**	**-**	**2,616,570**	**4,758,802**
1. Debt securities	-	-	-	-
2. Loans	2,616,570	-	2,616,570	4,758,802
Total financial assets	2,717,598	-	2,717,598	4,758,802
Total financil associated liabilities	345,603	-	345,603	929,263
Net value 31 12 2018	**2,371,995**	**-**	**2,371,995**	**X**
Net value 31 12 2017*	**-**	**-**	**X**	**3,829,539**

** The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 9; in addition, the comparative data were reclassified on the basis of the new accounting statements set forth in the 5th update of Bank of Italy Circular 262.*

Note that all amounts reported in the item "Financial assets measured at amortised cost - Loans" refer exclusively to the fair value of loans sold with own securitisations without derecognition, which continue to be fully recognised in the Group's balance sheet assets. The amount of EUR 345.6 mln reported under associated liabilities refers to the fair value of the portion of senior notes sold to market counterparties as part of the same securitisation. The Group recognised a liability with the notes-issuing vehicles as an offsetting entry for the cash flows arising from these disposals. Against this liability, the creditor's entitlement to repayment is limited to cash flows arising from the assets underlying senior notes sold.

B. Financial assets sold and fully derecognised with assessment of "continuing involvement"

Qualitative information

Quantitative Information

None to report as at 31 December 2018.

D.4 Prudential consolidation – Covered bond transactions

Characteristics of the Covered Bond Issuance Programmes

The Group has two Covered Bond Issuance Programmes.

The first Programme, meant for institutional investors, was launched in 2010 for an amount of EUR 10,000 mln. The programme is intended to place a secured product on the market, offering covered bonds as a preferred instrument for financial profile improvement in the mid and long term. In light of the developments in the financial markets, the Programme should be considered as part of a wider strategy, aimed at:

- curbing the costs of funding: covered bonds are widely preferred, inasmuch as they are issued directly by the Bank and their repayment is also guaranteed by a segregated pool of assets (in this case, residential mortgage loans); in the event of issuer bankruptcy, covered bond holders enjoy a right of recourse on a portfolio of segregated high-quality assets and are, therefore, willing to accept a lower yield than the one offered by similar uncovered bonds;
- diversifying the Bank's funding sources on the international market;
- lengthening its average debt maturity profile.

On 26 June 2015, the First Programme's meeting of the covered bond holders approved the proposed amendments in order to:

- amend the Programme, to obtain a rating from DBRS (in addition to Moody's and Fitch) for the covered bonds issued and to be issued as part of the Programme; and
- activate, if specific cases of default take place pursuant to the Programme, a "conditional pass through" type mechanism for the repayment of the bonds issued.

At the time of the annual renewal of the Programme, on 23 December 2017, its maximum amount was increased from EUR 10,000 mln to EUR 20,000 mln.

With a view to improving the efficiency and stability of the Group's Counterbalancing Capacity, in 2012 a second Bond Issuance Programme was authorised, collateralised by separate assets consisting of residential and commercial mortgage loans for a maximum of EUR 20,000 mln. The programme is not intended for the market but for instruments eligible as collateral in refinancing transactions through the European Central Bank. The programme, which did not have an explicit rating at its launch, was rated by DBRS in 2013.

The structure of the Group's Covered Bond programmes requires fulfilment of the following activities:

a) the Parent Company or another Group company transfers, without recourse, a pool of assets, which may consist of cash and other assets as appropriate (real-estate backed, residential and commercial mortgage loans), to the vehicles MPS Covered Bond S.r.l. and MPS Covered Bond 2 S.r.l., thereby forming a segregated cover pool;

b) the Transferor grants a subordinated loan to the vehicle, for the purpose of financing payment of the assets' purchase price by the vehicle;

c) the Parent Company issues covered bonds secured by an autonomous, irrevocable and unconditional first-demand guarantee issued by the vehicle for the only benefit of the bond-holding investors and senior debtors in the Programme (the guarantee involves limited recourse to the assets of the Cover Pool owned by the vehicle, which acts as Guarantor).

Accounting treatment

Pursuant to IFRS 9, the derecognition of a financial instrument from the balance sheet of the transferor is determined on the basis of the substance of the contract, not its legal form.

Having said this, the deal is recognised as follows:

- transferred loans continue to be reported in the Parent Company's balance sheet under item 40b) of assets “Financial assets measured at amortised cost: loans to customers”, sub-item “Mortgages”, inasmuch as the Parent Company retains the risks and rewards of ownership of the loans transferred;
- the loan disbursed by the Parent Company to the Vehicle is not classified as a separate item in the balance sheet, since it is offset with the amount due to the Vehicle in which the initial transfer price was recognised. The loan, therefore, is not subject to credit risk assessment, because this risk is entirely reflected in the assessment of transferred loans, which continue to be reported in the Parent Company's balance sheet.
- loans are subject to movements based on own events (figures and assessment); instalments collected by the Parent Company (which also acts as a servicer) are reallocated daily to the Vehicle's "Collection Account" and accounted for by the Parent Company as follows:
    - collection of principal from borrower is recognised as an offsetting entry to the reduction in the loan to the borrower;
    - reallocation of principal to the Vehicle is recognised as an offsetting entry to the recognition of a loan to the Vehicle;
    - this loan is paid off upon repayment of the subordinated loan;
    - interest from the borrower is recognised as an offsetting entry to Item 10 "Interest income: loans to customers" (interest on loans continues to be recognised on an accrual basis);
    - reallocation of interest to the Vehicle is recognised as an offsetting entry to the recognition of a loan to the Vehicle;
    - this loan is paid off upon collection of interest on the subordinated loan.
- the vehicles “MPS Covered Bond S.r.l.” and “MPS Covered Bond 2 S.r.l.” are invested in by the Parent Company for a control stake of 90%, recognised under Item 70 “Equity Investments” and included in the Group's consolidated financial statements under the comprehensive approach;
- bonds issued are posted to Item 10c) “Financial liabilities measured at amortised cost: debt securities issued" on the liabilities side, and related interest expense is recognised on an accrual basis.

In consideration of the characteristics and accounting treatment of the deal, the swaps associated with the transaction are not recognised in the balance sheet, since their recognition would entail, pursuant to par. B3.2.14 of IFRS 9, a duplication of rights and obligations already recognised due to loans transferred being maintained on the balance sheet.

Risks and Control Measures

In order to allow the transferee to meet the obligations of the collateral pledged, the Parent Company uses appropriate Asset & Liability Management techniques to secure a trend of substantial balance between the maturities of cash flows arising from the assets sold and maturities of payments due in relation with the covered bonds issued and other costs of the transaction.

The Programmes were structured in compliance with applicable rules and regulations which authorise the issuance of covered bonds only if the transferring and issuing banks meet certain capital requirements.

The structure of the debt issuance programmes of the Parent Company (in the role of transferor and servicer) is subject to stringent regulatory requirements and calls for continuous actions for each transaction by the Credit Portfolio Governance; Finance, Treasury & Capital Management and Lending Risk Officer Areas, as well as supervision by the Credit Audit Service and an external auditor (Deloitte & Touche) as Asset Monitor. In particular, these actions include:

- assessment of capital requirements mandated by Supervisory Instructions when it comes to covered bond issuance programmes;
- assessment of the quality and integrity of assets transferred with regard, in particular, to the estimated value of properties, both residential and commercial, on which a mortgage in relation with the asset-backed loans is placed; this assessment may result in repurchases, integrations and additional transfers of supplemental assets;
- assessment of an appropriate ratio being maintained between bonds issued and assets transferred as collateral (Cover Pool - mortgage and residential assets for the first programme and residential and commercial assets for the second programme);
- assessment of transfer limits and integration practices;
- assessment on whether risks are effectively and adequately hedged by derivative contracts in relation to the transaction.

In the course of 2013, the mitigation strategy for interest rate risk on the first Programme was restructured in order to minimise the Vehicle's exposure to market counterparties. In particular, the newly-defined strategy aims to only cover the Vehicle's net exposure to interest rate risk, as opposed to the nominal amount. At the same time, the outsourcing of some Covered Bond Swaps outstanding with market counterparties was carried out.

The paragraphs below provide information on the nature of the risks associated with the interest in the MPS Covered Bond S.r.l. vehicle, whose assets are pledged as collateral of bond issues of the Parent Company partly placed with the market.

In particular, the terms of the agreements that could require the Group to provide financial support to the vehicle MPS Covered Bond S.r.l. are as follows:

- the Parent Company undertakes, in accordance with the programme's terms, to ensure compliance over time with the regulatory and contractual tests determined according to the methodologies set by the rating agencies from time to time;
- if the Parent Company's rating is below “BBB (low)” (DBRS), "BBB-” (Fitch) and “Baa3” (Moody's), the repayment of each subordinated loan will be delayed by 6 months after the original expiry (unless early loan repayment is necessary to allow for compliance with the maximum limit of cash that may be accumulated by the Vehicle, established by regulation as 15% of the total of the cover pool, to the extent to which it is not possible for the Vehicle to acquire new suitable assets to replace cash, pursuant to the Framework Transfer Agreement);
- in accordance with the Master Definition Agreement, the Parent Company shall allocate and change the amount of the variable liquidity reserve according to criteria agreed upon with the rating agencies.

As concerns the second programme, the terms of the agreements that could require the Group to provide financial support to the vehicle MPS Covered Bond 2 S.r.l. are as follows:

- the Parent Company undertakes, in accordance with the programme's terms, to ensure compliance over time with the regulatory and contractual tests determined according to the methodologies set by the rating agency from time to time;
- in accordance with the Master Definition Agreement, the Parent Company shall allocate and change the amount of the variable liquidity reserve according to criteria agreed upon with the rating agency.

During the period under review the Parent Company and its subsidiaries have not provided any financial or other support without being obliged under the contract.

There are no cases of financial or other support to a previously non-consolidated structured entity as a result of which the structured entity was controlled by the Group.

The Group does not intend to provide financial or other support to the vehicle, nor to assist the entity in obtaining financial support.

Description of individual disposals and issuances

For the first Programme, on 3 May 2018 a portfolio was sold of 12,401 performing residential mortgages, with no outstanding payments at the date of portfolio valuation and meeting selection criteria substantially comparable to those used for previous disposals, for an amount of EUR 1,311.9 mln.

Here follows a summary of the main characteristics regarding transfers in the first Programme:

31 12 2018

Cover Pool transfer date	Type of seuritised assets	Transferor	Total value of asset transferrd (in units of €)	No. Of mortagage loans transferred	Breakdown of transferred debtors by business sectors
25 05 2010	Residential mortgage loans	Banca MPS	4,413,282,561	36,711	100% natural persons
19 11 2010	Residential mortgage loans	Banca MPS	2,400,343,584	19,058	100% natural persons
25 02 2011	Residential mortgage loans	Banca MPS	3,887,509,799	40,627	100% natural persons
25 05 2011	Residential mortgage loans	Banca MPS (ex Banca Antonveneta)	2,343,824,924	26,804	100% natural persons
16 09 2011	Residential mortgage loans	Banca MPS	2,323,368,355	27,973	100% natural persons
14 06 2013	Residential mortgage loans	Banca MPS	415,948,266	4,259	100% natural persons
18 09 2015	Residential mortgage loans	Banca MPS	1,529,531,983	15,080	100% natural persons
31 10 2016	Residential mortgage loans	Banca MPS	775,933,585	7,630	100% natural persons
22 12 2016	Residential mortgage loans	Banca MPS	237,758,336	1,903	100% natural persons
03 05 2018	Residential mortgage loans	Banca MPS	1,311,870,107	12,401	100% natural persons
Total			**19,639,371,500**	**192,446**	

The remaining debt balance on the portfolio as at 31 December 2018 amounted to EUR 10,060.0 mln for 128,845 mortgages.

As part of the first Programme, the Parent Company completed a total of twenty-five issuances, thirteen of which had not yet matured or been repaid early for a nominal amount, as at 31 December 2018, of EUR 8,100 mln, of which EUR 4,180.5 mln are on the market, while EUR 3,869.5 mln are held by the Parent Company and by the subsidiary MPS Capital Services Banca per le Imprese S.p.A.

In 2018 the following securities were issued as part of the first Programme:

Date of issue	Notional Amount	Coupon	Frequency	Date of maturity
01 08 2018	750,000,000	3mE+0,60%	Quarterly	september - 2021
01 08 2018	750,000,000	3mE+0,65%	Quarterly	June - 2022
24 10 2018	500,000,000	3mE+0,95%	Quarterly	June - 2023
Total	**2,000,000,000**			

As part of the second programme, in 2018 two portfolios were sold for a total of 7,720 performing residential and commercial mortgages, with no outstanding payments at the date of portfolio valuation and meeting selection criteria substantially comparable to those used for previous disposals, amounting to EUR 1,155.9 mln.

Here follows a summary of the main characteristics regarding transfers in the second Programme:

31 12 2018

Cover Pool transfer date	Type of seuritised assets	Transferor	Total value of asset transferrd (in units of €)	No. Of mortagage loans transferred	Breakdown of transferred debtors by business sectors
30 04 2012	Residential mortgage loans	Banca MPS	2,384,995,478	27,047	100% natural persons
26 06 2012	Residential and commercial mortage loans	Banca MPS	2,478,270,455	13,993	Mixed
28 08 2012	Residential and commercial mortage loans	Banca MPS	1,401,965,498	17,353	Mixed
24 09 2012	Residential and commercial mortage loans	Banca MPS	2,473,677,574	9,870	Mixed
18 02 2013	Residential and commercial mortage loans	Banca MPS	1,286,740,404	9,033	Mixed
24 06 2013	Residential and commercial mortage loans	Banca MPS	2,147,692,217	12,771	Mixed
25 03 2014	Residential and commercial mortage loans	Banca MPS	1,464,170,335	5,645	Mixed
20 10 2015	Residential and commercial mortage loans	Banca MPS	977,548,353	5,671	Mixed
18 07 2016	Residential and commercial mortage loans	Banca MPS	2,010,907,198	24,162	Mixed
26 08 2016	Residential and commercial mortage loans	Banca MPS	813,253,156	7,211	Mixed
24 03 2017	Residential and commercial mortage loans	Banca MPS	789,153,182	5,799	Mixed
08 05 2018	Residential and commercial mortage loans	Banca MPS	685,537,100	4,718	Mixed
09 11 2018	Residential and commercial mortage loans	Banca MPS	470,369,358	3,002	Mixed
Total			**19,384,280,308**	**146,275**	

The remaining debt balance on the portfolio as at 31 December 2018 amounted to EUR 9,147.6 mln for 94,006 mortgages.

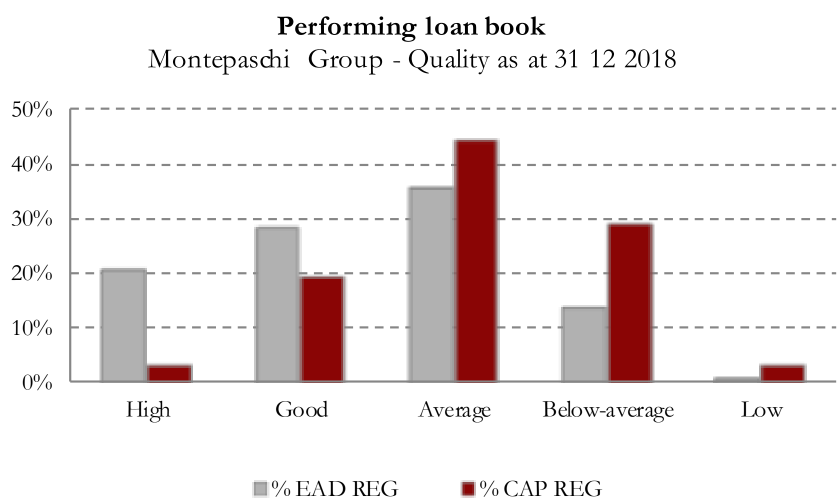
As part of the second programme, the Parent Company completed thirty-five issuances (of which sixteen not yet matured or redeemed early), which were not intended for the market but repurchased by the Parent Company and used as collateral for refinancing transactions in the Eurosystem, for a total as at 31 December 2018 of EUR 9,050 mln.

As part of the second Covered Bond Programme, the following issues were made in 2018:

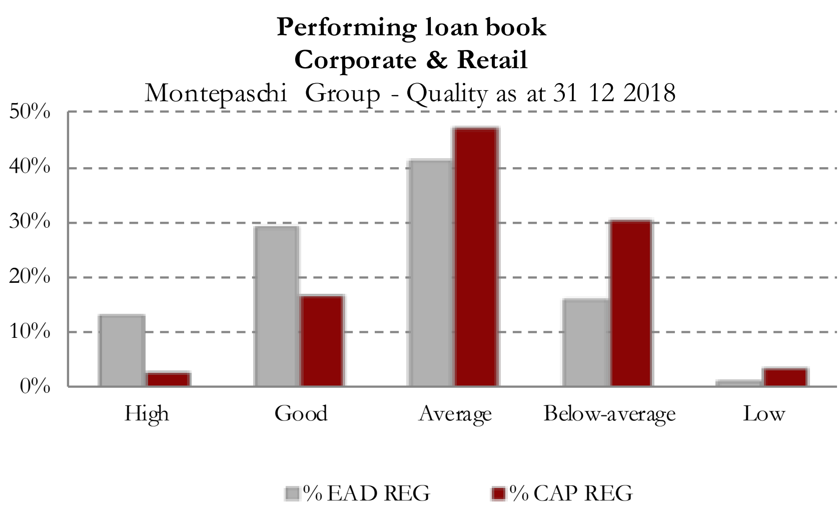
Date of issue	Notional Amount	Coupon	Frequency	Date of maturity
05 06 2018	350,000,000	3mE+0,85%	Quarterly	January - 2022
05 06 2018	350,000,000	3mE+0,85%	Quarterly	aprile-2022
18 06 2018	350,000,000	3mE+0,85%	Quarterly	July - 2023
24 10 2018	500,000,000	3mE+0,95%	Quarterly	October - 2022
Total	**1,550,000,000**			

E. Prudential consolidation - Credit risk measurement models

The chart below provides a credit quality breakdown of the Group portfolio as at 31 December 2018 by Exposure to Risk (EAD REG) and Regulatory Capital (CAP REG). The following graph shows that about 49% of risk exposure is to high and good quality customers (positions in financial assets are excluded). It should be noted that the ranking below also includes exposure to banks, government agencies and non-regulated financial and banking institutions, which are not included in the AIRB approaches. As borrowers, these entities are nevertheless subject to a credit standing assessment using official ratings, if any, or appropriate benchmark values that have been determined internally.



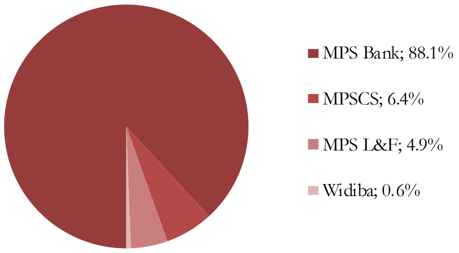
On the other hand, the following chart provides a breakdown of credit quality only for Corporate and Retail portfolios (which are largely validated by regulatory authorities for the use of internal PD and LGD models). As at 31 December 2018, high or good quality exposure accounted for approximately 42% of total exposure.



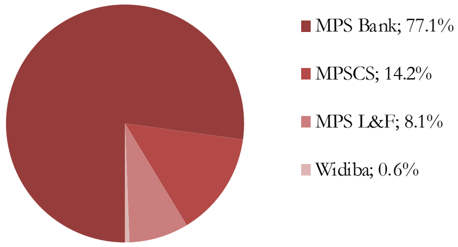
With reference to Risk Exposure, the Parent Company covers 88.1% of the Group's total, while MPS Capital Services, MPS L&F and Widiba jointly cover the remaining 11.9%.

The Regulatory Capital for credit risk is absorbed mainly by the Parent Company (77.1%), followed by MPS Capital Services (14.2%) and MPS Leasing e Factoring (8.1%).

Risk Exposure
Montepaschi Group - 31 12 2018



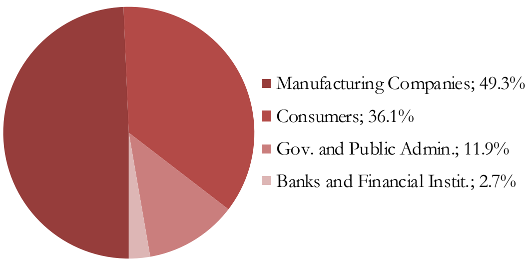
Regulatory Capital
Montepaschi Group - 31 12 2018



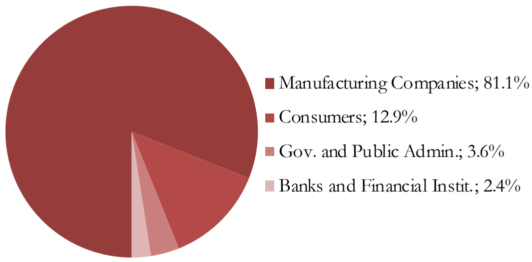
An analysis conducted at the end of 2018 shows that the Group's risk exposure is mainly toward "Manufacturing Companies" (49.3% of total loans disbursed) and "Households" (36.1%). The remaining portion is broken down between "Government and Public Administration" and "Banks and Financial Institutions", respectively at 11.9% and 2.7%.

In terms of Regulatory Capital, 81.1% is absorbed by the "Manufacturing Companies" customer segment. The "Households" segment stands at 12.9%; followed by "Government and Public Administration" and "Banks and Financial Institutions" with 3.6% and 2.4% respectively:

Risk Exposure
Montepaschi Group - 31 12 2018

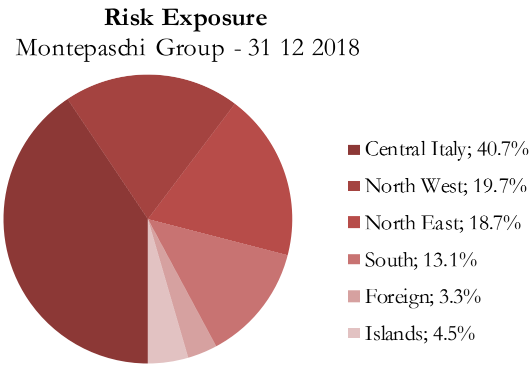


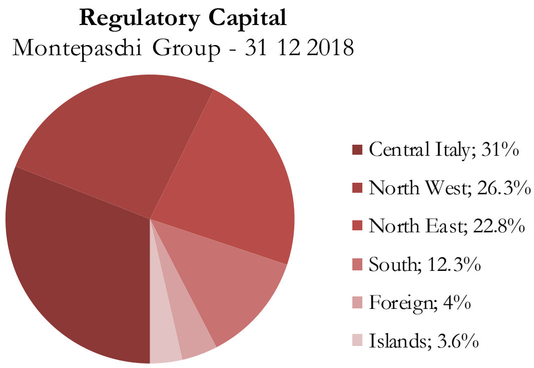
Regulatory Capital
Montepaschi Group - 31 12 2018



An analysis of the geographical breakdown of Group customers shows that exposure to risk is primarily concentrated in Italy's Central regions (40.7%), followed by the North West (19.7%), the North East (18.7%), Southern Italy (13.1%), Foreign Countries (3.3%) and Italy's Islands (4.5%).

Regulatory Capital absorption is also higher in Central Italy (31%), in North West Italy (26.3%) and North East Italy (22.8%) due to the greater concentration of loans in those areas. These are followed by Southern Italy (12.3%), Foreign Countries (4%) and the Islands (3.6%):



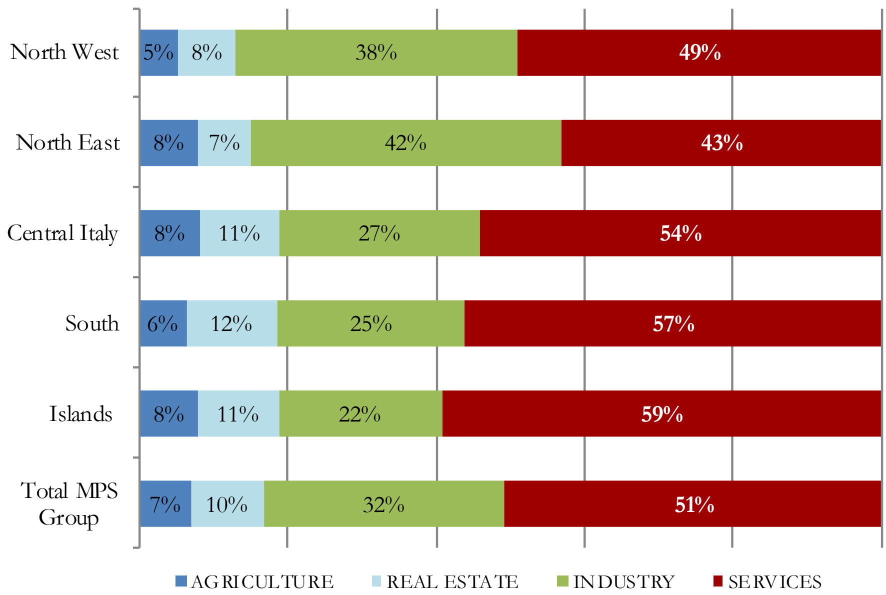


Lastly, the following graphs show, solely for Italian corporate customers, the percentage breakdown of Default Exposure by individual Geographic Area and Regulatory Capital absorption by Business Sector.

The largest share of Default Exposure for businesses in all Geographic Areas is accounted for by the "Services" sector. Out of the Group's total exposure, the share of Services accounts for 51% and is followed by Industry (32%), Building (10%) and Agriculture (7%).

Italian Coporate customers – performing loans as at 31 12 2018

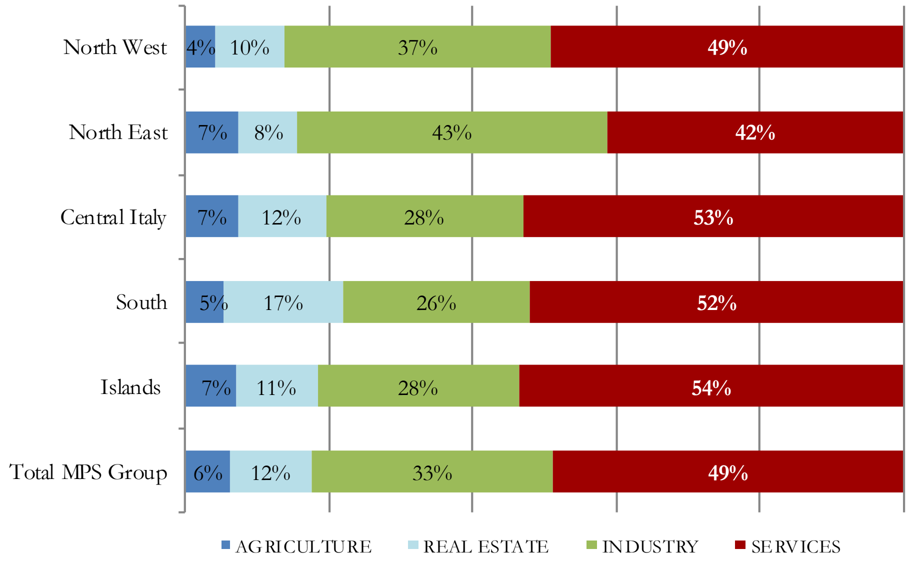
EAD REG by geography and business segment



Also as regards Regulatory Capital (REG CAP), the greatest concentration relates to the Services sector in all Geographic Areas, with the exception of the North East:

Italian Corporate customers – performing loan book as at 31 12 2018

CAP REG by geography and business segment



The comparison between expected loss and actual loss is performed on an annual basis by the internal control function as part of PD and LGD backtesting procedures.

1.2 – Market risks

1.2.1 Interest rate and price risk – Regulatory trading book

Market risks relating to the Trading Book

Management model for market risks relating to the Trading Book

The Group's Regulatory Trading Portfolio (RTP), or Trading Book, is made up of all the Regulatory Trading Books managed by the Parent Company (BMPS) and MPS Capital Services (MPSCS). The Trading Books of the other subsidiaries are immune to market risk. Trading in derivatives, which are brokered on behalf of customers, is centralised at MPSCS.

The market risks in the trading book are monitored in terms of Value-at-Risk (VaR) for operational purposes. The Group's Finance and Liquidity Committee is responsible for directing and coordinating the overall process of managing the Group's proprietary finance thereby ensuring that the management strategies of the various business units are consistent.

The Group's Trading Book is subject to daily monitoring and reporting by the Financial Risk Officer Area of the Parent Company on the basis of proprietary systems. VaR for management purposes is calculated separately from the operating units, using the internal risk measurement model implemented by the Risk Management function in keeping with international best practices. The Group uses the standardised methodology in the area of market risks solely for reporting purposes.

Operating limits defined for trading activities are expressed by level of delegated authority in terms of VaR, which is diversified by risk factors and portfolios, monthly and annual stop losses, and stress. Furthermore, the trading book's credit risk, in addition to being included in VaR computations and in the respective limits for the credit spread risk component, is also subject to specific operating limits for issuer and bond concentration risk which specify maximum notional amounts by type of guarantor and rating class.

VaR is calculated with a 99% confidence interval and a holding period of 1 business day. The Group adopts the method of historical simulation with daily full revaluation of all basic positions, out of 500 historical entries of risk factors (lookback period) with daily scrolling. The VaR calculated in this manner takes account of all diversification effects of risk factors, portfolios and types of instruments traded. It is not necessary to assume, a priori, any functional form in the distribution of asset returns, and the correlations of different financial instruments are implicitly captured by the VaR model on the basis of the combined time trend of risk factors. The trend-based scenarios used in the model are constructed as the daily change, in terms of the ratio, of the individual risk factors; the shock is applied to the current market level, making the VaR measure reactive to changes in market conditions.

The management reporting flow on market risks is periodically transmitted to the Risk Management Committee, the Group's Top Management and the Parent Company's Board of Directors in a Risk Management Report, which keeps Executive Management and governing bodies up to date on the overall risk profile of the Group.

The macro-categories of risk factors covered by the Internal Market Risk Model are IR, EQ, CO, FX and CS as described below:

- IR: interest rates on all relevant curves, inflation curves and related volatilities;
- EQ: share prices, indexes, baskets and relative volatilities;
- CO: commodity prices, indexes and baskets;
- FX: exchange rates and related volatilities;
- CS: credit spread levels.

VaR (or diversified or net VaR) is calculated and broken down daily for internal management purposes, even with respect to other dimensions of analysis:

- organisational/management analysis of portfolios,
- analysis by financial instrument,
- analysis by risk family.

It is then possible to assess VaR along each combination of these dimensions in order to facilitate highly detailed analyses of events characterising the portfolios.

In particular, with reference to risk factors the following are identified: Interest Rate VaR (IR VaR), Equity VaR (EQ VaR), Commodity VaR (CO VaR), Forex VaR (FX VaR) and Credit Spread VaR (CS VaR). The algebraic sum of these items gives the so-called Gross VaR (or non-diversified VaR), which, when compared with diversified VaR, makes it possible to quantify the benefit of diversifying risk factors resulting from holding portfolios on asset class and risk factor allocations which are not perfectly correlated. This information can also be analysed along all the dimensions referenced above.

The model enables the production of diversified VaR metrics for the entire Group in order to get an integrated overview of all the effects of diversification that can be generated among the Group entities on account of the specific joint positioning of the various business units.

Moreover, scenario and stress-test analyses are regularly conducted on various risk factors with different degrees of granularity across the entire tree structure of the Group's portfolios and for all categories of instruments analysed.

Stress tests are used to assess the Group's capacity to absorb large potential losses in extreme market situations, so as to identify the measures necessary to reduce the risk profile and preserve assets.

Stress tests are developed on the basis of discretionary and trend-based scenarios. Trend-based scenarios are defined on the basis of previously-registered real situations of market disruption. Such scenarios are identified based on a time frame in which risk factors were subjected to stress. No particular assumptions are required with regard to the correlation among risk factors since trend-based data for the stress period identified has been measured.

Stress tests based upon discretionary scenarios assume extreme changes occurring to certain market parameters (interest rates, exchange rates, stock indices, credit spreads and volatility) and measure the corresponding impact on the value of portfolios, regardless of their actual occurrence in the past. Simple discretionary scenarios are currently being developed (variation of a single risk factor) as are multiple ones (variation of several risk factors simultaneously). Simple discretionary scenarios are calibrated to independently deal with one category of risk factors at a time, assuming shocks do not spread to the other factors. Multiple discretionary scenarios, on the other hand, aim to assess the impact of global shocks that simultaneously affect all types of risk factors.

It should be noted that the VaR methodology described above is, for operational purposes, also applied to the portion of the Banking Book consisting of financial instruments that are similar to trading instruments (e.g. Bonds/Equity instruments held in portfolios classified as FVOCI and AC). The measurements and charts below refer to the Regulatory Trading Book only.

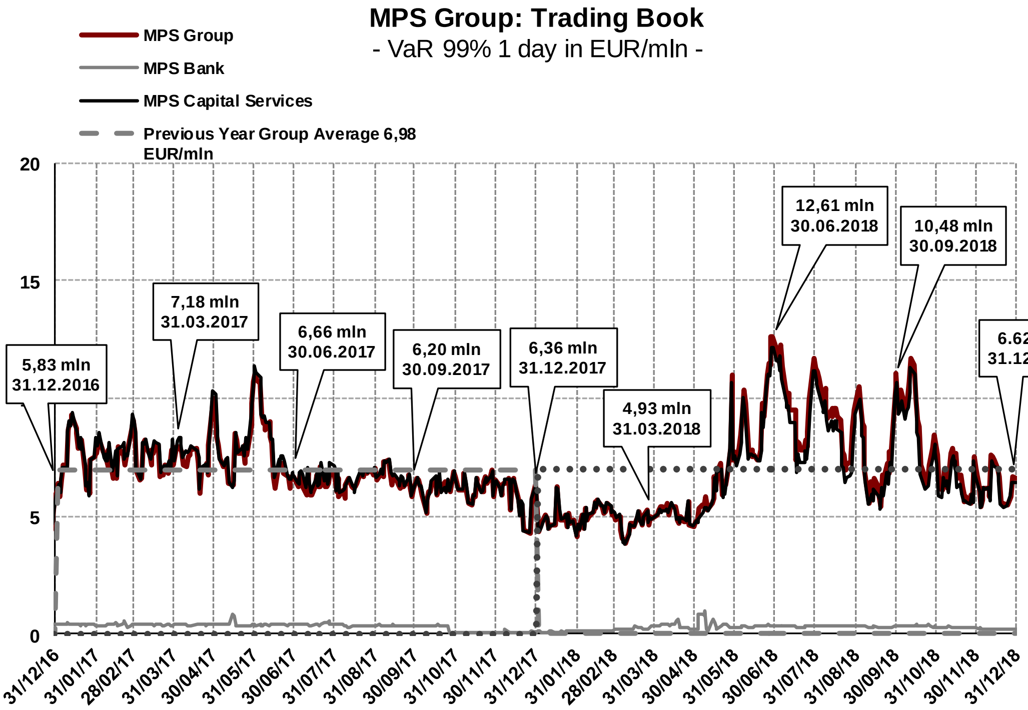
***

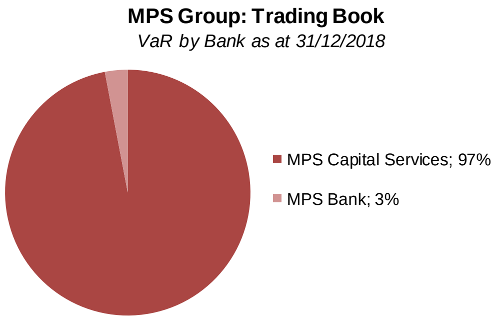
During the year 2018, the market risks of the Group's Regulatory Trading Book showed, in terms of VaR, a performance influenced by the subsidiary MPS Capital Services, mainly for own trading activities in the CS-IR segment (transactions in Italian government bonds and long futures) and, to a lesser extent, client-driven activities in the EQ segment (options and equity futures on the main market indices).

The Parent Company's portfolio contribution to total VaR was negligible during the year.

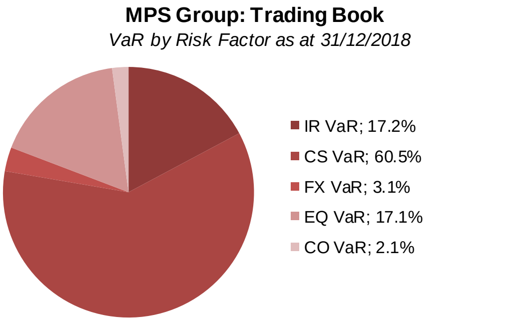
The volatility of the VaR registered from the end of the second quarter of the year is due to both changes in the market parameters and the trading activities of the subsidiary MPS Capital Services, the latter linked to cycles of auctions on short-term Italian Government Bonds. The increasing trend in the Italian credit spread registered at the end of May caused a significant increase in the VaR measurement, through the succession of spikes coinciding with the increase in the market parameters and corresponding to new tail scenarios on the historical simulation model. The risk exposure, represented by the VaR, was partly offset by hedging through short positions on medium/long-term BTP futures.

The above trend eased in the last quarter of the year, along with the reduction in exposure to Italian government bonds.





With regard to the legal entities, MPS Capital Services accounted for 97% and the Parent Company for 3% of overall risk as at 31 December 2018.



A breakdown of VaR by risk factors shows that 60.5% of the Group's portfolio was allocated to credit-spread risk factors (CS VaR), 17.2% was absorbed by interest rate risk factors (IR VaR), 17.1% by equity risk factors (EQ VaR), 3.1% by foreign exchange risk factors (FX VaR), and the remaining 2.1% by commodity risk factors (CO VaR).

MPS Group: Trading Book

VaR 99%1 day in EUR/mln

	VaR	Date
End of Period	6.62	31/12/2018
Min	3.82	09/03/2018
Max	12.64	28/06/2018
Average	7.00	

In 2018, the Group's VaR in the Regulatory Trading Book ranged between a low of EUR 3.82 mln recorded on 9 March 2018 and a high of EUR 12.64 mln on 28 June 2018 with an average value registered of EUR 7.00 mln. The Regulatory Trading Book VaR as at 31 December 2018 amounted to EUR 6.62 mln.

VaR model backtesting

The Group has implemented a backtesting procedure compliant with current regulations governing Market Risk as part of its own risk management system.

Backtesting refers to a series of tests conducted on VaR model results against day-to-day changes in the trading book value, with a view on assessing the model's forecasting capacity as regards the accuracy of risk metrics generated. If the model is robust, by periodically comparing the estimated daily VaR against daily trading losses from the previous day, the result should be that actual losses greater than the VaR occur with a frequency consistent with that defined by the confidence level.

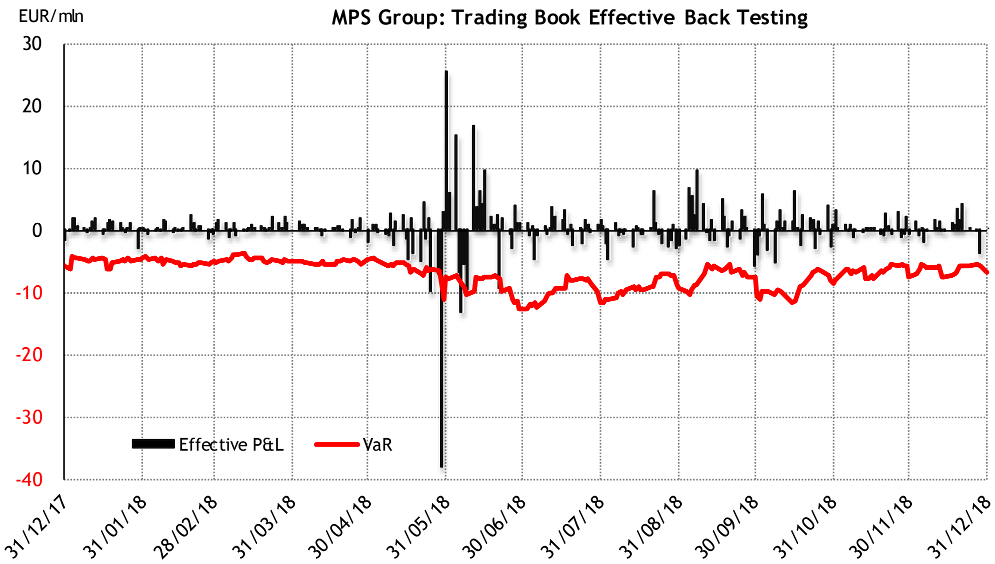
Based on current supervisory instructions, the Financial Risk Officer Area considered it appropriate to apply the theoretical and actual backtesting methods and integrate these into the Group's management reporting system.

The first type of test (theoretical backtesting) has a stronger statistical significance in reference to measuring the accuracy of the VaR model ("uncontaminated test").

The second type of test (actual backtesting) meets the need for verifying the VaR model's forecasting reliability in reference to actual Group operations (daily trading P&L) less the effect of any interest accrued between trading days t-1 and t on the securities and less the effect of fees and commissions.

These "clean" P&L results (the "actual P&L") are compared with the previous trading day VaR. If the losses are greater than those forecast by the model an "exception" is recorded.

The chart below shows the actual backtesting results of the internal Market Risks model in relation to the Group's Regulatory Trading Book for 2018:



The backtesting shows 5 exceptions in the first half of 2018.

These exceptions are concentrated between the end of May and June 2018, as a consequence of the increase in volatility in the Italian credit spread, due to a climate of political uncertainty generated in the period following the elections to form a new government.

Structured credit products

Management Model

As at 31 December 2018, the Group did not have a significant portfolio of structured credit products compared to its total financial assets or its total assets.

These investments are subject to risk limits set by the Board of Directors and monitored daily by the Financial Risk Officer Area. Stop loss, risk limits, and nominal limits are defined for maximum exposure for major issuer categories, broken down by rating.

The data reported in this section refer to the entire Group.

Note that no Structured Credit Products considered in this disclosure have embedded credit derivatives that need to be separated from their host cost contract for IFRS 9 purposes.

As at 31 December 2018, there were no direct or indirect exposures to US subprime mortgages, Alt-A or monoline insurers.

Positions in Securitisations of third-party issuers

As at 31 December 2018, the securities positions on structured credit products other than own securitisations had a total carrying amount of EUR 348.9 mln, compared to EUR 264.5 mln as at 31 December 2017. Compared to the previous year, a tranche of securitisation with non-performing loans is held for EUR 81.7 mln and has benefited from the public guarantee on securitisations (so-called GACS).

This section does not analyse the securitisations issued by Siena Npl from the disposal of bad loans on 22 December 2017 and deconsolidated in June 2018 since, although they are a vehicle in which the

Group has no stake and were not originated and held for liquidity requirements (self-securitisations), the loans transferred belonged to the MPS Group.

In terms of profit and loss, there was a negative component in item 80 "Net profit (loss) from trading" for EUR 1.9 mln and a write-down of EUR 0.05 mln in the item 130 "Net impairment (losses)/reversals for credit risk".

With regard to the regulatory classification, the positions are primarily held by the subsidiary MPS Capital Services and allocated to the Trading Book (84.7% in terms of carrying amount). The residual positions refer to both the Parent Company's Banking Book (15.3%), classified under "Financial assets measured at amortised cost", as well as the Banking Book of the subsidiary Monte Paschi Banque (0.06%), classified under "Financial assets measured at fair value through other comprehensive income".

The underlying assets transferred as part of the securitisation transaction are predominantly residential mortgages (42.5%), personal loans (21.3%) and non-performing loans (21%).

Geographically speaking, the loans transferred were granted in: Italy (74.7%), Ireland (8.8%) and Portugal (7.4%).

Overall, 96.6% of the book value of the exposures consists of investment grade securities (with rating up to BBB-, inclusive).

The senior tranche accounts for 61.5% of the exposures in terms of book value, and the mezzanine tranche for 21%, while the junior tranche accounts for the remaining 17.5%.

Credit Derivative Positions

All exposures analysed in this section are standardised credit indices, synthetic tranches, options on credit indices and single-name CDS.

As at 31 December 2018, net exposures to these derivatives have a book value (with accounting as a CDS derivative) of EUR -41 mln; net of consolidation activities, these financial instruments are all held by MPS Capital Services and are all included in the Trading Book.

In terms of profit and loss, there was a negative component of EUR 27 mln in item 80 "Net profit (loss) from trading.

Qualitative information

A. General aspects

Each bank of the MPS Group which is relevant as a market risk-taking centre contributes to the generation of interest rate risk and price risk in the overall Trading Book.

A.1 Interest rate risk

With reference specifically to the Parent Company, the Finance, Treasury & Capital Management Area (FTCMA) is the Business Area in charge of trading. The Global Markets Division carries out trading activities for MPSCS.

The FTCMA manages a proprietary portfolio which takes trading positions on interest rates and credit. In general, interest rate positions are taken by purchasing or selling bonds, and by creating positions in listed derivatives (futures) and OTCs (IRS, swaptions). Trading is carried out exclusively on the Bank's own behalf, with objectives of absolute return, in compliance with the delegated limits of monthly and yearly VaR and stop loss.

In particular, the FTCMA operates in the short-term portion of the main interest rate curves, mostly through bonds and listed derivatives.

With regard to credit risk in the trading book, the equity positions are generally managed through the purchase or sale of bonds issued by companies or by creating synthetic positions in derivatives. The activity is oriented to achieve a long or short position on individual issuers, or a long or short exposure on specific commodities. The activity is carried out solely on the Bank's own behalf with objectives of absolute return and in compliance with other specific issuer and concentration risk limits.

A.2 Price risk

The Business Area in charge of the Parent Company's trading activity with respect to price risk is the FTCMA which manages a proprietary portfolio and takes trading positions on equities, Stock Exchange indexes and commodities. In general, positions on equity securities are taken both through the purchase/sale of equities and through the positions created in listed derivatives (e.g. futures) and OTC (e.g. options). Trading is carried out exclusively on the Bank's own behalf, with objectives of absolute return, in compliance with the delegated limits of monthly and yearly VaR and stop loss. Similarly, the Global Markets Department carries out trading activities for MPSCS.

B. Interest rate and price risk: operational processes and measurement methods

With regard to the market risk management process concerning the management and methods for measuring interest rate and price risk, see the above paragraph entitled "Market risk management model for the trading book".

Quantitative information

1. Regulatory trading book: breakdown of balance sheet financial assets/liabilities and financial derivatives by residual life (repricing date)

This table has not been prepared since an analysis of the regulatory trading book's sensitivity to interest rate risk and price risk is produced based on internal models.

2. Regulatory trading book: breakdown of exposures in equity instruments and stock indices by major countries of the listing market

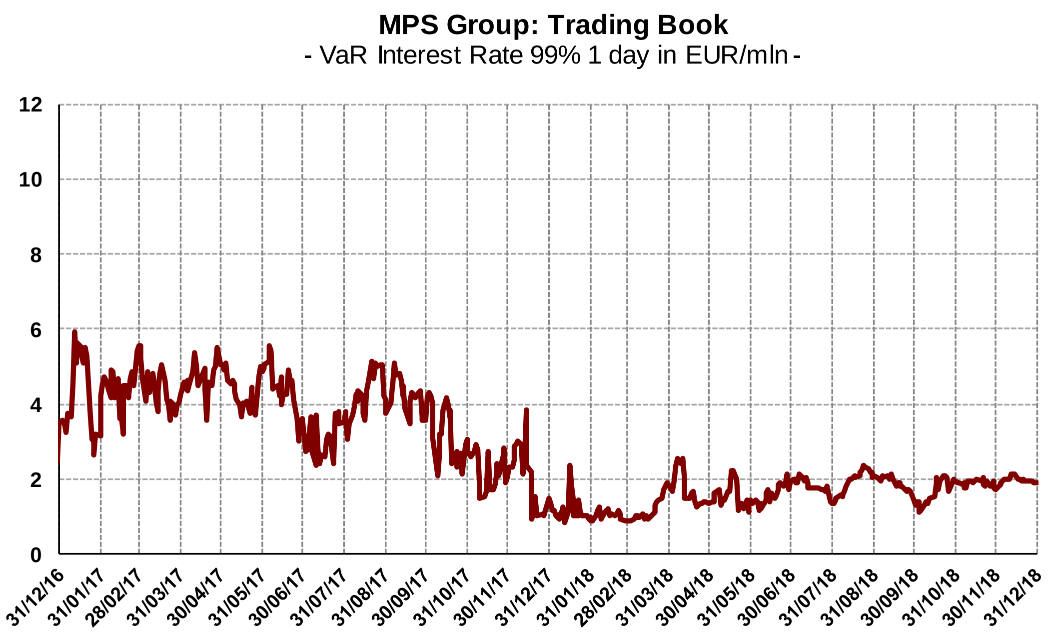
This table has not been prepared since an analysis of the regulatory trading book's sensitivity to interest rate risk and price risk is produced based on internal models.

3. Regulatory trading book: internal models and other sensitivity analysis methods

The rate and price risk of the Trading Book is monitored in terms of VaR and scenario analysis.

3.1 Interest rate risk

Each business unit within the Group operates independently on the basis of the objectives and powers it has been assigned. The positions are managed by special desks provided with specific operational limits. Each desk adopts an integrated risk management approach (covering more than rate risk, when allowed) in order to benefit from the natural hedge resulting from simultaneously holding positions on risk factors that are not perfectly correlated. The VaR by risk factor (specifically, Interest Rate VaR) has operational relevance for the purpose of risk management analyses, even though it is the global VaR diversified among risk factors and portfolios that is used by the operating units. Below is information on the Group's diversified Interest Rate Regulatory Trading Book VaR:



The trend in Interest Rate VaR during 2018 was influenced by the trading activities of the subsidiary MPSCS, primarily in bonds and derivatives.

MPS Group: Trading Book

VaR Interest Rate 99% 1 day in EUR/mln

	VaR	Date
End of Period	1.90	31/12/2018
Min	0.83	12/01/2018
Max	2.55	10/04/2018
Average	1.61	

Simulations include the following interest rate risk scenarios:

- +100 bps parallel shift for all interest rate and inflation curves,
- -100 bps parallel shift for all interest rate and inflation curves,
- +1 point parallel shift for all volatility surfaces of all interest rate curves.

All positions related to the Trading Book are classified as "Financial assets held for trading" for accounting purposes, with changes in market value posted directly to the income statement. Below is the overall effect of the scenario analyses.

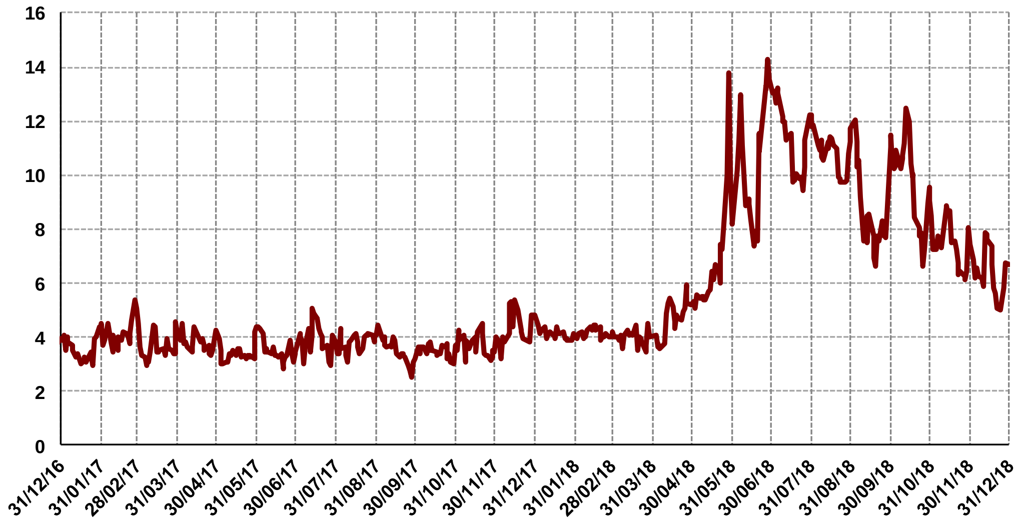
MPS Group: Trading Book

EUR/mln

Risk Family	Scenario	Global Effect
Interest Rate	+100bp all Interest Rate Curves	14.28
Interest Rate	-100bp all Interest Rate Curves	(13.44)
Interest Rate	+1% all Interest Rate Volatility	(0.03)

To complete the interest rate risk analysis, details are also provided on the credit spread risk of the Group's Trading Book associated with the volatility of issuers' credit spreads. The VaR by risk factor (specifically, Credit Spread VaR) has operational relevance for the purpose of risk management analyses, even though he operating units use the overall VaR diversified among all risk factors and portfolios.

MPS Group: Trading Book
- VaR Credit Spread 99% 1 day in EUR/mln -



In 2018, the trend in Credit Spread VaR was mainly influenced by the changes in Italian credit spread as well as by trading activities of the subsidiary MPSCS, primarily in Italian short-term government bonds and partial derivatives hedging (medium/long-term BTP futures). The increasing trend in the Italian credit spread registered at the end of May 2018 caused a significant increase in the VaR measurement, through the succession of spikes coinciding with the increase in the market parameters, incorporating new tail scenarios on the historical simulation model. In the last few months of the year, the Credit Spread VaR recorded a downward trend due to a decrease in exposure in Italian government bonds and partial recovery of the Italian credit spread.

MPS Group: Trading Book
VaR Credit Spread 99% 1 day in EUR/mln

	VaR	Date
End of Period	6.70	31/12/2018
Min	3.46	26/03/2018
Max	14.28	28/06/2018
Average	7.47	

For the purposes of sensitivity analysis, the simulation scenario is as follows:

- +1 bp parallel shift for all credit spreads.

All positions related to the Trading Book are classified as “Financial assets held for trading” for accounting purposes, with changes in market value posted directly to the income statement. Below is the overall effect of the scenario analyses.

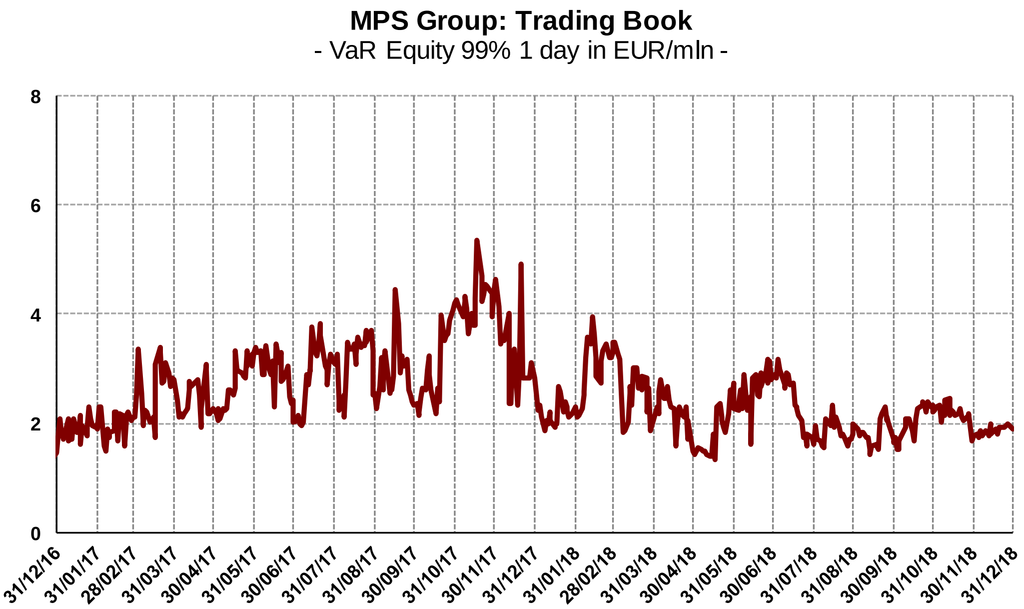
MPS Group: Trading Book
EUR/mln

Risk Family	Scenario	Global Effect
Credit Spread	+1bp all Curves	(0.34)

3.2 Price risk

Each business unit within the Group operates independently on the basis of the objectives and powers it has been assigned. The positions are managed by special desks provided with specific operational limits. Each desk adopts an integrated risk management approach (covering more than price risk, when allowed) in order to benefit from the natural hedge resulting from simultaneously holding positions on risk factors that are not perfectly correlated. The VaR by risk factor (specifically, Equity VaR) has management relevance for the purpose of risk management analyses, even though it is the global VaR diversified among risk factors and portfolios that is used by the operating units.

Below is information on the Group's diversified Equity VaR.



In 2018 the Equity VaR was influenced by activities related to the structuring and coverage of policies and other structured products of the subsidiary MPS Capital Services, and by the trading activity, mostly on options and futures with key market indexes as underlying. At the end of December, the Equity VaR came to EUR 1.89 mln, just below the average levels of the year.

MPS Group: Trading Book
VaR Equity 99% 1 day in EUR/mln

	VaR	Date
End of Period	1.89	31/12/2018
Min	1.32	17/05/2018
Max	3.94	13/02/2018
Average	2.21	

The simulated price scenarios are as follows:

- +1% of each equity or index price;
- -1% of each equity or index price;
- +1 point of all volatility surfaces of all equity risk factors.

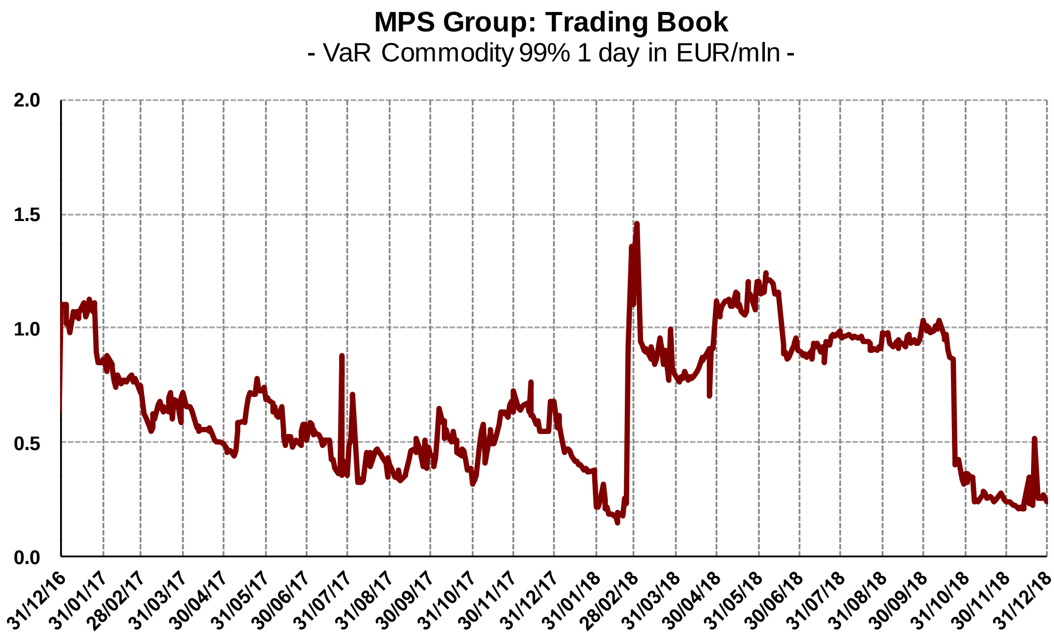
All positions related to the Trading Book are classified as "Financial assets held for trading" for accounting purposes, with changes in market value posted directly to the income statement. Below is the overall effect of the scenario analyses for the equity component:

MPS Group: Trading Book

EUR/mln

Risk Family	Scenario	Global Effect
Equity	+1% Equity Prices (prices, indices, basket)	(2.58)
Equity	-1% Equity Prices (prices, indices, basket)	2.46
Equity	+1% Equity Volatility	0.07

In terms of exposure to commodity risk, in 2018 trends in the Commodity VaR were influenced by proprietary trading activities of the subsidiary MPS Capital Services, mainly on options and futures with key commodity indexes as underlying (significant effect on the risk measurement's volatility and level). At the end of December 2018, the Commodity VaR came to EUR 0.24 mln, lower than the average for the year.



MPS Group
VaR Commodity 99% 1 day in EUR/mln

	VaR	Date
End of Period	0.24	31/12/2018
Min	0.15	15/02/2018
Max	1.46	02/03/2018
Average	0.75	

The simulated price scenarios are as follows:

- +1% of each commodity price,
- -1% of each commodity price,
- +1 point of all volatility surfaces of all commodity risk factors.

Below is the overall effect of the scenario analyses.

MPS Group: Trading Book
EUR/mln

Risk Family	Scenario	Global Effect
Commodity	+1% Commodity Prices	0.04
Commodity	-1% Commodity Prices	(0.04)
Commodity	+1% Commodity Volatility	(0.02)

1.2.2 Interest rate and price risk - banking book

Qualitative information

A. General aspects, operational processes and measurement methods for interest rate risk and price risk

A.1 Interest rate risk

The Banking Book consists of all exposures not included in the Trading Book and, in accordance with international best practices, identifies the set of the Group's commercial trades connected to the transformation of maturities in the assets and liabilities and ALM financial activities (treasury and risk hedging derivatives).

The strategic Banking Book rate risk choices are defined periodically in the IRRBB Strategy document approved by the Board of Directors and made operational within the Group's Finance and Liquidity Committee; these choices are based on interest rate risk measures expressed in terms of changes in economic value as well as interest margin.

With reference to the sensitivity test on economic value, the Montepaschi Group applies a predefined set of interest rate scenarios in line with the Basel guidelines, which envisage non-parallel movements of the curve aside from parallel shifts of 25, 100 and 200 bps. As interest margin analyses focus on the short term, they consider exclusively the application of parallel scenarios. The economic value sensitivity measures are determined by clearing the origination of the cash flows of the components not directly relating to interest rate risk.

The Group is committed to the continual updating of risk measurement methodologies by gradually fine-tuning the estimation models so as to include all major factors that progressively modify the interest rate risk profile of the banking book.

Risk metrics are calculated by using a model for the valuation of demand items (Non-Maturity Deposits, NMDs) whose characteristics of stability and partial insensitivity to interest rate changes are described in the systems with a statistical approach which takes into consideration the time series of customer behaviours.

In addition, the Montepaschi Group incorporates within rate risk measurements a behavioural model which takes into account the aspect of residential mortgage prepayment (so-called prepayment risk).

The Group adopts an interest rate risk governance and management system known as the IRRBB Framework which avails itself of:

- a quantitative model, which provides the basis for monthly calculation of the exposure of the Group and the individual companies to interest rate risk in terms of risk indicators;
- risk monitoring processes, aimed at periodically verifying compliance with the operational limits (risk limits and risk tolerance) assigned to the Group overall and to the individual legal entities within the Risk Appetite Statement;
- risk control and management processes, geared toward bringing about adequate initiatives for optimising the risk profile and activating any necessary corrective actions in the case of exceptions from and/or misalignments with the IRRBB Strategy.

Within the above system, the following responsibilities are centralised in the Parent Company:

- definition of strategic and operational policies for managing the Group's Banking Book and controlling its interest rate risk;
- coordination of Group policies' implementation by the companies included in the scope;
- governance of the Group’s short-, medium- and long-term rate risk position, both overall and at individual company level, through centralised operational management.

In its governance function, the Parent Company therefore defines criteria, policies, responsibilities, processes, limits and instruments for rate risk management.

The Group Companies included in the scope of application are responsible for abiding by the rate risk policies and limits defined by the Parent Company and the requirements set by the relevant Supervisory Authorities.

Within the model defined, the Finance, Treasury and Capital Management Area of the Parent Company is responsible for the operational management of the Group’s overall rate and liquidity risk.

Specifically, within the FTCM Area, the Group Treasury Service manages the short-term rate risk and liquidity risk for the Group. In addition, the Area carries out hedge monitoring and management activities consistent with accounting policies, involving centralised oversight for definition of the network's internal rates (BMPS and other Group companies) for Euro and foreign currency transactions with maturities beyond the short term.

A.2 Price risk

The Group’s Banking Book consists primarily of equity investments, equities and UCITS. Trading in UCITS is carried out exclusively through the direct purchase of the funds/SICAVs, with no use being made of derivative contracts.

Price risk is measured on equity positions held primarily for strategic or institutional/instrumental purposes other than equity investments (shares classified as "Financial assets measured at fair value through other comprehensive income" and UCITS).

Value-at-Risk (VaR), the methodology of which is described in Section 2 - "Market risks", is used to measure price risk.

Stress tests are conducted regularly as part of price risk governance strategies for the banking book in order to assess the Group's ability to absorb potential losses resulting from extreme events.

With reference to the equity investments component, the internal measurement system uses one of the metrics from the standardised Supervisory approach for the determination of the Internal Capital. This method calls for exposures to equity instruments to be assigned a risk weighting factor of 100% or 150% if high risk, unless they need to be deducted from Capital. The Capital deduction mechanisms according to current supervisory rules (CRD4/CRR) further expand the perimeter of deductions to also include non-significant investments in financial sector entities (<10%) and provide for deduction exemptions. It is worth noting that the most significant portion of the MPS Group's investment portfolio is included within the aggregate of significant investments in other financial sector entities (mainly the equity investment in the AXA Group).

Quantitative Information

1 Banking book: breakdown of financial assets and liabilities by residual life (repricing date)

This table has not been prepared since an analysis of the banking book's sensitivity to interest rate risk and price risk is produced based on internal models.

2 Banking book: internal models and other sensitivity analysis methods

2.1 Interest rate risk

The sensitivity of the Group, at the end of 2018, was indicative of exposure to rate reduction risk. The amount of economic value at risk in the event of a +100 bps parallel shift of the rate curve came to EUR +126.52 mln at the end of 2018 (vs. EUR -21.87 mln for a shift of -100 bps). However, if benchmarked against Capital, these values are below the level considered as the attention threshold by the Bank of Italy.

The sensitivity of the Group's net interest income (margin sensitivity) if rates increase by 25 bps amounts to EUR +21.13 mln at the end of 2018 (EUR -21.66 mln for -25 bps).

The internal measurement system is independently developed by the Risk Control Function of the Parent Company, which periodically reports on the extent of portfolio risks and their changes over time. The results are regularly brought to the attention of the Parent Company's Risk Management Committee and governing bodies.

2.2 Price risk

Shown below is a scenario analysis which includes all directional positions assumed, based on instructions from the Board of Directors or including those that operationally fall under the Banking Book of the Parent Company's Finance, Treasury and Capital Management Area (e.g. securities classified as "Financial assets measured at fair value through other comprehensive income") which are not included in the previously-reported scenario analyses for price risk in the Trading Book.

MPS Group: Banking Book

EUR/mln

Risk Family	Scenario	Global Effect
Equity	+1% Equity Prices (prices, indices, basket)	1.24
Equity	-1% Equity Prices (prices, indices, basket)	(1.24)
Equity	+1% Equity Volatility	0.00

For purposes of completeness, note that in the scenario analysis presented above, equity investments are excluded.

1.2.3 Foreign exchange risk

Qualitative information

A. Foreign exchange risk: general aspects, operational processes and measurement methods.

Foreign exchange operations are mainly based on short-term trading, with the systematic balance of the transactions originated by the franchise and the retail banks which automatically feed into the Group's position.

Trading is mainly carried out by the Parent Company's Finance, Treasury & Capital Management Service; trading in the FX options segment is carried out by subsidiary MPSCS, with active management of foreign exchange risk. The foreign branches of the Parent Company maintained modest forex positions exclusively originated by funds available for commercial purposes. The turnover in cash allocated to Group portfolios and OTC derivatives for MPSCS remained stable in terms of risk, with ongoing and careful use of delegated powers. Foreign currency equity investments are typically financed by funds denominated in the same currency, with no assumption of foreign exchange risk.

For a description of stress tests used in the risk governance strategy on exchange rates and the model applied, please refer to the section "Market risk management model for the Trading Book".

B. Hedging of exchange rate risk

Quantitative Information

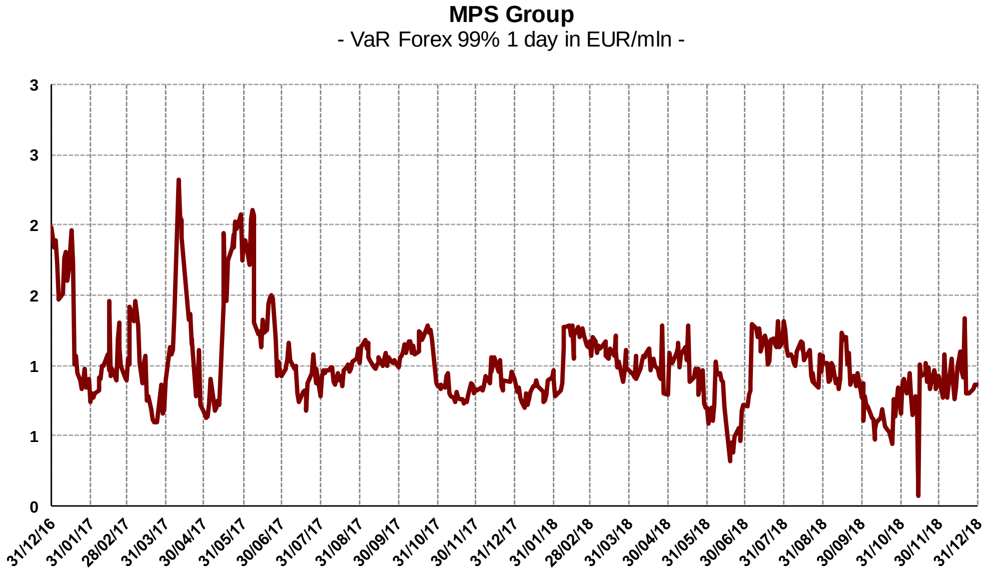
1. Breakdown by currency of assets, liabilities and derivatives

31 12 2018

Items	Currencies					
	US dollar	Pound sterling	Yen	Canadian Dollars	Swiss Franc	Other currencies
A. Financial assets	**2,089,074**	**35,837**	**45,369**	**5,498**	**69,032**	**93,309**
A.1 Debt securities	557,585	437	-	-	1,599	3
A.2 Equity securities	27,457	336	887	-	1,648	1,453
A.3 Loans to banks	798,000	11,917	18,729	4,098	52,880	76,600
A.4 Loans to customers	706,032	23,147	25,753	1,400	12,905	15,253
A.5 Other financial assets	-	-	-	-	-	-
B. Other assets	**119,456**	**4,101**	**2,195**	**612**	**921**	**4,080**
C. Financial liabilities	**1,287,222**	**30,181**	**16,382**	**7,735**	**45,215**	**67,170**
C.1 Deposits from banks	779,737	4,662	13,158	4,193	40,697	56,254
C.2 Customer accounts	462,659	25,519	3,224	3,542	4,518	10,916
C.3 Debt securities	44,826	-	-	-	-	-
C.4 Other financial liabilities	-	-	-	-	-	-
D. Other liabilities	**19,676**	**9,278**	**2,168**	**362**	**17**	**4,162**
E. Financial derivatives						
- Options						
+ Long positions	632,425	56,146	5,805	-	4,477	139,041
+ Short positions	557,339	98,811	6,031	-	2,239	277,045
- Other						
+ Long positions	2,530,886	181,316	24,994	15,941	21,092	254,881
+ Short positions	3,695,256	174,414	53,721	10,558	16,967	133,219
Total assets	**5,371,841**	**277,400**	**78,363**	**22,051**	**95,522**	**491,311**
Total liabilities	**5,559,493**	**312,684**	**78,302**	**18,655**	**64,438**	**481,596**
Difference (+/-)	**(187,652)**	**(35,284)**	**61**	**3,396**	**31,084**	**9,715**

2. Internal models and other sensitivity analysis methods

Exchange risk is monitored in terms of VaR and scenario analysis (for the methodology see the paragraph "Market Risk Management Model for the Trading Book"). Shown below is information concerning the Group's diversified Forex VaR.



The Group's Forex VaR level in 2018 is represented by the Parent Company's exposure to bonds in foreign currency (USD), mainly in the financial category, recognised under "Financial assets measured at amortised cost". Forex VaR volatility in 2018 was influenced by temporary variations of exposure of the Trading Book of subsidiary MPS Capital Services, due to client-driven activities on the EUR/USD exchange rate.

At the end of December, the Forex VaR came to EUR 0.86 mln, slightly lower than the average for the year.

MPS Group

VaR Forex 99% 1 day in EUR/mln

	VaR	Date
End of Period	0.86	31/12/2018
Min	0.08	14/11/2018
Max	1.34	20/12/2018
Average	0.93	

The following scenarios were used for foreign exchange rate simulations:

- +1% for all foreign exchange rates to the Euro,
- -1% for all foreign exchange rates to the Euro,
- +1 point for all volatility surfaces of all foreign exchange rates.

The impact on total income from banking activities and profit/loss for the year was estimated taking account only of positions classified as "Financial assets held for trading" for accounting purposes, with market value changes posted directly to the income statement. Instead, the effect on equity is estimated with reference to all positions classified as "Financial assets measured at fair value through other comprehensive income" and related fair value hedges (FVH). The total effect is the result of the algebraic sum of the two components. Below is a summary of the scenario analyses.

MPS Group

EUR/mln

Risk Family	Scenario	Impact on net interest and other banking income and net profit	Impact on shareholders' equity	Global Effect
Forex	+1% Exchange rate agains	0.18	(0.07)	0.12
Forex	-1% Exchange rate agains	(0.18)	0.07	(0.11)
Forex	+1% Forex Volatility	0.12	0.00	0.12

1.3 - Derivatives and hedging policies

1.3.1 Derivatives for trading

A. Financial derivatives

A.1 Financial derivatives for trading: end of period notional amounts

Underlying asset/Type of derivative	Total 31 12 2018				Total 31 12 2017*			
	Over the counter			Organised financial markets	Over the counter			Organised financial markets
	Central couterparties	No Central counterparties			Central couterparties	No Central counterparties		
		Contracts subject to Master netting agreements	Contracts not subject to Master netting agreements			Contracts subject to Master netting agreements	Contracts not subject to Master netting agreements	
1. Debt securities and interest rate	**-**	**359,578,915**	**6,996,012**	**-**	**-**	**217,353,236**	**6,388,673**	**-**
a) Options	-	36,759,812	1,953,047	-	-	28,740,147	2,250,583	-
b) Swaps	-	319,725,861	4,168,487	-	-	187,292,929	4,082,536	-
c) Forward	-	-	874,478	-	-	-	55,554	-
d) Futures	-	3,093,242	-	-	-	1,320,160	-	-
e) Other	-	-	-	-	-	-	-	-
2. Equity securities and stock indices	**-**	**10,321,261**	**8,631**	**43,080**	**350,155**	**12,835,215**	**69,439**	**-**
a) Options	-	8,478,973	8,631	20,363	285,250	12,157,503	69,439	-
b) Swaps	-	1,445,575	-	-	-	244,646	-	-
c) Forward	-	-	-	-	-	-	-	-
d) Futures	-	396,713	-	22,717	64,905	433,066	-	-
e) Other	-	-	-	-	-	-	-	-
3. Exchange rates and gold	**-**	**1,986,996**	**2,688,163**	**-**	**-**	**1,920,094**	**3,209,999**	**-**
a) Options	-	300,593	914,379	-	-	224,911	1,003,948	-
b) Swaps	-	1,304,047	-	-	-	1,470,272	-	-
c) Forward	-	371,631	1,773,079	-	-	224,911	2,206,051	-
d) Futures	-	10,725	-	-	-	-	-	-
e) Other	-	-	705	-	-	-	-	-
4. Commodities	**-**	**385,535**	**134,160**	**-**	**-**	**467,350**	**214,031**	**-**
5.Other underlying	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**
Total	**-**	**372,272,707**	**9,826,966**	**43,080**	**350,155**	**232,575,895**	**9,882,142**	**-**

** The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 9; in addition, the comparative data were reclassified on the basis of the new accounting statements set forth in the 5th update of Bank of Italy Circular 262.*

A.2 Financial derivatives for trading: gross positive and negative fair value - breakdown by products

Underlying asset/Type of derivative	Total 31 12 2018				Total 31 12 2017*			
	Over the counter			Organised financial markets	Over the counter			Organised financial markets
	Central couterparties	No Central counterparties			Central couterparties	No Central counterparties		
		Contracts subject to Master netting agreements	Contracts not subject to Master netting agreements			Contracts subject to Master netting agreements	Contracts not subject to Master netting agreements	
1. Positive Fair value								
a) Options	-	247,996	25,952	4,489	6,806	344,267	68,632	-
b) Interest rate swap	-	3,913,814	177,134	-	-	3,690,811	221,172	-
c) Cross currency swap	-	9,034	-	-	-	16,073	-	-
d) Equity swap	-	17,418	-	-	-	11,819	-	-
e) Forward	-	4,227	13,302	-	-	5,296	51,557	-
f) Futures	-	2,395	-	-	-	1,671	-	-
g) Other	-	5,207	20,567	-	-	3,279	11,536	-
Total	**-**	**4,200,091**	**236,955**	**4,489**	**6,806**	**4,073,216**	**352,898**	**-**
2. Negative fair value								
a) Options	-	261,446	20,228	4	2,251	520,313	16,604	-
b) Interest rate swap	-	2,138,742	3,509	-	-	2,013,185	16,566	-
c) Cross currency swap	-	32,138	-	-	-	36,836	-	-
d) Equity swap	-	30,642	-	-	-	4,525	-	-
e) Forward	-	7,156	56,430	-	-	11,206	8,669	-
f) Futures	-	3,721	-	-	-	3,533	-	-
g) Other	-	11,284	5,963	-	-	2,113	14,623	-
Total	**-**	**2,485,129**	**86,130**	**4**	**2,251**	**2,591,711**	**56,462**	**-**

* *The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 9; in addition, the comparative data were reclassified on the basis of the new accounting statements set forth in the 5th update of Bank of Italy Circular 262.*

A.3 Financial derivatives for OTC trading: notional amounts, gross positive and negative fair value - breakdown by counterparty

31 12 2018

Underlying assets	Central Counterparties	Banks	Other Fiancial Companies	Other entities
Contracts not subject to master netting agreements				
1) Debt securities and interest rates				
- notional value	X	15,436	736,924	6,243,653
- positive fair value	X	-	3,382	183,271
- negative fair value	X	2,195	8,234	37,909
2) Equity securities and stock indices				
- notional value	X	321	6,545	1,766
- positive fair value	X	217	6,657	1
- negative fair value	X	-	-	-
3) Exchange rates and gold				
- notional value	X	685,634	73,470	1,929,059
- positive fair value	X	4,902	250	16,214
- negative fair value	X	3,123	292	28,168
4) Commodities				
- notional value	X	-	-	134,160
- positive fair value	X	-	-	22,058
- negative fair value	X	-	-	6,208
5) Other underlying				
Contracts subject to master netting agreements				
1) Debt securities and interest rates				
- notional value	-	188,961,082	169,968,160	649,672
- positive fair value	-	1,438,839	2,550,173	19,940
- negative fair value	-	872,756	1,364,281	146
2) Equity securities and stock indices				
- notional value	-	2,190,566	8,130,696	-
- positive fair value	-	45,118	124,250	-
- negative fair value	-	51,394	139,356	-
3) Exchange rates and gold				
- notional value	-	1,695,300	291,695	-
- positive fair value	-	12,226	1,479	-
- negative fair value	-	41,206	273	-
4) Commodities				
- notional value	-	13,579	371,956	-
- positive fair value	-	922	7,144	-
- negative fair value	-	1,901	13,815	-
5) Other underlying				

A.4 Residual life of financial derivatives for OTC trading: notional amounts

Underlying asset/residual life	Up to 1 year	1 to 5 years	Over 5 years	Total
A.1 Financial derivatives on debt securities and interest rates	105,407,071	206,709,627	54,458,229	366,574,927
A.2 Financial derivatives on equity securities and stock indices	5,268,483	4,706,477	354,932	10,329,892
A.3 Financial derivatives on exchange rates and gold	3,395,735	1,279,424	-	4,675,159
A.4 Financial derivatives on other underlying assets	490,016	29,679	-	519,695
A.5 Other financial derivatives	-	-	-	-
Total 31 12 2018	**114,561,305**	**212,725,207**	**54,813,161**	**382,099,673**
Total 31 12 2017*	**53,449,546**	**141,648,389**	**47,360,105**	**242,458,040**

** The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 9; in addition, the comparative data were reclassified on the basis of the new accounting statements set forth in the 5th update of Bank of Italy Circular 262.*

B. Credit derivatives

B.1. Credit derivatives for trading: end of period notional amounts

Transaction categories	Trading book	
	single name	with multiple counterparties (basket)
1. Purchases of protection		
a) Credit default products	523,552	279,400
b) Credit spread products	-	-
c) Total rate of return swap	-	-
d) Others	-	-
Total 31 12 2018	**523,552**	**279,400**
Total 31 12 2017*	**563,793**	**58,815**
2. Sales of protection	**-**	**-**
a) Credit default products	2,715,109	288,570
b) Credit spread products	-	-
c) Total rate of return swap	-	-
d) Others	-	-
Total 31 12 2018	**2,715,109**	**288,570**
Total 31 12 2017*	**2,321,488**	**3,815**

** The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 9; in addition, the comparative data were reclassified on the basis of the new accounting statements set forth in the 5th update of Bank of Italy Circular 262.*

B.2. OTC credit derivatives: gross positive and negative fair value - breakdown by products

	Total 31 12 2018	Total 31 12 2017*
1. Positive fair value	**-**	**-**
a) Credit default products	14,596	11,415
b) Credit spread products	-	-
c) Total rate of return swap	-	-
d) Other	-	-
Total	**14,596**	**11,415**
2. Negative fair value	**-**	**-**
a) Credit default products	56,429	34,211
b) Credit spread products	-	-
c) Total rate of return swap	-	-
d) Other	-	-
Total	**56,429**	**34,211**

** The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 9; in addition, the comparative data were reclassified on the basis of the new accounting statements set forth in the 5th update of Bank of Italy Circular 262.*

B.3. Credit derivatives for OTC trading: notional amounts, gross (positive and negative) fair value - breakdown by counterparty

31 12 2018

Contracts not subject to netting agreements	Central counterparties	Banks	Other financial companies	Other entities
Contracts not subject to master netting agreements				
1) Purchase of protection				
2) Sales of protection				
Contracts subject to master netting agreements				
1) Purchase of protection				
- notional value	-	331,980	470,972	-
- positive fair value	-	559	7,400	-
- negative fair value	-	2,278	4,310	-
2) Sales of protection				
- notional value	-	334,893	2,668,786	-
- positive fair value	-	1,983	4,655	-
- negative fair value	-	90	49,752	-

B.4 Residual life of credit derivatives for OTC trading: notional amounts

Underlying asset/residual life	Up to 1 year	1 to 5 years	Over 5 years	Total
1. Sales of protection	114,500	2,079,894	809,285	3,003,679
2. Purchase of protection	114,500	558,452	130,000	802,952
Total 31 12 2018	**229,000**	**2,638,346**	**939,285**	**3,806,631**
Total 31 12 2017*	**135,801**	**1,274,069**	**1,538,040**	**2,947,910**

** The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 9; in addition, the comparative data were reclassified on the basis of the new accounting statements set forth in the 5th update of Bank of Italy Circular 262.*

B.5 Credit derivatives connected to the fair value option: annual changes

This table was not completed as the Group has no such liabilities to report for either the current or the previous year.

.

1.3.2 Hedges

Qualitative information

The purpose of interest rate risk hedging is to protect the banking book from changes in the fair value of deposits and loans caused by movements in the interest rate curve or to reduce the variability of cash flows linked to a particular asset/liability.

At Group level, the risk predominantly hedged is the interest rate risk with fair value hedges, for a total of approximately EUR 40 bn in nominal amount of hedging derivatives.

The Group uses IAS-compliant hedges for interest rate risk management, such as:

- Micro Fair Value Hedges: hedging of non-trading assets (loans/mortgage loans), securities and bonds held;
- Macro Fair Value Hedges: hedging of non-trading assets (loans/mortgage loans) and corporate funding (time deposits);
- Micro Cash Flow Hedges: hedging of floating-rate deposits.
- Macro Cash Flow Hedges: hedging of retail floating-rate deposits.

in addition to the above, the Group uses the Fair Value Option for some types of business activities. In particular, the Fair Value Option was used for (structured and fixed rate) debt securities, in particular when:

- ✓ the Group intended to maintain the hedge on the risk of fair value changes, stipulated at the time of issue, for the contractual duration and entire amount of the hedged position;
- ✓ the Group assumed the commitment to repurchase its securities at the issue spread.

A. Fair value hedging

The fair value hedges at Group level regard both micro hedges of assets and liabilities, identified specifically and represented by government bonds in the Banking Book and bonds issued by the Parent Company, as well as macro hedges (Macro hedge - version with Bottom Layer closed portfolio approach) of retail fixed-rate deposits.

The derivatives used for this purpose are predominantly interest rate swaps (IRS).

B. Cash-flow hedging

The Group's cash flow hedges mainly regard micro hedges of floating-rate bonds.

The derivatives used for this purpose are predominantly interest rate swaps (IRS).

C. Hedging of foreign investments

The Group does not have any such hedging in place.

D. Hedging instruments

Usually, for the various hedging transactions (Macro/Micro), no hedging derivative has a situation of ineffectiveness such as to substantially change the hedging relationship, either at the time of initial designation or subsequently. Therefore, there are no significant effects on comprehensive income.

E. Hedged items

At Group level, the elements hedged with hedge accounting transactions are primarily government securities, the Parent Company's fixed-rate issues, and residential mortgages at fixed and variable rates.

The hedges on government securities and the Parent Company's fixed-rate issues are either full or partial hedges and the hedged risk is mainly "interest rate risk", the derivative instruments used are essentially IRSs (interest rate swaps), and the hedging relationship is IAS compliant (designation form is drafted and effectiveness is measured monthly).

The hedges on residential mortgages at fixed rates are substantially partial hedges and the hedged risk is mainly "interest rate risk", the derivative instruments used are essentially IRSs (interest rate swaps), and the hedging relationship is IAS compliant (designation form is drafted and effectiveness is measured monthly).

Quantitative Information

A. Financial hedging derivatives

A.1 Financial hedging derivatives: end of period notional amounts

Underlying asset/Type of derivative	Total 31 12 2018				Total 31 12 2017*			
	Over the counter			Organised financial markets	Over the counter			Organised financial markets
	Central couterparties	No Central counterparties			Central couterparties	No Central counterparties		
		Contracts subject to master netting agreements	Contracts not subject to master netting agreements			Contracts subject to master netting agreements	Contracts not subject to master netting agreements	
1. Debt securities and interest rate	**-**	**38,599,458**	**-**	**-**	**-**	**30,032,679**	**1,973,308**	**-**
a) Options	-	3,883,249	-	-	-	3,727,960	-	-
b) Swaps	-	34,716,209	-	-	-	26,304,719	1,973,308	-
c) Forward	-	-	-	-	-	-	-	-
d) Futures	-	-	-	-	-	-	-	-
e) Other	-	-	-	-	-	-	-	-
2. Equity securities and stock indices	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**
a) Options	-	-	-	-	-	-	-	-
b) Swaps	-	-	-	-	-	-	-	-
c) Forward	-	-	-	-	-	-	-	-
d) Futures	-	-	-	-	-	-	-	-
e) Other	-	-	-	-	-	-	-	-
3. Exchange rates and gold	**-**	**382,009**	**-**	**-**	**-**	**379,809**	**-**	**-**
a) Options	-	-	-	-	-	-	-	-
b) Swaps	-	382,009	-	-	-	379,809	-	-
c) Forward	-	-	-	-	-	-	-	-
d) Futures	-	-	-	-	-	-	-	-
e) Other	-	-	-	-	-	-	-	-
4. Commodities	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**
5.Other underlying	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**
Total	**-**	**38,981,467**	**-**	**-**	**-**	**30,412,488**	**1,973,308**	**-**

** The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 9; in addition, the comparative data were reclassified on the basis of the new accounting statements set forth in the 5th update of Bank of Italy Circular 262.*

A.2 Financial hedging derivatives: gross positive and negative fair value - breakdown by products

Underlying asset/Type of derivative	Total 31 12 2018				Total 31 12 2017*			
	Over the counter			Organised financial markets	Over the counter			Organised financial markets
	Central couterparties	No Central counterparties			Central couterparties	No Central counterparties		
		Contracts subject to master netting agreements	Contracts not subject to master netting agreements			Contracts subject to master netting agreements	Contracts not subject to master netting agreements	
1. Positive fair value								
a) Options	-	2,405	-	-	-	3,586	-	-
b) Interest rate swap	-	219,707	-	-	-	297,458	1,888	-
c) Cross currency swap	-	1,190	-	-	-	-	-	-
d) Equity swap	-	-	-	-	-	-	-	-
e) Forward	-	-	-	-	-	-	-	-
f) Futures	-	-	-	-	-	-	-	-
g) others	-	-	-	-	-	-	-	-
Total	**-**	**223,302**	**-**	**-**	**-**	**301,044**	**1,888**	**-**
2. Negative fair value								
a) Opzioni	-	102,355	-	-	-	84,037	-	-
b) Interest rate swap	-	738,562	-	-	-	747,320	-	-
c) Cross currency swap	-	34,198	-	-	-	8,762	-	-
d) Equity swap	-	-	-	-	-	-	-	-
e) Forward	-	-	-	-	-	-	-	-
f) Futures	-	-	-	-	-	-	-	-
g) Others	-	-	-	-	-	-	-	-
Total	**-**	**875,115**	**-**	**-**	**-**	**840,119**	**-**	**-**

** The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 9; in addition, the comparative data were reclassified on the basis of the new accounting statements set forth in the 5th update of Bank of Italy Circular 262.*

A.3 Financial OTC hedging derivatives: notional amounts, gross positive and negative fair value - breakdown by counterparty

31 12 2018

Contracts not subject to netting agreements	Central counterparties	Banks	Other financial companies	Other entities
Contracts not subject to master netting agreements				
1) Debt securities and interest rates				
2) Equity securities and stock indices				
3) Exchange rates and gold				
4) Commodities				
5) Other underlying				
Contracts subject to master netting agreements				
1) Debt securities and interest rates				
- notional value	-	34,512,027	627,735	3,459,697
- positive fair value	-	219,256	645	2,211
- negative fair value	-	800,763	36,414	3,739
2) Equity securities and stock indices				
3) Exchange rates and gold				
- notional value	-	382,009	-	-
- positive fair value	-	1,190	-	-
- negative fair value	-	34,198	-	-
4) Commodities				
5) Other underlying				

A.4 Residual life of financial OTC hedging derivatives: notional amounts

Underlying asset/residual life	Up to 1 year	1 to 5 years	Over 5 years	Total
A.1 Financial derivatives on debt securities and interest rates	8,400,542	20,588,686	9,610,230	38,599,458
A.2 Financial derivatives on equity securities and stock indices	-	-	-	-
A.3 Financial derivatives on exchange rates and gold	382,009	-	-	382,009
A.4 Financial derivatives on other underlying assets	-	-	-	-
A.5 Other financial derivatives				
Total 31 12 2018	**8,782,551**	**20,588,686**	**9,610,230**	**38,981,467**
Total 31 12 2017*	**5,033,115**	**21,109,217**	**6,243,464**	**32,385,796**

** The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 9; in addition, the comparative data were reclassified on the basis of the new accounting statements set forth in the 5th update of Bank of Italy Circular 262.*

B. Credit hedging derivatives

B.1 Credit hedging derivatives: end of period notional amounts

B.2 Credit hedging derivatives: gross positive and negative fair value - breakdown by products

B.3 Credit OTC hedging derivatives: notional amounts, gross positive and negative fair value - breakdown by counterparty

B.4 Residual life of credit OTC hedging derivatives: notional amounts

The table above was not completed as the Group had no outstanding credit hedging derivatives for either the current or the previous year.

C. Non-derivative hedging instruments

C.1 Non-derivative hedging instruments: breakdown by portfolio and hedge type

D. Hedged instruments

D.1 Fair value hedges

D.2 Cash-flow and foreign investment hedging

E. Effects of hedging transactions on equity

E.1. Reconciliation of net equity items

The tables for Sections C, D and E were not completed, as the Group exercised the option, envisaged on first-time application of IFRS 9, to continue to use, as regards "hedge accounting", the provisions of IAS 39.

1.3.3 Other information on derivatives (trading and hedging)

A. Financial and credit derivatives

A.1 OTC financial and credit derivatives: net fair value by counterparty

31 12 2018

Underlying assets	Central counterparties	Banks	Other financial companies	Other entities
A. Financial derivatives				
1. Debt securities and interest rates				
- notional value	-	223,488,545	171,332,819	10,353,022
- positive fair value	-	-	3,382	183,271
- negative fair value	-	2,195	8,234	37,909
2. Equity securities and stock indices				
- notional value	-	2,190,887	8,137,240	1,766
- positive fair value	-	217	6,657	1
- negative fair value	-	-	-	-
3. Exchange rates and gold				
- notional value	-	2,762,943	365,166	1,929,059
- positive fair value	-	4,902	250	16,214
- negative fair value	-	3,123	292	28,168
4) Commodities				
- notional value	-	13,579	371,956	134,160
- positive fair value	-	-	-	22,058
- negative fair value	-	-	-	6,208
4. Other underlying				
- notional value	-	-	-	-
- positive fair value	-	525,959	1,255,291	19,940
- negative fair value	-	610,551	163,347	1,674
B. Credit derivatives				
1. Purchase of protection				
- notional value	-	331,980	470,972	-
- positive fair value	-	-	3,042	-
- negative fair value	-	-	-	-
2. Sales of protection				
- notional value	-	334,893	2,668,786	-
- positive fair value	-	-	-	-
- negative fair value	-	-	2,957	-

1.4 - Liquidity risk

Qualitative information

A. Liquidity risk: general aspects, operational processes and measurement methods

In 2018, the Group continued to strengthen and boost the efficiency of its strategic and operating liquidity risk management processes, placing particular attention on the integration of the forward-looking projections for the main liquidity indicators in the company's decision-making processes.

Group Liquidity Risk Framework

The Group has used a **Liquidity Risk Framework** for many years now, intended as the set of tools, methodologies, organisational and governance setups which ensures both compliance with national and international regulations and adequate liquidity risk governance in the short (Operating Liquidity) and medium/long (Structural Liquidity) term, under business as usual and stress conditions. The reference Liquidity Risk model for the Montepaschi Group is "centralised" and calls for the management of short-term liquidity reserves and medium/long-term financial balance at Parent Company level, guaranteeing solvency on a consolidated and individual basis for the Subsidiaries.

Management of the Group's **Operating Liquidity** is intended to ensure the Group is in a position to meet cash payment obligations in the short term. The essential condition for a normal course of business in banking is the maintenance of a sustainable imbalance between cash inflows and outflows in the short term. From the operational perspective, the benchmark metric in this respect is the difference between net cumulative cash flows and Counterbalancing Capacity, i.e. the reserve of liquidity in response to stress conditions over a short time horizon, in addition to the Liquidity Coverage Ratio (LCR) regulatory measure. From the extremely short-term perspective, the Group adopts a system for the analysis and monitoring of intraday liquidity, with the goal of ensuring normal development during the day of the bank's treasury and its capacity to meet its intraday payment commitments.

Management of the Group's **Structural Liquidity** is intended to ensure the structural financial balance by maturity buckets over a time horizon of more than one year, both at Group and individual company level. Maintenance of an adequate dynamic ratio between medium/long term assets and liabilities is aimed at preventing current and prospective short-term funding sources from being under pressure. The benchmark metrics are gap ratios which measure the ratio of total loans over more-than-1-year and more-than-3-year maturity deposits and the ratio of loans to retail/corporate deposits regardless of their maturities, in addition to the regulatory measurement of the Net Stable Funding Ratio (NSFR) in accordance with the BCBS definition. The Group also defined and formalised the asset encumbrance management and monitoring framework with the goal of analysing:

- the overall degree of encumbrance of total assets;
- the existence of a sufficient quantity of assets that may be encumbered but which are free;
- the Group's capacity to transform bank assets into eligible assets (or in an equivalent manner, to encumber non-eligible assets in bilateral transactions).

The liquidity position is monitored under business-as-usual conditions and under specific and/or system-wide stress scenarios based on the Liquidity Stress Test Framework. The exercises have the twofold objective of promptly reporting the Group's major vulnerabilities in exposure to liquidity risk and allowing for prudential determination of surveillance levels, to be applied to the Liquidity Risk measurement metrics within the scope of the annual Risk Appetite Statement.

Within the scope of Risk Appetite Framework, the Liquidity Risk Framework identifies the tolerance thresholds for liquidity risk, that is to say the maximum risk exposure deemed sustainable in a business-as-usual scenario and under stress conditions. The short/medium and long-term liquidity risk limits derive from the setting of these risk appetite thresholds. The system of operating limits, known as Liquidity Risk Limits, is defined so as to make it possible to promptly identify approaches towards the risk tolerance threshold defined in the annual Risk Appetite Statement process.

In order to immediately identify the emergence of vulnerabilities in the liquidity position, the Group has developed a range of Early Warnings, classified as generic or specific depending on whether the individual indicator is designed to detect potential vulnerabilities in the overall economic context of reference or in the Group structure.

Operating and structural liquidity management is governed by the Parent Company's Liquidity Management Department, which is responsible for defining and implementing funding strategies in the short and medium/long-term.

With reference to the management of operating liquidity, Liquidity Management manages the Group's "liquidity reserves" so as to guarantee the Parent Company's capacity to deal with expected and unexpected outflows, to that end making recourse to various interbank market instruments (unsecured deposits, collateralised deposits, repos) as well as transactions with the Central Bank.

With regard to the management of structural liquidity, Liquidity Management pursues the objectives laid out in detail in the annual Funding Plan which outlines the medium/long-term strategies defined on an operational basis in the "Liquidity and Funding Strategy". The Group's Liquidity and Funding Strategy defines the funding activity guidelines of the BMPS Group in terms of risk appetite, with a three-year time horizon, in compliance with the long-term risk tolerance thresholds on operating and structural liquidity indicators, internal and regulatory, defined within the Group's Risk Appetite Statement (RAS).

In addition, to complete the Funding Plan, Liquidity Management prepares the **Contingency Funding Plan**, which represents the operational tool for liquidity risk management intended to define intervention strategies in the case of extreme liquidity tensions, laying out procedures and actions that may be promptly activated to obtain sources of funds in emergencies. The strategies to be applied are defined on a case by case basis by the Management Committee at its Liquidity Stress/Crisis session considering the type, duration and intensity of the crisis and the reference context when the crisis takes place.

Lastly, the overall internal liquidity adequacy assessment process takes place periodically as part of the strategic ILAAP consisting mainly of:

- ILAAP Outcomes, or quantitative (inherent risk) and qualitative (risk management and controls) assessments on risk positioning prepared by the Risk Control function for the Board of Directors;
- Liquidity Adequacy Statement (LAS), i.e., the summary statement of the Board of Directors which expresses its vision of liquidity adequacy management.

Liquidity position: regulatory indicators

The Group uses the following main indicators to assess its liquidity profile:

- Liquidity Coverage Ratio (LCR), which is the short-term liquidity indicator corresponding to the ratio between the amount of high quality liquid assets and the total net cash outflows in the subsequent 30 calendar days. Starting from 2018, the indicator has been subject to a minimum regulatory requirement of 100%;
- Net Stable Funding Ratio (NSFR), which is the structural 12-month liquidity indicator corresponding to the ratio between the available stable funding amount and the compulsory stable funding amount. Although there is no minimum regulatory requirement for this indicator, it is included in supervisory reporting every quarter; and

- Loan to Deposit Ratio, representing the ratio between loans to customers and direct funding, excluding transactions with central counterparties.

Trends in these three indicators during the reference year are shown below.

	Regulatory requirement	31 12 2018	31 12 2017
LCR	100%	232%	199%
NSFR *		112%	110%
Loan to Deposit Ratio **		96,0%	84,4%

(*) Note that the NSFR figure represents a calculation provided exclusively for informational purposes and is calculated in accordance with the provisions laid out in the document published by the Basel Committee in October 2014 (Basel III: The net stable funding ratio, Basel Committee on Banking Supervision), pending regulatory provisions, which could be different with reference to the aggregates to be considered as well as any weighting factors to be applied to them.

(**) Calculated as Loans to customers/(Deposits from customers + Debt securities issued + Financial liabilities measured at fair value) using data extracted from the 2017 and 2018 financial statements, respectively.

The short-term liquidity indicator, the Liquidity Coverage Ratio (LCR), was 232% as at 31 December 2018, higher than the minimum regulatory requirement for 2018 (100%), and up from December 2017 (199%). Moreover, please note that the quantification of the aggregates at the basis of the calculation of the liquidity indicators described above does not contain discretionary assessments.

The medium/long-term liquidity indicator, the Net Stable Funding Ratio (NSFR), was 112% as at 31 December 2018, representing considerable growth since December 2017 (110%).

The liquidity position showed further strengthening in 2018, despite the difficult market conditions and the EUR 7.5 bn bond maturity (EUR 3 bn in government-backed bonds, EUR 1 bn in covered bonds, and EUR 3.5 bn in bonds placed with retail customers). This is due to the stabilisation of direct commercial funding, after the significant increase in 2017, the increase in secured funding (mainly from non-ECB eligible assets) and the positive contribution from:

- the issue, in January, of a Tier 2 fixed-rate subordinated bond with 10-year maturity (redeemable in advance starting from the fifth year at the issuer's option, subject to regulatory approval), for EUR 750 mln;

- completion of the process launched in 2017 of securitisation of a portfolio of EUR 24.1 bn in bad loans of the MPS Group. The transaction involved the issuance by the securitisation vehicle, pursuant to Italian Law 130/99, which purchased the BMPS portfolio of bad loans, of the following securities (ABS – Asset-Backed Securities):
  - senior notes for EUR 2,918 mln, assigned a rating of A3/BBB+/BBB, respectively, from the Moody's, Scope, and DBRS rating agencies. The securities, which benefit from the GACS, granted by Decree of the MEF on 28 June 2018, were subscribed by the Originator Banks, which may sell them on the market and use them as collateral in financing transactions.
  - mezzanine notes for EUR 847.6 mln, without rating, 95% of which were sold in January 2018 to the Atlante Fund managed by Quaestio Capital SGR;
  - junior notes for EUR 565 mln, without rating, 95% of which were sold in June 2018 to the same Atlante Fund.

As at 31 December 2018 the operating liquidity position showed an unencumbered counterbalancing capacity of EUR 21.2 bn, essentially unchanged compared to 31 December 2017 (EUR 21.1 bn).

Quantitative Information

1. Breakdown of financial assets and liabilities by residual contractual duration - Currency: Euro

Account / Maturity	On demand	1 to 7 days	7 to 15 days	15 days to 1 month	1 to 3 months	3 to 6 months	6 months to 1 year	1 to 5 years	over 5 years	Unspecified maturity
Balance-sheet assets	15,633,130	1,023,081	1,077,389	1,800,896	4,764,540	5,100,459	7,327,731	30,901,742	42,363,009	7,136,786
A.1 Government securities	86	1	2	100,250	167,377	996,107	2,119,710	10,409,698	5,131,797	-
A.2 Other debt securities	106,157	63	9,461	16,418	37,437	43,356	82,403	664,968	4,368,521	71,379
A.3 Units of UCITS	167,644	-	-	-	13	-	-	-	-	-
A.4 Loans	15,359,243	1,023,017	1,067,926	1,684,228	4,559,713	4,060,996	5,125,618	19,827,076	32,862,691	7,065,407
- Banks	3,765,808	51,419	76,924	46,158	168,870	248,370	407,908	34,288	149,625	6,507,634
- Customers	11,593,435	971,598	991,002	1,638,069	4,390,843	3,812,626	4,717,710	19,792,788	32,713,066	557,773
Balance-sheet liabilities	59,641,927	2,208,009	998,271	1,772,655	6,265,103	5,209,678	3,962,520	28,920,426	4,163,398	339,885
B.1 Deposits and current accounts	54,031,079	109,900	115,101	514,991	1,109,493	1,256,729	525,726	5,007,840	15,154	-
- Banks	1,144,743	-	-	-	-	-	2	40,000	-	-
- Customers	52,886,336	109,900	115,101	514,991	1,109,493	1,256,729	525,724	4,967,840	15,154	-
B.2 Debt securities	2,289,019	861	440	62,414	553,875	1,097,672	324,188	5,730,879	2,936,480	339,885
B.3 Other liabilities	3,321,829	2,097,248	882,730	1,195,250	4,601,735	2,855,277	3,112,606	18,181,707	1,211,764	-
Off-balance-sheet transactions										
C.1 Financial derivatives with exchange of principal	-	-	-	-	-	-	-	-	-	-
- long positions	178,382	720,368	88,212	557,789	2,006,329	1,276,783	367,144	816,721	684,186	-
- short positions	432,129	1,777,861	683,287	395,309	869,073	335,344	326,437	531,459	616,009	-
C.2 Financial derivatives without exchange of principal	-	-	-	-	-	-	-	-	-	-
- long positions	3,943,643	-	298	2,175	8,537	46,724	31,577	-	-	-
- short positions	2,332,907	-	48	3,898	34,202	7,930	40,128	-	-	-
C.3 Deposits and borrowings to be received	-	-	-	-	-	-	-	-	-	-
- long positions	9,429,298	-	-	-	-	-	-	-	-	-
- short positions	-	9,213,851	-	-	-	-	70,366	-	-	-
C.4 Irrevocable commitments to disburse funds	-	-	-	-	-	-	-	-	-	-
- long positions	758,454	6,592,745	247,295	120,839	509,411	496,142	1,575,183	499,295	1,045,833	-
- short positions	11,865,198	-	-	-	-	-	-	-	-	-
C.5 Financial guarantees given	22,032	39	111	478	8,098	13,879	5,914	16,498	216	-
C.6 Financial guarantees received	-	-	-	-	-	-	-	-	-	-
C.7 Credit derivatives with exchange of principal	-	-	-	-	-	-	-	-	-	-
- long positions	-	-	-	-	-	9,000	20,000	1,536,927	1,199,285	-
- short positions	-	-	-	-	-	9,000	20,000	1,536,927	939,285	-
C.8 Credit derivatives without exchange of principal	-	-	-	-	-	-	-	-	-	-
- long positions	3,163	-	-	-	-	-	-	-	-	-
- short positions	3,573	-	-	-	-	-	-	-	-	-

2. Breakdown of financial assets and liabilities by residual contractual duration - Currency: Other

31 12 2018

Account / Maturity	On demand	1 to 7 days	7 to 15 days	15 days to 1 month	1 to 3 months	3 to 6 months	6 months to 1 year	1 to 5 years	over 5 years	Unspecified maturity
Balance-sheet assets	542,619	39,235	54,024	76,115	163,176	71,288	37,087	333,391	490,084	225,199
A.1 Government securities	5	-	-	-	970	41	1,286	60,140	1,665	-
A.2 Other debt securities	12	-	9	133	2,738	5,683	6,569	55,781	469,518	-
A.3 Units of UCITS	11,198	-	-	-	-	-	-	-	-	-
A.4 Loans	531,404	39,235	54,015	75,982	159,468	65,564	29,232	217,470	18,901	225,199
- Banks	308,207	17,739	33,741	11,250	31,445	11,721	6,043	6,831	1,778	-
- Customers	223,197	21,496	20,274	64,733	128,024	53,844	23,189	210,639	17,123	225,199
Balance-sheet liabilities	493,235	13,485	35,603	316,210	26,308	13,735	2,196	37,242	1,544	-
B.1 Deposits and current accounts	472,220	13,485	35,603	99,409	7,910	13,177	1,147	73	-	-
- Banks	80,784	-	21,834	-	-	-	-	-	-	-
- Customers	391,436	13,485	13,769	99,409	7,910	13,177	1,147	73	-	-
B.2 Debt securities	-	-	-	-	491	491	982	37,169	-	-
B.3 Other liabilities	21,015	-	-	216,801	17,907	67	67	-	1,544	-
Off-balance-sheet transactions										
C.1 Financial derivatives with exchange of principal	-	-	-	-	-	-	-	-	-	-
- long positions	11,441	182,515	349,485	262,807	627,362	359,579	46,483	81,965	-	-
- short positions	104,170	211,854	29,504	391,276	1,340,603	503,048	251,122	102,344	-	-
C.2 Financial derivatives without exchange of principal	-	-	-	-	-	-	-	-	-	-
- long positions	277,754	-	-	-	-	97	-	-	-	-
- short positions	183,989	-	-	-	352	-	260	-	-	-
C.3 Deposits and borrowings to be received	-	-	-	-	-	-	-	-	-	-
- long positions	-	-	-	-	-	-	-	-	-	-
- short positions	-	-	-	-	-	-	-	-	-	-
C.4 Irrevocable commitments to disburse funds	-	-	-	-	-	-	-	-	-	-
- long positions	-	-	-	521	1,621	2,548	1,063	-	819	-
- short positions	8,496	-	-	-	-	-	-	-	-	-
C.5 Financial guarantees given	6	-	-	-	1,338	-	18,122	7	-	-
C.6 Financial guarantees received	-	-	-	-	-	-	-	-	-	-
C.7 Credit derivatives with exchange of principal	-	-	-	-	-	-	-	-	-	-
- long positions	-	-	-	-	-	-	-	733,450	-	-
- short positions	-	-	-	-	-	-	-	733,450	-	-
C.8 Credit derivatives without exchange of principal	-	-	-	-	-	-	-	-	-	-
- long positions	612	-	-	-	-	-	-	-	-	-
- short positions	-	-	-	-	-	-	-	-	-	-

Self-securitisations

The securitisation transactions whereby the Group underwrites securities issued by vehicle companies (self-securitisations) are not shown in the tables of Part E of the Consolidated Notes to the Financial Statements, section “C. Asset securitisation and disposal transactions", pursuant to the provisions of Bank of Italy Circular 262.

Self-securitisations of assets are transactions aimed at improving liquidity risk management by optimising the amount of assets readily available to cover liquidity requirements.

Although the Group's direct and full underwriting of the notes issued by the vehicles does not make it possible to obtain direct liquidity from the market, it still provides the Group with securities that could be used for ECB refinancing and repo transactions on the market, thereby improving the Group's safety margin against liquidity risk.

These sale transactions had no economic impact on the financial statements: loans continue to be reported under item 40b) “Financial assets measured at amortised cost: loans to customers” on the assets side, while underwritten notes are not reported.

As at 31 December 2018, this category includes the self-securitisations completed in December 2007 (Siena Mortgages 07–5), April 2008 (Siena Mortgages 07-5 2nd series), April 2009 (Siena Mortgages 09-6) and October 2016 (Siena PMI 2016).

The self-securitisations of Siena Consumer S.r.l. and Siena NPL 2018 S.r.l. no longer exist.

For Siena Consumer S.r.l., in October 2018, the residual loans were repurchased (consisting of personal, auto and special purpose loans) and, consequently, the securities reimbursed.

For Siena NPL 2018 S.r.l., due to the transfer of 95% of the junior notes on 22 June 2018, the portfolio of underlying loans was derecognised. The stakes in this securitisation are highlighted in the tables of own securitisations sold and derecognised.

Siena Mortgages 07-5, 1st and 2nd series

On 21 December 2007, through the vehicle Siena Mortgages 07-5 S.p.a., the Parent Company finalised a securitisation of performing loans consisting of a portfolio of 57,968 residential mortgages for a total of EUR 5,162.4 mln, of which a balance of EUR 1,165.3 mln (22,532 mortgage loans) outstanding as at 31 December 2018.

In order to fund the acquisition, the Vehicle issued Residential Mortgage Backed Floating Rate Notes (RMBS) in the following classes, rated by Moody's and Fitch as at 31 December 2018:

- Class A notes (Aa3/AA) for a nominal amount of EUR 4,765.9 mln, of which EUR 3,989.0 mln redeemed;
- Class B notes (Aa3 and AA), for a nominal amount of EUR 157.4 mln;
- Class C notes (B3 and B), for a nominal amount of EUR 239.0 mln.

A cash reserve was also set up to support the transaction for an amount of EUR 124.0 mln, through the issuance of class D notes, which was posted to the assets side under item 40 b) “Financial assets measured at amortised cost: loans to customers". The transaction reached the Protection Ratio (ratio between total Class B and C notes and total Class A, B and C notes) which allowed for the gradual reduction of the cash reserve which amounted to EUR 33.8 mln as at 31 December 2018.

The first series was followed on 24 April 2008 by a second series (Siena Mortgages 07-5 second series), collateralised by a separate pool of assets consisting of an additional sale of a portfolio of performing loans composed of 41,888 residential mortgages for a total of EUR 3,461.0 mln and with a residual life of about 20 years.

As at 31 December 2018, 13,690 loans were outstanding for a balance of EUR 884.4 mln.

In order to fund the acquisition of loans, the Vehicle (the existing Siena Mortgages 07-5 S.p.a.) issued RMBS in the following classes, rated by Moody's and Fitch as at 31 December 2018:

- Class A notes (Aa3 and AA) for a nominal amount of EUR 3,129.4 mln, of which EUR 2,527.7 mln redeemed;
- Class B notes (Aa3 and A), for a nominal amount of EUR 108.3 mln;
- Class C notes (NR and B), for a nominal amount of EUR 178.3 mln.

A cash reserve was also set up to support the transaction for an amount of EUR 81.9 mln, through the issuance of class D notes, posted to the assets side under item 40 b) “Financial assets measured at amortised cost: loans to customers". The transaction reached the Protection Ratio (ratio between total Class B and C notes and total Class A, B and C notes) which allowed for the gradual reduction of the cash reserve which amounted to EUR 23.1 mln as at 31 December 2018.

Siena Mortgages 09-6, 1st series

On 22 April 2009 the Parent Company finalised a securitisation through the vehicle Siena Mortgages 09 – 6 Srl of a portfolio of performing mortgages in real estate and building for a total of EUR 4,436.5 mln. As at 31 December 2018, the remaining debt balance stands at EUR 1,473.3 mln, for a total of 22,007 loans.

In order to fund the acquisition of the portfolio sold, the Vehicle issued Residential Mortgage Backed Floating Rate Notes (RMBS) in the following classes, rated by Moody's and Fitch as at 31 December 2018:

- Class A notes (Aa3 and AA) for a nominal amount of EUR 3,851.3 mln, of which EUR 2,994.3 mln redeemed;
- Class B notes (NR and AA), for a nominal amount of EUR 403.7 mln;
- Class C notes (NR and A-), for a nominal amount of EUR 181.4 mln.

A cash reserve was also set up to support the transaction for an amount of EUR 106.5 mln, through the issuance of class D notes, posted to the assets side under item 40 b) “Financial assets measured at amortised cost: loans to customers. As at 31 December 2018, the reserve amounted to EUR 137.9 mln.

Siena PMI 2016

In 2016 the Parent Company carried out a securitisation through the vehicle named Siena PMI 2016 S.r.l. The transaction was finalised on 30 September 2016 through the sale of a portfolio of performing loans to Italian small and medium enterprises, for a total of EUR 1,739.3 mln. As at 31 December 2018, the remaining debt balance stands at EUR 648.6 mln, for a total of 12,199 loans.

In order to fund the acquisition of the portfolio sold, on 27 October 2016 the Vehicle issued Asset-Backed Securities (ABS) in the following classes, rated by Fitch and DBRS as at 31 December 2018:

- Class A1 notes (AA and AAA) for a nominal amount of EUR 470.0 mln, redeemed in full;
- Class A2 notes (AA and AAA) for a nominal amount of EUR 400.0 mln, redeemed in full;
- Class B notes (AA and AAH) for a nominal amount of EUR 150.0 mln, of which EUR 5.0 mln redeemed;
- Class C notes (BBB and BBBL) for a nominal amount of EUR 313.0 mln;
- Class J notes (not rated) for a nominal amount of EUR 406.3 mln, of which EUR 121.2 mln redeemed.

1.5 – Operational risk

Qualitative information

A. Operational risk: general aspects, operational processes and measurement methods

General aspects and Framework structure

By an administrative ruling dated 12 June 2008, the Bank of Italy authorised the Group to use internal models for the determination of capital requirements for credit and operational risks.

The adoption of the advanced model (AMA) calls for banks to:

1. adopt an internal organisation which defines the roles of the corporate bodies and functions involved in the operational risk management process;
2. establish a control function for data gathering and storing, capital requirement calculation, risk profile assessment and reporting;
3. perform ongoing checks on the quality of the management system and its compliance with regulatory provisions;
4. delegate the internal auditing body to perform periodic audits on the operational risk management system;
5. ensure over time that the system is actually made use of in the usual course of business (use test).

For this purpose, the Group has adopted an integrated system for operational risk management, i.e. an internal framework built around a governance model that involves all companies included in the AMA model scope of application. The approach defines the standards, methods and instruments that make it possible to measure risk exposure and the effects of mitigation by business area.

The advanced approach is designed to integrate all major qualitative and quantitative (LDA-Scenario mixed model) information sources (information or data).

The quantitative Loss Distribution Approach component is based on the collection, analysis and statistical modelling of internal and external time series of loss data (the latter supplied by the Italian Database of Operational Losses, DIPO).

The qualitative component focuses on the evaluation of the risk profile of each unit and is based on the identification of relevant scenarios. In this framework, the companies included in the AMA scope area are involved in the: identification of the processes and risks to be assessed; assessment of risks by process managers in charge; identification of possible mitigation plans; discussion of priorities and technical-economic feasibility of mitigating actions with Head Office functions.

Next is a phase for monitoring progress on the implementation of actions scheduled and compliance with objectives and deadlines.

The Framework identifies Group Operational Risk Management (ORM) as the operational risk control function (within Parent Company’s Chief Risk Officer Department).

The Parent Company’s ORM calculates the capital required to hedge operational risks by the use of different components of the model (internal data, external data, contextual and control factors, qualitative analyses), supports decision-making by Top Management from the standpoint of creating value by containment, mitigation and transfer of the risks detected, and as it does for other companies included in the scope, it gathers internal loss data and identifies the risks to be evaluated in qualitative analyses.

The Advanced Measurement Approach (AMA) is applied to all domestic financial and banking entities, while the foundation model is used for remaining components and foreign companies. As at 31 December 2018 internal model coverage in terms of the relevant indicator exceeded 95%.

ORM has also set up a reporting system which ensures timely information on operational risks for the Top Management, which transposes the strategic principles of the management system into specific operating policies. Reports are regularly submitted to the Risk Management Committee and governing bodies.

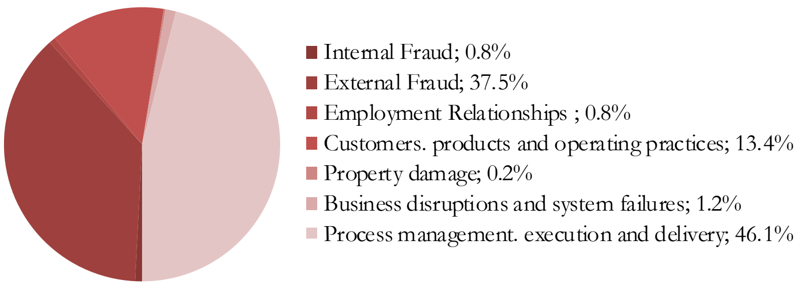
Over time, the adoption of the AMA model has ensured better-informed management of operational risk, guaranteeing a material progressive reduction of the Group's operational risk.

As of 30 June 2017, the Advanced Measurement Model was changed to increase the historical depth of internal loss data from 5 to 10 years and to introduce the scaling of external data in order to discourage unexpected requirement fluctuations.

Quantitative Information

The percentage breakdown of events and operational losses recognised in 2018 is reported below, divided into various risk classes.

Events breakdown
Montepaschi Group - 31 12 2018



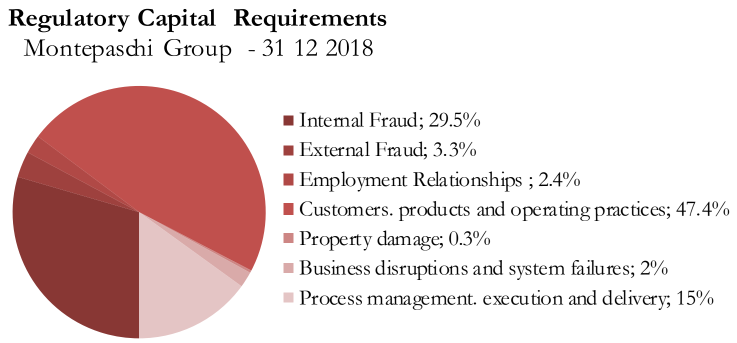
Losses breakdown
Montepaschi Group - 31 12 2018

As at 31 December 2018, the number of operational risk events remained largely stable as compared to December 2017, while operational losses declined.

The types of event with the greatest impact on the income statement remain attributable to non-fulfilment of professional obligations with customers (under "Customers, products and operating practices": approximately 62% of the total) and operational and process management shortfalls (under "Process management, execution and delivery": approximately 17% of the total).

With regard to "non-fulfilment of professional obligations with customers", risk events are mainly associated with claims due to the application of compound interest and to the compensation initiative with regard to customers indicated to third-party companies for the purchase of diamonds.

By contrast, the graph below shows the breakdown of regulatory requirements by risk class:



The Regulatory Requirement as at 31 December 2018 was down slightly compared to December 2017, also due to the decline in operating losses recorded.

The breakdown of losses recognised in the period clearly differs from the breakdown of the capital in that the latter is calculated using a 10-year time series and was predominantly due to the unexpected loss component.

Main types of legal risks

Summary information is reported below including, when relevant and/or advisable, that relating to individual claims with reference to significant issues involving the MPS Group and which are not considered completely groundless or normal within the context of the activities of the Group companies.

Unless specified otherwise, labour law and tax disputes or disputes relating to debt collection are briefly described in the notes included in other sections of this document and, therefore, they are not addressed in this section.

The risks associated with or connected to legal disputes – i.e. disputes brought before judicial authorities and arbitrators – are kept under specific and careful review by the Group.

In case of disputes for which the disbursement of financial resources to perform the underlying legal obligation is believed to be "probable" and the relevant amount can be reliably estimated, provisions are made to the Reserve for Risks and Charges using statistical or analytical criteria.

As at 31 December 2018, the pending legal disputes, where quantified, amounted to a total of approximately EUR 5 bn. In particular:

- approx. EUR 2.5 bn in claims regarding disputes for which there is a "probable" risk of losing the case, for which provisiondof EUR 0.6 bn have been recognised;
- approx. EUR 1.2 bn in claims regarding disputes for which there is a "possible" risk of losing the case; no provisions for risks and charges are allocated for such disputes, as envisaged by the accounting standard, although they are disclosed if they are of a significant amount;
- approx. EUR 1.3 bn in claims regarding disputes for which there is a "remote" risk of losing the case; no provisions for risks and charges are allocated and no disclosures are provided for such disputes.

Note the Group has exercised the possibility granted by IAS 37 of not providing detailed disclosures on the provisions allocated in the financial statement if such information may seriously jeopardise its position in disputes and in potential settlement agreements.

The key characteristics of significant cases, by macro-category or individually, are described below.

Disputes regarding compound interest and conditions

Following the change in orientation by the Supreme Court of Cassation (Corte di Cassazione) on the legitimacy of the practice of capitalising on a quarterly basis the interest payable accrued on current accounts, as of 1999 there has been a progressive increase in claims for the return of interest expense resulting from quarterly compound interest. In these lawsuits, the plaintiffs also contest the legitimacy of the interest rate and the methods to determine the commissions applied to the accounts. In this regard, the interpretation introduced since 2010 by the Supreme Court on usury - according to which overlimit fees (Commissioni di Massimo Scoperto), even before Italian Law no. 2/2009 was enforced, should have been calculated on the basis of the effective global rate (Tasso Effettivo Globale - TEG), contrary to Bank of Italy guidelines - is frequently the pretext for the actions brought by customers. The plaintiffs most often claim irregularities in current account balances; however, claims concerning compound interest are also increasingly frequent: these cases are based on the alleged illegitimacy of the so-called “French-style amortisation” in mortgage loans, and violation of Italian Law no. 108/1996 on usury in term loans. Aware that the jurisprudential interpretation is often disadvantageous (although not univocal), at least with respect to certain issues, the Group is committed to maximising the arguments in its defence - which do exist, particularly concerning the statute of limitations - identifiable in the regulatory and interpretative framework. For this type of dispute, provisions for risks of EUR 152 mln were allocated, against a total claim amount of EUR 349 mln.

Disputes regarding bankruptcy rescindments

The reform implemented from 2005 has reduced and limited the scope of bankruptcy rescindments, particularly those relating to current account remittances. For those that can still be filed, or already pending at the effective date of the reform, the Group is giving maximum emphasis to all the arguments available in defence. For this type of dispute, provisions for risks of EUR 58 mln were allocated, against a total claim amount of EUR 243 mln.

Disputes concerning bonds issued by Countries or Companies that subsequently defaulted and the financial plans.

The considerable defensive efforts made in this type of lawsuit resulted over the years in the emergence of some favourable jurisprudential orientations, at least with respect to certain specific cases, which are allowing balanced risk control. In 2015 there were some negative decisions, particularly as regards financial plans, which as things currently stand have not had tangible negative impacts, but the developments of which will be closely monitored to ensure proper oversight over any greater risk factors. For this type of dispute, provisions for risks of EUR 10 mln were allocated, against a total claim amount of EUR 42 mln.

Dispute with purchasers of subordinated bonds issued by Group companies

Following the burden-sharing plan implemented in 2017 in application of Law Decree no. 237/2016, some investors who had purchased subordinated bonds issued by Group companies (later becoming shareholders as a result of the aforementioned measure, with resulting losses compared to the amount initially invested) sued the Bank, claiming that, at the time of the investment, it did not inform customers regarding the nature and characteristics of the financial instruments purchased, also raising objections on the proper fulfilment of obligations with which the Bank must comply as a financial intermediary. Note that the dispute was brought by investors who did not meet the conditions for participating in the public offering and exchange promoted by the Bank in application of the aforesaid Law Decree no. 237/2016. For this type of dispute (approximately 60 claims totalling EUR 23 mln), provisions for risks of EUR 8 mln were allocated

Disputes and out-of-court claims connected to the financial information disclosed during the period 2008-2015

The Bank is exposed to civil action, legal action (29634/14 and 955/16), and out-of-court claims with regard to the financial information disclosed during the period 2008-2015.

In particular, as at 31 December 2018, the total claims for this type of dispute amounted to approximately EUR 1.5 bn, subdivided as follows (data in EUR mln).

Type of dispute	31/12/18
Civil dispute	764
Civil Part Constitutions pp 29634/14	42
Civil Part Constitutions pp 955/16	76
Out of court claims[23]	607
	1.489

With regard to civil disputes (Banca Monte dei Paschi di Siena S.p.A / (former) Shareholders and Investors of Banca MPS), as at 31 December 2018, there were 30 lawsuits pending, brought forward by shareholders and/or former shareholders for a total claim of approximately EUR 764 mln, in which the plaintiffs claim to have purchased shares during the capital increases of 2008, 2011, 2014 and 2015 and/or on the electronic market based on allegedly incorrect information contained in the prospectuses and/or financial statements and/or in the price sensitive information issued by the Parent Company during the period 2008/2015.

These legal proceedings originate within an extraordinary and exceptional context also connected to the criminal investigations launched by the courts and the legal issues involving the Parent Company during the years 2012 and 2013, which mainly refer to the financial transactions to acquire resources to purchase Banca Antonveneta and to a number of financial transactions carried out by the Parent Company, including the transactions connected to the restructuring of the "Santorini" transaction and the "Alexandria" notes, to the prior capital increases carried out by the Parent Company in 2008 and 2011 and to the FRESH 2008 transaction.

The main lawsuits are outlined below by type.

Banca Monte dei Paschi di Siena S.p.A. vs. Marangoni Arnaldo + 124 shareholders and investors

In July 2015, Mr. Arnaldo Marangoni sued the Parent Company, claiming to have purchased shares between 2008 and 2013, during subscription of the capital increases of 2008 and 2011, as well as on the Electronic Stock Market, based on false information provided by the Parent Company with regard to its capital, economic, financial, profit and management situation. Another 124 shareholders intervened in the lawsuit, submitting the same complaints (although their respective positions are not entirely

[23] The out-of-court claims are not included in the claim related to the legal dispute referenced in the introduction to this section.

uniform). The 124 interveners requested: (i) examination of the false nature of the statutory financial statements, quarterly and interim reports, capital increase prospectuses of 2008 and 2011, price-sensitive press releases relative to the years 2008, 2009, 2010, 2011 and 2012 of BMPS and, consequently, (ii) a ruling sentencing BMPS to compensate for damages. The counterparties claiming compensation for monetary and non-monetary damages for a total of about EUR 89 mln.

The case was referred to the Board for a decision on the preliminary objections raised by the Parent Company. The Judge handed down a decision on 25 January 2018, rejecting the preliminary objections, and adjourned to 13 February 2018 for the continuation of the proceedings. At that hearing, the Parent Company reserved the right to appeal the non-definitive ruling of the Court of Milan and the Judge, after granting the terms pursuant to art. 183, paragraph 6 of the Italian Code of Civil Procedure, adjourned the proceedings to the hearing scheduled for 18 December 2018. At the hearing, the Judge reserved the right to decide on the preliminary evidence and subsequently, once the reservation had been lifted, ordered a CTU (court-appointed expert) to identify any information omissions and to determine the damage resulting from them, postponing the case until 19 February 2019 for the consultant to take the oath. At the hearing on 19 February 2019, certain issues inherent in the appraisals were discussed and clarified and the CTU was duly sworn in. The appraisals are set to begin on 1 April 2019, while the case was postponed until the hearing scheduled for 19 November 2019.

Banca Monte dei Paschi di Siena S.p.A. vs. Coop Centro Italia s.c.p.a

On 26 July 2016, Coop Centro Italia S.c.p.a. served a writ of summons against the Parent Company, together with CONSOB, before the Court of Florence (Section specialised in corporate matters) for the hearing of 20 January 2017, requesting total damages of EUR 85.5 mln as actual damages, in addition to loss of profits quantified during the course of the proceedings as EUR 17.9 mln for a total claim of EUR 103.4 mln, due to the alleged false nature of the prospectuses relating to the Parent Company's capital increases of 2008, 2011 and 2014, in which the company participated.

Specifically, the counterparty claimed damages of EUR 20.3 mln for the capital increase of 2008 and EUR 9.2 mln for the capital increase of 2011, for contractual liability pursuant to art. 1218 of the Italian Civil Code, as well as art. 94, paragraph 8 of the Consolidated Law on Finance or art. 2049 of the Italian Civil Code in relation to the actions of its then representatives and employees, also pursuant to art. 1218 of the Italian Civil Code, as well as art. 94, paragraph 8 of the Consolidated Law on Finance, for 56.0 mln, jointly and severally - or alternatively each to the extent applicable - with CONSOB, called upon to respond pursuant to articles 2043 and 2049 of the Italian Civil Code for the actions of the Supervisory Authority and those of its commissioners and officials, with regard to the 2014 capital increase, regarding capital losses incurred as well as loss of profit determined during the course of the proceedings. At the hearing on 12 October 2017, the Judge reserved his decision on the claims. Upon lifting of the reservation, the Judge ordered a court-appointed expert report, with the investigative operations beginning on 30 October 2018 and the case adjourned to 23 May 2019. On 15 January 2019, the court-appointed experts submitted an application asking the Judge for guidelines on whether or not to involve the bond holders in conducting the investigative operations. With ruling of 17 January 2019, the Judge reserved his decision on the matter and suspended the investigative operations in the meantime, to resume upon issuance of the decision and whose timing will therefore be redetermined. Moreover, with a subsequent petition filed on 28 February 2019, the consultants requested the Judge to specify if the investigations can be extended to the question of the proper accounting treatment of loans and if the court-appointed experts can consider the fact that in 2011, in addition to purchasing shares, Coop sold the option rights that it was due. The Judge has not yet ruled on this petition and the investigations are currently pending.

Banca Monte dei Paschi di Siena S.p.A. vs. Coofin s.r.l.

On 26 July 2016, Coofin S.r.l. served a writ of summons against the Parent Company, together with CONSOB, before the Court of Florence (Section specialised in corporate matters) for the hearing of 20 January 2017, requesting total damages of EUR 51.6 mln as actual damages, in addition to loss of profits quantified during the course of the proceedings as EUR 9.8 mln for a total claim of EUR 61.4 mln, due to the alleged false nature of the prospectuses relating to the Parent Company's capital increases of 2008, 2011 and 2014, in which the company participated.

Specifically, the counterparty claimed damages of EUR 11.5 mln for the capital increase of 2008 and EUR 6.1 mln for the capital increase of 2011, for contractual liability pursuant to art. 1218 of the Italian Civil Code, as well as art. 94, paragraph 8 of the Consolidated Law on Finance or art. 2049 of the Italian Civil Code in relation to the actions of its then representatives and employees, also pursuant to art. 1218 of the Italian Civil Code, as well as art. 94, paragraph 8 of the Consolidated Law on Finance, for EUR 34.0 mln, jointly and severally - or alternatively each to the extent applicable - with CONSOB, called upon to respond pursuant to articles 2043 and 2049 of the Italian Civil Code for the actions of the Supervisory Authority and those of its commissioners and officials, with regard to the 2014 capital increase, regarding capital losses incurred as well as loss of profit determined during the course of the proceedings. At the hearing on 13 March 2018, the Judge reserved himself for the admission of preliminary evidence. Upon lifting of the reserve, the Judge decided to submit to the Board the decision on the preliminary exceptions raised by the Parent Company, adjourning the hearing to 6 December 2018 for the specifications of the pleadings. In the meantime, the Judge had set a hearing for 10 October 2018 to discuss a petition for deferment by the Parent Company with regard to submission of the relative documentation. Following replacement of the Judge, the hearing of 10 October 2018 was adjourned to 5 March 2019, while nothing was decided regarding the hearing for clarification of the conclusions of 6 December 2018, which was not held. With the decree dated 26 February 2019, the Judge set the plaintiff's hearing for 25 February 2021, while with a subsequent measure dated 28 February 2019, the Judge postponed until 13 June 2019 the hearing to discuss the petition formulated by the Parent Company for relief from the time limits.

Banca Monte dei Paschi di Siena S.p.A. vs. Alken Fund Sicav and Alken Luxembourg S.A.

On 22 November 2017, the counterparties (the "Funds") served a writ of summons on the Parent Company, as well as Nomura International, Giuseppe Mussari, Antonio Vigni, Alessandro Profumo, Fabrizio Viola and Paolo Salvadori, before the Court of Milan, requesting that the court confirm and declare: (i) the alleged liability of the Parent Company pursuant to art. 94) of the Consolidated Law on Finance, as well as for the deeds of defendants Mussari, Vigni, Profumo and Viola pursuant to art. 2935 of the Italian Civil Code due to the offences perpetrated against the plaintiffs; (ii) the alleged liability of defendants Mussari and Vigni in relation to investments made by the Funds in 2012 on the basis of false information; (iii) the alleged liability of defendants Viola, Profumo and Salvadori in relation to investments made by the Funds subsequent to 2012; and (iv) the alleged liability of Nomura pursuant to art. 2043 of the Italian Civil Code and, as a result, order BMPS and Nomura jointly and severally to provide compensation for financial damages equal to EUR 423.9 mln for Alken Funds Sicav and EUR 10 mln for lower management fees and reputational damage to the management company Alken Luxembourg SA, as well as jointly and severally with BMPS and Nomura the defendants Mussari and Vigni for damages resulting from the investments made in 2012, and Viola, Profumo and Salvadori for damages subsequent to 2012. The counterparties also requested that the defendants be ordered to provide compensation for non-financial damages upon confirmation that they were guilty of the offence of providing false corporate disclosures. The Parent Company duly appeared and set out is defence. In the alternative, for the denied possibility of granting the opposing applications, the Parent Company applied for recourse against Nomura. The first hearing, initially set for 18 September 2018, was deferred to 11 December 2018, in order to allow discussion between the parties on the transversal issues formulated by a number of defendants. It should be noted that in the judgement, three individuals intervened, separately and independently, claiming damages for a total of approx. EUR 0.7 mln. At the hearing of 11 December, the Judge reserved his decision on the preliminary objections raised by the parties. Upon lifting the reservation and accepting the objections raised by all the defendants, the Judge declared Alken's summons null and void, due to failure to specify the dates of the share purchases and the nullity of the powers of attorney, assigning the plaintiffs a deadline of 11 January 2019 to supplement the applications and rectify the defects of the powers of attorney. On the other hand, the judge considered Alken's claims concerning the alleged incorrect accounting of the claims to be sufficiently specific and rejected the plea of nullity of the acts of intervention. Following the plaintiff's additions, the defendants insisted on the objections of nullity of the summons and powers of attorney. At the end of the discussion on these objections, which took place at the hearing of 30 January 2019, the Judge reserved his decision. Upon lifting the reservation, the Judge - considering that these preliminary questions must be decided together with the merit - granted the preliminary terms pursuant to art. 183, paragraph six of the Italian Code of Civil Procedure and adjourned the hearing for discussion of the preliminary requests to 2 July 2019.

Banca Monte dei Paschi di Siena S.p.A. vs. Bentivoglio Roberto + 3

With a writ of summons issued on 15 November 2017, four individuals, as shareholders of BMPS, filed a petition before the Court of Milan against the Parent Company, as well as against Nomura International PLC and Deutsche Bank A.G. (also parties of the criminal proceedings), to obtain compensation, jointly and severally, for damages allegedly suffered and quantified at EUR 21.5 mln as monetary damage and EUR 0.9 mln as non-monetary damages.

In particular, the plaintiffs, referring to the disclosures made by the Parent Company on 6 February 2013, and with regard to the facts and charges pursuant to the criminal proceedings before the Court of Milan against former executives of the Parent Company and other defendants, proceedings from which they were excluded as civil parties, request compensation for the monetary damage following depreciation of the value of BMPS shares in their possession as at 31 December 2007, compared to the value of said shares as at 6 February 2013, date of publication of the press release that disclosed the presence of errors in the Parent Company's accounts of the prior years.

The parties submit said claims pursuant to articles 2049 and 2622 of the Italian Civil Code, in relation to false corporate communications and other offences committed by executives of the defendant, as well as for the offences punishable under Legislative Decree 231/2001. The plaintiffs also claim non-monetary damages pursuant to article 185 of the Criminal Code and article 2043 of the Civil Code. The Parent Company appeared within the time limits, challenging the plaintiff's claims and subordinately formulating a "transversal" claim for recourse against the other two defendants. At the hearing held on 11 September 2018, the plaintiff declared that it was withdrawing from the action brought against Deutsche Bank A.G., while Nomura International PLC insisted on the grounds of nullity and the Judge reserved his decision. The Court, through order of 24 September 2018, declared the opposing summons null and void, granting the plaintiffs until 20 November 2018 to supplement the summons and the defendants until 20 December 2018 for any additional defence briefs and for the defence of the "transversal" claims made by the defendants in their relationships with one another. At the hearing of 15 January 2019, after a brief discussion on the suitability of the additions filed by the plaintiffs to overcome the nullity of the summons, the Judge assigned the time limits pursuant to article 183 of the Italian Code of Civil Procedure, postponing the hearing to 25 June 2019.

Dispute between York Funds/York Luxembourg and BMPS Spa, Alessandro Profumo, Fabrizio Viola, Paolo Salvadori, and Nomura International PLC

On 11 March 2019, York and York Luxembourg Funds served a writ of summons to the Parent Company's registered office, bringing an action before the Court of Milan (Section specialised in corporate matters) against BMPS Spa, Messrs. Alessandro Profumo, Fabrizio Viola, and Paolo Salvadori as well as Nomura International PLC, ordering the defendants, jointly and severally, to pay damages amounting to a total of EUR 186.7 mln and - subject to an incidental finding that the offence of false corporate communications has been committed - to compensation for non-monetary damages to be paid on an equitable basis, pursuant to art. 1226 of the Italian Civil Code, plus interest, revaluation, interest pursuant to art. 1284, para. IV of the Italian Civil Code, and compound interest pursuant to art. 1283 of the Italian Civil Code.

The plaintiffs' claim is based on alleged losses incurred as part of its investment transactions in MPS totalling EUR 520.30 mln, carried out through the purchase of shares (investment of EUR 41.4 mln by York Luxembourg) and derivative instruments (investment of EUR 478.9 mln by York Funds). The plaintiffs' quantified their comprehensive losses at EUR 186.7 mln.

The investment transactions challenged began in March 2014, when Messrs. Fabrizio Viola and Alessandro Profumo held the offices of CEO and Chairman, respectively, of BMPS Spa. The plaintiffs charge alleged unlawful behaviour by top management of the Parent Company in falsifying the financial representation in financial statements, substantially modifying the assumptions used in measurements of financial instruments issued by the Parent Company.

The first hearing is scheduled for 29 January 2020; the Parent Company will appear before the Court in the manner and time limits provided by law.

As this is an event that occurred in 2019, the relative claim is not included in the table above.

Banca Monte dei Paschi di Siena S.p.A./ Civil action and third-party action of the Parent Company as civilly liable party

The investors submitted claims for compensation against the Parent Company as part of the criminal proceedings no. 29634/14 r.g.n.r. (General Criminal Records Registry) (a total of 1,243) pending before the Court of Milan, in which the Parent Company is involved as a civilly liable party, as well as the other criminal proceedings no. 955/16 r.g.n.r. (there are a total of 2,272 civil parties) with reference to the financial statements, reports and other corporate communications of the Parent Company from 31 December 2012 to 31 December 2014 and with reference to the half-yearly report as at 30 June 2015, in which the Parent Company is a defendant pursuant to Italian Legislative Decree 231/01 as well as a civilly liable party.

Criminal proceeding no. 29634/14

With reference to the criminal proceedings in relation to "Alexandria", after the service of the order of closing of the preliminary investigations, the Office of the Public Prosecutor at the Court of Milan sought the committal for trial of the former Top Management of the Parent Company and two members of the Management of Nomura for false corporate disclosures and market manipulation.

Note that the criminally liable conduct ascribed to the various parties under investigations refer to the financial statements closed on 31 December in 2009, 2010, 2011 and 2012, and to the balance sheet as at 31 March 2012, 30 June 2012, and 30 September 2012.

As regards the offences allegedly committed by the above-mentioned individuals, the Prosecuting Attorney also sought the committal for trial of the Parent Company and Nomura in relation to the administrative offences pursuant to Legislative Decree 231/2001.

In March 2016 this proceeding was combined with the other legal action pending before the Court of Milan in relation to the investigations concerning the Santorini, FRESH 2008 and Chianti Classico transactions.

By an order of 13 May 2016, the Preliminary Hearing Judge (in Italian, the "GUP") authorized the lodging and admissibility of the claims for damages of the offended parties against the entities already involved in the proceedings as defendants pursuant to Legislative Decree 231/2001.

On 2 July 2016, with the approval of the Public Prosecutor, the Parent Company filed a request for plea bargain in the criminal proceedings, in relation to the objections made against the Bank in accordance with Legislative Decree 231/2001.

After the request for plea bargain, the Parent Company's position was closed. With the plea bargain, accepted by the Preliminary Hearing Judge on 14 October 2016, the Parent Company exits the proceedings as defendant in the administrative offence following crimes committed by its own former executives, limiting the consequences to an administrative financial penalty of EUR 600 thousand and a confiscation, for EUR 10 mln, without exposing itself to the risk of higher penalties.

Lastly, with regard to the above, on 1 October 2016 the Preliminary Hearing Judge ordered the committal for trial of the defendants other than the Parent Company. At the hearing on 15 December 2016, the civil parties, those already admitted in the previous "Alexandria" proceedings as well as the new civil parties, requested that the Parent Company, Nomura and Deutsche Bank be summoned as civilly liable parties in relation to the offences with which the former directors and executives committed for trial were charged.

Following an extensive closed session meeting, the Court summoned the banks as civilly liable parties, providing the notification deadline to the parties of 10 January 2017, allowing for the completion of notifications at the latest by 31 January 2017 and scheduling the hearing for 21 February 2017.

At the hearing on 21 February 2017, the Parent Company appeared before the court as a civilly liable party.

During the proceedings, by order of 6 April 2017 the Court of Milan decided on the requests for the exclusion of civil parties submitted by the defence teams of the defendants and the civilly liable parties, excluding several civil parties.

In addition, the claim of damages as a civil party by the Parent Company with respect to Giuseppe Mussari, Antonio Vigni, Daniele Pirondini and Gian Luca Baldassarri was also excluded on the assumption of its contributory liability with respect to the defendants.

At the reference date of this report, a total of 1,243 civil parties have acted against the Parent Company, of which 480 have quantified the alleged damages.

As things stand within the above-mentioned proceedings, the advisors are currently being heard.

The claim, if stated in the civil action, amounts, with reference to the proceedings in question, to approximately EUR 42 mln.

Criminal proceeding no. 955/16

On 12 May 2017 the committal for trial of the representatives Alessandro Profumo, Viola Fabrizio and Salvadori Paolo (the first two no longer in office) was requested within new criminal proceedings before the Court of Milan, in which they were charged with false corporate disclosures (art. 2622 of the Italian Civil Code) in relation to the accounting of the "Santorini" and "Alexandria" transactions with reference to the Parent Company's financial statements, reports and other corporate communications from 31 December 2012 to 31 December 2014 and with reference to the half-yearly report as at 30 June 2015, as well as market manipulation (art. 185 of the Consolidated Law on Finance) in relation to the disclosures to the public concerning the approval of the financial statements and the balance sheets specified above.

In relation to these proceedings, in which the Parent Company is identified as the injured party, the first hearing was held on 5 July 2017, during which several hundred natural persons and a number of trade associations asked to appear before the court as civil parties. The Preliminary Hearing Judge postponed the proceedings to 29 September 2017 for the deliberation of the requests as well as for consolidation with the proceedings pending against the Parent Company, as the defendant entity pursuant to Italian Legislative Decree 231/01 for the same actions with which Mr Profumo, Mr Viola and Mr Salvadori are currently charged. At the hearing on 29 September 2017, 304 of the 337 who requested were admitted as civil parties. The remaining parties were excluded due to lack of *legittimatio ad causam*. At the same hearing, the proceedings pending against the Parent Company, as the party liable under administrative law, were joined with those pending against the natural persons. Therefore, the Judge admitted the summons of the Parent Company as a civilly liable party and adjourned the proceedings to the hearings of 10 November 2017 and 24 November 2017 to allow for the service of the related notifications.

At the hearing on 10 November 2017, the defence attorney of Mr Salvadori objected on the basis of the alleged nullity of the committal for trial request against his client as the compulsory charge against the client should have been formulated only for the offence pursuant to art. 2622 of the Italian Civil Code and not also for that pursuant to art. 185 of the Consolidated Law on Finance. In connection with this issue, this defence attorney also objected on the grounds of the Milan A.G.'s lack of jurisdiction.

At the hearing on 24 November 2017, the Preliminary Hearing Judge handed down an order:

- declaring the nullity of the request for committal for trial with respect to Mr Salvadori;
- ordering the separation of the relative position from the main proceedings (pending against Mr Viola and Mr Profumo, as well as the Parent Company) with reference to the section relating to the alleged offence pursuant to art. 185 of the Consolidated Law on Finance;
- reserving any decision concerning issues of jurisdiction until such time as the public prosecutor makes his own determinations in this regard.

Therefore, the Public Prosecutor has issued the notice of the conclusion of investigations with respect to Mr Salvadori for the offence pursuant to art. 185 of the Consolidated Law on Finance and filed the (new) request for committal for trial against Mr Salvadori for such offence and, lastly, requested the (new) preliminary hearing (again for the crime of market manipulation).
At the hearing on 9 February 2018, the Preliminary Hearing Judge acknowledged the filing in the meantime of:

- the Bank's defence brief concerning jurisdiction;
- the documents submitted by the defence attorney of Mr Viola and Mr Profumo;
- the briefs of Mr Bivona and Attorney Falaschi; as well as

- a request for an order for attachment submitted by the latter against Mr Viola and Mr Profumo.

After which time, the Preliminary Hearing Judge convened the proceedings against Mr Salvadori following his removal from the proceedings ordered during the previous hearing with regard to the charge pursuant to art. 185 of the Consolidated Law on Finance.

The civil parties readmitted again requested the summons of BMPS as civilly liable party. Therefore, the Preliminary Hearing Judge adjourned the case - also for the proceedings against Mr Viola and Mr Profumo - to the hearing of 13 March 2018 which was not held by abstention and was therefore postponed to 6 April 2018 for the appearance before the court of the liable party and for the discussion of and decision on the matter of jurisdiction.

Following the formalisation of the appearance before the court by the Bank, the Prosecutor requested the issue of a pronouncement of acquittal because there is no case to answer or because the act does not constitute an offence depending on the charge in question. On the outcome of the hearing, the schedule was updated on 13, 20 and 27 April 2018 for the continuance of discussion and the possible issue of the final ruling of the preliminary hearing.

Following the outcome of the preliminary hearing, the Preliminary Hearing Judge ruled that there were no grounds for a decision not to proceed to judgment and ordered the committal for trial of the defendants, natural persons (Messrs. Viola, Profumo and Salvadori) and Banca MPS (as the defendant entity pursuant to Italian Legislative Decree 231/01). Only Mr. Salvadori was found not to be subject to proceedings for the charge pursuant to Article 185 of the Consolidated Law on Finance.

At the hearing of 17 July 2018, 2,243 civil parties joined the lawsuit. Some of these have formally requested the mention of the Bank as party with civil liability, while most of the defence attorneys only requested the extension of the lawsuit to their clients with regard to the Bank, as a party with civil liabilities already called in the lawsuit. Some civil parties brought a lawsuit to the Bank as responsible party in pursuant to Italian Legislative Decree no. 231/2001. At the outcome, the Court adjourned to the hearings of 16 October and 6, 13 and 19 November 2018. Only the preliminary questions relating to the civil parties joining the lawsuit were heard at the hearing of 16 October 2018.

On 16 October 2018, the hearing for discussion of the civil parties joining the lawsuit was regularly held, as per the last hearing of 17 July 2018, with the addition of another 165 civil parties. The defendants and the Bank pleaded that the latter were late. At the hearing of 6 November 2018, the Board, upon lifting of the reservation, ordered the exclusion of some civil parties, which consequently amounted to 2,272 (349 of which had quantified the alleged damages), and the extension of the cross-examination between the Bank and the new civil parties admitted, without further formalities and rejecting the request for summons by CONSOB, the Bank of Italy and EY S.p.A. as civilly liable parties.

At the hearing of 19 November 2018, the Court rejected by order the objections relating to the issue of lack of territorial jurisdiction previously raised by the defence. Consequently, the proceedings were declared open and the next hearing was scheduled for 18 March 2019, with reservation of the decision on the request for an order of attachment against Mr Profumo and Mr Viola, submitted by a number of parties. The reserve was lifted with decision dated 3 December 2018, through which the Court rejected the request for an order of attachment against the aforementioned executives.

The claim, if stated in the civil action, amounts, with reference to the proceedings in question, to approximately EUR 76 mln.

Out-of-court claims for the repayment of sums and/or compensation for damages by Shareholders and Investors of Banca Monte dei Paschi di Siena S.p.A. in relation to the 2008, 2011, 2014 and 2015 share capital increases

In relation to capital increases and the allegedly incorrect financial information contained in the prospectuses and/or in the financial statements and/or in the price sensitive information for the period 2008-2011, as at 31 December 2018, the Parent Company has received 903 out-of-court claims, for a total of approximately EUR 654 mln in quantified claims, aimed at obtaining reimbursement of the amounts invested and/or compensation for monetary and non-monetary damages following the alleged losses suffered. Of said claims, less than 10% filed civil suits (the majority of which as part of the case filed by Marangoni Arnaldo + 124 as mentioned above).

These claims – brought individually or collectively, through two professionals and by ADUSBEF – although naturally heterogeneous, are mostly justified by generic references to the Parent Company's alleged violation of the industry legislation governing disclosure and, therefore, were rejected by the Parent Company in that they were considered generic, unfounded, not backed by suitable documentary evidence, and in some cases past the statute of limitations. As at 31 December 2018, the residual claims of the plaintiffs who did not file civil suits amounted to approximately EUR 591 mln.

Lastly, another 59 out-of-court claims relating to the share capital increases in 2014-2015 must be added to the ones indicated above, for approximately EUR 17 mln, resulting in a total of approximately EUR 607 mln.

***

Generally speaking, and in application of the provisions of international accounting standard IAS 37, with regard to legal disputes, the formation of civil plaintiffs in criminal proceedings 29634/14 and out-of-court claims relating to disputes regarding the period 2008-2011, the Bank has assessed the risk of losing as "probable" and has therefore set aside provisions for risks and charges in the financial statements. The assessments made with regard to the risk of losing the case reflect the decision of the Bank itself in March 2013 to initiate liability actions against the Chairman and General Manager at the time and the foreign banks involved, and they also take into account the positions taken on the subject - in addition to those of the Milan Public Prosecutor's Office - by the Supervisory Authorities, the relative decisions to bring civil action and the sanctions imposed by them.

Conversely, for disputes regarding the period 2012-2015, no provisions were made, as the risk of losing was deemed "unlikely". This includes criminal proceeding 955/16, in relation to which the Bank issued a press release last 12 July in which it informed the public of its decision not to join as a civil party, considering that the conditions did not exist, while reserving the right to the widest possible protection in civil proceedings should any elements of liability towards the defendants emerge. Even in this case, the risk of losing assessment made by the Bank took into account the positions of the Supervisory Authorities and, in particular, of the relative common decisions not to join as a civil party and not to impose administrative sanctions. Also of equal importance was the position adopted by the Milan Public Prosecutor's Office, which, although obliged to proceed by the Preliminary Investigations Judge, reiterated its conviction that the objections were unfounded, requesting during the preliminary hearing a decision not to prosecute the defendants. Therefore, for civil and criminal disputes concerning the information disclosed solely in the period 2008-2011, the provisions for risks were determined in such a way as to take into account the amount invested by the counterparty in specific periods of time characterised by the disputed information alterations (net of any disinvestments made during these same periods). The damage subject to compensation was then determined on the basis of the "differential damage" criterion, which identifies the damage as the lowest price that the investor would have had to pay if he had had access to complete and correct information. For the purposes of this determination, econometric analysis techniques have been adopted - with the support of qualified experts - suitable to eliminate, among other things, the component inherent in the performance of the equity securities belonging to the banking sector during the reference period. More in detail, the total damage caused by each event potentially capable of generating information alterations was first quantified and then the amount abstractly attributable to the individual Plaintiff/Civil Party was calculated, taking into account the share of capital held from time to time. The differential damage criterion is appropriate for the events that triggered the aforementioned proceedings. From a purely probabilistic and conservative standpoint, the different criterion of "full compensation" was also taken into account (not accepted by the prevailing law, including that which, as indicated below, has dealt with the events in question up to now), according to which false or incomplete information may have a causal impact on the investment choices of the investor to such an extent that, in the presence of correct information, they would not have made the investment in question; in this case, the damage is therefore commensurate with the entire result of the investment by the Plaintiff/Civil Party. Instead, with reference to out-of-court claims relating to the period 2008-2011, in order to take into account the probability of their transformation into real disputes, the funds were determined by applying an experiential factor, in line with the Bank's policies for similar cases, to requests made by counterparties. In the financial statements as at 31 December 2018, in the absence of news in the available information, there are no significant changes to report with respect to the valuations of the prior year and to the information disclosed on 28 December 2018 upon request by Consob, pursuant to art. 114 of the Consolidated Law on Finance. In any case, the Bank has exercised the possibility granted by IAS 37 of not providing disclosures on the provisions allocated in the balance sheet if it believes that such information could seriously jeopardise its position in disputes and in potential settlement agreements.

Note that on 4 October 2018, the first three judgements were handed down in the cases brought by certain shareholders. The Court of Florence upheld only a minimal part of the claims for damages based on the asserted inaccuracy of the prospectuses published by the Bank for the share capital increases carried out in 2008 and 2011, acknowledging compensation to the plaintiffs proportional to 10% of the amount invested (and not that of the claim brought before the court) and only in relation to the shares subscribed during the 2011 share capital increase (as no significant disclosure modifications were found with reference to the prospectus published for the 2008 share capital increase). Furthermore, the Court has rejected in full the claims of another shareholder, as the shares in the Bank were sold on the market before the changes to the disclosure were announced to the market.

Other disputes

Banca Monte dei Paschi di Siena S.p.A. vs. Fatrotek

This case, where BMPS was sued together with other credit institutions and companies with the summons of 27 June 2007, seeks the assessment of alleged monetary and non-monetary damage suffered by the plaintiff, as a result of an alleged unlawful report filed with the Italian Central Credit Register. The case is currently under preliminary investigation and the Judge, after ordering the renewal of the court-appointed expert witness, also reserved the right to allow the parties to assess possible settlements. The relative claim amount is EUR 157 mln. The plaintiff also asks that the defendant banks be found jointly liable, each proportionately to the seriousness of its behaviour. The Issuer's defence was based on the fact that the company's extremely severe financial situation fully justified said Issuer's initiatives.

At the hearing on 31 May 2018, the Judge reserved his decision on the challenges raised by the convened parties. On 5 June 2018, the Company declared bankruptcy. On 25 July 2018, upon lifting of the reservation made during the hearing of 31 May 2018, the case was adjourned to 31 October 2018, for the court-appointed expert to take the oath, given the renewal of the court-appointed expert report. In the meantime, the receivership of the Fatrotek S.r.l. bankruptcy summarised the judgement that will continue at the scheduled hearing. At the hearing of 7 December, the Judge referred the case to the President of the Court for reassignment to a magistrate.

Banca Monte dei Paschi di Siena S.p.A. vs. Fallimento Medeghini S.p.A. in liquidazione

The lawsuit, brought with the writ of summons of 26 March 2012, concerns a claim for compensation for alleged damages brought before the Court by the trustee in bankruptcy due to banking transactions completed as part of the 2007 capital increase of the company which then failed. In particular, the trustee claims the merely fictitious nature of the capital increase, in that, as a result of a series of bank movements, the sum allocated to this would have been transferred to the company's current accounts only formally, without therefore resulting in an actual increase in capital.

In the course of the proceedings, an expert review was ordered, at the end of which the expert appointed by one of the parties assessed and documented damage for approximately EUR 2.8 mln, but did not specify whether such damage was due to conduct by the Parent Company or, instead, if it was caused by the directors of the bankrupt company to the mass of creditors as a result of continuation of the company's activities. The claim amounts to approximately EUR 155 mln.

The Parent Company's defence was based on various considerations in fact and in law, and was aimed at demonstrating the absolute groundlessness of the claims brought by the bankruptcy procedure due to total lack of a causal link between management acts that led to the default and the Parent Company's conduct.

During the technical appraisal ordered by the Court, the opposite party's demands that a link of causality be recognised between the capital increase and the subsequent transactions that worsened the company's financial difficulties - in which the Parent Company acted as a mere executor - were repeatedly and effectively rebutted by the Parent Company's expert witness.

During the appraisal, the Court-appointed expert witness accepted almost entirely the arguments of the defendant Parent Company, and in any case the plaintiff's claim, as formulated, appears to be groundless in terms of damages to be awarded, as no damage has been suffered. The case was deferred to 6 June 2019 for the clarification of pleadings.

Banca Monte dei Paschi di Siena S.p.A. vs. Riscossione Sicilia S.p.A.

On 15 July 2016, Riscossione Sicilia S.p.A. served a writ of summons on the Parent Company before the Court of Palermo, asking the Court to order it to pay a total amount of EUR 106.8 mln.

The claim of Riscossione Sicilia S.p.A. falls within the realm of the complex dealings between the Parent Company and the plaintiff, originated from the disposal to Riscossione Sicilia S.p.A. (pursuant to Law Decree 203/05, converted into Law 248/05) of the stake held by the Parent Company in Monte Paschi Serit S.p.A. (later Serit Sicilia S.p.A.).

Specifically, Riscossione Sicilia, in relation to the contractual provisions involved in said disposal, now asks the Parent Company be ordered to pay, under its contractual liability, for alleged contingent liabilities of Monte Paschi Serit S.p.A./Serit Sicilia S.p.A.

The Parent Company duly appeared before the court with a cross-action against Riscossione Sicilia S.p.A. The proceeding is under preliminary investigation. The Judge admitted the CTU and postponed the hearing to 16 July 2018 for the Consultant to take the oath. At this hearing, having set the start of the investigative operations for 4 September 2018, the Judge postponed the hearing to 18 February 2019, later deferred to 13 May 2019.

On 11 March 2017, Riscossione Sicilia objected to the above-mentioned order and requested that it be revoked and, by means of a cross-action, that the Parent Company be sentenced to pay an amount of approximately EUR 66 mln.

To justify its objection, Riscossione Sicilia alleged that the Parent Company owed it EUR 106.8 mln by virtue of certain representations and warranties set forth in two contracts for the sale of shares whereby the Parent Company had transferred the entire share capital of the company Serit – Sicilia S.p.A. to Riscossione Sicilia. Moreover, in the petition, Riscossione Sicilia acknowledged that its claims were already subject to other proceedings pending before the same Court.

The Parent Company duly appeared before the court requesting the dismissal of the opposing party's objection, claiming, inter alia, a lis pendens scenario in relation to the defences carried out by Riscossione Sicilia as a basis for the opposition.

With ruling dated 26 January 2018, the Judge rejected the application for suspension submitted by the counterparty of the opposing injunction for the part in which provisional enforceability had been granted and accepted the Parent Company's request for the provisional enforceability of the order for the remaining part of the sum ordered. At the hearing of 12 June 2018, the judge ordered separation of the position relating to the loan agreement subject of the injunction from the position relating to the defences explained by Riscossione Sicilia's counter-claims and combined only the counter-claim formulated by Riscossione Sicilia with another judgment in respect of which the aforementioned lis pendens profiles exist.

With regard to the judgement concerning the receivable deriving from the loan agreement, the Judge assigned the terms pursuant to art. 183, paragraph 6, of the Italian Code of Civil Procedure. Upon filing of the pleadings, the Judge, considering the case to be ready for a ruling, adjourned the discussion pursuant to art. 281-sexies of the Italian Code of Civil Procedure to 24 September 2019.

Note that with complaint dated 19 October 2017, Riscossione Sicilia challenged the measure of first aid. Even the appeal phase ended with rejection of the Riscossione Sicilia's claims. In this regard, it should be noted that the measure by which the Court of Palermo rejected the complaint lodged by Riscossione Sicilia - in addition to confirming, on the one hand, the groundlessness of the allegations made by the latter and, at the same time, the correctness of the Parent Company's conduct, which legitimately suspended use of the credit facilities in application of the provisions of articles 1460 and 1461 of the Italian Civil Code - contains a statement concerning the alleged public nature of the money to be collected. In particular, the Court stated that the money collected by the concessionaire "until it becomes available to the Treasury" does not constitute "a mere sum of money as such subject to confusion, but rather an asset falling within the unavailable assets of the collecting entity, which cannot be removed from its public destination" (see Court of Palermo order dated 26 January 2018). Based on the above, the Finance Department of the Sicily Region, on 10 May 2018, made an appeal in pursuant to art. 700 of the Italian Code of Civil Procedure against the Parent Company and in respect of Riscossione Sicilia, before the Court of Palermo, asking for the Parent Company to be prevented from suspending credit lines to allow the current account holder Riscossione Sicilia to fulfil its obligation, as Collection Agent, to pay the amounts relating to tax revenues to the tax authority, the Sicily Region, by adopting any urgent means suitable for implementing the transfer of the amount of around EUR 68.6 mln in tax revenues, in addition to the anticipated interests, to the tax authority Sicily Region and through this to the competent Finance Department. In the proceedings in question the Parent Company is duly constituted and the Court, which at the hearing requiring both parties to appear set for 21 June 2018 had reserved judgement, rejected the appeal with decision communicated on 28 June 2018.

Lastly, on 17 July 2018, the Finance Department of the Sicily Region notified the Parent Company by means of an order of injunction pursuant to art. 2 of Italian Royal Decree no. 639/1910 and of repayment, pursuant to art. 823, paragraph 2 of the Italian Civil Code of the above amount of around EUR 68.6 mln, assigning the Parent Company the term of 30 days to make the payment with the warning that, on the back of the failure to do so, it will proceed with the forced recovery through entry of the action in the list of cases. The Parent Company notified its defence, with the first hearing set for 12 December 2018, against said injunction, drawing up the related application for suspension of the enforceability of said injunction (or execution if launched in the meantime) with the request for a provision without prior hearing of the other side. The Court, which reserved its right to the hearing of 21 August, by order of 24 August rejected the request for suspension, specifying, however, that the injunction may be enforced on the active amounts in the current account of Riscossione Sicilia. The defendant filed an application for the Riscossione Sicilia case, leading to the Court of Palermo's postponement of the first hearing - already scheduled for next 12 December - to 20 March 2019.

For the sake of completeness, it should be noted that the Parent Company has also filed an administrative case before the Regional Administrative Court of Sicily - Palermo office for the declaration of nullity and/or annulment of the injunction order pursuant to art. 2 of Italian Royal Decree no. 639/1910, notified by the Department on 17 July 2018.

The appeal concerns the Order of injunction in the part in which, "alternatively, pursuant to art. 823, paragraph 2 of the Italian Civil Code, it orders Parent Company Monte dei Paschi di Siena (...) to return to the Sicily Region, within the same period of 30 days from receipt of the present, the amount of 68,573,105.83, plus interest at the rate established by special legislation for late payment in commercial transactions, as provided for by paragraph 4 of art. 1284 of the Italian Civil Code".

Following notification of the appeal on 16 October 2018, the appeal was filed by the Parent Company on 12 November 2018, without proceeding with the simultaneous request for a hearing to be scheduled (the latter fulfilment, which, if necessary, may be made by 12 November 2019). The Department appeared via the *Avvocatura dello Stato* (office of the State Attorney) on 15 November 2018.

Banca Monte dei Paschi di Siena S.p.A. vs. receivership estate of Antonio Amato & C. Molini e Pastifici in Salerno S.p.A. in liquidazione

This action was brought on 11 June 2013 by the company's trustee in bankruptcy against the former directors and statutory auditors of the later bankrupt company and against the Parent Company, together with other credit institutions, for compensation for the alleged damage, quantified as the difference between the liabilities and assets of the proceedings, also deriving from a pool loan granted by the financing institutions which would have delayed the emergence of the insolvency of the later bankrupt company, worsening its financial difficulties. The proceeding is under preliminary investigation and the accounting expert appraisal was admitted. The claim amounts to EUR 90 mln.

The Parent Company rose preliminary objections and filed a motion to dismiss the case for lack of venue jurisdiction and of active legitimation; in the merits, the Bank asked the Court to dismiss the plaintiff's claims as inadmissible and/or groundless or, as a secondary request, to reduce the amount of compensation awarded in consideration of the different degree of guilt in causing the damage, in accordance with art. 2055, paragraph 2 of the Italian Civil Code.
The next hearing in scheduled for 18 June 2019 for the specification of the pleadings.

Banca Monte dei Paschi di Siena S.p.A vs. Edilgarba s.r.l.

Edilgarba served a writ a summons against the Parent Company on 16 December 2010, claiming the breach by BMPS of its obligations deriving from the mortgage loan agreement entered into on 13 September 2006 by Edilgarba and Banca Antonveneta (later BMPS). Edilgarba demanded compensation for the alleged damages suffered (quantified at roughly EUR 28.5 mln) as well as damages to its image and commercial reputation (quantified at no less than EUR 3 mln).

In the course of the lawsuit, a court-appointed expert report was ordered and integrated, indicating that the damage from the subject transaction by Edilgarba, which must consider the costs incurred by the plaintiff, is equal to EUR 12 mln, the Parent Company's receivable from the financed bank of EUR 10.6 mln, and the value of a mortgaged area estimated at EUR 6.6 mln at the time of the renegotiation of the loan is EUR 2.6 mln to date. The proceedings were deferred to 5 December 2017 for the closing arguments. The claim amounts to approximately EUR 31.5 mln. With sentence filed 7 January 2019, the Court, in partial acceptance of the plaintiff's claims and partial acceptance of the Parent Company's claims, ordered the Parent Company to pay the plaintiff the sum of EUR 1.6 mln, plus revaluation and interest, and partially compensated litigation costs. The Parent Company appealed this decision, requesting suspension of provisional enforcement. A hearing on the petition for suspension was scheduled for 13 March 2019, while for the appeal lodged, a collective discussion hearing was scheduled for 22 May 2019.

Serventi Micheli Terzilia + Others vs. Fallimento Zenith, Banca Monte dei Paschi di Siena S.p.A + other credit institutes

In this case, brought with the writ of summons of 25 November 2013, the directors of the bankrupt Zenith S.p.A. - summoned before the court by the insolvency administrator with a liability action pursuant to article 146 of the Bankruptcy Law - in turn summon the Parent Company and other banking institutions to hear them declare their exclusive and/or concurrent liability, alleged to have replaced the directors by taking action to allow the return and/or acquisition of guarantees for the large amount of receivables claimed. After the judge rejected the preliminary requests, the case was adjourned to 11 December 2018 for closing arguments. The sentence was declared suspended at the hearing of 11 December 2018, due to the passing of one of the plaintiffs. The claim amounts to approximately EUR 26.5 mln.

Banca Monte dei Paschi di Siena S.p.a. vs. CODACONS + others

With writ of summons served on 5 March 2014, BMPS filed a civil suit before the Court of Rome against CODACONS, its legal representative and an external consultant of the association, in order to obtain a joint and several sentence of the latter for compensation for damage suffered and to be suffered by the Parent Company as a result of the multiple actions unjustly damaging to the Parent Company's reputation. In particular, the subject unlawful conduct includes the dissemination by CODACONS of multiple press releases issued from the beginning of 2013, in which the Parent Company was accused of incorrect accounting treatment of transactions related to restructuring of the "Santorini" transaction and the "Alexandria" notes, as well as the unlawful use of government aid through the New Financial Instruments. The damage is quantified at EUR 25 mln in monetary damage and EUR 5 mln in non-monetary damage. The first hearing, set in the writ of summons for 20 November 2014, was automatically deferred to 14 January 2015. The defendants filed counterclaims for damages, quantified by one of the defendants at approximately EUR 23 mln and deducing the existence of an alleged conflict of interest in the initiation of proceedings such as to justify the request for the appointment of a special receiver pursuant to art. 78 of the Italian Code of Civil Procedure. The Judge set the hearing of 17 January 2018 for concluding arguments. In the meantime, an agreement was reached between the Parent Company, on the one hand, and CODACONS and its legal representative, on the other, leading to the reciprocal waiver of the claims made in court, as well as waiver by CODACONS and its legal representative of all claims made against the Parent Company in all civil and criminal courts. The case between the Parent Company and the external consultant of the Association, originally convened together with the Association, continued. With ruling filed on 12 December 2018, the Court partially upheld the claims made by the Parent Company against the Consultant, ordering the latter to compensate the Bank for non-monetary damage, paid in the sum of EUR 3,000 and, accordingly, rejecting the counterclaims made. With notice served on 9 January 2019, the counterparty appealed, citing the Parent Company for the hearing of 23 May 2019.

Banca Monte dei Paschi di Siena S.p.A and other eleven credit institutes vs. Lucchini S.p.A. in Amministrazione Straordinaria

With a writ of summons issued on 23 March 2018, the Extraordinary Administrators of Lucchini SpA instituted legal proceedings before the Court of Milan against the Parent Company and other 11 institutes and companies, to obtain compensation, jointly and severally, for damages allegedly suffered and quantified at around EUR 350.5 mln primarily and around EUR 261.2 mln in the alternative.

The Extraordinary Administrators, which primarily quantify the damages in relation to those generated by the delayed subjugation of the Company to the extraordinary administration proceedings and to the receipts by the defendants in the implementation of a restructuring agreement, essentially assumes that the responsibilities of the same defendants could be in fact justified in such restructuring agreement of December 2011 which, according to the plaintiff's submission, would have allowed its signatories, on the one hand, to conceal the real state of failure of the Company so preventing, more specifically delaying the start of the insolvency proceedings and, on the other, to exercise an improper intervention in the management of the Company which could have characteristics of abuse of direction and coordination in pursuant to articles 2497 and 2497 sexies of the Italian Code of Civil Procedure. The Extraordinary Administrators therefore assumes the Banks' responsibilities, in addition to in relation to said hypothesis of abuse of direction and coordination, as they are considered to be de facto administrators and for the activities and violations ascribed to the administrators appointed by the same Banks in pursuant to articles 2055 and 2049 of the Italian Civil Code. The first hearing scheduled for 10 July 2018 was postponed to 30 October 2018 and the Parent Company appeared before the court within the required terms to present its defence. The next hearing is set for 9 April 2019.

Banca Monte dei Paschi di Siena S.p.A. vs. Extraordinary Administrators of Impresa S.p.A.

On 11 November 2016, the Extraordinary Administrators of Impresa S.p.A. served a writ of summons on the Parent Company along with other banks participating in a pool (our share is 36.48%) to have the liability of such banks, the members of the Board of Directors of Impresa S.p.A., today under Extraordinary Administration, and the auditing firm confirmed and declared by the court and to have them ordered to provide compensation for damages, jointly and severally, allegedly suffered by the company to the extent of EUR 166.9 mln.

The case is still in the initial phases and the hearing for the first appearance of the parties was held on 31 October 2017.

Along with the defence attorneys of the other Banks in the pool, a preliminary objection was first of all raised concerning the nullity of the complaint; however, the Judge deferred all assessments in this regard to when the decision will be made by the Board.

In the proceedings, the pleadings pursuant to art. 183, paragraph six of the Italian Code of Civil Procedure were filed within the deadlines granted (31 January, 2 March and 22 March 2018) and at the subsequent hearing on 29 October 2018, the Judge reserved his decision with regard to the plaintiff's preliminary requests.

Banca Monte dei Paschi di Siena S.p.A. vs. CO.E.STRA. Srl in Liquidazione e Concordato Preventivo.

On 4 December 2014, the administrators of the arrangement with creditors served a writ of summons on the Parent Company along with other banks participating in a pool (our share is 28.51%) to have their contractual or tort liability in relation to the company's debt restructuring agreement entered into on 30 November 2011 confirmed and declared by the court and have the defendant banks ordered to provide compensation for claimed damages, jointly and severally, suffered or for the claimed aggravation of distress that the company allegedly suffered, quantified by the opposing party as EUR 34.6 mln.

A petition was filed for the referral of the case to a different competent court, and the proceeding is still in the initial stage.

MPS Capital Services Banca per le Imprese S.p.A. vs. Etika Esco S.p.A.

The joint-stock company Etika Esco (hereinafter "Plaintiff" or "Company") sued MPS Capital Services Banca per le Imprese S.p.A. (hereinafter "MPSCS" or "Bank") before the Court of Florence, contesting the illegitimacy of the Bank's conduct which, upon resolution of a loan of EUR 20 mln in favour of a company to be formed (hereinafter "Newco Sviluppo Marina Velca") which should have been wholly-owned by the Plaintiff, did not proceed with the stipulation of the contract and the consequent disbursements.

It should be noted that the transaction, which was the subject of analysis that concluded with the resolution of 7 September 2016, was structured to allow Newco Sviluppo Marina Velca to complete the project for the construction of a real estate complex of about 300 small villas, as well as renovation and expansion of a golf course, in an area owned by Sviluppo Marina Velca S.r.l., located in the municipality of Tarquinia (hereinafter "Real Estate Project").

The Real Estate Project involved an Italian closed-end investment fund which, through a vehicle company incorporated under Luxembourg law, held 100% of the capital of Sviluppo Marina Velca S.r.l.

The Bank had already intervened in support of this project by granting a loan of EUR 9.4 mln to Sviluppo Marina Velca S.r.l in 2012 (hereinafter the "2012 Loan"), which expired on 31 July 2014. In September 2016, the period of the resolution on the subject loan, approximately EUR 11 mln remained, comprising principal, overdue interest, arrears and accessories.

The Company's takeover of the Real Estate Project assumed the acquisition by Etika Esco of a special purpose vehicle (identified as Rell's Risorse s.r.l.) which should have purchased the shares of Sviluppo Marina Velca S.r.l. and then proceeded with the merger by incorporation. Purchasing the shares of Sviluppo Marina Velca S.r.l. would have required the Bank's intervention as guaranteed creditor, in order to authorise the transfer of the shares subject to pledge as collateral for the 2012 Loan.

Given the context of the scenario indicated by the Company, the objections raised with regard to the Bank's conduct are briefly illustrated below.

The Plaintiff claims that, upon scheduling an appointment with a Notary Public to transfer the shares of Sviluppo Marina Velca S.r.l., the Bank notified that it would not be able to participate only the day before said meeting, due to alleged internal delays.

Having missed said appointment, without justification, MPSCS subsequently adopted a closed attitude towards the Plaintiff, no longer responding to the many requests to proceed with the financing transaction until 15 March 2017, date in which the Bank communicated, with arguments and justifications deemed by the Company to be entirely insufficient, the forfeiture and/or revocation of the resolution of 7 September 2016.

The Plaintiff maintains that the conditions set by the Bank for the effectiveness of the resolution of 7 September 2016 were all met and, for those not met, should have been considered as having been fulfilled pursuant to Article 1359 of the Italian Civil Code due to the fact and fault of the Bank.

Failure to complete the acquisition of the shares of Sviluppo Marina Velca s.r.l., and then the loan agreement with consequent failure to pay the sums, caused enormous damage to the Company, quantified at approximately EUR 96 mln, of which i) approximately EUR 46 mln as loss of profit for not having been able to achieve, as General Contractor, the revenues from implementation of the Real Estate Project and damage from requests for payment of penalties provided for in the contracts signed in view of the above activity and ii) EUR 50 mln in additional damage that will accrue in arrears, namely with regard to the sum decided by the court.

The Bank duly appeared before the court, replying that none of the conditions detailed in the letter of participation in the loan resolution had been satisfied. It was also pointed out that a few days after the resolution of the transaction (17 October 2016) the Company had asked MPSCS for an advance on the first disbursement of EUR 2.6 mln, to be secured by a mortgage issued by the same company to be merged, namely Sviluppo Marina Velca S.r.l. This request indicated a worrying lack of liquidity by the Company, which, however, would have had to inject significantly higher amounts during implementation of the Real Estate Project.

The change in creditworthiness revealed following the aforementioned request for pre-financing not only led the Bank to reject said new loan, but also to re-examine, in light of the Company's evident lack of liquidity, the transaction already approved, leading to the final decision not to confirm and, therefore, to revoke said resolution granting the loan, also given the failure to comply with the conditions for stipulation of the loan.

Further investigation by the Bank revealed that a hidden promoter of the transaction was a person with a very unfavourable track record and who had previously been refused financing by the Bank for the same project.

In concluding, MPSCS filed a counterclaim asking for the conviction of the Plaintiff for vexatious litigation, pursuant to art. 96 of the Italian Code of Civil Procedure.

On 22 January 2019, the initial hearing was held pursuant to Article 183 of the Italian Code of Civil Procedure. The judge, at the request of the parties, granted the time limits for the pleadings referred to in art. 183, paragraph vi of the Italian Code of Civil Procedure and adjourned discussion of the evidence to the hearing of 24 September 2019.

With the statement referred to in art. 183, para. vi, no. 1 of the Italian Code of Civil Procedure filed by Etika Esco on 21 February 2019, it was specified that the total claim is not EUR 96 mln, as the damages suffered as a result of the facts presented in the summons amount to EUR 46.2 mln, "or in any case to an amount not less than EUR 50 mln or higher, due to the additional damages that will accrue in the meantime for the plaintiff due to the stated reasons, or, in the alternative, the payment of a different amount, even lower, that will be reached over the course of the litigation and/or which the Judge should determine on an equitable basis, as necessary".

Banca Monte dei Paschi di Siena S.p.A. vs. Fruendo

Following the transfer of the back office business unit to Fruendo S.r.l. in January 2014, involving 1,064 resources, 634 workers (later reduced to 480 due to waivers/settlements and deaths) initiated legal proceedings before the Courts of Siena, Rome, Mantua and Lecce to demand, among other things, the continuation of the employment relationship with the Parent Company, upon the declaration of ineffectiveness of the transfer agreement entered into with Fruendo S.r.l.

At the reference date of these financial statements, for one plaintiff proceedings are pending in the first instance with a hearing held on 13 March 2019 for examination of witnesses with delay until 4 October 2019 for discussion, while for the other 479 rulings in the first and/or second instance have already been handed down against the Parent Company, giving the workers concerned the right to be rehired.

Specifically, for 143 workers a ruling in the first instance was handed down (at the Courts of Lecce and Rome) against which the Parent Company has already appealed before the applicable Courts of Appeals with hearings currently scheduled between February 2019 and February 2020; on the other hand, for 336 workers, a ruling in the second instance was also handed down (at the Courts of Appeals of Florence, Rome and Brescia), against which the Parent Company has already submitted an appeal before the Court of Cassation (pending the scheduling of a hearing by the Supreme Court for all appeals submitted thus far).

For the sake of full disclosure, note that both before the courts of second instance and before the Supreme Court of Cassation, the Parent Company and Fruendo S.r.l. have filed a petition for submission to the European Court of Justice of preliminary matters that are essential for the purposes of a decision. In particular, an assessment was requested regarding the conformity with EC Directive 2001/23 of art. 2112 of the Italian Civil Code, as interpreted by the decisions of the Supreme Court of Cassation, with which the appealed judgments comply, and it also asked whether:

- the transfer of an economic entity, functionally autonomous though not pre-existing, as it was identified by the transferor and the transferee at the time of the transfer, would not allow for the automatic transfer of employment relationships pursuant to art. 2112 of the Italian Civil Code and therefore would require the consent of the workers concerned; and

- the automatic transfer of the employment relationships pursuant to art. 2112 of the Italian Civil Code would not be permitted and therefore if the consent of the workers concerned would be required if, in the case of the transfer of an economic entity carrying out bank back office activities, the transferring Parent Company maintained ownership of the applications and IT infrastructure, only granting them to the transferee for use for valuable consideration.

At the date of this report, of the 479 parties entitled to be rehired by the Parent Company, 72 workers (later reduced to 31 following 25 waivers to be ratified in accordance with legal procedures and 16 settlements that took place in the meantime) submitted an order requesting to be re-entered in the Parent Company's Payroll Ledger and to restore their insurance and contribution position, which the Parent Company objected to by appealing before the Labour Section of the Court of Siena. At the hearing of 15 February 2019, the cases were discussed and the Judge reserved his decision.

Even if the Parent Company's objection does not bring about the desired effects, to date no economic impacts are expected for the Issuer from the integration of back pay to the workers rehired, as all plaintiffs maintained their wages enjoyed at the Parent Company at the time of transfer of the business unit and indeed, they did not suffer the wage decreases applied to the employees of the Parent Company, on the basis of the Union Agreements of 19 December 2012 and 24 December 2015.

Given the above, the Parent Company, jointly with Fruendo S.r.l., is analysing the matters arising from the unfavourable outcome of the labour dispute.

Lastly, please note that a number of workers (32) filed a lawsuit for the offence of wilful non-performance of a judge's ruling (art. 388 of the Criminal Code). As part of criminal proceedings no. 567/17 before the Criminal Court of Siena, following the above-mentioned lawsuit, the public prosecutor submitted a request for dismissal with respect to the parties under investigation - Tononi Massimo, Viola Fabrizio, Falciai Alessandro and Morelli Marco -, which the complainants objected to.

Following further investigation, on 12 April 2018, the Siena Preliminary Investigations Judge rejected the request and dismissed the proceedings.

Please also note that in 2017, 52 Fruendo S.r.l. workers (later reduced to 32 following waivers/settlement) called the Parent Company before the Court of Siena (in 6 separate proceedings) to request the continuation of the employment relationship with the Parent Company, upon declaration of the unlawful interposition of labour ("unlawful contract") as part of the services outsourced by the Parent Company to Fruendo S.r.l. On 26 January 2019, the Court of Siena ruled in favour of the Bank, rejecting the appeals by the counterparty.

The claim amount and related risk provision referring to the labour dispute also includes said legal actions in relation to legal fees for the dispute.

Also in this case, any unfavourable outcome of the proceedings would currently result in the re-establishment of the employment relationship of the parties concerned with the Parent Company with no expenses for previous remuneration differences, as the plaintiffs in question have continuously worked at Fruendo S.r.l., maintaining the remuneration received from the Parent Company when the business unit was transferred.

Banca Monte dei Paschi di Siena S.p.A. vs. FRESH 2008 Bondholders

Some holders of FRESH Bonds 2008 securities maturing in 2099, with writ of summons served on 19 December 2017, initiated proceedings against the Parent Company MPS, the company Mitsubishi UFJ Investors Services & Banking Luxembourg SA (which replaced the Parent Company in issuing the bond loan Banca di New York Mellon Luxembourg), the British company JP Morgan Securities PLC and the American company JP Morgan Chase Bank NA (which entered into a swap agreement with the bond loan issuer) before the Court of Luxembourg to request confirmation of the inapplicability of the Burden Sharing Decree to the holders of FRESH 2008 securities and, as a result, to have it affirmed that such bonds cannot be forcibly converted into shares, as well as that such bonds will continue to remain valid and effective in compliance with the issue terms and conditions, in that they are governed by the laws of Luxembourg. Lastly, to ascertain that MPS has no rights, in the absence of the conversion of the FRESH 2008 securities, to obtain the payment of EUR 49.9 mln from JP Morgan in damages for holders of FRESH 2008 securities. The schedule of hearings has not been clearly defined by the Court of Luxembourg.

In view of completeness it is noted that, following the start of the proceedings in question, the Parent Company, on 19 April 2018, tabled a dispute before the Court of Milan against JP Morgan Securities Ltd, JP. Morgan Chase Bank n.a. London Branch, as well as the representative of the Fresh 2008 securities holders and Mitsubishi Investors Services & Banking (Luxembourg) Sa to ascertain that the Italian Judge is the only one with jurisdiction and competence to decide about the usufruct contract and the company swap agreement signed by the Parent Company with the first two defendants in the context of the operation of the share capital increase in 2008. Consequently the Parent Company asks for: (i) the determination of the ineffectiveness of the usufruct contract and the company swap agreement which anticipate obligations of payment in favour of JP Morgan Securities PLC and JP Morgan Chase Bank Na in relation to the entry into force of Decree 237; (ii) the determination of the intervened ineffectiveness and/or resolution and/or termination of the usufruct contract or, alternatively, (iii) the determination of the intervened resolution of the usufruct contract relating to the capital deficiency event of 30 June 2017. The first hearing was held on 18 December 2018 and the Judge, considering the prejudicial nature of the issue of jurisdiction raised by the defendants, in view of the fact that a dispute is pending before the Luxembourg Court involving the same *petitum* and the same *petendi*, granted the parties terms to reply only to the procedural objections and adjourned the hearing to 16 April 2019 for assessment of the disputed issue.

* * *

<u>Offer of diamonds</u> - In 2012, Banca Monte dei Paschi di Siena signed a cooperation agreement with Diamond Private Investment (DPI) to regulate the modalities for the reporting of the offer of diamonds by the company to the customers of BMPS. This activity generated total purchase volumes of EUR 344 mln, mainly in 2015 and 2016, with a significant drop already from 2017.

The Antitrust Authority (Autorità Garante della Concorrenza e del Mercato - AGCM), with the resolution adopted at the meeting of 20 September 2017, established the existence of behaviours in violation of the provisions relating to unfair trade practices on the part of DPI and of the banks that had signed agreements with them. With regard to the Parent Company, a sanction of EUR 2 million was imposed.

This measure was challenged before the Lazio Regional Administrative Court which, with sentence of 14 November 2018, rejected BMPS's appeal. No appeal has been lodged against the judgment and it has therefore become final.

The Parent Company had in any case suspended the reporting activity to DPI of its customers starting from 3 February 2017, as soon as they became aware of the opening (25 January 2017) of the formal

AGCM investigation with regard to DPI (later extended to the banks with which it had agreements). On 19 March 2018 the Parent Company terminated the cooperation agreement with DPI (the activity had in practice already been terminated from the date of suspension) and activated a compensation process for its customers who had received recommendations and intended to exit their diamond investment.

The compensation operation, agreed by Board of Directors since January 2018, anticipates the payment to customers a consideration up of an amount equal to the latter had originally paid to DPI for the purchase of stones, with the simultaneous transfer of the same to the Parent Company and the completion of the transaction.

Once the necessary authorisations were obtained, the initial transactions with customers were completed in the second half of 2018.

On 19 February 2019, the Parent Company was served a preventive attachment decree from the Judge's Office for the Preliminary Investigations in relation to this case. The decree was served to several individuals, two diamond-producing companies (Intermarket Diamond Business S.p.A. and Diamond Private Investment S.p.A.), as well as 5 banks, including BMPS, and resulted, for the Issuer, in the preventive attachment of the profit from the crime of continued aggravated fraud, in the amount of EUR 35.5 mln. In addition, a preventive attachment decree was served by equivalence pursuant to art. 53 of Italian Legislative Decree 231/2001, for EUR 195,237.33 for the crime of self-money laundering. Currently, three employees are involved in this proceeding, but the provision specifies that other individuals of BMPS may possibly be identified. The Parent Company is proposing a request for a review against this precautionary measure.

To meet the initiatives taken, the Parent Company has set aside provisions which take into account, among other things, the anticipated number of requests and the current wholesale value of the stones to be collected. As at 31 December 2018, the provisions for risks and charges for the compensation initiative still not used amounted to EUR 127 mln (included in "Other provisions for risks and charges" sub-item "others"); at the same date, diamonds for a current estimated wholesale value of approximately EUR 4 mln were collected.

Risks from tax disputes

Among the cases associated with tax disputes which regard the Group, those in which the risk of losing is considered likely are limited in number and adequate provisions have been made to the Reserve for risks and charges.

On 10 April 2018, the Revenue Agency, Tuscany Regional Directorate, initiated an IRES, VAT and withholdings audit with respect to the Parent Company for the 2015 tax year. Upon completion of the audit on 17 December 2018, the resulting tax audit report claimed additional taxes associated with the findings of the audit, amounting to approximately EUR 10.7 mln (taxes and penalties). The Parent Company formalised its observations, outlining the reasons for which it does not share the findings indicated in the aforementioned tax audit report.

Financial risks of investment services

Foreword

The following section on financial risks of investment services was written as part of the "Operational Risk" section in line with the compulsory framework for preparation of the Notes to the Financial Statements, even though this subject presents specific characteristics and involves organisational levels of authority that are not directly traceable to operational risk management.

Wealth risk management process and methods

The risks regarding investment services, for the Group, are a direct and indirect result of the risks incurred by customers in relation to the performance of services and investment activities.

Consequently, governance of these risks is aimed at protecting customers and, simultaneously, preventing any potential negative impacts on the Group in terms of operational and reputational risk.

Organisational responsibility at Group level for supervising financial risk measurement, monitoring and control activities and for mapping investment products/services for the purposes of MiFID adequacy is an integral part of the Group's integrated risk management responsibilities, and is assigned centrally to the Wealth Risk Management Service, within the Operating Risk Officer Area of the Parent Company's Chief Risk Officer Department. This is to ensure centralised governance of the direct and indirect risks which the Group incurs during the course of its operations.

"Wealth risk management" focuses on the overall set of operational and management processes as well as measurement and monitoring tools/methods used to ensure overall consistency between customers' risk profiles and the risk of investment products and portfolios offered to - or in any case held by - customers.

The investment products (of the Group and of third parties), whether or not included in the overall offering to the Group's customers, are mapped for risk on the basis of quantitative measurements of market and credit risk factors; liquidity and complexity assessments are also conducted on these products. Product mapping is one of the guiding criteria for carrying out investment adequacy checks as part of the consulting service offered.

For the sake of simplicity, investment product risk mapping, performed with reference to individual risk macro-factors, is grouped under specific risk categories.

A special focus is given by the Bank to the monitoring and prevention of potential financial and reputational risks which investment services, particularly in contexts of financial crisis, may generate as a consequence of increased market volatility. The fast-moving and not always predictable market trends may result in rapid changes in product risks and generate potential financial losses, as well as prompting a changing attitude by customers towards their own financial investments.

Customers have regularly been informed of changes in the risk of financial instruments held, so as to ensure timely disclosure transparency and facilitate possible decisions aimed at rebalancing the risk profile of their investments.

Advisory services on offer, customer risk profile and risk of investment products/portfolios

The strategic choice of the Parent Company is to systematically combine the placement of financial products with advisory so as to ensure the highest level of protection for the investor and, at the same time, enhance the role played by relationship managers. Again, with a view to protecting customers, the obligation to verify appropriateness has also been extended to the trading activities on the secondary market of the certificates issued by the Group.

Banca MPS offers two types of advisory services:

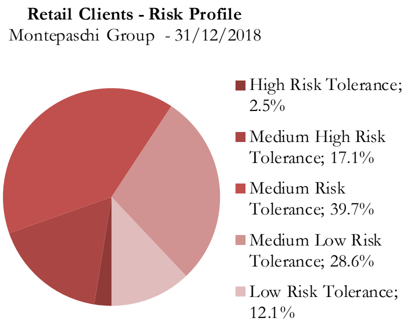
- "basic" transactional advisory, aimed at verifying the suitability of a single specific investment recommendation, or several investment transactions or several disinvestment transactions in relation to the risk of the customer's investment portfolio as a whole. In this regard, the transactional adequacy model adopts a multivariate control approach to the individual risk factors, taking the risk of the customer's portfolio, including the recommended investment product(s), as a reference.

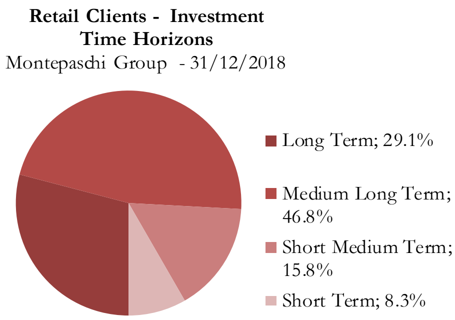
- "advanced" advisory, aimed at verifying the suitability of the overall set of transactions recommended, in relation to a set of investment/disinvestment transactions aimed at building one or more advanced advisory portfolios, in accordance with the respective investment objectives, with regard to optimum asset allocation to maximise prospective returns, with respect to the risk of the customer's investment profile as a whole. In this regard, the adequacy model adopts a multivariate control approach to the individual risk factors, taking the risk of the customer's portfolio, including the recommended investment product(s), as a reference.

Wealth risk management activities cover the entire distribution perimeter of the network of Group branches, the investment services operated by Banca Widiba and by MPS Capital Services.

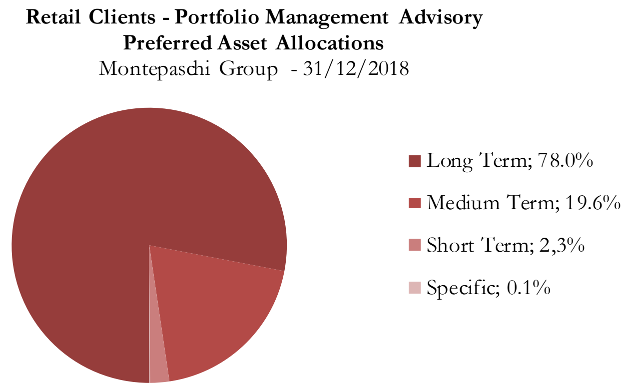
From 3 January 2018, the MiFID II directive (2014/65/EU) came into force in the entire European Union. Together with MiFIR or Markets in financial instruments regulation (EU Regulation 600/2014), this has changed the reference framework of European legislation. By adopting a new MiFID questionnaire introduced on 2 January 2018, Banca MPS and Banca Widiba have revised the methods of customer profiling and the rules for determining the indicators underlying a customer's risk profile (particularly on: investment objectives, experience and knowledge, time horizon).

An analysis of the questionnaires completed at the end of 2018 shows that roughly 41% of the Group customers in the "Consumer/Retail" macro-segment, namely retail customers which represent almost the entire customer base of the Group, and which hold investment products, declared a "low" or "medium low" risk tolerance, 40% declared a "medium" risk tolerance and the remaining 19% a positioning on higher risk tolerance classes. In addition, mainly medium to long-term investment time horizons were preferred.





At the end of 2018, the portfolios held by Consumer/Retail customers on the basis of formalised "advanced" advisory proposals to obtain optimum asset allocation, were mainly distributed into the recommended, especially long-term, Asset Allocation macro-classes.



Part F – Information on consolidated shareholders' equity

Section 1 - Consolidated shareholders' equity

A. Qualitative information

The Group pursues strategic objectives focused on quantitative and qualitative strengthening of capital, structural rebalancing of liquidity and achievement of sustainable profitability levels. In this perspective, capital management, planning and allocation activities play a crucial role in ensuring compliance over time with the minimum capitalisation requirements set by the regulations and the supervisory authorities, as well as with the risk appetite level approved by the Group's strategic supervision body.

This is the purpose served by the Risk Appetite Framework (RAF) through which the target capitalisation levels are estimated on a yearly basis and capital is allocated to the business units according to expected development and estimated risk levels, making sure that the allocated capital is sufficient to ensure compliance with minimum requirements, under both normal and stress conditions. In the context of the RAF it is used to perform prospective capital adequacy assessments over a multiyear period, under both normal and stress conditions. The analyses are carried out both at Group level and by each individual legal entity subject to regulatory capital requirements.

The achievement of objectives and compliance with regulatory minimum requirements is constantly monitored throughout the year.

The formal corporate processes to which the RAF is applied at least on an annual basis are the budget, the risk appetite and the ICAAP.

The Group defines its targets on the basis of a Risk Adjusted Performance Measurement (RAPM), which measures profitability net of the cost of capital to be held for regulatory purposes relative to the assumed risk level.

The definitions of equity applied are those used in Supervisory Regulations: Common Equity Tier 1, Tier 1 and Capital; moreover, the RAPM metrics also include Invested Capital, i.e. the amount of Shareholders' equity needed to achieve Common Equity Tier 1 values, whether determined ex ante as target levels or realised ex post.

The Capital at Risk concepts applied are those used in the regulatory requirements and correspond to the risk weighted assets (RWA), determined on the basis of the rules set out in the supervisory regulations, and the economic capital corresponding to the maximum losses estimated on measurable risks at a predetermined confidence interval and on the basis of the Group's internal models and rules. Both measurements are used as part of RAPM metrics.

B. Quantitative information

B.1 Consolidated shareholders' equity: breakdown by business areas

31 12 2018

Net equity items	Prudential Consolidation	Insurance companies	Other companies	Consolidation cancellations and adjustments	Total	of which Group	of which minority interests
Shareholders' equity	10,329,570	304,317	194,442	(498,760)	10,329,569	10,328,618	952
Share premium	5	-	2,413	(2,413)	5	-	5
Reserves	(1,124,839)	360,196	82,177	(442,373)	(1,124,839)	(1,124,804)	(35)
Equity instruments	-	-	-	-	-	-	-
Treasury shares (-)	(313,710)	-	-	-	(313,710)	(313,710)	-
Valuation reserves	(175,493)	69,364	869	(70,232)	(175,492)	(176,723)	1,230
- Equitty instruments measured at fair value through other comprehensive income	(40,652)	-	-	-	(40,652)	(40,642)	(10)
- Finciale assets (other than equity instruments) measured at fair value through other comprehensive income	(141,143)	-	-	-	(141,143)	(141,143)	-
- Cash flow hedges	(1,679)	-	-	-	(1,679)	(1,680)	1
- Exchange difference	4,893	-	-	-	4,893	4,893	-
- Non-current assets and group of assets held for sale	(2,629)	-	-	-	(2,629)	(2,629)	-
- Financial liabilities measured at fair vale through profit and loss (changes in own credit worthiness)	36,228	-	-	-	36,228	36,228	-
- Actuarial gains (losses) on defined benefit plans	(107,171)	-	(22)	22	(107,171)	(107,171)	-
- Share of valuation reserves of equity investments valued at equity	66,368	65,478	891	(66,368)	66,369	66,368	-
- Special revaluation laws	10,292	3,886	-	(3,886)	10,292	9,053	1,239
Profit (loss) for the year - Group and minority interests	278,667	64,597	5,735	(70,332)	278,667	278,578	89
Net equity	**8,994,201**	**798,475**	**285,637**	**(1,084,109)**	**8,994,201**	**8,991,960**	**2,242**

B.2 Valuation reserves for financial assets measured at fair value through other comprehensive income: breakdown

Asset/Amount	Prudential Consolidation		Insurance companies		Other companies		Consolidation cancellations and adjustments		TOTAL	
	Positive reserve	Negative reserve	Positive reserve	Negative reserve	Positive reserve	Negative reserve	Positive reserve	Negative reserve	Positive reserve	Negative reserve
1. Debt securities	95,767	(143,994)	93,736	-	-	(821)	(93,736)	821	95,767	(143,994)
2. Equity instruments	9,532	(78,221)	1,401	(29,438)	-	-	(1,401)	29,438	9,532	(78,221)
4. Loans	-	-	-	-	-	-	-	-	-	-
Total 31 12 2018	**105,299**	**(222,215)**	**95,137**	**(29,438)**	**-**	**(821)**	**(95,137)**	**30,259**	**105,299**	**(222,215)**
Total 31 12 2017*	**310,742**	**(186,806)**	**202,502**	**(58,159)**	**-**	**(809)**	**(202,502)**	**58,968**	**310,742**	**(186,806)**

** The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 9; in addition, the comparative data were reclassified on the basis of the new accounting statements set forth in the 5th update of Bank of Italy Circular 262.*

B.3 Valuation reserves for financial assets measured at fair value through other comprehensive income: annual changes

31 12 2018

	Debt securities	Equity instruments	Loans
1. Opening balance	**248,446**	**(56,589)**	**-**
2. Increases	**76,865**	**12,363**	**-**
2.1 Inreases in fair value	3,314	(2,197)	-
2.2 Net losses (recoveries) on impairment	(4,369)	X	-
2.3 Reversal to profit and loss of negative reserves	389	X	-
2.4 Transfers to other component of equity (equity instruments)	-	11,115	-
2.5 Other increases	77,531	3,445	-
3. Decreases	**373,538**	**24,463**	**-**
3.1 Decreases in fair value	316,940	24,488	-
3.2 impairment provisions	-	-	-
3.3 Reversal to profit and loss of positive reserves: followiong disposal	44,909	X	-
3.4 Transfers to other component of equity	-	44	-
3.5 Other decreases	11,689	(69)	-
4. Closing balance	**(48,227)**	**(68,689)**	**-**

** The initial balance includes the effects of first-time adoption of the new IFRS 9 and IFRS 15 as at 1 January 2018, described in the paragraph "Transition to the IFRS 9 and IFRS 15 accounting standards".*

B.4 Valuation reserves for defined benefit plans: annual changes

	Internal funds	External funds	Provisions for employees severance pay	31 12 2018
Opening balance	**(36,136)**	**(1,461)**	**(76,959)**	**(114,556)**
Remeasurement of net defined benefit liability (asset):	**1,156**	**1,191**	**3,414**	**5,761**
Return on plan assets excluding interests	72	(23,230)	-	(23,158)
Actuarial gains (losses) arising from changes in demographic assumptions	1,529	1,819	(105)	3,243
Actuarily gains (losses) arising from experience adjustments	1,176	14,642	1,109	16,927
Actuarial gains (losses) arising from changes in financial assumptions	1,600	5,884	2,410	9,894
Changes in effect of limiting net defined benefit asset to asset ceiling	(3,221)	2,076	-	(1,145)
Gains (losses) on settlements	-	-	-	**-**
Others	(1)	1,314	128	1,441
Closing balance	**(34,981)**	**1,044**	**(73,417)**	**(107,354)**

Section 2 – Regulatory banking capital and ratios

See the information on own funds and capital adequacy contained in the public disclosure (Pillar 3).

Part G – Business combinations

Section 1 – Business combinations during the period

1.1 Business combinations

No business combinations, as defined by IFRS 3, were carried out in 2018.

Section 2 - Business combinations completed after the period

There are no transactions to report.

Section 3 – Retrospective adjustments

No retrospective adjustments are reported.

Part H – Related-party transactions

1 Compensation of key management personnel

Items/Amounts	Total 31 12 2018	Total 31 12 2017
Short-term benefits	7,225	9,116
Termination benefits	1,263	-
Total compensation paid to key management personnel	**8,488**	**9,116**

Considering the instructions provided by accounting standard IAS 24 and in light of the current organisational structure, the Group has opted for the disclosure scope to include not only the Directors, Statutory Auditors, the General Manager and the Deputy General Managers, but also other Key Management Personnel.

The information regarding remuneration policies is contained in the 'Remuneration Report pursuant to art. 123 ter of the Consolidated Law on Finance', available on the Parent Company's internet site, which contains the following data:

- a detailed breakdown of compensation paid to the Governing and Control bodies, General Managers and, in aggregate form, to Key Management Personnel;
- quantitative information on the remuneration of "Key employees";
- monetary incentive plans in favour of members of the Administration and Control Body, the General Managers, the Deputy General Managers and other Key Management Personnel;
- information on the equity investments of members of the Administration and Control Body, the General Managers and other Key Management Personnel.

The amount shown in the line "Termination benefits", including the indemnity in lieu of advance notice, refers to the termination of employment for 3 executives of the Parent Company.

2. Related-party transactions

With resolution no. 17221 of 12 March 2010, Consob adopted the "Regulations containing provisions relating to transactions with related parties".

In its meeting of 10 November 2010, the Board of Directors of the Parent Company established the "Committee of Independent Directors" which, as of 18 July 2013, was renamed "Related-Party Transactions Committee"; the Committee is composed solely of independent directors pursuant to the principles and criteria of the Corporate Governance Code of listed companies, which Banca MPS adhered to, and the Consolidated Law on Finance.

In implementation of art. 53 of the Consolidated Law on Banking and in compliance with resolution no. 277 of the Interministerial Committee for Credit and Savings (ICRC) of 29 July 2008, the directives on regulations concerning risk assets and conflicts of interest in relation to the Associated Parties of the Group were adopted by the Bank of Italy with the 9th update to Circular no. 263/2006, as of 31 December 2012.

Through resolution dated 29 November 2018, the Board of Directors of the Parent Company approved - in accordance with regulatory provisions and having obtained the prior favourable opinions of the Related-Party Transactions Committee and of the Board of Statutory Auditors - the "*Group Directive in relation to management of the provisions on Related Parties, Associated Parties and obligations of the Banking entities, adopted with Consob Regulation no. 17221/10 of Bank of Italy Circular no. 263/06, Title V, Section 5, and pursuant to art. 136 of Italian Legislative Decree 385/1993 (Consolidated Law on Banking) (hereinafter, the "Group Directive")*, in replacement of the previous "*Global Policy on transactions with related parties, associated parties and obligations of the Banking entities*", which includes in a single document the provisions on conflict of interest in transactions with related parties, pursuant to aforementioned Consob Regulation no. 17221/2010, with associated parties in accordance with Bank of Italy Circular no. 263/2006, Title V - Section 5, as well as those on the obligations of banking representatives, in accordance with art. 136 of the Consolidated Law on Banking, also containing rules for subsidiaries. The *Group Directive* dictates the principles and rules to be adhered to in order to control the risk arising from situations of possible conflict of interest with certain entities close to the Group's decision-making centres.

The *Group Directive* was published on the Parent Company's web site and is therefore available in full-text version at the following link:

https://www.gruppomps.it/static/upload/ope/operazioni_con_parti_collegate_e_soggetti_collegati.pdf

From 2016, the Parent Company's Board of Directors formally resolved to approve inclusion of the Ministry of Economy and Finance (MEF) and of the relevant directly and indirectly controlled companies within the scope of related parties on a discretionary basis pursuant to the provisions of the *Group Directive*, excluding the prudential regulation.

Following completion of the Parent Company's precautionary recapitalisation procedure, after which the MEF became the controlling shareholder from August 2017, the Parent Company received notification on 18 December 2017 from the Supervisory Authorities with regard to the methods for the resulting application of limits to risk assets laid out in prudential regulations, pursuant to art. 53 of the Consolidated Law on Banking and its implementing provisions (Bank of Italy Circ. 263/06 Title V Section 5), through application to the Bank of the "silo" approach for calculation of the reference limits.

With reference to the MEF scope, the Parent Company has availed itself of the exemption provided by paragraph 25 of IAS 24 on the disclosure of transactions and balances of existing transactions with government-related entities. The main transactions carried out with the MEF and with its subsidiaries, in addition to financing and funding transactions, includes the amount of Italian government securities recorded in the portfolios "Financial assets measured at fair value through other comprehensive income" and "Financial assets measured at fair value through profit and loss", for a nominal amount, respectively, of EUR 9,660.3 mln and 2,760.3 mln.

Information is provided below regarding transactions that are worth specifically mentioning and which were concluded on the basis of assessments of economic advantage and carried out by the Parent Company with related parties in 2018.

February 2018

- On 1 February 2018, the Vice Deputy General Manager of the Parent Company authorised in favour of SOGIN S.P.A. the ordinary revision, with extension, of two mixed credit facilities (already mentioned in the part H of the 2017 Financial Statements), for a total amount of EUR 19.9 mln, of which (i) one for EUR 18.9 mln used for the issue of sureties with underlying financial obligations against VAT refunds and for the issue of letters of credit relating to the import of goods and (ii) another for EUR 1.0 mln used for forward currency transactions that may be used only for transactions with a commercial underlying asset. The transaction falls within the scope of application of Consob regulation no. 17221/2010, as SOGIN S.p.A. is subject to the direct and total control of the MEF, controlling shareholder of the Bank.

March 2018

- On 5 March 2018 around EUR 47.5 mln were drawn from available credit lines in the context of the Parent Company operations with regard to existing agreement stipulated between CASSA DEPOSITI E PRESTITI S.p.A. and the Italian Banking Association, subject of the Framework Resolution approved by the Board of Directors on 29 November 2017 (already discussed in Part H of the Financial Statements as at 31 December 2017). The transaction falls within the scope of application of Consob regulation no. 17221/2010, as CASSA DEPOSITI E PRESTITI S.p.A. is a subsidiary of the MEF, controlling shareholder of the Parent Company.

- On 28 March 2018 the Chief Lending Officer of the Parent Company, with the previous approval of the Committee for Related-party Transactions and in the context of the ABI-SACE-SIMEST "Export Banca" Convention, authorised with respect to ZOZIK LLC: (i) the rescheduling of the repayment plan of the Buyers' Credit of the original EUR 22.4 mln, with a one year extension for the final payment from 30 June 2021 to 30 June 2022, on condition that all the interested parties (including SACE and CDP) approve the same variation, with the guarantee and funding structure remaining unchanged; and (ii) the possibility of granting a further suspension to 30 September 2018 for the definition of the financing rescheduling, on condition that the validity of all guarantees and the correct question of liquidity are confirmed. The transaction falls within the scope of application of Consob regulation no. 17221/2010, as, even though ZOZIK LLC is not a related party of the Parent Company, the operation is financed through funds made available by CDP and is assisted by a guarantee by SACE, both subsidiaries of the MEF, which is in turn a controlling shareholder of the Parent Company.

May 2018

- On 3 May 2018 the Manager for the Parent Company's Credit Service authorised the opening of a current account credit facility to CONSIP S.p.A. for EUR 10 mln. The transaction falls within the scope of application of Consob regulation no. 17221/2010, as CONSIP S.p.A. is subject to total control of the MEF, controlling shareholder of the Parent Company.

- On 10 May 2018 the Parent Company's Board of Directors, with the prior favourable opinion of the Related-Party Transactions Committee, granted MARINELLA S.p.A. IN LIQUIDAZIONE and TENUTA DI MARINELLA SOCIETÀ AGRICOLA A R.L. IN LIQUIDAZIONE, on request of the liquidators, a 24-month moratorium, effective from the expiry of the previous moratorium agreed in April 2017 (already discussed in Part H of the 2017 Financial Statements), on the unsecured loans from the Parent Company, which may be extended by MARINELLA S.P.A. IN LIQUIDAZIONE by up to 36 months should the residual debt to the Parent Company at the expiry of the 24 months be less than EUR 5 mln. The transaction, which amounts to EUR 22.8 mln, falls within the scope of application of Consob Regulation no. 17221/2010 as MARINELLA S.p.A. IN LIQUIDAZIONE is subject to joint control by the Parent Company which holds a 25% direct stake in it and TENUTA DI MARINELLA SOCIETÀ AGRICOLA A R.L. IN LIQUIDAZIONE is wholly owned by MARINELLA S.p.A. IN LIQUIDAZIONE.

- On 25 May 2018 the Manager of the Parent Company's Credit Service authorised, with respect to AXA MPS ASSICURAZIONI VITA S.p.A., the confirmation of ordinary credit facilities of EUR 23 mln of which (i) EUR 20 mln as current account overdraft facilities and (ii) EUR 3 mln as credit facility to be used for the issue of financial and commercial guarantees of a duration no longer than 60 months. The transaction falls within the scope of application of Consob Regulation no. 17221/2010 since AXA MPS ASSICURAZIONI VITA S.p.A. is a related party of the Parent Company, as a result of the joint control exercised by the Bank in accordance with the joint venture relationship in place between the Bank and AXA S.A.

August 2018

- On 2 August 2018, the Board of Directors of the Parent Company, upon prior favourable opinion by the Board of Statutory Auditors and the Related-Party Transactions Committee, resolved to reduce the credit lines granted to LEONARDO S.p.A. from EUR 660 mln to EUR 310 mln, as outlined below: (i) mixed credit facility, down from EUR 200 mln to EUR 180 mln; (ii) credit line usable for the issue of sureties, down from EUR 450 mln to EUR 120 mln; (iii) credit line for interest and exchange rate risk hedging transactions, confirming the amount of EUR 10 mln. The reduction in credit lines granted to LEONARDO S.p.A. was resolved in order to recover from exceeding of the regulatory limits with respect to connected Bankit Parties and the internal operating limits. As this is a significant transaction, with the total amount of the resolution exceeding the threshold of 5% of the consolidated regulatory capital, on 17 September 2018 the relative Disclosure was made, pursuant to art. 5 of Consob Regulation no. 17221/2010 and in accordance with Annex 4 of said Regulation. The transaction falls within the scope of application of Consob regulation no. 17221/2010, as LEONARDO S.p.A. is subject to control by the MEF, controlling shareholder of the Parent Company.

- On 8 August 2018, the Specialised Corporate Disbursement Service of the Parent Company resolved, with respect to SAIPEM S.p.A., cancellation of the credit lines relative to a multi-borrower pool loan settled in advance and no longer existent, granted for EUR 43.3 mln and EUR 48 mln, with maturity 10 December 2020. The transaction was subject to the related parties regulation pursuant to Consob Regulation no. 17221/2010, as SAIPEM S.p.A. is indirectly controlled, via ENI S.p.A. and CDP EQUITY S.p.A., by the MEF, controlling shareholder of the Parent Company.

- On 9 August 2018, the Credit and Credit Policies Committee of the Parent Company authorised, with respect to VALVITALIA S.p.A., confirmation of the credit lines granted for a total amount of EUR 38.5 mln, as part of the ordinary review of the position. The transaction falls within the scope of related parties, pursuant to Consob Regulation no. 17221/2010, as VALVITALIA S.p.A. is controlled by VALVITALIA FINANZIARIA S.p.A., which is subject to indirect control by CASSA DEPOSITI E PRESTITI S.p.A., in turn controlled by the MEF, controlling shareholder of the Bank.

September 2018

- On 6 September 2018, the Board of Directors of the Parent Company authorised the early termination of the consumer loan securitisation transactions, through the entire repurchase by the Parent Company of the portfolio of securitised loans of SIENA CONSUMER S.r.l. and SIENA CONSUMER 2015 S.r.l., up to the maximum amount of residual debt of the outstanding portfolio. The transactions were respectively completed on 30 October 2018 with regard to SIENA CONSUMER S.r.l. for EUR 90.3 mln and 20 November 2018 with regard to SIENA CONSUMER 2015 S.r.l. for EUR 135.9 mln. Both transactions fall within the scope of application of Consob Regulation no. 17221/2010, as SIENA CONSUMER S.r.l. and SIENA CONSUMER 2015 S.r.l. are subject to de facto control by the Parent Company.

October 2018

- On 19 October 2018, the Performing Loans Department of the Parent Company, with regard to the guarantee contract relative to the Buyers' Credit granted in favour of ZOZIK LLC for EUR 22.4 mln, as per above resolution of 28 March 2018, authorised formalisation of an Addendum to the SACE guarantee contract and suspension of the terms for enforcement of the guarantee itself until the new maximum deadline of 31 January 2019, provided that CASSA DEPOSITI E PRESTITI S.p.A. accepts suspension of the amortisation instalments as envisaged and due by Banca MPS. Although ZOZIK LLC is not a related party of the Parent Company, the transaction falls within the scope of application of Consob Regulation no. 17221/2010, as the operation is financed through funds made available by CASSA DEPOSITI E PRESTITI S.p.A. and guaranteed by SACE, both subsidiaries of the MEF, which is in turn a controlling shareholder of the Bank.

November 2018

- On 6 November 2018, the Credit Committee of the Parent Company, in accordance with the initiative that began in 2017, resolved in favour of CASSA DEPOSITI E PRESTITI S.p.A., as part of the ABI-CDP agreement "Plafond moratoria Sisma Centro Italia" to establish a credit pool for EUR 60 mln, used as the maximum amount for individual loans to customers, valid up to 30 June 2019. The transaction falls within the scope of application of Consob Regulation no. 17221/2010, as CASSA DEPOSITI E PRESTITI S.p.A. is a direct subsidiary of the MEF, controlling shareholder of the Parent Company.

- On 9 November 2018, the Board of Directors of the Parent Company approved: (i) early completion of the securitisation transaction through repurchase by Banca MPS from SIENA PMI 2015 S.r.l. of the securitised portfolio held by the vehicle up the maximum residual debt amount of the outstanding portfolio, completed on 12 December 2018 for EUR 862.9 mln, as well as (ii) realisation, for the loans transferred, of a new securitisation transaction, aimed at placement on the market and/or subscription by the Bank. The transaction falls within the scope of application of Consob Regulation no. 17221/2010, as SIENA PMI 2015 S.r.l. is subject to de facto control by the Parent Company.

- On 27 November 2018, the Territorial Markets Disbursement Service of the Parent Company authorised, in favour of CONSIP S.p.A. an ordinary current account credit facility for EUR 10 mln. The transaction falls within the scope of application of Consob regulation no. 17221/2010, as CONSIP S.p.A. is subject to total control by the MEF, which is in turn controlling shareholder of the Parent Company.

- On 29 November 2018, the Board of Directors of the Parent Company, upon favourable opinion by the Related-Party Transactions Committee, resolved the assumption of a SACE 2018 Framework Agreement, increasing the amount from EUR 300 mln to EUR 500 mln, compared to the prior SACE 2017 Framework Agreement, expired on 6 November 2018 (commented in Part H of the Financial Statements as at 31 December 2017). The transaction aimed to complete the loans and credit facilities assisted by SACE S.p.A. guarantees up to the maximum amount of EUR 500 mln, with validity to 28 November 2019. This Framework Agreement is to be considered valid for all insurance policies and guarantees received by Banca MPS, as well as for MPS *CAPITAL SERVICES BANCA PER LE IMPRESE* S.p.A. and MPS *LEASING & FACTORING* S.p.A. As this is a significant transaction, with the total amount exceeding the threshold of 5% of the consolidated regulatory capital, on 6 December 2018 the relative Disclosure was made, pursuant to art. 5 of Consob Regulation no. 17221/2010 and in accordance with Annex 4 of said Regulation, as well as pursuant to paragraph 4.6 of the Group Directive in effect. The transaction falls within those governed by Consob Regulation no. 17221/2010, as SACE S.p.A. is an indirect subsidiary of the MEF, in turn controlling shareholder of the Parent Company.

- On 29 November 2018, the Specialised Corporate Disbursement Service of the Parent Company resolved, with respect to GME - GESTORE DEI MERCATI ENERGETICI S.p.A., cancellation of the credit line of EUR 10 mln. The transaction falls within the scope of application of Consob Regulation no. 17221/2010, as GME - GESTORE DEI MERCATI ENERGETICI S.p.A. is indirectly controlled by the MEF, which is in turn controlling shareholder of the Parent Company.
- On 29 November 2018, the Specialised Corporate Disbursement Service of the Parent Company resolved, with respect to GESTORE DEI SERVIZI ENERGETICI GSE S.p.A., cancellation of the ordinary credit line of EUR 40 mln and of the mixed credit facility of EUR 3 mln for the issuance of sureties. The transaction falls within the scope of application of Consob Regulation no. 17221/2010, as GESTORE DEI SERVIZI ENERGETICI GSE S.p.A. is subject to total control by the MEF, which is in turn controlling shareholder of the Parent Company.
- On 29 November 2018, the Specialised Corporate Disbursement Service of the Parent Company resolved, with respect to ACQUIRENTE UNICO S.p.A., cancellation of the ordinary credit line of EUR 5 mln and of the ordinary credit line of EUR 30 mln for the issuance of sureties. The transaction falls within the scope of application of Consob Regulation no. 17221/2010, as ACQUIRENTE UNICO S.p.A. is controlled by GESTORE DEI SERVIZI ENERGETICI GSE S.p.A., which is in turn subject to total control by the MEF, which is controlling shareholder of the Parent Company.

December 2018

- On 12 December 2018, the Specialised Corporate Disbursement Service of the Parent Company resolved, with respect to TERNA RETE ELETTRICA NAZIONALE S.p.A., cancellation of the ordinary credit line of EUR 50 mln. The transaction falls within the scope of application of Consob Regulation no. 17221/2010, as TERNA RETE ELETTRICA NAZIONALE S.p.A. is indirectly controlled by CASSA DEPOSITI E PRESTITI S.p.A., which is in turn a direct subsidiary of the MEF, controlling shareholder of the Parent Company.
- Following the resolution of 19 October 2018 commented above, on 14 December 2018, the Performing Loans Department of the Parent Company authorised, with respect to ZOZIK LLC, and with favourable opinion by the Related-Party Transactions Committee, restructuring of the amortisation plan on the loan of EUR 21.8 mln, through repayment of 10 increasing six-months instalments of principal, with a two-year extension of the expiry of the last instalment, provided that all guarantors and CASSA DEPOSITI E PRESTITI S.p.A. approve the same changes, keeping the guarantee structure unchanged, as well as the transaction funding and profit margin. Although ZOZIK LLC is not a related party of Banca MPS, the transaction falls within the scope of application of Consob Regulation no. 17221/2010, as the operation is financed through funds made available by CASSA DEPOSITI E PRESTITI

S.p.A. and guaranteed by SACE, both subsidiaries of the MEF, which is in turn a controlling shareholder of the Parent Company.

- On 18 December 2018, the Board of Directors of the Parent Company, with the prior favourable opinion of the Related-Party Transactions Committee, approved with respect to CASSA DEPOSITI E PRESTITI S.p.A.: (i) the CDP 2018 Framework Agreement, involving Banca MPS' acquisition of financial resources, with funding made available by CDP as part of the agreements stipulated between the CDP and ABI, in which the Parent Company participated - to be allocated to customers under the economic support initiatives envisaged by said CDP/ABI agreements - up to a maximum cumulative amount of EUR 1 bn, valid from 18 December 2018 until 17 December 2019. Where envisaged by the Agreements, the Framework Agreement is valid at Group level, even for MPS *CAPITAL SERVICES BANCA PER LE IMPRESE* S.p.A. and MPS *LEASING & FACTORING* S.p.A. As this is a significant transaction, with the total amount of the Framework Agreement exceeding the threshold of 5% of the consolidated regulatory capital, on 21 December 2018 the relative Disclosure was made, pursuant to art. 5 of Consob Regulation no. 17221/2010 and in accordance with Annex 4 of said Regulation, as well as pursuant to paragraph 4.6 of the Group Directive in effect. The transaction falls among those governed by Consob Regulation no. 17221/2010, as CASSA DEPOSITI E PRESTITI S.p.A. is a direct subsidiary of the MEF, controlling shareholder of the Parent Company.

- Also on 18 December 2018, the Specialised Corporate Disbursement Service of the Parent Company resolved, with respect to RAI - RADIOTELEVISIONE ITALIANA S.p.A., cancellation of the mixed credit line of EUR 22 mln. The transaction falls within the scope of application of Consob Regulation no. 17221/2010, as RAI - RADIOTELEVISIONE ITALIANA is directly controlled by the MEF, which is in turn controlling shareholder of the Parent Company.

-

The following tables summarise the relationships and economic effects of transactions carried out in the year with associates, key management personnel and other related parties.

The "MEF Scope" column highlights the balances[24] of the balance sheet and income statement items as at 31 December 2018 relating to the transactions carried out with the MEF and the companies controlled by the MEF, namely companies controlled directly or indirectly by the MEF and their associates.

2.a Related-party transactions: balance sheet items

Group Balanche sheet

	Value as at 31 12 2018						
	joint venture	Associated companies	Executives with strategic responsibility	Other related parties	MEF Perimeter	Other related parties	% on consolidated
Financial assets held for trading	-	200	-	4,629	4,649,719	4,654,548	54.38%
Financial assets designated at fair value	-	-	-	-	-	-	0.00%
Financial assets measured at fair value mandatory	-	66,014	-	-	39,509	105,523	15.00%
Financial assets measured at fair value through other comprehensive income	-	-	-	-	9,531,176	9,531,176	89.23%
Lonas to banks measured at amortised cost	-	-	-	-	-	-	0.00%
Loans to customers measured at amortised cost	65,888	362,490	3,493	1,559	5,299,337	5,732,767	6.65%
Other assets	-	7	-	103	1,143	1,253	0.07%
Total assets	65,888	428,711	3,493	6,291	19,520,884	20,025,267	
Financial liabilities measured at amortised cost	3,041	289,297	2,958	45,728	3,145,295	3,486,319	3.14%
Financial liabilities held for trading	-	-	-	141	481	622	0.02%
Financial liabilities designated at fair value	-	-	-	-	-	-	0.00%
Other liabilities	1,706	1,723	-	-	179	3,608	0.11%
Total liabilities	4,747	291,020	2,958	45,869	3,145,955	3,490,549	
Guaranties issued and Commitments	38,519	153,493	151	119	1,672,618	1,864,900	n.a.

[24] The criteria to fill out the two tables are different from those of the European Securities and Markets Authority (ESMA) used for the table "Exposure to sovereign debt risk".

2.b Related-party transactions: income statement items

Group Income statements

	Value as at 31 12 2018						
	joint venture	Associated companies	Executives with strategic responsibility	Other related parties	MEF Perimeter	Other related parties	% on consolidated
Interest income and similar revenues	1,332	5,615	35	25,592	253,358	285,932	12.29%
Interest costs and similar charges	-	(205)	(3)	(41)	(33,212)	(33,461)	5.50%
Fee and commission income	625	197,190	9	1,681	187,725	387,230	21.77%
Fee and commission expense	(15)	(672)	(1)	(5)	(96,168)	(96,861)	37.64%
Net profit (loss) from trading of other financial assets and liabilities measured at fair value through profit and loss	-	(3,930)	-	(27,765)	-	(31,695)	37.08%
Net adjustments/impaiments	37	9,152	-	(240)	(5,670)	3,279	-0.54%
Dividends	-	-	-	62	351	413	3.70%
Operating costs	-	(34,333)	(8,543)	(8,953)	(26,027)	(77,856)	2.77%

For the list of subsidiaries and companies subject to significant control as at 31 December 2018, see the tables of the Notes to the financial statements - Part B - Information on the balance sheet - Section 7.

The securitisation transactions are described in Part E of the Notes to the financial statements.

With regard to the balances shown in Table 2.b shown above, please note the following:

- fee and commission income from associates almost entirely regards the contract with Axa Vita and Axa Danni;
- the net profit (loss) from other assets and liabilities measured at fair value through profit and loss is largely attributable to the loss on the sale of the Generali subordinated security for EUR 27.8 mln, for which interest income of EUR 23.2 mln was also recognised.
- net impairment (losses)/reversals include the adjustment of Sansedoni for EUR 3.8 mln and the reversal on Sorgenia Group for EUR 11.7 mln; In addition, interest income accrued on Sorgenia Group for EUR 4.5 mln;
- provisions on non-performing positions as at 31 December 2018 total EUR 192.1 mln;

As indicated in Part C - Income Statement, write-downs were recorded during the year on the investees Immobiliare Novoli and Trixia S.r.l., while revaluations were made on the investees AXA Vita and AXA Danni; finally, note the disposal of the associate Firenze Parcheggi with a realised profit of EUR 1.2 mln.

With regard to the MEF scope, the following is noted:

- financial assets predominantly comprise government bonds, which generated interest income for EUR 253.1 mln.
- fee and commission expense against the guarantee granted by the government on securities amount to EUR 95.9 mln, while fee and commission income refer to the contract with Anima (associates of MEF);
- net impairment (losses)/reversals include: i) the write-downs on Trevi Finanziaria Industriale, Bonafous Spa, Ferrovie dello Stato Logistica Spa, and EUR Spa, in addition to write-downs on government bonds for EUR 2.8 mln, and ii) the reversal on the exposure with Quadrifoglio Modena;
- the dividend collected from Istituto del Credito Sportivo and Toscana Energia.

Part I – Share-Based Payment Agreements

Qualitative information

Description of share-based payment agreements

To pursue the objective of encouraging alignments of the interests of management with those of shareholders, Supervisory Provisions on pay and incentive policies and practices establish that at least 50% of variable remuneration provided to "key employees" should be paid in the form of shares or associated financial instruments over a period of at least 3-5 years. "Variable remuneration" refers to variable performance-linked components as well as incentives paid for the early termination of the employment relationship exceeding the amount due by law ("severance").

In accordance with the aforementioned regulatory provisions, the Montepaschi Group adopted annual Performance Shares plans up to financial year 2017. In the session of 12 April 2018, the Shareholders' Meeting of the Parent Company approved a Treasury Shares plan for 2018, designated exclusively to the payment of any severance for personnel of the Montepaschi Group. The content and operating methods of said plans are contained in the "Remuneration policies" published on the Parent Company's internet site https://www.gruppomps.it/corporate-governance/remunerazione.html.

Not envisaging the material assignment of shares, but rather the payment of an amount pegged to the share value reported over time, the payment of performance shares for the Plans up to 2017 as well as that of treasury shares pursuant to the 2018 Plan are considered for accounting purposes as cash-settled share-based payments, pursuant to IFRS 2 "Share-based payments". The corresponding cost is accounted for at the end of the year of service, calculating the best estimate of the amount due in consideration of the different conditions established by the plans, valued with regard to the fair value of the shares assigned from year to year and the Bank's share value.

The fair value of the Performance Shares and of the treasury shares assigned is determined - pursuant to art. 9, paragraph 4 of the TUIR - on the basis of the arithmetic average of the MPS share prices reported in the thirty days leading up to the assignment date.

Quantitative Information

The Plan approved in 2018 was not used during the course of the year, as occurred for the Plan approved in 2017.

With regard to the 2016 Plan, during the course of 2018, a total of 21,870 shares assigned up-front were settled; of the original 32,806 deferred shares, 5,340 were settled and 1,220 following application of the malus conditions; therefore, 26,246 performance shares were recognised. Of these, 6,560 were assigned and will be settled during 2019, while the remainder will be assigned annually - subject to the verification of pre-established *malus* conditions - over a five-year period and settled one year after the relative assignments.

Part L – Segment reporting

This section of the Notes to the Consolidated Financial Statements is prepared in accordance with the IAS/IFRS international accounting principles, with particular reference to IFRS8 "Operating Segments".

The aforementioned accounting standard, applied as of 1 January 2009 to replace IAS14 "Segment reporting" and the adoption of which has no effect on the valuation of balance sheet items, requires reports to be drafted in relation to operating segments on the basis of the internal reporting actually used by management to take decisions on the allocation of resources to various segments and to conduct performance analyses.

Group operations by business segment

The Montepaschi Group operates in the following business areas:

- Retail and commercial banking: includes lending activities, traditional banking services, financial advisory and digital banking services, the offering of banking and insurance products through the strategic partnership with AXA, wealth management and investment products;
- Leasing and Factoring: includes the offering of leasing and factoring packages for businesses, artisans and professionals;
- Corporate finance: mid- and long-term lending, corporate finance, capital markets and structured finance;
- Investment banking: trading and global markets;
- Foreign banking: products and services in support of market expansion and investments of Italian companies abroad.

Operations in the business areas are conducted by the following operating units of the Group:

- sales & distribution network, comprising the branches and specialised centres of Banca Monte dei Paschi di Siena;
- Banca Widiba SpA, which includes the business of the Financial Advisory Network and Digital Banking;
- product factories[25], i.e. Group banks and companies expressly dedicated to developing specialised financial instruments to be offered to the market, particularly including: MPS Capital Services (specialised in corporate finance, capital market and structured finance), MPS Leasing & Factoring (specialised in the provision of leasing and factoring services to businesses);
- foreign network[26], distributed geographically in some of the major financial and economic markets and in several emerging countries with the highest rates of growth and/or key relations with Italy.

[25] Please recall that on 1 June 2015, the merger by incorporation of Consum.it SpA (Group consumer credit company) into Banca Monte dei Paschi di Siena SpA became effective, the accounting and tax effects of which are applicable as of 1 January 2015.

[26] Broken down as follows: 1 operational branch in Shanghai. In line with the provisions of the Commitments of the Restructuring Plan, final activities are under way to close the branches in London, New York and Hong Kong, which discontinued all banking activities on 31 December 2018; 10 representative offices (in target areas of the EU, Central-Eastern Europe, North Africa, India and China); 2 banks under foreign law, i.e., Monte Paschi Belgio S.A. and Monte Paschi Banque S.A. With respect to Monte Paschi Belgio S.A., on 5 October 2018 the Parent Company reached an agreement with an investee of the funds managed by Warburg Pincus for the sale of the entire investment in Banca Monte Paschi Belgio, as set forth in the Commitments of the Restructuring Plan. The sale is subject to the approval of the supervisory authorities. With respect to Monte Paschi Banque S.A., the Parent Company has decided to launch the orderly winding-down process by drafting a plan in compliance with what is specified in Commitment no. 14 "Disposal of participations and businesses", i.e., (i) progressive

The Group also includes service operations dedicated to the management of IT and telecommunications (Consorzio Operativo di Gruppo).

For the purpose of identifying the Operating Segments provided for by IFRS 8, the Montepaschi Group has adopted the business approach. Income statement/balance sheet data are then aggregated based on criteria including business area and operating unit of reference, relevance and strategic importance of operations involved, and cluster of clients served.

Based on the aggregation criteria specified above, which guide reporting at the highest decision-making level, the breakdown of the Group's Operating Segments as at 31 December 2018 is therefore the following:

- Retail Banking, which includes the income statement and balance sheet results pertaining to clusters of Retail customers (Value, Premium and Small Business segments);
- Wealth Management, which includes the income statement and balance sheet results pertaining to clusters of Private Banking customers (Private Banking and Family Office segments) and the subsidiary MPS Fiduciaria;
- Corporate banking, which includes the income statement and balance sheet results pertaining to clusters of Corporate customers (SME, Entities and Top Corporate segments), Large Corporate Area, Foreign Branches and the subsidiaries MPS Capital Services, MPS Leasing & Factoring and the foreign banks BMP Belgio S.A. and MP Banque;
- Banca Widiba SpA, which includes the income statement and balance sheet results pertaining to the financial advisor network and the self-service channel;
- Corporate Centre: in addition to cancellations of intragroup entries, this Operating Segment incorporates the results of the following business centres:
  - ✓ service operations supporting the Group's business, dedicated in particular to the management and development of IT systems (MPS Group Operational Consortium);
  - ✓ companies consolidated at equity and held for sale;
  - ✓ operating units, such as proprietary finance, ALM, Treasury and Capital Management which, individually, fall below the disclosure requirements for primary reporting.

deleveraging of the current loan portfolio, (ii) acceptance of deposits only from existing customers, (iii) interruption of business development activities, (iv) no new initiative in new segments or markets, as well as other regulatory restrictions in place.

Income statement criteria by operating segment

The net operating income by operating segments was constructed based on the following criteria:

- **Net interest income**: in relation to the business centres of Banca Monte dei Paschi di Siena, it is calculated by way of contribution on the basis of internal transfer rates broken down by products and maturities. With reference to non-divisionalised entities, net interest income is the difference between "interest income and similar revenues" and "interest expense and similar charges".
- **Net fee and commission income**: determined by direct allocation of commissions to the operating segments.
- **Operating expenses**: the aggregate includes administrative expenses (after recovery of expenses) and net value adjustments to property, plant and equipment and intangible assets. The operating expenses of non-divisionalised entities (mono-segments) are directly allocated to their corresponding Operating Segments while, for Banca Monte dei Paschi di Siena, they are allocated to their respective Segments of reference by using a "cost allocation" model. With regard to Other administrative expenses and Net value adjustments to property, plant and equipment and intangible assets, the model allocates external and intragroup cost components to the business centres either directly or by means of specific drivers, starting from a set of previously identified and priced services. With reference, however, to "Personnel expenses", the model allocates costs to Business Centres on the basis of the unique functional position of the resources, or, if this is not possible, according to specific criteria relating to the operations performed.
- **Net impairment losses/reversals on loans**: analytically allocated to the individual operating segments

Balance-sheet criteria by operating segment

Balance sheet aggregates were developed by precisely surveying the balances on individual customers and subsequently aggregating them by service model/operating segment. Such accounts are also related to the income/expenses allocated to each segment. In particular:

- **interest-bearing loans to customers**: the interest-bearing assets used for the operations of a business segment, which are directly attributable to the segment itself;
- **deposits from customers and debt securities issued**: the interest-bearing liabilities arising from the operations of an operating segment, which are directly attributable to the segment itself.

Transactions between operating segments

Each segment's income and results include transfers between operating segments (Internal Transfer Rates). These transfers are reported in accordance with the best practices accepted by the market (i.e. the fair value method or cost method increased by a proper margin) both with respect to commercial and financial transactions.

The income of each operating segment is determined before intragroup balances and intragroup transactions are eliminated during the process of consolidation. In line with the internal reporting system used by the Montepaschi Group, balances of intragroup transactions are not shown separately.

Basis of preparation

In accordance with the recommendations of IFRS 8, the table below presents the Group's income statement and balance sheet results as at 31 December 2018, developed according to the Operating Segments defined above:

SEGMENT REPORTING	Business Segments					
Primary segment	Retail banking	Wealth Management	Corporate banking	Widiba	Corporate Center	Total MPS Group
(EUR mln)	31/12/18	31/12/18	31/12/18	31/12/18	31/12/18	31/12/18
PROFIT AND LOSS AGGREGATES						
Net interest income	989.2	7.5	565.2	51.5	129.5	1,742.8
Net fee and commission income	1,240.1	115.1	310.5	17.1	(159.4)	1,523.3
Other income	5.9	0.4	-18.5	-0.1	73.6	61.3
Other operating expenses/income	13.3	0.4	-17.1	-0.4	(36.1)	(39.9)
Total Income	2,248.5	123.3	840.2	68.0	7.5	3,287.5
Operating expenses	(1,668.4)	-62.1	-594.4	-61.9	36.0	(2,350.7)
Pre Provision Profit	580.1	61.3	245.8	6.2	43.5	936.8
Net impairment losses (reversals) on loans and financial assets	(248.2)	-4.5	-385.0	-0.6	13.8	(624.6)
Net Operating Income	331.9	56.7	-139.2	5.5	57.3	312.2
BALANCE SHEET AGGREGATES						
Interest-bearing loans to customers	39,915	535.3	32,963.4	471.7	10,011	83,896
Deposits from customers and debt securities issued(*)	39,703	3,178.1	18,398.9	2,748.8	26,443	90,472

(*) The values stated in the Sales & Distribution segments are gross interest-bearing loans and therefore do not include the allowance for impairment.

The following table summarises the values relating to the year 2017.

SEGMENT REPORTING	Business Segments				Corporate Center	Total MPS Group
Primary segment	Retail banking	Wealth Management	Corporate banking	Widiba		
(EUR mln)	31/12/17	31/12/17	31/12/17	31/12/17	31/12/17	31/12/17
PROFIT AND LOSS AGGREGATES						
Net interest income	1,170.0	646.7	25.7	31.1	(85.1)	1,788.3
Net fee and commission income	1,285.0	340.6	129.7	13.7	(192.5)	1,576.5
Other income	40.5	51.5	0.8	(0.0)	579.3	672.1
Other operating expenses/income	1.5	(9.0)	0.1	(1.2)	(2.7)	(11.3)
Total Income	2,496.9	156.2	1,029.9	43.6	299.0	4,025.6
Operating expenses	(1,814.1)	(67.1)	(626.1)	(62.6)	26.9	(2,543.0)
Pre Provision Profit	682.8	89.1	403.7	(19.0)	326.0	1,482.6
Net impairment losses (reversals) on loans and financial assets	(1,912.5)	(3.8)	(3,198.5)	0.4	(356.2)	(5,460.0)
Net Operating Income	(1,229.6)	85.3	(2,784.2)	(18.6)	(30.3)	-3,977.4
BALANCE SHEET AGGREGATES						
Interest-bearing loans to customers	40,237	547	36,152	238	6,167	83,341
Deposits from customers and debt securities issued(*)	42,430	3,436	19,481	2,148	30,307	97,802

N.B.: The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 9.

(*) The values stated in the Sales & Distribution segments are gross interest-bearing loans and therefore do not include the allowance for impairment.

For uniform comparison of the two years 2017-2018, see the section "Results by operating segment" of the Consolidated Report as at 31 December 2018, in which, exclusively in regard to the income statement data for FY 2017, a conventional and simplified restatement based on the first application of IFRS 9, whit comparative data reclassified according new accounting format envisaged by the 5th update fo Circular 262 of the Bank of Italy. In particular, the balances relating to the former item 130d "**Net impairment losses (reversals) on other financial transactions**" have been reclassified to item "**Net allocations to provisions for risks and charges: commitments and guarantees given**", therefore the commercial segments have been restated based on this approach.

Public disclosure pursuant to art. 89 - Communication by country of Directive 2013/36/EU ("CRD IV")

The 4th update to Bank of Italy Circular no. 285/2013, Part One (Title III, Section 2), transposes into the Italian legal framework the public disclosure set out in art. 89 - Communication by country - of Directive 2013/36/EU ("CRD IV"), which introduces the obligation to disclose information concerning banking activities, subdivided by country where each bank is based; the disclosure is to be provided in the financial statements or posted on the entity's website.

In particular, the Parent Companies of banking groups are required to provide on a consolidated basis the following information, subdivided by country:

a) Names of the companies based in the country and nature of the business

b) Turnover

c) Number of Full-time equivalent employees

d) Profit or loss before tax

e) Tax on profit or loss

f) Public subsidies received

The tables below present the required information for the Group, with reference to the situation as at 31 December 2018.

The term "Turnover" refers to the total banking income as recorded in item 120 of the consolidated income statement.

The term "Number of full-time equivalent employees" refers to the ratio between the total number of hours worked by all employees, excluding overtime, and the total annual number of hours contractually required of full-time employees.

"Profit or loss before tax" means the sum of items 290 and 320 (the latter net of taxes) of the consolidated income statement.

"Tax on profit or loss" means the sum of taxes recorded in item 300 of the consolidated income statement and income taxes on groups of assets held for sale.

The item "Public subsidies received" should indicate any grants received directly from the public administrations. This item does not include transactions performed by central banks for purposes of financial stability or transactions carried out to facilitate the monetary policy transmission mechanism. Similarly, transactions included in government aid schemes approved by the European Commission should not be taken into consideration.

31 12 2018

Country	Turnover (€/1000)	Number of FTEs	Profit or loss before tax (€/1000)	Tax on profit or loss (€/000)	Public subsidies received (€/000)
Algeria	-	1	-	-	-
Belgiuim	22,460	105	(6,370)	-	-
China	3,927	29	(168)	658	-
Egypt	-	4	-	-	-
France	36,448	209	3,412	(514)	-
Germany	-	2	-	-	-
India	-	1	-	-	-
Italy	3,219,502	21,816	(496,215)	436,525	306
Luxembourg	(5,309)	-	482,545	(2,829)	-
Morocco	-	3	-	-	-
Russia	-	3	-	-	-
Tunisia	-	2	-	-	-
Turkey	-	3	-	-	-
U.K.	2,199	20	(7,444)	-	-
U.S.A.	4,085	17	(23,061)	1	-
Total Group companies	3,283,312	22,215	(47,301)	433,840	306
Companies under significant influence valued at equity	-	-	70,451	-	-
Consolidation adjustments	(51,368)	-	(165,604)	(12,719)	-
Total Montepaschi's Group	3,231,944	22,215	(142,454)	421,121	306

The amount of profit before tax on the vehicle in Luxembourg was affected by the timing misalignment of the effects of the conversion, following the 2017 burden sharing, of the liabilities of the Parent Company (the vehicle had cancelled the assets serving its own emissions, reporting a "Loss before taxes" in 2017, while in 2018 it settled these issues, reporting a "Profit before taxes").

The column "Public subsidies" includes the payment to the subsidiary MPS TENIMENTI POGGIO BONELLI AND CHIGI SARACINI SOCIETA 'AGRICOLA S.p.a. of assistance, contributions and bonuses from FEAGA funds (European Agricultural Guarantee Fund) and EAFRD (European Agricultural Fund for Rural Development) to support agricultural production in EU countries.

List of Montepaschi Group companies by location and business type

Country	Company name	type of business	
Algeria	BANCA MONTE DEI PASCHI DI SIENA S.p.A.	Retail & Corporate banking service	Representative office in Algeria
Belgium	BANCA MONTE PASCHI BELGIO S.A.	Retail & Corporate banking service	Retail & Corporate banking service
China	BANCA MONTE DEI PASCHI DI SIENA S.p.A.	Retail & Corporate banking service	Shanghai and Hong Kong branches, representative office in Guangzhou and Beijing
Egypt	BANCA MONTE DEI PASCHI DI SIENA S.p.A.	Retail & Corporate banking service	Representative office in Cairo
France	MONTE PASCHI BANQUE S.A.	Retail & Corporate banking service	
Germany	BANCA MONTE DEI PASCHI DI SIENA S.p.A.	Retail & Corporate banking service	Representative office in Frankfurt
India	BANCA MONTE DEI PASCHI DI SIENA S.p.A.	Retail & Corporate banking service	Representative office in Mumbai
Italy	AIACE REOCO S.r.l.	Real estate	
Italy	CO.E.M. COSTRUZIONI ECOLOGICHE MODERNE SPA	Real estate	
Italy	ENEA REOCO S.r.l.	Real estate	
Italy	PERIMETRO GESTIONI PROPRIETA' IMMOBILIARI S.c.p.a.	Real estate	
Italy	MPS TENIMENTI POGGIO BONELLI E CHIGI SARACINI SOCIETA' AGRICOLA S.p.a.	Winery	
Italy	MONTE PASCHI FIDUCIARIA S.p.a.	Trust management	
Italy	G.IMM ASTOR S.r.l.	Real estate leasing	
Italy	MAGAZZINI GENERALI FIDUCIARI DI MANTOVA S.p.a.	Warehousing	
Italy	BANCA MONTE DEI PASCHI DI SIENA S.p.A.	Retail & Corporate banking service	
Italy	MPS CAPITAL SERVICES BANCA PER LE IMPRESE S.p.a.	Retail & Corporate banking service	
Italy	MPS LEASING & FACTORING BANCA PER I SERVIZI FINANZIARI	Retail & Corporate banking service	Leasing e factoring
Italy	WISE DIALOG BANK S.p.a. - WIDIBA	Retail & Corporate banking service	Banca on line
Italy	CASAFORTE S.r.l.	Financial services for business	Special Purpose Entity (SPE)
Italy	CIRENE FINANCE S.r.l.	Financial services for business	Special Purpose Entity (SPE)
Italy	MPS COVERED BOND 2 s.r.l.	Financial services for business	Special Purpose Entity (SPE)
Italy	MPS COVERED BOND S.R.L.	Financial services for business	Special Purpose Entity (SPE)
Italy	SIENA CONSUMER 2015 S.R.L.	Financial services for business	Special Purpose Entity (SPE)
Italy	SIENA CONSUMER S.r.l.	Financial services for business	Special Purpose Entity (SPE)
Italy	SIENA MORTGAGES 10-7 S.r.l.	Financial services for business	Special Purpose Entity (SPE)
Italy	SIENA LEASE 2015 2 SRL	Financial services for business	Special Purpose Entity (SPE)
Italy	SIENA MORTGAGES 07-5 S.P.A.	Financial services for business	Special Purpose Entity (SPE)
Italy	SIENA MORTGAGES 09-6 S.R.L.	Financial services for business	Special Purpose Entity (SPE)
Italy	SIENA PMI 2015 SRL	Financial services for business	Special Purpose Entity (SPE)
Italy	SIENA PMI 2016 SRL	Financial services for business	Special Purpose Entity (SPE)
Italy	CONSORZIO OPERATIVO GRUPPO MONTEPASCHI	IT Services	
Luxembourg	MONTEPASCHI LUXEMBOURG S.A.	Financial services for business	Special Purpose Entity (SPE)
Luxembourg	PATAGONIA FINANCE SA	Financial services for business	Special Purpose Entity (SPE)
Morocco	BANCA MONTE DEI PASCHI DI SIENA S.p.A.	Retail & Corporate banking service	Representative office in Casablanca
Russia	BANCA MONTE DEI PASCHI DI SIENA S.p.A.	Retail & Corporate banking service	Representative office in Moscow
Tunisia	BANCA MONTE DEI PASCHI DI SIENA S.p.A.	Retail & Corporate banking service	Representative office in Tunis
Turkey	BANCA MONTE DEI PASCHI DI SIENA S.p.A.	Retail & Corporate banking service	Representative office in Instabul
U.K.	BANCA MONTE DEI PASCHI DI SIENA S.p.A.	Retail & Corporate banking service	London branch
U.S.A.	BANCA MONTE DEI PASCHI DI SIENA S.p.A.	Retail & Corporate banking service	New York branch
U.S.A.	MPS PREFERRED CAPITAL I LLC	Financial services for business	Special Purpose Entity (SPE)
U.S.A.	MPS PREFERRED CAPITAL II LLC	Financial services for business	Special Purpose Entity (SPE)

CERTIFICATION OF THE CONSOLIDATED FINANCIAL STATEMENTS PURSUANT TO ART. 81-TER OF CONSOB REGULATION NO. 11971 OF 14 MAY 1999, AS SUBSEQUENTLY AMENDED AND SUPPLEMENTED

1. The undersigned, Stefania Bariatti, as Chairman of the Board of Directors, and Nicola Massimo Clarelli, as Financial Reporting Officer, of Banca Monte dei Paschi di Siena S.p.A., having regard to article 154-bis, paragraphs 3 and 4 of Italian Legislative Decree no. 58 of 24 February 1998, do hereby certify the:

   - appropriateness with respect to the company's profile, and
   - effective application of administrative and accounting procedures used in the preparation of the consolidated financial statements for fiscal year 2018.

2. The verification of the adequacy and effective application of administrative and accounting procedures for the preparation of the consolidated financial statements during 2018 was based on methods defined by the MPS Group in line with the COSO model, and for the IT component, COBIT, which constitute the reference framework for the internal control system generally accepted internationally.

3. It is also certified that:

   3.1 the consolidated financial statements:
   - were prepared in accordance with the international accounting standards recognised by the European Union pursuant to European Parliament and Council Regulation No. 1606/2002/EC of 19 July 2002;
   - are consistent with the underlying documentary evidence and accounting records;
   - are suitable to provide a true and fair representation of the capital, economic and financial situation of the issuer and group of companies included within the scope of consolidation.

   3.2 the Report on Operations includes a reliable analysis of the trends and results of operations as well as of the position of the issuer and of all entities included within the scope of consolidation, together with a description of the main risks and uncertainties they are exposed to.

Siena, 28 February 2019

Signed by	*Signed by*
On behalf of the Board of Directors	*The Financial Reporting*
The Chairman	*Officer*
Stefania Bariatti	*Nicola Massimo Clarelli*

INDEPENDENT AUDITORS' REPORT ON THE FINANCIAL STATEMENTS

EY S.p.A.
Via Po, 32
00198 Roma

Tel: +39 06 324751
Fax: +39 06 32475504
ey.com

Independent auditor's report
in accordance with article 14 of Legislative Decree n. 39, dated January 27, 2010 and article 10 of EU Regulation n. 537/2014
(Translation from the original Italian text)

To the Shareholders of
Banca Monte dei Paschi di Siena S.p.A.

Report on the Audit of the Consolidated Financial Statements

Opinion

We have audited the consolidated financial statements of Monte dei Paschi di Siena Group (the "Group"), which comprise the balance sheet as at December 31, 2018, the income statement, the statement of comprehensive income, the statement of changes in equity, the cash flows statement for the year then ended and the notes to the consolidated financial statements.

In our opinion, the consolidated financial statements give a true and fair view of the financial position of the Group as at December 31, 2018 and of its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards as adopted by the European Union as well as with the regulations issued for implementing art. 9 of Legislative Decree n. 38, dated February 28, 2005 and art. 43 of Legislative Decree n. 136, dated August 18, 2015.

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing (ISA Italia). Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Consolidated Financial Statements* section of our report. We are independent of the Banca Monte dei Paschi di Siena S.p.A. (the "Bank" or the "Parent Company") in accordance with the regulations and standards on ethics and independence applicable to audits of financial statements under Italian Laws. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Emphasis of matter

We draw attention to the matters described by the directors in relation to the implementation of the actions envisaged in the 2017–2021 Restructuring Plan and the updated management projection related to the Group's forecasted income statement and balance sheet, included in the report on operations and in the paragraph "Going concern" of the notes to the financial statements. Our opinion is not modified in respect of these matters.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated financial statements of the current period. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

We identified the following key audit matters:

Key Audit Matter	Audit Response
Impacts related to the first time application of the International Financial Reporting Standard 9 " Financial instruments"	
On January 1, 2018 the International Financial Reporting Standard 9, endorsed by European Commission on November 22, 2016 with the Regulation no 2016/2067 (the "Standard" or "IFRS 9") became effective, replacing the standard IAS 39 in relation to the classification and measurement of the financial instruments. As required by IAS 8 "Accounting policies, changes in accounting estimates and errors" and in accordance with the first time application approach envisaged by IFRS 9, the Group accounted for in the opening balances the cumulative effects derived from the transition to the new Standard, for an amount of Euro 1.373 million. Moreover, the Group has exercised the option foreseen by the Standard to not restate the comparative data. The IFRS 9 first time application constituted a relevant aspect for the audit both because the impacts on financial figures have been significant for the financial statements as a whole and for the significant implementation related to processes, procedures, controls, methodologies and IT systems made by the Group. The disclosure on the effects of the first time application is provided by the directors within the paragraph "Disclosure on first-time application of IFRS 9 – Financial instruments" included in the notes to the financial statements.	In relation to these matters, our audit procedures included, among other: · understanding and analysis of the main accounting and implementing choices made by the Group in relation to the classification, valuation and impairment of the financial instruments, also through the analysis of the new accounting and operational policies; · understanding and analysis, also with the support of our specialists in risk management, valuations of financial instruments, disposal of non performing loans and IT systems, of the processes and controls implemented in relation to the IFRS 9 first time application and the execution of compliance procedures on key controls, including those relating to IT; · understanding of the modalities of determination by the Group of the first time application impacts, including those related to tax effects, and performing substantive procedures aimed at verifying their consistency with the requirements of the Standard; · analysis of the determination of the impacts related to the implementation of the disposal plans of non performing loans envisaged in the 2017-2021 Restructuring Plan; · analysis of the adequacy of the disclosure provided in the notes to the financial statements.

Key Audit Matter	Audit Response
Classification and valuation of loans to customers	
Loans to customers measured at amortised cost, the amount of which is shown in item 40 b) of the balance sheet, represent, as at 31 December 31, 2018, the 66% of the total assets. The process of classifying loans to customers in the various risk categories and measuring them is relevant for the audit because the value of loans is significant for the financial statements as a whole and because the value of the related impairment losses is determined by the directors through the use of estimates that have a high degree of subjectivity. Among these, the following are particularly relevant: the identification of objective evidence of impairment of the loans, the recoverable amount of the collateral acquired, the determination of expected cash flows and their timing of collection, the costs expected to be incurred for the collection of the loans, the probability of disposal and related cash flows, for those loans for which there is a disposal plan. Furthermore, as regards to the statistical evaluations: the definition of homogeneous loan categories in terms of credit risk, the determination of the probability of default ("PD") and the related estimated loss (Loss Given Default - "LGD"), based on historical data observation for each risk class and on forward looking information, including macroeconomic factors, and the determination of significant risk increase parameters for the classification among the various reference stage. Information on the classification and measurement of loans to customers is provided by the directors within Part A – Accounting policies of the notes to the financial statements.	In relation to these aspects, our audit procedures included, among other: · understanding of the policies, processes and controls implemented by the Group in relation to the classification and measurement of loans to customers and performing compliance procedures on the key controls, including those relating to IT; · performing substantive procedures aimed at verifying the correct classification and measurement of credit positions also considering, for certain non performing loan portfolios for which there is a disposal plan, the related probability of disposal and the cash flow expected from the disposal; · understanding, also with the support of our risk management and information systems specialists, of the methodology used in relation to statistical evaluations and the reasonableness of the assumptions adopted also to consider the forward looking information in the parameter of PD, LGD and Exposure at Default ("EAD) as well as the performing of test of controls and substantive procedures, aimed at the verification of the accurate determination of the PD, LGD and EAD parameters, relevant for the purpose of determining the impairment losses; · performing procedures for the comparative analysis of the portfolio of loans to customers and the related coverage levels, and analysis of the most significant deviations, also considering the effects from IFRS 9 first time application; · analysis of the disposals occurred in the year, also through securitization transactions, and of the related conditions for the derecognition; · analysis of the adequacy of the disclosure provided in the notes to the financial statements.

Key Audit Matter	Audit Response
Recoverability of deferred tax assets	
As at December 31, 2018, the Group recorded under item 110 of the balance sheet "Tax assets" Euro 2,024 million of deferred tax assets ("DTA") attributable to tax losses and other deductible temporary differences, the recoverability of which depends on the availability of future taxable income. The valuation of the recoverability these assets (known as “probability test”, required by the international accounting standard IAS 12) is a relevant matter for the audit because their value is significant to the financial statements as a whole, and because the valuation is based on a model that provides for the use of assumptions and estimates that have a high degree of subjectivity. Among these, particularly relevant are those related to: · estimation of taxable income, which is presumed to occur during the time period considered for the recovery of the DTAs, on the basis of the management projection related to the Group's forecasted income statement and balance sheet and the additional assumptions in relation to their projection in the future, the growth rates used and the probability of occurrence of the same; · length of the foreseeable time frame for the recovery of the DTAs; · correct interpretation of the applicable tax legislation. The disclosure of the assessments made by directors in relation to the recoverability of deferred tax assets is included in paragraph 11.8 of Part B – Information on the balance sheet of the notes to the financial statements.	In relation to these matters, our audit procedures included, among other: · understanding of the Group's policy, process and controls in relation to the assessment of the recoverability of the DTAs; · analysis, also with the support of our specialists in business valuations, of the management projection related to the Group's forecasted income statement and balance sheet and of the additional assumption used for the purpose of estimating the results useful for the determination of taxable income; · analysis, also with the support of our tax experts, of the reasonableness of the assumptions and the parameters used for the development of the probability test based on the tax legislation applicable to the different types of temporary deductible differences; · performing substantive procedures on the completeness and accuracy of the data used to determine the future taxable income included in the probability test; · analysis of the adequacy of the disclosure provided in the notes to the financial statements.

Key Audit Matter	Audit Response
Evaluation of legal and litigation risks	
The legal risks and litigation assessment process, carried out by the Group with the support of its legal advisors, is a relevant aspect for the audit because of their significant value and because the estimate of the related charges requires the directors to make use of estimates that present a high degree of subjectivity. Information regarding significant civil, criminal and administrative litigations, in which the Group is involved as well as in relation to other legal risks are provided by the directors in Part E - Information on risks and hedging policies explanatory.	In relation to these matters, our audit procedures included, among other: · understanding of the Group's policies, process and controls in relation to the assessment of legal and litigation risks; · obtaining written confirmation from the Group's legal advisors, of their assessment of the evolution of existing disputes and the risk of losing the case; · analysis, also with the support of our legal experts, of the reasonableness of the assumptions used to estimate the provisions made as well as the conclusion reported in the opinion and analysis prepared by the experts engaged by the directors; · performing substantive procedures on the completeness and accuracy of the data used to determine the provisions for risks; · analysis of the adequacy of the disclosure provided in the notes to the financial statements.

Responsibilities of directors and Those Charged with Governance for the Consolidated Financial Statements

The directors are responsible for the preparation of the consolidated financial statements that give a true and fair view in accordance with International Financial Reporting Standards as adopted by the European Union and with the regulations issued for implementing art. 9 of Legislative Decree n. 38, dated February 28, 2005 and art. 43 of Legislative Decree n. 136, dated August 18, 2015, and, within the terms provided by the law, for such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless they either intend to liquidate the Bank or to cease operations, or has no realistic alternative but to do so.

The statutory audit committee ("Collegio Sindacale") is responsible, within the terms provided by the law, for overseeing the Group's financial reporting process.

Auditor's Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with International Standards on Auditing (ISA Italia) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with International Standards on Auditing (ISA Italia), we have exercised professional judgment and maintained professional skepticism throughout the audit. In addition:

- we have identified and assessed the risks of material misstatement of the consolidated financial statements, whether due to fraud or error; have designed and performed audit procedures responsive to those risks, and obtained audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control;
- we have obtained an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control;
- we have evaluated the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors;
- we have concluded on the appropriateness of directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the

audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern;

- we have evaluated the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- we have obtained sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We have communicated with those charged with governance, identified at an appropriate level as required by ISA Italia, regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We have provided those charged with governance with a statement that we have complied with the ethical and independence requirements applicable in Italy, and we have communicated with them all matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we have determined those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We have described these matters in our auditor's report.

Additional information pursuant to article 10 of EU Regulation n. 537/14

The shareholders of Banca Monte dei Paschi di Siena S.p.A., in the general meeting held on April 21, 2011, engaged us to perform the audits of the consolidated financial statements of each year ending from December 31, 2011 to December 31, 2019.

We declare that we have not provided prohibited non-audit services, referred to article 5, par. 1, of EU Regulation n. 537/2014, and that we have remained independent of the Group in conducting the audit.

We confirm that the opinion on the consolidated financial statements included in this report is consistent with the content of the additional report to the audit committee (Collegio Sindacale) in their capacity as audit committee, prepared in accordance with article 11 of the EU Regulation n. 537/2014.

Report on compliance with other legal and regulatory requirements

Opinion pursuant to article 14, paragraph 2, subparagraph e), of Legislative Decree n. 39 dated January 27, 2010 and of article 123-bis, paragraph 4, of Legislative Decree n. 58, dated February 24, 1998

The directors of Banca Monte dei Paschi di Siena S.p.A. are responsible for the preparation of the Report on Operations and of the Report on Corporate Governance and Ownership Structure of Monte dei Paschi di Siena Group as at December 31, 2018, including their consistency with the related consolidated financial statements and their compliance with the applicable laws and regulations.

We have performed the procedures required under audit standard SA Italia n. 720B, in order to express an opinion on the consistency of the Report on Operations and of specific information included in the Report on Corporate Governance and Ownership Structure as provided for by article 123-bis, paragraph 4, of Legislative Decree n. 58, dated February 24, 1998, with the consolidated financial statements of Monte dei Paschi di Siena Group as at December 31, 2018 and on their compliance with the applicable laws and regulations, and in order to assess whether they contain material misstatements.

In our opinion, the Report on Operations and the above mentioned specific information included in the Report on Corporate Governance and Ownership Structure are consistent with the consolidated financial statements of Monte dei Paschi di Siena Group as at December 31, 2018 and comply with the applicable laws and regulations.

With reference to the statement required by art. 14, paragraph 2, subparagraph e), of Legislative Decree n. 39, dated January 27, 2010, based on our knowledge and understanding of the entity and its environment obtained through our audit, we have no matters to report.

Statement pursuant to article 4 of Consob Regulation implementing Legislative Decree n. 254, dated December 30, 2016

The directors of Banca Monte dei Paschi di Siena S.p.A. are responsible for the preparation of the non-financial information pursuant to Legislative Decree n. 254, dated December 30, 2016. We have verified that non-financial information have been approved by directors.

Pursuant to article 3, paragraph 10, of Legislative Decree n. 254, dated December 30, 2016, such non-financial information are subject to a separate compliance report signed by us.

Rome, March 15, 2019

EY S.p.A.
Signed by: Francesco Chiulli, partner

This report has been translated into the English language solely for the convenience of international readers.

ANNEXES

Disclosure of independent auditors' fees

With the aim of making reporting on the Parent Company's relations with its own Auditors more transparent, Consob, with its resolutions No. 15915 of 3 May 2007 and No. 15960 of 30 May 2007, implemented the delegation of authority contained in art. 160 of the Consolidated Law on Finance (Incompatibility), introducing Part III, Title VI, of the Issuers' Regulation, Part I-bis (Incompatibility) which contains articles from 149-bis to 149-duodecies.

With this amendment, CONSOB chose to include this disclosure in the documents accompanying the financial statements with a mandatory requirement to disclose payments received for auditing and other services supplied by the Auditors or by entities forming part of their network.

The table below shows all payments made to the Auditors and to others forming part of its network, broken down by type of service.

Fees paid to the Independent Auditors and to the entities belonging to its network (pursuant to art. 149 duodecies of CONSOB resolution no. 15915 of 3 May 2007)

31 12 2018

Type of services	Service provider	Total
Auditing	EY S.p.A.	2,598
Other attest services	EY S.p.A.	944
Other services	Ernst & Young Financial Business Advisory S.p.a.	1,037
Total		**4,579**

Amounts are exclusive of V.A.T. and ancillary expenses.

PENSION FUNDS – Defined benefit pension funds without plan assets

Supplementary Pension Fund for personnel of former Tax Collection Agencies

Accounting statemet as at 31 12 2018	(in units of Eur)
Opening balance as at 01 01 2018	**22,134,619**
Increases	144,602
- provisions for the year	144,602
- Other	-
Decreases	3,218,554
- Benefit paid	1,739,291
- Other	1,479,263
Closing balance as at 31 12 2018	**19,060,667**

Supplementary Pension Fund for personnel of former Banca Operaia di Bologna

Accounting statemet as at 31 12 2018	(in units of Eur)
Opening balance as at 01 01 2018	**5,850,282**
Increases	117,020
- provisions for the year	56,155
- Other	60,865
Decreases	378,361
- Benefit paid	378,361
- Other	-
Closing balance as at 31 12 2018	**5,588,941**

Supplementary Pension Fund for personnel of former Banca di Credito Popolare e Cooperativo di Reggio Emilia

Accounting statemet as at 31 12 2018	(in units of Eur)
Opening balance as at 01 01 2018	**714,569**
Increases	7,440
- provisions for the year	7,440
- Other	-
Decreases	81,284
- Benefit paid	38,544
- Other	42,740
Closing balance as at 31 12 2018	**640,725**

Supplementary Pension Fund for personnel of former Banca Popolare Veneta

Accounting statemet as at 31 12 2018	(in units of Eur)
Opening balance as at 01 01 2018	**1,036,576**
Increases	56,656
- provisions for the year	2,904
- Other	53,752
Decreases	173,686
- Benefit paid	173,686
- Other	-
Closing balance as at 31 12 2018	**919,546**

Obligation for "Supplementary Pension Fund for personnel of former Provveditori"

Accounting statemet as at 31 12 2018	(in units of Eur)
Opening balance as at 01 01 2018	**3,421,128**
Increases	15,075
- provisions for the year	15,075
- Other	-
Decreases	455,181
- Benefit paid	287,547
- Other	167,634
Closing balance as at 31 12 2018	**2,981,022**

Supplementary Pension Fund for personnel of former MPS Capital Services Banca per le Imprese S.p.A.

Accounting statemet as at 31 12 2018	(in units of Eur)
Opening balance as at 01 01 2018	**4,602,326**
Increases	20,437
- provisions for the year	19,987
- Other	450
Decreases	514,783
- Benefit paid	514,783
- Other	-
Closing balance as at 31 12 2018	**4,107,980**

Supplementary Pension Fund for personnel of former Credito Lombardo

Accounting statemet as at 31 12 2018	(in units of Eur)
Opening balance as at 01 01 2018	**2,970,519**
Increases	15,057
- provisions for the year	15,057
- Other	-
Decreases	296,145
- Benefit paid	259,220
- Other	36,925
Closing balance as at 31 12 2018	**2,689,431**

Supplementary Pension Fund for personnel of former Banca Toscana

Accounting statemet as at 31 12 2018	(in units of Eur)
Opening balance as at 01 01 2018	**438,427**
Increases	19,068
- provisions for the year	19,068
- Other	-
Decreases	-
- Benefit paid	-
- Other	-
Closing balance as at 31 12 2018	**457,495**

PENSION FUNDS – defined benefit and defined contribution pension funds with plan assets

Supplementary Pension Fund for personnel of former BNA – Defined benefit section

BALANCE SHEET

(in units of Eur)

	Assets	31 12 2018	31 12 2017	Changes
10	**Direct investments**	**23,249,460**	**24,598,474**	**(1,349,014)**
	a) Deposits	453,856	389,156	64,700
	b) Receivables from repo transactions	-	-	-
	c) Securities issued by Governments and other international institutions	-	-	-
	d) Listed debt securities	22,633,989	24,045,600	(1,411,611)
	e) Listed equity securities	-	-	-
	f) Unlisted debt securities	-	-	-
	g) Unlisted equity securities	-	-	-
	h) Units of UCITS	-	-	-
	i) Options purchased	-	-	-
	l) Accrued income and prepayments	161,615	163,718	(2,103)
	m) Profit guarantees released to pension fund	-	-	-
	n) Other assets from financial activities	-	-	-
	o) Accrued income not yet received	-	-	-
20	**Managed investments**	-	-	-
30	**Profit guarantees on individual accounts**	-	-	-
40	**Assets from administrative activities**	-	-	-
50	**Tax receivables**	18,863	-	18,863
	TOTAL ASSETS	**23,268,322**	**24,598,474**	**(1,330,152)**
	Liabilities	**31 12 2018**	**31 12 2017**	**Changes**
10	**Liabilities from social security**	-	-	-
20	**Liabilities from financial activities**	-	-	-
30	**Profit guarantees on individual accounts**	-	-	-
40	**Liabilities from administrative activities**	-	-	-
50	**Tax payables**	-	**16,662**	**(16,662)**
	b) tax payables for current period	-	16,662	(16,662)
	a) tax credit for prior period	-	-	-
	TOTAL LIABILITIES	-	**16,662**	**(16,662)**
100	**Net assets available for payment of benefits**	**23,268,322**	**24,581,812**	**(1,313,490)**
	Net assets availabe for payment of benefits in previous year	24,581,812	25,662,220	(1,080,408)
	Changes in net assets available payment of benefits	**(1,313,490)**	**(1,080,408)**	**(233,082)**

INCOME STATEMENT

(in units of Eur)

		31 12 2018	31 12 2017	Changes
10	**Balance of social security management**	**(1,181,452)**	**(1,197,040)**	**(15,588)**
	a) Contributions for benefits	-	-	-
	b) Advances	-	-	-
	c) Transfers and redemptions	-	-	-
	d) Transfers to annuities	-	-	-
	e) Payments in capital	-	-	-
	f) Premiums for additional benefits	-	-	-
	g) Payments in annuities	(1,181,452)	(1,197,040)	(15,588)
	h) Other payments	-	-	-
20	**Profit (loss) from direct financial activities**	**(150,901)**	**133,294**	**284,195**
	a) Interest and profit on bondsand government securities	539,222	746,602	207,380
	b) Interest on cash equivalents	(690,122)	(613,308)	76,814
	c) Profits and losses from financial transactions	-	-	-
	d) Interest (expense) from repo transactions	-	-	-
	e) Pension fund profit guarantee difference	-	-	-
	f) Contingent assets	-	-	-
	g) Forfeitures charged to the participants	-	-	-
	h) Kickbacks from UCITS	-	-	-
	i) Commission expense	-	-	-
30	**Profit (loss) from indirect financial activities**	-	-	-
40	**Operating expenses**	**-**	**-**	**-**
	a) Management companies	-	-	-
	b) Custodian bank	-	-	-
	c) Insurance policy	-	-	-
	d) "State supervision" contribution	-	-	-
50	**Financial and insurance income (loss) (20+30+40)**	**(150,901)**	**133,294**	**284,195**
60	**Balance from administrative activities**	**-**	**-**	**-**
	a) General and administrative expenses	-	-	-
70	**Changesin net assets available for payment of benefits before substitute tax (10+50+60)**	**(1,332,353)**	**(1,063,746)**	**268,607**
80	**Substitute tax**	**18,863**	**(16,662)**	**(35,525)**
	Changes in net assets available for payment of benefits (70+80)	**(1,313,490)**	**(1,080,407)**	**233,083**

Supplementary Pension Fund for personnel of former Banca Toscana - Defined benefit section

BALANCE SHEET

(in units of Eur)

Assets		31 12 2018	31 12 2017	Changes
10	**Direct investments**	**90,575,648**	**97,476,736**	**6,901,088**
	a) Deposts	87,077,605	83,474,200	(3,603,405)
	b) Receivables from repo transactions	-	-	-
	c) Securities issued by Governments and other international institutions	-	-	-
	d) Listed debt securities	3,434,698	13,728,196	10,293,498
	e) Listed equity securities	-	-	-
	f) Unlisted debt securities	-	-	-
	g) Unlisted equity securities	-	-	-
	h) Units of UCITS	-	-	-
	i) Options purchased	-	-	-
	l) Accrued income and prepayments	63,345	274,340	210,995
	m) Profit guarantees released to pension fund	-	-	-
	n) Other assets from financial activities	-	-	-
	o) Accrued income not yet received	-	-	-
20	**Managed investments**	-	-	-
30	**Profit guarantees on individual accounts**	-	-	-
40	**Assets from administrative activities**	-	-	-
50	**Tax receivables**	-	-	-
	TOTAL ASSETS	**90,575,648**	**97,476,737**	**6,901,089**
Liabilities		**31 12 2018**	**31 12 2017**	**Changes**
10	**Liabilities from social security**	-	-	-
20	**Liabilities from financial activities**	-	-	-
30	**Profit guarantees on individual accounts**	-	-	-
40	**Liabilities from administrative activities**	-	-	-
50	**Tax payables**	-	-	-
	TOTAL LIABILITIES	-	-	-
100	**Net assets available for payment of benefits**	**90,575,648**	**97,476,737**	**6,901,089**
	Net assets availabe for payment of benefits in previous year	97,476,737	106,409,341	8,932,604
	Changes in net assets available payment of benefits	**(6,901,089)**	**(8,932,604)**	**(2,031,515)**

INCOME STATEMENT

(in units of Eur)

		31 12 2018	31 12 2017	Changes
10	**Balance of social security management**	**(7,912,196)**	**(8,549,425)**	**(637,229)**
	a) Contributions for benefits	-	-	-
	b) Advances	-	-	-
	c) Transfers and redemptions	-	-	-
	d) Transfers to annuities	-	-	-
	e) Payments in capital	-	-	-
	f) Premiums for additional benefits	-	-	-
	g) Payments in annuities	(7,912,196)	(8,549,425)	(637,229)
	h) Other payments	-	-	-
20	**Profit (loss) from direct financial activities**	**1,011,106**	**(383,179)**	**(1,394,285)**
	a) Interest and profit on bondsand government securities	334,555	550,188	215,633
	b) Interest on cash equivalents	676,551	(933,367)	(1,609,918)
	c) Profits and losses from financial transactions	-	-	-
	d) Interest (expense) from repo transactions	-	-	-
	e) Pension fund profit guarantee difference	-	-	-
	f) Contingent assets	-	-	-
	g) Forfeitures charged to the participants	-	-	-
	h) Kickbacks from UCITS	-	-	-
	i) Commission expense	-	-	-
30	**Profit (loss) from indirect financial activities**	-	-	-
40	**Operating expenses**	**-**	**-**	**-**
	a) Management companies	-	-	-
	b) Custodian bank	-	-	-
	c) Insurance policy	-	-	-
	d) "State supervision" contribution	-	-	-
50	**Financial and insurance income (loss) (20+30+40)**	**1,011,106**	**(383,179)**	**(1,394,285)**
60	**Balance from administrative activities**	**-**	**-**	**-**
	a) General and administrative expenses	-	-	-
70	**Changesin net assets available for payment of benefits before substitute tax (10+50+60)**	**(6,901,089)**	**(8,932,604)**	**(2,031,515)**
80	**Substitute tax**	-	-	-
	Changes in net assets available for payment of benefits (70+80)	**(6,901,089)**	**(8,932,604)**	**(2,031,515)**